

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[160 NE3d 667, 136 NYS3d 199]

CNH DIVERSIFIED OPPORTUNITIES MASTER ACCOUNT, L.P., et al.,
Appellants, v CLEVELAND UNLIMITED, INC., et al., Respon-
dents.

Argued September 10, 2020; decided October 22, 2020

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 26, 2018. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Saliann Scarpulla, J.), which had dismissed the complaint. The judgment was entered upon an order of that Supreme Court (op 2018 NY Slip Op 30071[U] [2018]), which had (1) granted defendants' motion for summary judgment dismissing the complaint; (2) dismissed the complaint; and (3) denied plaintiffs' motion for summary judgment.

CNH Diversified Opportunities Master Account, L.P. v Cleveland Unlimited, Inc., 162 AD3d 573, modified.

HEADNOTE

Secured Transactions — Security Agreements — Impact of Strict Foreclosure on Minority Noteholders' Right to Sue for Payment

Plaintiff minority noteholders were entitled to summary judgment in their action against defendant issuer and its guarantors to recover payment of principal and interest following defendant issuer's default, as plaintiffs' right to sue for payment on the notes survived a strict foreclosure undertaken by the trustee at the direction of the majority bondholders without plaintiffs' consent. Sections 6.05 and 6.07 of the indenture agreement incorporated

language from subsections (a) and (b) of section 316 of the Trust Indenture Act of 1939 (15 USC § 77ppp [a], [b] [TIA]), respectively. Majority actions permitted by subsection (a), namely the authority to excuse a default and to direct trustee action in the event of a default, are constrained by subsection (b). Majority action with respect to remedies must be similarly constrained. The structure of the TIA demonstrates an intent to protect bondholders' legal rights to payment and to bring suit from the effects of collective action. The majority noteholders were empowered to act, without the consent of all noteholders, in directing a specific remedy and the trustee was authorized to follow that directive. However, the purported cancellation of the notes could not extinguish the rights protected by section 6.07 of the indenture. Because section 6.07 applied "[n]otwithstanding any other provision of th[e] [i]ndenture," the powers conferred upon the majority noteholders by section 6.05 were subject to the limitations in section 6.07. Therefore, the powers granted to the majority noteholders in section 6.05 could not be used to extinguish the legal right to sue or the legal right to payment of non-consenting noteholders protected in section 6.07. Thus, the purported cancellation of the notes without plaintiffs' consent violated section 6.07 of the indenture agreement.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Secured Transactions §§ 26, 120.

NY JUR 2d Secured Transactions § 150.

ANNOTATION REFERENCE

See ALR Index under Secured Transactions.

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POINTS OF COUNSEL

Faegre Drinker Biddle & Reath LLP, New York City (*James H. Millar*, *Clay J. Pierce*, *Richard M. Haggerty* and *Mark D. Taticchi* of counsel), for appellants. I. The debt-for-equity exchange impaired or affected the minority noteholders' right to payment of principal and interest on their notes. (*Quadrant Structured Prods. Co., Ltd. v Vertin*, 23 NY3d 549; *Cortlandt St. Recovery Corp. v Bonderman*, 31 NY3d 30; *Kolbe v Tibbetts*, 22 NY3d 344; *Mazzola v County of Suffolk*, 143 AD2d 734; *Ragins v Hospitals Ins. Co., Inc.*, 22 NY3d 1019; *Humana Inc. v Forsyth*, 525 US 299; *Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640; *Marblegate Asset Mgt., LLC v Education Mgt. Fin. Corp.*, 846 F3d 1; *Global Reins. Corp. of Am. v Century Indem. Co.*, 30 NY3d 508; *Matter of Knight-Ridder*

Broadcasting v Greenberg, 70 NY2d 151.) II. Section 6.07 of the indenture controls over any conflicting provision. (*Beardslee v Inflection Energy, LLC*, 25 NY3d 150; *Bank of N.Y. v First Millennium, Inc.*, 607 F3d 905; *International Multifoods Corp. v Commercial Union Ins. Co.*, 309 F3d 76; *Michelin Tires [Canada] Ltd. v First Natl. Bank of Boston*, 666 F2d 673; *R.A. Mackie & Co., L.P. v Petrocorp Inc.*, 329 F Supp 2d 477; *Cortlandt St. Recovery Corp. v Bonderman*, 31 NY3d 30; *Beal Sav. Bank v Sommer*, 8 NY3d 318.)

Holwell Shuster & Goldberg LLP, New York City (*James M. McGuire, Daniel M. Sullivan and Scott M. Danner* of counsel), and *Dechert LLP*, New York City (*Allan S. Brilliant, Debra D. O’Gorman and Brendan Herrmann* of counsel), for respondents. I. The plain language of the remedial provisions of the indenture, security agreement and collateral trust agreement authorized the foreclosure remedy. (*Cortlandt St. Recovery Corp. v Bonderman*, 31 NY3d 30.) II. Section 6.07 of the indenture does not conflict with the remedial provisions of the indenture, security agreement and collateral trust agreement or otherwise prohibit the foreclosure remedy. (*Upic & Co. v Kinder-Care Learning Ctrs., Inc.*, 793 F Supp 448; *Bank of N.Y. v First Millennium, Inc.*, 607 F3d 905; *BOKF, N.A. v Caesars Ent. Corp.*, 144 F Supp 3d 459; *Marblegate Asset Mgt., LLC v Education Mgt. Fin. Corp.*, 846 F3d 1; *Sutton v East Riv. Sav. Bank*, 55 NY2d 550; *Ajdler v Province of Mendoza*, 33 NY3d 120; *Capital Ventures Intl. v Republic of Argentina*, 552 F3d 289; *Baybank Middlesex v 1200 Beacon Props., Inc.*, 760 F Supp 957; *Duval v Skouras*, 181 Misc 651, 267 App Div 811; *Nachman v Tennessee Elec. Power Co.*, 174 Misc 425.) III. Even if section 6.07 of the indenture itself could be read to limit remedies, it does not in the context of the parties’ agreements. (*Cortlandt St. Recovery Corp. v Bonderman*, 31 NY3d 30; *Plateg v Town of Hamburg*, 24 NY3d 688; *Quadrant Structured Prods. Co., Ltd. v Vertin*, 23 NY3d 549; *Beardslee v Inflection Energy, LLC*, 25 NY3d 150; *Muzak Corp. v Hotel Taft Corp.*, 1 NY2d 42; *Hollister v Stewart*, 111 NY 644; *Matter of Riconda*, 90 NY2d 733.) IV. Even if the foreclosure remedy violated the parties’ agreement, claims against CUI Holdings, LLC must be dismissed, and a trial must be held on damages.

OPINION OF THE COURT

GARCIA, J.

After the issuer defaulted, plaintiffs, the holders of a minor-

ity in principal amount of senior secured debt, brought this lawsuit against the debtor and its guarantors to recover payment of principal and interest. We are called upon to determine whether plaintiffs' right to sue for payment on the notes survived a strict foreclosure, undertaken by the trustee at the direction of a group of majority bondholders over plaintiffs' objection, that purported to cancel the notes. We hold that it did, and therefore modify the order of the Appellate Division by reversing the grant of summary judgment to the defendants and granting partial summary judgment to the plaintiffs.

Facts

In December 2005, defendant Cleveland Unlimited, Inc. (Cleveland Unlimited), a telecommunications company, issued \$150 million of "senior secured" debt in the form of "notes" pursuant to an indenture agreement (the indenture). The notes had a five-year term and required Cleveland Unlimited to pay interest to holders of the notes (noteholders or holders) on a quarterly basis up to and including the maturity date, at which point the principal also became due. The indenture named Cleveland Unlimited as the "issuer" of the notes, 18 of Cleveland Unlimited's subsidiaries and affiliates as the "guarantors," and U.S. Bank National Association (U.S. Bank) as the indenture "trustee." At the same time the indenture was executed, the issuer, the guarantors, and the trustee executed a collateral trust agreement and a security agreement (collectively, indenture documents).¹ In April 2010, plaintiffs purchased approximately \$5 million of the notes in the secondary market, amounting to 3.33% of the outstanding principal value.²

At issue in this case are certain provisions in the indenture documents governing the rights of the noteholders to receive payment, the remedies available in the event of default, and the power of a majority of noteholders to direct the trustee's choice of remedy. Section 6.07 of the indenture, titled "Rights of Holders To Receive Payment," provides:

1. The indenture also appointed U.S. Bank as the "collateral trustee." U.S. Bank, in its role as both indenture trustee and collateral trustee, will be referred to as the "trustee."

2. Plaintiffs are CNH Diversified Opportunities Master Account, L.P., AQR Delta Master Account, L.P., AQR Delta Sapphire Fund, L.P., and AQR Funds—AQR Diversified Arbitrage Fund (collectively, minority noteholders or plaintiffs).

“Notwithstanding any other provision of this Indenture, the right of any Holder to receive payment of principal of, premium, if any, and interest and Additional Interest, if any, on a Note, on or after the respective due dates expressed in such Note, or to bring suit for the enforcement of any such payment on or after such respective dates, shall not be impaired or affected without the consent of such Holder.”

Section 6.07 tracks section 316 (b) of the Trust Indenture Act of 1939 (TIA) (Act of Aug. 3, 1939 § 316 [b] [76th Cong, 1st Sess, ch 411], 53 US Stat 1173, codified at 15 USC § 77ppp [b], as amended). The indenture was not qualified under the TIA, meaning that it was not an indenture that governed securities registered with the Securities and Exchange Commission (*see* 15 USC § 77iii [a]). Nevertheless, in addition to restating some of the statutory language, the indenture incorporated by reference “[a]ny provision of the TIA which is required to be included in a qualified indenture.”

Remedies in the event of default are set out in the indenture documents, and the trustee is authorized to take any available remedial action, including remedies available under the Uniform Commercial Code (*see* sections 6.03 and 12.08 of the indenture; section 9.1 [viii] of the security agreement; section 3.1 [a] [4] of the collateral trust agreement). In addition to empowering the trustee with this broad authority, section 6.05 of the indenture, titled “Control by Majority,” provides that “the Holders of a majority in principal amount of the outstanding Notes may direct the time, method and place of conducting any proceeding for exercising any remedy available to the Trustee.” Section 6.05 tracks section 316 (a) of the TIA (*see* 15 USC § 77ppp [a]).

As the date for the payment of principal approached, and Cleveland Unlimited’s financial situation deteriorated, the interplay among the provisions governing the noteholders’ rights and remedies took on practical significance.

Cleveland Unlimited Defaults

Interest payments on the notes were made, as scheduled, up to September 2010. In early December of that year, however, Cleveland Unlimited determined that it would not be able to pay the outstanding principal and interest shortly to come due. Seeking to avoid an event of default, Cleveland Unlimited entered into negotiations regarding potential workouts with the trustee and a committee of noteholders that owned over

99% of the outstanding principal value of the notes, including the minority noteholders and a separate group that owned 96.63% (majority noteholders).³

Despite those efforts, on December 15, 2010, Cleveland Unlimited defaulted on its obligation to pay the outstanding principal and interest now due. Discussions regarding potential restructuring transactions continued post-default. Several weeks later, the same committee executed a “forbearance agreement” with Cleveland Unlimited, the guarantors, the trustee, and CUI Holdings, LLC (CUI Holdings), an affiliate of Cleveland Unlimited that owned 100% of its stock. Pursuant to this agreement, CUI Holdings became a guarantor on the notes, pledging the Cleveland Unlimited stock as collateral, and the noteholders and the trustee agreed to refrain from exercising any rights or remedies available to them through April 2011.

On the same day that the forbearance agreement was executed, CUI Holdings and a new entity owned by the majority noteholders, CUI Acquisition Corp. (CUI Acquisition), negotiated a “purchase and sale agreement.” Pursuant to this agreement, CUI Holdings would transfer all outstanding stock in Cleveland Unlimited to CUI Acquisition for the benefit of the noteholders. In return, the noteholders would forfeit their rights as secured creditors and, instead, become equity holders in Cleveland Unlimited, thereby relieving Cleveland Unlimited and the guarantors of their obligations under the notes. In April 2011, the minority noteholders informed the majority noteholders that they did not plan to participate in the purchase and sale agreement, opting to remain secured noteholders and seek full payment on the notes. The purchase and sale agreement failed to close by the end of the forbearance period.

The Strict Foreclosure

In June 2011, counsel for the majority noteholders informed all noteholders that it had been “working with” the trustee on an alternative restructuring transaction, namely a “strict foreclosure” pursuant to sections 9-620 and 9-622 of the model UCC (*see* UCC 9-620; 9-622). According to counsel, this transaction “would enable [them] to maintain the structure of the

3. “A workout is simply a contractually concluded modification of debt effected either by amendment of the terms of the existing debt or an exchange of the existing debt for new obligations” (William W. Bratton & Adam J. Levitin, *The New Bond Workouts*, 166 U Pa L Rev 1597, 1604 [2018]).

[purchase and sale agreement] . . . without requiring consent from all of the [holders].”⁴ Instead of reaching an agreement among all the noteholders, the trustee, at the direction of the majority noteholders, would “foreclose strictly” on the collateral that CUI Holdings had pledged against the notes—100% of the outstanding stock in Cleveland Unlimited—and then distribute the stock on a pro rata basis to the noteholders, thereby canceling the notes and ending the obligations of Cleveland Unlimited and the guarantors under the indenture.

The minority noteholders, in a letter sent to Cleveland Unlimited, the majority noteholders, and the trustee, asserted that they did not “join or in any way consent to the [strict foreclosure].” The letter explained that, “pursuant to [s]ection 6.07 of the Indenture and relevant sections of the [TIA],” the minority noteholders did not “consent to any impairment or effect on their rights to receive payment of principal . . . and interest” on their notes, “on or after the respective due dates, or to bring suit for the enforcement of any such payment on or after such respective dates.”

Over the minority noteholders’ objection, the strict foreclosure went forward. As the first step, the majority noteholders and the trustee entered into a “majority noteholder direction and indemnity agreement,” in which the majority noteholders “directed” the trustee to “foreclose strictly” on the Cleveland Unlimited stock owned by CUI Holdings, “thereby extinguishing the indebtedness evidenced by the Notes.”⁵ The trustee complied with the majority noteholders’ direction and, in turn, executed a “strict foreclosure agreement,” pursuant to which CUI Holdings transferred its 100% equity stake in Cleveland Unlimited to the trustee for the benefit of the noteholders. The strict foreclosure agreement specified that the trustee’s acceptance of the stock constituted a “full and final payment and

4. Counsel’s email indicates that the workout contemplated an additional loan to Cleveland Unlimited in the amount of \$35 million. After the strict foreclosure, a senior secured loan in a similar amount was made by certain majority noteholders.

5. A secured party may accept collateral in full or partial satisfaction of the obligation (*see* UCC 9-620 [a]). In a full strict foreclosure, the secured party retains the collateral in full satisfaction of the remaining debt, foreclosing any deficiency claim (*see* UCC 9-622 [a] [1]; Comment 2; *In re CBGB Holdings, LLC*, 439 BR 551, 555 [SD NY 2010]). In a partial strict foreclosure, the creditor retains the collateral, forgives part of the debt owed by the debtor, and sues the debtor for deficiency (*see* UCC 9-622 [a] [1]; Comment 2). In either case, the consent of the debtor and other secured creditors is required (*see* UCC 9-620 [a]-[b]).

satisfaction of” Cleveland Unlimited’s “indebtedness evidenced by the Indenture . . . [and] the Notes.”

On the same day as the execution of the strict foreclosure, the trustee advised all noteholders that the majority noteholders had “directed” the “Trustee to foreclose strictly on the Cleveland [Unlimited] Stock in full satisfaction of the Notes” and to distribute the stock to all noteholders on a pro rata basis. The trustee further advised the noteholders of the legal effect of the strict foreclosure, specifically that

“by operation of law as a result of the strict foreclosure, the indebtedness evidenced by the Notes shall be deemed paid and cancelled and with limited exceptions, the obligations of [Cleveland Unlimited] under the Indenture shall be terminated. The rights of Holders will be limited to receiving their pro rata share of the aforementioned distribution [of Cleveland Unlimited stock] and no further distributions will be made to Holders on account of the Notes.”

The trustee subsequently distributed the Cleveland Unlimited stock on a pro rata basis to the majority and minority noteholders.

Shortly after the strict foreclosure, a majority of the majority noteholders made a \$34 million senior secured loan to Cleveland Unlimited at a 10% interest rate. When Cleveland Unlimited was subsequently liquidated, the proceeds were used to pay that group of secured lenders the principal and outstanding interest owed on the loan. Ultimately, Cleveland Unlimited distributed approximately \$13.5 million to its shareholders, but withheld any distribution to the minority noteholders pending resolution of this litigation.

The Minority Noteholders’ Suit for Payment

Plaintiffs, the minority noteholders, commenced this action for breach of contract and breach of guaranty against Cleveland Unlimited and the guarantors, now including CUI Holdings (collectively, defendants), for payment of principal and interest on the notes, contending that, because they had not consented to the transaction, their right to payment and interest, and their right to bring suit to enforce those payment rights, had been impermissibly terminated. Defendants countered that plaintiffs’ rights under the notes were extinguished by operation of the strict foreclosure, an enforcement mechanism

expressly authorized by the terms of the indenture documents. Both parties moved for summary judgment. Supreme Court denied the minority noteholders' motion, and granted defendants' motion, dismissing the complaint (2018 NY Slip Op 30071[U] [2018]). The court held that several provisions in the indenture documents, when read together, evidenced a "collective design" that authorized the trustee "to act for all the noteholders in the event of [Cleveland Unlimited]'s default, upon the direction of [the majority] noteholders" (*id.* at *12). Accordingly, the court held that the strict foreclosure was permissible under the parties' agreement, relying on this Court's decision in *Beal Sav. Bank v Sommer* (8 NY3d 318 [2007]). Further, citing *Marblegate Asset Mgt., LLC v Education Mgt. Fin. Corp.* (846 F3d 1 [2d Cir 2017]), the court held that the strict foreclosure did not violate section 316 (b) of the TIA—or the equivalent language of section 6.07 of the indenture—because that transaction neither formally "amend[ed] any terms of the Indenture" nor "prevent[ed the minority noteholders] from bringing an action to collect payments due on the dates indicated in the Indenture" (2018 NY Slip Op 30071[U], *17). Despite granting summary judgment to defendants and dismissing the complaint, the court concluded that the minority noteholders "retain[ed] the legal right to obtain payment by suing Cleveland Unlimited as the issuer of the original notes" (*id.*).

The Appellate Division affirmed based on much of the same rationale, holding that "[a] fair reading of the [indenture documents] demonstrates that the . . . trustee was authorized to pursue default remedies, including the strict foreclosure at issue here, if so directed by a majority of the noteholders" (162 AD3d 573, 573 [1st Dept 2018]). The Appellate Division held that section 6.07 of the indenture did not supersede, nor conflict with, the sections of the indenture documents that authorized the trustee to take those remedies; rather, section 6.07 of the indenture, "which tracks the language of" section 316 (b) of the TIA, "'prohibits only non-consensual amendments to an indenture's core payment terms'" (*id.* at 573-574, quoting *Marblegate*, 846 F3d at 3). The strict foreclosure, the Appellate Division concluded, "did not amend the core payment terms in violation of section 6.07 of the Indenture, even if it had a similar effect" (*id.* [internal quotation marks omitted]).

This Court granted plaintiffs leave to appeal (32 NY3d 914 [2019]).

Analysis

In order to determine whether plaintiffs may proceed against defendants in this action to recover outstanding principal and interest on the notes, we must examine whether plaintiffs' payment rights were, in fact, extinguished by the strict foreclosure, which purportedly cancelled their notes. As specified in the agreement between the parties to the indenture documents, New York law controls (*see* section 11.07 of the indenture). Our case law makes clear that we approach the interpretation of the indenture provisions as a matter of basic contract law (*see Cortlandt St. Recovery Corp. v Bonderman*, 31 NY3d 30, 39 [2018]; *Quadrant Structured Prods. Co., Ltd. v Vertin*, 23 NY3d 549, 559 [2014]). If an indenture "is complete, clear and unambiguous on its face," it "must be enforced according to the plain meaning of its terms" (*Cortlandt*, 31 NY3d at 39, quoting *Quadrant*, 23 NY3d at 559-560). When reviewing an indenture, "particular words should be considered, not as if isolated from the context, but in the light of the obligation as a whole and the intention of the parties manifested thereby" (*Kolbe v Tibbetts*, 22 NY3d 344, 353 [2013] [internal quotation marks and brackets omitted]). Applying these principles of contract interpretation, we turn to the language of the indenture provision underlying the dispute between the parties.

Section 6.07 provides that, "[n]otwithstanding" any other provision in the indenture, the rights of a noteholder to "receive payment" of principal and interest on the notes, and to "bring suit for the enforcement of any such payment . . . , shall not be impaired or affected without the consent of such Holder." Plaintiffs argue that the plain terms of this section prohibited the strict foreclosure from having the effect of extinguishing their legal rights to payment and to bring suit. Defendants maintain that the meaning of "impaired or affected" is ambiguous and cannot be read to cover the effect of the strict foreclosure, because those terms relate to only formal amendments to the core payment terms of the indenture.

Although the indenture is governed by New York law and is not qualified under the TIA, sections 6.05 and 6.07 of the indenture incorporate language from subsections (a) and (b) of section 316 of the TIA, respectively. Therefore, we may look to the TIA for guidance as to the intended application of those indenture provisions (*see Racepoint Partners, LLC v JPMorgan Chase Bank, N.A.*, 14 NY3d 419, 423 [2010] [parties' intent in

the indenture provision may be equated with congressional intent with respect to the relevant section of the TIA]; *see generally* Felix Frankfurter, *Some Reflections on the Reading of Statutes*, 47 Colum L Rev 527, 537 [1947] [“if a word is obviously transplanted from another legal source, whether the common law or other legislation, it brings the old soil with it”]. In interpreting sections 6.05 and 6.07, we look to the structure and design of the corresponding TIA provisions (*see Nadkos, Inc. v Preferred Contrs. Ins. Co. Risk Retention Group LLC*, 34 NY3d 1, 9-10 [2019]).⁶

As the title of section 316 of the TIA announces, the provision covers “[d]irections and waivers by bondholders” and the “prohibition of impairment of holder’s right to payment” (15 USC § 77ppp). The topics are not unrelated. Subsection (a) permits a qualified indenture to contain certain “majority action” or “collective action” clauses authorizing a majority in principal amount of the securities to: (1) “direct the time, method, and place of conducting any proceeding for any remedy available to such trustee”; and (2) “consent to the waiver of any past default and its consequences” on behalf of all security holders (15 USC § 77ppp [a] [1]). A separate part of subsection (a) states that an indenture may contain a provision permitting the holders of at least 75% in principal amount of the indenture securities “to consent on behalf of the holders of all such indenture securities to the postponement of any interest payment for a period not exceeding three years from its due date” (15 USC § 77ppp [a] [2]).

Subsection (b), which is mandatory in all indentures governed by the TIA, serves as a limitation on the majority action authorized in subsection (a). The only exception to the blanket rule in subsection (b) is the ability of 75% of the security holders to postpone interest for a limited period of time provided for in subsection (a) (2) (*see* 15 USC § 77ppp [b]; *Marblegate*, 846 F3d at 14). Accordingly, the other types of majority action permitted by subsection (a), namely the authority to excuse a default and to direct trustee action in the event of a

6. It seems, at best, inconsistent to argue, as the dissent does, that our opinion inappropriately “elevates the importance of the [TIA] . . . to a place of undue prominence in determining this case” (dissenting op at 19; *see* dissenting op at 27 [“the TIA does not have charge of this review”]), while at the same time lamenting that our opinion “strikes at the consistency between” the law of this Court and federal law (dissenting op at 19; *see* dissenting op at 28-29).

default, are constrained by subsection (b) (see *Kimmel v State of New York*, 29 NY3d 386, 394 [2017] [“‘where a statute creates provisos or exceptions as to certain matters(,) the inclusion of such provisos or exceptions is generally considered to deny the existence of others not mentioned’”], quoting McKinney’s Cons Laws of NY, Book 1, Statutes § 240 at 412-413 [1971 ed]; see e.g. *Continental Bank & Trust Co. of N.Y. v First Natl. Petroleum Trust*, 67 F Supp 859, 870-871 [D RI 1946] [holding that, despite the unconditional language in subsection (a) permitting a majority of bondholders “to consent to the waiver of any past default,” an attempt by a majority group of bondholders to postpone or waive a default of an interest payment was nevertheless “directly contrary to the provisions of the (TIA) expressly prohibiting impairment of the right of a debenture holder to receive payment”]). Majority action with respect to remedies must be similarly constrained (see *In re Board of Directors of Telecom Argentina, S.A.*, 528 F3d 162, 172 [2d Cir 2008] [recognizing that section 316 (b) of the TIA “protects the holder of a bond issued under a qualified indenture from majority-imposed impairment of its rights”]; George W. Shuster, Jr., *The Trust Indenture Act and International Debt Restructurings*, 14 Am Bankr Inst L Rev 431, 433 [2006] [“section 316(b) protects the rights of each individual bondholder under an indenture as against other bondholders under that indenture”]). Indeed, the structure of the TIA demonstrates an intent to protect bondholders’ legal rights to payment and to bring suit from the effects of collective action. The majority noteholders were empowered to act, without the consent of all noteholders, in directing a specific remedy—the strict foreclosure—and the trustee was authorized to follow that directive. However, the purported cancellation of the notes cannot extinguish the rights protected by section 6.07 of the indenture.

The dissent instead frames the issue as “whether the trustee was authorized to proceed with the strict foreclosure” (dissenting op at 22; see also dissenting op at 31 [“For an undisclosed reason, plaintiffs here chose not to sue the trustee for breach of its duties”]). There is no question that, here, the trustee was authorized to act. The issue is whether the minority noteholders’ rights were extinguished—not “impair[ed]” (dissenting op at 30-31)—by the purported cancellation of the notes. A similar disconnect from the issue in this case leads the dissent to mine lengthy block quotes from the legislative history of the Barkley

Bill, an earlier version of what became the TIA, concerning the *authorization* of a trustee to act at the direction of a majority of bondholders (*see* dissenting op at 29-30, citing Regulation of Sale of Securities: Hearing Before Subcomm of Comm on Banking and Currency of US Senate on S 2344, 75th Cong, 1st Sess at 48, 66-67 [June 9, 1937] [statement of William O. Douglas, Commissioner, Securities and Exchange Commission] [hereinafter S 2344]). The discussion concerning the percentage of bondholders that could compel the trustee to act took place in the context of a bill that would have vested the Securities and Exchange Commission (SEC) with broad discretion to approve indenture terms (*see* Talcott M. Banks, Jr., *Indenture Securities and the Barkley Bill*, 48 Yale LJ 533, 563 [1939] [“the Commission’s power to create indenture clauses appears to be altogether unlimited”]). Commissioner William O. Douglas was addressing the concern that the SEC would qualify an indenture that contained a provision requiring 100% of the bondholders to authorize the trustee to take any specific course of action (*see* S 2344 at 48). As enacted, the TIA provides that, unless otherwise expressly excluded, the indenture will be deemed to include a provision permitting a simple majority in principal amount of the securities to authorize the trustee to pursue an available remedy. In the same section of the TIA, however, certain core rights of minority bondholders are protected (*see Marblegate*, 846 F3d at 15 n 15 [“while the 1938 version of the bill vested discretion in the SEC to regulate indenture provisions, the 1939 version of the bill was altered to mandate that all qualified indentures contain certain provisions”]).⁷

Defendants maintain that, despite the language of the statute, cancellation of the notes by majority action authorized in subsection (a) of section 316 of the TIA does not violate the rights protected by subsection (b), relying on language in

7. In the early drafts of the TIA, the language empowering majority bondholders to “direct the method and place of conducting all proceedings at law or in equity for any remedy under [the] indenture” appeared in the section detailing the duties of the trustee in the event of default, rather than the section on majority action and bondholders’ rights (*see* Trust Indentures: Hearings Before Subcomm of Comm on Interstate & Foreign Commerce of House of Representatives on HR 10292, 75th Cong, 3d Sess at 11-13 [Apr. 25, 1938]; Trust Indentures: Hearings Before Subcomm of Comm on Interstate & Foreign Commerce of House of Representatives on HR 2191 & HR 5220, 76th Cong, 1st Sess at 11-14 [Apr. 4, 1939] [hereinafter HR 2191 & HR 5220]). At some point prior to the passage of the TIA, however, that language was incorporated into what became section 316 (*see* 15 USC § 77ppp [a]; HR 2191 & HR 5220 at 30-31).

Marblegate that they claim limits the scope of subsection (b) to protection against “formal amendments” of “core payment terms” (see 846 F3d at 6-7, 14-15). The strict foreclosure, defendants argue, did not effectuate such an amendment, and thus was not prohibited by subsection (b). Plaintiffs assert that *Marblegate*, when read correctly, supports their argument that the strict foreclosure could not be used to extinguish their rights to sue Cleveland Unlimited, the issuer—an entity that “remained intact with all its operating assets.” Plaintiffs are correct.

The *Marblegate* decision addressed a theory of recovery, adopted in a series of district court cases, which expanded the concept of impairment of the right to payment under section 316 (b) of the TIA to include limitations on a bondholder’s “practical ability” to collect (see e.g. *BOKF, N.A. v Caesars Entertainment Corp.*, 144 F Supp 3d 459, 467-468, 474-477 [SD NY 2015]; *MeehanCombs Global Credit Opportunities Funds, LP v Caesars Entertainment Corp.*, 80 F Supp 3d 507, 509 [SD NY 2015]; see generally *Cummings v Chesapeake Energy Corp.*, 2017 WL 3836112, *2-5, 2017 US Dist LEXIS 217062, *5-14 [WD Okla, Feb. 8, 2017, No. CIV-16-00647-HE]). The minority bondholder in *Marblegate* asserted that section 316 (b) demonstrated “Congress’s broad intent to prohibit an out-of-court debt restructuring that has the purpose and effect of eliminating any possibility of receiving payment under their notes,” a view effectively adopted by the district court (846 F3d at 8 [internal quotation marks omitted]). The Second Circuit, after a detailed examination of the transaction at issue and the resulting impact on minority payment rights, rejected that expansive reading of the statute (see *id.* at 8-17; see also Bratton & Levitin, *The New Bond Workouts*, 166 U Pa L Rev at 1649-1655 [describing “The Rise and Fall of the Broad Reading of (s)ection 316(b)”]).

The issuer in *Marblegate* had two layers of debt, secured and unsecured (see 846 F3d at 3). Upon default, the secured creditors became the exclusive owners of the collateral, consisting of virtually all the issuer’s assets (see *id.* at 3-4). After failing to get unanimous creditor consent for a voluntary workout plan, an “Intercompany Sale” was initiated, pursuant to which the secured creditors would “first exercise their preexisting rights under the [at-issue credit agreement] and Article 9 of the [UCC]

to foreclose on [the issuer]’s assets” (*id.* at 4). That action would serve to release a parent guarantee under both the secured and unsecured debt (*see id.*). The secured creditors then consented to the sale of the foreclosed assets to a newly-created subsidiary of the issuer, which would distribute debt and equity to only the consenting creditors (*see id.*). The plaintiff, a minority holder of unsecured notes, did not consent and sued to enjoin the intercompany sale on the ground that it violated section 316 (b) of the TIA because it impaired the practical ability to recover on the debt (*see id.* at 5). The Second Circuit held that section 316 (b) was not violated because the plaintiff “retain[ed] its legal right to obtain payment by suing [the issuer], among others” (*id.* at 17). Absent changes to “core payments terms,” the Second Circuit explained, the plaintiff could not “invoke [s]ection 316(b) to retain an absolute and unconditional right to payment of its notes” (*id.* [internal quotations marks omitted]).

As an initial matter, the phrase “changes to the . . . core payment terms” in *Marblegate* was used to describe the right to payment of principal and interest protected in section 316 (b) of the TIA; it was not relevant to the right to bring suit (*see id.* at 7, 17; *see also Upic & Co. v Kinder-Care Learning Ctrs., Inc.*, 793 F Supp 448, 454-455 [SD NY 1992]). The plaintiff’s unimpaired right to bring suit—also protected by section 316 (b)—was crucial to *Marblegate*’s holding that there was no violation of section 316 (b) (*see* 846 F3d at 16-17; *see also Cummings*, 2017 WL 3836112, *5, 2017 US Dist LEXIS 217062, *13-14 [noting that, in *Marblegate*, the Second Circuit “concluded that as long as a bondholder retains the legal right to obtain payment by suing . . . , the holder cannot invoke (s)ection 316 (b) to retain an absolute and unconditional right to payment of its notes” (internal quotation marks omitted)]). As the *Marblegate* court noted, with the plaintiff’s right to bring suit unaffected by the out-of-court reorganization, section 316 (b) had not been violated because the plaintiff could pursue claims against the issuer and others (*see* 846 F3d at 16-17).

The plaintiff in *Marblegate* needed to rely on a theory of interference with its “practical ability”—not its legal right—to receive payment (*id.* at 2, 5, 7). After all, the restructuring transaction left the issuer intact, thereby preserving the plaintiff’s legal rights to sue the issuer and to receive payment,

but making any chance of recovery remote.⁸ With that right to bring suit intact, the Second Circuit expressly rejected the notion that section 316 (b) of the TIA protects a noteholder's "practical ability" to recover payment in full and, instead, concluded that the provision was not violated by the transaction at issue (*see id.* at 17). Here, unlike in *Marblegate*, a minority holder of unsecured debt did not merely lose the "practical ability to collect payment" by virtue of a foreclosure accomplished by secured creditors (*id.* at 2). Rather, at the direction of the majority noteholders, the trustee initiated a strict foreclosure that, while leaving the intact issuer with its operating assets, cancelled the notes, terminating the minority noteholders' legal right to receive payment of principal and interest on the notes (*see* proposed brief of law professors as amicus curiae in support of plaintiffs-appellants' mot for lv to appeal at 7).

Defendants also argue that plaintiffs' rights were not violated because the transaction was authorized by section 6.05 of the indenture, which empowers the majority noteholders to "direct the time, method and place of conducting any proceeding for exercising any remedy available to the Trustee," including a strict foreclosure under the UCC. Because section 6.07 applies "[n]otwithstanding any other provision of this Indenture," however, the powers conferred upon the majority noteholders by section 6.05 are subject to the limitations in section 6.07. When a preposition such as "notwithstanding any other provision" is included in a contractual provision, that provision overrides any conflicting provisions in the contract (*see Beardslee v Inflection Energy, LLC*, 25 NY3d 150, 158 [2015]; *accord Cisneros v Alpine Ridge Group*, 508 US 10, 18 [1993] ["the use of . . . a 'notwithstanding' clause clearly signals the drafter's intention that the provision of the 'notwithstanding' section override conflicting provisions of any other section"]). Therefore, the powers granted to the majority noteholders in section 6.05 cannot be used to extinguish the legal right to sue or the legal right to payment of non-consenting noteholders protected in section 6.07.

8. The minority bondholder in *Marblegate* was an unsecured junior creditor whose only guarantee was a "tag along," meaning "the guaranty had been created in connection with the [senior secured] loan and could be terminated at the [senior secured creditor]'s option" (Bratton & Levitin, *The New Bond Workouts*, 166 U Pa L Rev at 1651 [internal quotation marks omitted]; *see Marblegate*, 846 F3d at 3-4). Plaintiffs in this case, by contrast, are senior secured creditors with numerous guarantors securing the obligation.

The dissent agrees, recognizing that section 6.07 of the indenture, “which demand[s] the consent of each noteholder as a predicate to an action of the trustee that would impair or affect” the rights afforded to such noteholder under that section, overrides any conflicting indenture provision (dissenting op at 23). Nevertheless, the dissent argues that the strict foreclosure was authorized by the collateral trust agreement, namely section 3.3, which allows the trustee, at the direction of a group of majority noteholders, to take remedial action in the event of a default (dissenting op at 24). According to the dissent, this “adjustment of the indenture by operation of the collateral trust agreement provided the consent of the minority noteholders required in the indenture” (dissenting op at 25).

The noteholders are not parties to the collateral trust agreement, notwithstanding the dissent’s suggestion to the contrary (*see* dissenting op at 27 [referring to “the consent given by the noteholders through the collateral trust agreement”]). Rather, the noteholders’ consent to the terms of the collateral trust agreement is found in the provisions of the indenture. Section 12.01 (b) of the indenture provides that the noteholders “consent[] and agree[] to the terms of” the collateral trust agreement and “authorize[]” the trustee “to perform its obligations and exercise its rights hereunder and thereunder in accordance herewith and therewith.” Relatedly, section 12.08 of the indenture, titled “Authorization of Actions To Be Taken by the Collateral Trustee Under the Security Documents,” provides that the noteholders “agree[]” that the trustee “may, in its sole discretion and without the consent of the . . . Holders, take all actions it deems necessary or appropriate in order to . . . enforce any of the terms of the . . . Collateral Trust Agreement.” The only authorization—or consent—for the collateral trustee to act on behalf of the noteholders is found in the indenture, and, as with any other indenture provision, the authority granted in article 12 must yield to the “[n]otwithstanding” clause in section 6.07.⁹

Defendants’ reliance on a “collective design” theory, and their use of this Court’s decision in *Beal* in support of this argument,

9. The dissent references section 9.1 (viii) of the security agreement, stating that, “[t]o the extent it is relevant here,” it “endows the trustee with the remedial power to, among other things, exercise in respect of the collateral all rights and remedies of a secured party on a default under the UCC” (dissenting op at 26 n 4). Section 11.1 (a) of the security agreement, however, states that the actions of the trustee “are subject to the provisions of the Indenture.” Accordingly, the power conferred upon the trustee by the security

(n. cont’d)

is likewise unavailing (*see also* dissenting op at 25-26). In *Beal*, because the credit agreement lacked an “explicit provision stating that a Lender may—or may not—take individual action in the event of default,” it was necessary to “look to other specific clauses and the agreements as a whole to ascertain the parties’ intent” (*Beal*, 8 NY3d at 326). We determined that the agreements had “an unequivocal collective design” (*id.*), indicating that “the lenders intended to act collectively” and “to preclude an individual lender from disrupting the scheme of the agreements at issue” (*id.* at 321). Accordingly, this Court concluded that the parties had no intention to create an individual right of action (*see id.* at 328).

In stark contrast to the agreement at issue in *Beal*, the indenture in this case contained a specific provision, section 6.07, that affords each individual noteholder the absolute legal right to bring suit on its own behalf for payment of principal or interest, despite any “no-action clause” to the contrary (*see Cruden v Bank of N.Y.*, 957 F2d 961, 968 [2d Cir 1992]; *see also Marblegate*, 846 F3d at 7). Further, the indenture contained another provision, section 6.06, which explicitly prescribes a noteholder’s right to sue. Sections 6.06 and 6.07, therefore, answer the question that the operative documents in *Beal* did not—an individual noteholder’s legal right to sue for payment of principal and interest may not be impaired or affected without such noteholder’s consent, notwithstanding any other provision in the indenture, including those contained in article 12 related to the collateral trust agreement.

We hold, consistent with the language, structure, and organization of the relevant indenture provisions and the TIA, that, under the circumstances here, the purported cancellation of the notes without the dissenting minority noteholders’ consent violated section 6.07 of the indenture. Because we reject defendants’ only defense on liability—the claim that any legal rights plaintiffs had to payment on the debt had been extinguished by the strict foreclosure, which purportedly cancelled their notes without their consent—plaintiffs were entitled to partial summary judgment. Although plaintiffs argue they are entitled to an award equal to the face value of the notes plus unpaid interest, defendants contend that, even if a breach occurred, a trial is needed on damages, and, therefore, the ap-

agreement is “subject to” the limitations imposed by section 6.07 of the indenture.

propriate course would be to remit to Supreme Court, with the caveat that the claims against one of the guarantors, CUI Holdings—the owner of the collateral subject to the strict foreclosure—should be dismissed. These arguments, among others preserved by the parties, raise questions of law and fact that should be addressed in the first instance by Supreme Court upon remittal (*see generally Sasso v Vachris*, 66 NY2d 28, 37 [1985]).

Accordingly, the order of the Appellate Division should be modified, without costs, by denying defendants' motion for summary judgment, and granting partial summary judgment to plaintiffs, in accordance with this opinion.

FAHEY, J. (dissenting). This decision needlessly disconnects the law of the two courts most relevant to the markets in which these securities are traded. Confusion will surely follow.

The majority opinion begins with what is presented as a relatively benign conclusion: "plaintiffs' right to sue for payment on the notes survived a strict foreclosure, undertaken by the trustee at the direction of a group of majority bondholders over plaintiffs' objection, that purported to cancel the notes" (majority op at 4). Lurking beneath that faulty premise is an alarming notion.

The majority strikes at the consistency between the law of this Court and that of the United States Court of Appeals for the Second Circuit with respect to the rules by which disputes related to an indenture of this nature are to be resolved. This matter is one that should be governed by basic principles of contract interpretation, and here there are two agreements that, when properly read as one, govern that review: the indenture, for which the majority accounts, and the collateral trust agreement, which the majority does not meaningfully consider. Those agreements were executed simultaneously and, when read together, they support the strict foreclosure course chosen by the trustee following the default of defendant Cleveland Unlimited, Inc. (Cleveland Unlimited) with respect to the notes in question.

The majority, however, brushes the collateral trust agreement aside. At the expense of both our rules of contract interpretation and the symmetry of such principles with those of the Second Circuit, the majority elevates the importance of the Trust Indenture Act of 1939 (TIA) (*see* 15 USC § 77aaa) to a place of undue prominence in determining this case.

Certainty of the law is an essential underpinning of financial dealings such as this one. The prudent, commonsense approach here would be to maintain that sureness and to avoid creating space between the rules of this Court and the rules of the Second Circuit governing the interpretation of indenture agreements. We should conclude that our steady rules of contract interpretation applied to the plain language of the contract in question authorize the strict foreclosure here at issue. For those reasons, we respectfully dissent and would affirm the Appellate Division order.

I.

A.

In 2005, Cleveland Unlimited, a wireless communications provider based in Ohio, issued \$150 million in senior security notes guaranteed by 18 entities that are defendants in this matter. The issuance of those notes was accomplished in part through the indenture, which named U.S. Bank National Association (U.S. Bank) as the trustee and addressed the remedies available in the event of a default.

“An indenture is essentially a written agreement that bestows legal title of the securities in a single Trustee to protect the interests of individual investors who may be numerous or unknown to each other” (*Quadrant Structured Prods. Co., Ltd. v Vertin*, 23 NY3d 549, 555 [2014]; see *Cortlandt St. Recovery Corp. v Bonderman*, 31 NY3d 30, 39 [2018]). The indenture “identifies the rights of all parties concerned, as well as the duties of the trustee (a third-party administrator), the obligations of the borrower, and the remedies available to the investors” (*Quadrant Structured Prods. Co.*, 23 NY3d at 555 [internal quotation marks omitted]).

Said more simply, an indenture is a contract, absent which investors in a distressed security covered by such a compact likely would race to protect their individual interests, potentially through majority action to force a sale that might harm minority stakeholders. That is, an indenture is a way of establishing equality and stability among investors. It acts to prevent the chaos that would follow should each investor be free to pursue its own interests with respect to the covered investment.

In this case the indenture is one of two agreements of primary concern. The indenture and the collateral trust agree-

ment were executed contemporaneously. The collateral trust agreement was contemplated in the indenture. It modified the powers granted to U.S. Bank through the indenture so as to allow U.S. Bank to act as directed by the majority of noteholders in realization of the collateral in the event of a default.

B.

In January 2008, Moody's Investors Service downgraded the notes and judged them to be of high credit risk. Still, in April 2010, plaintiffs purchased on the secondary market \$5 million in notes, or approximately 3.33% of the outstanding principal amount of \$150 million.

Shortly before the notes were to mature in December 2010, Cleveland Unlimited recognized that it would not be able to pay the outstanding principal and interest on those instruments. That financial distress prompted negotiations involving Cleveland Unlimited, U.S. Bank, and an ad hoc committee of noteholders that owned over 99% of the outstanding principal value of the notes. Those efforts failed. Cleveland Unlimited subsequently defaulted on its obligations under the notes.

Following that default, a group that owned 96.63% of the outstanding notes (hereafter, the majority noteholders) instructed the trustee to exercise a strict foreclosure¹ on the collateral that had been pledged to secure the notes, which consisted of stock in Cleveland Unlimited. Plaintiffs—the minority noteholders—made no effort to enjoin the proceeding, voiced their opposition to the transaction, and maintained that section 6.07 of the indenture prohibited the foreclosure absent their consent. That stock then was transferred to U.S. Bank and distributed to the minority noteholders, as well as to a holding company (CUI Acquisition Corp.) created for the benefit of the majority noteholders.

That strict foreclosure prompted this action, in which plaintiffs, among other things, contended that section 6.07 of the indenture prevented defendants from denying them pay-

1. "Strict foreclosure" is an industry name for the remedy afforded secured creditors pursuant to UCC 9-620 and 9-622. Through that remedy, the secured creditor accepts the debtor's pledged collateral in satisfaction of the obligation that the collateral was to secure (see Philip J. Hendel, *The Friendly Foreclosure*, 16 Com L Bull 16 [2001]). The "strict foreclosure" remedy is to be distinguished from a bankruptcy proceeding, which generally considers either the adjustment or the liquidation of a debtor's assets in satisfaction of an unsatisfied obligation.

ment under the notes without their consent. The lower courts disagreed, concluding that the indenture and the collateral trust agreement permitted the pursuit of the strict foreclosure here in question (*see CNH Diversified Opportunities Master Account, L.P. v Cleveland Unlimited, Inc.*, 162 AD3d 573, 573 [1st Dept 2018]). We granted plaintiffs leave to appeal (32 NY3d 914 [2019]).

II.

We turn to the question whether the trustee was authorized to proceed with the strict foreclosure and, in doing so, to defeat the ability of the minority noteholders to seek an independent means of recompense with respect to the notes. That analysis, as the majority notes (*see* majority op at 10), should be governed by our basic rules of contract interpretation (*see Cortlandt St. Recovery Corp.*, 31 NY3d at 39; *Quadrant Structured Prods. Co., Ltd.*, 23 NY3d at 559). The analysis also proceeds under the rule that where, as here, multiple agreements are executed at substantially the same time and related to the same subject matter, we will regard those contemporaneous writings as one and read them together (*see Nau v Vulcan Rail & Constr. Co.*, 286 NY 188, 197 [1941] [three instruments “executed at substantially the same time, (and) related to the same subject-matter, . . . must be read together as one . . . since they were to effectuate the same purpose and formed a part of the same transaction”]; *see generally TVT Records v Island Def Jam Music Group*, 412 F3d 82, 89 [2d Cir 2005] [“Under New York law, all writings which form part of a single transaction and are designed to effectuate the same purpose (must) be read together, even (if) they were executed on different dates and were not all between the same parties” (internal quotation marks omitted)]).

A.

Under section 6.03 of the indenture, the indenture trustee—U.S. Bank—was authorized to “pursue any available remedy by proceeding at law or in equity to collect . . . payment” on behalf of the holders in the event of a default. That is, under that part of the indenture, U.S. Bank, as the indenture trustee, was empowered to take any legal action on behalf of the noteholders necessary to make them whole in the event of a default.

Under section 6.05 of the indenture, such action by the trustee was to be prompted by authorization of a majority of

the noteholders. That section, entitled “Control by Majority,” specifically provides that,

“[s]ubject to any applicable law, the [h]olders of a majority in principal amount of the outstanding [n]otes may direct the time, method and place of conducting any proceeding for exercising any remedy available to the [indenture] [t]rustee or the [c]ollateral [t]rustee . . . including, without limitation, any remedies provided for in Section 6.03.”

Under section 6.07 of the indenture, the right of the indenture trustee or the collateral trustee—U.S. Bank has both roles—to enforce a payment obligation on an outstanding note arguably is limited. That part of the indenture provides that,

“[n]otwithstanding any other provision of th[e] [i]ndenture, the right of any [h]older to receive payment of principal of, premium, if any, and interest and [a]dditional [i]nterest, if any, on a [n]ote, on or after the respective due dates expressed in such [n]ote, or to bring suit for the enforcement of any such payment on or after such respective dates, shall not be impaired or affected *without the consent of such [h]older*” (emphasis added).

“‘[U]nder New York law, clauses similar to the phrase “notwithstanding any other provision” trump *conflicting* contract terms’” (*Beardslee v Inflection Energy, LLC*, 25 NY3d 150, 158 [2015], quoting *Bank of N.Y. v First Millennium, Inc.*, 607 F3d 905, 917 [2d Cir 2010]). Consequently, to the extent there is a conflict between the combined force of sections 6.03 and 6.05 of the indenture (which empower the trustees to take any steps authorized by majority noteholders to collect payment on behalf of those holders in the event of a default) and the requirements of section 6.07 of that compact (which demand the consent of each noteholder as a predicate to an action of the trustee that would impair or affect the right of the holder to receive payment of, among other things, principal outstanding on the note), the latter section would control. Absent the consent of the minority noteholders, and standing alone, that latter section would prohibit the trustee from pursuing the strict foreclosure in question here.

B.

The indenture, however, is not a lonely compact and it cannot be read in a vacuum. To do so would be to disregard the

collateral trust agreement, which is connected to the indenture. The strict foreclosure in question was given “the consent of [the] [h]older” by the collateral trust agreement.

As noted, multiple agreements of common execution and subject should be treated as a single writing and read together (*see Nau*, 286 NY at 197; *TVT Records*, 412 F3d at 89). The collateral trust agreement, which was executed contemporaneously with the indenture, names U.S. Bank the collateral trustee and empowers U.S. Bank, acting in that capacity and upon a default, to foreclose upon the direction of the majority shareholders. Section 3.3 of the collateral trust agreement empowers U.S. Bank to act as directed by the majority of noteholders “in the exercise and enforcement of the [c]ollateral [t]rustee’s interests, rights, powers and remedies in respect of the [c]ollateral” following a default. Section 3.5 (a) of the collateral trust agreement adds a grant of absolute authority to the collateral trustee to pursue a foreclosure authorized by the majority noteholders; through that section, individual noteholders forfeited the “right individually to realize upon any of the [c]ollateral” and acknowledged “that all powers, rights and remedies . . . may be exercised solely by the [c]ollateral [t]rustee.”²

The foreclosure provision contained in section 3.3 of the collateral trust agreement satisfies the consent requirement of section 6.07 of the indenture. There is no need for *unanimity* of noteholder opinion; instead, trustee action is based on *majority* noteholder consent. Absent an unanimity requirement, and in view of the forfeiture language of section 3.5 of the collateral trust agreement, there can be no conclusion other than the noteholders recognized that foreclosure could have occurred based on a majority vote of the noteholders.

The foreclosure and forfeiture provisions of the collateral trust agreement provide the consent for foreclosure required by

2. This point is important. The majority acknowledges that the trustee was authorized to pursue the strict foreclosure (*see majority op* at 12) but concomitantly reads the indenture in isolation to conclude that the strict foreclosure did not extinguish the ability of the minority noteholders to seek remuneration relative to the notes through a mechanism other than the strict foreclosure (*see majority op* at 16). The application of that narrow lens to the contractual language that governs our review yields the flaw in the majority’s analysis: it fails to see the import of the collateral trust agreement, which is to be read in conjunction with the indenture and by operation of which minority noteholders forfeited the right to recover on the notes through means of their own choosing.

the indenture when those documents are properly read as one (*see generally Nau*, 286 NY at 197). Section 6.07 of that agreement makes consent a condition to foreclosure, and the seniority language of that section—namely, the “[n]otwithstanding” preposition—applies only to the text of the indenture.³ Left open in the indenture was the possibility that a codicillary agreement—such as the collateral trust agreement—would modify the indenture. That, of course, is precisely what occurred here, and the adjustment of the indenture by operation of the collateral trust agreement provided the consent of the minority noteholders required in the indenture to allow the majority noteholders to authorize the foreclosure in question here.

III.

A.

The majority, of course, reaches a different result, driven by its conclusion that the indenture and the collateral trust agreement are not of collective design and operate independently of one another (*see majority op* at 17-18). We see no reason to base our determination with respect to the propriety of the strict foreclosure upon only the indenture.

Beal Sav. Bank v Sommer (8 NY3d 318 [2007]) is instructive. There, in a dispute with respect to a syndicated loan arrangement, we read multiple documents evidencing the loan in question (*see id.* at 321-322) together, as if they comprised a single,

3. As noted, this part of the indenture provides that, “[n]otwithstanding any other provision of th[e] *[i]*ndenture, the right of any [h]older to receive payment of principal of, premium, if any, and interest and [a]dditional [i]nterest, if any, on a [n]ote, on or after the respective due dates expressed in such [n]ote, or to bring suit for the enforcement of any such payment on or after such respective dates, shall not be impaired or affected without the consent of such [h]older” (emphasis added).

That is, section 6.07 of the indenture is “senior” and controlling, but only with respect to other parts of the *indenture*. Nothing in the indenture prohibits or precludes what happened here, namely, the superseding of part of the indenture by an ancillary compact. If it had been the intent that section 6.07 of the indenture supersede any provision of any codicillary agreement, such as the collateral trust agreement, then the indenture easily could have (and surely would have) stated as much.

unified compact (*see id.* at 326 [noting “that the agreements ha(d) an unequivocal collective design”]).

Here, the indenture repeatedly referred to the collateral trust agreement and placed those agreements under the single, unified umbrella of the “indenture documents.”⁴ Moreover, the collateral trust agreement is referred to in no fewer than eight sections of the indenture—notably, in the part of the indenture considering control by the majority in the event of default (section 6.05 of the indenture). Those entangling references speak to a singular governance structure in which the notes and the obligations flowing therefrom are controlled by, among other things, an indenture and a collateral trust agreement that are to be read in tandem.

B.

Although the indenture is not governed by the TIA, the majority emphasizes that act in support of its conclusion that the indenture documents, when read to isolate section 6.07 of the indenture and to shun section 3.3 of the collateral trust agreement, prohibit the strict foreclosure at issue here (*see* majority op at 10-13). We disagree with that approach.

There can be no dispute that sections 6.05 and 6.07 of the indenture incorporate the language of TIA § 316 (a) and (b) (Act of Aug. 3, 1939 § 316 [a], [b] [76th Cong, 1st Sess, ch 411], 53 US Stat 1173), which are codified, respectively, at 15 USC § 77ppp (a) (1) and (b). Like the indenture, TIA § 316 (a) provides that a majority of holders may “direct the time, method, and place of conducting any proceeding for any remedy available to such trustee, or exercising any trust or power conferred upon such trustee, under [a qualified] indenture” (§ 77ppp [a] [1]; *cf.* indenture § 6.05). Further similar to the indenture, TIA § 316 (b) adds that, “[n]otwithstanding any other provision of the indenture to be qualified, the right of any holder . . . to receive payment of the principal of and interest on [the] indenture security . . . shall not be impaired or af-

4. To the extent it is relevant here, we note that the indenture documents consist of a third compact, characterized as the security agreement. Similar to the collateral trust agreement, the security agreement endows the trustee with the remedial power to, among other things, exercise in respect of the collateral all rights and remedies of a secured party on a default under the UCC. The majority notes that such power is rooted in the indenture (*see* majority op at 17-18 n 9), and in doing so clings to its misguided belief that the indenture is unaffected by the collateral trust agreement.

fectured without the consent of such holder” (§ 77ppp [b]; *see* indenture § 6.07).

The fact remains, however, that TIA § 316 (a) and (b) apply only to “qualified” indentures, that is, indentures that cover securities that have been registered with the Securities and Exchange Commission (*see* 15 USC § 77iii [a]). These notes were not so registered, meaning that the indenture was not qualified, and that the TIA does not have charge of this review.

C.

Section 316 (b) of the TIA was complied with by the consent given by the noteholders through the collateral trust agreement. However, even if the TIA and authorities interpreting that act controlled here, the result would be the same. Made more artfully in the indenture than in the TIA is the point that the right of any holder, including a minority noteholder, shall not be diminished without the consent of that holder (*cf.* indenture § 6.07, *with* 15 USC § 77ppp [b]). As stated, that was given.

The Second Circuit addressed a similar problem in *Marblegate Asset Mgt., LLC v Education Mgt. Fin. Corp.* (846 F3d 1 [2d Cir 2017]). There, the Education Management Corporation (EDMC) had outstanding secured and unsecured debt. The unsecured debt was issued by EDMC’s subsidiaries, known collectively as the EDM Issuer, and governed by an indenture qualified under the TIA. The plaintiffs held unsecured notes with a face value of \$14 million (*see id.* at 3-4).

As EDMC’s financial position deteriorated, all EDMC creditors, except for the plaintiffs, consented to an intercompany sale. Under that sale, consenting secured creditors would foreclose on EDMC’s assets pursuant to UCC article 9⁵ and a 2014 credit agreement. Following a release, the collateral agent would sell the foreclosed assets to a new EDMC subsidiary constituted specifically for the intercompany sale. The new EDMC subsidiary would then distribute debt and equity to consenting creditors and continue the business. Non-consenting unsecured creditors (the plaintiffs) “would not receive anything from the new company: though not a single term of the Indenture was altered and [the unsecured creditors] therefore retained a contractual right to collect payments due under the

5. The strict foreclosure remedy is codified in UCC 9-620 and 9-622, which appear in UCC article 9.

Notes, the foreclosure would transform the EDM Issuer into an empty shell” (*id.* at 4).

Important for these purposes is the point that when the plaintiffs sued to enjoin the intercompany sale on the ground that it violated TIA § 316 (b) (codified, as noted, in 15 USC § 77ppp [b]), a divided Second Circuit refused to prohibit the sale because “[t]he transaction did not amend any terms of [that] Indenture” (*Marblegate*, 846 F3d at 17). That is, where the sale in question was consistent with, and authorized by the indenture there in question, that transfer could not have been nullified for failure to comply with the consent requirement of TIA § 316 (b). “Absent changes to the Indenture’s core payment terms, . . . [the minority noteholder could not] invoke Section 316(b) to retain an ‘absolute and unconditional’ right to payment of its notes” (*Marblegate*, 846 F3d at 17).⁶

Marblegate prohibited only “formal indenture amendments to core payment rights” (846 F3d at 16). The noteholders have a right to bring an action unless they consent to a change in that right. The result here is consistent with *Marblegate* (846 F3d 1). Similar to that case, the disaffected noteholders in this matter consented to the procedure now in question (here, the strict foreclosure) through the unmodified indenture documents, which, with minority consent, confer upon the trustee the power to pursue the strict foreclosure with the authorization of the majority noteholders.⁷

IV.

The conclusion that the indenture and the collateral trust agreement support the strict foreclosure course chosen by the

6. As noted (*see supra* at 26-27), TIA § 316 (b) provides that, “[n]otwithstanding any other provision of the indenture to be qualified, the right of any holder . . . to receive payment of the principal of and interest on [the] indenture security . . . shall not be impaired or affected without the consent of such holder” (15 USC § 77ppp [b]).

7. Some historical perspective is important in understanding the role of the TIA and the protections offered dissenting bondholders. Any review makes clear that pre-TIA or post-TIA/pre-*Marblegate* dissenting bondholders were not entitled to a 100% payout, based on the controlling indenture, during reorganization.

The recoveries sought were not based on breach of contract, but on fraudulent conveyance and the facts of the case. The TIA did not derive from any desire to suggest that a foreclosure-based reorganization meant that a bondholder’s right to receive payment was automatically violated.

The argument supporting this reading of the history is thoughtfully set out in *Debt Restructurings and the Trust Indenture Act* by Harald Halbhuber (25 Am Bankr Inst L Rev 1 [2017]).

trustee necessarily is accompanied by these additional comments.

The root problem in this case concerns not the TIA, but the question of the “cash out” on the notes. Read together, the indenture and the collateral trust agreement require a collective approach of the noteholders to restructuring upon default. That collective approach is driven by the majority of the noteholders, who, upon default, exchanged their notes for the collateral securing those instruments. That collateral was stock in Cleveland Unlimited.

The indenture documents ensure that, in the event of a default, the “tail” that is the minority noteholders does not wag the “dog” that is the entire body of noteholders. There is no indication that the minority noteholders were anything other than open-eyed investors who voluntarily stepped into an arrangement in which their ability to control remuneration in the event of a default was sacrificed in the hopes of achieving financial reward.

Indeed, the reality is that this case requires determination of no more than contractual language that governs the relationship of majority and minority noteholders. The indenture documents authorize the foreclosure course taken by the trustee upon Cleveland Unlimited’s default, and the conclusion to the contrary oddly implements the TIA in what should be this straightforward contractual analysis.

In fact, even the majority’s implementation of the TIA is flawed. In short, the majority is incorrect to conclude that the TIA frowns on a direction to the trustee by 97% of the holders to effectuate a strict foreclosure. The SEC’s concern was, for qualified indentures, to make sure that the threshold for the percentage of bondholders necessary to direct the action of the trustee not be set *too high*:

“Under the Barkley bill, the trustee must exercise due care after default, whether the bondholders demand action or not. But suppose a certain percentage of the bondholders want to compel the trustee to follow some specific course of action. Anticipating just a little bit, let me say that the Commission would have the discretion and power, as I see it, to insist that the percentage required for that not be too high. That is, it would have the power to say, ‘No.’ Let us take a clear-cut case: An

indenture provides that the trustee is not under responsibility to take the action specified unless 100 percent of the bondholders should make a request of it. I cannot imagine the Commission allowing a thing like that to go through” (Regulation of Sale of Securities: Hearing Before Subcomm of Comm on Banking and Currency of US Senate on S 2344, 75th Cong, 1st Sess at 48 [June 9, 1937] [statement of William O. Douglas, Commissioner, Securities and Exchange Commission]).

As to qualified indentures, the TIA’s principal innovation was not section 316 (b), but rather the transformation of dutyless, immunized trustees to true fiduciaries, liable to aggrieved bondholders for breaches of that duty. As Commissioner Douglas explained:

“[I]n case of default under these corporate trust indentures, the trustee must move. He is in the danger zone there, and immediate action has to be taken. Investments are at stake which are about to be lost; the senior interests are about to wipe out the interests of the junior interests. There is about to be a reorganization, and the securityholders need an active agent in there. The main impact of the bill . . .—not the exclusive, but the main impact—is upon the trustee, after default. The bill makes it exercise such rights and powers invested in it, and to use a degree of skill comparable with that which a prudent man would exercise under the circumstances, if he were a fiduciary and had the skill which the trustee has or which the indenture trustee represents itself as having, as indenture trustee, at the time of the offering of the indenture securities, whichever is the higher” (Regulation of Sale of Securities: Hearing Before Subcomm of Comm on Banking and Currency of US Senate on S 2344, 75th Cong, 1st Sess at 66-67 [June 9, 1937] [statement of William O. Douglas, Commissioner, Securities and Exchange Commission]).

Contrary to the majority’s conclusion, even as to qualified indentures, section 316 (b) of the TIA could not plausibly be read to disable a trustee, post-default, from taking action that might in some sense “impair” the rights of bondholders to

obtain a full recovery on their notes. (At the point of default, the issuer has stated its inability to provide full payment.) For an undisclosed reason, plaintiffs here chose not to sue the trustee for breach of its duties. Under the agreements here, properly read together, the trustee had the power to effectuate the strict foreclosure. If that foreclosure was in breach of plaintiffs' rights, then they have a remedy.

At bottom, the majority's approach—in which it effectively ignores the collateral trust agreement, mistakenly applies the TIA to what should be a pure, direct contractual analysis, and then is mistaken in its application of the TIA within that review—needlessly injects uncertainty into a multi-trillion-dollar corporate debt market (*see* Securities Industry and Financial Markets Association, *Capital Markets Fact Book, 2019*, available at <https://sifma.org/recourse/research/fact-book/> [last accessed Sept. 29, 2020]). It ultimately strikes a chord of disharmony in undermining what should be the prevailing rule in both this Court and the Second Circuit that agreements of collective design should be read as one. It also compels this dissent.

For all of the foregoing reasons, we would affirm the Appellate Division order.

Chief Judge DiFiore and Judges Stein and Feinman concur; Judge Fahey dissents and votes to affirm in an opinion in which Judges Rivera and Wilson concur.

Order modified, without costs, by denying defendants' motion for summary judgment and granting partial summary judgment to plaintiffs in accordance with the opinion herein and, as so modified, affirmed.

[160 NE3d 1266, 136 NYS3d 819]

THE PEOPLE OF THE STATE OF NEW YORK *ex rel.* RAYMOND NEGRON, Respondent, *v* SUPERINTENDENT, WOODBOURNE CORRECTIONAL FACILITY, Appellant.

Argued October 13, 2020; decided November 23, 2020

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered February 21, 2019. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Sullivan County (Stephan Schick, J.), which had denied petitioner's petition for a writ of habeas corpus and dismissed the proceeding; (2) converted the proceeding originally commenced as a habeas corpus proceeding into a CPLR article 78 proceeding; and (3) granted the petition to the extent of annulling that part of the determination of the New York State Board of Parole as found that petitioner was subject to the school grounds restriction set forth in Executive Law § 259-c (14).

People ex rel. Negron v Superintendent, Woodbourne Corr. Facility, 170 AD3d 12, affirmed.

HEADNOTE

Crimes — Sex Offenders — Sexual Assault Reform Act — Applicability of School Grounds Restriction

The provision of the Sexual Assault Reform Act mandating that the Board of Parole impose a condition restricting entry upon school grounds on certain offenders (*see* Executive Law § 259-c [14]) was mandatory only for those level three sex offenders serving a sentence for an offense enumerated in the statute. Petitioner, who had previously been designated a level three sex offender, but had not been serving a sentence for an enumerated offense under the statute at the time he was granted parole, was not subject to the mandatory condition. The phrase “such person” in Executive Law § 259-c (14), which provides “where a person serving a sentence for an [enumerated offense] and the victim of such offense was under the age of eighteen at the time of such offense or such person has been designated a level three sex offender,” refers to the particularized antecedent “a person serving a sentence for an [enumerated offense].” The natural reading of the text is consistent with the purpose of the statute, namely, to identify those offenders who pose the highest risk to children among the population of offenders being released from sentences resulting from sex crime convictions. The legislature's addition of the language “such person has been designated a level three sex offender” to the statute in 2005 expanded the group subject to the school grounds condition to include all level three sex offenders serving a sentence for one of the enumerated crimes because the legislature determined that these offenders, like those who committed an enumerated offense against a

minor, present a higher risk upon first being released into the community. The amendment is properly read as making level three sex offender status, like an underage victim, an aggravating factor warranting mandatory imposition of the school grounds condition only where someone is released on parole from a sentence for one of the enumerated offenses.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Pardon and Parole §§ 94, 95.

McKINNEY'S, Executive Law § 259-c.

NY JUR 2d Penal and Correctional Institutions §§ 351, 353.

ANNOTATION REFERENCE

See ALR Index under Sexual Relations and Offenses.

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Query: sex /2 offender /s "such person" /p school

POINTS OF COUNSEL

Letitia James, Attorney General, Albany (Brian D. Ginsberg, Barbara D. Underwood and Andrea Oser of counsel), for appellant. The Board of Parole properly read Executive Law § 259-c (14) to require for all level three sex offenders on community supervision the condition that they not knowingly enter school grounds. (Consedine v Portville Cent. School Dist., 12 NY3d 286; Riley v County of Broome, 95 NY2d 455; United States v Krstic, 558 F3d 1010; Matter of Gonzalez v Annucci, 32 NY3d 461; People ex rel. Johnson v Superintendent, Adirondack Corr. Facility, 174 AD3d 992; Expressions Hair Design v Schneiderman, 32 NY3d 382; Gridley v Gridley, 24 NY 130; East Midtown Plaza Hous. Co., Inc. v Cuomo, 20 NY3d 161; Carlson v American Intl. Group, Inc., 30 NY3d 288; People v Lexington Sixty-First Assoc., 38 NY2d 588.)

Janet Sabel, The Legal Aid Society, Criminal Appeals Bureau, New York City (Elon Harpaz of counsel), for respondent. Respondent New York State Department of Corrections is wrongly applying Executive Law § 259-c (14) to level three sex offenders like petitioner, who have completed serving their sentence for an enumerated offense and are currently on parole for a non-sex crime. (People v Francis, 30 NY3d 737; Sega v State of

New York, 60 NY2d 183; *People ex rel. Garcia v Annucci*, 167 AD3d 199; *People ex rel. Durham v Annucci*, 170 AD3d 1634; *People v Olah*, 300 NY 96; *Dougherty v Equitable Life Assur. Socy.*, 266 NY 71; *Wellbilt Equip. Corp. v Fireman*, 275 AD2d 162; *United States v Krstic*, 558 F3d 1010; *Federal Trade Commn. v Bowman*, 248 F2d 456; *Federal Trade Commn. v Tuttle*, 244 F2d 605.)

OPINION OF THE COURT

GARCIA, J.

This appeal concerns the scope of a provision of the Sexual Assault Reform Act (SARA) which mandates that the Board of Parole (the Board) impose a condition restricting entry upon school grounds on certain offenders (*see* Executive Law § 259-c [14]). The issue is whether that condition is mandatory for any parolee who has been designated a level three sex offender under the Sex Offender Registration Act (SORA) or only for those level three offenders who are serving a sentence for an offense enumerated in the statute. We hold that the condition is mandatory only for those level three sex offenders serving a sentence for an enumerated offense and therefore affirm.

Petitioner was convicted of first-degree sexual abuse in 1994 and, as a result, was designated a level three sex offender, the highest risk classification under SORA (*see* Correction Law § 168-l [6] [c]). Level three sex offenders must register once a year for life and verify their residence with local law enforcement every 90 days (*see* Correction Law § 168-h [2]-[3]; *see generally* *People v Cook*, 29 NY3d 121, 125-126 [2017]). A level three sex offender is permitted to petition annually to modify the designation (Correction Law § 168-o).

Petitioner remained a level three sex offender when he was convicted of attempted second-degree burglary in 2005 and sentenced to a prison term of 12 years to life. In 2016, the Board granted petitioner parole and prescribed as a mandatory condition that he not knowingly enter school grounds. The authority for the mandatory school grounds condition is found in Executive Law § 259-c (14), which provides that

“notwithstanding any other provision of law to the contrary, where a person serving a sentence for an [enumerated offense] and the victim of such offense was under the age of eighteen at the time of such offense or such person has been designated a level

three sex offender . . . is released on parole or conditionally released pursuant to subdivision one or two of this section, the board shall require, as a mandatory condition of such release, that such sentenced offender shall refrain from knowingly entering into or upon any school grounds” (emphasis added).

Although petitioner’s conviction did not qualify as an enumerated offense under the statute, the Board determined that, because of his level three sex offender designation, he was nevertheless subject to the mandatory condition.¹

The practical effect of the school grounds condition is to prevent the parolee from residing within 1,000 feet of a school (see *People v Diack*, 24 NY3d 674, 682 [2015]; Penal Law § 220.00 [14] [b]). At the time he was set to be released on parole, petitioner was unable to secure housing compliant with this restriction. As a result, he was transferred to Woodbourne Correctional Facility for placement in a residential treatment facility.²

Petitioner commenced this habeas corpus proceeding against the Superintendent of the Woodbourne Correctional Facility, arguing that the mandatory school grounds condition did not apply to him, and his detention was therefore unlawful, because at the time of his scheduled release to community supervision he was not serving a sentence for one of the offenses enumerated in Executive Law § 259-c (14). Supreme Court denied the petition without a hearing.

On appeal, the Appellate Division unanimously reversed (170 AD3d 12 [3d Dept 2019]).³ That Court determined that the term “such person” in Executive Law § 259-c (14) plainly and unequivocally refers to a person serving a sentence for an offense enumerated in the statute (170 AD3d at 16). Accordingly, the Court held that

“the school-grounds restriction provided in Execu-

1. The enumerated crimes are primarily sex offenses under SORA with the exception of certain kidnapping offenses found in Penal Law article 135.

2. See *Matter of Gonzalez v Annucci*, 32 NY3d 461, 466-467 (2018); *People ex rel. Johnson v Superintendent, Adirondack Corr. Facility*, 36 NY3d 187 (2020) (decided today).

3. Because petitioner had been released on parole and was then residing in SARA-compliant housing, the Court converted petitioner’s habeas corpus proceeding to a CPLR article 78 proceeding (*Negron*, 170 AD3d 12, 14 [3d Dept 2019]).

tive Law § 259-c (14) applies either to (1) an offender serving a sentence for one of the enumerated offenses whose victim was under 18 years old, or (2) an offender serving a sentence for one of the enumerated offenses who was designated a risk level three sex offender” (*id.*).

Petitioner was not serving a sentence for an enumerated offense, and therefore the Appellate Division granted the petition to the extent of annulling that part of the Board’s determination that found petitioner subject to the mandatory school grounds restriction. The Appellate Division granted respondent leave to appeal (2019 NY Slip Op 70124[U] [2019]).

As the Third Department noted, in an earlier case raising the same issue, the Fourth Department reached a different conclusion as to the scope of Executive Law § 259-c (14). The Fourth Department held that the SARA-residency requirement applies in two separate circumstances: (1) where the offender about to be released is serving a sentence for an enumerated offense and the victim of the sex offense was under the age of 18; or (2) where the offender has been adjudicated a risk level three sex offender regardless of the underlying conviction (*see People ex rel. Garcia v Annucci*, 167 AD3d 199, 204 [4th Dept 2018]; *see also People ex rel. Rosario v Superintendent, Fishkill Corr. Facility*, 180 AD3d 920 [2d Dept 2020]).

“It is fundamental that a court, in interpreting a statute, should attempt to effectuate the intent of the Legislature” (*Patrolmen’s Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205, 208 [1976]). Generally, courts “look first to the statutory text, which is the clearest indicator of legislative intent” (*Matter of New York County Lawyers’ Assn. v Bloomberg*, 19 NY3d 712, 721 [2012] [internal quotation marks omitted]). “[W]here the language of a statute is clear and unambiguous, courts must give effect to its plain meaning” (*State of New York v Patricia II.*, 6 NY3d 160, 162 [2006] [internal quotation marks omitted]; *see Matter of Anonymous v Molik*, 32 NY3d 30, 37 [2018]). The plain reading of the text, and the manner in which it was amended, support the conclusion that the offender must be serving a sentence for an enumerated offense for SARA’s mandatory condition to apply.⁴

The crux of the dispute over the language of Executive Law § 259-c (14) is the meaning of the phrase “such person” in the

4. To the extent respondent’s interpretation finds any support in our characterization of a parallel SARA provision in *Matter of Gonzalez v An-*

(n. cont’d)

clause “such person has been designated a level three sex offender.” As a rule, “‘such’ applies to the last antecedent, unless the sense of the passage requires a different construction” (*Sims Lessee v Irvine*, 3 Dallas [3 US] 425, 444 n* [1799]; see *Colon v Martin*, 35 NY3d 75, 78-79 [2020] [“the word ‘such,’ when used in a statute, must . . . refer to some antecedent, and will generally be construed to refer to the last antecedent in the context”]; Antonin Scalia and Bryan A. Garner, *Reading Law: The Interpretation of Legal Texts*, § 18 at 146 [2012]). The parties agree that the relevant antecedent begins “a person”—the dispute is over whether the reference is to the general antecedent, “a person serving a sentence,” or the particularized antecedent, “a person serving a sentence for an [enumerated offense]” (Executive Law § 259-c [14]; see generally *University Med. Ctr. of S. Nev. v Thompson*, 380 F3d 1197, 1199-1200 [9th Cir 2004]). As the Ninth Circuit Court of Appeals noted in a case involving a similar issue of statutory construction, “[n]o bright-line rule governs this area of the English language. ‘Such’ can refer exclusively to preceding nouns and adjectives. It can also refer to surrounding verbs, adverbial phrases, or other clauses. Context is typically determinative” (*United States v Krstic*, 558 F3d 1010, 1013 [9th Cir 2009]).

Reading the disputed language in context, it is clear that “such person” refers to the particularized antecedent (see *Littlefield v Mashpee Wampanoag Indian Tribe*, 951 F3d 30, 37 [1st Cir 2020] [“Normal usage in the English language would read the word ‘such’ as referring to the entire antecedent phrase”]). The provision begins (naturally enough for one that defines the Board’s authority to determine “which inmates serving a [] . . . sentence of imprisonment may be released on parole” [Executive Law § 259-c]) by identifying a group of offenders by the type of sentence being served (*id.* § 259-c [14]). That group is further defined by additionally requiring that the victim of the crime was a minor or that the person who committed it had been designated a level three sex offender (see *id.*).⁵ If the offender falls within the defined group, the Board must impose

nucci (32 NY3d at 473 n 5), we note that the issue was not before us on that appeal and, in any event, we are not bound by that dicta.

5. The parallel provision in Penal Law § 65.10 (4-a), which applies to those being released on probation or conditional discharge, has commas setting off the clause “or section 255.25, 255.26 or 255.27 of this chapter” so that a comma appears before the next clause “and the victim of such offense was under the age of eighteen at the time of such offense or such person has been designated a level three sex offender” (see also Executive Law § 259-c [15]

(n. cont’d)

as a mandatory condition of parole “that *such sentenced offender* shall refrain from knowingly entering into or upon any school grounds” (*id.* [emphasis added]). The reference to “such sentenced offender” reinforces the conclusion that the provision applies only to those serving a sentence for an enumerated offense. The natural reading of the text is consistent with the purpose of the statute, namely, to identify those offenders who pose the highest risk to children among the population of offenders being released from sentences resulting from sex crime convictions (*see* L 2000, ch 1 [protection afforded is to prohibit offenders from “entering upon school grounds or other facilities where children are cared for”]).

The history of the statute’s amendment further supports this interpretation. The mandatory school grounds condition of Executive Law § 259-c (14), when originally enacted as part of SARA in 2000, applied only to those offenders serving a sentence for an enumerated offense committed against a minor. This would include some, but certainly not all, level three sex offenders. In 2005, the legislature expanded the population subject to the mandatory school grounds condition by adding the language “such person has been designated a level three sex offender.” The logical conclusion is that the group subject to the condition was expanded to include all level three offenders serving a sentence for one of the enumerated crimes because the legislature determined that these offenders, like those who committed an enumerated offense against a minor, present a higher risk upon first being released into the community. However, it does not necessarily follow that the legislature determined that all level three sex offenders must be subjected to the school grounds condition.

Respondent argues that the legislature intended all level three offenders to qualify for the mandatory school grounds condition because a level three designation requires a finding that “the risk of repeat offense is high and there exists a threat to the public safety” (Correction Law § 168-l [6] [c]). Moreover, the “designation does not go stale” or “expire by its own terms” (appellant’s brief at 24, citing Correction Law § 168-h [2]), and therefore, a level three designation reflects current information that the offender runs a high risk of recidivism. This is not a

[similar punctuation in a statute requiring the Board to impose a condition restricting Internet access on certain sex offenders]). That punctuation offers additional support for petitioner’s reading (*see A.J. Temple Marble & Tile v Union Carbide Marble Care*, 87 NY2d 574, 581 [1996]).

basis for expanding the scope of the statute beyond the text enacted by the legislature, particularly where—as here—the restriction undisputedly applies only to offenders who are on parole, not to all level three offenders living in the community.⁶ Further, as respondent acknowledges, the fact that the condition is not mandatory for all level three offenders still leaves the Board with discretion to impose the requirement.⁷

In sum, the 2005 amendment is properly read as making level three sex offender status, like an underage victim, an aggravating factor warranting mandatory imposition of the school grounds condition only where someone is released on parole from a sentence for one of the enumerated offenses.

The legislative history does not compel a different conclusion. According to the Sponsor’s Memorandum, SARA was intended “[t]o prohibit sex offenders placed on conditional release or parole from entering upon school grounds or other facilities where the individual has been designated as a level three sex offender” (Sponsor’s Mem, Bill Jacket, L 2005, ch 544 at 4). The memorandum also notes that the bill would amend SARA “to require that, as a condition of parole or conditional release, . . . individuals designated as level three sex offenders refrain from entering upon school grounds or other facilities where children are cared for” (*id.*). The general references to a level three sex offender designation, without qualification, may appear to favor respondent’s interpretation, but can also be read as assuming conviction for one of the enumerated offenses. It is far more consistent with the legislative intent to read the language as a shorthand reference to an aggravating factor than to read it as expanding the statute to cover any level three sex offender regardless of the underlying conviction, particularly as any reference to such a significant expansion to the scope of the mandatory condition is conspicuously absent

6. SORA requires all level three sex offenders, like petitioner, to verify their residence with local law enforcement every 90 days (*see* Correction Law § 168-h [3]).

7. Restricting the scope of the law to the highest risk offenders within a high-risk population is also consistent with the legislature’s awareness of “the challenges sex offenders faced upon leaving prison in light of the shortage of affordable housing” (*People v Diack*, 24 NY3d at 683 [discussing chapter 568 enacted in 2008]). Those challenges are exacerbated by restricting sex offenders who are on probation or parole from living within 1,000 feet of school grounds (*see* Governor’s Approval Mem, Bill Jacket, L 2008, ch 568 at 6, 2008 Legis Ann at 388; *see also* *People ex rel. McCurdy v Warden, Westchester County Corr. Facility*, 36 NY3d 251 [2020] [decided today]).

from the legislative history. Respondent's reliance on various letters commenting on the bill is even less persuasive. There is simply no indication in the legislative history that the legislature intended anything beyond the meaning obtained by examining the statute's plain language, namely, that the offender must be serving a sentence for an enumerated offense and be a level three sex offender in order for the mandatory condition to apply. Accordingly, the order of the Appellate Division should be affirmed, without costs.

FAHEY, J. (dissenting). The 2005 amendment to Executive Law § 259-c (14) is not a model of clarity. Inasmuch as the language of the amended statute is reasonably susceptible to more than one interpretation, and the legislative history clearly supports the interpretation urged by respondent, I would conclude that all level three sex offenders regardless of the offense for which they are serving a sentence are subject to the mandatory school-grounds restriction. I therefore respectfully dissent.

The Fourth Department has held that Executive Law § 259-c (14) is ambiguous with respect to whether it applies to all level three sex offenders released to community supervision or only to those serving a sentence for an enumerated offense (*see People ex rel. Garcia v Annucci*, 167 AD3d 199, 203 [4th Dept 2018], *lv dismissed* 32 NY3d 1192 [2019]). The Second Department has also concluded that the statute is “amenable to competing interpretations” (*People ex rel. Rosario v Superintendent, Fishkill Corr. Facility*, 180 AD3d 920, 922 [2d Dept 2020]). I agree with the majority that there is no “bright-line rule” governing the interpretation of the word “such” (*see* majority op at 37; *United States v Krstic*, 558 F3d 1010, 1013 [9th Cir 2009], *cert denied* 558 US 917 [2009]; *see also Hogar Agua y Vida en el Desierto, Inc. v Suarez-Medina*, 36 F3d 177, 185-186 [1st Cir 1994]). I agree with the Second and Fourth Departments, however, that there is more than one rational way to interpret the statutory phrase “such person” in this context. The post-amendment structure of the provision, which sets forth three criteria for application of the school-grounds restriction without punctuation indicating their relationship to each other, invites confusion. Due to that ambiguity, and given that our role in a case of statutory interpretation is always to discern the intent of the legislature, I am compelled to turn to the legislative history (*see generally Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270, 286 [2009]).

On that issue, I again agree with the Second and Fourth Departments that the legislative history “strongly supports respondents’ interpretation of the statute” (*Garcia*, 167 AD3d at 203; *see Rosario*, 180 AD3d at 922). Executive Law § 259-c (14), enacted as a part of the Sexual Assault Reform Act (SARA) of 2000, originally applied its mandatory school-grounds restriction only to those offenders serving a sentence for an enumerated offense against a minor (*see* L 2000, ch 1, § 8). The legislature amended that subdivision in 2005 by adding the language “or such person has been designated a level three sex offender pursuant to subdivision six of section 168-1 of the correction law,” thereby expanding the class of persons to whom the mandatory school-grounds provision applies (L 2005, ch 544, § 2).

As reflected in the Assembly Memorandum in Support, the legislature’s stated purpose in passing the 2005 amendment was to “prohibit sex offenders placed on conditional release or parole from entering upon school grounds or other facilities where the individual has been designated as a level three sex offender” (NY Assembly Mem in Support, Bill Jacket, L 2005, ch 544 at 4). In line with this purpose, the memorandum indicated that the amendment would require, “as a condition of parole or conditional release, that individuals designated as level three sex offenders refrain from entering upon school grounds,” referring to level three sex offenders generally and without qualifiers (*id.*). The justification for the bill was stated as “a need to prohibit those sex offenders who are determined to pose the most risk to children from entering upon school grounds or other areas where children are cared for” (*id.*).

Although I agree with my colleagues in the majority that the letters from other agencies commenting on the bill do not establish the legislature’s intent (*see* majority op at 40), it is notable that, consistent with the legislative statements, stakeholders contemporaneously believed that the 2005 amendment extended the mandatory school-grounds restriction to all level three sex offenders. The New York Civil Liberties Union, which opposed the bill, protested that it would extend the SARA school-grounds restriction to “all persons designated ‘Level Three’ sex offenders” (Letter from NYCLU, Aug. 18, 2005, Bill Jacket, L 2005, ch 544 at 18), reflecting its view that the statute was not limited to those level three sex offenders sentenced for an enumerated offense. A letter from the State Education Department stated that the bill would “require, as a condition

of parole or conditional release, that *any* individual designated as a level three sex offender is prohibited from entering school grounds or any other facility or institution primarily used for the care or treatment of children” (Letter from St Educ Dept, July 8, 2005, Bill Jacket, L 2005, ch 544 at 6 [emphasis added]). The Unified Court System shared this view, stating in a letter that the office had no objection to the bill that would “bar level three sex offenders who have been placed on conditional release or parole from entering upon school grounds or other facilities where children are cared for” (Letter from Unified Ct Sys, July 6, 2005, Bill Jacket, L 2005, ch 544 at 10). These letters demonstrate a commonly held view of the scope of the amendment at the time of its enactment that is consistent with the legislative intent reflected in the Assembly Memorandum.

In summary, this legislative history supports the conclusion that both the legislature and the commentators understood that the amendment would expand the SARA school-grounds restriction to all level three sex offenders. There is no indication in that history that the legislature intended the 2005 amendment to apply to only those level three sex offenders serving a sentence for an enumerated offense.

Moreover, the level three designation is reserved for those sex offenders that pose the highest risk of re-offense. Level three sex offenders are categorized as such if their “risk of repeat offense is high and there exists a threat to the public safety” (Correction Law § 168-l [6] [c]). Level three sex offenders retain that designation for life, unless they successfully petition for a downward modification (*see* Correction Law §§ 168-h [2]; 168-o [2]). Level three sex offenders therefore are classified as having a high risk of re-offense and posing a threat to public safety for life, even if they later commit crimes that are not sex offenses. The legislature rationally determined that all level three sex offenders released to community supervision, even those not serving a sentence for an enumerated offense, should be subject to the mandatory school-grounds restriction, as opposed to singling out only a subset of level three offenders serving a sentence for an enumerated offense.

Ultimately, I agree with the Second Department that this debate over the legislature’s intent is largely the result of the statute’s “inartful wording” (*Rosario*, 180 AD3d at 922). I cannot agree that the only rational interpretation of the statute is the majority’s interpretation. The ambiguity in the statutory language is resolved by examining the legislative history, which

clearly supports respondent's interpretation. I respectfully dissent.

Judges RIVERA, STEIN, WILSON and FEINMAN concur; Judge FAHEY dissents in an opinion in which Chief Judge DiFIORE concurs.

Order affirmed, without costs.

[161 NE3d 460, 137 NYS3d 272]

In the Matter of MARIAN T., Appellant. LAUREN R. et al.,
Respondents.

Argued October 14, 2020; decided November 23, 2020

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 21, 2018. The Appellate Division affirmed an order of the Surrogate's Court of Otsego County (Brian D. Burns, S.), entered in a proceeding pursuant to Domestic Relations Law article 7, which granted petitioners' application for the adoption of Marian T.

Matter of Marian T. (Lauren R.), 166 AD3d 1370, affirmed.

HEADNOTES

Adoption — Adoption of Adult — Discretion of Court to Dispense with Consent Requirement

1. Domestic Relations Law § 111 (1) (a) authorizes a court to exercise its discretion in appropriate circumstances to dispense with the consent of an adoptee who is over the age of 18. The language of section 111 (1) (a) provides that, for an adoption to proceed, consent is required “[o]f the adoptive child, if over fourteen years of age, unless the judge or surrogate in his discretion dispenses with such consent.” An “adoptive child” is a term of art defined as “a person adopted” (Domestic Relations Law § 109 [1]), which contains no age restriction and thereby encompasses both minors and adults. Although in other contexts the term “child” may refer to an individual under the age of majority, it is evident that in section 111 (1) (a) it refers not to the age of the adoptee but the nature of the filial relationship between the parties to the adoption. That the adoptee is an adult does not significantly alter or “dilute” the legislative purpose underlying the statutes or the standards that must be met to grant an adoption. Thus, it is clear from the text that the statute requires the consent of any adoptee over the age of 14 but gives courts the discretion to dispense with that consent in appropriate circumstances. While statements in the legislative history in support of the amendment adding the discretion language noted that it would permit courts to grant adoption petitions without consent when appropriate to avoid psychological harm to a child who was unaware of the adoption proceedings, the statutory language does not restrict the scope of the court's discretion or reflect an intent to limit the exercise of such discretion to that particular circumstance. Moreover, such an interpretation would categorically preclude the adoption of adults who lack the capacity to consent, without any basis to conclude that the legislature intended to deny any group the emotional, legal and stability benefits of adoption.

Adoption — Adoption of Adult — Adoptee Lacking Capacity to Consent — Best Interests

2. The Appellate Division properly affirmed an order approving a petition for the adoption of a 66-year-old woman who had resided with petitioners,

operators of a licensed family care home, for approximately 15 years and who, due to her profound intellectual disability that resulted in significant developmental delays and limited verbal ability, lacked capacity to consent to the adoption. For an adult adoption to proceed, the adoptee must consent, the adoption must be in the best interests of the adoptee, and the relevant familial, social, religious, emotional, and financial circumstances of the adoptive parents must be investigated. However, Domestic Relations Law § 111 (1) (a), which requires consent of any adoptee over the age of 14, authorizes a court to exercise its discretion in appropriate circumstances to dispense with the consent of an adoptee who is over the age of 18. Here, the Appellate Division did not abuse its discretion in determining it was appropriate to dispense with the adoptee's consent where the adoptee was given notice of the petition, and significant efforts, including psychological evaluations, an in camera interview, and appointment of a guardian ad litem, were employed to explore the adoptee's capacity, feelings and desires and ensure that her rights and interests were protected. The record also supported the affirmed finding that the adoption was in the adoptee's best interests, with evidence of petitioners' strong filial affection for the adoptee and her love for them, and that she was safe, cared-for and thrived in petitioner's home setting. Further evidence established that the adoption would leave the adoptee in a comparable financial position as before, without significantly altering her eligibility for critical services.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Adoption §§ 27, 92.

CARMODY-WAIT 2d Adoption Proceedings §§ 111:41, 111:99.

McKINNEY'S, Domestic Relations Law §§ 109 (1); 111 (1) (a).

NEW YORK FAMILY COURT PRACTICE 2d §§ 5:5, 5:8.

NY JUR 2d Domestic Relations §§ 606, 622, 623, 634.

ANNOTATION REFERENCE

Adoption of adult. 21 ALR3d 1012.

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POINTS OF COUNSEL

Sheila E. Shea, Mental Hygiene Legal Service, Albany (Cailin Connors Brennan of counsel), for appellant. I. The Appellate Division's construction of Domestic Relations Law § 111 as permitting courts to dispense with an adult adoptee's consent to adoption is incorrect. (*Matter of Robert Paul P.*, 63 NY2d 233; *Matter of Mazzeo*, 95 AD2d 91; *Matter of Adult Anony-*

mous II, 88 AD2d 30; *Stevens v Halstead*, 181 App Div 198; *Matter of Kingsbury*, 230 NY 580; *Matter of Nicol*, 3 Misc 2d 898; *Matter of Anonymous*, 106 Misc 2d 792; 333 E. 53rd St. Assoc. v *Mann*, 121 AD2d 289; *Matter of Elizabeth P.S.*, 134 Misc 2d 144.) II. Respondent's best interests are not served through adoption. (*Matter of Robert Paul P.*, 63 NY2d 233; *Matter of Haylee RR.*, 47 AD3d 1093; *Matter of Dessa F.*, 35 AD3d 1096; *Matter of George L. v Commissioner of Fulton County Dept. of Social Servs.*, 194 AD2d 955.)

Douglas A. Eldridge, Delmar, for respondents. I. The plain meaning of the statute compels the decisions below. (*Matter of Robert Paul P.*, 63 NY2d 233.) II. The law must be construed to accord with the policy of the State of New York. (*Matter of Jacob*, 86 NY2d 651.) III. A construction that denies adoption to an entire class of nonverbal individuals creates an absurd result. (*Williams v Williams*, 23 NY2d 592.) IV. Marian has consented to her adoption. V. Denying Marian the opportunity to be adopted does not advance her autonomy. (*Matter of Brooke S.B. v Elizabeth A.C.C.*, 28 NY3d 1; *Debra H. v Janice R.*, 14 NY3d 576; *Matter of Bennett v Jeffreys*, 40 NY2d 543; *Matter of Ronald FF. v Cindy GG.*, 70 NY2d 141.)

Natalie M. Chin, *Disability & Aging Justice Clinic*, *Main Street Legal Services*, *CUNY School of Law*, Long Island City, for Autistic Self Advocacy Network and others, amici curiae. I. Changes in societal attitudes and public policy recognize the dignity, self-determination, and personhood of adults with intellectual disability. (*Olmstead v L.C.*, 527 US 581; *Matter of Mark C.H.*, 28 Misc 3d 765; *Matter of Dameris L.*, 38 Misc 3d 570; *Rivers v Katz*, 67 NY2d 485.) II. The Appellate Division infantilized Marian because of her intellectual disability in its decision to dispense with her consent to adoption. (*Matter of Malpica-Orsini*, 36 NY2d 568; *Caban v Mohammed*, 441 US 380; *Hartsock v Hartsock*, 189 AD2d 993; 333 E. 53rd St. Assoc. v *Mann*, 121 AD2d 289, 70 NY2d 660; *Matter of Mazzeo*, 95 AD2d 91; *McSpedon v Levine*, 158 AD3d 618; *Obergefell v Hodges*, 135 S Ct 2584; *Matter of Robert Paul P.*, 63 NY2d 233; *Matter of Haylee RR.*, 47 AD3d 1093; *Matter of Dessa F.*, 35 AD3d 1096.) III. Dispensing with Marian's consent to adoption violates her constitutional right to due process and personal choice in matters of family. (*Matter of Kesselbrenner v Anonymous*, 33 NY2d 161; *Matter of Dameris L.*, 38 Misc 3d 570; *Matter of Andrea B.*, 94 Misc 2d 919; *Matter of D.D.*, 50 Misc 3d 666; *Matter of Capurso*, 63 Misc 3d 725; *Santosky v Kramer*,

455 US 745; *Cleveland Bd. of Ed. v LaFleur*, 414 US 632; *Matter of Ricky Ralph M.*, 56 NY2d 77; *Matter of Michael B.*, 80 NY2d 299; *People v Ewer*, 141 NY 129.) IV. Adult adoptee consent should be addressed by the legislature. (*Matter of Marie B.*, 62 NY2d 352; *Matter of Jacob*, 86 NY2d 651.) V. The infantilizing analysis applied by the lower courts to adult adoption sets a dangerous precedent for New Yorkers with disabilities.

OPINION OF THE COURT

Chief Judge DiFiore.

The issue in this adoption proceeding is whether the adoption was categorically precluded because the adoptee, an adult woman with a significant developmental disability, did not have the capacity to give her consent. That issue turns on the proper interpretation of Domestic Relations Law § 111 (1) (a), which generally requires the consent of an “adoptive child” who is over 14 years old but gives the court discretion to dispense with that consent. We agree with the Appellate Division that, in appropriate circumstances, the statute permits a court to approve an adoption even absent the consent of an adult adoptee. Because that discretion was not abused here and there is record support for the affirmed best interests finding, we affirm.

Marian T., a 66-year-old woman, has resided with petitioners Lauren M. and Gregg H. for approximately 15 years. Marian has a profound intellectual disability that has resulted in significant developmental delays and limited verbal ability. Petitioners operate a licensed family care home under the supervision of the New York State Office for People with Developmental Disabilities, which oversees the placement of individuals with severe intellectual disabilities in private family homes where they may be properly cared for. Seeking to provide permanency for Marian, who has no living relatives and has been in the State’s custody since she was a child, petitioners commenced this adoption proceeding in August 2015. Mental Hygiene Legal Service (MHLS),¹ appointed to represent Marian in the proceedings, objected to the adoption on the ground that Marian’s consent was required under Domestic Relations Law § 111 (1) (a), arguing that Marian lacked

1. MHLS is a governmental entity that provides legal assistance to, among others, residents of family care homes (see Mental Hygiene Law § 47.01 [a]).

the capacity to consent and that the statute permits a court to dispense with adoptee consent only where the adoptee is a child between the ages of 14 and 17. Petitioners countered that, because the phrase “adoptive child” in the statute includes adult adoptees and Marian is over the age of 14, the court had the discretion to dispense with the consent requirement.

In an effort to determine Marian’s capacity, Surrogate’s Court ordered the parties to obtain psychological evaluations of her. Both medical professionals who examined Marian concluded that she is a person with significant developmental disabilities who is nonverbal. In addition, the court interviewed Marian in camera to discern her ability to consent and her relationship with petitioners, subsequently appointing a guardian ad litem to further represent Marian’s interests in the proceeding. After reviewing the psychological reports and interviewing the parties, the guardian ad litem issued a report stating, among other things, that there was a great deal of love and affection between Marian and petitioners and that, if petitioners demonstrated they were able to assume the financial burden of Marian’s care, the adoption should be approved.

A fact-finding hearing followed to assess whether the adoption was in Marian’s best interests. Among other evidence, both petitioners testified about their deep emotional attachment to Marian and desire that she be a member of their family. The court agreed with MHLs that it did not have the authority to dispense with Marian’s consent under Domestic Relations Law § 111 (1) (a) because she was not a “child” but nonetheless approved the adoption. Although the court did not find that Marian possessed the capacity to consent, it concluded that the guardian ad litem had the “implied authority” to consent on Marian’s behalf, reasoning that granting the petition promoted Marian’s right to be part of a family.² Further, the court deemed the adoption to be in Marian’s best interests because she was bonded to and had affection for petitioners, who “sincere[ly] . . . desire[d] to care for her as a member of their family.”

The Appellate Division unanimously affirmed the order approving the adoption petition, although it disagreed with the

2. The court may appoint a guardian ad litem to represent a person with a disability in proceedings in Surrogate’s Court (*see* SCPA 403 [2]). Neither party now challenges the appointment of the guardian ad litem and no claim is made here that the guardian ad litem had the authority to consent on Marian’s behalf, an issue we do not address.

Surrogate's interpretation of Domestic Relations Law § 111 (1) (a). The Appellate Division concluded that the statute authorizes a court, in the appropriate exercise of discretion, to dispense with an adult adoptee's consent to the adoption (*Matter of Marian T. [Lauren R.]*, 166 AD3d 1370, 1371 [3d Dept 2018]). Here, where Marian lacked the capacity to consent, the Court concluded that her consent was "unnecessary," rejecting the argument that the absence of adoptee consent categorically precluded the adoption (*id.* at 1373). Finally, the Court agreed with the Surrogate's finding that the adoption was in Marian's best interests. We granted leave to appeal (32 NY3d 919 [2019]) and we now affirm.

[1] The primary issue in this case is one of pure statutory interpretation: whether Domestic Relations Law § 111 (1) (a), which requires the consent of an "adoptive child" over the age of 14, authorizes a court to exercise its discretion in appropriate circumstances to dispense with the consent of an adoptee who is over the age of 18. In MHLS' view, the statute generally requires the consent of all adoptees over the age of 14, but permits a court to dispense with that consent only if the adoptee is a "child" (i.e., a minor between the ages of 14 and 17) and only if the adoptee would be harmed by learning that the proposed adoptive parents are not the adoptee's biological parents, a concern reflected in the statute's legislative history. Petitioners assert that, on its face, the statute allows courts to dispense with adoptee consent in the sound exercise of discretion, even when the adoptee is over the age 18. We agree with petitioners.

"When presented with a question of statutory interpretation, a court's primary consideration is to ascertain and give effect to the intention of the Legislature" (*Matter of Lemma v Nassau County Police Officer Indem. Bd.*, 31 NY3d 523, 528 [2018] [internal quotation marks omitted], quoting *Riley v County of Broome*, 95 NY2d 455, 463 [2000]). Because "the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof" (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). "When the statutory language at issue is but one component in a larger statutory scheme, it must be analyzed in context and in a manner that harmonizes the related provisions and renders them compatible" (*Matter of Mestecky v City of New York*, 30 NY3d 239, 243 [2017] [internal quotation marks and citations omitted]).

Certain consents are needed for an adoption to proceed and section 111 of the Domestic Relations Law sets forth who must consent to an adoption under various circumstances. Relevant to this case, subdivision (1) (a) provides that consent is required “[o]f the adoptive child, if over fourteen years of age, unless the judge or surrogate in his discretion dispenses with such consent” (Domestic Relations Law § 111 [1] [a]). “Adoptive child” is a term of art defined in the statutory scheme to mean “a person adopted” (Domestic Relations Law § 109 [1] [Definitions]). The phrase “a person adopted” contains no age restriction—clearly encompassing both minors and adults (*id.*). That the legislature intended the phrase “adoptive child” to encompass not only minors but also adult adoptees is further illustrated by the legislature’s use of phrase in a different subdivision of the same statute in a manner that clearly refers to adoptees over the age of 18 (*see* Domestic Relations Law § 111 [4] [(w)here the adoptive child is over the age of eighteen years]).

Indeed, the adoption of an adult has been expressly permitted by statute since at least 1915, providing a means of legally formalizing a parent-child relationship (*see Matter of Robert Paul P.*, 63 NY2d 233, 237 [1984], citing L 1915, ch 352; *see also* Domestic Relations Law § 110 [providing that an adult may adopt “another person” and containing no restriction on the age of the adoptee]). Like an adoption involving a minor, “an adult adoption must still be in the best interests of the adoptive child and the familial, social, religious, emotional and financial circumstances of the adoptive parents which may be relevant must still be investigated” (*Matter of Robert Paul P.*, 63 NY2d at 237 [internal quotation marks, alterations and citations omitted]). In other words, the fact that the adoptee is an adult does not significantly alter or “dilute” the legislative purpose underlying the adoption statutes or the standards that must be met to grant an adoption. Although in other contexts the term “child” may refer to an individual under the age of majority, it is evident that in this statute the word “child” refers not to the age of the adoptee but the nature of the filial relationship between the party seeking to adopt and the person being adopted (*see generally Robert Paul P.*, 63 NY2d 233).³ Thus, it is clear from the text of Domestic Relations Law §§ 111

3. *Matter of Robert Paul P.*, our most recent adult adoption precedent, is a product of another time in the sense that the injustice motivating the petition in that case—the inability to obtain legal recognition of a same-sex

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(1) (a) and 109 that the statute requires the consent of any adoptee over the age of 14 but gives courts the discretion to dispense with that consent in appropriate circumstances.

MHLS and the dissent rely on certain legislative history to assert that the legislature intended to authorize judges to dispense with consent of minor adoptees in only one circumstance—where knowledge of the adoption proceeding and discovery that the putative adoptive parents are not the child’s biological parents would psychologically damage the child. The language permitting a court to dispense with adoptee consent was added to the statute in 1942 and the accompanying bill jacket includes statements in support of the amendment, submitted by various interested parties, noting that it would give courts discretionary authority to dispense with adoptee consent in such a circumstance (*see* Mem from NY County Lawyers’ Assn, Mar. 3, 1942, Bill Jacket, L 1942, ch 118 at 4-5; Letter from George Xanthaky to the Governor, Mar. 16, 1942, Bill Jacket, L 1942, ch 118 at 8). From this we can infer that the legislature understood that the statute would permit courts to grant adoption petitions in the absence of adoptee consent when appropriate to avoid psychological harm to a child who was unaware of the adoption proceedings. However, the statutory language does not restrict the scope of the court’s discretion to dispense with adoptee consent—let alone reflect an intent to limit the exercise of such discretion to the particular circumstance identified by MHLS. Had the legislature intended

romantic relationship—has since been rectified. We cite the case for the enduring propositions that the relationship created by adoption is one of parent and child, even when the adoptee is an adult (supporting our conclusion that the term “adoptive child” encompasses an adult), and that the same basic standards govern adult adoption. As noted by the dissent (dissenting op at 59-60 n 2), Domestic Relations Law § 110 was amended in 2010 to permit “any two unmarried adult intimate partners together” to adopt another person (*see* L 2010, ch 509)—a welcome statutory change that codified our holding in *Matter of Jacob* (86 NY2d 651 [1995]). This did not alter the core holding of *Matter of Robert Paul P.* that intimate sexual partners may not adopt one another because adoption’s “basic function” is to “giv[e] legal effect to a parent-child relationship”—not to create a legal status for parties involved in a romantic relationship (63 NY2d at 237-238). This is reflected in Domestic Relations Law § 110, which describes adoption as a process “whereby a person takes another person into the relation of child,” acquiring “the rights and . . . responsibilities of parent in respect [to] such other person”—language that was not amended by the Marriage Equality Act of 2011 (L 2011, ch 95), also invoked by the dissent, which addresses the relation of marriage.

to limit judicial discretion in that manner, it would have said so in the statute.

Moreover, MHLS' interpretation of Domestic Relations Law § 111 (1) (a) would categorically preclude the adoption of adults who lack the capacity to consent.⁴ But there is no basis to conclude that the legislature intended to deny any group of people the benefits of adoption, permitting fulfillment of the right to a loving, legally-recognized familial relationship and the attendant stability of a permanent home. Nevertheless, MHLS asserts that construing the statute to allow courts to dispense with adult adoptee consent leads to absurd results—"surprise" adoption proceedings in which, for no legitimate reason, competent adult adoptees are deprived of notice of their own adoptions or are adopted over their objection. It is always possible to imagine scenarios where judicial discretion could be abused or even exercised in an unconstitutional manner,⁵ but this is not a basis to read discretion out of the statute, interpreting the text contrary to its plain language. The dissent does just that when it reads the statute only to "authorize[] courts to dispense with consent in limited circumstances to protect the well-being of an adolescent over age 14 and under 18 years of age" (dissenting op at 65)—imposing conditions never adopted by the legislature. Ironically, we are accused of redrafting the statute (dissenting op at 68)—when we interpret

4. By interpreting the statutory language as written by the legislature and reviewing whether discretion was abused in this particular case, we do not suggest that it is always appropriate to dispense with consent in cases involving adoptees over the age of 14 who are unable to consent. Unlike our concurring colleague, we make no distinction based on class (*see* concurring op at 56 [where consent is "an impossibility (due to lack of capacity), the condition precedent (of adoptee consent) should not be enforced"])). The statute permits a court to dispense with consent only in the sound exercise of judicial discretion. Whether that discretion is appropriately exercised in other cases will depend on all the facts presented and the arguments raised by the parties. Contrary to the view expressed in the dissent, that the legislature did not codify the circumstances in which courts may appropriately exercise their discretion by specifically referencing adoptees with developmental disabilities does not constitute a "gap" in the statutory scheme (dissenting op at 57)—it reflects a legislative determination that courts are in the best position to consider, based on the unique circumstances involved in each case, whether to dispense with adoptee consent.

5. Our concurring colleague puts his imagination to such use here, addressing various arguments neither preserved nor presented in this case. Because no constitutional issues were raised by the parties there is no occasion to consider the applicability, in the adoption context, of the cases cited in the concurrence and dissent involving the liberty interests of parents vis-à-vis their children.

the statute as written, without embellishment, based on terms defined by the legislature.

[2] Here, the Appellate Division correctly concluded that Domestic Relations Law § 111 (1) (a) provided express statutory authority to dispense with Marian’s consent and the court did not abuse its discretion when it determined that her inability to consent should not prevent this adoption (*see Sadek v Wesley*, 27 NY3d 982, 983 [2016], citing *Brady v Ottaway Newspapers*, 63 NY2d 1031, 1032 [1984]). Marian T. was given notice of the adoption petition and significant efforts were made to involve her in the process to the extent possible, ensuring that her rights and interests were fully protected. These efforts are reflected in the extensive record developed in Surrogate’s Court in which Marian’s capacity to consent and her feelings and desires (including her ably-communicated desire to remain in petitioners’ care) were explored through multiple psychological evaluations, an in camera interview and the appointment of a guardian ad litem. Under these circumstances, the Appellate Division did not abuse its discretion in determining it was appropriate to dispense with Marian T.’s consent, as the statute permits.⁶

Finally, there is record support for the affirmed finding that adoption is in Marian’s best interests. There was evidence of petitioners’ strong filial affection for Marian and her love for them, and that she was safe and well-cared for in their home, a setting in which she has thrived. Further, the record supports the affirmed finding that the adoption would leave Mar-

6. To the extent the Appellate Division decision can be read as conflating the issue of consent with the best interests analysis courts must undertake before granting any adoption petition (*see* Domestic Relations Law §§ 114 [1]; 116 [4]; *see also Matter of Robert Paul P.*, 63 NY2d at 237), we clarify that whether the necessary consent requirements have been fulfilled and whether the adoption serves the best interests of the adoptee are separate considerations (*see Caban v Mohammed*, 441 US 380, 387 [1979] [(T)he New York Court of Appeals has stated unequivocally that the question whether consent is required is entirely separate from that of the best interests of the child”), citing *Matter of Corey L v Martin L.*, 45 NY2d 383, 391 [1978] [“While promotion of the best interests of the child is essential to ultimate approval of the adoption application, such interests cannot act as a substitute for a finding of abandonment,” rendering an unwed father’s consent unnecessary]). The concurrence is mistaken insofar as it suggests that a court can dispense with the consent needed for an adoption based solely on a best interests finding (*see concurring op at 54*). Here, it is evident that the Appellate Division had a basis for dispensing with Marian’s consent, readily ascertainable from the record, which involved an inquiry distinct from the standard best interests analysis.

ian in a comparable financial position as before, without significantly altering her eligibility for critical services.

Accordingly, the Appellate Division order should be affirmed, without costs.

WILSON, J. (concurring). Although I agree with Judge Rivera's analysis of the 1942 amendment to section 111 (1) of the Domestic Relations Law and her emphasis on recognizing that Marian T. is an adult, not a child, I concur in the result on the facts of this case.

This is purely a case of statutory interpretation, but not a simple one. If it were, the majority opinion would be three lines long, pointing out that the Domestic Relations Law literally and unambiguously permits the adoption of any person without the adoptee's consent: consent is not required from persons under 14, and a court may dispense with consent for everyone else. The majority's unspoken but necessary concession is that the statute cannot be read as written.

In pertinent part, the Domestic Relations Law states: "An adult unmarried person, an adult married couple together, or any two unmarried adult intimate partners together may adopt another person" (§ 110), and "consent to adoption shall be required . . . [o]f the adoptive child, if over fourteen years of age, unless the judge or surrogate in his discretion dispenses with such consent" (§ 111 [1] [a]). Read literally, the statute permits Kim Kardashian and Kanye West to adopt me over my strenuous objection, so long as a judge determines that would be in my best interest. The judge might well be right in so concluding. Nevertheless, that construction would be plainly unconstitutional; I have a fundamental liberty interest of personal choice in my familial relationships (*see e.g. Santosky v Kramer*, 455 US 745, 753 [1982]; *Cleveland Bd. of Ed. v LaFleur*, 414 US 632, 639 [1974]). Because we cannot interpret the statute as written, we must construe it in a way that avoids unconstitutionality (*H. Kauffman & Sons Saddlery Co. v Miller*, 298 NY 38, 44 [1948] ["Where the language of a statute is susceptible of two constructions, the courts will adopt that which avoids injustice, hardship, constitutional doubts or other objectionable results"]; *see also Matter of Malpica-Orsini*, 36 NY2d 568, 570 [1975] ["(O)nly as a last resort will courts strike down legislative enactments on the ground of unconstitutionality"], *overruled on other grounds by Caban v Mohammed*, 441 US 380 [1979]).

Neither the majority nor the dissent can point to any legislative history showing that the legislature considered what to do when a prospective adult adoptee is unable to give or refuse consent. The majority contends that limiting the court's ability to dispense with consent to persons under age 18 would prevent the adoption of all adults with a profound intellectual disability, but can point to no consideration by the legislature of that issue. Judge Rivera quite convincingly demonstrates that the legislature, when amending section 111 (1) to allow a judge to dispense with the adoptee's consent, had in mind adoptees under age 18—not adults.¹ But that does not answer the question of what the legislature intended as to adults who are incapable of giving consent because of a profound intellectual disability. Judge Rivera also relies on section 111 (2) (d), which dispenses with consent of a parent with a profound intellectual disability, as evidence that the legislature knew how to describe such a condition (albeit in retrograde terminology), but that, again, does not evidence the legislature's consideration of what to do in a situation when the prospective adult adoptee is incapable of giving consent.

I am left, then, with the firm conclusion that the legislature has never thought about the issue presented here: if a prospective adult adoptee is unable to give or refuse consent because of a profound intellectual disability, may the adoption proceed and, if so, what is required? My conclusion reinforces Judge Rivera's observation that the legislature should carefully consider the question, because adults with disabilities are not children, though they may benefit from adoption in some circumstances, not in others, and may in yet other cases need some statutory treatment other than adoption or guardianship.² Although the circumstances here may seem unusual, one can easily imagine circumstances in which, for example, a par-

1. Pairing the amendment with the observation that adoption is in derogation of the common law (*see* dissent at 58-59) does not bear on the legislature's intent, because the legislature, over time, has completely abrogated the common law, eventually providing that any adult may adopt any other person (and in some cases, even a minor may adopt another person) (Domestic Relations Law § 110). Thus, there is now no reason to conclude that the 1942 amendment should be read against a background in which adoption is disfavored; the legislature has subsequently completely eviscerated that aspect of the common law.

2. Although the Surrogate's Court laudibly attempted to assess Marian's wishes, this case demonstrates the need for clearer guidance from the legislature on how courts should support people with disabilities to participate meaningfully in legal proceedings and exercise their right to make

(n. cont'd)

ent of an adult with an intellectual disability wishes to have his or her partner adopt that child.

In the absence of any legislative guidance, faced with the need to construe a statute that, if read literally, would be plainly unconstitutional, I would conclude that the overall legislative scheme assumes that, where consent is required, there is the possibility of it being granted or denied. For example, where an intellectually disabled parent cannot consent to a child's adoption, the Domestic Relations Law dispenses with consent (§ 111 [2] [d]). Where a parent has disappeared (§ 111 [2] [a]), or where a parent no longer has the ability to consent because the parent has been displaced by a guardian (§ 111 [2] [c]), or where the consent of "any person or authorized agency having lawful custody" of an "adoptive child . . . over the age of eighteen years . . . cannot for any reason be obtained" (§ 111 [1] [f]; [4]), the Domestic Relations Law dispenses with consent. Thus, I would not interpret Domestic Relations Law § 111 (1) (a) to impose a condition in a circumstance where it cannot be met.

I admit that the statutory interpretation here presents a close call with no obviously correct answer, but unforeseen events that make a condition impossible to meet generally are viewed as excusing the condition, as set out in the ancient doctrine of *lex non cogit ad impossibilia*—the law does not require impossibilities (*see generally* *People ex rel. Nugent v Board of Police Commrs.*, 114 NY 245, 250-251 [1889]; *Stewart v Stone*, 127 NY 500, 507 [1891]; *Hirshfeld v Fitzgerald*, 157 NY 166, 185 [1898]; *Matter of Scott*, 8 NY2d 419, 426-427 [1960]; McKinney's Cons Laws of NY, Book 1, Statutes § 141, Comment ["The court will not interpret a statute to require an impossibility"]). Here, as we cannot disturb the factual determination that Marian's consent was an impossibility, the condition precedent should not be enforced. Because there is no basis on this record to overturn the finding that the proposed adoption would be in her best interest, I concur in the result.

RIVERA, J. (dissenting). Petitioners commenced this proceeding seeking to adopt respondent, an unrelated adult female living in petitioners' family care home. Mental Hygiene Legal Services (MHLS) represents respondent in the adoption

choices about their lives and families (*see generally* Kristin Booth Glen, *Changing Paradigms: Mental Capacity, Legal Capacity, Guardianship, and Beyond*, 44 Colum Hum Rts L Rev 93 [2012]).

proceeding, and argues that, for respondent to be adopted, she must consent to be adopted. MHLS further contends that Surrogate's Court may not dispense with this requirement solely because respondent is unable to provide informed consent due to her intellectual limitations. The lower courts rejected this position.

I agree with the majority that, as a threshold matter, the Domestic Relations Law expressly requires an adult to consent to their adoption. But I part ways with the majority to the extent that it determines courts have discretion to dispense with this requirement "in appropriate circumstances" (majority op at 51). According to the majority, appropriate circumstances exist here because respondent is unable to provide legal consent due to her "intellectual disability" (*id.* at 47). That conclusion is not supported by the controlling statute's text or legislative history. Rather, the statutory requirement applies to all persons over the age of 14 capable of consenting. Under no circumstance may a court dispense with an adult's consent to be adopted.

Respondent is not a child; she is an adult and should be treated as such. Whether the State should permit adoption of individuals incapable of consent due to intellectual limitations is an evolving question that requires consideration of an adult individual's right to self-determination and autonomy, regardless of their capacity to consent. The governmental body constitutionally authorized and best suited to weigh the difficult policy issues central to that choice is the legislature, not this Court. In its attempt to fill a statutory gap, the majority has exceeded our authority and crossed the line from interpreting to redrafting the statute. I dissent.

I.

The facts are mostly undisputed. Petitioners run a family care home for individuals with disabilities under the auspices of the Office for People with Developmental Disabilities. In 2015, they petitioned to adopt respondent, who has lived with them since 2005. Respondent is a 66-year-old adult with intellectual limitations that the courts below determined render her incapable of consenting to the adoption.¹

Surrogate's Court determined that it lacked authority to dispense with the statutory requirement that respondent

1. Respondent's capacity to consent is disputed. Petitioners contend that respondent signed the adoption petition and that her psychologist concluded that respondent has the capacity to consent and has consented to adoption by petitioners. MHLS argues that respondent is incapable of providing in-

(n. cont'd)

consent to the adoption. Rather than dismiss the petition, the court appointed a guardian ad litem, and thereafter concluded the guardian could and did provide implied consent. On the merits, the court found that adoption by petitioners was in respondent's best interests and granted the petition. The Appellate Division affirmed the adoption order, concluding that consent was required and although the guardian could not consent on respondent's behalf, the law authorized Surrogate's Court to dispense with consent. The Court ultimately held that "because the adoption is in respondent's best interests, but she is unable to consent, her consent was unnecessary and, as such . . . the adoption was properly approved" (*Matter of Marian T. [Lauren R.]*, 166 AD3d 1370, 1373 [3d Dept 2018]).

For the reasons discussed by the majority, an adult's consent to the adoption is a precondition to a court's best interests analysis, and the Appellate Division conflated the two (majority op at 53 n 6; see also *Caban v Mohammed*, 441 US 380, 387 [1979] ["(T)he New York Court of Appeals has stated unequivocally that the question whether consent is required (under Domestic Relations Law § 111) is entirely separate from that of the best interests of the child"], citing *Matter of Corey L v Martin L*, 45 NY2d 383, 391 [1978]). Because respondent cannot consent, the adoption petition should have been dismissed. Therefore, I would reverse the Appellate Division.

II.

A.

"As the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof" (*People v Golo*, 26 NY3d 358, 361 [2015], quoting *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). Because adoption reflects a legal relationship unknown to our common law, "[w]hat is to be construed strictly and applied rigorously in this sensitive area of the law . . . is legislative purpose as well as legislative language" (*Matter of Jacob*, 86 NY2d 651, 657 [1995]; accord McKinney's Cons Laws of NY, Book 1, Statutes § 301 [a], Comment ["(S)tatutes in derogation or in contravention (of the common law), are strictly

formed consent. I assume for purposes of my analysis that the record supports the decisions below that respondent is incapable of consenting to the adoption based on her intellectual limitations.

construed, to the end that the common law system be changed only so far as required by the words of the act and the mischief to be remedied”]; *see also* John Francis Brosnan, Law of Adoption, 22 Colum L Rev 332, 340 [1922] [“The adoption of adults, permitted since 1915 by the statute, (was) a radical and sweeping departure from the whole theory of adoption as formerly recognized in this state—the theory of giving to a child a home and a parent”]). Accordingly, in interpreting the statute, it is appropriate here to “follow the course of [the] legislation” to “illuminate the intent of the legislature” (*People v Litto*, 8 NY3d 692, 697 [2007], quoting McKinney’s Cons Laws of NY, Book 1, Statutes § 124, Comment).

B.

“On few questions is decisional law so clear as on this: that adoption . . . is, in New York, solely the creature of, and regulated by, statute law” (*Matter of Eaton*, 305 NY 162, 165 [1953] [citation omitted]). “The [l]egislature has supreme control over the subject [and s]ince adoption is purely a statutory matter, the answer to the question of what consents are necessary must be found in the statutory provisions” (*Matter of Malpica-Orsini*, 36 NY2d 568, 570 [1975] [citations omitted], *overruled on other grounds by Caban v Mohammed*, 441 US 380 [1979]).²

2. The majority cites—unnecessarily, in my view—*Matter of Robert Paul P.* (63 NY2d 233 [1984]), a case wherein a 4-2 majority held that an adult could not adopt a same-sex romantic partner (majority op at 50). It bears noting that the practice of attempted adoptions of same-sex partners emerged at a time when individuals in same-sex relationships were “outlaw[s] . . . truly strangers to the law—shoved out of every legal system” (Elon Green, *The Lost History of Gay Adult Adoption*, NY Times Magazine, Oct. 19, 2015; *see also* Koa Beck, *How Marriage Inequality Prompts Gay Partners to Adopt One Another*, The Atlantic, Nov. 27, 2013 [“Because of historical opposition to gay marriage, long-term, same-sex couples have a history of adopting one another for legal protection”]). With the 2010 amendment of Domestic Relations Law § 110 to permit “two unmarried adult intimate partners” to adopt another person, as well as with enactment of the Marriage Equality Act by the legislature in 2011, which legally recognized same-sex marriage, it is now decidedly clear that New York recognizes the right of same-sex partners to equal treatment under the law in the formation of marital and familial relations (*see* L 2011, ch 95, § 2 [“Marriage is a fundamental human right. Same-sex couples should have the same access as others to the protections, responsibilities, rights, obligations, and benefits of civil marriage. *Stable family relationships help build a stronger society*” (emphasis added)]; *see also Obergefell v Hodges*, 576 US 644, 670 [2015] [“The States have contributed to the fundamental character of the marriage right by placing that institution at

As relevant here, Domestic Relations Law, article 7, § 111, titled “Whose consent required,” provides in subdivision (1) (a) that, subject to further limitations not relevant here, “consent to adoption shall be required . . . [of] the adoptive child, if over fourteen years of age, unless the judge or surrogate in [their] discretion dispenses with such consent.” Subdivision (3) (a) provides that “[n]otice of the proposed adoption shall be given to a person whose consent to adoption is required pursuant to subdivision one and who has not already provided such consent.”³

Section 111 (4) directs that

“[w]here the adoptive child is over the age of eighteen years the consents specified in paragraphs (b), (c) and (d) of subdivision one of this section shall not be required, and the judge or surrogate in [their] discretion may direct that the consent speci-

the center of so many facets of the legal and social order”). Granted, as the majority notes, the legislature did not reject *Matter of Robert Paul P.*’s “core” holding that adoption is a means to establish a parent-child relationship (*see* majority op at 51 n 3; Domestic Relations Law § 110 [“Adoption is the legal proceeding whereby a person takes another person into *the relation of child and* thereby acquires the rights and incurs the responsibilities of *parent*” (emphasis added)]; Alan D. Scheinkman, Practice Commentaries, McKinney’s Cons Laws of NY, Domestic Relations Law C110:1 [“The adoption statutes permit the relationship of parent and child to be created by operation of law”], citing *Matter of Robert Paul P.*, 63 NY2d 233 [1984]). But, the legislature did abolish the previous legally-sanctioned unequal treatment of same-sex couples—thus, affirming a commitment to equality regardless of gender and sexuality and rendering it unnecessary in New York for same-sex partners to use adoption as a means to acquire the rights and recognition associated with marriage. To the extent that the reasoning of *Matter of Robert Paul P.* may be considered contrary to the principles of equal protection and human dignity reflected in our state legislation, the case is best left in the past. And, of course, we need look no further than the Domestic Relations Law to support the proposition that adoption’s “basic function” is to “giv[e] legal effect to a parent-child relationship” (majority op at 51 n 3).

3. Subdivision (3) continues:

“(b) Notice and an opportunity to be heard upon the proposed adoption may be afforded to a parent whose consent to adoption may not be required pursuant to subdivision two, if the judge or surrogate so orders.

“(c) Notice under this subdivision shall be given in such manner as the judge or surrogate may direct.

“(d) Notwithstanding any other provision of law, neither the notice of a proposed adoption nor any process in such proceeding shall be required to contain the name of the person or persons seeking to adopt the child” (Domestic Relations Law § 111 [3] [b]-[d]).

fied in paragraph (f) of subdivision one of this section shall not be required if in [their] opinion the best interests of the adoptive child will be promoted by the adoption and such consent cannot for any reason be obtained” (Domestic Relations Law § 111 [4]).

Section 111 (1) (f) requires the consent of “any person or authorized agency having lawful custody of the adoptive child.”

By its plain language, section 111 requires consent of an adoptive child over the age of 14, but the statute provides no guidance as to why the legislature chose an age range that includes both minors and adults. In contrast, section 111 (4) disposes automatically of the statutory consents of the third parties specified in paragraphs (b), (c) and (d) of subdivision (1) for adoptees over the age of 18, the age of majority (*see* Domestic Relations Law § 2 [“A ‘minor’ or ‘infant’, as used in this chapter, is a person under the age of eighteen years”]).⁴ This would suggest a legislative recognition of adult autonomy and an intent to reaffirm that consent is indispensable to an adult adoption. And yet section 111 (1) (a) appears to empower a court to dispense with that consent, which, in turn, allows for an adoption proceeding without notice to an adult who is the subject of the petition and further authorizes a court to order an adoption over that adult’s objection. This appears an absurd result on its face and must be avoided to preserve the integrity of the adoption framework (*see People v Roberts*, 31 NY3d 406, 432 [2018] [“(C)ourts are governed by the principle that we must interpret a statute so as to avoid an unreasonable or absurd application of the law” (internal quotation marks omitted)], quoting *People v Pabon*, 28 NY3d 147, 156 [2016]; *Matter of DeTroia v Schweitzer*, 87 NY2d 338, 342 [1996] [stating that an ordinance “should be interpreted to avoid this objectionable, absurd, anomalous and unjust result”]; McKinney’s Cons Laws of NY, Book 1, Statutes § 145, Comment [“An intent patently absurd is not to be attributed to the Legislature, and it will be presumed that the Legislature did not intend an absurd result to ensue from the legislation enacted”]).

4. Although the age of majority has been set at age 18, there are certain circumstance where legal rights or restrictions continue to age 21, which had been the age of majority for all purposes until 1974. For example, “[a]s a matter of policy, the [l]egislature has provided that the parents of a child remain chargeable for the child’s support until age 21” (Alan D. Scheinkman, Practice Commentaries, McKinney’s Cons Laws of NY, Domestic Relations Law § 2, citing Family Ct Act § 413; Social Services Law § 2 [31]).

The Court has previously recognized that because the Domestic Relations Law applies to both adults and minors we must carefully scrutinize the respective provisions at issue to determine whether the legislature intended to narrow its application to any particular age group (*see Matter of Eaton*, 305 NY at 166). Here, the statutory text alone does not shed light on the legislative intent. The implication of the different treatment of adoptees over 14 years old and those over 18 years old thus requires reference to the legislative history of section 111 (1) (a) (*see Matter of Shannon*, 25 NY3d 345, 351-352 [2015] [turning to the legislative history after determining that the text of the statute was ambiguous]; *People v Ballman*, 15 NY3d 68, 72 [2010] [same]; *Matter of Action Elec. Contrs. Co. v Goldin*, 64 NY2d 213, 221 [1984] [same]). That history makes clear that the legislature did not intend to authorize courts to dispense with an adult's consent. As I discuss, section 111 (1) (a) was enacted for a narrow purpose—to avoid potential trauma to adolescent adoptees over the age of 14 and only in limited circumstances.

C.

New York first recognized the relationship of a parent and child created by statute in 1873 (L 1873, ch 830, § 1 [defining adoption as “the legal act whereby an adult person takes a minor into the relation of child, and thereby acquires the rights and incurs the responsibilities of parent in respect to such minor”]). By 1915, the Domestic Relations Law was amended to provide for “an adult” to “adopt a person of the age of twenty-one years and upwards” (L 1915, ch 352, § 1). At present, the statute permits an “adult . . . person” to “adopt another person” (Domestic Relations Law § 110; *see also* § 109 [1] [“‘Adoptive parent’ or ‘adopter’ shall mean a person adopting and ‘adoptive child’ or ‘adoptee’ shall mean a person adopted”]).

Before the legislature amended the Domestic Relations Law in 1942, the statute required the consent of all adoptees over the age of 14 (Mem from George Xanthaky for the Governor, Mar. 16, 1942, Bill Jacket, L 1942, ch 118 at 8).⁵ A memorandum from assistant counsel to the governor notes that sur-

5. The majority's qualification concerning the legislative history is puzzling. This Court regularly cites to statements “submitted by various interested parties” (majority op at 51), including the Governor's Office, to understand the legislature's intent (*see e.g. Kimmel v State of New York*, 29 NY3d 386, 397 [2017] [“The legislative history from 1989, when the (Equal

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rogates had reported instances of adoptees who had lived with adoptive parents with no knowledge that the adoptive parents were not biological kin (*id.*; *accord* Report No. 243, NY County Lawyers' Assn, Comm on St Legis, Bill Jacket, L1942, ch 118 at 4-5). Thus, the enactment was viewed as endowing the judge with the discretion to "dispense with the consent in such cases as [the judge] deems proper" (Xanthaky Mem, Bill Jacket, L 1942, ch 118 at 8). The Report of the New York County Lawyers Association describes the bill similarly.

"[T]he Domestic Relations Law now allows the Judge or Surrogate in the case of the adoption of a child over the age of eighteen years to dispense with the consents of . . . the surviving parent of a child born in wedlock, the mother of a child born out of wedlock, or the person or authorized agency having lawful custody of the [adoptee], if, in the judgment of the said Judge or Surrogate, the moral and temporal interests of the foster child will be promoted by the adoption and such consents cannot for any reason be obtained. Again[,] where the [adoptee] is an adult, the consents of the persons just enumerated are not required.

"Therefore, there seems to be no reason for requiring in a proper case, the consent to its adoption of an infant over the age of fourteen years. The Judge or Surrogate before whom the adoption is pending, always considers each case on its own particular merits, and as adoptions are now legally handled, full investigations are made under the direction of the Judge or Surrogate before the matter comes up formally for decision. As a result, the Court is always fully advised of the actual facts, and can readily determine if the nature, or even the pendency of the proceeding, should be made known to the child. If, as is always the case, where the adoption is allowed, the adoption is for the best interests

Access to Justice Act) became law, demonstrates that the EAJA was 'targeted at those businesses and individuals . . . who often lack the resources necessary to vindicate their civil and legal rights'"], quoting Letter from New York Lawyers for the Public Interest, Inc., Bill Jacket, L 1989, ch 770 at 46; *Matter of Mestecky v City of New York*, 30 NY3d 239, 245-246 [2017] [citing a governor's approval memorandum, a letter from New York City Mayor Edward Koch, and a letter from President of the Borough of Queens to support the Court's interpretation of the New York City Charter]).

of the child, there seems to be no reason why a child who perhaps has been taken into the family of the [adoptive parent] when a mere baby, or at a very tender age, should be suddenly confronted with the fact that those whom it has looked upon as its parents, are not in fact, its father or mother, as the case may be. The welfare of the child morally and temporally will, it seems, be best served by leaving its adoption solely to the discretion of the court, unless the Court itself feels that the child should in a particular case have knowledge of the proceeding for its adoption, and should formally consent thereto, if it is over fourteen years of age” (Report No. 243, Bill Jacket, L 1942, ch 118 at 4-5).

Furthermore, a letter from the Surrogate’s Court of the County of New York to the Office of the Governor recounts similar incidences of surprise for adoptees over the age of 14 who had no knowledge that the adoptive parent was not their biological parent due to the consent requirement. It notes that “[i]n many . . . such cases the knowledge thus imparted to the child in adolescence [caused] a very bad reaction” (Bill Jacket, L 1942, ch 118 at 7). The letter concluded that the power to dispense with consent “will only be used where obtaining the consent would be harmful to the child” (*id.*).

This history makes plain that the legislature resolved concerns about the potential impact of an adoption on some adolescents over 14 years of age by authorizing a court to dispense with consent under appropriate circumstances. Nothing in the history reveals any other animating concern. Put another way, the history indicates that the motivation for amending the statute was to avoid possible trauma to an adolescent adoptee over 14 years of age where the adolescent was unaware that the person raising them was not their biological parent. As the bench and bar explained to the legislature, knowledge of that fact was potentially harmful to some adolescents unable to process such a revelation. That concern has no similar application in an adult adoption. Nor is there mention in the history of any reason, and the majority provides none, for why the legislature sought to empower a court to dispense with consent in an adult adoption. For almost three decades before this amendment the statute required consent of an adult without limitation. If elected officials, the bench and bar thought it was time to limit the rights of adults in adoption

proceedings, we would expect them to debate the issue publicly, and not, as the majority assumes, act without apparent cause. Surely, the legislature could not have intended a dramatic change in the law—one that limited the rights of adults sub silentio—without, at a minimum, consideration of the constitutionality of such action (*see Cleveland Bd. of Ed. v LaFleur*, 414 US 632, 639-640 [1974] [recognizing that “freedom of personal choice in matters of . . . family life is one of the liberties protected by the Due Process Clause of the Fourteenth Amendment”]; *see also Matter of Martin F.*, 13 Misc 3d 659, 673 [Fam Ct, Monroe County 2006] [(T)he fundamental liberty interest of natural parents in the care, custody and management of their child does not evaporate simply because they . . . (placed) custody of their child (with) the State”], quoting *Santosky v Kramer*, 455 US 745, 753 [1982]).

The legislative history leads to only one logical interpretation of the statutory language. The legislature left unchanged the mandatory requirement of consent by adoptive persons over the age of 14, but authorized courts to dispense with consent in limited circumstances to protect the well-being of an adolescent over age 14 and under 18 years of age.

III.

Apart from the lack of historical support for the majority’s alternative interpretation of section 111 (1) (a), the proposed reading is internally inconsistent. The majority concludes that section 111 (1) (a) requires consent and that a court may dispense with that consent even in the case of an adult. But this conclusion implies that dispensing with consent for an adult capable of giving consent would be an abuse of discretion or unconstitutional (majority op at 51-52). Essentially, the majority holds that the only classes of potential adoptees whose consent may be dispensed with are adolescents over 14 years old and adults incapable of consenting because of intellectual limitations. But respondent and other adults with intellectual limitations are not children, and we should not equate them as such under the law. Individuals with intellectual limitations are entitled to be treated with the same dignity as any other adult (*see United Nations Convention on the Rights of Persons with Disabilities*, UN General Assembly resolution 61/106, art 12 [Dec. 13, 2006] [recognizing that “persons with disabilities have the right to recognition . . . as persons before the law”]; Kristin Booth Glen, *Piloting Personhood: Reflections from the*

First Year of a Supported Decision-Making Project, 39 Cardozo L Rev 495, 496-497 [2017]).

Moreover, section 111 makes a single reference to “intellectual disability”—that of the “parent or of any other person having custody of the child” (Domestic Relations Law § 111 [2] [d]). This illustrates that the legislature knew how to make distinctions based on intellectual limitations. Therefore, if the legislature intended the majority’s interpretation, it knew how to amend the statute to achieve that end and would have expressly done so. It did not and we may not redraft the statute to achieve an outcome unaddressed or not intended by our elected officials (*see e.g. Matter of Kosmider v Whitney*, 34 NY3d 48, 58 [2019]; *Xiang Fu He v Troon Mgt., Inc.*, 34 NY3d 167, 173 [2019]; *Matter of Orens v Novello*, 99 NY2d 180, 189 [2002]).

The majority justifies this carveout, advocated by petitioners, by arguing that a contrary interpretation of section 111 would unfairly categorically bar the adoption of adults who lack the capacity to consent and deny them the benefits of adoption. This view misunderstands antidiscrimination theory. What would be discriminatory and unjust would be to treat respondent and adults with intellectual limitations differently from all other adults—including subjecting them to new familial relationships, imposed without their consent—under a law designed for those who can consent. The majority cannot overcome this inherent constraint of the statute with an interpretation that allows a court to dispense with consent for all adults, when, in practice, persons unable to consent are the ones affected. Indeed, given the majority view that it would be unfair to deny adoption to adults with intellectual limitations, when would a court choose not to dispense with consent for such an adult in order to proceed to a best interest analysis (majority op at 52 n 4)?⁶

The legislative history precludes the conclusion that the legislature considered this outcome. If that means that under

6. The majority notes that the statute reflects a legislative determination that courts should consider the unique circumstances of every case (majority op at 52 n 4). The majority cannot avoid the obvious practical application of its decision, i.e., a court may proceed with the adoption of an adult who is unable to provide informed consent solely because of the adult’s intellectual limitation (*see* majority op at 52 n 4). That is a class distinction no matter how the majority dresses it up. It is also a class distinction that we cannot make on the basis of the statute as currently written (*see infra* section IV).

the current framework respondent and others in her position cannot be adopted, it is for the legislature to determine whether and how to address the gap in the statutory scheme.⁷ Unlike judges, elected officials are constitutionally empowered to legislate on matters of public policy (*compare* NY Const, art III, § 1 [“The legislative power of this state shall be vested in the senate and assembly”], *with* art VI, § 3 [a] [“The jurisdiction of the court of appeals shall be limited to the review of questions of law”]). “We are not privileged, by judicial construction, to legislate” (*Matter of Metropolitan Life Ins. Co. v Bolland*, 281 NY 357, 361 [1939]; *see also Bank Markazi v Peterson*, 578 US —, —, 136 S Ct 1310, 1332 [2016, Roberts, Ch. J., dissenting] [“The Framers saw that if the power of judging . . . were joined to legislative power, the power over the life and liberty of the citizens would be arbitrary” (internal quotation marks and citation omitted)]; *Xiang Fu He*, 34 NY3d at 172 [(W)e are not at liberty to second-guess the legislature’s determination, or to disregard—or rewrite—its statutory text”], quoting *Matter of New York Civ. Liberties Union v New York City Police Dept.*, 32 NY3d 556, 567 [2018]; *Matter of Wolpoff v Cuomo*, 80 NY2d 70, 79 [1992] [“It is not the role of this, or indeed any, court to second-guess the determinations of the Legislature, the elective representatives of the people”]).

As we have often recognized, when exercising our judicial authority to interpret statutes, courts may not “substitute their judgment for that of the Legislature as to the wisdom and expediency of the legislation” (*Matter of Malpica-Orsini*, 36 NY2d at 570). The command that we refrain from policy deliberation is in recognition that, “[u]nder the doctrine of separation of powers, courts may not legislate” (*id.* at 571; *Xiang Fu He*, 34 NY3d at 175 [“As we have repeatedly made clear, the courts do not sit in review of the discretion of the (l)egislature or determine the expediency, wisdom, or propriety of its action on matters within its powers” (internal quotation marks and citation omitted)]; *People v Francis*, 30 NY3d 737, 751 [2018] [“The constitutional principle of separation of powers . . . requires that the Legislature make the critical policy decisions”]).

7. The majority claims to have “interpret[ed] the statute as written, without embellishment” (majority op at 52-53). But the statutory text is ambiguous, and, as I explain, the majority has read into the statute a carve-out not therein provided.

IV.

This is one of those cases where the legislature has not spoken on a thorny policy issue—i.e., whether to allow adoption of an adult unable to provide informed consent, and if so, how to accomplish that end. Nor has the legislature chosen language that allows us to apply traditional canons of construction to identify a legislative intent where none exists. As currently written, the statute requires an adult adoptee's consent, which respondent has not provided. Respondent's affection for petitioners does not alter the analysis of the threshold consent requirement. An adult may feel love and a connection to a petitioner but not want to be treated under the law as the petitioner's "child," nor have the petitioner stand as the adult's "parent." Affection is no substitute for informed consent.⁸

In upholding the decision below, the majority has taken to redrafting the law and not merely interpreting or construing the statutory provision as the legislature intended. This we cannot do. Until the legislature changes the law to provide an appropriate mechanism for adoption of persons with intellectual limitations who are unable to provide informed consent, we must apply the law as we find it and as the legislature intended.

I dissent.

Judges STEIN, FAHEY, GARCIA and FEINMAN concur; Judge WILSON concurs in result in an opinion; Judge RIVERA dissents in an opinion.

Order affirmed, without costs.

8. Given my conclusion, I have no occasion to opine on the best interest analysis as applied to respondent.

[162 NE3d 727, 138 NYS3d 498]

THE TRUSTEES OF COLUMBIA UNIVERSITY IN THE CITY OF NEW YORK, Appellant, v D'AGOSTINO SUPERMARKETS, INC., Respondent.

Argued October 15, 2020; decided November 24, 2020

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 29, 2019. The Appellate Division affirmed an order of the Supreme Court, New York County (Saliann Scarpulla, J.; op 2017 NY Slip Op 32794[U] [2017]), which had (1) denied plaintiff's motion for summary judgment on the complaint; and (2) granted defendant's cross motion for summary judgment (a) striking plaintiff's claim for liquidated damages, and (b) for entry of judgment against defendant in the amount of \$175,751.73, plus interest from October 14, 2016, to the date judgment was entered.

Trustees of Columbia Univ. in the City of N.Y. v D'Agostino Supermarkets, Inc., 168 AD3d 594, affirmed.

HEADNOTE

Damages — Liquidated Damages — Unenforceable Penalty — Grossly Disproportionate to Amount Due upon Full Performance of Agreement

In plaintiff landlord's action arising from defendant tenant's failure to timely pay surrender payments called for in the parties' surrender agreement terminating defendant's lease, the courts below properly struck the liquidated damages provision of the agreement as an unenforceable penalty in contravention of public policy because it was grossly disproportionate to the amount due upon defendant's full performance of the surrender agreement. The surrender agreement constituted a new contract between the parties that terminated the lease and all prospective obligations flowing from the tenancy. A liquidated damages provision has its basis in the principle of just compensation for loss. Liquidated damages that constitute a penalty, however, violate public policy, and are unenforceable. The damages provision effectively reinstated defendant's future rent liabilities under the terminated lease, plus interest and other prospective taxes and costs due under the lease, even though those damages did not flow from a breach of the surrender agreement. Those damages were 7½ times what plaintiff would have received if defendant had fully complied with the surrender agreement. While plaintiff did not receive six payments on time, that was the risk that it accepted by entering the surrender agreement; the existence of that risk did not and could not justify exaction of a penalty.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Damages §§ 507, 510, 528, 529.

NY JUR 2d Damages §§ 164, 165, 170.

ANNOTATION REFERENCE

See ALR Index under Liquidated Damages.

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POINTS OF COUNSEL

Rivkin Radler LLP, New York City (*Evan H. Krinick, David M. Grill, David E. Richman, Brian L. Bank and Henry Mascia* of counsel), for appellants. I. The settlement agreement enforced preexisting contractual rights and approximated Columbia University’s actual damages without imposing a penalty. (*Rowe v Great Atl. & Pac. Tea Co.*, 46 NY2d 62; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685; *Fifty States Mgt. Corp. v Pioneer Auto Parks*, 46 NY2d 573; *Mitchell v New York Hosp.*, 61 NY2d 208; *Salesian Socy. v Village of Ellenville*, 41 NY2d 521; *T. W. Oil v Consolidated Edison Co. of N.Y.*, 57 NY2d 574; *New England Mut. Life Ins. Co. v Caruso*, 73 NY2d 74; *Truck Rent-A-Ctr. v Puritan Farms 2nd*, 41 NY2d 420; *City of Rye v Public Serv. Mut. Ins. Co.*, 34 NY2d 470.) II. The Appellate Division improperly viewed the agreement in isolation without considering its context. (*Clean Air Options, LLC v Humanscale Corp.*, 142 AD3d 923; *Bui v Industrial Enters. of Am., Inc.*, 41 AD3d 238; *Sandra’s Jewel Box v 401 Hotel*, 273 AD2d 1; *Aron v Gillman*, 309 NY 157.)

D’Agostino, Levine, Landesman, Lederman, Rivera & Sampson, LLP, New York City (*Bruce H. Lederman, Eric R. Garcia and Christopher M. Tarnok* of counsel), for respondents. I. The lower court and Appellate Division both correctly determined that the liquidated damages provision in this case is unenforceable. (*172 Van Duzer Realty Corp. v Globe Alumni Student Assistance Assn., Inc.*, 24 NY3d 528; *Truck Rent-A-Ctr. v Puritan Farms 2nd*, 41 NY2d 420; *Mosler Safe Co. v Maiden Lane Safe Deposit Co.*, 199 NY 479; *Colwell v Lawrence*, 38 NY 71; *Sina Drug Corp. v Mohyuddin*, 122 AD3d 444; *Colwell v Lawrence*, 38 NY 71; *Priebe & Sons, Inc. v United States*, 332 US 407; *Tayloe v Sandiford*, 20 US 13; *159 MP Corp. v Redbridge Bed-*

ford, LLC, 33 NY3d 353; *First Natl. Stores v Yellowstone Shopping Ctr.*, 21 NY2d 630.) II. Plaintiff-appellant's factual characterization of its rights under the surrender agreement were properly rejected. III. Plaintiff-appellant's "alternative" request for a hearing on actual damages was properly rejected because this was neither sought in the complaint nor requested in the underlying motions, and plaintiff-appellant refused to produce the replacement lease which would have established actual damages. (*Calderon v Esenova*, 132 AD3d 711; *Jacobs v Choc-Lo Co., Inc.*, 216 App Div 791; *Maleski v Lenander*, 38 AD3d 1192.)

OPINION OF THE COURT

RIVERA, J.

This appeal requires that we consider the propriety of a liquidated damages provision in a surrender agreement between two New York City icons: Columbia University, one of the City's premier universities, and D'Agostino Supermarkets, a family-owned food market chain founded in 1932. As a general matter, "parties are free to agree to a liquidated damages clause provided that the clause is neither unconscionable nor contrary to public policy" (*172 Van Duzer Realty Corp. v Globe Alumni Student Assistance Assn., Inc.*, 24 NY3d 528, 536 [2014] [internal quotation marks and citation omitted]). The damages sought here were grossly disproportionate to the amount due upon full performance of the surrender agreement. Therefore, the courts below properly struck the provision as an unenforceable penalty in contravention of public policy. We affirm.

I.

Plaintiff the Trustees of Columbia University and defendant D'Agostino Supermarkets, Inc., entered a 15-year commercial lease for defendant's rental of the ground floor and basement levels of a building owned by plaintiff. Thirteen years into the tenancy, with defendant facing financial difficulties, the parties entered a surrender agreement that terminated the lease in exchange for defendant's surrender of the premises and a staggered payment of \$261,751.73.

The surrender agreement provides, in relevant part,

"In consideration of Landlord entering into this Surrender Agreement, Tenant shall pay to Landlord
(i) concurrently herewith an amount equal to Forty-

Three Thousand and 00/100 Dollars (\$43,000.00) (the ‘Initial Surrender Payment’), (ii) on or before June 1, 2016, an additional amount equal to Forty-Three Thousand and 00/100 Dollars (\$43,000.00) (the ‘Second Surrender Payment’) and (iii) on the first day of each month during the period commencing on July 1, 2016, and ending on and including May 1, 2017, Fifteen Thousand Nine Hundred Seventy-Seven and 43/100 Dollars (\$15,977.43) (each such monthly payment described in this clause (iii), a ‘Monthly Surrender Payment’).”

In the event of defendant’s default or failure to timely cure upon notice, the surrender agreement further provides,

“the aggregate amount of all Fixed Rent, additional rent or other sums and charges due and payable during the term of the Lease shall immediately thereafter become due and payable by Tenant to Landlord and . . . Tenant shall no longer be entitled to be released and relieved from and against any Released Claims TIME SHALL BE OF THE ESSENCE with respect to the dates set forth in this Section.”

As agreed by the parties, defendant vacated and surrendered the premises to plaintiff within days of signing the surrender agreement and timely made the two \$43,000 surrender payments. Plaintiff relet the premises one month after the surrender.

Defendant failed to timely pay the first four monthly surrender payments, from July to October 2016, despite plaintiff’s notice to cure. In November 2016, plaintiff commenced the underlying action to enforce the damages provision in the surrender agreement. After defendant answered, plaintiff moved for summary judgment on the complaint seeking future payments under the terminated lease, i.e., \$1,020,125.15, plus interest and other taxes and costs provided for under the lease.¹ Plaintiff rejected defendant’s December 2016 tender of \$175,751.73, which represented overdue and early payments of

1. Plaintiff notes that the amount of prospective rent demanded in the complaint was an inadvertent error that plaintiff corrected in its summary judgment motion.

the remaining surrender installments.² Defendant cross-moved for summary judgment striking the damages provision and seeking entry of judgment against itself for \$175,751.73—the outstanding amount due under the surrender agreement—along with accrued interest as of October 14, 2016, or, in the alternative, denying plaintiff’s motion and ordering discovery on the issue of damages and mitigation based on the new lease.

Supreme Court denied plaintiff’s motion for summary judgment and granted defendant’s cross motion for summary judgment for the requested amount and interest (2017 NY Slip Op 32794[U] [2017]). The Appellate Division affirmed (168 AD3d 594 [1st Dept 2019]). We granted plaintiff leave to appeal (33 NY3d 904 [2019]).

II.

A.

Plaintiff argues that the surrender agreement was a practical resolution of defendant’s breach of their commercial lease and so plaintiff’s damages should be measured against defendant’s default on the lease. In the alternative, plaintiff requests that we remand for a hearing to determine plaintiff’s actual damages. Defendant counters that the liquidated damages provision is grossly excessive and effectively a late fee of over 2,000% per annum for failure to timely pay the monthly installments. Defendant also contends that plaintiff’s actual damages were readily calculable and accounted for when the parties entered into the surrender agreement.

We conclude that the damages here are properly measured against defendant’s breach of the surrender agreement and not, as plaintiff and the dissent maintain, against the breach of the terminated lease. Viewed in that light, we further conclude that the liquidated damages provision is an unenforceable penalty because it is plainly disproportionate to the damages for the only contractual breach at issue in this appeal, i.e., overdue payment of the monthly surrender installments.

On a motion for summary judgment, the moving party must “make a prima facie showing of entitlement to judgment as a matter of law, tendering sufficient evidence to demonstrate the

2. Defendant filed an amended answer and asserted a counterclaim for unjust enrichment based on plaintiff’s reletting of the demised premises during the lease term.

absence of any material issues of fact” (*Xiang Fu He v Troon Mgt., Inc.*, 34 NY3d 167, 175 [2019], quoting *Alvarez v Prospect Hosp.*, 68 NY2d 320, 324 [1986]). If the moving party proffers the required evidence, the burden shifts to the nonmoving party “to establish the existence of material issues of fact which require a trial of the action” (*Vega v Restani Constr. Corp.*, 18 NY3d 499, 503 [2012], quoting *Alvarez*, 68 NY2d at 324). Applying that standard here, because the damages provision is unenforceable, Supreme Court properly denied plaintiff summary judgment and properly granted defendant’s motion, entering judgment for the unpaid amount under the surrender agreement plus interest.

B.

In accordance with the parties’ commercial tenancy, in the event of a breach, plaintiff had two options: (1) allow defendant to maintain possession of the property for the full lease term and hold defendant liable for past and future rent, or (2) reenter the premises and collect all rent due up to the time of reentry. If it chose to reenter, plaintiff could relet the premises and defendant would be liable for any deficiency in rent and other related expenses. Instead of suing for a breach of the lease, the parties negotiated and entered into the surrender agreement, which provided that, on the date of surrender, the lease “and the term thereof and all rights of [defendant] thereunder shall expire and terminate.” It further relieved defendant of its obligations under the lease, including payment of future rent and costs, in exchange for defendant’s payments of certain fixed amounts totaling \$261,751.73 and its surrender of the premises to plaintiff.

In other words, and as is commonly understood of these arrangements, the surrender agreement constituted a new contract between the parties that terminated the lease and all prospective obligations flowing from the tenancy (*see Holy Props. v Cole Prods.*, 87 NY2d 130, 133-134 [1995]; 52 CJS, Landlord and Tenant § 206; 74A NY Jur 2d, Landlord and Tenant § 939; 49 Am Jur 2d, Landlord and Tenant § 606). This new contract also included a liquidated damages provision.³ Liquidated damages are “an estimate, made by the parties at

3. The dissent asserts that the parties have chosen the “ill-fitting” “label” of liquidated damages to describe the surrender agreement’s damages clause (dissenting op at 84). The dissent stands alone in this view; in addition to the parties, all of the justices who have addressed the issue have treated this

(n. cont’d)

the time they enter into their agreement, of the extent of the injury that would be sustained as a result of breach of the agreement” (*Truck Rent-A-Ctr. v Puritan Farms 2nd*, 41 NY2d 420, 424 [1977]). “A liquidated damage provision has its basis in the principle of just compensation for loss” (*id.*, citing Restatement [First] of Contracts § 339 and Comment). “Liquidated damages that constitute a penalty, however, violate public policy, and are unenforceable. A provision which requires damages ‘grossly disproportionate to the amount of actual damages provides for [a] penalty and is unenforceable’” (*Van Duzer*, 24 NY3d at 536 [citation omitted], quoting *Truck Rent-A-Ctr.*, 41 NY2d at 424).

Defendant, as the party seeking to avoid payment of liquidated damages, has the burden of establishing that the damages for breach of the surrender agreement were disproportionate to the foreseeable losses and “in fact, a penalty” (*see JMD Holding Corp. v Congress Fin. Corp.*, 4 NY3d 373, 380 [2005]). Defendant met that burden.

The question here distills to whether the liquidated damages provision in the surrender agreement is so disproportionate to the anticipated harm to plaintiff from defendant’s failure to timely pay the monthly installments that the provision constitutes a penalty. The damages provision effectively reinstated defendant’s future rent liabilities under the terminated lease, to the tune of \$1,020,125.15, plus interest and other prospective taxes and costs due under the lease, even though those damages did not flow from a breach of the surrender agreement. Those damages were 7½ times what plaintiff would have received, if defendant had fully complied with the surrender agreement. Plaintiff cannot enforce a nonexistent lease under the guise of damages for a breach of a separate contract.⁴

provision as a liquidated damages clause. Rightly so, because the provision sets forth the estimated compensation for a possible future breach.

4. The dissent attempts to create discord where none exists by stating that we reach our decision by casting aside principles of contract law (dissenting op at 81-82). But no one disputes that “‘[f]reedom of contract prevails in an arm’s length transaction between sophisticated parties . . . , and in the absence of countervailing public policy concerns there is no reason to relieve them of the consequences of their bargain’” (*159 MP Corp. v Redbridge Bedford, LLC*, 33 NY3d 353, 359 [2019], quoting *Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685, 695 [1995]). The dissent simply ignores that “[w]e have deemed a contractual provision to be unenforceable where the public policy in favor of freedom of contract is overridden by another weighty and countervailing public policy” (*id.* at 360),

(n. cont’d)

To be clear, when the lease was in effect, plaintiff could have exercised its rights as the landowner and proceeded against defendant for violating the leasehold terms (*see Van Duzer*, 24 NY3d at 534-535). Instead, plaintiff negotiated with defendant to terminate the lease in exchange for a set amount of money and surrender of the premises. That contract freed plaintiff from its lessor obligations. Critically, contrary to the dissent's assertion that plaintiff "received nothing in exchange" (dissenting op at 82-83), it allowed plaintiff to immediately reenter and relet the premises without the need for litigation, which is exactly what it did.

When defendant breached the surrender agreement, plaintiff was entitled to proceed under that contract and demand damages for the breach, including the amount past due and acceleration of the remaining installment payments. However, plaintiff could not seek a payment grossly disproportionate to the amount past due plus interest (*see Bi-Economy Mkt., Inc. v Harleysville Ins. Co. of N.Y.*, 10 NY3d 187, 193 [2008] [recognizing that for "agreements to pay"—i.e., "contracts for money only"—"the only recoverable damage for breach is interest"]; *Scavenger, Inc. v GT Interactive Software Corp.*, 289 AD2d 58, 58-59 [1st Dept 2001] ["(W)here the breach of contract was a failure to pay money, plaintiff should be limited to a recovery of the contract amounts plus appropriate interest" (citation omitted)]; *Cotheal v Talmage*, 9 NY 551, 554 [1854] ["Where there is a contract to pay money, the damages for its breach are fixed and liquidated by law, and require no liquidation by the parties"]; 36 NY Jur 2d, Damages § 173 [stating that liquidated damages clauses in contracts for the payment of money are typically inappropriate because "for the nonpayment of money, the law awards interest as damages"])). By any measure the more than one million dollars plus interest demanded here is disproportionate to the \$175,751.73 unpaid under the surrender agreement (*see e.g. TY Bldrs. II, Inc. v 55 Day Spa, Inc.*, 167 AD3d 679, 681-682 [2d Dept 2018] [holding that a late fee that would accrue on 27 days for a total of \$1,350 was equal to, in effect, a 79% penalty for that month and thus unenforceable as against the public policy expressed by Penal Law § 190.40]; *Clean Air Options, LLC v Humanscale Corp.*, 142 AD3d 923, 924 [1st Dept 2016] ["The late fee, which according to the par-

including a liquidated damages provision grossly disproportionate to the amount of actual damages (*see Van Duzer*, 24 NY3d at 536).

ties' calculations results in an annual interest rate of 78%, is unreasonable and confiscatory in nature, and thus unenforceable" (internal quotation marks and citation omitted)]; *Sandra's Jewel Box v 401 Hotel*, 273 AD2d 1, 3 [1st Dept 2000] [holding that a setoff of \$15,000 exceeded the base amount due (\$1,800 per month for five months), amounted to a 365% per annum penalty, and was unenforceable]; *Pyramid Ctrs. & Co. v Kinney Shoe Corp.*, 244 AD2d 625, 627 [3d Dept 1997] [holding that a liquidated damages clause providing for double the fixed minimum rent upon surrender of the property was "not to provide just compensation but, rather to secure performance by the compulsion of the very disproportion" (internal quotation marks and citation omitted)]; *943 Lexington Ave. v Niarchos*, 83 Misc 2d 803, 804 [App Term, 1st Dept 1975] [holding that a rent surcharge of 60% per annum was "unreasonable and confiscatory in nature and therefore unenforceable" (citation omitted)]).

A simple hypothetical further illustrates the penalizing nature of the liquidated damages provision here. According to plaintiff's interpretation of the surrender agreement, if defendant timely made all but the final monthly surrender payment of \$15,977.43, defendant's breach would render it liable for \$1,020,125.15 plus interest and additional costs. Defendant would be liable for the total amount remaining due under the terminated lease, and defendant would be forced to pay that amount, rather than the final installment, without having had the benefit of the premises which it had surrendered to plaintiff. There is but one way to refer to this outcome: an unenforceable penalty.

Our decision in *Van Duzer* is instructive. In that appeal, the defendants maintained that the landowner's acceleration of prospective rent was disproportionate to the landowner's actual damages where the landowner terminated the lease and relet the premises after the tenant vacated. Without deciding whether the amount sought was a penalty, we held that the defendants were entitled to a hearing to present evidence that the undiscounted accelerated rent was disproportionate to the landowner's actual losses, and thus constituted unenforceable liquidated damages. As we explained,

"arguably the ability to obtain all future rent due in one lump sum, undiscounted to present-day value, and also enjoy uninterrupted possession of

the property provides the landowner with more than the compensation attendant to the losses from the breach—even though such compensation is the recognized purpose of a liquidated damages provision” (*Van Duzer*, 24 NY3d at 536-537).

The facts in this appeal present an even more obvious case of an unenforceable penalty. In *Van Duzer*, the landowner proceeded under the lease for damages flowing directly from the tenant’s abandonment of the premises and noncompliance with the lease terms. Again, the payment plan in the surrender agreement here reflects the parties’ negotiated damages for the breach of the lease, not the surrender agreement. The subsequent failure to pay installments on time is a breach of the surrender agreement, and a breach that is properly compensated by an award of the outstanding settlement payments plus interest.

The dissent maintains that the surrender agreement is best understood as a “settlement agreement” (dissenting op at 81). Why this would matter is unclear considering that a settlement agreement, like any other agreement, cannot be enforced if it violates public policy, including our State’s rejection of penalties as damages (see *1420 Concourse Corp. v Cruz*, 135 AD2d 371, 372 [1st Dept 1987] [(“W)here the parties, both represented by counsel, have freely entered into a stipulation of settlement in open court, such stipulation will generally be enforced unless public policy is affronted”]; see e.g. *SMD Capital Group LLC v EPR Capital LLC*, 45 AD3d 314, 314-315 [1st Dept 2007] [applying the test to determine the enforceability of a liquidated damages clause in a settlement agreement related to defendant’s failure to produce the required books and records at the closing of a real estate transaction as required under a settlement agreement]; *Quaker Oats Co. v Reilly*, 274 AD2d 565, 566 [2d Dept 2000] [holding liquidated damages provision in settlement agreement regarding a mortgage foreclosure was unenforceable as grossly disproportionate and noting that “it is irrelevant that the plaintiff might have recovered much more had it continued with (the settled) action”]).

Plaintiff unpersuasively argues and the dissent agrees that affirmance here would disincentivize landowners from entering surrender agreements and deprive tenants of the benefit afforded by such arrangements. Plaintiff chose to terminate the lease in exchange for a fixed amount paid in installments and

reentry on the premises for purposes of entering a new lease with another tenant. The award of outstanding payments therefore allowed plaintiff to realize the benefit of its bargain under the surrender agreement and put the property to its highest and best use. This approach encourages surrender agreements as providing a benefit to all parties—the tenant is released from future liability and the landowner regains the premises and the opportunity to relet on its own account. In contrast, the dissent's approach would disincentivize tenants from negotiating a mutually agreeable surrender because the tenant would remain on the hook for back rent, future rent and other contractual damages without the benefit of enjoyment of the premises.

Plaintiff's real argument is that it did not receive six payments on time, but that was the risk that it accepted by entering the surrender agreement. A party's default is a risk common to all contracts, without unique effect in the context of a surrender of premises. And the existence of that risk does not and cannot justify exaction of a penalty.

Finally, plaintiff is not entitled to an evidentiary hearing to determine plaintiff's actual damages and the extent to which those damages were ascertainable at the time that the parties signed the surrender agreement.⁵ Plaintiff's reliance on *Van Duzer* is misplaced. We remitted in *Van Duzer* to afford the breaching tenant an opportunity to present evidence in support of their contention that the undiscounted acceleration of all future rents constituted an unlawful penalty (24 NY3d at 532). In contrast, and notwithstanding the dissent's suggestion, Supreme Court here already completed the task that compelled remittal in *Van Duzer*, i.e., the determination that the liquidated damages provision was a penalty because plaintiff's damages were ascertainable and the liquidated damages were grossly disproportionate to the cost of breaching the surrender agreement.

III.

Under our well-established rules of contract, the surrender agreement's liquidated damages provision does not fairly compensate plaintiff for defendant's delayed installment pay-

5. While negotiating the surrender agreement, plaintiff was actively courting new tenants and has conceded that it did not suffer a differential in rent as a consequence of reletting shortly after defendant's surrender.

ments. The provision calls for a sum more than sevenfold the amount due if defendant had complied fully with the surrender agreement. We cannot enforce such an obviously and grossly disproportionate award without offending our State's public policy against "the imposition of penalties or forfeitures for which there is no statutory authority" (*Truck Rent-A-Ctr.*, 41 NY2d at 424, citing *City of Rye v Public Serv. Mut. Ins. Co.*, 34 NY2d 470, 472-473 [1974]). Accordingly, there was no error in rejecting plaintiff's liquidated damages provision.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge DiFiore (dissenting). After D'Agostino Supermarkets, Inc., the lessee of property owned by Columbia University, breached the lease by failing to pay rent for more than seven months, the parties settled their dispute by entering into a surrender agreement which contained certain conditions. If D'Agostino made timely installment payments totaling about \$262,000, representing the rent it already owed but had failed to pay, it would be relieved of certain other obligations stemming from its breach of the lease. However, if it failed to timely make the payments, D'Agostino would not "be released and relieved from" the claims Columbia possessed as a result of the breach of the lease, particularly the right (as described in the surrender agreement) to collect "the aggregate amount of all Fixed Rent, additional rent or other sums and charges due" during the remainder of the lease term (about two years). It is undisputed that, after entering the surrender agreement, D'Agostino again failed to uphold its end of the bargain, breaching the condition to timely make the back-rent installment payments. Yet the majority concludes, as a matter of law, that D'Agostino—a well-counseled, sophisticated party who freely negotiated the terms of the settlement—should be relieved of its obligation to accept the consequences of that second breach. This result is incompatible with our freedom of contract precedent and the strong public policy favoring enforcement of settlement agreements. Worse yet, I fear it will chill future efforts to resolve lease disputes without litigation—to the detriment of distressed tenants. Therefore, I respectfully dissent.

As this Court recently reaffirmed in *159 MP Corp. v Redbridge Bedford, LLC*, "[f]reedom of contract prevails in an arm's length transaction between sophisticated parties . . . , and in the absence of countervailing public policy concerns

there is no reason to relieve them of the consequences of their bargain' ” (33 NY3d 353, 359 [2019], quoting *Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685, 695 [1995]). The public policy underlying freedom of contract is twofold: “[b]y disfavoring judicial upending of the balance struck at the conclusion of the parties’ negotiations” it “both promotes certainty and predictability and respects the autonomy of commercial parties in ordering their own business arrangements” (159 MP Corp., 33 NY3d at 359-360). Accordingly, “ ‘when parties set down their agreement in a clear, complete document, their writing should . . . be enforced according to its terms’ ” (159 MP Corp., 33 NY3d at 358, quoting *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004]). This principle of New York contract law has “special import” in real property transactions where, as here, “commercial certainty is a paramount concern” (159 MP Corp., 33 NY3d at 359, quoting *Vermont Teddy Bear*, 1 NY3d at 475).

The public policy favoring freedom of contract applies with particular force to the surrender agreement—which is a settlement agreement crafted by the parties to resolve their dispute without litigation. Settlement agreements “are judicially favored and may not be lightly set aside” (*IDT Corp. v Tyco Group, S.A.R.L.*, 13 NY3d 209, 213 [2009] [citation omitted]). Strict enforcement of settlement agreements serves multiple important purposes, consistent with those underlying freedom of contract. There is a “societal benefit in recognizing the autonomy of parties to shape their own solution to a controversy” and assurance that their agreements will be honored provides them “finality and repose upon which [to] order their affairs” (*Denburg v Parker Chapin Flattau & Klimpl*, 82 NY2d 375, 383 [1993]). Moreover, settlement agreements are favored because they also promote “efficient dispute resolution” (*IDT Corp.*, 13 NY3d at 213), “avoid[ing] potentially costly, time-consuming litigation and preserv[ing] scarce judicial resources” as “courts could not function if every dispute devolved into a lawsuit” (*Denburg*, 82 NY2d at 383; see also *IDT Corp.*, 13 NY3d at 213). As Columbia has consistently argued throughout this litigation, these policies, and the significant interests they protect, should guide the resolution of this dispute between two sophisticated, counseled commercial entities.

The majority casts these principles aside, failing to acknowledge that the surrender agreement constituted a settlement of the claims Columbia possessed upon D’Agostino’s breach of the

lease, which included a right to collect—not only unpaid back rent—but also future rent owed until the conclusion of the lease term, even if D’Agostino vacated the premises (Columbia had no obligation under the lease to relet the property). Columbia agreed to settle under terms that significantly discounted the amount it would collect on account of D’Agostino’s breach of the lease, but did so only on the condition that D’Agostino timely make 11 installment payments representing the back rent D’Agostino already owed at the time the parties entered the surrender agreement. Because that rent was several months overdue, it is no surprise that Columbia required the inclusion of a clause that “TIME SHALL BE OF THE ESSENCE with respect to the [due] dates” for those installment payments. The parties’ agreement could not be clearer that Columbia waived certain claims it possessed arising from D’Agostino’s breach of the lease *only* if this condition—timely payment of the installments—was met. Under the plain language of the agreement, upon D’Agostino’s default or failure to timely cure upon notice, two things would occur: D’Agostino would immediately be obligated to pay the future rent due under the lease (among other associated payments) and it would “no longer be entitled to be released and relieved from and against any Released Claims.” Of course, it is undisputed that D’Agostino breached yet again.

Notwithstanding the context of the surrender agreement and its plain language, the majority mistakenly concludes that the surrender agreement should be interpreted without reference to the prior breach of the lease and that D’Agostino was relieved of all obligations under the lease even if it failed to timely make the installment payments. Although the surrender agreement “terminated the lease,” it most certainly did not unconditionally release the tenant of all obligations flowing from its breach of that prior agreement, and the majority’s assertion that Columbia seeks to “enforce a nonexistent lease under the guise of damages for a breach of a separate contract” (majority op at 75) misses the mark. Columbia does not attempt to enforce the lease—instead, it seeks to enforce the contingent remedy the parties adopted in the surrender agreement in the event D’Agostino failed to timely make the surrender payments.

The practical result of the majority’s holding is that Columbia University received nothing in exchange for its agreement (1) to give the tenant additional time to make back rent pay-

ments that were already overdue, provided those payments were timely made, and (2) to forfeit its right to collect future rent from D'Agostino for its breach of the lease. Under the majority's analysis, the carefully negotiated consequence of D'Agostino's continued failure to pay the back rent is unenforceable; indeed, there is no consequence for D'Agostino's breach of the surrender agreement and D'Agostino is rewarded for serial breaches of valid and binding contracts. The majority accomplishes this result through a strained application of this Court's precedent related to liquidated damages clauses, reasoning that the provision reinstating D'Agostino's obligation to pay future rent in the event of a second breach operates as an unenforceable penalty because the damages D'Agostino would be obligated to pay upon breach of the surrender agreement were substantially greater than the discounted damages Columbia agreed to accept in the form of promptly tendered installment payments. This remedy provision in the contract is best understood as a component of a settlement after a breach—not a liquidated damages clause crafted at the beginning of a contractual relationship. Nonetheless, even viewing the contingent language as a liquidated damages clause, when properly interpreted in the context of the entire agreement, it is not an unenforceable penalty justifying a deviation from application of our bedrock freedom of contract principles.

As we have recognized, the public policy favoring freedom of contract can be “overridden by another weighty and countervailing public policy” (159 *MP Corp.*, 33 NY3d at 360). The majority concludes that such a countervailing public policy is at play here, viewing the contingent remedy as an unenforceable liquidated damages clause. But “[a]s a general matter parties are free to agree to a liquidated damages clause ‘provided that the clause is neither unconscionable nor contrary to public policy’ ” (172 *Van Duzer Realty Corp. v Globe Alumni Student Assistance Assn., Inc.*, 24 NY3d 528, 536 [2014], quoting *Truck Rent-A-Ctr. v Puritan Farms 2nd*, 41 NY2d 420, 424 [1977]). Liquidated damages provisions serve an important purpose because they allow parties to estimate—in advance of a default—the extent of the injury resulting from the breach of the agreement and are, therefore, particularly useful “where it would be difficult, if not actually impossible, to calculate the amount of actual damage” (*Truck Rent-A-Ctr.*, 41 NY2d at 424). Nevertheless, “public policy is firmly set against the imposition of penalties or forfeitures for which there is no statutory authority” (*id.*)—and thus, a liquidated damages clause that

operates as a penalty will not be enforced. A liquidated damages clause operates as an impermissible penalty only when it provides for damages “plainly or grossly disproportionate to the probable loss,” as such a penalty “is not intended to provide fair compensation” (*id.* at 424-425). By comparison, it is enforceable when “the amount liquidated bears a reasonable proportion to the probable loss” (*id.* at 425).

In this case, although the parties referred to the contingent remedy as a “liquidated damages clause,” the label is ill-fitting. The public policy underlying our liquidated damages jurisprudence is simply not implicated in circumstances where, as in this case, there is no need to estimate the damages that might result in the event of a future breach because the breach has already occurred and the parties are crafting a settlement agreement. But even viewing the contingent remedy as a liquidated damages clause, the majority’s conclusion that the provision reinstating D’Agostino’s obligation to pay future rent is an unenforceable penalty because it provides for damages “grossly disproportionate” to D’Agostino’s outstanding surrender payments (approximately \$1 million versus \$176,000) adopts an overly simplistic view of the surrender agreement and fails to “giv[e] due consideration to the nature of the contract and the circumstances” in which it was entered, as our precedent requires (*172 Van Duzer Realty Corp.*, 24 NY3d at 536).^{*} It is evident from the surrender agreement that the parties understood that D’Agostino’s liability for breach of the lease was much greater than the value of the surrender payments. The obligations triggered if those payments were not timely made were not included merely as compensation for breach of the surrender agreement but were also intended to compensate

^{*} The majority reasons that the circumstances here are like that in *172 Van Duzer*—but it then fails to grant the relief provided in that case, which did not declare the provision unenforceable but, rather, remitted for a hearing to explore whether the damages were “grossly disproportionate.” In fact, *172 Van Duzer* does not stand for the proposition that a provision is unenforceable merely because it required immediate payment of all future rent due under a lease. There, the acceleration clause was negotiated in advance of any breach, the default occurred early in the course of a long-term lease and, as the Court observed, strict enforcement of the provision would have resulted in a lump-sum payment of eight years of future rent, not discounted to present value (24 NY3d at 536). Even then we did not void the clause but directed further litigation of the issue—a remedy Columbia seeks in the alternative here. The majority inexplicably fails to explain why the hearing deemed necessary in *172 Van Duzer* is not afforded here, where the purported liquidated damages clause was negotiated after the tenant’s initial breach with only about two years remaining on the lease.

Columbia for D'Agostino's earlier breach of the lease. Thus, an analysis of whether the damages set forth in the surrender agreement are grossly disproportionate to Columbia's probable losses requires consideration not only of the value of the surrender payments that D'Agostino failed to make, but also of the probable damages already set in motion by D'Agostino's prior breach of the lease, viewed from the time the surrender agreement was executed and not the date of the breach (*see Truck Rent-A-Ctr.*, 41 NY2d at 425).

When the agreement was executed, Columbia possessed a right to pursue the full value of future rent payments until the conclusion of the lease term. At that time, there was no assurance that Columbia would sign a new tenant (and what costs might be incurred in that process), nor did the parties know the amount of rent Columbia might be able to negotiate or whether a new tenant would timely pay during the remainder of the original lease term. Thus, the remedy negotiated by the parties in the surrender agreement was directly premised on Columbia's rights under the lease, bears a "reasonable relation" to Columbia's probable actual harm, and was intended to fairly compensate Columbia for that breach (*see generally Truck Rent-A-Ctr.*, 41 NY2d 420, 425). Measured in a way that adequately recognizes the nature of the bargain struck in the surrender agreement, D'Agostino has not met its burden to show that the damages set forth in that agreement are so disproportionate as to operate as an unenforceable penalty (*see generally JMD Holding Corp. v Congress Fin. Corp.*, 4 NY3d 373, 380, 385 [2005]).

It is irrelevant that Columbia's actual damages here may ultimately be different than the amount D'Agostino agreed to pay in the contingent remedy provision of the surrender agreement. The enforceability of a liquidated damages clause does not turn on whether the remedy that the parties contemplated before the breach occurred is identical to the damages actually suffered. To impose such a requirement would obviate the entire purpose of such provisions, which is to reasonably estimate the damages that might result, permitting the parties to avoid the costs and uncertainty of litigating damages in the event of a future breach. For this reason, the rough relationship between the remedy in the contract and the damages flowing from a breach must be assessed based on the terms of the agreement and the information the parties possessed at the time it was executed—not with the benefit of hindsight based on post hoc proof of damages actually incurred.

Refusing to enforce the contingent remedy that the parties contracted for in their settlement agreement injects uncertainty into commercial tenancy agreements and the settlement of disputes thereunder, increasing the parties' transaction costs. It also rewards a sophisticated, represented party for breaching its validly-entered agreements. This will discourage commercial landlords from agreeing to settlements of this nature, to the detriment of defaulting tenants like D'Agostino; limiting the damages recoverable when such settlements are breached to the discounted amount provided for in the restructured contract, even in the event of a new breach, removes any incentive for landlords to agree to settle by permitting tenants who have already defaulted to default again without recourse.

Because there was nothing unfair about the settlement crafted by these well-counseled sophisticated parties, public policy affords no basis to alter their contract. Since the back rent payments were already substantially overdue, Columbia reasonably sought assurance that D'Agostino would uphold its end of the bargain under the surrender agreement (something it failed to do under the lease). As reflected in the plain language of the agreement, Columbia was willing to forgo pursuit of its then-existing right to collect *both* unpaid back rent and future rent only if D'Agostino timely made the back rent installment payments (the owner gave up its right to receive more money overall but would be assured of prompt payment of a discounted amount on a regular schedule, without the need for litigation). Of course, that is not what happened. By eliminating the element that induced the owner to give up its rights, the majority creates a distorted, one-sided settlement in which—despite its default—D'Agostino was able to enjoy the full benefit of the bargain. Because freedom of contract should “prevail[] in [this] arm’s length transaction between sophisticated parties” (159 *MP Corp.*, 33 NY3d at 359) and there is no countervailing public policy basis that would justify relieving D'Agostino of the bargain it struck in the surrender agreement, I respectfully dissent.

Judges FAHEY, GARCIA and FEINMAN concur; Chief Judge DiFiore dissents in an opinion in which Judges STEIN and WILSON concur.

Order affirmed, with costs.

[163 NE3d 15, 139 NYS3d 84]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v BENITO
LENDOF-GONZALEZ, Respondent.

Submitted October 15, 2020; decided November 24, 2020

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 15, 2019. The Appellate Division order, insofar as appealed from, modified, on the law, a judgment of the Niagara County Court (John L. Michalski, J.), which had convicted defendant, upon a jury verdict, of attempted murder in the first degree (two counts), attempted murder in the second degree (two counts) and criminal solicitation in the second degree. The modification consisted of (1) reversing those parts of the judgment convicting defendant of attempted murder in the first degree and attempted murder in the second degree, and (2) dismissing counts 3 through 6 of the indictment.

People v Lendof-Gonzalez, 170 AD3d 1508, affirmed.

HEADNOTE

Crimes — Murder — Attempt — Sufficiency of Evidence — Conduct Not Dangerously Close to Commission of Intended Crime

The evidence at trial was legally insufficient to support defendant's convictions for attempted murder in the first and second degrees (Penal Law §§ 110.00, 125.27 [1] [a] [vi]; 125.25 [1]) because it failed to prove that defendant and his feigned confederate took any actual step toward accomplishing defendant's plan to kill his wife and mother-in-law beyond mere conversations and planning. A person is guilty of an attempt to commit a crime if the person's conduct comes "dangerously close" to committing the intended crime, past the stage of mere intent or preparation. Here, only defendant's own acts were considered because his purported accomplice, an inmate in an adjacent cell at the jail where defendant was being held on domestic violence charges, was working with the authorities and did not take steps toward furthering the plan other than listening to defendant's scheme. The evidence established that defendant promised to provide a house to the accomplice, gave him the purported address of the targets, instructed him when to carry out the murders, provided him with a hand-drawn map of the location to drop off defendant's children afterward, handed him a detailed plan of how to carry out the murders, told him the location of the keys to the house, called the accomplice's girlfriend to arrange for him to visit the jail after he was released, wrote a fake suicide note and showed it to the accomplice, and prearranged a code to discuss the postmortem over the recorded jail phone. Those acts were limited to the planning stages of committing the offense, specifying the who, what, where, when, and how of defendant's murder plans. Defendant's promise of a house did not advance the scheme's chance of success. He did

not make a cash payment, provide means to purchase drugs for the murders, or provide a murder weapon. Nothing in the record established that the targets lived or could be found at the provided location or that defendant provided other information to track them down. Despite a specific intent to kill, an agreement with a confederate to commit the crimes, and acts corroborating that agreement, there was no evidence of acts that carried the plot forward within dangerous proximity to the criminal end to be attained.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Criminal Law § 149; AM JUR 2d Homicide §§ 23, 534–536.

McKINNEY'S, Penal Law §§ 110.00; 125.25 (1); 125.27 (1) (a) (vi).

NY JUR 2d Criminal Law: Substantive Principles and Offenses §§ 281–282, 288–289.

ANNOTATION REFERENCE

What constitutes attempted murder. 54 ALR3d 612.

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Query: attempt! /p “dangerously close” & murder or homicide

POINTS OF COUNSEL

Caroline A. Wojtaszek, District Attorney, Lockport (Thomas H. Brandt and Mary Jean Bowman of counsel), for appellant. Defendant's 10 separate acts, together, was conduct that came dangerously near completion of the murders. (*People v Mahboubian*, 74 NY2d 174; *People v Rizzo*, 246 NY 334; *People v Hernandez*, 93 NY2d 261; *People v Saunders*, 85 NY2d 339; *People v Trepanier*, 84 AD2d 374, 56 NY2d 655; *People v Sullivan*, 173 NY 122; *People v Sabo*, 179 Misc 2d 396; *People v Coleman*, 74 NY2d 381; *People v Putnam*, 130 AD2d 52, 70 NY2d 754; *People v Pagnotta*, 25 NY2d 333.)

Robert M. Graff, Lockport, for respondent. I. The decision of the Appellate Division is beyond the scope of review of the Court of Appeals. (*People v Naradzay*, 11 NY3d 460; *People v Mahboubian*, 74 NY2d 174; *People v Kassebaum*, 95 NY2d 611; *People v Acosta*, 80 NY2d 665; *People v Albrow*, 52 NY2d 619; *People v Brown*, 25 NY3d 973; *People v Bradford*, 15 NY3d 329; *People v Danielson*, 9 NY3d 342; *People v Williams*, 84

NY2d 925; *People v Rayam*, 94 NY2d 557.) II. The verdict was not based upon legally sufficient evidence. (*People v Rizzo*, 246 NY 334; *People v Trepanier*, 84 AD2d 374, 56 NY2d 655; *People v Sabo*, 179 Misc 2d 396; *People v Putnam*, 130 AD2d 52, 70 NY2d 754; *People v Smith*, 32 AD3d 1318; *People v Kennedy*, 145 AD3d 1577.) III. Penal Law § 110.10 has no application to the case.

OPINION OF THE COURT

FEINMAN, J.

Under our long-standing precedents, a person is guilty of an attempt to commit a crime if the person's conduct comes "dangerously close" to committing the intended crime (*People v Mahboubian*, 74 NY2d 174, 191 [1989]; *People v Moran*, 123 NY 254, 257 [1890]). The People's evidence in this case was insufficient to support defendant's convictions for attempted murder in the first and second degrees because it failed to prove that defendant and his feigned confederate took any actual step toward accomplishing defendant's plan to kill his wife and mother-in-law beyond mere conversations and planning. Accordingly, we affirm.

Viewed in the light most favorable to the People, the relevant events in this case unfolded over several days in May 2016 at the Niagara County Jail, where defendant was being held after his arrest at a mobile home in late April for alleged acts of domestic violence against his wife. On May 16, the inmate in the adjoining cell (hereinafter MS) used the communal phone in the cell block to call his girlfriend. The couple discussed obtaining bail for MS and mentioned the impending eviction from their apartment. Once MS had returned to his cell, defendant knocked on the wall and passed a note through the cell bars. The note proposed a deal. Defendant would give MS a house if MS did "two things" for him: kill his wife and mother-in-law using "shop heroin and new drugs"; and make arrangements for the care of his two children. Defendant asked that MS complete his end of the bargain as soon as he was released from jail, and defendant sent a note stating an address and the names of the two targets along with instructions on the time the murders should take place.

Although MS had no intention of following through on defendant's requests, he played along. He wrote defendant that he expected to be released in two days, on May 18, and could "do it" on either May 19 or May 20. Defendant asked that the

job be done “clean[ly] with drugs” and with “[n]o violence,” and requested that MS “[u]se gloves.” In a “detailed plan to follow,” defendant gave instructions on how to carry out the murders: MS was to display drugs on a table to stage a fake overdose, get the victims’ fingerprints on “everything” that MS used to kill them, pick up keys to the house and cars, and take defendant’s two young children with him once he was done. After this initial back-and-forth with defendant, MS informed a correction officer that he had “very serious information” to share and turned over the notes to the jail authorities. They told him to continue communicating with defendant and act as though the plan would proceed as discussed.

The next morning, on May 17, defendant provided MS with a hand-drawn map showing the location of a third party’s house, where, according to defendant’s instructions, MS was to take the children after killing defendant’s wife and mother-in-law. Defendant also gave MS a letter for the third party. Lastly, defendant instructed MS on where to park when he arrived at the targets’ identified address and gave a vague description of the location of a hidden set of keys—“on the left up to your head”—for MS to use after making sure that the two targets were inside. MS turned these notes over to the authorities and was removed from his cell block until his release from jail the next day.

After being released on bail, MS learned from his girlfriend that defendant had called, using a number provided by MS, and asked that MS visit him in jail. In coordination with the authorities, MS recorded his conversation during his visit with defendant on May 19. Defendant discussed the “game plan” for the murders and presented MS with a paper he asked him to read, which MS understood to be a blueprint for a suicide letter to make it look like defendant’s wife committed suicide. According to defendant’s plan, MS would kill the wife and mother-in-law that evening and call defendant the next day using prearranged code words to confirm that the murders had been carried out. MS received a call from defendant the following day, on May 20. Speaking in code, MS told defendant that the “cars” (defendant’s wife and mother-in-law) had been “fixed” (killed) and that the “tires” (defendant’s children) were with him. Defendant said he was “happy now.” Defendant called MS on May 24 to again confirm that MS had fixed the “cars” and taken care of the “tires.” After MS expressed concern about when defendant would give him the house, defendant said he had “another place” where MS could stay for “free.”

At the close of the People's case, defendant moved to dismiss all counts, arguing that, with respect to the attempted murder counts, there was no evidence of conduct "beyond exchange of letters and some conversation"—that is, nothing beyond mere preparation and planning—and no proof of conduct "carrying the project forward within dangerous proximity . . . to the criminal end to be attained" that would satisfy the requisite "dangerously close" standard for an attempt. The trial court denied the motion, finding that the case "just barely survives."

In defining attempt, the court charged the jury that "[c]onduct which tends to effect the commission of a crime means conduct which comes dangerously close or very near to the completion of the intended crime," and that a person is guilty of an attempt to commit a particular crime if the person "intends to commit a crime and engages in conduct which carries his or her purpose forward within dangerous proximity to the completion of the intended crime." The jury convicted defendant of two counts of attempted murder in the first degree, two counts of attempted murder in the second degree, and one count of criminal solicitation in the second degree. Defendant moved to set aside the verdict with respect to the attempted murder convictions on the ground that the evidence showed no "affirmative action beyond the planning," but the trial court denied the motion. On defendant's appeal, the Appellate Division vacated the convictions for attempted murder, holding that the evidence at trial was legally insufficient to establish that defendant engaged in conduct that came "dangerously near commission of the completed crime" (170 AD3d 1508, 1510 [4th Dept 2019], quoting *People v Naradzay*, 11 NY3d 460, 466 [2008]). Noting that "several contingencies stood between the agreement in the [jail] and the contemplated [crimes]," the Court determined that the "evidence establishes only that defendant planned the crimes, discussed them with the inmate in the next cell and with that inmate's girlfriend, and exchanged notes about them" (*id.*, quoting *People v Acosta*, 80 NY2d 665, 671 [1993]). A Judge of this Court granted leave to appeal (33 NY3d 1071 [2019]).¹

When assessing the legal sufficiency of a jury verdict, we view the facts in the light most favorable to the People and ex-

1. Contrary to defendant's contention, we have jurisdiction to review the question of law presented here as legal sufficiency is a question of law and the relevant arguments were preserved at trial.

amine whether “there is a valid line of reasoning and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a reasonable doubt” (*People v Danielson*, 9 NY3d 342, 349 [2007] [internal quotation marks omitted]). The crimes at issue in this appeal are attempted murder in the first degree and attempted murder in the second degree. As relevant here, the crime of first-degree murder requires the People to prove that a defendant caused another person’s death with the intent to do so and “procured commission of the killing pursuant to an agreement with a person other than the intended victim to commit the same for the receipt, or in expectation of the receipt, of anything of pecuniary value from a party to the agreement” (Penal Law § 125.27 [1] [a] [vi]). For second-degree murder, the People must prove that a defendant caused the death of another with the intent to do so (Penal Law § 125.25 [1]). The inchoate versions of these offenses, as charged here, layer on the definition of criminal attempt set forth in Penal Law § 110.00, which provides that a “person is guilty of an attempt to commit a crime when, with intent to commit a crime, [the person] engages in conduct which tends to effect the commission of such crime.”

The mens rea element is not at issue in this case. The People’s evidence overwhelmingly supports a rational jury’s conclusion that defendant specifically intended to kill his wife and mother-in-law, entered into an agreement to procure the services of MS to carry out his plan, and was “happy” when he was told that the murders had been carried out. Instead, the case turns on whether, as a matter of law, the People adduced sufficient evidence of conduct to satisfy the actus reus requirement for attempted murder.

It is well established that the “law does not punish evil thoughts, nor does it generally consider mere preparation sufficiently dangerous to require legal intervention” by imposing attempt liability (*People v Bracey*, 41 NY2d 296, 300 [1977] [citations omitted]). Rejecting the more lenient “substantial step” test and adhering to the close-proximity test (*Mahboubian*, 74 NY2d at 191), our Court has repeatedly reaffirmed that, to constitute an attempt, “the defendant’s conduct must have passed the stage of mere intent or mere preparation to commit a crime” (*Naradzay*, 11 NY3d at 466 [internal quotation marks omitted]; see also *People v Rizzo*, 246 NY 334, 337 [1927]). Although the “act need not be ‘the final one towards

the completion of the offense’ ” (*Bracey*, 41 NY2d at 300, quoting *People v Sullivan*, 173 NY 122, 133 [1903]), it must be “so near to its accomplishment that in all reasonable probability the crime itself would have been committed but for timely interference” (*Rizzo*, 246 NY at 337 [“The act or acts must come or advance very near to the accomplishment of the intended crime”]).² Stated differently, the acts must come “dangerously near” commission of the completed crime (*Naradzay*, 11 NY3d at 466; see *People v Werblow*, 241 NY 55, 61 [1925] [“Acts in furtherance of a criminal project do not reach the stage of an attempt unless they carry the project forward within dangerous proximity to the criminal end to be attained”]).

As we have previously explained, “the boundary where preparation ripens into punishable conduct depends greatly on the facts of the particular case” and “differs with different crimes” (*Mahboubian*, 74 NY2d at 190-191). Although the “necessity of further steps for completion of the crime and the possibility of abandonment or renunciation are factors to be considered in evaluating whether conduct has come ‘dangerously close’ to success,” those factors “are not dispositive” (*id.*). The inquiry “focus[es] on the steps defendant took to accomplish the crime, rather than on the actions or disposition of the particular . . . victim” (*People v Denson*, 26 NY3d 179, 191 [2015]).

Here, the only conduct to be considered is defendant’s own acts because his purported accomplice, who was working with the authorities, did not take any steps toward furthering the planned murders other than listening to defendant’s scheme. MS did not, for example, acquire the instrumentality for the crimes (such as drugs or poison), verify the existence of the keys and obtain them from the stated location, or stake out the address supplied by defendant to make sure that the wife and mother-in-law were present at the location specified. Nevertheless, the People, mostly by parsing defendant’s communications with MS, argue that defendant engaged in sufficient conduct by: (1) promising to provide a house to MS; (2) giving MS the purported address of the targets; (3) instructing MS when to carry out the murders; (4) providing MS with a hand-

2. The legislature has revised the statutory definition of attempt since *Rizzo* was decided. However, this Court subsequently reaffirmed the “dangerous proximity” standard, reasoning that the legislative history demonstrated a clear intent to maintain *Rizzo* (*People v Di Stefano*, 38 NY2d 640, 652-653 [1976]).

drawn map of the location of the third party's house, where MS was to drop off the children after the murders; (5) handing MS a detailed plan of how to carry out the murders; (6) telling MS the location of the keys to the house; (7) calling MS's girlfriend to arrange for MS to visit the jail; (8) writing a fake suicide note; (9) showing MS the suicide note; and (10) creating a prearranged code to discuss the postmortem over the recorded jail phone.

Not only are these acts "preparatory in a dictionary sense" (*Mahboubian*, 74 NY2d at 191), they are also limited to the planning stages of committing the offense: they specify the who, what, where, when, and how of defendant's murder plans. Notably absent are any acts that can be deemed to bring the crimes dangerously close to completion. Indeed, numerous contingencies necessary for the crimes' commission remained unfulfilled.³ Although the attempt standard is fact specific, what is missing here is any act that, when viewed in the light most favorable to the People, could satisfy the dangerous-proximity test. Defendant's initial promise to give MS a house was just that—a simple promise. It did not advance the scheme's chance of success. Defendant neither made a cash payment nor provided MS with any means to purchase drugs for the murders.⁴ Defendant did not provide a murder weapon (*cf. Naradzay*, 11 NY3d at 467 [finding that defendant's conduct

3. There is no dispute that the evidence here was legally sufficient to support defendant's conviction for criminal solicitation in the second degree, based on defendant's conduct in soliciting MS to murder his two targets (Penal Law § 110.10). On the continuum of anticipatory crimes set forth in the Penal Law, the crime of conspiracy is next on the spectrum after criminal solicitation and requires proof of an "overt act" in furtherance of an agreement with one or more persons to commit a crime (*see People v Ribowsky*, 77 NY2d 284, 293 [1991]; *People v Bongarzone*, 69 NY2d 892, 896 [1987]). For reasons not revealed in the record, the People did not charge defendant with conspiracy to commit a murder, which is designated by the legislature as a class B felony (*see* Penal Law § 105.15).

4. Sometimes, even the fact of payment may not, when taken with other facts, be sufficient to satisfy the dangerous-proximity standard (*see e.g. People v Putnam*, 130 AD2d 52, 55 [3d Dept 1987] [finding evidence legally insufficient to sustain a conviction for attempted murder where the defendant paid the hired killer "a sum of money as his fee for the killing"]; *State v Melton*, 371 NC 750, 752, 757-758, 821 SE2d 424, 425-426, 428 [2018] [vacating a conviction for attempted murder under North Carolina law—which, like New York law, requires conduct beyond mere preparation—even though the defendant paid an undercover officer \$10,000 to kill his ex-wife]; *Commonwealth v Hamel*, 52 Mass App Ct 250, 256, 752 NE2d 808, 813 [2001] [reasoning that tendered payment in the form of access to a marijuana field did not come dangerously close to "physical perpetration of (the) murders"]).

(n. cont'd)

came “dangerously near” to murder where “he filled his pockets with 25 sabot slugs, loaded a shotgun capable of hitting a target accurately at a distance of 100 yards with four of these slugs, including one in the chamber, and stood mere steps away from the property of his intended victims”]). And although defendant provided an address, nothing in the trial record establishes that the wife and mother-in-law, in fact, lived or could be found there.⁵ Nor does the proof establish that defendant provided any other information that MS could have used to track down the intended victims.⁶ The other acts listed by the People—such as producing a hand-drawn map, a “detailed plan,” and a fake suicide note—consisted of instructions on how to carry out and cover up the murders. They were not actual steps that brought defendant or MS dangerously near or in close proximity to committing the murders (*cf. People v Trepanier*, 84 AD2d 374 [4th Dept 1982] [finding attempt where the defendant made an advance payment to a pseudo-arsonist, removed boards covering a window, and left the window open to allow the arsonist into the building]).

Despite the absence of actual steps beyond mere planning, the People point out that defendant believed MS could and would execute the plan. They cite Penal Law § 110.10 and reason that, as long as defendant believed that MS somehow had the ability to procure and use the drugs to fake the suicide of the wife and murder the mother-in-law and that the targets would be present at the stated address, it is no defense that commission of the completed crimes was not possible as the attendant circumstances were not as defendant believed them to be. But Penal Law § 110.10 does not dispense with the require-

In contrasting our facts with those in other cases, we do not express an opinion on whether any act missing here would have been legally sufficient to convict defendant for attempt. The comparison nevertheless shows that the People’s proof in this case falls short of what is legally required.

5. A police witness testified that he arrested defendant for domestic violence allegedly committed against his wife, after being “dispatched” to a mobile home on April 21, 2016, at the same address defendant provided to MS. However, no proof was elicited to establish who owned or lived in the mobile home.

6. We do not intend to suggest that providing information on how to locate a victim would necessarily be to cross the line from preparation to attempt. Some courts have found that act not determinative in murder-for-hire cases (*see e.g. Melton*, 371 NC at 752, 821 SE2d at 425-426 [holding there was no attempted murder, even though the defendant gave the undercover officer his ex-wife’s name, address, and phone number; provided pictures of the victim; specified ex-wife’s routine; and described her car]).

ment that, to be found guilty of attempt, a defendant must “engage[] in conduct which tends to effect the commission of [the] crime” (Penal Law § 110.00). The People still had to prove that “the conduct in which [defendant or his agent] engage[d] otherwise constitutes an attempt to commit” murder (Penal Law § 110.10)—in other words, that defendant or his agent engaged in conduct that came dangerously near or in close proximity to committing the murders (*see Mahboubian*, 74 NY2d at 191). The People failed to do so here.

By equating defendant’s agreement and planning with MS with the acts necessary to support the attempted murder convictions, the dissent effectively dilutes the level and nature of the proof required for an attempt to commit a crime. In a conspiracy prosecution, the People must prove the commission of an overt act in furtherance of the conspiracy (Penal Law § 105.20), which “provides corroboration of the existence of the agreement” and shows that “the agreement has reached a point where it poses a sufficient threat to society to impose sanctions” (*People v McGee*, 49 NY2d 48, 58 [1979]).⁷ However, the acts required to establish attempt culpability are qualitatively different from the overt acts needed for a conspiracy to commit a murder; they are acts that tend to effect the substantive crime and demonstrate the nearness or immediacy of defendant’s commission of the crime (*see e.g. Naradzay*, 11 NY3d at 467-468 [defendant guilty of attempted murder where he was found by police outside intended victim’s home with a shotgun, ammunition, and to-do list outlining the murder plot in his pocket]; *People v Dlugash*, 41 NY2d 725, 735 [1977] [defendant guilty of attempted murder where he shot victim whom he believed to be alive at the time]). Indeed, cases in which we ultimately concluded that the defendant’s acts fell short of the

7. The agreement defendant made with MS here is strikingly similar to the defendant’s conduct in *People v Washington* (8 NY3d 565 [2007]), which was legally sufficient to support a conviction for conspiracy in the second degree. There, the inmate solicited and agreed to pay a government informant for the killing of a rival and engaged in overt acts in furtherance of that agreement, including providing the feigned confederate with a telephone number to contact the defendant’s associates to arrange for the contract killing (*see also Bongarzone*, 69 NY2d at 896 [evidence sufficient to find an overt act in support of a conviction for conspiracy to kill an eyewitness to the defendant’s automobile accident, which resulted in two deaths, where the defendant provided payment to an undercover officer to kill the witness, provided a photograph of the intended victim, and made telephone calls to his mother and sister in furtherance of the plan]).

“dangerously near” standard for an attempt conviction demonstrate how close to the commission of the substantive crime our precedents require the defendant’s conduct to progress to constitute an attempt (*see e.g. People v Mike*, 92 NY2d 996, 999 [1998] [defendant offered to sell drugs to undercover officers, entered officers’ vehicle, and led them to a building, but officers’ refusal to give defendant money or accompany him into building was insufficient to sustain attempted sale conviction, even though defendant later gave a statement indicating he intended to sell them cocaine]; *Rizzo*, 246 NY at 336, 338-339 [conviction for attempted robbery reversed where defendant and his confederates drove in their car looking for their robbery target, a payroll man, but could not find him]). Here, in stark contrast, despite a specific intent to kill, an agreement with a confederate to commit the crimes, and acts corroborating that agreement, there was no evidence of any acts that carried the murder plot “forward within dangerous proximity to the criminal end to be attained” (*People v Warren*, 66 NY2d 831, 832 [1985]). While defendant’s creation of a master plan and solicitation of a person who was not going to do anything to carry out that plan was sufficient to establish his criminal culpability for other anticipatory crimes, his inability to perform the requisite acts himself cannot substitute for evidence that the intended crimes were dangerously close to completion. In sum, the evidence was legally insufficient to support defendant’s convictions for attempted murder.

Accordingly, the Appellate Division order, insofar as appealed from, should be affirmed.

RIVERA, J. (dissenting). On this appeal, we must determine whether the trial evidence was legally sufficient to support defendant’s conviction on four counts of attempted murder based on the steps defendant took to accomplish those crimes at the hands of his hired accomplice, who was in actuality a government informant. Under our law, the evidence is sufficient if, viewed in the light most favorable to the prosecution, defendant’s conduct was dangerously close to achieving the crimes, but for his accomplice’s cooperation with the authorities (*see People v Mahboubian*, 74 NY2d 174, 192 [1989]; *People v Dlugash*, 41 NY2d 725, 738 [1977]; *People v Rizzo*, 246 NY 334, 337 [1927]; *People v Lawton*, 56 Barb 126, 132 [NY Sup Ct

1867]; *People v Bush*, 4 Hill 133, 134 [NY Sup Ct 1843]).¹ That threshold is met here. Defendant provided the informant with the names and address of the intended victims, the location of the keys to enter their home and directions on how and when to accomplish the crimes, as well as a financial incentive for committing the murders. Further, because defendant was incarcerated, the informant worked with law enforcement to convince defendant that nothing remained to be done other than the murders at the hands of his supposed accomplice.

Defendant's singular purpose was to ensure, from a distance, the inevitable commission of the murders by his accomplice. Nonetheless, the majority concludes that the acts taken by defendant never passed "mere conversations and planning" (majority op at 89). The majority reaches that conclusion by engaging in a weight of the evidence analysis that questions the viability of defendant's murder-for-hire scheme (*id.*). But our law is clear that we may consider only whether the evidence was legally sufficient, not whether the evidence was factually persuasive, to support defendant's conviction (*see People v Danielson*, 9 NY3d 342, 349 [2007]). Given that the accomplice never intended to commit the crimes, the majority cannot point to a single step that remained to be taken for defendant to ensure that the intended murders would be committed as he planned them. The majority essentially rejects our individualized approach to criminal-attempt liability and instead erects a contrived hurdle to prosecuting a contract murder where the hired killer is an informant. I dissent.

I.

Defendant Benito Lendof-Gonzalez was convicted upon a jury trial of two counts each of first- and second-degree attempted murder, and one count of criminal solicitation in the second degree. The prosecution's theory was that defendant enlisted someone to commit the murders, and his plan was

1. The reports of Nicholas Hill (1805-1859) include the decisional law of our immediate predecessor, the Court for the Trial of Impeachments and Correction of Errors, established under the New York Constitution of 1777, and the Supreme Court of Judicature, established in 1691 by Colonel Henry Sloughter, the colonial governor of New York (The Judges of the New York Court of Appeals: A Biographical History xxvii-xxix [Albert M. Rosenblatt ed 2007]; *see also* Henry Wilson Scott, The Courts of the State of New York: Their History, Development and Jurisdiction 321 [1909], citing 1777 NY Const art XXXII). The Court for the Trial of Impeachments and Correction of Errors consisted of, among others, judges of the Supreme Court (Rosenblatt, *supra*, at xxix, citing 1777 NY Const, art XXXII).

thwarted only because his intended accomplice was cooperating with the authorities.

At trial, the prosecution presented defendant's booking card and testimony from a state police officer who explained that defendant was arrested and held in custody at the county jail pending prosecution on charges of second-degree menacing, criminal obstruction of breathing and blood circulation, fourth-degree criminal possession of a weapon, first-degree unlawful imprisonment, third-degree assault and second-degree harassment for his alleged attack on his spouse.

On Monday, May 16, approximately one month into defendant's detention, defendant was in punitive segregation.² The inmate in the adjoining cell, MS, testified that, on that day, he was on a telephone call directly across from defendant's cell, discussing his bail status with his girlfriend, HG, as well as their impending eviction from the home that they shared prior to his incarceration. When MS finished the call and returned to his cell, defendant knocked on their shared wall and passed MS a paper upon which he had written the first of several notes that they would exchange over the next few minutes.

Defendant offered MS "a deal" in which he would give him a house once defendant was released, if MS killed defendant's spouse and mother-in-law using drugs. Defendant also asked that MS take his two children out of the house after the murders. MS pocketed defendant's note and wrote to defendant on a new piece of paper: "With heroin? That can be done pretty easily. Where is she from Lockport or Buffalo?" Defendant responded that he wanted it done that week, after MS was released and requested a telephone number to contact MS. MS provided a fake number but later provided defendant with HG's number.

Defendant then sent a note with the names of the intended victims, when he wanted them murdered (between 9:30 and 10:00 p.m.), and an address, which was the same address where defendant was arrested for the alleged assault on his spouse. MS again pocketed the note and on a separate paper asked whether he should use straight heroin or mix it with poison. "Absolutely. [When] can you do it?" defendant responded.

2. MS described punitive segregation, or double-lock, as mandatory segregation in which inmates are kept alone in a cell for 23 hours a day. An officer from the County Sheriff's Office also testified that inmates housed in the punitive segregation cell block are limited to one phone call a week.

Defendant and MS further agreed that if MS was released on bail on Wednesday, he would commit the crimes on Thursday. Defendant directed that the murders should take place “between 9:30 and 10 because [defendant’s spouse] leaves the door open sometimes. No violence. Clean. Use gloves.” MS was to take defendant’s two children with him after completing the murders.

Finally, on a last piece of paper with “detailed plan to follow” written across the top, defendant wrote six paragraphs of instructions. The instructions included to “get heroin and some cocaine to display on the coffee table to pretend that she was doing drugs with her mom”; “get her fingerprints on everything you used on [sic] hers”; and to take the keys to the house and car and close the door when leaving.

The following day, defendant sent MS another note telling MS not to talk to anyone and to stay the course. Reminding MS of their agreement, defendant wrote “I need my life back and my kids ok and you a house for your family. Do it clean with drugs. Don’t stay.” Later in the day he sent a note with more instructions as well as the location of the house keys:

“when you go to my house don’t park in the front until you get [the] job done . . . [Then] you can use [the] left side of my house. You need to turn off the light of [the] car before you park ok and then go to the house. When you get [to] . . . the door I have keys to get in, [they are] on the left [side] up to your head ok and you need to make sure that two people [are] there.”

Defendant also detailed where MS was to take his children. He wrote that MS should take the children from the house and leave them with defendant’s friend. He provided MS with a hand drawn map to the friend’s home and a letter that defendant had written to the friend. In the letter, defendant requested that the friend get a babysitter, hide the children, and notify his family that she was caring for them.

Notwithstanding his apparent acceptance of defendant’s murder contract, MS never intended to commit the murders. He instead informed the authorities of defendant’s plan on the day that defendant recruited MS. MS turned over every note that he received from that day forward and agreed to cooperate with authorities. These notes were admitted into evidence and with consent of counsel, the court provided the notes to the jury at the commencement of deliberations.

On Wednesday, MS was released on bail. Upon his release, he learned from HG that defendant had called her asking for MS to return to jail to visit him. The authorities arranged for the visit at the jail the next day.³ During this meeting, defendant showed MS a handwritten suicide letter. He instructed MS to force defendant's spouse to transcribe the text of the document in her handwriting so that it appeared as though defendant's spouse had written the letter. Defendant and MS agreed that defendant would call the next day to confirm that MS had murdered the intended victims. MS testified that he understood the instructions at this meeting and confirmed "[t]hat it was on," meaning that MS "was to go through with . . . [t]he murder of both people."

As agreed, defendant called MS the next morning to confirm the murders. The two spoke in code as arranged, and, after MS responded to defendant's questions that all was done as planned, defendant stated, "I'm happy now." Four days later, defendant made an unannounced call to MS to confirm the murders for a second time.⁴

At the close of the prosecution's case-in-chief, defendant moved to dismiss the attempted murder counts as legally insufficient. The court denied the motion. Defendant did not offer any evidence in his defense. After the jury's guilty verdict, defendant moved to vacate his conviction on the attempt charges on the same insufficiency ground. The court also denied this motion and imposed concurrent sentences of 17-years-to-life imprisonment for first-degree attempted murder; 17 years followed by five years' postrelease supervision for second-degree attempted murder; and 2¹/₃ to 7 years' incarceration for criminal solicitation.

On appeal, the Appellate Division reversed the conviction on the attempted murder counts, concluding the evidence was legally insufficient "to establish that defendant took any action that brought the crime close to completion" (170 AD3d 1508,

3. The court excluded as substantially inaudible the recordings and denied the prosecution's request to provide the jury with transcripts of the meeting but permitted MS to testify generally about what he and defendant discussed.

4. MS knew these calls originated from the jail because of the opening prompt. Both calls were recorded, and the court admitted recordings of the calls into evidence and the prosecution played the calls for the jury. These calls and the initial call to HG were corroborated by notations on defendant's booking card that three calls were placed using his jail number on the telephone across from his cell.

1511 [2019]). A Judge of this Court granted the People leave to appeal (33 NY3d 1071 [2019]).

The prosecution asserts that evidence of defendant's conduct was legally sufficient to support the attempted murder counts because he took several steps beyond planning and preparation towards commission of both murders, and the only reason the scheme failed was because the informant intervened. Defendant counters that the Appellate Division's order of modification was not on the law alone but also on the facts as found by the Appellate Division and is therefore unreviewable by this Court. On the merits, defendant argues that defendant's conduct amounted to no more than a solicitation to commit the crime. Defendant maintains that the intended victims were in no immediate danger because neither he nor the informant took any actions beyond planning and preparation to bring the crime close to completion.

In the context of this murder-for-hire, the evidence was sufficient as a matter of law. Defendant both planned the killings and took all necessary steps that, if the circumstances had been as defendant believed them to be, would have resulted in the murders. Contrary to defendant's assertions, the impossibility of achieving the crime based on the informant's lack of intent or action in furtherance of the murders is no obstacle to defendant's conviction for the attempted crimes. The sufficiency of the evidence turns on defendant's conduct, not that of the informant (*see People v Denson*, 26 NY3d 179, 190 [2015] ["Our analysis with respect to whether a defendant has come dangerously near to completing a crime, however, has focused primarily on the conduct of the defendant"]).

II.

A. Standard of Review

As a threshold matter, contrary to defendant's claim, a determination by the Appellate Division that the trial evidence was legally insufficient to establish guilt is a determination "deemed to be upon the law," and subject to review by this Court (*see* CPL 470.15 [4] [b]; 450.90 [2] [a]). Our review follows established rules.

A verdict is legally sufficient when, "viewing the facts in a light most favorable to the People, 'there is a valid line of reasoning and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a

reasonable doubt’ ” (*Danielson*, 9 NY3d at 349, quoting *People v Acosta*, 80 NY2d 665, 672 [1993]). “This deferential standard is employed because the courts’ role on legal sufficiency review is simply to determine whether enough evidence has been presented so that the resulting verdict was lawful” (*Acosta*, 80 NY2d at 672).

B. New York’s Law on Attempted Crimes

To meet its burden with respect to an attempted crime, the prosecution must show, beyond a reasonable doubt, that a defendant, “with intent to commit a crime, . . . engage[d] in conduct which tends to effect the commission of such crime” (Penal Law § 110.00). As to the counts at issue on this appeal, the court charged the jury on murder in the first degree, in relevant part, as requiring a showing, beyond a reasonable doubt, that

“[w]ith intent to cause the death of another person, [defendant] causes the death of such person or of a third person; and . . .

“the defendant committed the killing or procured commission of the killing pursuant to an agreement with a person other than the intended victim to commit the same for the receipt, or in expectation of the receipt, of anything of pecuniary value from a party to the agreement or from a person other than the intended victim acting at the direction of a party to such agreement” (Penal Law § 125.27 [1] [a] [vi]).

The court charged on murder in the second degree as requiring a showing beyond a reasonable doubt that “[w]ith intent to cause the death of another person, [defendant] cause[d] the death of such person or of a third person” (Penal Law § 125.25 [1]). Thus, the prosecution had to present sufficient evidence on the first-degree attempted murder counts of a contract to kill his spouse and mother-in-law, and on the second-degree attempted murder counts that defendant acted in concert with another person to kill both intended victims.

The Court has explained that a defendant’s actions may constitute an attempt within the meaning of Penal Law § 110.00 when the acts “tend[] to effect the commission” of the intended crime (*Mahboubian*, 74 NY2d at 190, quoting Penal Law § 110.00). That point is reached when such conduct is “‘very

near' or 'dangerously near' completion" of the crime (*id.*, quoting *Rizzo*, 246 NY at 338) and has "plac[ed] it in [the defendant's] power to commit the offense unless interrupted, and nothing but such interruption prevented the . . . commission of the offense" (*People v Sobieskoda*, 235 NY 411, 419 [1923]; see also *Mahboubian*, 74 NY2d at 191, quoting *Sobieskoda*, 235 NY at 419).

"[B]ad thoughts alone do not constitute a crime" (*Mahboubian*, 74 NY2d at 189). And "the right to think bad thoughts undeterred or unpunished by the criminal law has been protected by the requirement that in order to be punishable as an attempt, conduct must have passed the stage of mere intent or mere preparation to commit a crime" (*id.*; accord *People v Bracey*, 41 NY2d 296, 300 [1977] ["The law does not punish evil thoughts" (citation omitted)]).

Critically, however, defendant's act "need not be 'the final one towards the completion of the offense'" (*Mahboubian*, 74 NY2d at 190, quoting *Bracey*, 41 NY2d at 300). Rather, "[t]he necessity of further steps for completion of the crime and the possibility of abandonment or renunciation are factors to be considered in evaluating whether conduct has come 'dangerously close' to success, but are not dispositive" (*id.* at 190-191). Another factor to be weighed is whether the defendant's actions are "potentially and immediately dangerous" (*id.* at 191). "The ultimate issue is whether an individual's intentions and actions, though failing to achieve a manifest and malevolent criminal purpose, constitute a danger to organized society of sufficient magnitude to warrant the imposition of criminal sanctions" (*Dlugash*, 41 NY2d at 726).

"The boundary where preparation ripens into punishable conduct depends greatly on the facts of the particular case" and "differs with different crimes" (*Mahboubian*, 74 NY2d at 190, 191, citing *People v Werblow*, 241 NY 55, 61 [1925]). Thus, our law recognizes an attempt when a "defendant[] may not have been physically within striking distance of success, yet in all but the most literal sense, they were" (*id.* at 192).

In the context of a murder for hire, although the defendant has intentionally distanced themselves from the crime by enlisting another to kill the intended victim, the defendant may be culpable for an attempt so long as the defendant or the accomplice's conduct tends to effect the commission of the crime. Nothing in our case law suggests otherwise. A defendant

does not escape potential criminal liability by enlisting another to assist in commission of the crime because the law recognizes that “what a [person] does by another [the person] does by [themselves]” (*Bush*, 4 Hill at 135; *see also Mahboubian*, 74 NY2d at 191 [finding liability for attempted grand larceny where the defendants hired professional burglars to effectuate a staged theft]).

The rule holds even where the accomplice is an informant and has no criminal intent and performs no overt act in furtherance of the offense. A legal or factual impossibility is no defense. If the conduct in which a person engages would otherwise constitute a criminal attempt within the meaning of Penal Law § 110.00, “it is no defense to a prosecution for such attempt that the crime charged to have been attempted was, under the attendant circumstances, factually or legally impossible of commission, if such crime could have been committed had the attendant circumstances been as such person believed them to be” (Penal Law § 110.10). In other words, a defendant’s acts may “come or advance very near to the accomplishment of the intended crime” so long as “the crime itself would have been committed but for timely interference” of the informant (*Rizzo*, 246 NY at 337).

III.

Here, it is beyond dispute that defendant intended to kill his spouse and mother-in-law, and he chose MS as his instrument in that crime. The only question on appeal is whether a rational jury could conclude that his actions crossed the line from mere preparation and rendered the crime dangerously close to completion. The jury could.

Defendant took every step necessary to accomplish his goal. Specifically, he provided MS with an incentive, tailored to address MS’s impending eviction, by offering him a house in exchange for killing the intended victims; he set the date, time, location and manner of the murders; he provided instructions on where to park the car, how to enter the house, and where to find keys to the house and car so that MS could leave with defendant’s children; and defendant drafted and provided MS a letter for the friend who would take care of defendant’s children and the template for a suicide note to facilitate his plan.

Defendant never abandoned or vacillated from his plan (*see Mahboubian*, 74 NY2d at 191). He easily could have done so at

any time. He could have called off the murders when he met MS in jail or by contacting MS or HG. Instead, he consistently reaffirmed his interest in completing the murders quickly because, as he stated in one of his notes, “I need my life back and my kids.” And shortly before the scheduled crimes, he met with MS to ensure MS was ready to follow through with the plan the next day.

The fact that defendant did not provide the drugs to kill the intended victims is not dispositive of his liability for attempted murder as MS never requested that defendant provide the drugs—MS affirmatively indicated that commission of the crime in accordance with defendant’s instructions “can be done pretty easily.” In other words, the jury could reasonably infer that defendant understood, based on MS’s statements, that MS could get the drugs without difficulty and would do so in accordance with the plan. It is unsurprising that a person who hires someone to commit a crime would expect the hired agent to supply the necessary instrumentality to accomplish the act. All the more so here, where defendant was in custody and unable to obtain the lethal drugs and syringe himself. Our law makes plain that “[t]he law must be practical, and, therefore, considers those acts only as tending to the commission of the crime which are so near to its accomplishment that in all reasonable probability the crime itself would have been committed but for timely interference” (*Rizzo*, 246 NY at 337).

Once defendant provided all the information essential for successful completion of the crimes—answers to the who, where, when, and how, as well as the location of keys to the home and car—defendant, in all but the most literal sense, placed the power to commit the murders in MS’s hands. “[T]he overt acts in which . . . defendant . . . engaged, in furtherance of the plot to murder [his intended victims], makes it apparent that the contract murder was dangerously near completion, and that . . . defendant was merely waiting for confirmation of [their] death[s]” (*People v Sabo*, 179 Misc 2d 396, 403 [Sup Ct, NY County 1998]).

Contrary to the majority’s conclusion, defendant committed many acts tending to effect the commission of the crime—in fact the only acts to ensure the murders of his spouse and mother-in-law were defendant’s because MS was an informant

and never intended to go through with defendant's scheme.⁵ The question is not, as the majority argues, whether a specific overt act was taken, but rather whether what defendant did was the type of conduct that placed him dangerously close to accomplishing these murders.⁶ Because the point where mere planning ripens into an attempt turns on the underlying crime itself and the facts adduced at trial, there is no bright-line rule to determine when conduct is dangerously near commission of the crime. " 'Tending' means to exert activity in a particular direction. Any act in preparation to commit a crime may be said to have a tendency towards its accomplishment" (*Rizzo*, 246 NY at 336-337). Defendant's acts were designed expressly to achieve a singular criminal goal: The murders of his spouse and mother-in-law. "Defendant[s] conduct had plainly 'pass[ed] that point where most [individuals], holding such an intention as defendant holds, would think better of their conduct and desist' " (*Mahboubian*, 74 NY2d at 191 [citation omitted]).

This Court long ago rejected a "final act" theory of culpability for an attempt. Our precedent recognizes that, requiring intervention perilously close to the completion of the crime, fails to serve the legislative goals of the Penal Law or society's interests in holding accountable those who have come close

5. Contrary to the majority's assertion (majority op at 94), for purposes of our sufficiency of the evidence review, the sole "contingency" was that MS was a confidential informant and never intended to act on any part of the planned murders. That fact was not going to change, regardless of defendant's actions, so consummation of the crimes was impossible. But impossibility is no defense (*see* Penal Law § 110.10). Indeed, all the steps the majority claims defendant did not take were unnecessary since MS had indicated that he would commit the crimes as planned and had everything he needed to accomplish them based on the incentive and information defendant provided.

6. Contrary to the majority's catalog of supposed deficiencies (majority op at 94-95), the majority cannot point to a single thing that, in fact, *defendant* could have done to bring the crimes closer to completion. Essentially, the majority now requires that law enforcement continue the ruse to "force" a defendant to commit some overt act in the most literal sense. But the majority fails to explain what overt act would necessarily constitute more than mere planning since "even the fact of payment may not, when taken with other facts, be sufficient to satisfy the dangerous-proximity standard" (majority op at 94 n 4), nor does "providing information on how to locate a victim . . . necessarily . . . cross the line from preparation to attempt" (majority op at 95 n 6). Payment and identification of the intended victim are the only necessary elements of a murder for hire solely within the control of a defendant. So if these are not enough in cases where, as here, defendant is the mastermind of the scheme, what is? Nor does the majority explain how some unknown overt act by defendant would matter to the analysis when the scheme cannot be realized once a confidential informant has interrupted a defendant's plan.

enough that they should be held criminally liable (*id.* at 190 n 2). Yet, the majority has essentially adopted that standard in murder-for-hire cases where the accomplice is an informant. Our law does not impose such an onerous burden on law enforcement.

Moreover, the majority's conclusion that more is required than the acts taken here risks perverse outcomes. Assume all other facts adduced at defendant's trial except that he paid the informant one dollar in advance; under the majority's view, defendant would be guilty of an attempt. Yet another person harboring the same intent and having contracted to kill on the same terms, but who promises one million dollars upon completion of the murder, is absolved of criminal liability. This is nonsensical. The focus is on the offender's culpability and, under our law, whether a defendant pays up front or promises to pay later, they are liable for an attempt. The Penal Law expressly says so (*see* Penal Law § 125.27 [1] [a] [vi] [providing for liability for first-degree murder where the defendant "procured commission of the killing pursuant to an agreement with a person . . . for the receipt, or *in expectation of the receipt*, of anything of pecuniary value" (emphasis added)]).⁷ In fact, the conduct of an incarcerated defendant who is found guilty of the *completed* crime of first-degree murder for hire would likely not look much different than defendant's conduct here. In that sense, the majority's conclusion cannot be squared with our instruction that "the boundary where preparation

7. The majority's citation to non-binding precedent from a sister high court and an intermediate appellate court from another jurisdiction is misplaced. In *Commonwealth v Hamel* (52 Mass App Ct 250, 752 NE2d 808 [2001]), the trial court charged the jury that attempt required an "overt act," which the court defined as "some actual, outward, physical action" (52 Mass App Ct at 259, 752 NE2d at 815 [emphasis omitted]), whereas our law requires no such physical action to show an attempt (*see Mahboubian*, 74 NY2d at 190 [requiring that an attempt come "very near to the accomplishment of the intended crime"]). *State v Melton* (371 NC 750, 821 SE2d 424 [2018]), was decided under North Carolina's common-law, criminal-attempt framework, and the court split 4/3 in its conclusion. Unlike here, conspicuously absent in *Hamel* and *Melton* is any agreement on the instrumentality of the murders (*see Hamel*, 52 Mass App Ct at 256, 752 NE2d at 813 ["(E)xcept insofar as an 'accident' was spoken of, and the parents' house might possibly serve as a locus for killings, there was no scheme"]; *Melton*, 371 NC at 768, 821 SE2d at 436 ["On the subject posed by the 'hitman' regarding how defendant 'wanted it done,' (the) defendant replied, 'I don't care about any details'"]). In other words, the respective defendants' failure to agree on the *method* of the intended crime was a deficiency in the prosecution's evidence. Not so here.

ripens into punishable conduct depends greatly on the facts of the particular case” (*Mahboubian*, 74 NY2d at 190).

The fact that MS never intended to keep his end of this criminal bargain does not absolve *defendant* of criminal liability for the attempted murders. Under Penal Law § 110.10, impossibility is no defense “if such crime could have been committed had the attendant circumstances been as such person believed them to be” (Penal Law § 110.10; *see also Dlugash*, 41 NY2d at 735; *People v Moran*, 123 NY 254, 257 [1890] [“Whenever the (intent) exists, followed by acts apparently affording a prospect of success and tending to render the commission of the crime effectual, the accused brings (themselves) within the letter and intent of the statute”]).

As the Court has explained, “the Legislature substantially carried the [Model Penal Code’s] treatment of impossibility into the 1967 revision of the Penal Law” (*Dlugash*, 41 NY2d at 735). The Code proposed a

“fundamental change to shift the locus of analysis to the actor’s mental frame of reference and away from undue dependence upon external considerations. The basic premise of the code provision is that what was in the actor’s own mind should be the standard for determining [the actor’s] dangerousness to society and, hence, [the actor’s] liability for attempted criminal conduct” (*id.* at 734 [citation omitted]).⁸

The legislature was of “the belief that neither of the two branches of the traditional impossibility arguments detracts from the offender’s moral culpability” (*id.* at 735 [citation omitted]; *see also* American Law Institute, Model Penal Code [Tent Draft No. 10], Comments to art 5—Inchoate Crimes, at 5 [“When the actor’s failure to commit the substantive offense is

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8. Section 5.01 (1) (c) of the Model Penal Code provides that
 “[a] person is guilty of an attempt to commit a crime if, acting with the kind of culpability otherwise required for commission of the crime, [such person] . . . purposely does or omits to do anything that, under the circumstances as [the person] believes them to be, is an act or omission constituting a substantial step in a course of conduct planned to culminate in [the] commission of the crime.”

We have so far declined to adopt the Code’s “substantial step” element of criminal attempt given our common law’s requirement that a defendant come dangerously close to commission of the completed crime (*see Mahboubian*, 74 NY2d at 191).

due to fortuity, as when . . . the expected response to solicitation is withheld, exculpating the actor would involve inequality of treatment that would shock the common sense of justice. Such a situation is unthinkable in any mature system, designed to serve the proper goals of penal law”]).

Here, as far as defendant knew, MS was fully capable of and intended to kill defendant’s spouse and mother-in-law in accordance with defendant’s detailed plan, and defendant had provided MS with information both necessary and sufficient to accomplish the murders. MS worked with the authorities to ensure defendant believed that completion of the crimes was underway; all that remained was, on the evening agreed upon, for MS to go to the address provided by defendant, get the keys to the home in the place where defendant said they would be found, enter the home at the time and in the manner defendant had instructed, and kill the persons identified by defendant in accordance with his orders. Under the circumstances, defendant believed nothing remained for him to do but to call MS to confirm the murders. When he made that call, defendant rested assured that MS had performed his end of the bargain. Thus, a rational jury could conclude that “[t]he only reason that an attempt was not made to kill [the intended victims] was because the Informant immediately contacted law enforcement personnel and informed them of the plot” (*Sabo*, 179 Misc 2d at 404). That is, but for MS’s deception, two people very well may have been murdered in their home through defendant’s efforts.

The majority concludes that the evidence is insufficient because more than a few minor acts remained to accomplish the murders. This view accepts defendant’s counterfactuals. It is nothing less than a weight of the evidence analysis, which is not within the scope of our review (*Danielson*, 9 NY3d at 348).⁹

Based on the evidence submitted at trial, a rational jury could credit MS’s testimony about defendant’s exhaustive

9. Unlike the Court of Appeals, the Appellate Division is “empowered to review the record to determine whether the verdict is against the *weight* of the evidence” (*Acosta*, 80 NY2d at 672, citing CPL 470.15 [5]; *People v Bleakley*, 69 NY2d 490, 495 [1987]). Under this standard of review, “the Appellate Division may draw inferences contrary to those implicitly drawn by the jury, and conclude that while legally valid, the verdict should nevertheless be set aside as contrary to the weight of the evidence” (*Acosta*, 80 NY2d at 672). That is, the Appellate Division is empowered to sit as “a thirteenth juror and decide[] which facts were proven at trial” and the evidence’s probity (*Danielson*, 9 NY3d at 348). In contrast, our Court may not weigh the evidence, nor may we “review the Appellate Division’s weight of the evidence determina-

(n. cont’d)

scheme. Further, the same jury could infer that the intended victims would be at the address on the date and time that defendant scheduled the murders, that MS would have found and used the keys to gain entry in accordance with defendant's instructions, and that he would have killed the intended victims, if he had not been an informant. That satisfies our legal sufficiency review, and so our task ends here (*see People v Gordon*, 23 NY3d 643, 649 [2014] ["In considering the evidence we view it 'in the light most favorable to the prosecution,' and recognize that 'the People are entitled to all reasonable evidentiary inferences'"], quoting *People v Delamota*, 18 NY3d 107, 113 [2011]; *Danielson*, 9 NY3d at 349).¹⁰

As noted, "[t]he ultimate issue is whether an individual's intentions and actions, though failing to achieve a manifest and malevolent criminal purpose, constitute a danger to organized society of sufficient magnitude to warrant the imposition of criminal sanctions" (*Dlugash*, 41 NY2d at 726). Defendant intended to murder and, at every step of the way, his conduct comported with this intention. "[D]efendant[] may not have been physically within striking distance of success, yet in all but the most literal sense," he was (*Mahboubian*, 74 NY2d at 192).

For these reasons, I would reverse and remit to the Appellate Division for determination of the facts and issues raised (*see Acosta*, 80 NY2d at 672 [remitting for weight of the evidence review], citing CPL 470.40 [2] [b]).

Chief Judge DiFiore and Judges Stein and Wilson concur; Judge Rivera dissents in an opinion in which Judges Fahey and Garcia concur.

Order, insofar as appealed from, affirmed.

tion" (*id.* at 349, citing Arthur Karger, Powers of the New York Court of Appeals § 21:6 at 754 [3d ed rev 2005]).

10. We may not ruminate, as the majority does, on whether defendant could have been charged with conspiracy, and, if so charged, whether the trial evidence was sufficient to sustain a conviction (majority op at 94 n 3). The only question before us is whether the evidence of the crimes charged—the attempted murders—was sufficient as a matter of law.

[163 NE3d 34, 139 NYS3d 103]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v J.L.,
Appellant.

Argued November 19, 2020; decided December 17, 2020

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 1, 2018. The Appellate Division order, insofar as appealed from, affirmed a judgment of the Supreme Court, Kings County (Joseph K. McKay, J.), to the extent it had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the third degree.

People v Javon L., 164 AD3d 523, reversed.

HEADNOTE**Crimes — Possession of Weapon — Involuntary Possession**

In defendant's prosecution for criminally possessing a gun found in a dresser drawer in a bedroom where he was temporarily staying, the trial court's denial of defendant's request for a jury instruction on voluntary possession constituted reversible error, where a reasonable view of the evidence supported his defense that, to the extent he possessed the weapon at all, such possession was not voluntary, and the evidence of defendant's guilt was not overwhelming. A jury charge must be given if there is evidence reasonably supportive of the defense, even if there is other evidence which, if credited, would negate it. The charge given to the jury, when read in its totality, was inadequate because it failed to explain that, if the jury found that defendant's possession—physical or constructive—was so fleeting that he did not have time to affirmatively end the possession, then the possession was involuntary. While the court defined possession that is "knowing," it did not define possession that is "voluntary," and the charge on constructive possession and awareness did not address the temporal aspect of voluntary possession. A reasonable juror could have found that defendant had constructive possession of the gun—by virtue of his access to and control over the room where it was found—and that the possession was knowing once he became aware of the presence of the gun, but also that his possession was not voluntary, given that it lasted for only the brief period between when he ran into the bedroom after being shot and saw the gun in the dresser and when he left the bedroom to get assistance.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Trial §§ 873, 883, 993.

CARMODY-WAIT 2d Charge and Instruction to Jury
§§ 200:11, 200:13, 200:14, 200:31.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) § 24.8.
NY JUR 2d Criminal Law: Procedure §§ 2778, 2784, 2785.

ANNOTATION REFERENCE

See ALR Index under Instruction to Jury; Weapons and Firearms.

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POINTS OF COUNSEL

Paul Skip Laisure, Appellate Advocates, New York City (Cynthia Colt of counsel), for appellant. Appellant was deprived of his due process right to a fair trial when the court refused to charge the jury on the statutory definition of “voluntary possession”—the minimal requirement for criminal culpability—where the evidence showed that appellant’s inadvertent discovery and brief awareness of the gun in issue was not “for a sufficient period of time to have been able to terminate” control of it. (*People v Baskerville*, 60 NY2d 374; *People v Medina*, 18 NY3d 98; *People v Blacknall*, 63 NY2d 912; *People v Zona*, 14 NY3d 488; *People v Steele*, 26 NY2d 526; *People v Bell*, 38 NY2d 116; *People v Ataroua*, 168 AD3d 466; *People v Guzman*, 68 AD2d 58; *People v Sassi*, 122 AD3d 779; *Matter of State of New York v Adrien S.*, 114 AD3d 862.)

Eric Gonzalez, District Attorney, Brooklyn (Dmitriy Povazhuk, Michael L. Brenner, Leonard Joblove and Sholom J. Twersky of counsel), for respondent. The trial court properly denied defendant’s request for a voluntary possession instruction because the court’s instructions on the definitions of possession and “knowingly” were sufficient to convey to the jury the applicable material legal principles. In any event, any error in declining to give a voluntary possession instruction was harmless. (*People v Drake*, 7 NY3d 28; *People v Samuels*, 99 NY2d 20; *People v Watts*, 57 NY2d 299; *People v Brown*, 33 NY3d 316; *People v Medina*, 18 NY3d 98; *People v Umali*, 10 NY3d 417; *People v Cubino*, 88 NY2d 998; *People v Fields*, 87 NY2d 821; *People v Saunders*, 85 NY2d 339; *People v Manini*, 79 NY2d 561.)

OPINION OF THE COURT

RIVERA, J.

The sole issue on this appeal is whether the trial court's denial of defendant J.L.'s request for a jury instruction on voluntary possession, in connection with a third-degree criminal possession of a weapon count, constitutes reversible error. We conclude that the evidence supported the jury charge and the error warrants a new trial on this count.

Defendant was tried on charges of criminal possession of a weapon and unlawful possession of marihuana. Defendant was 17 years old when he was arrested and, if his version of the underlying events is believed, although he was in the wrong place at the wrong time, he was not in possession of a weapon. According to the prosecution, defendant was criminally liable for constructive possession of a gun because he had dominion and control over the bedroom where the gun was found. Defendant maintains that he did not live in the apartment and was a temporary guest with no prior knowledge of the gun, and that he discovered it unintentionally in the moments after he was shot, before leaving to get assistance.

In the prosecutor's case-in-chief, the two police officers who responded to an emergency call testified that they found defendant sitting outside of a residential building, bleeding from the back of his neck. Defendant told the officers that he had been shot while he was in the kitchen of the building's basement apartment. During a search of the apartment, one of the officers followed a trail of blood into a back bedroom, where he saw pools of blood on the floor, a bucket of plaster, garbage bags, a mattress with a foam topper and blanket, and some dressers. The officer found a Military Armament Corporation Model 11 submachine gun (MAC 11) in an open drawer, as well as three small bags of marihuana on top of another dresser.

The officer further testified that the MAC 11 was under a piece of paper. A photograph admitted into evidence showed the gun on top of an envelope which was addressed to defendant at a different location and had the words "Important Insurance Documents Enclosed" printed on it. Although the officer did not remember if the envelope was in the drawer when he found the gun, another officer who arrived three hours later said that he saw the envelope under the gun and that the gun appeared to have blood on it.

The officer who first found the MAC 11 also searched a second bedroom, where he saw a fully made bed, some cloth-

ing, a dresser, bottles of alcohol, a child's photograph, and a Bible. In an open dresser drawer, the officer found an unloaded revolver, money, and an envelope. When he searched the kitchen, he saw a refrigerator and a window covered with bullet holes, a loaded gun in an open drawer, a marihuana cigarette, and loose marihuana on the floor amid broken glass.

Two police officers interviewed defendant in the hospital emergency room later that night. According to one of the officers, defendant provided an incorrect name and birthdate and said he lived with his aunt and was shot outside of her home. However, defendant later told this officer that he had paid \$100 to someone named Paul, whom he had recently met, to stay in an extra room in Paul's home. Defendant was in the kitchen of Paul's apartment when he heard the gunshots. He ran to the back bedroom when he discovered that he had been shot, and then ran upstairs to ask a neighbor to call 911. He did not know who shot him.

The prosecutor did not present any evidence as to who was renting or living in the apartment or whether the police had made any efforts to locate Paul. Nor was there evidence disputing defendant's statements to the police that he lived with his aunt.

No fingerprints were recovered from any of the weapons, but a criminalist testified that she determined defendant was one of at least two people who contributed DNA to samples taken from the MAC 11. However, she could not say where defendant's DNA was found on the gun or when or how it had gotten there. She also testified that there was no way to determine the exact source of DNA and that, although she did not specifically test for the presence of blood on the MAC 11, it was possible that defendant's blood dripped onto the gun or that the DNA was transferred there by a third party. The officer who collected the DNA samples testified that he did not remember seeing blood on any of the guns.

Defendant took the stand in his defense. He testified that he was randomly shot in the neck and chest while sitting in the kitchen of the basement apartment where he was planning to spend the night after his aunt put him out of her home for fighting with his brother. While he was in the kitchen smoking marihuana with Paul, defendant heard three gunshots. When he realized that he had been shot in the neck and was bleeding, he ran to the back bedroom where he would be staying to

look for a towel. It was his first time in the room and, in an open drawer, he saw what he later told the police appeared to be a gun but denied picking it up. After he found a towel on top of the dresser, he went upstairs and told a neighbor to call 911.

Defendant was sitting outside on the building's steps when the police arrived. In response to their questioning, defendant explained that he had been shot in the kitchen by someone in the alleyway outside. He controverted the police testimony and denied having given a false name and birthdate at the hospital. Defendant further explained for the jury that, because he had an appointment regarding an insurance matter the following day, the only thing he brought to the apartment was an envelope with the materials for the meeting, and that he placed the envelope on top of the refrigerator, not in the dresser.

Defendant also presented testimony from another officer who said that he found defendant at the building, holding a towel around his bleeding neck, and that defendant told him he had been shot while sitting in the kitchen by someone in the alleyway outside. When this officer went into the back bedroom, he saw blood on the gun in the dresser drawer but did not see marijuana.

Based on the trial evidence, defendant requested that the court charge the jury on voluntary possession of the gun as follows:

“Under our law, possession of the M[AC] 11, to be criminal must be voluntary possession of an M[AC] 11. It is voluntary when the possessor was aware of his or her physical possession or control of the M[AC] 11 for a sufficient period to have been able to terminate the possession.”

The prosecutor objected, arguing that if the jury believed defendant's testimony, there was no way for it to find that he physically or constructively possessed the firearm at all, thereby making voluntariness irrelevant. Contrary to the dissent's mischaracterization of the record (dissenting op at 129), the court readily recognized defense counsel's "point" in seeking the instruction and actually clarified for the prosecutor that defendant's testimony was that "he didn't have [the firearm] . . . long enough to be considered a voluntary possession" and that, "if the jury were to take the defendant's testimony and be convinced by it or allow it to create reasonable doubt, then they can't find that he possessed it know-

ing[ly] and unlawful[ly].” Further, it noted that the proposed instruction came “right out of the definition section of culpability in the Penal Law.” However, the court believed that the voluntary possession instruction was “more confusing than helpful” and therefore denied the requested charge.

As to possession, the court instructed the jury as follows:

“ ‘Possess’ means to have physical possession or otherwise to exercise dominion or control over tangible property . . .

“A person possesses property in either of two ways. First, a person may have physical possession of it by holding it in his hand or by carrying it on his person or body. Second, a person may exercise dominion, which really is another word for control, right, dominion or control over property not in his physical possession. A person who exercises such dominion or control over property not in his physical possession is said to have that property in his constructive possession.

“Under our law, a person has tangible property in his constructi[ve] possession when that person exercises a level of control over the area in which the property is found, or over the person from whom the property is seized, sufficient to give him the ability to use or dispose of that property.”

The court also explained that

“part of this count is that a person knowingly possesses a firearm when that person is aware that he is in possession of the firearm . . .

“The question naturally arises how to determine whether a person had the knowledge, that is, the awareness, required for the commission of a crime; and in this case, required for knowing possession of this firearm. To make that determination, you must decide if the required knowledge can be inferred beyond a reasonable doubt from the proven facts. In doing so, you may consider the person’s conduct and all of the circumstances surrounding that conduct, including, but not limited to what, if anything, that person did and said.

“Further, an act of possession of property by a

person permits the inference that such person knows what he possess[es]. Thus, if you find beyond a reasonable doubt that the defendant was, in fact, in possession of this exhibit, the firearm that has been described as the M[AC] 11, then you may. But you are [sic] don't have to, infer from that fact that he knew that he possessed that exhibit, the M[AC] 11."

In summation, defense counsel urged the jury to consider the meaning of "knowing possession with intent" and "voluntary"; counsel did not specifically argue that defendant had not voluntarily possessed the MAC 11. In turn, the prosecutor told the jury that defendant had knowingly possessed the firearm and had the ability to either use it or dispose of it.

During deliberations, the jury requested, and the court provided, further instructions and written copies of the definitions of "possession," "knowingly," and "intent." Those instructions essentially repeated, without expounding upon, the instructions as originally charged.

The jury acquitted defendant of fourth-degree criminal possession of the loaded firearm found in the kitchen and second-degree criminal possession of the MAC 11 with the intent to use it unlawfully against another but convicted him of third-degree possession of the MAC 11 and unlawful possession of marihuana. The court rejected defendant's application for youthful offender status and sentenced defendant to three years' incarceration and three years' postrelease supervision on the weapons possession conviction and imposed a \$25 fine for the marihuana conviction.

The Appellate Division modified and, as so modified, affirmed and remitted the matter to Supreme Court for a new determination of defendant's application for youthful offender status and resentencing (164 AD3d 523, 524-525 [2d Dept 2018]).¹ The Court summarily rejected defendant's challenge to the jury instructions (*id.* at 524). A Judge of this Court granted defendant leave to appeal (33 NY3d 950 [2019]).

Defendant limits his appeal to challenging his conviction of third-degree possession of a weapon. He argues that the trial

1. The sentencing court originally denied defendant's application for youthful offender status. On appeal, the Appellate Division determined that the denial was in error and remitted for resentencing (164 AD3d at 525). Upon remittal, Supreme Court vacated the sentence, adjudicated defendant a youthful offender, and resentenced him to a prison term of 1 to 3 years.

court erroneously denied his request to instruct the jury on voluntary possession because there was a reasonable view of the evidence that, to the extent he possessed the weapon at all, such possession was not voluntary. Defendant contends that the error warrants a new trial on this count. Defendant is correct on both points.

A trial court must instruct the jury on “the material legal principles applicable to the particular case, and, so far as practicable, explain the application of the law to the facts” (CPL 300.10 [2]). The charge “must be tailored to the facts of the particular case” (*People v Baskerville*, 60 NY2d 374, 382 [1983]), including instructing the jury on expanded statutory definitions when necessary (*People v Medina*, 18 NY3d 98, 104 [2011]). In determining whether to issue a particular instruction, the court “must view the evidence adduced at trial in the light most favorable to the defendant” (*People v Zona*, 14 NY3d 488, 493 [2010]). “The charge must be given if there is evidence reasonably supportive of the defense, even if there is other evidence which, if credited, would negate it” (*People v McKenzie*, 19 NY3d 463, 466 [2012]). A jury charge that ignores the factual contentions of either the prosecution or defense “cannot be countenanced” (*People v Bell*, 38 NY2d 116, 120 [1975]).

After considering the record “most favorably to defendant,” our task is to determine “whether the trial court’s charge to the jury was adequate” (*Padgett*, 60 NY2d at 144-145). If, “on any reasonable view of the evidence, the fact finder might have decided” in defendant’s favor had it heard the requested charge, “the failure to charge . . . constitutes reversible error” (*id.*). Only when there is “no reasonable view of the evidence [that] would support a finding of the tendered defense [is] the court” relieved of its “obligation to submit the question to the jury” (*People v Watts*, 57 NY2d 299, 301 [1982] [emphasis added]). Put another way, if there is a reasonable view of the evidence that supports the defense, regardless of evidence to the contrary, the court is without discretion to deny the charge, and error in this regard requires reversal and a new trial.

Here, viewing the evidence in the light most favorable to defendant, as we must, evidence admitted at trial supports defendant’s requested charge on voluntary possession. Third-degree criminal possession of a weapon must be knowing and voluntary (Penal Law § 265.02; *see also People v Saunders*, 85 NY2d 339, 341-342 [1995] [(T)he corpus delicti of weapons possession . . . is the voluntary, aware act of the possession of

a weapon”]; *People v Persce*, 204 NY 397, 402 [1912] [“Of course, the possession (of a weapon) which is meant is a knowing and voluntary one”]). The charge given to the jury, when read in its totality, was inadequate because it failed to explain that the jury must return a verdict of not guilty if it found defendant knowingly possessed the gun, albeit for an insufficient period of time to terminate the possession. In other words, if the jury found that defendant’s possession—physical or constructive—was so fleeting that he did not have time to affirmatively end the possession, then the possession was involuntary. While the court defined possession that is “knowing,” it did not define possession that is “voluntary.” Rather, to communicate the element of voluntariness, the court relied on its explanations of constructive possession of the area where the gun was found and the requirement that defendant had knowing possession—i.e., an awareness of the gun. But the charge on constructive possession and awareness did not address the temporal aspect of voluntary possession. As the court itself explained, defendant requested the charge to allow the jury to find that he did not have the gun in his possession for the requisite *period of time*, that is, “long enough to be considered a voluntary possession.”

Defendant correctly argues that the trial evidence was reasonably supportive of the view that even if he had knowing and constructive possession of the MAC 11, such possession was not voluntary. A reasonable juror could have found that defendant, then a 17 year old, was shot in the neck while in someone else’s home, and, in the frantic moments afterwards, while searching for a towel to stanch the bleeding, came close enough to the drawer to both see an object that he thought looked like a gun inside it, and to transfer his DNA to the weapon by bleeding on it (even though he may never have touched it).² Viewed in the light most favorable to defendant, this evidence supports a finding that he had constructive possession of the MAC 11—by virtue of his access to and control over the room where it was found—and that this possession

2. Although the dissent dismisses as “unreasonable” the conclusion that defendant never touched the gun (dissenting op at 131), the prosecution’s own witness admitted that that was a possibility (*see* n 3 *infra*). However, even if the only reasonable view of the evidence suggested that defendant touched the gun during his frantic search for a towel after being shot in the neck, that alone would not preclude the voluntariness charge, as the question would remain as to whether his possession lasted long enough for him to dispose of the weapon.

was knowing once he became aware of the presence of the gun, but also that his possession was not voluntary, given that it lasted for only the brief period between when he ran into the bedroom and saw the gun in the dresser and when he left the bedroom.

That defendant's primary defense may have been that he lacked constructive possession altogether because he did not have sufficient dominion and control over the bedroom in the first instance does not alter our conclusion that defendant was entitled to the voluntariness charge. Furthermore, there is no support for the prosecution's suggestion that a defendant's concession of knowing constructive possession is a prerequisite for a jury instruction regarding involuntary possession (*McKenzie*, 19 NY3d at 466). The existence of evidence that appeared inconsistent with the asserted defense of involuntary possession does not lead to a different result. As the Court explained in *People v Butts*, "inconsistency in claimed defenses or even between a defendant's testimony and a defense 'should not deprive [the] defendant of the requested charge' if the charge would otherwise be warranted by the evidence" (72 NY2d 746, 750 [1988], quoting *Padgett*, 60 NY2d at 146; see also *McKenzie*, 19 NY3d at 466 ["The charge must be given if there is evidence reasonably supportive of the defense, *even if there is other evidence which, if credited, would negate it*" (emphasis added)]). The rule serves as a bulwark against judicial intrusion into the fact-finding province of the jury. Nevertheless, the prosecution's argument—seized upon by the dissent (dissenting op at 130-131)—that defendant's story is contradicted by the evidence is an invitation for us to assess the relative strength of the evidence adduced at trial, which, of course, we cannot do (see *McKenzie*, 19 NY3d at 466 ["(V)iew-(ing) the evidence in the light most favorable to the defendant . . . (is) an exercise understood to be incompatible with weighing the evidence to resolve competing inferences"]; *Butts*, 72 NY2d at 750).³

3. The dissent, in disputing our holding today, repeatedly resolves competing inferences in favor of the prosecution, in contravention of our long-standing rule that, when "determining whether to instruct a jury on a claimed defense, the court *must* view the evidence . . . in the light most favorable to the defendant" (*Zona*, 14 NY3d at 493 [emphasis added]). For instance, while the dissent credits the testimony of an investigating officer when he stated that he collected only "DNA skin cells" on the MAC 11, the dissent simultaneously disregards the testimony of the criminalist, who stated that it was only

(n. cont'd)

Nor did the court's instruction to the jury expanding on the definitions of "constructive" and "knowing" possession remedy the court's failure to give the voluntariness charge. The charge as given simply explained that the defendant could be found guilty if the jury determined that he had control over the *area* in which the contraband was found rather than physically possessing the weapon. The charge thus failed to explain that the jury could consider whether defendant had sufficient time to dispose of the gun once he became aware of its presence in the area that he purportedly controlled. The jury was not instructed that it could find that defendant's awareness of his possession was fleeting—because, for instance, defendant only learned of the gun's presence when he first ran into the bedroom to get a towel to stop the bleeding from his gunshot wound, and because any potential control lasted for only a few moments until he ran upstairs to ask the neighbor to call 911. And, of course, the constructive possession charge's focus on defendant's "level of control *over the area*" (emphasis added) in which the contraband was found is utterly silent on the temporal aspect of voluntary possession.

The distinction among constructive, knowing, and voluntary possession that defendant emphasizes is reflected in the Criminal Jury Instructions' model charge on voluntary possession, which provides that "[p]ossession . . . is voluntary when the possessor was aware of [their] physical possession or control . . . for a sufficient period to have been able to terminate the possession" (CJI2d[NY] Possession—Voluntary Possession [Penal Law § 15.00 (2)] [emphasis added]). As the Court has emphasized, the model charges contain the "preferred phrasing" of legal instructions (*People v Cubino*, 88 NY2d 998, 1000 [1996]; see also Steven W. Fisher, *Pattern Instruction for Jurors in Criminal Cases Seek to Explain Fundamental Legal Principles*, 73 NY St BJ 29, 30-31 [June 2001] ["(T)he Committee

possible that the DNA came from skin cells. But, as she explained, "there is no way to determine . . . exactly the source of the DNA. The DNA could have been skin cells. Could have been in blood." Indeed, this testimony is an explicit concession that the physical evidence *could reasonably support* defendant's theory of the case—the theory the dissent discredits as "fanciful." That the dissent—or more appropriately the jury—might ultimately believe the prosecution over the defendant is irrelevant to our assessment of whether the requested charge should have been given. Contrary to the dissent's claim (dissenting op at 131), we do not manufacture a theory to support our conclusion but engage in judicial review in accordance with the legal doctrine—a far cry from the selective reading of the record in favor of the prosecution underlying the dissent.

on Criminal Jury Instructions continues to have as its principal objective the production of jury charges that correctly and concisely state the law in a way that lay jurors can understand. Little is more important to the success of our criminal justice system”). It makes little sense to convey the important legal principle of voluntary possession by implication alone, while declining to provide a pattern jury instruction that addresses it explicitly.

In any case, the trial court denied the charge here, not because the requested charge lacked evidentiary support, but because the court considered the proposed language more confusing than helpful.⁴ This determination was in error because the requested charge did *not* inject confusion into the instructions. Rather, it addressed an entirely different aspect of the charged possessory crime: the temporal requirement of voluntary possession. Indeed, the requested charge would have clarified the law because the charge, as erroneously given, allowed the jury to conclude that if defendant had control over the area where the gun was found—i.e., the bedroom—then he had constructive possession of the gun, regardless of how long he was actually aware of its presence. This is not an accurate statement of the relevant law where, as here, there is a reasonable view of the evidence that the possession may not have been voluntary.

4. The dissent admits that “the jury could conclude that defendant had constructive possession of the room” because, for example, he testified that he paid \$100 to stay in the room where the gun was found (dissenting op at 130); it also acknowledges defendant’s testimony that he saw something like a gun in that room (*id.*). And yet the dissent claims that defendant’s “testimony must be discarded almost in its entirety” to conclude that he had knowing but involuntary possession of the weapon (*id.*). However, even if it were true that defendant’s testimony, on its own, did not warrant the requested charge, the dissent has already conceded that the prosecution’s evidence *did* reasonably support a view that defendant constructively possessed the room. This evidence, coupled with defendant’s testimony that he had a fleeting awareness of the weapon in the room, demonstrates that the charge was warranted. As is obvious from our holding in *People v Steele* (26 NY2d 526, 528-529 [1970]), viewing the evidence in the light most favorable to defendant does not require us to credit every word of his testimony. In *Steele*, we held that the defendant’s testimony that she had an alibi and was not present during the alleged shooting did not preclude an instruction on justification when the prosecution’s evidence supported that charge. The dissent’s invocation of *Steele* is rather perplexing, then, as the case makes plain that, “[s]ince a jury might disbelieve the [defendant’s alibi testimony] and still find, on the prosecution’s evidence, that [the] defendant acted justifiably,” any inconsistency between that testimony and the defense is “not a bar to the charge requested” (*id.*).

Notably, the jury acquitted defendant of criminal possession of the other firearms in the apartment, which he testified he had no knowledge of, suggesting that the jury at least partially credited his testimony.⁵ With respect to the MAC 11, however, defendant testified that he had *some* awareness of it—enough to sketch a drawing of it for the police. In the absence of an instruction explaining that this awareness had to last for a sufficient amount of time for possession to be voluntary, the jury could very well have assumed that defendant’s fleeting knowledge alone was enough to find that he constructively possessed the firearm. Moreover, “the jury’s confusion concerning the concept of [possession] is evident from its own messages to the court during deliberations” (*Medina*, 18 NY3d at 105-106), when the jurors requested additional instructions on, and written copies of, the definitions of “possession” and “knowingly” (*id.* at 106). Ultimately, here, “the instruction[s] did not adequately convey the meaning of [possession] to the jury and instead created a great likelihood of confusion such that the degree of precision required for a jury charge was not met” (*id.* at 104).

Therefore, we have no difficulty concluding that the denial of the charge on voluntary possession constitutes reversible error warranting a new trial. As a matter of first principle, “unless the proof of the defendant’s guilt, without reference to the error, is overwhelming, there is no occasion for consideration of any doctrine of harmless error” (*People v Crimmins*, 36 NY2d 230, 241 [1975]; *People v Mairena*, 34 NY3d 473, 484 [2019] [“Under our traditional harmless error analysis, an appellate court does not reach the question of prejudice unless the evidence is overwhelming in the first instance”]). The evidence here is not overwhelming.

As the record demonstrates, the officers’ testimony corroborated much of defendant’s testimony of the event—there

5. The dissent argues that the MAC 11 could only have ended up in the drawer if defendant placed it there, and that any contrary explanation involves irrationally believing that the weapon was “secretly plant[ed]” (dissenting op 131 n 5) by “some nonexistent third party” (*id.* at 131). The record suggests, however, that the apartment was occupied before defendant arrived mere hours before the shooting. The dissent’s insistence on reading the evidence in the prosecution’s favor is but another example of the dissent ignoring our well established law that, in determining whether the instruction should have been given, we are obligated to view the evidence in the light *most favorable* to defendant. Unlike the dissenters, we are unwilling to shirk that obligation.

was no dispute that he was inside the apartment when he was shot and then went into the bedroom where the officers later discovered the MAC 11. Defendant's fingerprints were not on that gun—or any other weapon in the apartment—and the criminalist testified that she could not say when or how defendant's DNA got on the gun, and she conceded that the DNA transfer could have occurred without defendant touching the gun. At least one officer testified that he saw blood on the gun. This evidence supported the view that defendant's blood may have dripped on the gun as he was looking for a towel. Defendant's age at the time of the shooting, evidence that he was smoking marihuana and suffered a serious gunshot wound moments before running into the bedroom, and that he was interviewed at the hospital while undergoing treatment were all factors that a jury could rely on to explain minor inconsistencies in his statements, rather than confirming his consciousness of guilt. Moreover, the prosecution presented no evidence that defendant lived at the apartment or that he was the sole tenant. The envelope found in the bedroom was addressed to defendant at a different Brooklyn address, supporting his claim that he did not reside in the apartment and that his stay at the apartment with Paul would be short lived. That interpretation of the facts was also supported by the officer's testimony that the bedroom with the MAC 11—where defendant ran while looking for a towel and where he said he would have slept that night—appeared unlivd in, perhaps even under construction, and contained no evidence of a permanent tenant, in stark contrast to the other bedroom, where officers found a fully made bed and personal possessions.

In sum, a reasonable juror could have credited defendant's testimony and concluded that he had constructive, knowing, but not voluntary, possession of the gun in question for a brief moment. Thus, the jury should have been instructed regarding the definition of voluntary possession, and the failure to so charge was not harmless.

Accordingly, the Appellate Division order insofar as appealed from should be reversed and a new trial ordered on the count of criminal possession of a weapon in the third degree.

Chief Judge DiFiore (dissenting). I agree with the general principles of law set forth in the majority opinion. I cannot, however, agree with the contrived and unreasonable view of

the evidence embraced by the majority to support its conclusion that defendant was entitled to a jury charge on the legal definition of a voluntary act in the context of a possessory crime. Since there is no reasonable interpretation of the evidence, viewed in the light most favorable to defendant, that would support the requested jury charge, I would affirm.

I.

It is undisputed that, at approximately 1:45 a.m. on August 15, 2010, the police, responding to a 911 call, found defendant sitting outside on the front steps of a house, bleeding from a gunshot wound to the neck. Defendant was shot by an unknown assailant from the driveway outside of the building while he was in the kitchen of the basement apartment. When the police entered the downstairs apartment to investigate, no one else was present. They found a loaded MAC-11 submachine gun in an open dresser drawer of the first bedroom—the bedroom closest to the spiral staircase leading upstairs to the outside front steps where defendant was found by the police. The assault weapon was resting on top of mail that was addressed to defendant at a different address. A 16-loci profile of defendant’s DNA was discovered in the biological materials collected in the swabbing of the weapon.

Although three police officers testified to seeing what appeared to their naked eyes to be blood stains (or rust or a dry red stain on the magazine) on the gun while it was in the drawer, no blood was visible in the photograph taken of the gun in the drawer. More importantly, the evidence collection officer who actually examined and swabbed the weapon for forensic testing “did not see any blood on the weapon[] when [he] processed [it].” Rather, the officer, who moistened the swabs with distilled water so that biological materials on the gun would better adhere to the swabs, testified that the biological material he collected was made up of “DNA skin cells.” The officer swabbed three different areas of the weapon: one swab from the trigger and trigger guard, a second swab from the grip area (front strap, back strap and side grips) and a third swab from the slide grip, groove area and magazine release.

The criminalist from the Office of Chief Medical Examiner (OCME) testified that there was a mixture of DNA profiles developed from the swabs taken from the gun, a full 16-loci DNA profile of the major contributor was developed and defendant’s DNA profile was the same as that of the major

contributor found on the MAC-11.¹ The witness could not dismiss the possibility of the presence of blood on the gun, but testified that there was “nothing on the swabs to suggest, indicate or have an inkling” of the presence of blood—i.e., there was no red or brown discoloration on any of the swabs that warranted testing for the presumptive presence of blood. The criminalist also explained that she could not pinpoint which of the three specific locations swabbed on the MAC-11 was the source of defendant’s DNA because, under the laboratory protocols in place at the time to conserve resources, a sample from each of the three swabs was combined for DNA testing.

Defendant’s trial testimony, which was inconsistent and impeached, is proffered as the basis for the rest of the factual narrative needed to achieve a rational view of the evidence that would support the requested jury charge.² Defendant steadfastly denied dominion and control over the apartment, the bedroom and the contents of the drawer to defeat a constructive possession theory and was unequivocal that he never physically possessed the weapon. According to his version of events, he arrived at the apartment at 8:00 p.m., less than six hours prior to the shooting. Kicked out of his aunt’s residence in the Bronx, he met a person named “Paul” through a friend. He paid Paul \$100 to allow him to stay at the apartment, but they did not reach any particular agreement as to the length of defendant’s stay. Defendant inconsistently testified that he learned Paul’s surname (Blake) for the first time in court and that he gave the police Paul’s first and last names at the time of the investigation. The only thing defendant brought with him, other than the clothes on his back, was an envelope addressed to him at a different aunt’s address in Brooklyn, containing documents relating to an insurance claim.³ According to defendant, he placed his mail on top of the refrigerator in the kitchen and had “no idea” how, during the six hours he was in the apartment, it got into the drawer with the gun in the first bedroom.

1. The two DNA profiles, when compared, were a 16-loci “exact match” and the profile would be expected to be seen “in the random population once in greater than 6.8 trillion people.”

2. Plainly, the account would be far different if viewed in the light most favorable to the People.

3. On cross-examination, when confronted with a photograph of the gun in the drawer, defendant admitted that there was “more of [his] mail up there on the top”—in addition to the envelope containing the insurance documents.

Defendant and Paul were the only people in the apartment and, at the time of the shooting, both were in the kitchen “building a spliff to smoke.” After the shooting, defendant saw Paul run up the spiral staircase—fleeing the scene—and defendant never saw him again. At no point in his testimony did defendant claim that during his brief stay Paul ever went into the first bedroom in order to plant defendant’s mail, or the gun, or both, in the drawer. Nor is there any evidence of a third person in the apartment until the police arrived after the shooting. Indeed, it appears defendant’s testimony was designed to support an inference that the police planted defendant’s mail in the drawer.

As to his knowledge of the assault weapon in the drawer alongside his mail, defendant testified that his first and only entry into the first bedroom was after he was shot, in order to get a towel for his wound. He maintained that the door to the second bedroom, closer to the kitchen, was locked (although it was not locked when the police arrived). Defendant conceded that he was planning to sleep in the first bedroom that night. In his direct testimony, defendant asserted that he had been focused on finding the towel and did not recall whether or not the dresser drawer was open. On cross-examination, defendant was confronted with a prior inconsistent statement he made to the investigating detective—wherein he told her that, when he went into the bedroom, he opened the drawer, saw the gun and picked it up.⁴ Defendant denied making that statement or ever touching the gun. Rather, he asserted that he told the detective, “maybe I seen the gun, something like a gun.” When he was further confronted with whether he also drew a picture of the gun for the detective, he acknowledged that he drew a picture of what he saw in the drawer. “I didn’t tell her I seen a gun. I told her, I’ve seen something like this. I draw it and give it to her. I didn’t say, I see a gun.”

At the charge conference, defense counsel asked the court to instruct the jury on the statutory definition of a voluntary act, as set forth in the model charge in the New York Criminal Jury Instructions (*see* Penal Law § 15.00 [2] [“includ(ing) the possession of property if the actor was aware of his physical possession or control thereof for a sufficient period to have

4. The jury was instructed that “[t]he contents of any prior inconsistent statement are not proof of what happened. You may use the evidence of any prior inconsistent statement only to evaluate the truthfulness or accuracy of the witness’ testimony here at this trial.”

been able to terminate it”). Counsel did not make any factual argument in support of the requested charge. The court denied the request, after observing that it was “not sure how [the charge] fits in this case,” given that, if defendant’s testimony were to be believed, he did not possess the weapon at all. The court also opined that the instruction would be “more confusing than helpful,” but concluded that defense counsel could argue that, even if defendant was aware of the gun, he was not aware of it for sufficient time to “[r]id himself of it.” The court did provide the jury with expanded charges on the concepts of physical and constructive possession, as well as the mens rea of knowingly.

In summation, defense counsel argued that defendant did not possess the weapon at all and that the People failed to prove that he had control over the bedroom. Counsel did not direct any specific argument to the voluntary nature of the possession, other than telling the jury to “[l]isten to what the meaning of or the principle of knowing possession with intent and voluntary is.”

As relevant here, the jury convicted defendant of criminal possession of a weapon in the third degree (*see* Penal Law § 265.02 [7]).

II.

“A court is required to instruct the jury on ‘fundamental legal principles applicable to criminal cases in general’ and those ‘material legal principles applicable to the particular case’” (*People v Watts*, 57 NY2d 299, 301 [1982], quoting CPL 300.10 [1], [2]). “In evaluating a challenged jury instruction, we view the charge as a whole in order to determine whether a claimed deficiency in the jury charge requires reversal” (*People v Medina*, 18 NY3d 98, 104 [2011]). “The test is always whether the jury, hearing the whole charge, would gather from its language the correct rules which should be applied in arriving at [its] decision” (*People v Drake*, 7 NY3d 28, 34 [2006] [internal quotation marks and citation omitted]).

In determining whether to give a jury charge on a claimed defense, the evidence must be viewed in the light most favorable to the defendant (*see People v Butts*, 72 NY2d 746, 750 [1988]). However, “the charge to the jury must be tailored to the facts of the particular case” (*People v Baskerville*, 60 NY2d 374, 382 [1983]) and a reasonable view of the facts must support the charge. Defendant’s testimony or his proffered defense

does not have to be consistent with the requested charge—we have held that the jury can accept or reject the defense or portions of it, so long as the evidence otherwise supports the charge (see *People v Zona*, 14 NY3d 488, 493 [2010]; *Butts*, 72 NY2d at 750; see also *Mathews v United States*, 485 US 58, 63 [1988]). “The rule is that the jury must be instructed on all claimed defenses which are supported by a *reasonable view* of the evidence—not by any view of the evidence, however artificial or irrational” (*Butts*, 72 NY2d at 750). “As a corollary, when no reasonable view of the evidence would support a finding of the tendered defense, the court is under no obligation to submit the question to the jury” (*Watts*, 57 NY2d at 301).

Here, defendant maintains that, in the event his constructive possession of the assault weapon was proved, the court’s charge on the law of possession was inadequate to convey the necessary legal principles to the jury because voluntary possession includes a temporal element that is not incorporated into the mens rea of knowingly (see Penal Law § 15.00 [2]; William C. Donnino, Practice Commentary, McKinney’s Cons Laws of NY, Penal Law § 15.00). Essentially, he contends there was a factual issue on the evidence presented as to whether he constructively possessed the gun for a sufficient period of time to allow him to terminate the possession, requiring the charge.

As the trial court pointed out, if the jury believed defendant’s testimony, he was not guilty of possessing the weapon at all. Indeed, defendant was adamant both in his denial that he physically possessed the gun and in his lack of dominion and control over the bedroom. Nor did he admit that he saw the gun in the drawer—admitting only that he saw “something like” a gun when confronted with his prior inconsistent statement.

In order to construct the alternate narrative that defendant had knowing, but involuntary, possession of the gun, defendant’s testimony must be discarded almost in its entirety. Given the People’s evidence, the jury could conclude that defendant had constructive possession of the room, based on his statement to police of a payment of \$100 to Paul, the presence of his personal belongings (mail) in the drawer and his DNA from touching the weapon.⁵ However, there is no evidence in this record to support the fanciful theory that, given defendant’s

5. Contrary to the majority’s skewed view of our analysis, akin to the same skewed view it takes of the evidence presented at trial, the trial court

(n. cont’d)

dominion and control over the bedroom and the drawer containing his personal possessions, some nonexistent third party, unbeknownst to defendant, planted the gun containing defendant's DNA into the drawer on top of his personal mail. The jury would have to engage in pure speculation as to how the gun materialized in the drawer over which defendant had control for his six-hour stay in the apartment. Nor does the evidence support the unreasonable conclusion that defendant did not touch the gun, but inadvertently dripped his blood on it, and that the DNA on the swabs taken from the gun came from defendant's blood. Although the jury could have credited the police officers' testimony that they saw what they thought was blood on the *gun*, the gun itself was not tested for DNA—the swabs were. And the only evidence in the record concerning the swabs—from the evidence collection officer who actually processed the weapon and the OCME witness who performed the DNA testing—was that there was no visible indication of the presence of blood. Thus, “[n]o matter how the record is cut and spliced” (*Butts*, 72 NY2d at 751), it does not support a reasonable conclusion that defendant knowingly possessed the gun for a fleeting moment, rendering his possession involuntary because he had no time in which to terminate his sudden discovery of possession due to his gunshot wound. To the contrary, the theory manufactured by the majority is not based on any reasonable view of the evidence presented at trial.

In sum, under the circumstances, the court's charge properly conveyed the applicable legal principles to the jury and there was no error in the denial of defendant's requested charge.

Judges STEIN, FAHEY and WILSON concur; Chief Judge DiFiore dissents and votes to affirm in an opinion in which Judges GARCIA and FEINMAN concur.

could not reasonably conclude that defendant had constructive possession of the room on any portion of his testimony, as he went to great lengths to deny any form of possession (*see* majority op at 123 n 4). The voluntary act charge must be given on a view of the evidence in the light most favorable to the defendant, consistent with the rule that supporting evidence is not limited to the defense case, as “the jury may believe portions of both the defense and prosecution evidence” (*People v Steele*, 26 NY2d 526, 529 [1970]). Here, it is only the People's case that provided evidentiary support that defendant had constructive possession of the room and the contents of the drawer—including his personal mail—and, indeed, the jury convicted defendant on that basis. Since there is no factual evidence in either the People's or the defense case that, once defendant exercised a sufficient level of control over the room, anyone else had access to the drawer or its contents in order to secretly plant the gun, the charge was properly denied.

Order insofar as appealed from reversed and a new trial ordered on the count of criminal possession of a weapon in the third degree.

[163 NE3d 447, 139 NYS3d 579]

JIN MING CHEN, Appellant, v INSURANCE COMPANY OF THE STATE
OF PENNSYLVANIA, Respondent.

Argued October 14, 2020; decided November 24, 2020

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 30, 2018. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Eileen A. Rakower, J.), which had adjudged defendant liable to plaintiff for \$1,526,938 with costs and interest from May 2, 2016, the date of the order of that Supreme Court granting partial summary judgment to plaintiff, for \$159,638.23, for a total award of \$1,686,576.23.

Jin Ming Chen v Insurance Co. of the State of Pa., 165 AD3d 588, affirmed.

HEADNOTE

Insurance — Excess Coverage — Obligation to Pay Interest Agreed to be Paid by Primary Insurer

In an action arising out of injuries sustained by plaintiff at a construction site, defendant, the general contractor's excess insurer, was not obligated to pay interest on the underlying personal injury judgment after the general contractor's primary insurance policy was voided, where the primary insurer had agreed to pay pre- and postjudgment interest as supplementary payments. Based on the unambiguous language of the primary and excess policies, defendant's policy covered only losses in excess of those that would have been paid by the primary insurer under its policy. It was undisputed that the primary policy had a liability limit of \$1 million per occurrence and, in addition, provided supplementary payments coverage that included pre- and postjudgment interest. The policy expressly stated that those supplementary payments would not reduce the liability limit. Based on the coverage and ultimate net loss provisions of defendant's policy, the excess policy covered only losses in excess of those that would have been paid by the primary insurer under the primary insurance policy. Treating interest payments on the underlying award as falling within or reducing the primary policy's liability limit would be inconsistent with the language chosen by the parties to the insurance contracts, rendering several clauses forceless. The primary insurer agreed to expand its coverage of pre- and postjudgment interest beyond its liability limits, and defendant agreed to provide coverage only for losses in excess of the primary coverage.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Insurance §§ 1758, 1760.

COUCH ON INSURANCE (3d ed) §§ 220:43.

NY JUR 2d Insurance §§ 2364, 2366.

ANNOTATION REFERENCE

Primary insurer's insolvency as affecting excess insurer's liability. 85 ALR4th 729.

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POINTS OF COUNSEL

Law Offices of Wade T. Morris, New York City (*Kenneth J. Gorman* and *Wade T. Morris* of counsel), for appellant. I. The First Department's decision, in derogation of the decisional law of this Court and all Appellate Division departments, incorrectly sets a new standard for waving issues when opposing motions made on notice. (*RSB Bedford Assoc., LLC v Ricky's Williamsburg, Inc.*, 91 AD3d 16; *Shinn v Catanzaro*, 1 AD3d 195; *DLJ Mtge. Capital Corp., Inc. v Fairmont Funding, Ltd.*, 81 AD3d 563; *Cox v District of Columbia*, 754 F Supp 2d 66; *Kattan by Thomas v District of Columbia*, 995 F2d 274; *Terkildsen v Waters*, 481 F2d 201; *Abu Dhabi Commercial Bank PJSC v Saad Trading, Contr. & Fin. Servs. Co.*, 117 AD3d 609; *Chakanovsky v C.A.E. Link Corp.*, 201 AD2d 785; *Zaharatos v Zaharatos*, 134 AD3d 926.) II. The First Department's decision incorrectly permits litigants to advance new theories of law on a motion to reargue a final order, contrary to the plain meaning of CPLR 2221 (d), the decisional law of this Court and all Appellate Division departments. (*Simpson v Loehmann*, 21 NY2d 990; *Reilly v Steinhart*, 218 NY 660; *People v D'Alessandro*, 13 NY3d 216; *Onglingswan v Chase Home Fin., LLC*, 104 AD3d 543; *Frisenda v X Large Enters.*, 280 AD2d 514; *Wasson v Bond*, 134 AD3d 1224; *Blair v Allstate Indem. Co.*, 124 AD3d 1224; *V. Veeraswamy Realty v Yenom Corp.*, 71 AD3d 874; *Andrea v du Pont de Nemours & Co.*, 289 AD2d 1039; *William P. Pahl Equip. Corp. v Kassis*, 182 AD2d 22, 80 NY2d 1005.) III. The First Department's decision should be reversed as it impermissibly allowed CPLR 2221 (d) to be used as a vehicle to make substantive changes to a final order in violation of CPLR 5019 (a) and this Court's decisions in *Kiker v Nassau County* (85 NY2d 879 [1995]) and *Herpe v Herpe* (225 NY 323 [1919]). (*Slater v American Min. Spirits Co.*, 33 NY2d

443; *Da Silva v Musso*, 76 NY2d 436; *Long Is. Sav. Bank v Mihalios*, 269 AD2d 502; *Burke v Crosson*, 85 NY2d 10; *Coulbourn v Burns*, 286 App Div 856, 309 NY 915.) IV. The First Department incorrectly absolved the excess insurer, which followed form to the underlying policy, of paying any postjudgment interest and prejudgment interest on the first \$1 million. (*Travelers Cas. & Sur. Co. v Gerling Global Reins. Corp. of Am.*, 419 F3d 181; *Matter of Midland Ins. Co.*, 164 Misc 2d 363; *Matter of Midland Ins. Co.*, 269 AD2d 50; *Simplexdiam, Inc. v Brockbank*, 283 AD2d 34; *Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304; *Kratzenstein v Western Assur. Co. of City of Toronto*, 116 NY 54; *Home Ins. Co. v American Home Prods. Corp.*, 902 F2d 1111; *Raymond Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 5 NY3d 157; *Keyspan Gas E. Corp. v Munich Reins. Am., Inc.*, 31 NY3d 51; *Breed v Insurance Co. of N. Am.*, 46 NY2d 351.) V. The First Department incorrectly determined that Insurance Company of the State of Pennsylvania's excess policy was "triggered" upon the primary carrier's payment of "supplemental payments" in addition to the full primary policy limit of \$1 million. (*American Home Assur. Co. v Republic Ins. Co.*, 984 F2d 76; *Hartford Acc. & Indem. Co. v Michigan Mut. Ins. Co.*, 93 AD2d 337, 61 NY2d 569; *Union Indem. Ins. Co. of N.Y. v Certain Underwriters at Lloyd's*, 614 F Supp 1015; *Levit v Allstate Ins. Co.*, 308 AD2d 475; *Graf v Hospitality Mut. Ins. Co.*, 956 F Supp 2d 337; *Hargob Realty Assoc., Inc. v Fireman's Fund Ins. Co.*, 73 AD3d 856; *Vazquez-Filippetti v Cooperativa de Seguros Múltiples de Puerto Rico*, 723 F3d 24; *Graf v Hospitality Mut. Ins. Co.*, 754 F3d 74.) VI. The First Department's decision conflicts with this Court's decisions in *Ragins v Hospitals Ins. Co., Inc.* (22 NY3d 1019 [2013]) and *Welsh v Peerless Cas. Co.* (8 AD2d 373 [1st Dept 1959], *affd* 8 NY2d 745 [1960]). (*Zeig v Massachusetts Bonding & Ins. Co.*, 23 F2d 665.)

Seiger Gfeller Laurie LLP, New York City (*Elizabeth F. Ahlstrand* of counsel), for respondent. I. The First Department properly considered and rejected plaintiff's proffered interpretation of the Arch and Insurance Company of the State of Pennsylvania policies. (*Ali v Federal Ins. Co.*, 719 F3d 83; *Horace Mann Ins. Co. v General Star Natl. Ins. Co.*, 514 F3d 327; *Olin Corp. v American Home Assur. Co.*, 704 F3d 89; *Gabarick v Laurin Mar. [Am.], Inc.*, 649 F3d 417; *Ambassador Assoc. v Corcoran*, 168 AD2d 281; *Steyr-Daimler-Puch AG. v Allstate Ins. Co.*, 151 AD2d 942; *Pergament Distribs. v Old Republic Ins. Co.*, 128 AD2d 760; *Insurance Co. of N. Am. v West of*

England Shipowners Mut. Ins. Assn., 890 F Supp 1292; *Matter of Viking Pump, Inc.*, 143 A3d 633.) II. Insurance Company of the State of Pennsylvania timely raised the issue of its liability for pre- and postjudgment interest covered by the Arch policy. (*Kattan by Thomas v District of Columbia*, 995 F2d 274.)

OPINION OF THE COURT

Chief Judge DiFiore.

This appeal involves a dispute concerning an excess insurer's obligation to pay interest on an underlying personal injury judgment after the primary policy was voided. Like the courts below, we are unpersuaded by the injured plaintiff's argument that the excess policy provided overlapping coverage for certain interest payments covered in the primary policy, and we therefore affirm the Appellate Division order.

Plaintiff Jin Ming Chen was injured at a construction site and sued the general contractor Kam Cheung Construction, Inc. (Kam Cheung). At the time, Kam Cheung maintained both primary and excess liability insurance policies: a primary policy with a liability limit of \$1 million per occurrence from Arch Specialty Insurance Company (Arch) and an excess policy with \$4 million per occurrence in coverage from defendant Insurance Company of the State of Pennsylvania (ICSOP). In December 2011, Supreme Court granted partial summary judgment to plaintiff in that action, and, in October 2013, the court entered a personal injury judgment awarding plaintiff \$2,330,000 plus \$396,933.70 in prejudgment interest. During that time, Arch commenced a declaratory judgment action seeking rescission of the primary policy due to material misrepresentations made by Kam Cheung in its application, securing a judgment declaring that the Arch policy was void ab initio. Thus, Arch provided no coverage relating to the personal injury judgment.

Plaintiff subsequently commenced this action against ICSOP, the excess insurer, asserting ICSOP was obligated to pay the entire underlying damages award. ICSOP answered, raising various defenses and contending it had validly disclaimed coverage. Plaintiff moved for summary judgment seeking a declaration that ICSOP's disclaimer of coverage was invalid and an order directing ICSOP to satisfy the underlying judgment. In opposition, ICSOP conceded both that its disclaimer of coverage was unenforceable due to its failure to serve plaintiff and that it was obligated to provide some coverage,

but argued that its policy did not “drop down” to fill the gap created by the voided Arch policy.

After oral argument Supreme Court granted partial summary judgment to plaintiff, concluding that ICSOP was liable for a portion of the award but the excess policy did not “drop down” to cover the \$1 million of liability coverage provided by the primary Arch policy. Plaintiff then submitted a proposed judgment, which he calculated by taking the \$2,726,993.70 personal injury judgment, adding postjudgment interest, and then subtracting \$1 million representing the liability limit of the Arch policy. In response, ICSOP moved for reargument, challenging the manner in which plaintiff had allocated interest payments, contending it was not obligated to cover interest that would have been paid by Arch had its policy not been voided.

After initially declining to address the interest issue, Supreme Court granted leave to reargue, permitting the parties to file briefs and participate in oral argument. ICSOP argued that plaintiff’s proposed judgment was “inconsistent” with the court’s prior holding that the excess policy did not “drop down” to subsume payments Arch would have paid, including the Arch policy’s coverage of the disputed interest. Plaintiff opposed, raising a series of procedural objections to the court’s consideration of the issue and asserting, on the merits, that the ICSOP policy covered loss in excess of \$1 million—including all interest. After oral argument, Supreme Court rejected plaintiff’s arguments and accepted ICSOP’s proposed judgment, under which the excess insurer was obligated to pay the \$1,330,000 in excess damages, prejudgment interest on those damages from the date summary judgment was granted in the personal injury action, plus interest that accrued from the date partial summary judgment was granted to plaintiff in this insurance dispute until the entry of judgment. ICSOP promptly paid the judgment.

On plaintiff’s appeal, the Appellate Division affirmed (165 AD3d 588 [1st Dept 2018]). After concluding that Supreme Court did not err in considering the interest issue,¹ the Court rejected plaintiff’s contention that ICSOP was required to cover all interest under the policy’s “follow form” provision, observing

1. Supreme Court did not abuse its discretion when it permitted the parties to litigate the interest issue. Given the way this litigation unfolded, the apportionment of interest did not come to the fore until plaintiff prepared a proposed judgment, at which time ICSOP promptly challenged plaintiff’s

(n. cont’d)

that the ICSOP policy covered only interest in excess of what would have been paid under the primary Arch policy’s “Supplementary Payments” provision, which covered certain pre- and all postjudgment interest. We granted leave to appeal (33 NY3d 907 [2019]).

Insurance contracts are governed by the general rules of contract interpretation (see *Burlington Ins. Co. v NYC Tr. Auth.*, 29 NY3d 313, 321 [2017]). When resolving disputes concerning the scope of coverage, we look to the specific language in the relevant insurance policies (see *Keyspan Gas E. Corp. v Munich Reins. Am., Inc.*, 31 NY3d 51, 60 [2018], citing *Roman Catholic Diocese of Brooklyn v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 21 NY3d 139, 148 [2013]; see also *State of New York v Home Indem. Co.*, 66 NY2d 669, 671 [1985]). As we have explained, “[i]t is axiomatic that a contract is to be interpreted so as to give effect to the intention of the parties as expressed in the unequivocal language employed” (*Breed v Insurance Co. of N. Am.*, 46 NY2d 351, 355 [1978] [internal quotation marks and citation omitted]). The language of a policy, when clear and unambiguous, must be given its plain and ordinary meaning (see *United States Fid. & Guar. Co. v Annunziata*, 67 NY2d 229, 232 [1986]). On appeal in this Court, plaintiff argues that ICSOP was obligated to pay all prejudgment and postjudgment interest on the entire underlying personal injury award based on its “Ultimate Net Loss” provision, which plaintiff interprets as saddling ICSOP with all covered losses over the Arch policy’s \$1 million liability limit. Further, plaintiff contends that the excess insurer was obligated to pay all prejudgment and postjudgment interest on the underlying personal injury judgment (regardless of whether that interest would have been paid by Arch under the Arch policy) pursuant to the “follow form” language in the excess policy, suggesting that ICSOP could avoid interest obligations only if it included language in the Ultimate Net Loss provision specifically addressing interest. We reject both arguments. Here, based on the unambiguous language of the two policies, the ICSOP policy covered only losses in excess of those that would have been paid by Arch under the Arch policy.

interest allocation, and both parties had ample opportunity to brief and argue the issue prior to entry of judgment.

The parties agree that this dispute is governed exclusively by the language of the relevant insurance contracts.² It is undisputed that the primary Arch policy had a liability limit of \$1 million per occurrence and, in addition, provided Supplementary Payments coverage that included “[p]rejudgment interest . . . on that part of the judgment we pay” and “[a]ll interest on the full amount of any judgment that accrues after entry of the judgment and before we have paid.” Importantly, the policy expressly stated these Supplementary Payments (pre- and postjudgment interest) “will not reduce the limits of Insurance”—Arch’s \$1 million liability limit. Thus, in the context of this case, the Arch policy provided coverage for up to \$1 million in damages plus certain interest in the form of “Supplementary Payments,” even if those interest payments brought the total award over \$1 million.

ICSOP’s payment obligations are described in the excess policy’s “Coverage” provision, which states that ICSOP will pay “Ultimate Net Loss in excess of the Underlying Insurance as shown in Item 4 of the Declarations.” “Ultimate Net Loss” is defined in that policy as “the amount payable in settlement of the liability of the Insured after making deductions for all recoveries and for other valid and collectible insurance, excepting however the Underlying Insurance shown in Item 4 of the Declarations.” In turn, Item 4 of the Declarations cites an attached “Schedule of Underlying Insurance,” which references the Arch policy generally (policy number, policy period, limits of insurance and type of coverage) without excluding any type of coverage provided therein (such as Supplementary Payments coverage). Thus, based on the ICSOP policy’s Coverage and Ultimate Net Loss provisions, the excess policy covers only losses in excess of those that would have been paid by Arch under the Arch policy. Accordingly, ICSOP is not obligated to pay the interest Arch agreed to pay as Supplementary Payments.

Two other provisions in the ICSOP policy support this result. First, a “Maintenance of Underlying Insurance” provision required that Kam Cheung maintain “[t]he limits of insurance

2. Judge Wilson’s dissent is not confined to the parties’ interest arguments but discusses common-law, statutory, and public policy arguments regarding postjudgment interest, to which we “pay[] scant attention” (Wilson, J., dissenting op at 154). We focus only on the issue presented in this appeal—ICSOP’s liability, if any, for interest under the language of the two insurance policies. The other arguments addressed by Judge Wilson are neither preserved for review nor argued; the only relevant “policy” is the one reflected in the contracts.

of the Underlying Insurance”—here, the \$1 million per occurrence liability limit—indicating that if Kam Cheung failed to comply, ICSOP would “only be liable to the same extent that [ICSOP] would had [Kam Cheung] fully complied.” In contrast to the phrase “Underlying Insurance” used in the Coverage and Ultimate Net Loss provisions, the Maintenance of Underlying Insurance provision uses the more specific and limited reference to the Arch policy’s \$1 million liability limit. This shows that the drafter knew how to isolate the Arch policy’s liability limit when it intended to reference only that aspect of coverage, using the broader term—Underlying Insurance—when referencing total coverage, including Supplementary Payments. As we have stated, “[t]he use of different terms in the same agreement . . . implies that they are to be afforded different meanings” (see *Platek v Town of Hamburg*, 24 NY3d 688, 696 [2015]). It is significant that ICSOP used the broader language in the Coverage and Ultimate Net Loss provisions, which define ICSOP’s payment obligations, in a manner that excludes losses to be paid by Arch under the Arch policy—including those addressed in the Arch Supplementary Payments provision.

Moreover, the Maintenance of Underlying Insurance provision clearly states that ICSOP’s coverage would be unaffected by Kam Cheung’s failure to maintain the required \$1 million in primary liability coverage, which is effectively what occurred here. The ICSOP policy’s “Bankruptcy or Insolvency” condition further clarifies that, despite the “bankruptcy, insolvency or inability to pay” of either Kam Cheung or Arch, ICSOP would not “drop down” and replace Arch or “assume any obligation within the Underlying Insurance area.” Payment of some prejudgment and all postjudgment interest over the \$1 million liability limit is an obligation “within the Underlying Insurance area.”

Plaintiff effectively asks us to treat interest payments on the underlying award as falling within or reducing the Arch policy’s \$1 million liability limit, which is contrary to the plain language of the Arch Supplementary Payments provision and the ICSOP policy’s Coverage, Ultimate Net Loss, and Maintenance of Underlying Insurance provisions. To do so would be inconsistent with the language chosen by the parties to the insurance contracts, rendering several clauses forceless—a result that should be avoided (see *Westview Assoc. v Guaranty Natl. Ins. Co.*, 95 NY2d 334, 339 [2000]). Arch agreed to expand its coverage of pre- and postjudgment interest beyond its liability limits, and ICSOP agreed to provide coverage only for losses in

excess of Arch's coverage—including both the \$1 million Arch policy limit and its Supplementary Payments.

Plaintiff's reliance on *Ragins v Hospitals Ins. Co., Inc.* (22 NY3d 1019 [2013]) is misplaced. In *Ragins*, the plaintiff sued collective excess insurers for unpaid interest on an underlying medical malpractice judgment after a liquidator paid out the primary insurer's \$1 million per occurrence limit. There, the primary policy's Supplementary Payments provision stated that the primary insurer would pay any "postjudgment interest only 'before' it has 'paid . . . that part of the judgment which does not exceed the limit of the company's liability thereon'" (*id.* at 1021-1022). Thus, unlike the Arch policy, the primary policy there did not expressly cover any interest that exceeded that policy's \$1 million liability limit. Moreover, in *Ragins* (unlike this case) the excess policy covered "all sums" in excess of the primary policy's "*limits of liability*," which was \$1 million (*id.* at 1023-1024 [emphasis added and internal quotation marks omitted]). We held that the liquidator's payment of the \$1 million fulfilled the insolvent primary insurer's obligations, and the excess insurer was liable to pay the rest, reasoning that the interest constituted a "sum" that was in excess of the primary policy limit and, thus, was covered by the excess policy (*id.* at 1022-1023). Although plaintiff would have us read into the ICSOP policy's Coverage provision a similar reference to the Arch policy's \$1 million limit, the absence of such language in the contract before us is consequential. In fact, the coverage obligations in the primary and excess policies at issue in *Ragins* are distinguishable from the provisions interpreted here inasmuch as ICSOP agreed only to provide coverage in excess of the Arch policy, including the interest covered under that policy's Supplementary Payments provision. Thus, that interest was appropriately excluded from the judgment entered in this case.

The inclusion in the ICSOP policy of a standard "follow form" provision does not alter this result. Follow form policies allow an insured that deals with multiple "insurers for the same risk to obtain uniform coverage, and to know, without a minute policy-by-policy analysis, the nature and extent of that coverage" (*Union Carbide Corp. v Affiliated FM Ins. Co.*, 16 NY3d 419, 424 [2011]). In other words, if the underlying policy covers certain conduct, the excess policy does as well (*see Federal Ins. Co. v International Bus. Machs. Corp.*, 18 NY3d 642, 646 [2012]). However, a general "follow form" provision does not

override the express payment terms set forth in the excess policy that define the limits of excess coverage.³ By its terms, the ICSOP policy did not drop down in the event Arch failed to satisfy its obligations; it existed to cover losses in excess of those covered by the Arch policy, up to ICSOP's \$4 million limits of liability. The fact that the Arch policy was voided does not warrant a different reading of the plain language of the two policies, although it unfortunately resulted in a coverage gap that included both the \$1 million liability limit of the Arch policy and certain interest covered in the Arch Supplementary Payments provision. Notably, however, the tortfeasor, Kam Cheung, remains liable for this component of the loss, which is appropriate given that the tortfeasor's own misrepresentations caused the gap in coverage (*see Keyspan*, 31 NY3d at 63).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

FAHEY, J. (dissenting). I join Judge Wilson's dissent, save for its conclusion with respect to the allocation of responsibility for postjudgment interest. In my view, Insurance Company of the State of Pennsylvania (ICSOP) is responsible for paying *all* postjudgment interest with respect to the award in the underlying action based on a combined reading of the excess and primary policies. This conclusion is based on a single analysis that, given the complicated nature of this dispute, is best explained in two parts.

I.

The fundamental and usual principles of law that guide our review of the postjudgment interest question are clear. We first inspect the language of the policy. In doing so we give unambiguous provisions their plain and ordinary meaning (*see Lend Lease [US] Constr. LMB Inc. v Zurich Am. Ins. Co.*, 28 NY3d 675, 682 [2017]) and interpret the contract "according to common speech and consistent with the reasonable expectation of the average insured" (*Matter of Viking Pump, Inc.*, 27 NY3d 244, 257 [2016] [internal quotation marks omitted]). Ambigu-

3. Judge Fahey's "joint and several liability" analysis is simply inconsistent with the ICSOP policy's payment terms, which expressly exclude losses "within the Underlying Insurance area" (including the Arch Supplementary Payments). That the ICSOP policy follows-form to the nonconflicting terms of the Arch policy does not make ICSOP jointly and severally liable for payments it excluded.

ous provisions—those that may be reasonably interpreted in two conflicting manners—must be construed in favor of the insured and against the insurer (*see Lend Lease [US] Constr. LMB*, 28 NY3d at 682; *see also White v Continental Cas. Co.*, 9 NY3d 264, 267 [2007]; *Matter of Mostow v State Farm Ins. Cos.*, 88 NY2d 321, 326 [1996]).

Turning to the excess policy, it contains a “follow the form” clause providing that “the coverage [afforded] by [the excess] policy shall follow the terms, definitions, conditions and exclusions of the [primary policy].”¹ In the primary policy is a supplementary payment provision, through which the primary insurer, Arch Specialty Insurance Company (Arch), agreed to cover “[a]ll interest on the full amount of any judgment that accrues after the entry of the judgment and before [the insurer] paid, offered to pay, or deposited in court the part of the judgment that is within the applicable limit of insurance” (emphases added).

Applying the usual rules of insurance policy interpretation, we should conclude that the “all interest” and “full amount” language would render the primary insurer responsible for *all* postjudgment interest accruing before that carrier paid the part of the judgment for which it was responsible. That is, had the primary policy been operable at the time of the underlying loss,² the primary insurer would have been responsible for *all* postjudgment interest that accrued before that carrier paid its share of the judgment. Similarly, through the “follow the form” provision in the policy that it issued, the excess carrier (ICSOP) stepped into the shoes of the primary insurer and likewise assumed responsibility for *all* postjudgment interest that accrued before ICSOP paid the part of the judgment for which it was responsible.

Said differently, although they assumed different layers of risk, each carrier agreed that, to the extent it was responsible for *part* of a judgment against the insured, it would become responsible for *all* postjudgment interest on the *entirety* of the

1. Excess policies may provide coverage pursuant to what is commonly referred to as a “following” certificate or policy. Under such a provision, the excess insurer provides coverage subject to exactly the same terms and conditions as those of the underlying insurance (*see* 1 New Appleman New York Insurance Law § 16.04; *see also Matter of Viking Pump, Inc.*, 27 NY3d 244, 252-253 [2016]).

2. That policy was rescinded during the pendency of the underlying personal injury action due to material misrepresentations made by the insured in applying for that coverage.

judgment until it satisfied the part of the judgment for which it was responsible. The postjudgment interest scenario that the insurers created is similar to the rule of joint and several liability in tort cases: each carrier is responsible not only for the share of postjudgment interest pertinent to the part of the judgment for which it is responsible, but also for the share of postjudgment interest attributable to the part of the judgment the carrier has no obligation to pay.

II.

Absent from that review is treatment of the majority's misstep in its resolution of the postjudgment interest question. That analysis requires a lengthier and more complex discussion of the subject policies that sometimes overlaps with the concise account of the allocation of postjudgment interest responsibilities in the first section of this writing.

The majority concludes that, "based on the unambiguous language of the two policies, [ICSOP, through the excess policy,] covered only losses in excess of those that would have been paid by Arch under the [primary] policy" (majority op at 138). Flowing from that conclusion is the majority's belief that, because postjudgment interest is a "loss" within the meaning of the policies, and because Arch "agreed to pay [postjudgment interest] as Supplementary Payments" (majority op at 139), ICSOP, as the excess carrier, has no responsibility to "drop down" to assume that obligation in the absence of an operative primary policy (majority op at 142).

My analysis of the postjudgment interest question, however, begins not with the supplementary payments provision of the primary policy, but with the excess contract. As relevant here, the excess policy binds ICSOP to

"pay on [the] behalf [of the named insured] the Ultimate Net Loss in excess of the Underlying Insurance as shown in Item 4 of the Declarations, but only up to an amount not exceeding [ICSOP's] Limits of Insurance as shown in Item 3 of the Declarations. Except for the terms, definitions, conditions and exclusions of [the excess] policy, the coverage provided by [that] policy shall follow the terms, definitions, conditions and exclusions of the [primary policy]."

That language, to this point, refers to a \$4 million limit of insurance in the excess policy (Item 3 of the Declarations), as well as the underlying primary policy of insurance (providing

\$1 million in coverage, issued by and later rescinded by Arch, and referred to in Item 4 of the Declarations). That language also refers to the phrase “Ultimate Net Loss,” which the excess policy defines as meaning “[t]he amount payable in settlement of the liability of the insured after making deductions for all recoveries and for other valid and collectible insurance, excepting however the Underlying Insurance shown in Item 4 of the Declarations.”

Important to our review is the point that the “Ultimate Net Loss” clause provides that the amount payable in settlement of the liability of the insured “except[s] . . . the Underlying Insurance.” The “Underlying Insurance,” of course, is the primary insurance here in question. Inasmuch as the “Ultimate Net Loss” provision contains an offset for the coverage provided by the primary policy, even if that primary policy is deemed invalid and not collectible, the majority essentially concludes that ICSOP can have no liability for postjudgment interest because the primary policy obliged Arch to pay such monies (*see* majority op at 139).³

Also relevant to this analysis is the maintenance provision of the excess policy, under which

“[t]he limits of insurance of the Underlying Insurance shown in Item 4 of the Declarations shall be maintained in full effect during the period of this policy except for any reduction or exhaustion of aggregate limits contained therein solely by the payment for damages for accidents or occurrences, whichever is applicable, that take place during each annual period of this policy and that are insured by this policy.”

To that point, the maintenance provision is relatively unremarkable. That clause, however, also provides that: “If you [(the insured)] fail to comply with this [maintenance] requirement, we [(the insurer)] will only be liable to the same extent that we would had you fully complied with this requirement.”

The maintenance provision, ISCOP believes (and the majority agrees [*see* majority op at 139-140]), supports its view that it has no obligation for postjudgment interest. As the theory

3. The part of the primary policy providing for the payment of postjudgment interest has not, to this point, been quoted in section II of this writing. This part of the analysis presumes—safely—that the primary insurer must pay postjudgment interest.

goes, because the primary policy rendered Arch responsible for postjudgment interest, because the “Ultimate Net Loss” provision of the excess policy allows the excess carrier to offset postjudgment interest allocable to the primary carrier, and because the maintenance provision of the excess policy does not allow an obligation of the primary carrier to be shifted to the excess carrier where the primary policy is rescinded, ISCOP has no obligation with respect to postjudgment interest.

That conclusion, however, ignores the point that the primary insurer’s responsibility for postjudgment interest is neither singular nor comprehensive, and instead is shared with an excess carrier that adopts the terms and conditions of the primary policy.

The supplementary payments provision of the primary policy provides that, with respect to postjudgment interest,

“[w]e [(the insurer)] will pay, with respect to any claim we investigate or settle, or any ‘suit’ against an insured we defend . . . [a]ll interest on the full amount of any judgment that accrues after entry of the judgment and before we have paid, offered to pay, or deposited in court the part of the judgment that is within the applicable limit of insurance.”

To be sure, that clause burdens the primary carrier with responsibility for *all* postjudgment interest that accrues before that carrier pays its share of a judgment. That is, here, until Arch (assuming its primary coverage here was operable at the time of the underlying incident) paid the \$1 million in damages protection owed under the primary policy, it would be responsible for postjudgment interest accruing with respect to the *entirety* of the approximately \$2.3 million judgment.

Nothing in that language, however, places that responsibility exclusively with the primary insurer. Indeed, the excess policy contains a “follow the form” clause that incorporates the terms and conditions of the primary policy into the excess agreement, except as noted in that contract. Although the excess policy exempts from coverage risk accepted and protected by the primary policy, responsibility for postjudgment interest does not rest solely with the primary insurer. Under the plain terms of the supplementary payments provision of the primary policy, by which ICSOP’s responsibilities are governed, postjudgment interest is treated similarly to joint and several liability; to the extent a carrier is responsible for *part of the judgment*, it is responsible for *all postjudgment interest on the entirety of the judgment* until it has satisfied the portion of the judgment for

which it is responsible.⁴

That conclusion—which suggests that the allocation of responsibility for postjudgment analysis is the functional equivalent of joint and several liability thereby rendering ICSOP, as the excess carrier, responsible for the entirety of the postjudgment interest assessment here—admittedly presents one potential problem. Absent an effective policy of primary insurance, it is impossible to determine whether and when Arch would have paid its \$1 million share of the underlying judgment (and therefore terminated its responsibility for postjudgment interest). To the extent Arch immediately paid that judgment, ICSOP's responsibility for postjudgment interest would be confined to the amount accruing on its approximately \$1.3 million share of the judgment.

However, that is not what happened. Ultimately, the point remains that the policy language requires that ICSOP bear responsibility for *all* postjudgment interest in the scenario presented. At bottom, according to the primary policy, every carrier on the risk with respect to postjudgment interest is to be treated equally. In the absence of language establishing an exclusive primary responsibility for that risk item, and because the excess carrier is unquestionably responsible for postjudgment interest on the \$1.3 million share of the judgment in the underlying action until that judgment is paid by the excess carrier, we are left with only one logical conclusion. Namely, we should conclude that ICSOP (as the excess carrier) has a mutual responsibility for postjudgment interest and that, because Arch has not paid on what would have been its \$1 million share of the underlying judgment, such interest duty covers the *entirety* of the \$2.3 million of the underlying judgment, without an offset or multi-policy sharing. At worst (from the perspective of the insured), the interplay of the parts of the primary and excess policies considering the postjudgment interest question yields an ambiguity with respect to the extent of protection owed by ICSOP that is to be resolved in favor of coverage (see generally *Lend Lease [US] Constr. LMB Inc.*, 28 NY3d at 681-682).

WILSON, J. (dissenting). The facts of this case are very odd, which perhaps has led the majority to misinterpret the

4. As a practical matter, that policy design incentivizes prompt payment of judgments owed by the respective carriers, and should operate to discourage the delay in payment that occurred with respect to the amounts owed relative to the underlying action.

contracts at issue. The story begins ordinarily: Kam Cheung Construction, Inc. (Kam Cheung) purchased a \$1 million primary insurance policy from Arch Specialty Insurance Company (Arch) and a second “follow-form” \$4 million excess policy from the Insurance Company of the State of Pennsylvania (ICSOP). Mr. Chen was injured in a construction accident and sued Kam Cheung. Arch, the primary insurer, defended Kam Cheung for a time.

The next events are less usual: Kam Cheung failed to notify ICSOP of the lawsuit until 15 months after it had been commenced. ICSOP sent a letter to Kam Cheung disclaiming coverage on that basis, but neglected to notify Mr. Chen of its disclaimer. Not until six months later, as a result of discovery, did Mr. Chen learn of the existence of the ICSOP policy; a few days later, Mr. Chen sent a notice of claim and request for defense to ICSOP. ICSOP promptly informed Mr. Chen that it had disclaimed coverage based on Kam Cheung’s late notice and refused to assume the defense or pay any judgment. About a year later, Supreme Court granted partial summary judgment (on liability) in favor of Mr. Chen, leaving damages to be determined.

The remaining facts are highly unusual. With determination of damages still pending, Supreme Court granted Arch a declaration that its policy with Kam Cheung was “void ab initio” because Kam Cheung had made material misrepresentations. As a consequence, on September 11, 2012, Supreme Court granted Arch’s motion to withdraw from the further representation of Kam Cheung. Six months later, that order was affirmed on appeal (*Arch Specialty Ins. Co. v Kam Cheung Contr., Inc.*, 104 AD3d 599 [1st Dept 2013]). Thereafter, as a result of the now-unrepresented Kam Cheung’s failure to appear for several compliance conferences, Supreme Court entered an order of default, held an inquest on damages, and awarded Mr. Chen damages of \$2,330,000 plus costs, prejudgment interest and disbursements. On October 29, 2013 (six years after Mr. Chen’s injury), judgment was entered in the amount of \$2,726,993.70. Mr. Chen immediately served a copy of the judgment on Kam Cheung and ICSOP. Kam Cheung, apparently defunct, did not respond.

When neither Kam Cheung nor ICSOP paid the judgment, Mr. Chen commenced the instant lawsuit against ICSOP, demanding that ICSOP pay the full \$2,726,993.70 judgment and postjudgment interest on that amount running from the

date of judgment. In May of 2016, Supreme Court rejected ICSOP's several attempts to disclaim coverage, held that ICSOP's policy did not cover the "first million dollars" and held that ICSOP should satisfy "the balance of the judgment." After Mr. Chen submitted a proposed judgment that included all of the outstanding pre- and postjudgment interest, ICSOP moved to resettle the judgment or, in the alternative, reargue the apportionment of interest. In Supreme Court, ICSOP argued as follows:

"ICSOP is only liable for \$1,330,000 together with any pre-judgment interest accrued on that sum. Alternatively, ICSOP is liable, at most, for \$1,330,000 together with any pre[-] and post-judgment interest accruing on that amount. Under no circumstances is ICSOP . . . liable for the first \$1,000,000 of the underlying damages award or any pre[-] or post-judgment interest accrued on that first \$1,000,000."

After reargument, Supreme Court clarified its judgment to provide that ICSOP owed its share of prejudgment interest but no postjudgment interest, selecting one of ICSOP's two alternatives and rejecting the other.

The Appellate Division upheld the amended judgment (165 AD3d 588 [1st Dept 2018]) and the majority affirms, based on a reading of the contracts to which I do not subscribe. The basic architecture of the policies establishes that after Supreme Court held the primary policy was void ab initio and determined that ICSOP could not disclaim coverage, ICSOP became liable for its share of postjudgment interest.

Arch's primary policy committed Arch to: (1) defend Kam Cheung in any suit arising out of the policy, (2) pay prejudgment interest on its part of any judgment, and (3) pay all postjudgment interest that accrued "after entry of the judgment and before [it had] paid, offered to pay, or deposited in court the part of the judgment that is within the applicable limit of insurance." Those supplementary payments extended only to any claim that "we investigate or settle, or any 'suit' against an insured we defend."

ICSOP's excess policy "followed form" from Arch's policy, meaning that it incorporated the provisions of Arch's policy "[e]xcept for the terms, definitions, conditions and exclusions of this policy." Among those terms and exclusions was a provision entitled "Bankruptcy or Insolvency" that stated:

“Your bankruptcy, insolvency or inability to pay or the bankruptcy, insolvency or inability to pay of any of your underlying insurers will not relieve us from the payment of any claim covered by this policy.

“But under no circumstances will such bankruptcy, insolvency or inability to pay require us to drop down and replace the Underlying Insurance or assume any obligation within the Underlying Insurance area.”

The two policies are interlocking and together establish several clear propositions. Arch would pay the first \$1 million of any judgment; ICSOP would pay the excess (up to \$4 million). The two insurers would share responsibility for prejudgment interest: Arch would cover prejudgment interest on the first \$1 million; ICSOP would cover the excess (again, up to \$4 million). For that reason, I join the majority’s holding insofar as it properly apportions prejudgment interest between the two insurers.¹

Postjudgment interest was treated differently. Because Arch, as primary insurer, had the initial duty to defend the insured, Arch assumed liability for all postjudgment interest, which, by definition, could only accrue during and after litigation that Arch was obligated to participate in. Absent some contractual protection, Arch’s promise to assume liability for all postjudgment interest was potentially enormous. (For example, if Kam Cheung’s building had collapsed and injured dozens of neighbors, Arch’s liability for postjudgment interest could fast eclipse its principal liability of \$1 million). As a result, Arch’s policy contains two essential protections. Arch’s liability for postjudgment interest extended only to “any claim we investigate or settle, or any ‘suit’ against an insured we defend,” and Arch could terminate its liability for postjudgment interest at any moment by paying or offering to pay its portion of the underlying judgment. Those protections depended upon Arch’s involvement in the litigation.

Neither the primary policy nor the excess policy addressed a separate question: what would happen if Arch disengaged from the litigation, not because Arch paid its portion of the underly-

1. I also agree with the majority as to the propriety of Supreme Court’s decision to permit the parties to submit additional briefs and present argument specifically directed to the issue of interest (majority op at 137-138 n 1).

ing judgment, but instead because Arch's policy was judicially determined to be void ab initio? Who then would be responsible for postjudgment interest?

Once Supreme Court held that Arch's contract of insurance with Kam Cheung was void and excused Arch from the litigation, there is no basis to claim that liability for ICSOP's portion of postjudgment interest continued to rest with Arch. Contractually, Arch's obligation to pay postjudgment interest was conditioned upon its participation in the litigation. After Arch withdrew, that fundamental precondition of the entire arrangement was no longer met.

There is also no basis to claim that the postjudgment liability thereafter rested with Kam Cheung—at least not once Supreme Court determined that ICSOP could not disclaim coverage. The structure of the policies establishes that responsibility for postjudgment interest, after the primary insurer withdrew, fell to the other insurers in proportion to their underlying liability. ICSOP committed to pay all of Kam Cheung's liabilities under the policy except those “within the Underlying Insurance area.” Postjudgment interest was a responsibility that shifted from primary to excess insurer once the primary insurer paid its portion of the judgment. However, that obligation was contingent upon the primary insurer's participation in the litigation, and once Supreme Court granted Arch's motion to withdraw from the litigation, the obligation for postjudgment interest (accruing on another insurer's liability) no longer constituted an “obligation within the Underlying Insurance area.” Therefore, Arch's promise to pay postjudgment interest no longer fell within the express exemptions and fell instead to ICSOP.

That contractual reading is further supported by the basic purpose of postjudgment interest and the mechanisms by which it accrues. Pre- and postjudgment interest both represent the time value of money that the insured (or the insurance company) has gained and the injured party has lost (*see generally* 44B Am Jur 2d, Interest and Usury § 28). However, there are differences between the two forms of interest. Prejudgment interest can begin to run before the insured or insurance company has investigated the claim. As a result, Arch prudently capped its liability for prejudgment interest to its portion of the judgment. In contrast, postjudgment interest accumulates as a result of the defendant's strategic decision to contest the underlying judgment. Where an insurer is responsible for the defense, the insurer must evaluate the chance of postjudgment

success (e.g., appeals) and the time likely to be taken, and weigh that expected value against the time value of money represented by the statutory postjudgment interest rate, here 9% annually (*see* CPLR 5004). Put simply, when a defendant loses a claim, its insurer can pay up immediately, or can bet on a reversal, the cost of which is postjudgment interest the insurer will have to pay if it bets wrong.

Since October of 2013, ICSOP has been the sole litigant contesting responsibility for its portion of the judgment. ICSOP received repeated notice of the ongoing litigation between Mr. Chen and Kam Cheung, including on the day the judgment was entered, now more than seven years ago.² At that point, ICSOP could have tendered the \$1.33 million it owed and thereby shut off the accrual of postjudgment interest on its liability. Instead, ICSOP made a different strategic decision; it fought the judgment in its entirety, arguing for years that it had disclaimed coverage and that, even if its disclaimer was invalid, Mr. Chen's particular injury was not covered by the excess policy.³ Arch had nothing to do with that decision—the court excused it. Kam Cheung had nothing to do with that decision—it was nowhere to be found. After 3½ years of litigation, Supreme Court ruled against ICSOP, holding that its initial disclaimer was invalid and that its subsequent defenses were untimely. In the interim, ICSOP gained—and Mr. Chen lost—the time value of money ICSOP owed to Mr. Chen.

Under the terms of the two policies, ICSOP should not have expected that any other party would foot the bill for the interest that accrued solely as the result of its own litigation decisions. The structure of the policy made clear that the primary insurer's obligation to pay postjudgment interest was conditioned on its involvement in the litigation. Neither the primary insurer (whose policy was voided) nor Kam Cheung (who defaulted) have been responsible for any postjudgment litigation decisions.

2. Kam Cheung notified ICSOP in May of 2009, Mr. Chen notified ICSOP directly on January 4, 2010, and Mr. Chen again notified ICSOP on October 29, 2013.

3. In its opposition to the plaintiff's motion for summary judgment, ICSOP argued that Mr. Chen had been an employee of Kam Cheung's, and therefore Mr. Chen's injury fell within the excess policy's exclusion for employer liability. In its order granting summary judgment, Supreme Court rejected ICSOP's employer liability exclusion defense on the grounds that (1) no findings had been made that Mr. Chen was an employee of Kam Cheung, and (2) that defense, which came four years after ICSOP originally disclaimed coverage, was untimely.

If this were a dispute over a regular contract, its resolution would not pose much difficulty once the unusual facts have been ordered properly. The structure and purpose of the agreement are clear and the language requires excess insurers to pay postjudgment interest when the primary insurer has no coverage obligation. Because it is a dispute over an *insurance* contract, this case is even simpler. We have repeatedly explained that “before an insurance company is permitted to avoid policy coverage, it must satisfy the burden which it bears of establishing that the exclusions or exemptions apply in the particular case, and that they are subject to *no other reasonable interpretation*” (*Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304, 311 [1984] [emphasis added and citations omitted]; *accord Dean v Tower Ins. Co. of N.Y.*, 19 NY3d 704, 708 [2012]). The above interpretation is, at the very least, a reasonable interpretation of interdependent agreements that obligate ICSOP to pay postjudgment interest on its portion of the judgment once it was responsible for, and actually exercised, control of Kam Cheung’s defense. Therefore, we are obliged to construe the policies against ICSOP and in favor of providing coverage.

Furthermore, ICSOP’s strained reading of the underlying policy contradicts the express obligations set forth in the excess policy. The insolvency provision of the excess policy provision states: “Your . . . inability to pay or the . . . inability to pay of any of your underlying insurers will not relieve us from the payment of any claim covered by this policy.” Despite the plain language of that provision, ICSOP now contends that its liability for postjudgment interest does in fact depend upon the ability to pay of either the primary insurer or the insured. Under ICSOP’s new theory, if neither pays, ICSOP will never be liable for postjudgment interest. Invoking the above contractual provision, ICSOP argued to Supreme Court that the fact “[t]hat Kam Cheung cannot meet its obligations is of no effect.” Now, conversely, ICSOP contends that either Arch or Kam Cheung would have had to “tender[] payment of the \$1,000,000 primary limit . . . to cut off Arch’s” obligation under the Arch policy to pay all postjudgment interest. That theory of when the meter begins to run on ICSOP’s postjudgment interest flatly contradicts the insolvency provision, which states that payment of ICSOP’s claims is not contingent on the underlying insurer’s or the insured’s ability to pay.

To be clear, however, I would hold that ICSOP is liable for postjudgment interest on its portion of the underlying judg-

ment only—not on the \$1 million of the underlying judgment as to which it had no liability. I agree that, under the terms of the policies, Arch committed to pay both the \$1 million policy limit and any attendant interest on that \$1 million. However, because Arch’s commitment to pay postjudgment interest on another insurer’s judgment liability was conditional on its own involvement in the litigation, that obligation was extinguished when the policy was voided and Arch withdrew from the litigation.⁴

The majority pays scant attention to the differences between pre- and postjudgment interest and omits any discussion of the policy’s logic in tying postjudgment interest to control of the litigation. In so doing, the majority overlooks the more compelling (or at minimum, a reasonable) interpretation of the two policies that should lead us to conclude that ICSOP was responsible for the postjudgment interest on its portion of the underlying judgment.⁵ The majority’s parting line, that Mr. Chen can pursue postjudgment interest against Kam Cheung, is belied by ICSOP’s acknowledgement that “Kam Cheung cannot meet its obligations.” Indeed, that is why most insurance policies are purchased: to cover risks that the insured cannot

4. Judge Fahey reaches a different conclusion based on an alternative reading of the policies that is reasonable. Under that interpretation, the primary and the excess insurers are jointly liable for all postjudgment interest because the follow-form excess policy incorporates the primary’s postjudgment interest provision into its policy. That joint liability extends until either insurer tenders its portion of the underlying judgment, which ICSOP did not do until years after the judgment was entered. For the reasons explained herein, I believe my interpretation of the excess coverage policy’s allocation of responsibility for postjudgment interest best comports with our cardinal rule of effectuating the parties’ intent (*see Evans v Famous Music Corp.*, 1 NY3d 452, 458 [2004] [“It is well settled that our role in interpreting a contract is to ascertain the intention of the parties at the time they entered into the contract”]; *see also Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]). Judge Fahey’s interpretation, however, should be preferred over the majority’s. Under our canon of construction for situations in which an insurance agreement is subject to multiple reasonable interpretations, the reasonable construction most favorable to the insured prevails (*see Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304, 311 [1984]). The majority’s choice of the interpretation least favorable to the insured does not comport with our longstanding precedent.

5. The majority’s curious footnoted response to my dissent erroneously claims that the parties did not preserve a claim that the policy should be interpreted to render ICSOP liable for postjudgment interest on its share of the award only (*see* majority op at 139 n 2) and confuses my use of the phrase “policy’s logic” in the first sentence of this paragraph to have something to do with public policy, when all I mean is the logic—i.e., the structure and interrelationships—within the four corners of the *insurance policy*.

afford to pay. It is also why New York City requires contractors like Kam Cheung to purchase accident insurance as a condition of doing business: so that innocent victims such as Mr. Chen do not suffer because the liable party is unable to satisfy the judgment (*see generally* 1 RCNY 101-08). In any event, under the terms of the policies, Kam Cheung is not the party responsible for postjudgment interest that ICSOP racked up when neither Arch nor Kam Cheung were involved in the litigation.

Although the facts and procedural history are peculiar, the insurance contracts are standard form contracts. Much as I disagree with the majority's interpretation of these contracts as applied to the facts here, one should not assume it has much, if any, relevance to cases with more conventional facts—for example, where the primary insurer is insolvent and the defense is assumed start to finish by the excess carrier. Likewise, it would be wildly inconsistent with the contractual provisions and public policy to interpret the majority's position as holding that once a primary carrier has dropped out without paying its policy limit, excess carriers have a free ticket to prolong postjudgment litigation at the expense of the injured party (*see Denio v State of New York*, 7 NY3d 159, 166 [2006] [explaining the salutary role that postjudgment interest plays in inducing parties to negotiate and settle claims]).

Frequently, as happened here, injured parties like Mr. Chen will be left bearing the costs of an insurer's strategic decision to refuse to pay what it owes. All of this could be avoided if the policies were read as they can be reasonably interpreted; as linking liability for postjudgment interest to control of the litigation, a control which ICSOP undeniably had.

Judges RIVERA, STEIN, GARCIA and FEINMAN concur; Judge FAHEY dissents in an opinion; Judge WILSON dissents in a separate dissenting opinion.

Order affirmed, with costs.

[163 NE3d 462, 139 NYS3d 594]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LANCE
WILLIAMS, Appellant.

Argued November 19, 2020; decided December 17, 2020

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 30, 2019. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (William I. Mogulescu, J., at jury trial and sentencing; Efrain L. Alvarado, J., at hearing on motion to set aside verdict), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the second degree.

People v Williams, 172 AD3d 637, affirmed.

HEADNOTES**Crimes — Possession of Weapon — Temporary Lawful Possession**

1. In defendant's prosecution for criminally possessing, and ultimately firing, a gun he had accepted from a friend while exiting the friend's apartment building after seeing an acquaintance with whom he had a history of violent confrontations standing outside the building, defendant was not entitled to a jury charge on the defense of temporary and lawful possession because there was no reasonable view of the evidence presented at trial upon which a jury could find that defendant's initial possession of the gun was innocent or excusable. In order to trigger the right to a jury charge concerning the defense of temporary and lawful possession, there must be proof in the record showing a legal excuse for possession as well as facts tending to establish that, once possession has been obtained, the weapon had not been used in a dangerous manner. Defendant's possession did not result temporarily and incidentally from the performance of some lawful act, such as disarming a wrongful possessor or unexpected discovery. There was no evidence suggesting that the acquaintance chased after defendant when he reentered the building, or that the acquaintance had any awareness of defendant's location in the building. Further, defendant admitted that he accepted possession of the firearm in a stairwell, at a time when he was unaware of the acquaintance's whereabouts and was not facing any imminent threat to his safety. Defendant then chose to retain possession of the firearm and to enter the lobby with the weapon in his hand. Under those circumstances, the only reasonable conclusion to be drawn from the evidence was that defendant armed himself in anticipation of a potential confrontation.

Crimes — Verdict — Setting Verdict Aside — Juror's Allegations of Threats Discredited

2. In a criminal prosecution, defendant's challenge to the trial court's denial of his motion to set aside the verdict based on a juror's claim that she had been threatened in connection with the trial prior to deliberations was

beyond the scope of review of the Court of Appeals, insofar as the trial court's credibility determination was supported by the record. The hearing court had the opportunity to evaluate the juror's demeanor and credibility, and the court thoroughly explained its bases for discrediting the juror's allegations, including the location at which the threat was purportedly made, the nature of the threat, the manner in which the allegations were reported, as well as the juror's refusal to cooperate with authorities attempting to investigate the alleged threat.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review §§ 204, 581, 602; AM JUR 2d Trial §§ 883, 1010.

CARMODY-WAIT 2d Charge and Instruction to Jury §§ 200:11, 200:65; CARMODY-WAIT 2d Appeals in Criminal Cases § 207:184.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 24.8, 27.5.

NY JUR 2d Criminal Law: Procedure §§ 2784, 2824, 3740.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Instructions to Jury; Weapons and Firearms.

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Query: jury /3 charge /4 temporary /3 lawful /2 possession

POINTS OF COUNSEL

Davis Polk & Wardwell LLP, New York City (*John M. Briggs* and *Dan S. Peck* of counsel), and *Janet E. Sabel*, *The Legal Aid Society*, New York City (*David A. Crow* of counsel), for appellant. I. Defendant was entitled to an instruction on temporary lawful possession in light of his testimony that he briefly possessed the gun during exigent circumstances involving imminent danger of attack and used the gun in justified self-defense. (*People v Almodovar*, 62 NY2d 126; *People v Williams*, 50 NY2d 1043; *People v Mack*, 177 AD3d 1155; *People v Bonilla*, 154 AD3d 160; *People v Banks*, 76 NY2d 799; *People v Sackey-El*, 149 AD3d 1104; *People v Messado*, 49 AD2d 560; *People v Holes*, 118 AD3d 1466; *People v Thomas*, 172 AD2d 572; *People v Trucchio*, 47 AD2d 934.) II. The guilty verdict should have been set aside because uncontroverted evidence

demonstrated that a juror's deliberation and verdict was influenced by an improper threat to convict defendant. (*People v Simms*, 13 NY3d 867; *People v Rodriguez*, 100 NY2d 30; *People v Neulander*, 34 NY3d 110; *United States v Schwarz*, 283 F3d 76.)

Darcel D. Clark, District Attorney, Bronx (*David A. Slott*, *Nancy D. Killian* and *Peter D. Coddington* of counsel), for respondent. I. The court below properly determined that the evidence did not warrant a temporary and lawful possession of a weapon charge. (*People v Banks*, 76 NY2d 799; *People v Tirado*, 38 NY2d 955; *People v Snyder*, 73 NY2d 900; *People v Pugh*, 134 AD3d 1582, 27 NY3d 968; *People v Johnson*, 94 AD3d 1408, 19 NY3d 998; *People v Holes*, 118 AD3d 1466; *People v Abdul-Hakeem*, 172 AD2d 177; *People v Butts*, 72 NY2d 746; *People v McKenzie*, 19 NY3d 463; *People v Locicero*, 87 AD3d 1163.) II. The Appellate Division properly affirmed the denial of defendant's CPL 330.30 motion because the hearing court exercised sound discretion in rejecting the juror's incredible testimony. (*People v Rodriguez*, 100 NY2d 30; *People v Maragh*, 94 NY2d 569; *People v Ceresoli*, 88 NY2d 925; *People v McRay*, 51 NY2d 594; *People v Oden*, 36 NY2d 382; *People v Gruttola*, 43 NY2d 116; *People v Penoyer*, 135 AD2d 42, 72 NY2d 936; *People v Brown*, 48 NY2d 388; *People v Clark*, 81 NY2d 913.)

OPINION OF THE COURT

STEIN, J.

No reasonable view of the evidence presented at trial supported a conclusion that defendant's initial possession of the firearm in question was innocent or excusable. Therefore, the courts below properly held that defendant was not entitled to a jury charge regarding temporary and lawful possession, and we affirm.

Defendant was charged with several counts of attempted murder, assault, and criminal possession of a weapon in the second degree after he shot an acquaintance, Leon Carson, as well as a bystander, in the lobby of a large apartment building. Viewed in the light most favorable to defendant, the evidence established that, on the day of the shooting, defendant was visiting the apartment of a friend, known as "Foe." As defendant left the building, he saw Carson standing outside with another man. Defendant and Carson, along with Carson's brother, had a history of violent confrontations. More specifically, defendant had been shot by Carson's brother on two separate oc-

casions approximately five years earlier, and defendant knew that Carson believed him to be the perpetrator of a shooting the same year that left Carson, himself, wounded.

Defendant testified that, when he was exiting the building, he saw Carson outside and observed Carson pull a gun out of his pocket. Defendant retreated back through the lobby, and returned to Foe's apartment on an upper floor, where he told Foe that Carson was outside with another man in a blue coat, and that Carson had "pulled a gun." Although defendant asked Foe to call the police, hoping that their presence might prompt Carson to leave the area, Foe refused. When Foe's partner requested that defendant leave, Foe grabbed a loaded gun, "cocked it," and "put it on his waist," telling defendant that he would walk him out to his car. Foe and defendant descended the stairwell to the lobby. Looking into the lobby, Foe saw a man in a blue jacket and relayed his presence to defendant. Foe then handed the gun to defendant, who accepted it without objection, and instructed defendant to walk behind him.

Approximately seven minutes after seeing Carson outside the building, defendant exited the stairwell into the lobby with the gun in his hand. As defendant stepped toward the building exit just a few feet away, he saw Carson down a nearby hallway. According to defendant, Carson had his hand in his pocket and lifted it upward, as if he was going to fire a gun. In response, defendant "just blacked out" and "started shooting," ultimately firing five shots across the lobby—striking Carson three times and also hitting a bystander—before running out of the building.¹ Once outside, defendant handed the gun back to Foe and fled. He was arrested several days later.

Following the close of proof, the court instructed the jury on the legal principles applicable to defendant's justification defense relating to the shooting itself. Defendant argued that he was also entitled to a jury charge pertaining to temporary and lawful possession of the firearm in connection with the weapons possession charge. However, the trial court declined to provide that charge, observing that defendant had not been facing an imminent threat when he took possession of the gun in the stairwell, particularly because he did not know whether Carson was still nearby. The jury acquitted defendant of the assault and attempted murder charges, but found him guilty of unlawfully possessing the firearm used in the shooting.

1. Surveillance cameras in the lobby and hallway captured the shooting on video.

Defendant subsequently moved to set aside the verdict based on a juror's claim that she had been threatened in connection with the trial prior to deliberations. Following a hearing, during which the juror's allegations were fully explored, the court found the juror's allegations incredible and denied defendant's motion.

On defendant's appeal, the Appellate Division affirmed (172 AD3d 637 [1st Dept 2019]). That Court concluded there was no reasonable view of the evidence under which defendant was entitled to a temporary and lawful possession charge because, "[r]egardless of whether defendant came into possession of [the] pistol in an excusable manner," he used the gun dangerously "when he fired five shots in the lobby of a building, admittedly shooting two victims (including a bystander not claimed to be posing any threat) while defendant 'just blanked out' " (*id.* at 637-638). The Appellate Division further held that there was "no basis for disturbing the court's finding that [the] juror's testimony about being threatened was incredible" (*id.* at 638). A Judge of this Court granted defendant leave to appeal (34 NY3d 1020 [2019]).

A court must instruct the jury regarding both the "fundamental legal principles applicable to criminal cases in general" and those "material legal principles applicable to the particular case" (CPL 300.10 [1], [2]). "In determining whether to instruct a jury on a claimed defense, the court must view the evidence adduced at trial in the light most favorable to the defendant," and must provide the requested charge if it is supported by a reasonable view of the evidence (*People v Zona*, 14 NY3d 488, 493 [2010]; *see People v Banks*, 76 NY2d 799, 800 [1990]; *People v Butts*, 72 NY2d 746, 750 [1988]). "The rule is that the jury must be instructed on all claimed defenses which are supported by a *reasonable view* of the evidence—not by any view of the evidence, however artificial or irrational" (*Butts*, 72 NY2d at 750). If the evidence sufficiently supports a defense, "[a] failure by the court to charge the jury constitutes reversible error" (*People v Watts*, 57 NY2d 299, 301 [1982]). However, "when no reasonable view of the evidence would support a finding of the tendered defense, the court is under no obligation to submit the question to the jury" (*id.*).

This Court has long held that criminal possession of a weapon, as proscribed by the Penal Law, "should not be construed to mean a possession . . . which might result temporarily and incidentally from the performance of some

lawful act' ” (*People v LaPella*, 272 NY 81, 83 [1936], quoting *People v Persce*, 204 NY 397, 402 [1912]). In order to trigger the right to a jury charge concerning the defense of temporary and lawful possession, “there must be proof in the record showing a legal excuse for . . . possession as well as facts tending to establish that, once possession has been obtained, the weapon had not been used in a dangerous manner” (*People v Williams*, 50 NY2d 1043, 1044-1045 [1980]). In accordance with those principles, the pattern jury charge relating to temporary and lawful possession explains that “[a] person has innocent possession of a weapon when [that person] comes into possession of the weapon in an excusable manner and maintains possession, or intends to maintain possession, of the weapon only long enough to dispose of it safely” (CJI2d[NY] Possession—Temporary and Lawful Possession).

In that regard, we have explained that “a defendant may not be guilty of unlawful possession if the jury finds that [the defendant] found the weapon shortly before [the defendant’s] possession of it was discovered and [the defendant] intended to turn it over to the authorities” (*People v Almodovar*, 62 NY2d 126, 130 [1984]; see *LaPella*, 272 NY at 82-83; see also *Williams*, 50 NY2d at 1045). We have also indicated that temporary and lawful possession may result where a defendant “took [the firearm] from an assailant in the course of a fight” (*Almodovar*, 62 NY2d at 130) and the circumstances do not otherwise evince an intent to maintain unlawful possession of the weapon (see e.g. *Banks*, 76 NY2d at 801; *People v Snyder*, 73 NY2d 900, 901-902 [1989]). In such scenarios, “[t]he innocent nature of the possession negates . . . the criminal act of possession” (*Almodovar*, 62 NY2d at 130). Ultimately, whether the weapon is found fortuitously or obtained by disarming an attacker, “the underlying purpose of the charge is to foster a civic duty on the part of citizens to surrender dangerous weapons to the police” (*Williams*, 50 NY2d at 1045).

Here, defendant argues that he was entitled to the temporary and lawful possession charge because he took possession of the weapon with the intent to use it only in self-defense and because his eventual firing of the gun was justified. We disagree.

In *People v Almodovar*, we explained that the defense of justification—which may render the *use* of a firearm lawful—is not a defense to the unlawful *possession* of the weapon (62 NY2d at 130). In that case, the defendant gained possession of

his assailant's gun and shot the assailant in claimed self-defense. The defendant argued that the jury should have been instructed that "lawful possession includes possession for the purpose of self-defense" (*id.* at 129). We rejected the defendant's contention, explaining that "[t]he essence" of criminal possession "is the act of possessing a weapon unlawfully"; therefore, "[o]nce the unlawful possession of the weapon is established, the possessory crime is complete and any unlawful use of the weapon is punishable as a separate crime" (*id.* at 130). Although we recognized that a defendant's possession of a weapon may be excused in circumstances where, for example, that possession results from disarming an attacker or accidental discovery, we clarified that "a person either possesses a weapon lawfully or . . . does not and [a defendant] may not avoid the criminal charge by claiming that [the defendant] possessed the weapon for . . . protection" because, while "[j]ustification may excuse otherwise unlawful use of the weapon[,] . . . it is difficult to imagine circumstances where it could excuse unlawful possession of it" (*id.*).

[1] Viewing the evidence in the light most favorable to defendant, his initial possession of the firearm cannot be countenanced. Undisputedly, defendant's possession did not "result temporarily and incidentally from the performance of some lawful act, [such] as disarming a wrongful possessor" or unexpected discovery (*Persce*, 204 NY at 402). Rather, under the circumstances presented here, defendant's contention that his possession should be legally excused on the grounds of self-defense amounts to a claim that he was entitled to possess the weapon for his protection. Even crediting defendant's testimony that he had been confronted by Carson at the building's exit earlier and that Carson had displayed a firearm at that time, defendant testified that he then safely retreated to Foe's apartment. There was no evidence suggesting that Carson chased after defendant when he reentered the building, or that Carson had any awareness of defendant's location in the building. Further, defendant admitted that he accepted possession of the firearm from Foe in the stairwell, at a time when he was unaware of Carson's whereabouts and was not facing any imminent threat to his safety. Defendant then chose to retain possession of the firearm and to enter the lobby with the weapon in his hand. Under these circumstances, the only reasonable conclusion to be drawn from the evidence is that defendant armed himself in anticipation of a potential confronta-

tion; however, the law is clear that defendant “may not avoid the criminal [possession] charge by claiming that he possessed the weapon for his protection” (*Almodovar*, 62 NY2d at 130).²

On this record, defendant’s unlawful possession of the firearm was established—and the possessory crime complete—when defendant accepted possession of the firearm in the stairwell (*see id.*). The trial court’s decision to instruct the jury on justification with respect to defendant’s *use* of the gun does not alter that conclusion. Inasmuch as there was no reasonable view of the evidence upon which a jury could find that defendant’s initial possession was temporary and lawful, defendant was not entitled to a jury charge on that defense. In light of this conclusion, we have no occasion to pass upon whether defendant subsequently used the firearm in a dangerous manner so as to otherwise deprive him of any entitlement to the charge.

[2] Defendant’s challenge to the denial of his motion to set aside the verdict is also unavailing. “[T]rial courts are vested with discretion in deciding CPL 330.30 (2) motions, and this Court will uphold a trial court’s undisturbed findings of fact if they are supported by evidence in the record” (*People v Rodriguez*, 100 NY2d 30, 35 [2003] [citation omitted]; *see People v Ceresoli*, 88 NY2d 925, 926 [1996]). Here, the hearing court had the opportunity to evaluate the juror’s demeanor and credibility, and the court thoroughly explained its bases for discrediting the juror’s allegations—including the location at which the threat was purportedly made, the nature of the threat, the manner in which the allegations were reported, as well as the juror’s refusal to cooperate with authorities attempting to investigate the alleged threat. Insofar as the court’s

2. Judge Wilson’s concurrence posits that the defense of temporary and lawful possession would apply to excuse possession when that possession is occasioned “by an imminent need for self-defense” (Wilson, J., concurring op at 173). To be sure, the disarming of an attacker may give rise to temporary and lawful possession inasmuch as the law recognizes that a person is entitled to attempt to deprive an assailant of a weapon being used against that person, and the resulting possession of the weapon is assuredly “incidental[]” to the lawful disarming (*People v Persce*, 204 NY 397, 402 [1912]). However, as the concurrence acknowledges, we have never held that a person may have temporary and lawful possession of a weapon obtained from a source *other* than an attacker so long as possession is obtained for the purpose of self-defense at a time when the possessor is facing imminent danger. In any event, as our concurring colleague concedes, we need not opine on whether a temporary and lawful possession charge would be warranted in such a scenario because there is no reasonable view that defendant was facing imminent danger when he took possession of the gun.

credibility determination finds support in the record, this issue is beyond the scope of our review.

Accordingly, the order of the Appellate Division should be affirmed.

RIVERA, J. (concurring). I concur in the result to affirm the Appellate Division, but not on the grounds set forth by the majority. Defendant Lance Williams is correct that there was evidence supporting the view that he was in imminent danger when he obtained possession of the gun. With gun in hand, he fired in self-defense, but in a manner reckless under the circumstances. So, while he was entitled to a charge on justification for the use of the gun, he was not entitled to a charge on temporary lawful possession of the weapon.

The decision to grant or deny a requested jury charge depends on the unique facts of every case and will ultimately be determined by the evidence adduced at trial, as seen in the light most favorable to the defendant (*People v Zona*, 14 NY3d 488, 493 [2010]). Applying this standard, the majority and Judge Wilson in his concurring opinion devote most of their respective analyses to determining whether defendant's possession of the weapon, obtained only moments before his confrontation with Carson, warrants a temporary and lawful possession instruction. In my view, the evidence reasonably supported the view that—in light of defendant's violent history with Carson and his family, his belief that he was being set up, his unfamiliarity with the building, Foe's acknowledgement that there was a man wearing a blue jacket in the lobby, and the fact that Foe thrust the gun upon defendant mere moments before opening the door to the lobby—defendant was in imminent danger and that his possession of the weapon was therefore lawful.

However, we have held that a defendant is entitled to a temporary and lawful possession instruction only if “there [is] proof in the record showing . . . that, once possession has been obtained, the weapon had not been used in a dangerous manner” (*People v Banks*, 76 NY2d 799, 801 [1990] [citation omitted]). Here, the record demonstrates that defendant used the weapon in a dangerous manner and, therefore, had no entitlement to the requested instruction. As the Appellate Division explained, defendant “fired five shots in the lobby of a building, admittedly shooting two victims (including a bystander not claimed to be posing any threat) while defendant ‘just blanked out’ ” (*People v Williams*, 172 AD3d 637, 637 [1st Dept 2019], *lv*

granted 34 NY3d 1020 [2019]). Indeed, defendant's testimony repeatedly emphasized that he "blanked out," that he "was just shooting" and "wasn't paying attention," and that he "didn't see anything until after everything was over." While Judge Wilson is correct that mere use of a deadly weapon cannot deprive a defendant of the charge (Wilson, J., concurring op at 169), here, the only inference to be drawn from defendant's testimony is that he fired indiscriminately into the cramped lobby, in the middle of the day, seemingly unconcerned with the presence of other individuals in close proximity.

As the Appellate Division held, "[r]egardless of whether defendant came into possession of a pistol in an excusable manner, he 'used it in a dangerous manner' " (*id.*, citing *People v Williams*, 50 NY2d 1043, 1045 [1980] [alteration omitted]). That dangerous use precluded the temporary and lawful possession instruction as a matter of law (*see Banks*, 76 NY2d at 801; *Williams*, 50 NY2d at 1045 [holding that defendant's use of a weapon "in a manner which may be charitably characterized as reckless" deprived him of the charge]).

WILSON, J. (concurring). This appeal requires us to decide whether a jury could find that Lance Williams had a legal excuse to arm himself with a gun as he stood on one side of a door, moments before he walked through the door to find an armed rival on the other side.¹ I agree with the majority that the line between criminal and lawful gun possession here, strange as it may seem, lay at that doorway—but for reasons somewhat different than those given by the majority. Drawing the right line requires us to analyze the two strands of case law that govern temporary and lawful possession of a weapon—one relating to found weapons and the other relating to weapons acquired immediately before an anticipated use in self-defense—and to recognize the competing public policies underlying the defense of temporary and lawful possession.

New York's Penal Law has long embodied a strong public policy against possession of illegal weapons. In 1912, construing the forerunner to New York's current prohibition on weapons possession, our Court explained the legislature's

1. As with several of the facts, it is not clear that his rival, Leon Carson, was armed. However, in determining whether Mr. Williams was entitled to a jury instruction, we must view the trial evidence "in the light most favorable to the defendant" (majority op at 160, quoting *People v Zona*, 14 NY3d 488, 493 [2010]).

purpose in making possession of certain dangerous weapons “of itself a crime without evidence of intent to use” (*People v Persce*, 204 NY 397, 401 [1912], citing former Penal Law § 410, as amended by L 1905, ch 92, § 2, and former Penal Law § 1897, as added by L 1909, ch 88). The legislature determined that “one of the proper and efficient methods by which to prevent the commission of crime to be apprehended through the instrumentality of these weapons was to make their possession of itself criminal without delaying until opportunity had bred [to commit] some particular evil design” (*id.* at 402-403). Accordingly, our Court has consistently recognized that “the act of possessing a weapon unlawfully” is “[t]he essence of the illegal conduct defined in sections 265.01-265.05 of the Penal Law,” New York’s current weapons possession statutes (*People v Almodovar*, 62 NY2d 126, 130 [1984], citing Penal Law §§ 265.01-265.05, as added by L 1974, ch 1041, § 3).

The defense of temporary and lawful possession is a creature of the common law, made and adapted by courts. Since the inception of New York’s prohibitions on possessing illegal firearms, we have recognized a defense of “temporary and lawful possession,” available to persons who “possess an unlicensed or proscribed weapon” but are “not . . . guilty of a crime because of the innocent nature of the possession” (*Almodovar*, 62 NY2d at 130 [internal quotation marks omitted]). Interpreting New York’s first prohibition on mere possession of certain weapons, our Court recognized that the ban on possession “should not be construed to mean a possession for instance . . . which might result temporarily and incidentally from the performance of some lawful act, as disarming a wrongful possessor” (*Persce*, 204 NY at 402). Accordingly, courts have consistently determined that the common-law defense of temporary and lawful possession may be available to defendants who take possession of a weapon incident to defending themselves against an attacker, reflecting the view that such conduct “as a matter of policy . . . is not deemed criminal” (*Almodovar*, 62 NY2d at 130; *see also* cases cited *infra* at 171-172).

In addition, over the years the legislature has created certain statutory defenses exempting persons from liability for otherwise illegal possession of a weapon, including persons “voluntarily surrendering such weapon” to law enforcement officials (Penal Law § 265.20 [a] [1] [f]; *see also* former Penal Law § 1897 [6-a], as added by L 1940, ch 259 [forerunner to the current statutory exemption precluding arrest of any

person who “voluntarily delivers to a peace officer any pistol, revolver or other firearm or any other dangerous or deadly instrument or weapon mentioned in (Penal Law § 1897), under circumstances not suspicious, peculiar or involving the commission of any crime”]). Although the statutory exemption postdates the common-law defense of temporary and lawful possession and constitutes a different legal defense to liability, the enactment of a statutory defense pertaining to found weapons does not impair the preexisting common-law defense, particularly as that defense pertains to weapons obtained during a life-threatening altercation and needed for self-defense.

Even before the legislature created a statutory exemption for persons who found weapons and sought to turn them over to law enforcement, our case law recognized a common-law defense to that effect (*see People v LaPella*, 272 NY 81, 83 [1936] [holding that it was error not to instruct the jury “that if this defendant found this pistol as claimed by him, and if he thereafter took this gun for the purpose of delivering it to an officer or to a police station, that he was performing a civic duty, and that such possession was not the possession intended by Section 1897”]). After the enactment of the statutory exemption, the common-law doctrine of temporary and lawful possession has remained a viable defense in cases of found weapons (*see People v Williams*, 50 NY2d 1043, 1045 [1980] [recognizing that the common-law defense is available to defendants where it serves the public policy of “foster(ing) a civic duty on the part of citizens to surrender dangerous weapons to the police”]). However, the purpose underlying the line of cases permitting defendants who find illegal weapons to assert the common-law defense—namely, advancing a “civic duty” to surrender such weapons (*LaPella*, 272 NY at 83; *Williams*, 50 NY2d at 1045)—was not the basis for courts’ initial creation of the common-law defense as a shield to defendants who acquired weapons for immediate self-defense (*see Persce*, 204 NY at 402). New York’s pattern jury instructions on temporary and lawful possession also capture the public policy against retaining illegal weapons, explaining that “[a] person has innocent possession of a weapon when [that person] comes into possession of the weapon in an excusable manner and maintains possession, or intends to maintain possession, of the weapon only long enough to dispose of it safely” (CJI2d[NY] Possession—Temporary and Lawful Possession [noting that the jury may consider, among a non-exhaustive list of non-dispositive fac-

tors, “the defendant’s opportunity, if any, to turn the weapon over to the police or other appropriate authority”]). But the instruction contains an amalgam of elements—some relating to how the defendant obtained the weapon, some relating to how the defendant disposed of it, among other things—that, as with all jury instructions, the trial court may need to tailor to the facts of a given case (*see id.*; *see also People v Thomas*, 172 AD2d 572, 573 [2d Dept 1991] [holding that “the trial court improperly ruled that it could not tailor its charge to the facts of the case,” and instead “used two ‘generic’ examples (that) referred to a defendant who disarmed an attacker and implied that the defense would be valid only where the defendant had the intent to turn the weapon over to the police”], *lv denied* 78 NY2d 927 [1991]; *People v Harmon*, 7 AD2d 159, 161 [4th Dept 1959] [where the defendant seized a weapon from his assailant, the trial court properly instructed the jury on “the possibility of legal possession,” but erred in failing to provide “explanatory instructions to which the defendant was entitled,” including on “important factors such as the time of disarming in relation to the time of seizure, the reason for possession after disarming, and the like”]).

Courts have never endorsed the view that a defendant’s failure to surrender the weapon to the police necessarily precludes a jury instruction on the defense of temporary and lawful possession when the defendant was confronted with an armed assailant and obtained a weapon in the course of the altercation, and courts have also made clear that a defendant’s use of the weapon, if justified, does not rule out an instruction on temporary and lawful possession (*see Almodovar*, 62 NY2d at 130; *People v Bonilla*, 154 AD3d 160, 164 [1st Dept 2017] [(“T)he firing of shots did not negate a defendant’s entitlement to a temporary lawful possession instruction where the shooting was justified and the possession was otherwise lawful”]).

We have held that in some cases the defendant’s retention or use of the weapon after acquiring it was so “at odds with any claim of innocent possession” that the instruction was unwarranted—for example, where evidence showed that the defendant found a gun at his friend’s apartment, hid it, “remov[ed] it when it suited his own purpose,” and injured his friend while handling it in a “reckless” manner (*Williams*, 50 NY2d at 1045). In *Williams*, we stated the general rule that, in order to “trigger the right” to a temporary and lawful possession instruction, the evidence viewed in a light most favorable to the defendant

must show “a legal excuse for having the weapon in [the defendant’s] possession as well as facts tending to establish that, once possession has been obtained, the weapon had not been used in a dangerous manner” (*id.*). Since *Williams*, we have confirmed that the latter requirement—the rule that the defendant not use the weapon “in a dangerous manner”—does not preclude the instruction when the defendant obtains and uses the weapon in lawful self-defense (see *Almodovar*, 62 NY2d at 130). Rather, the rule against “dangerous” use of the weapon applies when a defendant uses the gun in a manner that negates any inference of innocent possession (*Williams*, 50 NY2d at 1045).

Essentially, the rule against “dangerous” use of the weapon is a refinement of the common-law defense available to persons who claim they intended to surrender found weapons to the police: the dangerous use of a found weapon negates a claim that the defendant truly planned to deliver it to the police or other appropriate authority. It does not generally apply in situations when a defendant uses a weapon in justified self-defense, a use which is necessarily “dangerous.”

Generally speaking, courts have found defendants entitled to a jury instruction on temporary and lawful possession as a defense to criminal possession of a weapon in two sets of circumstances. *First*, “a defendant may not be guilty of unlawful possession if the jury finds that [the defendant] found the weapon shortly before [the defendant’s] possession of it was discovered and [the defendant] intended to turn it over to the authorities” (*Almodovar*, 62 NY2d at 130; see also *Harmon*, 7 AD2d at 160 [noting that the defense applies in “situations . . . such as finding a prohibited weapon and endeavoring to take it to the nearest police officer”]). A body of case law addresses situations where the defendant happened to discover an illegal weapon and either sought to turn it over to the police or evidenced no intent to keep or use the weapon unlawfully (see e.g. *LaPella*, 272 NY at 82-83 [the defendant’s possession of a firearm, where he found it in a public toilet room and took it “intending to deliver it to the police,” was the kind of lawful act “designed to meet the social policy of the law”]; *Thomas*, 172 AD2d at 573 [a jury instruction on temporary and lawful possession was warranted, but the court’s instruction was “overly restrictive” where it “implied that the defense would be valid only where the defendant had the intent to turn the weapon over to the police,” and the defendant’s evidence

showed that he had taken the gun away from a young friend as a precaution and put it in his pocket when the police approached]; *People v Furey*, 13 AD2d 412, 415, 413 [1st Dept 1961] [the trial court should have instructed the jury on “innocent possession” where the defendant testified that he picked up a “shiny object in the street” and found it was a pistol, walked with it for a block, and dropped it when he saw a police car]; *People v Quintana*, 260 App Div 13, 15 [1st Dept 1940] [where testimony showed that the defendant train conductor “picked up the blackjack in (a) subway train . . . for the purpose of turning it over to the proper representatives of the railroad company,” his possession of the blackjack was lawful]).

Consistent with that line of cases, we have held that a defendant is not entitled to a temporary and lawful possession instruction, even if the defendant’s initial acquisition of the weapon was excused, when the defendant unlawfully retained the weapon or used it in a dangerous manner (*see People v Banks*, 76 NY2d 799, 801 [1990] [the trial court properly denied a temporary and lawful possession instruction where the defendant testified that he acquired the gun by disarming another man in a fight, but then concealed and transported the gun and “proposed to ‘throw it down a sewer’ ”]; *People v Snyder*, 73 NY2d 900, 901-902 [1989] [the instruction was properly denied where the defendants “wrested a loaded pistol” from the man they were assaulting, hid the clip from the gun, and “made no effort to report the incident” even when the police arrived on the scene]).²

2. Similarly, ample Appellate Division case law provides that a defendant’s conduct after obtaining a weapon—for example, concealing or disposing of it unlawfully, or keeping it in anticipation of a future conflict—may negate innocent possession or constitute a separate act of possession that is neither temporary nor lawful (*see e.g. People v Tomczyk*, 176 AD3d 456, 457 [1st Dept 2019] [instruction properly denied where, “although the jury apparently credited defendant’s testimony that he took possession of the subject handgun in a struggle with an assailant, whom he shot in self-defense,” the defendant also testified that he then took the gun home after the shooting, concealed it in a closet, and did not report it to the police when they arrived at his home], *lv denied* 34 NY3d 1082 [2019]; *People v Frazier*, 152 AD3d 791, 792 [2d Dept 2017] [instruction properly denied where, “(a)lthough the defendant claimed that he picked up somebody else’s gun after he had just been shot in the arm, he ran away from the police . . . and never informed the officers about the gun . . . despite ample opportunity”], *lv dismissed* 31 NY3d 1013 [2018]; *People v Reel*, 150 AD3d 1028, 1029 [2d Dept 2017] [instruction properly denied where, “although the gun was initially ‘thrust’ upon the defendant’s person,” the defendant retained the gun “in anticipation of . . . discharging a

(n. cont’d)

Second, consistent with our earliest case law on the defense of temporary and lawful possession, courts recognize that a defendant's act of possessing a weapon may be excused when that act is occasioned by a need for self-defense, for example, when the defendant "took [the weapon] from an assailant in the course of a fight" (*Almodovar*, 62 NY2d at 130 [holding that a temporary and lawful possession instruction was proper where the defendant claimed that he wrested a pistol from his attacker and fired it in self-defense], citing *People v Harmon*, 7 AD2d at 159 [holding that it was error not to instruct the jury on temporary and lawful possession where the defendant testified that he took the illegal weapon "from another person who had used it against him in a fight" and that "he intended to turn it over to his father"]]; see also *People v Sackey-El*, 149 AD3d 1104, 1106 [2d Dept 2017] [same error, where the defendant "testified that he only possessed the knife, if at all, when he attempted to disarm the complainant during the fight," and "although the defendant's use of the knife thereafter resulted in the complainant being stabbed," if the jury believed it was justified, such use did not preclude innocent possession]; *Bonilla*, 154 AD3d at 162, 164 [same error, where evidence showed that, after a struggle with the decedent over a gun, the defendant retrieved the gun, walked away, and during "(a)nother struggle" with the decedent and several other men soon thereafter, the defendant shot the decedent and one of the men before running away and dropping the gun on the street], *lv denied* 30 NY3d 1017 [2017]; *People v Legett*, 140 AD2d 1, 4 [1st Dept 1988] [same error, where the defendant testified that

debt owed to his drug dealer"], *lv denied* 30 NY3d 982 [2017]; *People v Holmes*, 129 AD3d 1692, 1695 [4th Dept 2015] [instruction properly denied where the "defendant's decision to take the firearm with him after the initial altercation (with the decedent), despite having called 911, and keeping the firearm with him during his escalating confrontation with (the decedent)" was at odds with innocent possession], *lv denied* 26 NY3d 968 [2015]; *People v Aracil*, 45 AD3d 401, 401 [1st Dept 2007] [instruction properly denied where defendant testified that she picked up the firearm when it "fell from the waistband of a man with whom she was struggling," but then brought it into an apartment building "for the purpose of intervening in a fight"], *lv denied* 9 NY3d 1030 [2008]; *People v DiMaria*, 22 AD3d 229, 230 [1st Dept 2005] [instruction properly denied when the defendant "carr(ied) an illegal weapon in anticipation of a future need to use it in self-defense"], *lv denied* 6 NY3d 775 [2006]; *People v Karim*, 176 AD2d 670, 671 [1st Dept 1991] [instruction properly denied where the evidence showed that the "defendant, armed with a loaded pistol, engaged in an argument with the complainant that elevated into a wrestling match," and the defendant admitted that he fired the gun "to frighten the complainant"], *lv denied* 79 NY2d 859 [1992]).

he grabbed a plastic bag containing a gun away from his assailant and surrendered the gun to the police when they arrived on the scene]; *People v Singleteary*, 54 AD2d 1088, 1088 [4th Dept 1976] [same error, where the jury could find that “defendant’s possession of the gun was momentary and only occurred when he wrested the weapon from the deceased”]; *People v Pendergraft*, 50 AD2d 531, 532 [1st Dept 1975] [same error, where a police officer testified that he saw the defendant throw a gun to the ground while struggling with another man who was wielding a knife]; *People v Messado*, 49 AD2d 560, 560 [1st Dept 1975] [same error, where the decedent was shot amid “a struggle for control of the weapon” and “(t)here was conflicting testimony” about whether the defendant or the decedent possessed the gun]).

As the majority notes, our Court has not decided a case in which a defendant acquired a weapon during a life-threatening altercation from someone other than the defendant’s assailant, but the Appellate Division has held that temporary and lawful possession instructions were warranted in cases where the defendant, while fending off an assailant, obtained the weapon from another source (*see e.g. People v Fletcher*, 166 AD3d 796, 799 [2d Dept 2018] [it was error not to instruct the jury on temporary and lawful possession where the defendant testified that he picked up a knife from the floor and stabbed the complainant while under attack from the complainant and another person]; *People v Curinaj*, 65 AD2d 705, 705 [1st Dept 1978] [same error, where the defendant testified that he was attacked by the complainant, called an acquaintance for assistance, accepted a gun that the acquaintance had on his person, and the complainant was shot in the ensuing struggle for the gun]). The availability of the temporary and lawful possession defense as a matter of law has—sensibly—not turned on the source of the weapon, but instead depends on whether the evidence shows that the defendant had a legal excuse to possess the weapon at the moment of acquiring it, which proposition the majority does not dispute.³

Mr. Williams’s appeal implicates that latter body of case law—the doctrine that guides courts when a defendant’s right

3. We have never held that the defense of temporary and lawful possession is limited to situations in which a defendant “disarm[s] a wrongful possessor,” the example we gave in *Persce* of the kind of “lawful act” that would not constitute criminal possession (204 NY at 402). Indeed, it would make little sense to limit the defense to situations where a defendant wrested the weapon from an attacker, as it would bar a temporary and lawful possession

(n. cont’d)

to lawful self-defense and the State's policy against possession of illegal weapons collide. The common-law defense of temporary and lawful possession acts to reconcile those two principles by excusing a defendant's possession of a weapon when it "result[s] . . . incidentally" from justified self-defense (*Persce*, 204 NY at 402), but limiting the defense to situations when the defendant faces an imminent threat (*cf. People v DiMaria*, 22 AD3d 229, 230 [1st Dept 2005] [temporary and lawful possession "does not apply to carrying an illegal weapon in anticipation of a future need to use it in self-defense"]). The question here—and it is a very close one—is whether a jury could find that Mr. Williams's gun possession fell within the ambit of temporary and lawful possession, thereby entitling him to an instruction on that defense.

Important here, New York does not by judicial rule or statute permit justification or necessity as defenses to criminal possession of a weapon, setting it apart from many states that do (*see generally State v Crawford*, 308 Md 683, 696, 521 A2d 1193, 1199 [1987] [holding that "necessity may be a defense to the charge of unlawful possession of a handgun" and collecting cases from other states and federal circuits that allow self-defense or necessity as a defense to unlawful possession of a weapon]). New York's limitation on defenses to weapons possession reflects its exceptionally strong public policy against possessing unlicensed firearms. Mr. Williams's appeal requires us to construe the scope of the temporary and lawful possession defense as a matter of law, against the background of two competing public policies. A line must be drawn between, on the one hand, temporary possession of a weapon that is legally excused by an imminent need for self-defense, and, on the other hand, the unlawful act of arming oneself in anticipation—even correct anticipation—of a future need for protection.

Though I agree with the majority's conclusion that Mr. Williams's possession of the gun fell, just barely, on the wrong side of that line, my conclusion rests on a different analysis. The majority misapprehends the nature of Mr. Williams's argument and our precedents when, in order to explain why an instruction on temporary and lawful possession was improper in Mr. Williams's case, it relies on our Court's explanation for rejecting an instruction on justification as a defense to criminal pos-

defense in situations where, for example, an assailant shoots an armed police officer and a civilian bystander picks up the officer's gun and shoots the assailant to defend the officer or others.

session in *Almodovar*. As *Almodovar* and its progeny make clear, use of a weapon in justified self-defense does not preclude an instruction on temporary and lawful possession, but neither justification nor necessity provides an automatic defense to criminal possession of a weapon—those defenses apply, if at all, to the separate crime of the use of the weapon (see 62 NY2d at 130 [“Justification may excuse otherwise unlawful use of the weapon but it is difficult to imagine circumstances where it could excuse unlawful possession of it”]; see also *People v Pons*, 68 NY2d 264, 267 [1986] [holding that “because possession of a weapon does not involve the use of physical force (see, *People v Almodovar*, *supra*), there are no circumstances when justification (Penal Law § 35.15) can be a defense to the crime of criminal possession of a weapon”]; *People v Abdul-Hakeem*, 172 AD2d 177, 178 [1st Dept 1991] [rejecting the defendant’s “contention that his possession of the weapons was justified by the doctrine of necessity as codified in Penal Law § 35.05,” because “the extent to which possession of an unlicensed or proscribed weapon is deemed innocent in this State is limited to circumstances in which the possession is ‘temporary and lawful’ ”], *lv denied* 78 NY2d 960, 964 [1991]).

However, the majority’s reliance on *Almodovar* is inapt because the entitlement to an instruction on justification is not disputed in Mr. Williams’s case. Here, with the People’s consent, the trial court instructed the jury on justification as a defense to the charges of attempted murder and assault—that is, Mr. Williams’s use of Foe’s gun. Unlike the defendant in *Almodovar*, who properly received a temporary and lawful possession instruction but also sought a justification defense to criminal possession (see 62 NY2d at 129 [the defendant requested an instruction that “lawful possession includes possession for the purpose of self-defense”]), Mr. Williams did not seek a jury instruction on justification as a defense to criminal possession, and his justification defense to the shooting was resolved in his favor by the jury and is not at issue here. The problem with the majority’s analysis is that it offers reasons for rejecting a temporary and lawful possession charge that would also preclude a justification defense to the shooting, essentially suggesting that Mr. Williams could have safely retreated from danger.

Instead, the reason why a temporary and lawful possession charge was not required is that, viewing the evidence in the light most favorable to Mr. Williams, his initial possession of

the gun was slightly premature, compared to circumstances in which courts have found defendants entitled to a temporary and lawful possession charge. As the majority notes, Mr. Williams's testimony, if credited, showed that Mr. Williams and Mr. Carson had a history of violent encounters, and when Mr. Carson confronted Mr. Williams outside Foe's building and displayed a gun, Mr. Williams ran inside to Foe's apartment, fearing that Mr. Carson was going to shoot him. When Foe would not allow Mr. Williams to stay in his apartment or call 911, Mr. Williams agreed to go downstairs to his car with Foe, who had armed himself with a gun. Approximately seven minutes after Mr. Williams first encountered Mr. Carson and an unknown man in a blue jacket who was with him, Foe reached the door of the lobby and told Mr. Williams he saw a man in a blue jacket in the lobby. By Mr. Williams's account, it was at that moment that he accepted the gun from Foe, before he knew that Mr. Carson was in the lobby or even anywhere on the premises, or that the man in the blue jacket was Mr. Carson's associate, or that Foe had seen anyone with a weapon. If, for example, Mr. Williams had accepted or grabbed the gun from Foe after walking into the lobby and seeing Mr. Carson reach into the pocket where Mr. Williams had seen a gun before, then, as the People here agree, Mr. Williams should have received a temporary and lawful possession instruction because he could claim "a legal excuse for having the weapon" (*Williams*, 50 NY2d at 1045; *see also Almodovar*, 62 NY2d at 129 [the defendant properly received a temporary and lawful possession charge where he claimed that the complainant "attacked him first with (a) gun," so the defendant "took control of the gun . . . and used it to protect himself"])). Similarly, our case law suggests, and the People agree, that a temporary lawful possession instruction would be warranted if Mr. Williams had taken the gun after Foe looked into the lobby, saw Mr. Carson holding a gun, and reported it to Mr. Williams. By comparison, Mr. Williams would clearly have no claim to a temporary lawful possession charge if, for instance, he had gone to Foe's apartment to arm himself in anticipation of a confrontation, or if hours instead of minutes had elapsed since he last saw Mr. Carson in the area.

The actual case is close because Mr. Williams's possession of the gun in reasonable anticipation of a possible threat—a correct anticipation, as it turned out—came so near to possession occasioned by an immediate threat, which a jury could find

legally excused. Although, as a general matter, close cases involving disputed facts are the province of the trier of fact, it is our job to draw the line of legal entitlement to jury instructions somewhere. Though a close question, I concur in the result here, because the line we draw to balance the right to self-defense against the strong public policy prohibiting possession of illegal firearms, which countenances no excuse for arming one's self in advance of a future confrontation, requires a bit more evidence of imminence than Mr. Williams had when he stood behind the closed door.

Judges FAHEY, GARCIA and FEINMAN concur; Judge RIVERA concurs in result in an opinion; Judge WILSON concurs in result in a separate concurring opinion; Chief Judge DiFIORE taking no part.

Order affirmed.

[163 NE3d 477, 139 NYS3d 609]

In the Matter of TOWN OF IRONDEQUOIT et al., Appellants, v
COUNTY OF MONROE et al., Respondents.

Argued November 19, 2020; decided December 22, 2020

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered August 22, 2019. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, a judgment (denominated order and judgment) of the Supreme Court, Monroe County (J. Scott Odorisi, J.), entered in a combined proceeding pursuant to CPLR article 78 and action for a declaratory judgment, which had (a) denied respondents-defendants' motion to dismiss the petition and complaint; (b) granted the petition and complaint; (c) annulled respondents-defendants' 2016 tax bill charges memorandum determination to no longer guarantee or credit maintenance, repair, and demolition charges; (d) declared and decreed that respondents-defendants are legally obligated to guarantee and credit maintenance, repair, and demolition charges; and (e) restrained respondents-defendants from decreasing the November 2017 sales tax distribution to petitioners-plaintiffs and any other town in Monroe County that had implemented the Town Law and Municipal Home Rule Law into their codes; (2) granted the motion; and (3) dismissed the petition and complaint.

Matter of Town of Irondequoit v County of Monroe, 175 AD3d 846, modified.

HEADNOTES

Declaratory Judgments — When Remedy Appropriate

1. In a combined CPLR article 78 proceeding and declaratory judgment action in which petitioner-plaintiff Towns sought to annul respondent-defendant County's determination that it had no legal basis to guarantee and provide a credit for unpaid property maintenance and demolition charges and requested certain declaratory and injunctive relief, it could not be said that, to the extent challenged, the Appellate Division abused its discretion in refusing to grant declaratory relief.

Taxation — Real Property Tax — Credit for Unpaid Delinquent Taxes — Property Maintenance and Demolition Charges

2. In a proceeding in which petitioner Towns sought to annul respondent County's determination to no longer guarantee and provide a credit for unpaid property maintenance and demolition charges that petitioners had incurred and levied against real property as permitted by state statute and

local town code provisions, the Appellate Division erred in concluding that those charges were “special assessments” not subject to the RPTL 936 (1) requirement that counties guarantee and credit towns in connection with certain “unpaid delinquent taxes.” Under RPTL 102 (20), the term “tax” as used in RPTL articles 5, 9, 10 and 11 includes a “special ad valorem levy,” but excludes “a special assessment.” However, section 102 provides that its definitions apply “unless otherwise expressly stated or unless the context otherwise requires” and the term “tax” is defined multiple times within the complex statutory scheme. The definition of “delinquent tax” in RPTL 1102 (2), contained in the article setting forth procedures for enforcement of collection of delinquent taxes and specifically referencing section 936, was the controlling definition for interpretation of the phrase “delinquent taxes.” As defined in section 1102 (2), a “delinquent tax” embraces not only taxes or special assessments, but also “other charge[s] imposed upon real property,” and thus encompassed the unpaid property maintenance and demolition charges here. Moreover, requiring counties to credit unpaid property maintenance and demolition charges accorded with the overall structure for enforcement of property tax liens, including the legislative grant of exclusive authority to counties in RPTL 1123 to commence in rem proceedings to foreclose on real property. Town Law § 64 (5-a) directs that those charges “levied” on “real property” are to “be collected in the same manner and at the same time as other town charges” by virtue of the normal process of levying and collecting town property taxes, in which towns make the first attempt at collection and after which enforcement shifts to the county.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Declaratory Judgments §§ 247, 251; AM JUR 2d State and Local Taxation § 127.
CARMODY-WAIT 2d Declaratory Judgments § 147:194.
MCKINNEY’S, RPTL 102 (20); 936 (1); 1102 (2).
NY JUR 2d Appellate Review §§ 680, 696; NY JUR 2d Declaratory Judgments and Agreed Case §§ 6, 224; NY JUR 2d Taxation and Assessment §§ 2, 92, 642, 743, 744.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Counties; Declaratory Judgments; Taxes; Towns.

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POINTS OF COUNSEL

Harter Secrest & Emery LLP, Rochester (*Megan K. Dorritie* and *Samantha A. Maurer* of counsel), for Town of Irondequoit, appellant. I. A de novo standard of review applied in this case

as it presents an issue of statutory construction. (*Matter of Pace Univ. v New York City Commn. on Human Rights*, 85 NY2d 125; *Matter of Beekman Hill Assn. v Chin*, 274 AD2d 161.) II. The Town of Irondequoit's and Town of Brighton's property maintenance and demolition charges must be guaranteed and credited by the County of Monroe "in the same manner" as property taxes and special ad valorem levies. (*Rose v Eichhorst*, 42 NY2d 92; *Matter of Lloyd v Grella*, 83 NY2d 537; *People v Elmer*, 19 NY3d 501; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *State of New York v Abortion Information Agency*, 37 AD2d 142; *Lane v City of Mount Vernon*, 38 NY2d 344; *Matter of 4M Holding Co. v Town Bd. of Town of Islip*, 81 NY2d 1053; *Matter of 4M Holding Co. v Diamante*, 215 AD2d 383; *Town of Cheektowaga v Niagara Frontier Transp. Auth.*, 82 AD2d 175; *Matter of Crandall Pub. Lib. v City of Glens Falls*, 216 AD2d 814.) III. Even if the Town of Irondequoit's and Town of Brighton's property maintenance and demolition charges are classified as "special assessments," the Appellate Division dissent was correct that such charges must still be treated as taxes that the County of Monroe must guarantee and credit. IV. If the Appellate Division majority's holding is affirmed, towns would almost never be able to recoup their costs for maintaining, repairing, or demolishing blighted properties. (*Town of Amherst v County of Erie*, 260 NY 361; *Whaley v County of Monroe*, 235 App Div 334; *Matter of Foreclosure of Tax Liens*, 165 AD3d 1112.)

Gordon & Schaal, LLP, Rochester (*Kenneth W. Gordon* of counsel), for Town of Brighton, appellant. The Court below impermissibly created new legislative policy. (*Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *Rose v Eichhorst*, 42 NY2d 92.)

Michael E. Davis, County Attorney, Rochester (*Michele R. Crain* and *Matthew D. Brown* of counsel), for respondents. I. Charges for demolition and lawn mowing are "special assessments" and are not guaranteed by RPTL 936. (*People v Dugan*, 91 Misc 2d 239; *Hayman v Morris*, 179 Misc 265; *Stoike v First Natl. Bank of City of N.Y.*, 290 NY 195; *Matter of Bird v McGoldrick*, 277 NY 492; *Robinson v Rogers*, 237 NY 467; *Huff v City of New York*, 202 App Div 425; *De La Cruz v Caddell Dry Dock & Repair Co., Inc.*, 21 NY3d 530; *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *Quotron Sys. v Gallman*, 39 NY2d 428; *Paterson v University of State of N.Y.*, 14 NY2d 432.) II. The Town of Irondequoit's and Town of Brighton's local laws impair the powers of the County of Monroe.

Sarah B. Brancatella, Association of Towns of the State of New York, Albany, for Association of Towns of the State of New York, amicus curiae. I. Treating maintenance charges levied against properties as taxes guaranteed by the county is sound public policy. II. The scope of a town's maintenance responsibilities includes addressing zombie properties along with upholding the health, safety and welfare of its communities.

OPINION OF THE COURT

Chief Judge DiFiore.

Under Real Property Tax Law § 936, counties are required to guarantee and credit towns in connection with certain “unpaid delinquent taxes” assessed by the towns. After respondent Monroe County announced it would not credit unpaid property maintenance and demolition charges, the Town of Irondequoit and the Town of Brighton initiated this litigation contending, among other things, that the determination was arbitrary, capricious, and contrary to law. Because the Appellate Division erred when it concluded the Towns were not entitled to relief, we modify the Appellate Division order, deny the County's motion to dismiss in part and grant the petition in accordance with this opinion.

In an effort to combat community blight, the legislature authorized towns to enact local laws permitting them to direct real property owners to undertake property maintenance, including lawn care, and to repair or demolish unsafe buildings (*see* Town Law §§ 64 [5-a]; 130 [16]). If the property owners fail to timely perform the work, towns may complete the work or hire contractors to do so, assessing charges against the real property for the costs incurred. Town Law § 64 (5-a) specifically directs that “the expense so assessed shall constitute a lien and charge on the real property on which it is levied until paid or otherwise satisfied or discharged and *shall be collected in the same manner and at the same time as other town charges*” (*id.* [emphasis added]; *see generally* Town Law § 130 [16] [g] [permitting “the assessment of all costs and expense incurred . . . against the land on which said buildings or structures are located”]). These Town Law provisions are reinforced by Municipal Home Rule Law § 10, which authorizes local governments to enact local laws governing the levy, administration, and collection of local taxes and assessments, and the fixing, levying, collecting, and administering of charges and liens on property (*id.* §§ 10 [1] [ii] [a] [8], [9], [9-a]).

Based on this statutory authority, the Towns of Irondequoit and Brighton adopted local town code provisions authorizing the imposition of property maintenance and demolition requirements on real property owners, providing for reimbursement of any maintenance and demolition costs incurred by the Towns “by assessment and levy upon” the real property to be “collected in the same manner and at the same time as other Town charges” (Irondequoit Town Code § 94-9; *see also id.* § 104-14; Brighton Town Code §§ 51-9, 129-14). Until December 2016, these unpaid charges, along with other unpaid taxes, were routinely reported to Monroe County on a certified accounting pursuant to RPTL 936 and Monroe County Tax Act § 10 (L 1938, ch 441, § 10, as amended, codified at Monroe County Code § 673-1). For decades, Monroe County credited the amount of unpaid delinquent taxes, including maintenance and demolition charges, against the share of sales taxes the Towns would have otherwise owed to the County. The result was that the County would ultimately bear the risk of loss for the unpaid charges, although the County—which has the sole power to foreclose on properties based on tax delinquency—might recoup the loss in a foreclosure sale.

This historical practice ended in December 2016 when the County issued a tax bill charges memorandum stating it would no longer guarantee what it characterized as “non-tax” charges, including the subject maintenance and demolition charges. After an unsuccessful protest, which prompted an opinion letter in which the County asserted that it had no legal basis to guarantee “property specific demolition and clean-up charges,” the Towns initiated this combined CPLR article 78 proceeding and declaratory judgment action seeking to annul the County’s determination and requesting certain declaratory and injunctive relief. Among other arguments, the Towns contended that the determination was arbitrary, capricious, and contrary to law because the charges amounted to unpaid delinquent taxes that the County was required to guarantee and credit under RPTL 936. The County answered and moved to dismiss the petition, claiming that the charges were not subject to the guarantee because they did not fall within the definition of “tax” found in RPTL 102 (20), but were “special assessments” excluded from that definition.

[1] Supreme Court denied the County’s motion to dismiss and granted relief to the Towns, reasoning that these charges were unpaid taxes that the County was required to credit. The

Appellate Division reversed, granted the motion to dismiss and dismissed the petition-complaint, with two Justices dissenting, in part (175 AD3d 846 [4th Dept 2019]).¹ After “assuming, arguing” that the charges were “special assessments,” the Court concluded they were expressly excluded from the definition of “tax” in RPTL 102 (20) and, thus, were not subject to the section 936 guarantee and credit (175 AD3d at 848). The dissent would have granted relief to the Towns, concluding that, although the maintenance and demolition charges might “more appropriately [be] classified as ‘[s]pecial assessment[s],’” the RPTL “expressly contemplates that special assessments . . . are to be treated as taxes for purposes of property tax collection,” referencing the definition of “‘delinquent tax’” in RPTL 1102 (2) (175 AD3d at 849-850). The Towns appealed as of right based on the two-Justice dissent (CPLR 5601 [a]).

Resolution of this dispute turns on the proper interpretation of various provisions in the Real Property Tax Law, a byzantine statutory scheme governing the imposition and collection of all types of assessments on real property. In cases requiring the interpretation of statutes, “the Court’s primary consideration is to ascertain and give effect to the intention of the Legislature” (*Matter of Mestecky v City of New York*, 30 NY3d 239, 243 [2017] [internal quotation marks and citations omitted]). “The plain text of a statute is the best indicator of legislative intent and thus the proper starting place in discerning its meaning” (*Matter of Kosmider v Whitney*, 34 NY3d 48, 55 [2019] [citation omitted]). When the statutory provision to be interpreted “is but one component in a larger statutory scheme, it must be analyzed in context and in a manner that harmonizes the related provisions and renders them compatible” (*Mestecky*, 30 NY3d at 243, quoting *Matter of M.B.*, 6 NY3d 437, 447 [2006] [internal quotation marks omitted]; see also *Matter of DeVera v Elia*, 32 NY3d 423, 436 [2018]; *Matter of Lemma v Nassau County Police Officer Indem. Bd.*, 31 NY3d 523, 528 [2018]).

[2] The starting point of our analysis is RPTL 936, which provides, in relevant part, that after a town “collecting officer”

1. [1] The dissent agreed with the decision to deny declaratory relief as unnecessary. To the extent that aspect of the decision is challenged here, “[i]t cannot be said that the Appellate Division abused its discretion in refusing to grant declaratory relief in this case” (*Greystone Mgt. Corp. v Conciliation & Appeals Bd. of City of N.Y.*, 62 NY2d 763, 765 [1984]; see CPLR 3001).

delivers an accounting “of all taxes listed on the tax roll which remain unpaid . . . [t]he county treasurer shall, if satisfied that such account is correct, *credit [the town] with the amount of such unpaid delinquent taxes*” (RPTL 936 [1] [emphasis added]).² To support its contention that the maintenance and demolition charges are not eligible for County guarantee and credit under RPTL 936, the County relies on the definition of “tax” in the general definitions section at the beginning of the RPTL—section 102 (20). In that subdivision, a “tax” is initially defined as “a charge imposed upon real property by or on behalf of a . . . town . . . for municipal or school district purposes” but the subdivision further provides that, as used in RPTL articles 5, 9, 10 and 11, the term includes a “special ad valorem levy,” but not “a special assessment.” The County asserts that the maintenance and demolition charges do not meet this definition, falling outside the “unpaid delinquent taxes” that are subject to guarantee and credit, because they constitute special assessments. The Towns resist this characterization of the charges but assert, in any event, that for purposes of RPTL 936, the controlling definition appears in RPTL 1102 (2), which defines the phrase “delinquent tax.” We agree with the Towns that the legislature intended for these charges to be guaranteed and credited by the counties under RPTL 936.

While the general definition of “tax” in RPTL 102 (20) may well apply to some provisions in RPTL article 9, section 102 begins with the caveat that the listed terms carry the designated meanings “[w]hen used in this chapter, *unless otherwise expressly stated or unless the context otherwise requires*” (RPTL 102 [emphasis added]). Here, the context—the presence of another pertinent statutory definition more specifically relevant to this aspect of the collection and enforcement scheme—leads us to conclude that the RPTL 102 (20) definition on which the County relies is not controlling.

Indeed, the terms “tax” and “taxes” are defined multiple times in the RPTL, sometimes in conflicting ways. Section 102 (20), cited by the County, itself provides that the term “tax”

2. This scheme reflecting the County’s obligation to credit towns with the difference between the tax levy and actual taxes collected is consistent with the Monroe County Tax Act. Critically, Monroe County Tax Act § 10 provides in relevant part that each tax “collector shall . . . make and deliver to the county treasurer an account of unpaid taxes . . . which he shall not have been able to collect . . . and upon the verification of the said account by the county treasurer [the collector] shall be credited by the county treasurer with the amount of such account.”

includes special ad valorem levies for purposes of some articles but not others. Just below the definition of “tax,” a “tax lien” is defined in RPTL 102 (21) to include not only “an unpaid tax [or] special ad valorem levy,” but also a “*special assessment or other charge imposed upon real property* by or on behalf of a municipal corporation or special district which is an encumbrance on real property” (emphasis added). Within this complex statutory scheme, it is evident that the word “tax” has multiple possible meanings. Thus, despite the County’s invitation to apply certain immutable common law or constitutional concepts to differentiate a “tax” from a “special ad valorem levy” or a “special assessment,” such an approach is inappropriate here, where the legislature has given different meanings to the same words and phrases depending on context. In this case, our task is confined to resolving the narrow statutory interpretation question of whether the legislature intended these charges to be subject to the section 936 credit and guarantee. Thus, the question is not what constitutes a “tax” in the abstract, but rather whether these charges fit within the ambit of “unpaid delinquent taxes” as that term is used in section 936 of the RPTL.³

To answer that specific question, we look to RPTL 1102 (2), which falls within RPTL article 11—the article that sets forth “procedures for enforcement of collection of delinquent taxes.” Under RPTL 1102 (2), the term “delinquent tax” includes “an unpaid tax, special ad valorem levy, special assessment or other charge imposed upon real property by . . . a municipal corporation . . . , plus all applicable charges, relating to any parcel which is included in the return of unpaid delinquent taxes prepared pursuant to section [936] of this chapter.” Given the express cross-reference in section 1102 to RPTL 936—the statute we are interpreting here—we are persuaded that this definition should inform our interpretation of the phrase “delinquent taxes” in RPTL 936, which encompasses these charges. Because this definition embraces not only taxes or special assessments, but also “other charge[s] imposed upon real property,” it is unnecessary for us to characterize the unpaid maintenance and demolition charges as a “tax” or “a special

3. For similar reasons, the County’s reliance on *Lane v City of Mount Vernon* (38 NY2d 344 [1976]) is misplaced. *Lane* concluded that the disputed assessment was not a “tax levy” within the meaning of the New York State Constitution but rather an exercise of the City’s police power. The question here is a matter of statutory interpretation, not constitutional analysis.

assessment” or even an “other charge.” In light of section 1102 (2), we reject the County’s argument that the “unpaid delinquent taxes” subject to section 936 turn entirely on the RPTL 102 (20) definition of “tax.”

Requiring that these charges be credited pursuant to section 936 accords with the overall structure for the enforcement of property tax liens, including the legislative grant of exclusive authority to counties in RPTL 1123 to commence in rem proceedings to foreclose on real property to “enforce the payment of *delinquent taxes or other lawful charges which have accumulated and become liens* against certain property” (RPTL 1123 [2] [a] [emphasis added]), permitting counties—but not towns—to initiate proceedings to enforce the types of liens at issue here. Indeed, Town Law § 64 (5-a) directs that these charges “levied” on “real property” are to “be collected in the same manner and at the same time as other town charges” by virtue of the normal process of levying and collecting town property taxes, in which towns make the first attempt at collection and after which enforcement shifts to the county (*see also* Town Law § 130 [16] [g] [directing “the assessment of all costs and expense incurred . . . against the land on which said (unsafe or collapsed) buildings or structures are located”]). It appears that the legislature, recognizing that towns have little power to recoup their costs for unpaid real property tax liens, has shifted the risk of loss to counties, which are in the best position to recover the funds through in rem foreclosure proceedings. The same considerations apply to blighted properties, where the legislature may have presumed that counties are in a better position to recover charges imposed on real property pursuant to the Town Law.⁴ Thus, the County was required to credit the maintenance and demolition charges, and its determination to the contrary should have been annulled.

Accordingly, the order of the Appellate Division should be modified, without costs, by denying the motion to dismiss in part and granting the petition in accordance with this opinion and as so modified, affirmed.

Judges RIVERA, STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur.

4. This result is also consistent with the conclusions reached by the Attorney General and the State Board of Equalization and Assessment in comparable situations (*see* 2015 Ops Att’y Gen No. 2015-3; 9 Ops Counsel SBEA No. 55 [1990]).

Order modified, without costs, by denying the motion to dismiss in part and granting the petition in accordance with the opinion herein and, as so modified, affirmed.

[163 NE3d 1041, 140 NYS3d 124]

THE PEOPLE OF THE STATE OF NEW YORK ex rel. FRED JOHNSON,
Appellant, v SUPERINTENDENT, ADIRONDACK CORRECTIONAL
FACILITY, et al., Respondents.

THE PEOPLE OF THE STATE OF NEW YORK ex rel. ANGEL ORTIZ,
Appellant, v DENNIS BRESLIN, SUPERINTENDENT OF QUEENS-
BORO CORRECTIONAL FACILITY, et al., Respondents.

Argued October 13, 2020; decided November 23, 2020

SUMMARY

APPEAL, in the first above-captioned proceeding, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 3, 2019. The Appellate Division affirmed a judgment of the Supreme Court, Essex County (Richard B. Meyer, J.), entered in a proceeding pursuant to CPLR article 70, which had denied petitioner's application for a writ of habeas corpus, without a hearing.

APPEAL, in the second above-captioned proceeding, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 6, 2020. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (John B. Latella, J.), entered in a habeas corpus proceeding pursuant to CPLR article 70, which had denied the petition and, in effect, dismissed the proceeding.

People ex rel. Johnson v Superintendent, Adirondack Corr. Facility, 174 AD3d 992, modified.

People ex rel. Ortiz v Breslin, 183 AD3d 577, modified.

HEADNOTES

Appeal — Matters Reviewable — Exception to Mootness Doctrine — Temporary Confinement of Level Three Sex Offenders in Correctional Facilities while Awaiting SARA-Compliant Shelter Housing

1. Two CPLR article 70 proceedings brought by petitioner sex offenders challenging their confinements in correctional facilities, after the time they would have otherwise been released to parole or postrelease supervision, while on waiting lists for accommodation at shelters compliant with the Sexual Assault Reform Act's mandatory school grounds restriction, were converted to declaratory judgment actions by the Court of Appeals because petitioners had since been released. Although petitioners no longer sought habeas corpus relief, the matters raised in their appeals fell within the

exception to the mootness doctrine allowing courts to consider substantial and novel issues that are likely to be repeated and will typically evade review.

Crimes — Sex Offenders — Sexual Assault Reform Act — Substantive Due Process Challenge to Incarceration Past Open Parole Date while on Waiting List for SARA-Compliant Housing

2. In a CPLR article 70 proceeding, petitioner sex offender's substantive due process challenge to his continued incarceration past his "open parole date" while on a waiting list for shelter housing compliant with the Sexual Assault Reform Act's mandatory school grounds restriction was subject to the rational basis test rather than strict scrutiny. Not every intrusion on an individual's liberty constitutes a violation of a fundamental right. If no fundamental right is infringed legislation or other government action is valid if it is rationally related to legitimate government interest. Petitioner's interest in being released to parole, after his open parole date had been announced, did not constitute a fundamental liberty interest. There is no constitutional or inherent right of a convicted person to be conditionally released before the expiration of a valid sentence; the conviction, with all its procedural safeguards, has extinguished that liberty right. When a state adopts a sentencing scheme which creates a legitimate expectation of early release from prison, there then exists a liberty interest deserving of constitutional protection. Rather than a fundamental right, such a liberty interest is grounded in New York's regulatory scheme and is a restricted form of liberty, not subject to strict scrutiny.

Crimes — Sex Offenders — Sexual Assault Reform Act — Substantive Due Process Challenge to Placement in Residential Treatment Facility

3. In a CPLR article 70 proceeding, petitioner sex offender's substantive due process challenge to his transfer by the Department of Corrections and Community Supervision (DOCCS) to a residential treatment facility (RTF) to begin the postrelease supervision (PRS) portion of his sentence while on a waiting list for shelter housing compliant with the Sexual Assault Reform Act's (SARA) mandatory school grounds restriction was subject to rational basis review rather than strict scrutiny. Petitioner was subject to the SARA residency requirement and therefore his assignment to an RTF was based on a mandatory condition of his PRS—a condition that DOCCS could require him to satisfy while he was under its supervision. Moreover, the law unquestionably provides that a defendant sentenced to PRS who violates "any condition of supervision . . . at any time during [PRS]" may be reincarcerated (Penal Law § 70.45 [1]). Thus, requiring an individual who has not satisfied SARA's housing restrictions to remain in an RTF until SARA-compliant housing is identified does not violate a fundamental liberty interest. Petitioner's claimed right to be free from continued confinement in the RTF, or to treat the RTF as he would a shelter from which he could depart at his convenience during daylight hours, was equivalent either to a claimed right to be free of PRS conditions or to an alleged right that his PRS conditions may not be equivalent to an extended incarceratory sentence. Neither was a fundamental due process right.

Crimes — Sex Offenders — Sexual Assault Reform Act — Temporary Confinement of Level Three Sex Offenders in Correctional Facilities while Awaiting SARA-Compliant Shelter Housing — Rational Basis Review

4. The temporary confinement of sex offenders in correctional facilities, after the time they would otherwise be released to parole or postrelease

supervision, while on a waiting list for accommodation at a shelter compliant with the Sexual Assault Reform Act's (SARA) mandatory school grounds restriction, is rationally related to a conceivable, legitimate government purpose of keeping level three sex offenders more than 1,000 feet away from schools. Under the rational basis test, the challenged confinements of petitioner level three sex offenders were required to be evaluated by means of the most relaxed and tolerant form of judicial scrutiny, and the confinements were justifiable if rationally related to any conceivable legitimate state purpose. The Court does not evaluate whether the government purpose is a vital or compelling one. Moreover, the challenged detentions were rationally related to the purpose of SARA in that they ensured that petitioners—who, as level three sex offenders, were considered to pose a high risk of recidivism—had no contact with minors while awaiting confirmation of appropriate residence. The existence of less restrictive methods of monitoring petitioners during that period did not invalidate the use of correctional facilities. Confining level three sex offenders who are on a waiting list for SARA-compliant shelter housing is not so unrelated to the achievement of any combination of legitimate purposes as to be irrational.

Crimes — Sex Offenders — Sexual Assault Reform Act — Temporary Confinement of Level Three Sex Offenders in Correctional Facilities while Awaiting SARA-Compliant Shelter Housing — Cruel and Unusual Punishment

5. Petitioner sex offender's transfer by the Department of Corrections and Community Supervision (DOCCS) to a residential treatment facility (RTF) to begin the postrelease supervision portion of his sentence while on a waiting list for shelter housing compliant with the Sexual Assault Reform Act's (SARA) mandatory school grounds restriction did not constitute cruel and unusual punishment in violation of the Eighth Amendment. In general, punishments imposed on persons for their status, rather than their conduct, are invalid under the Eighth Amendment. Petitioner's confinement in an RTF did not constitute punishment for a universal and unavoidable consequence of his status as an indigent level three sex offender. Instead, it reflected a broader set of social circumstances in which sex offender and society alike prefer that the offender remain in his or her city of longtime prior residence, especially if he or she must rely on local social services departments for shelter housing, and not relocate simply because SARA-compliant housing is plentiful elsewhere. Nor did DOCCS's conduct with respect to petitioner constitute deliberate indifference to his liberty interest as a matter of law. A sex offender cannot be released to any homeless shelter; the legislature has imposed a duty on the parole officer to actually supervise the parolee, which requires knowledge that the parolee's residence is not in violation of the conditions of release. Petitioner offered no evidence that DOCCS ever precluded him from accessing a SARA-compliant shelter bed, nor did he dispute that DOCCS released him to a SARA-compliant shelter as soon as one became available for him.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review §§ 552, 558; AM JUR 2d Constitutional Law §§ 955, 956; AM JUR 2d Criminal Law §§ 851, 875; AM JUR 2d Habeas Corpus and Post-

conviction Remedies §§ 11, 17; AM JUR 2d Mentally Impaired Persons § 148.

CARMODY-WAIT 2d Appeals in General §§ 70:304, 70:305;

CARMODY-WAIT 2d Habeas Corpus §§ 139:135, 139:136.

NY JUR 2d Appellate Review §§ 613, 614; NY JUR 2d

Constitutional Law § 428; NY JUR 2d Criminal Law:

Procedure § 2970; NY JUR 2d Habeas Corpus §§ 75, 81,

125; NY JUR 2d Penal and Correctional Institutions

§§ 363, 398–400.

ANNOTATION REFERENCE

See ALR Index under Cruel and Unusual Punishment; Due Process; Habeas Corpus; Moot and Abstract Matters; Sexual Relations and Offenses.

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POINTS OF COUNSEL

Janet E. Sabel, The Legal Aid Society, Criminal Appeals Bureau, New York City (Denise Fabiano of counsel), for appellant in the first above-entitled proceeding. The continuing indefinite imprisonment of petitioner-appellant, a level three sex offender with an adult victim, over two years past his parole release date based on the application of Executive Law § 259-c (14)’s residency requirements, violated his federal and state substantive due process rights. (DeShaney v Winnebago County Dept. of Social Servs., 489 US 189; Reno v Flores, 507 US 292; Foucha v Louisiana, 504 US 71; United States v Salerno, 481 US 739; Zinerman v Burch, 494 US 113; Jones v United States, 463 US 354; Morrissey v Brewer, 408 US 471; Victory v Pataki, 814 F3d 47; Sandin v Conner, 515 US 472; Wolff v McDonnell, 418 US 539.)

Letitia James, Attorney General, Albany (Brian D. Ginsberg, Barbara D. Underwood and Jeffrey W. Lang of counsel), for respondents in the first above-entitled proceeding. I. The Court should dismiss this appeal as moot. (Wisholek v Douglas, 97 NY2d 740; Matter of Hearst Corp. v Clyne, 50 NY2d 707; Matter of Arroyo v Annucci, 61 Misc 3d 930; Matter of Williams v Department of Corr. & Community Supervision, 43 Misc 3d 356, 136 AD3d 147, 29 NY3d 990; Wallace v State of New York,

40 F Supp 3d 278.) II. If the Court reaches the merits, it should affirm because respondents' application of the Sexual Assault Reform Act residency requirement to petitioner comported with substantive due process. (*Mark G. v Sabol*, 93 NY2d 710; *Washington v Glucksberg*, 521 US 702; *Moore v East Cleveland*, 431 US 494; *Palko v Connecticut*, 302 US 319; *People v Knox*, 12 NY3d 60; *Reno v Flores*, 507 US 292; *Victory v Pataki*, 814 F3d 47; *Regents of Univ. of Mich. v Ewing*, 474 US 214; *Steele v Cicchi*, 855 F3d 494; *Kendall v Balcerzak*, 650 F3d 515.)

Janet E. Sabel, The Legal Aid Society, New York City (*Will A. Page* of counsel), for appellant in the second above-entitled proceeding. I. The application of Correction Law § 73 (10) to homeless sex offenders like Angel Ortiz, who was confined first in prison after his conditional release date and then at a "residential treatment facility" for eight months after the expiration of his maximum term of incarceration, violated due process by unduly infringing on his protected liberty interests and constituted cruel and unusual punishment. (*Foucha v Louisiana*, 504 US 71; *Francis v Fiacco*, 942 F3d 126; *United States v Myers*, 426 F3d 117; *Doe v Lima*, 270 F Supp 3d 684; *Robinson v California*, 370 US 660; *Sample v Diecks*, 885 F2d 1099; *Martin v City of Boise*, 920 F3d 584; *Victory v Pataki*, 814 F3d 47; *Calhoun v New York State Div. of Parole Officers*, 999 F2d 647; *Morrissey v Brewer*, 408 US 471.) II. The plain language of Correction Law § 73 (10) does not authorize ongoing indefinite prison-like confinement of individuals, like appellant, during postrelease supervision simply because they are homeless and cannot afford private Sexual Assault Reform Act-compliant housing. (*People v Diaz*, 32 NY3d 538; *Morrissey v Brewer*, 408 US 471; *People ex rel. McCurdy v Warden, Westchester County Corr. Facility*, 164 AD3d 692; *People v Correa*, 15 NY3d 213.)

Letitia James, Attorney General, New York City (*Ester Murdukhayeva, Barbara D. Underwood and Anisha S. Dasgupta* of counsel), for respondents in the second above-entitled proceeding. I. The courts below properly denied Angel Ortiz's petition for a writ of habeas corpus. (*Washington v Glucksberg*, 521 US 702; *Immediato v Rye Neck School Dist.*, 73 F3d 454; *Greenholtz v Inmates of Neb. Penal & Correctional Complex*, 442 US 1; *Matter of Russo v New York State Bd. of Parole*, 50 NY2d 69; *Morrissey v Brewer*, 408 US 471; *Matter of Breeden v Donnelly*, 26 AD3d 660; *Matter of Billups v New York State Div. of Parole, Chair*, 18 AD3d 1085; *Matter of Monroe v Travis*, 280 AD2d 675; *Matter of Lezette v Board of Educ., Hudson City School*

Dist., 35 NY2d 272; *People ex rel. Cole v Graham*, 147 AD3d 1350.) II. The Department of Corrections and Community Supervision's interpretation of Correction Law § 73 (10) is entitled to deference. (*Matter of Howard v Wyman*, 28 NY2d 434; *Matter of O'Brien v Spitzer*, 7 NY3d 239; *Mangam v City of Brooklyn*, 98 NY 585; *Matter of Brooklyn Assembly Halls of Jehovah's Witnesses, Inc. v Department of Env'tl. Protection of City of N.Y.*, 11 NY3d 327.)

Paul Skip Laisure, Appellate Advocates, New York City (*Lisa Napoli* of counsel), for Appellate Advocates, amicus curiae in the second above-entitled proceeding. The Department of Corrections and Community Supervision's interpretation and implementation of the Sexual Assault Reform Act, codified in Executive Law § 259-c (14), impermissibly alters bargained-for sentences and renders subject individuals' pleas unknowing and involuntary. (*Hallinger v Davis*, 146 US 314; *Brady v United States*, 397 US 742; *Santobello v New York*, 404 US 257; *People v Tiger*, 32 NY3d 91; *Lafler v Cooper*, 566 US 156; *People v Selikoff*, 35 NY2d 227; *People v Sparber*, 10 NY3d 457; *People v Gravino*, 14 NY3d 546; *Warden v Marrero*, 417 US 653; *Shepard v Taylor*, 556 F2d 648.)

OPINION OF THE COURT

FAHEY, J.

In these appeals, we consider constitutional challenges to the practice of temporarily confining level three sex offenders in correctional facilities, after the time they would otherwise be released to parole or postrelease supervision (PRS), while they remain on a waiting list for accommodation at a shelter compliant with Executive Law § 259-c (14). In each case, we conclude that there was no constitutional violation.

I.

In 2009, petitioner Fred Johnson, who had multiple prior sexual abuse convictions for rubbing his penis against women's buttocks on subway trains in New York City, pleaded guilty to persistent sexual abuse. He was sentenced to an indeterminate prison term of 2 years to life. Johnson had a history of incarcerations followed by recidivism. Following a 2004 conviction of the same crime, he had been designated a level three sex offender under the Sex Offender Registration Act (SORA), and had been placed on lifetime parole supervision.

Johnson appeared before the New York State Board of Parole in June 2017, seeking discretionary parole release. He

maintained that a prison sex offender program had taught him to control his judgments and behavior. The Parole Board granted Johnson an “open parole date” of August 10, 2017.¹

Based on his SORA risk level designation and the crime for which he was serving a sentence,² Johnson was subject to the requirement of the Sexual Assault Reform Act (SARA) that he not reside within 1,000 feet of a school (*see* Executive Law § 259-c [14]; Penal Law § 220.00 [14] [b] [defining “school grounds”]; *People v Diack*, 24 NY3d 674, 682 [2015]). In his conditions of parole release, Johnson agreed that he would not be released until a residential address “located outside the Penal Law definition of school grounds” had been identified and approved.

Johnson’s own first suggestion of where he might live was not compliant with SARA’s requirements and, therefore, he asked to be released to the New York City Department of Homeless Services (NYCDHS) shelter system. The New York State Department of Corrections and Community Supervision (DOCCS) added Johnson to its internal waiting list of inmates seeking SARA-compliant housing at one of the NYCDHS shelters, only a few of which meet SARA’s geographic restriction. Johnson was kept in custody at Adirondack Correctional Facility until a bed in a SARA-compliant shelter became available for him in November 2019.

In November 2017, Johnson filed a petition for a writ of habeas corpus, pursuant to CPLR article 70, seeking immediate release from incarceration, and naming the Superintendent of Adirondack Correctional Facility and DOCCS as respondents. In his as-applied constitutional challenge, Johnson contended that “applying SARA’s housing restrictions to keep him in prison, after an open parole date for his release has been set, violates substantive due process by infringing on his fundamental right to be free from confinement.” Notably, Johnson did not

1. An open parole date or “open date is the earliest possible release date” (New York State Department of Corrections and Community Supervision, Community Supervision Handbook at 15, available at https://doccs.ny.gov/system/files/documents/2019/05/Community_Supervision_Handbook.pdf [last accessed Nov. 16, 2020]). The New York State Department of Corrections and Community Supervision Community Supervision Handbook states that “[i]f the Board grants release, this is known as an ‘open date.’ This date is contingent upon the inmate receiving an approved residence in accordance with established residency restrictions and local laws” (*id.* at 12-13).

2. *See People ex rel. Negron v Superintendent, Woodbourne Corr. Facility*, 36 NY3d 32 (2020) (decided today).

contend that SARA's restrictions on where he can live after release are unconstitutional.

DOCCS answered the petition and countered that Johnson was under a sentence of life imprisonment and had no fundamental substantive due process right to be released from prison. The agency maintained that a rational basis justified its application of SARA restrictions.

Supreme Court denied Johnson's writ in March 2018. The Appellate Division affirmed in July 2019 (174 AD3d 992 [3d Dept 2019]). Johnson appeals as of right pursuant to CPLR 5601 (b) (1).

II.

Petitioner Angel Ortiz pleaded guilty to robbery in the first degree and attempted sexual abuse in the first degree in 2008. It was his second criminal conviction for trying to coerce a person into having sex with him by means of physical force; his prior victim, a 13-year-old boy, and his 2008 victim were both able to flee before any sexual contact occurred. Ortiz was sentenced to a determinate sentence of 10 years' imprisonment, to be followed by five years' PRS. Ortiz was designated a sexually violent level three sex offender under SORA and, like Johnson, was considered to be subject to SARA's residency requirement while on PRS. The Board of Parole provided Ortiz with notice of the residency restrictions.

The maximum expiration date of Ortiz's term of imprisonment was March 4, 2018. At that time, DOCCS transferred Ortiz to begin the PRS portion of his sentence in a residential treatment facility (RTF) at Fishkill Correctional Facility, invoking its authority to "impose as a condition of post-release supervision that for a period not exceeding six months immediately following release from the underlying term of imprisonment the person be transferred to and participate in the programs of a residential treatment facility" (Penal Law § 70.45 [3]).³ The following month, DOCCS transferred Ortiz to the RTF at Queensboro Correctional Facility.

3. An RTF is

"[a] correctional facility consisting of a community based residence in or near a community where employment, educational and training opportunities are readily available for persons who are on parole or conditional release and for persons who are or who will soon be eligible for release on parole who intend to

(n. cont'd)

Ortiz sought to reside after his release in New York City, where he had spent most of his life and where his close relatives lived, but the addresses he suggested were not SARA-compliant. When DOCCS transferred Ortiz to RTF housing, it placed him on its waiting list of inmates seeking SARA-compliant housing at an NYCDHS shelter. Ortiz was released to a SARA-compliant shelter on Wards Island in November 2018.

In June 2018, Ortiz, like Johnson, filed a petition for a writ of habeas corpus, challenging his confinement. He named the Superintendent of Queensboro Correctional Facility and DOCCS as respondents. In his as-applied challenge, Ortiz maintains that, by confining him, DOCCS violated both his substantive due process “right to serve his term of post-release supervision in the community” and the constitutional prohibition on cruel and unusual punishments. Like Johnson, Ortiz does not contend that SARA cannot lawfully restrict where he may live after release.

As an alternative to his request for immediate release, Ortiz asked that he “be allowed to treat Queensboro [Correctional Facility] as a residence—albeit with a curfew, like other shelters—rather than a prison.”

DOCCS responded that because Ortiz was not in compliance with the mandatory condition of the SARA residency requirement, he had no fundamental substantive due process right to be released from prison and that no violation of the Eighth Amendment had occurred. The agency, as in *Johnson*, insisted that a rational basis justified its application of SARA.

Supreme Court denied Ortiz’s writ in September 2018. The Appellate Division affirmed in May 2020 (183 AD3d 577 [2d Dept 2020]).⁴ Ortiz appeals as of right pursuant to CPLR 5601 (b) (1).

III.

[1] In *Johnson*, respondents argue that the appeal is moot. Respondents note that Johnson was released on parole from Adirondack Correctional Facility and no longer seeks habeas corpus relief. Johnson maintains that the appeal falls within

reside in or near that community when released” (Correction Law § 2 [6]).

4. Ortiz appealed from Supreme Court’s judgment directly to this Court, and we transferred the appeal sua sponte to the Appellate Division (32 NY3d 1073 [2018], citing NY Const, art VI, §§ 3 [b] [2]; 5 [b]; CPLR 5601 [b] [2]).

the traditional exception to the mootness doctrine allowing courts “to consider substantial and novel issues that are likely to be repeated and will typically evade review” (*Matter of Gonzalez v Annucci*, 32 NY3d 461, 470 [2018], citing *Matter of Hearst Corp. v Clyne*, 50 NY2d 707, 714-715 [1980]). The parties do not dispute the significance of the issues presented or their likelihood of repetition, but they differ on whether the issues typically evade review. On this question, we agree with Johnson that the issues presented in his appeal “typically will evade our review” (*People ex rel. McManus v Horn*, 18 NY3d 660, 664 [2012]).

Because Johnson no longer seeks release from Adirondack Correctional Facility, habeas does not lie, and we convert Johnson’s habeas corpus proceeding to a declaratory judgment action (see *People ex rel. DeLia v Munsey*, 26 NY3d 124, 134 [2015]; *McManus*, 18 NY3d at 664 n 2).

Similarly, petitioner Ortiz has been released and is no longer entitled to habeas relief. Ortiz’s release occurred prior to the Appellate Division’s decision, yet that Court declined to dismiss, holding that the matters raised by Ortiz’s appeal “are important issues that are likely to arise in other cases but also likely to evade review” (183 AD3d at 579). We agree that these issues should be reviewed (see generally *Gonzalez*, 32 NY3d at 470-471). As in *Johnson*, we convert the habeas proceeding in *Ortiz* to a declaratory judgment action.

IV.

The provision of SARA that underlies the appeals before us, Executive Law § 259-c (14), was enacted in 2000, with significant amendments in 2005 (see L 2000, ch 1, § 8, as amended by L 2005, ch 544, § 2). The statute applies to any defendant who is serving a sentence for various enumerated sex offenses, when the victim of the offense was under the age of 18 at the time of the offense or, as in these appeals, the defendant has been designated a level three sex offender.⁵ Executive Law § 259-c (14) provides that, when such a sex offender “is released on parole or conditionally released pursuant to subdivision one or two of this section,” DOCCS must “require, as a mandatory condition of such release, that such sentenced offender shall refrain from knowingly entering into or upon any school

5. See *Negron*, 36 NY3d 32 (decided today).

grounds, as that term is defined in subdivision fourteen of section 220.00 of the penal law.”⁶

As amended in 2005, Executive Law § 259-c (14) adopts the broad definition of “school grounds” set forth in the Penal Law. The term means “any area accessible to the public located within one thousand feet of the real property boundary line comprising any such school or any parked . . . vehicle located within one thousand feet of the real property boundary line comprising any such school” (Penal Law § 220.00 [14] [b]). Consequently, section 259-c (14) has been interpreted to prohibit a person subject to the law from living within 1,000 feet of a school. “The practical effect is that any sex offender who is subject to the school grounds mandatory condition is unable to reside within 1,000 feet of a school or facility as defined in Penal Law § 220.00 (14) (b)” (*Diack*, 24 NY3d at 682).

New York statutes allow DOCCS to place a SARA-restricted sex offender temporarily in an RTF, until SARA-compliant housing is identified (*see People ex rel. McCurdy v Warden, Westchester County Corr. Facility*, 36 NY3d 251 [2020] [decided today]). We must now decide whether the Federal Constitution allows DOCCS to place a SARA-restricted sex offender in an RTF or other correctional facility, while awaiting SARA-compliant housing.⁷

6. In his habeas corpus petition, Ortiz contended that Executive Law § 259-c (14), by its terms, does not apply to a sex offender who is serving PRS after fully serving their determinate sentence (*see also* brief of amici curiae Center for Appellate Litigation, Appellate Advocates, and Chief Defenders Association of New York in *People ex rel. McCurdy v Warden, Westchester County Corr. Facility*, 36 NY3d 251 [2020] [decided today]; Penal Law § 70.40 [2] [defining conditional release]). However, Ortiz is not pursuing that argument on appeal to this Court. Consequently, the issue is not before us.

7. Johnson and Ortiz mention in passing that we may consider New York’s increased constitutional due process protections under the State Constitution. New York courts

“have not hesitated[,] when [they] concluded that the Federal Constitution as interpreted by the Supreme Court fell short of adequate protection for our citizens[,] to rely upon the principle that that document defines the minimum level of individual rights and leaves the States free to provide greater rights for its citizens through its Constitution, statutes or rule-making authority” (*Cooper v Morin*, 49 NY2d 69, 79 [1979]).

However, Johnson and Ortiz do not contend that it is necessary to develop a state constitutional jurisprudence in this area in the absence of a fitting federal jurisprudence. In other words, they do not argue that we should use a

(n. cont’d)

The principal issue with respect to the substantive due process claims is whether we should apply strict scrutiny or the rational basis test.

Under the Fourteenth Amendment to the United States Constitution, a state government may not deprive an individual “of life, liberty, or property, without due process of law” (US Const, Fourteenth Amend, § 1). The Supreme Court has interpreted the guarantee of “due process of law” in the Fifth and Fourteenth Amendments to include “a substantive component that bars certain arbitrary, wrongful government actions regardless of the fairness of the procedures used to implement them” (*Zinerman v Burch*, 494 US 113, 125 [1990] [internal quotation marks and citation omitted]). Incarceration undoubtedly invokes substantive due process rights. “Freedom from bodily restraint has always been at the core of the liberty protected by the Due Process Clause from arbitrary governmental action” (*Foucha v Louisiana*, 504 US 71, 80 [1992]), and “commitment for any purpose constitutes a significant deprivation of liberty that requires due process protection” (*id.*). A deprivation of liberty occurs, and the protections of the Fourteenth Amendment’s Due Process Clause are triggered, by “the State’s affirmative act of restraining [an] individual’s freedom to act on his own behalf—through incarceration, institutionalization, or other similar restraint of personal liberty” (*DeShaney v Winnebago County Dept. of Social Servs.*, 489 US 189, 200 [1989]). Moreover, inmates possess a fundamental right to “freedom from restraint . . . exceeding the sentence in such an unexpected manner as to give rise to protection by the Due Process Clause of its own force” (*Sandin v Conner*, 515 US 472, 484 [1995]).

The Federal Constitution does not, however, afford all substantive due process interests the same degree of protection. Substantive due process “provides heightened protection against government interference with certain fundamental rights and liberty interests” (*Washington v Glucksberg*, 521 US 702, 720 [1997]), namely those rights and interests that are “deeply rooted in this Nation’s history and tradition, and implicit in the concept of ordered liberty, such that neither liberty nor justice would exist if they were sacrificed” (*Glucksberg*, 521

different analytical framework from the Supreme Court in considering the constitutional claims they allege or articulate why state constitutional guarantees were violated if federal constitutional guarantees were not. Accordingly, we apply federal law.

US at 720-721 [internal quotation marks and citations omitted]). The State may not infringe such a “fundamental” liberty interest “unless the infringement is narrowly tailored to serve a compelling state interest” (*Reno v Flores*, 507 US 292, 301-302 [1993]; *see also Glucksberg*, 521 US at 721). Yet it is well established that not every intrusion on an individual’s liberty constitutes a violation of a fundamental right (*see e.g. People v Knox*, 12 NY3d 60, 67 [2009], citing *Immediato v Rye Neck Sch. Dist.*, 73 F3d 454, 463 [2d Cir 1996]). If “no fundamental right is infringed legislation [or other government action] is valid if it is rationally related to legitimate government interests” (*Knox*, 12 NY3d at 67, citing *Glucksberg*, 521 US at 728, and *Hope v Perales*, 83 NY2d 563, 577 [1994]).

[2] Johnson’s interest in being released to parole, after his open parole date had been announced, did not constitute a fundamental liberty interest. “There is no constitutional or inherent right of a convicted person to be conditionally released before the expiration of a valid sentence. . . . [T]he conviction, with all its procedural safeguards, has extinguished that liberty right: Given a valid conviction, the criminal defendant has been constitutionally deprived of his liberty” (*Greenholtz v Inmates of Neb. Penal & Correctional Complex*, 442 US 1, 7 [1979] [internal quotation marks, citation and alterations omitted]). In other words, “[t]he Supreme Court has held . . . that because a person’s rightful liberty interest is extinguished upon conviction, there is no inherent constitutional right to parole” (*Matter of Russo v New York State Bd. of Parole*, 50 NY2d 69, 73 [1980]).

It is true that in addition to those liberty interests that “arise from the Constitution itself,” a liberty interest “may arise from an expectation or interest created by state laws or policies” (*Wilkinson v Austin*, 545 US 209, 221 [2005]; *see also Sandin*, 515 US at 483-484 [“States may under certain circumstances create liberty interests . . . protected by the Due Process Clause”]). As this Court has recognized, “when a State adopts a sentencing scheme which creates a legitimate expectation of early release from prison, there then exists a liberty interest deserving of constitutional protection” (*Russo*, 50 NY2d at 73-74). Rather than a fundamental right, such a liberty interest “is grounded in New York’s regulatory scheme” (*Victory v Pakti*, 814 F3d 47, 60 [2d Cir 2016]) and is a restricted form of liberty, not subject to strict scrutiny.

It is also true that the Constitution affords a confined individual both substantive and procedural due process protection

(see *DeShaney*, 489 US at 200 n 8 [“Of course, the protections of the Due Process Clause, both substantive and procedural, may be triggered when the State . . . subjects an involuntarily confined individual to deprivations of liberty which are not among those generally authorized by his confinement”]; see generally *Mark G. v Sabol*, 93 NY2d 710, 722-726 [1999]). A petitioner may simultaneously assert liberty interests based on procedural and substantive due process protection. To the extent that the constitutional liberty interest resulting from a state-created “legitimate expectation of early release” (*Russo*, 50 NY2d at 73) exists in the form of *procedural* due process protections (see *id.* at 76 n 5), courts will review only “the application of those constitutionally required *procedures*” (*Swarthout v Cooke*, 562 US 216, 220 [2011] [emphasis added]). Here, however, Johnson has not preserved any claim that his continued incarceration failed to comply with standards of procedural due process.

The applicable standard of review of Johnson’s due process claim is, then, the rational basis test, not strict scrutiny.⁸

[3] Ortiz’s appeal introduces a closer question because his case does not involve a claimed right to parole release. Ortiz asserts that his confinement to an RTF in prison-like conditions, after the maximum expiration date of his determinate sentence had passed, violated his fundamental liberty interest. However, like Johnson, Ortiz was subject to the SARA residency requirement⁹ and therefore his assignment to an RTF was based on a mandatory condition of his PRS—a condition that DOCCS can require him to satisfy while he is under its supervision (see generally *People v Catu*, 4 NY3d 242, 245 [2005]). Moreover, to treat Ortiz’s claimed right to release as a fundamental constitutional liberty interest would be self-defeating. The law unquestionably provides that a defendant sentenced to PRS who violates “any condition of supervision . . . at any time during [PRS]” may be reincarcerated (Penal

8. Johnson alternatively contends that the standard is intermediate scrutiny. We applied the intermediate standard in analyzing substantive due process rights in *Anonymous v City of Rochester* (13 NY3d 35 [2009]), but that involved a constitutionally unique situation involving conflicting claims of minors to enjoy freedom of movement and of parents to control the upbringing of the children. No such unique “complexities” (*id.* at 47, 48) favor Johnson.

9. As noted above, Ortiz does not dispute that he is subject to Executive Law § 259-c (14) and, thus, that the residency requirement is “a mandatory condition of” release to PRS.

Law § 70.45 [1]). Indeed, “a defendant serving a term of [PRS] for a conviction of a felony sex offense, as defined in [the statute] . . . , may be subject to a further period of imprisonment up to the balance of the remaining period of [PRS]” (*id.*). Requiring an individual who has not satisfied SARA’s housing restrictions to remain in an RTF until SARA-compliant housing is identified does not violate a fundamental liberty interest.

Ortiz relies on decisions that have applied strict scrutiny to review post-incarceration supervision of sex offenders, particularly *United States v Myers* (426 F3d 117 [2d Cir 2005]), where the United States Court of Appeals for the Second Circuit considered a special condition of supervised release, imposed under federal law, prohibiting the defendant “from spending time alone with his child absent advance authorization from the U.S. Probation Office” (*id.* at 120). The Second Circuit held that, to satisfy substantive due process, such a restriction on a releasee’s liberty “must reflect the heightened constitutional concerns” of strict scrutiny (*id.* at 126). However, the *Myers* opinion leaves no doubt that the reason the Second Circuit imposed strict scrutiny was that the interest of parents in “the care, custody, and control of their children” is “perhaps the oldest of the fundamental liberty interests recognized by” the Supreme Court (*id.* at 125, quoting *Troxel v Granville*, 530 US 57, 65-66 [2000 plurality, O’Connor, J.]), not that this is the general standard for assessing statutory restrictions imposed on sex offenders who have completed their prison sentences.

Ortiz also cites *Francis v Fiacco* (942 F3d 126 [2d Cir 2019]), in which the Second Circuit observed that a defendant’s “interest in freedom from detention [i]s an interest of the highest order” (*id.* at 143). Notably, however, the *Francis* court engaged in a procedural due process analysis, applying *Mathews v El-dridge* (424 US 319, 335 [1976]).¹⁰ It did not apply strict scrutiny or describe the due process rights as “substantive.”

We do not believe that Ortiz’s claimed right to be free from continued confinement in the RTF, or to treat the RTF as he would a shelter from which he could depart at his convenience during daylight hours, amounts to a fundamental, deeply rooted due process right. It is equivalent either to a claimed right to be free of PRS conditions or to an alleged right that his PRS conditions may not be equivalent to an extended incarceration sentence. Neither is a fundamental due process right.

10. We agree with the Appellate Division that Ortiz has not preserved a procedural due process claim (*see* 183 AD3d at 581).

Ortiz’s substantive due process claim must therefore be understood as asserting non-fundamental constitutional rights and, as with Johnson’s, it is subject to rational basis review, not strict scrutiny.¹¹

V.

[4] Our holding as to the standard of review is a significant one because Johnson and Ortiz argue that SARA’s residency restrictions serve no vital purpose, so that the challenged confinements cannot be necessary for the achievement of a compelling government purpose and would not pass strict scrutiny review. It is true that the effectiveness of SARA’s residence restrictions has been questioned (*see* 2017 Rep of Advisory Comm on Crim Law and Pro at 29-34).¹² However, we have no occasion to evaluate these policy claims. As we have held, the standard of review in these appeals is the rational basis test. Therefore, the challenged confinements must be evaluated by means of “the most relaxed and tolerant form of judicial scrutiny” (*Myers v Schneiderman*, 30 NY3d 1, 15 [2017], quoting *Dallas v Stanglin*, 490 US 19, 26 [1989]), and the confinements are justifiable if “rationally related to any conceivable legitimate State purpose” (*Myers*, 30 NY3d at 15, quoting *People v Walker*, 81 NY2d 661, 668 [1993]). “Indeed, courts may even hypothesize the Legislature’s motivation or possible legitimate purpose. At bottom, the rational basis standard of review is a paradigm of judicial restraint.” (*Myers*, 30 NY3d at 15-16 [internal quotation marks, citations, and alterations omitted]; *see Affronti v Crosson*, 95 NY2d 713, 719 [2001]; *Heller v Doe*, 509 US 312, 320 [1993].)

11. Ortiz has not preserved any contention tying his family relationships to the application of an intermediate scrutiny standard, such as the argument explored in Judge Rivera’s dissent (*see* Rivera, J., dissenting op at 221-224).

12. Research from the United States Department of Justice, cited by the petitioners, indicates that about 93% of all sex crimes with juvenile victims are perpetrated by offenders who are known to the victim prior to the offense (*see* U.S. Department of Justice, Office of Justice Programs, Bureau of Justice Statistics, *Sexual Assault of Young Children as Reported to Law Enforcement: Victim, Incident, and Offender Characteristics* at 10 [NCJ 182990, July 2000] [34% were committed by family members and 59% by acquaintances]). By contrast, as petitioners see it, SARA is directed at preventing sex crimes against schoolchildren by strangers. Johnson asserts, and respondents do not deny, that during a period from 2005 through 2014, when DOCCS was treating all NYCDHS shelters as SARA-compliant, no sex offense was reported involving a child who was on or near school grounds in which the perpetrator was a stranger living in a homeless shelter less than 1,000 feet from a school.

Applying this undemanding level of judicial review, the temporary confinement of sex offenders in correctional facilities, while on a waiting list for SARA-compliant NYCDHS housing, is rationally related to a conceivable, legitimate government purpose of keeping level three sex offenders more than 1,000 feet away from schools. First, under the rational basis test, we do not evaluate whether the government purpose is a vital or compelling one. Moreover, the challenged detentions were rationally related to the purpose of SARA in that they ensured that petitioners—who, as level three sex offenders, are considered to pose a high risk of recidivism—had no contact with minors while awaiting confirmation of appropriate residence. The existence of less restrictive methods of monitoring petitioners during this period does not invalidate the use of correctional facilities. Confining level three sex offenders who are on a waiting list for SARA-compliant shelter housing is not “‘so unrelated to the achievement of any combination of legitimate purposes’ as to be irrational” (*Knox*, 12 NY3d at 69, quoting *Affronti*, 95 NY2d at 719).

VI.

Ortiz has preserved a separate constitutional claim, based on the constitutional prohibition against “cruel and unusual punishments” in the Eighth Amendment. We conclude that this argument too lacks merit.

“[T]he Cruel and Unusual Punishments Clause circumscribes the criminal process in three ways: First, it limits the kinds of punishment that can be imposed on those convicted of crimes; second, it proscribes punishment grossly disproportionate to the severity of the crime; and third, it imposes substantive limits on what can be made criminal and punished as such” (*Ingraham v Wright*, 430 US 651, 667 [1977] [citations omitted]).

Ortiz focuses on the third element and contends initially that his confinement in an RTF, after the maximum expiration date of his determinate sentence had passed, constituted a cruel and unusual punishment, because it amounted to punishment based on a condition or status that “may be contracted innocently or involuntarily” (*Robinson v California*, 370 US 660, 667 [1962]). In general, punishments imposed on persons for their status, rather than their conduct, are invalid under the Eighth Amendment. In *Robinson*, the Supreme Court in-

validated a California statute making it a criminal offense for a person to “be addicted to the use of narcotics,” regardless of whether the person had used narcotics in California. The law at issue was not one that punished a defendant “for the use of narcotics, for their purchase, sale or possession, or for antisocial or disorderly behavior resulting from their administration” (*Robinson*, 370 US at 666); it purported to punish addiction itself. The Supreme Court, noting that a law that “made a criminal offense of . . . a disease would doubtless be universally thought to be an infliction of cruel and unusual punishment” (*id.*), held the California statute to violate the Eighth Amendment.

In addition to *Robinson*, Ortiz cites a recent decision of the United States Court of Appeals for the Ninth Circuit, *Martin v City of Boise* (920 F3d 584 [9th Cir 2019]), in which that court held that an ordinance imposing criminal sanctions against homeless people, for sleeping outdoors, on public property, when no alternative shelter is available to them, violates the constitutional prohibition on cruel and unusual punishments. The Ninth Circuit explained “that the Eighth Amendment prohibits the state from punishing an involuntary act or condition if it is the unavoidable consequence of one’s status or being” (*Martin*, 920 F3d at 616; *see generally Powell v Texas*, 392 US 514 [1968] [a chronic alcoholic found guilty of intoxication in a public place is properly punished for the act of becoming intoxicated, not the status of being an alcoholic]).

[5] Ortiz contends that he was similarly punished for an unavoidable consequence of his indigent status, namely that he cannot find a SARA-compliant residence in New York City. In short, Ortiz maintains he was punished for being homeless. Assuming, without deciding, that *Martin*’s test is proper, we conclude that Ortiz’s confinement in an RTF did not constitute punishment for a “universal and unavoidable consequence[]” (*Martin*, 920 F3d at 617) of his status as an indigent level three sex offender. Instead, it reflects a broader set of social circumstances in which sex offender and society alike prefer that the offender remain in his city of longtime prior residence, especially if he must rely on local social services departments for shelter housing, and not relocate simply because SARA-compliant housing is plentiful elsewhere. Put simply, Ortiz’s confinement in an RTF did not constitute status punishment.

Ortiz also argues that his confinement amounted to a cruel and unusual punishment on the ground that his detention be-

yond the maximum expiration date was the result of deliberate indifference to his liberty interest (*see generally Estelle v Gamble*, 429 US 97, 104-106 [1976] [deliberate indifference to prisoners' medical needs is proscribed by the Eighth Amendment]). Ortiz asserts that DOCCS did nothing to investigate housing options for him until his maximum expiration date approached. He repeatedly suggests that DOCCS should have simply released him to the NYCDHS shelter system, i.e., should have relied on NYCDHS's obligation, under the 1981 *Callahan* consent decree, to take in any homeless persons applying for shelter (*see generally Callahan v Carey*, 12 NY3d 496 [2009]).

For the purpose of this appeal, in which the larger record of cooperation between DOCCS and NYCDHS is not before us, we need only decide whether DOCCS's conduct with respect to Ortiz constituted deliberate indifference as a matter of law.¹³ It did not. As we observed in *Matter of Gonzalez v Annucci*, a sex offender cannot simply "be released to any homeless shelter in New York City" (32 NY3d at 473 n 5). For one thing, the legislature has "imposed a duty on the parole officer to actually supervise the parolee, which requires knowledge . . . that [the

13. Respondents in *People ex rel. Ortiz v Breslin* move to strike Ortiz's compendium, which incorporates certain extrajudicial documents, as well as petitioner's brief, which relies in part on those documents. Respondents in *People ex rel. Johnson v Superintendent, Adirondack Corr. Facility* move to strike the addendum to Johnson's reply brief, which again incorporates extrajudicial material, and to strike the parts of the reply brief that rely on that addendum. Petitioners cite the material to argue, among other things, that if respondents had simply released them and deposited them at NYCDHS shelter intake in New York City, NYCDHS would have placed them in SARA-compliant shelters.

Today, we grant respondents' motions insofar as they seek to strike extrajudicial record material and those portions of the briefs relying on that extrajudicial information. It is "well settled . . . that the factual data on which a claim of unconstitutionality is based is to be presented as evidence to the trial court not as addenda to the briefs submitted in this court," and that "[w]hile judicial notice may be taken of some official documents by appellate courts, it is simply improper to make wholesale presentation of factual data through the medium of addenda to a brief" (*Board of Educ. of Belmont Cent. School Dist. v Gootnick*, 49 NY2d 683, 687 [1980]). Moreover, we agree with respondents that it would be improper to resolve questions about NYCDHS's policies and procedures regarding SARA-restricted sex offenders in cases in which NYCDHS is not a party and the existing record contains no evidence resolving those questions.

The dissenters' theory that DOCCS and NYCDHS have conspired to defeat the *Callahan* consent decree was not raised by any party and is not borne out by the factual record before this Court.

parolee's residence] is not in violation of the conditions of release" (*id.*). Ortiz offers no evidence that DOCCS ever precluded him from accessing a SARA-compliant shelter bed that NYCDHS was willing to make available. Indeed, Ortiz does not dispute that DOCCS released Ortiz to a SARA-compliant shelter as soon as one became available for him.

DOCCS's use of RTFs reflects the extreme difficulties in finding affordable New York City housing that is not within 1,000 feet of a school. New York City's SARA-compliant shelters have a vacancy rate of 0.4%, indicative of the high demand for shelter housing in New York City generally, as well as the considerable number of SARA-subject sex offenders seeking such housing. The challenges faced by DOCCS, when "presented by inmates convicted of sex offenses who must obtain SARA-compliant housing and must do so in a very limited market without financial resources" (*Gonzalez*, 32 NY3d at 472), are substantial. DOCCS's confinement of Ortiz in an RTF, consistent with statutory authorization, did not constitute deliberate indifference to his plight as a sex offender who is subject to SARA.

VII.

Finally, Ortiz raises a statutory argument based on the description of RTFs in the pertinent statutes as "residence[s] for persons who are on community supervision" (Correction Law § 73 [10]). Ortiz's argument is essentially that the legislature, by choosing the word "residence," intended RTFs to be shelter-like, rather than prison-like, correctional facilities, from which residents would be free to depart daily, without supervision, in order to take advantage of local community opportunities for training or employment.

Supporting Ortiz's interpretation is the fact that an RTF is statutorily defined as "[a] correctional facility consisting of a *community based residence* in or near a community where employment, educational and training opportunities are readily available for persons who are on parole or conditional release" (Correction Law § 2 [6] [emphasis added]). However, we disagree with Ortiz's claims that Correction Law § 73 (10) is a *sui generis* subdivision that "cannot be read in conjunction with the other sub[divisions] of" Correction Law § 73 and that the legislature intended to convey by means of the single word "residence" that RTFs should be home-like institutions. The legislature did not incorporate such assumptions expressly into

the statute, instead allowing DOCCS leeway to design its RTF programs and facilities.

Finally, Queensboro Correctional Facility is itself in close proximity to schools, as Ortiz concedes. As a practical matter, it would have defeated SARA's purposes to let Ortiz "come and go" as he pleased from the RTF in which he was placed.

We have considered petitioners' remaining contentions and we conclude that they too lack merit. The appeals before us present troubling issues concerning the fairness and effectiveness of the methods chosen by the legislature for deterring sex offender recidivism. These are important public policy issues that may require legislative attention.

Accordingly, in each appeal, the order of the Appellate Division should be modified, without costs, by converting the proceeding into a declaratory judgment action and granting judgment in accordance with this opinion and, as so modified, affirmed.

RIVERA, J. (dissenting). These appeals concern constitutional challenges to the potentially indefinite confinement of level three sex offenders—regardless of the fact that they have been granted parole or have completed their terms of imprisonment and are serving the *postrelease* supervision (PRS) portion of their sentences—solely because they are unable to afford housing more than 1,000 feet away from school property and because the Department of Corrections and Community Supervision (DOCCS) refuses them the opportunity to exercise their right to request placement in a New York City homeless shelter. The resolution of these claims turns on the correct classification of the challenged state action and the appropriate level of constitutional scrutiny.

The State has allowed this indefinite incarceration solely to reduce the administrative burden on New York City's homeless shelter system. Because that policy does not serve a correctional purpose, the State's interest is at its lowest ebb. On the other side of the scale, the liberty interests at issue derive from a constellation of state and city statutory and regulatory schemes intended to foster reentry into the community and prevent recidivism and, in certain cases, implicate indisputably fundamental rights. Therefore, heightened intermediate judicial review applies and, under the circumstances here, DOCCS' actions plainly fail that standard. Even assuming, as the majority does, that DOCCS' policy is subject only to rational

basis review, we must still consider whether the policy serves a legitimate purpose. It is far from clear that DOCCS' chosen course of action meets that relatively relaxed standard. Therefore, I would declare DOCCS' policy unconstitutional as applied.¹

I.

Factual and Procedural Background

A. Fred Johnson

Petitioner Fred Johnson was serving an indeterminate term of 2 years to life following his conviction of persistent sexual abuse. After more than eight years of incarceration, the New York State Board of Parole granted Johnson an open parole date. In so doing, the Board necessarily found that there was a reasonable probability that he would “live and remain at liberty without violating the law” and that his release would not be “incompatible with the welfare of society” (Executive Law § 259-i [2] [c] [A]). As a level three sex offender serving a sentence for an enumerated offense, Johnson was subject to the restriction mandated by Executive Law § 259-c (14) (Sexual Assault Reform Act [SARA]), which prohibits him from entering within 1,000 feet of school property.

DOCCS rejected Johnson's proposal that he reside with his twin brother in South Carolina. Johnson is indigent and was thus unable to identify alternative affordable housing that complied with SARA in New York City, the community in which he lived before his incarceration. Therefore, he requested to seek shelter through New York City's Department of Homeless Services (DHS). Instead of allowing Johnson to present himself at DHS for shelter placement, as in the case of other homeless New Yorkers, Johnson was placed on a DOCCS waiting list for an available bed in a SARA-compliant shelter in the City. Solely due to this SARA incarceration policy,² Johnson remained in a facility for an additional 27 months after his open parole date while he awaited a space at a shelter.

1. Although petitioners have been released, I agree with the majority that the mootness exception applies and the proper course is to convert these habeas corpus proceedings to declaratory judgment actions (majority op at 195-196).

2. DOCCS concedes that it has a policy to deny release to petitioners like Johnson who are indigent and unable to identify SARA-compliant housing and instead holds them in a correctional facility until a residence or shelter bed in the community is available. The State does not argue this is other

(n. cont'd)

With no release date in sight, Johnson filed a petition for a writ of habeas corpus. Challenging his incarceration on substantive due process grounds, he argued that DOCCS' application of SARA to keep him in prison violated his fundamental right to be free from confinement. Johnson also argued that because he had never victimized a child, SARA—which is intended to protect children from sex offenders—was irrational as applied to him.

B. Angel Ortiz

Petitioner Angel Ortiz was sentenced to a determinate term of 10 years' incarceration and five years' PRS following his conviction of robbery and attempted sexual abuse. After earning good time credits and serving the majority of his determinate sentence, the State certified Ortiz as ready for release and assigned him a conditional release date. Ortiz, like Johnson, was adjudicated a level three sex offender serving a sentence for an enumerated offense and thus subject to SARA's restriction that he not enter within 1,000 feet of school property. According to the record, Ortiz is amenable to release in upstate locations but repeatedly expressed a strong desire to be released in New York City, where his mother and daughter live. He described his mother as "[his] rock," and explained that his daughter "was [his] drive in order for [him] to change" following his incarceration. Nonetheless, DOCCS determined he could not live with his mother because her address is not SARA-compliant. Because he is indigent, Ortiz is unable to obtain SARA-compliant housing and so he remained in prison after his conditional release date while waiting for an appropriate New York City shelter bed. Upon the maximum expiration date of the carceral portion of his sentence, DOCCS confined Ortiz in a residential treatment facility (RTF) and prohibited any visits with his daughter. DOCCS ultimately released Ortiz to a SARA-compliant shelter approximately 25 months after his conditional release date and eight months after the end of his determinate prison sentence.

While incarcerated at the RTF, Ortiz filed a petition for a writ of habeas corpus. Like Johnson, Ortiz argued that DOCCS violated his substantive due process rights by confining him during the PRS portion of his sentence in a manner indistin-

than incarceration, so I accordingly refer to this as the SARA incarceration policy.

guishable from his imprisonment during his determinate sentence. Ortiz also argued that his potentially indefinite confinement constituted cruel and unusual punishment in violation of the Eighth Amendment, imposed on him solely because he is indigent and therefore reliant on the DHS shelter system. He also argued that he should at least be treated as a resident while held in the RTF, with the entry and exit privileges that would be available to him were he living in the community.

II.

Constitutional Question Presented

Petitioners mount an as-applied constitutional challenge, arguing that they have a fundamental right to be free from state confinement after their respective release dates and that DOCCS violates that right by confining them solely because they are indigent and unable to afford SARA-compliant housing in their New York City communities. According to petitioners, DOCCS' policy cannot survive strict scrutiny, the highest and most demanding standard of review, because they may be released for initial placement in a DHS homeless shelter until they can find affordable SARA-compliant housing. Alternatively, petitioners argued the policy fails even intermediate scrutiny.

The State responds that petitioners have no fundamental right to conditional release, which is neither a constitutional right nor grounded in the nation's history. Therefore, petitioners' continued incarceration is lawful because DOCCS has a rational basis for confining them pending the availability of a SARA-compliant residence, including a shelter bed in New York City.

The petitioners are correct to the extent that, generally, the right to be free from state confinement is fundamental and constitutionally protected against unlawful deprivation (*see DeShaney v Winnebago County Dept. of Social Servs.*, 489 US 189, 200 [1989] [(I)t is the State's affirmative act of restraining the individual's freedom to act on his own behalf . . . which is the 'deprivation of liberty' triggering the protections of the Due Process Clause"]). However, petitioners' liberty interests

were extinguished during the period of their lawfully imposed prison sentences (*see Greenholtz v Inmates of Neb. Penal & Correctional Complex*, 442 US 1, 7 [1979] [(T)he conviction, with all its procedural safeguards, has extinguished that liberty right: Given a valid conviction, the criminal defendant has been constitutionally deprived of his liberty” (internal quotation marks, alteration and citation omitted)]; *but see McNeil v Director, Patuxent Institution*, 407 US 245, 246 [1972] [agreeing that “when (an inmate’s) sentence expired, the State lost its power to hold him, and that his continued detention violates his rights under the Fourteenth Amendment”]; *Calhoun v New York State Div. of Parole Officers*, 999 F2d 647, 653 [2d Cir 1993] [“Under both the due-process clause and state law, an inmate has a liberty interest in being released upon the expiration of his maximum term of imprisonment”]). Additionally, petitioners’ sole support for their argument that they possess a fundamental right to be released from confinement is derived from case law addressing the metes and bounds of *procedural* due process, rather than the jurisprudence governing substantive rights under the Due Process Clause (*see* majority op at 199). Petitioners make no claim that during their SARA confinement they have been deprived of procedural safeguards against unlawful state action.

For the majority, this ends the inquiry—not just as to the proper standard of review but, more importantly, as to the nature of the asserted right as well. The majority’s equation is simple: Because no fundamental right is implicated by the State’s confinement of Johnson beyond his open parole date or of Ortiz beyond his maximum incarceration date, the State need only articulate a rational basis for their continued incarceration, a requirement easily met here. But that conclusion turns rational basis *review* into a perfunctory rubber stamp—rendering outcome determinative the choice of standard rather than its application. Rational basis requires that the state action be logical, reasonable, and sensible, even if only minimally so. Put another way, the State cannot take action that is groundless, counterfactual, or unjust.

Moreover, the majority’s analysis disregards this Court’s long history of applying heightened constitutional scrutiny under circumstances like the ones presented in these appeals,

where the Court is called upon to balance meaningful individual rights (which themselves implicate fundamental rights) against a state policy that contravenes the free exercise of those rights. More so here, where the individual interests align with legislation enacted to achieve the salutary goals of reentry and reduced recidivism.

Indeed, the majority acknowledges that our case law recognizes a liberty interest in New York's regulatory scheme which by design creates "a legitimate expectation of early release from prison" (majority op at 199). The majority rejects in a footnote, however, petitioners' claims that these rights subject DOCCS' policy to at least intermediate review, because, according to the majority, the issue is insufficiently complex to warrant more than *de minimis* scrutiny (*id.* at 200 n 8).³ This misreads our case law, which applies intermediate scrutiny when there is a need to "provide rigorous protection of constitutional rights" while also "accommodat[ing]" the State's need to craft legislation to effectuate its legitimate interests (*Anonymous v City of Rochester*, 13 NY3d 35, 47 [2009]).

That standard is appropriate here, where the State has enacted a statutory and regulatory scheme intended to reduce recidivism and to promote public safety by assisting the formerly incarcerated with their reentry into society, including those released subject to conditions. Those same state provisions are balanced against DOCCS' SARA-incarceration policy. Thus, the question before us is whether this interconnected statutory and regulatory scheme is hindered by DOCCS, making its policy an irrational choice to achieve the legislature's reentry goals.

Given record evidence that SARA's 1,000-foot school property rule fails to achieve the legislature's express purpose in enacting it, DOCCS' decision to confine these petitioners may not be rational, but it most certainly cannot survive intermediate scrutiny.

3. The majority's conclusion that petitioners do not advocate for an approach different from the Federal Constitution is puzzling. Petitioners maintain that the policy violates their state due process rights and cite to cases in support of that assertion. That is all they need do for this Court to consider whether the State Constitution affords protection beyond that recognized under its federal counterpart. In any case, as I discuss (*see infra* at 224-225), federal law recognizes a "liberty interest . . . grounded in New York's regulatory scheme" (*Victory v Pataki*, 814 F3d 47, 60 [2d Cir 2016] [internal quotation marks omitted]).

III.

State Statutory and Regulatory Scheme

The interplay between the various laws and regulations in New York that govern conditional release of the formerly incarcerated endows petitioners' asserted liberty interests—and the interests of those similarly situated—with a measure of constitutional significance warranting the application of heightened scrutiny.

For example, Johnson was granted an open parole date pursuant to a complex statutory and regulatory scheme, all intended to further the successful reentry of an individual deemed ready to return to the community. First, the Penal Law provides that “[r]elease on parole shall be in the discretion of the state board of parole, and such person shall continue service of [their] sentence or sentences while on parole, in accordance with and subject to the provisions of the executive law and the correction law” (Penal Law § 70.40 [1] [a]). The Executive Law, in turn, provides that,

“at least one month prior to the date on which an inmate may be paroled pursuant to subdivision one of section 70.40 of the penal law, a member or members as determined by the rules of the board shall personally interview such inmate and determine whether [they] should be paroled in accordance with the guidelines adopted pursuant to [section 259-c (4)]” (Executive Law § 259-i [2] [a] [i]; *see also* § 259-c [4] [directing the Board to develop written procedures for making parole decisions that “incorporate risk and needs principles to measure the rehabilitation of persons appearing before the board, the likelihood of success of such persons upon release, and assist . . . in determining which inmates may be released to parole supervision”]).

Additionally, the Executive Law governs the specific criteria which the Board may consider when granting or denying parole:

“Discretionary release on parole shall not be granted merely as a reward for good conduct or efficient performance of duties while confined but after considering if there is a reasonable probability that, if such inmate is released, [they] will live and

remain at liberty without violating the law, and that [their] release is not incompatible with the welfare of society and will not so deprecate the seriousness of [their] crime as to undermine respect for law” (Executive Law § 259-i [2] [c] [A]; *see also id.* [elaborating on the list of factors the Board must consider including, among others, work and educational history while incarcerated, interaction with prison staff and inmates, and release plans]).

In other words, parole is to be granted only after the Board has determined that the individual will “live and remain at liberty without violating the law” and that their release will not put at risk the well-being of the community.

As for Ortiz, he first sought to be conditionally released after he accumulated a time allowance for good behavior, to be credited against the remaining portion of his sentence, pursuant to Correction Law § 803. That provision states:

“Every person confined in an institution of the department or a facility in the department of mental hygiene serving an indeterminate or determinate sentence of imprisonment, except a person serving a sentence with a maximum term of life imprisonment, may receive time allowance against the term or maximum term of [their] sentence imposed by the court. Such allowances may be granted for good behavior and efficient and willing performance of duties assigned or progress and achievement in an assigned treatment program, and may be withheld, forfeited or canceled in whole or in part for bad behavior, violation of institutional rules or failure to perform properly in the duties or program assigned” (Correction Law § 803 [1] [a]).

When Ortiz’s accrued good behavior time allowances equaled the amount of time remaining on the carceral portion of his sentence, he was *entitled* to conditional release under Penal Law § 70.40:

“A person who is serving one or more than one indeterminate or determinate sentence of imprisonment *shall, if [they] so request[], be conditionally released* from the institution in which [they are] confined when the total good behavior time allowed to [them], pursuant to the provisions of the correction law, is equal to the unserved portion of [their]

term, maximum term or aggregate maximum term” (Penal Law § 70.40 [1] [b] [emphasis added].)

Once Ortiz reached the end of the carceral portion of his sentence, he commenced serving the PRS portion. PRS is governed by Penal Law § 70.45, which provides:

“When a court imposes a determinate sentence it shall in each case state not only the term of imprisonment, but also an additional period of post-release supervision as determined pursuant to this article. Such period shall commence as provided in subdivision five of this section and a violation of any condition of supervision occurring at any time during such period of post-release supervision shall subject the defendant to a further period of imprisonment up to the balance of the remaining period of post-release supervision, not to exceed five years” (Penal Law § 70.45 [1]).

The purpose of PRS is, generally, to provide for the monitoring of certain individuals upon their reintroduction to society (*see People v Sparber*, 10 NY3d 457, 469 [2008]), and to assure that that reintroduction is successful (*see* Donnino, Practice Commentary, McKinney’s Cons Laws of NY, Book 39, Penal Law § 70.45 at 396 [2004 ed]).

Moreover, New York State and City have enacted policies that evince a legislative goal of ensuring the successful transition from incarceration into the community. For instance, New York State prohibits discrimination in hiring and professional licensing solely on account of an individual’s criminal conviction (*see e.g.* Correction Law § 752 [“No application for any license or employment . . . shall be denied . . . by reason of the individual’s having been previously convicted”]; Executive Law § 296 [15], [16]; *see also Matter of Dempsey v New York City Dept. of Educ.*, 25 NY3d 291, 298 [2015] [“Article 23-A of the Correction Law protects persons who seek employment, after having been convicted of one or more criminal offenses, from unfair discrimination”]; *Matter of Gonzalez v Annucci*, 32 NY3d 461, 480 [2018, Wilson, J., dissenting] [“In all respects, the statutory scheme is one that seeks systematically to remove from the willing inmate the disabilities of past crimes and imprisonment”]). New York City’s “Fair Chance Act” similarly demonstrates the City’s goal of ensuring the successful integration of formerly incarcerated persons into the community (*see* Fair Chance Act, Local Law No. 63 [2015] of City of NY; *see*

also NY City Commission on Human Rights, Legal Enforcement Guidance on the Fair Chance Act, Local Law No. 63 [2015] at 1 [May 24, 2019] [“The (Fair Chance Act) reflects the City’s view that job seekers must be judged on their merits before their mistakes . . . (and) is intended to level the playing field . . . (for) New Yorkers who are part of the approximately 70 million adults residing in the United States who have been arrested or convicted of a crime”]).

Affordable housing is critical to reintegration, as it promotes stability and a sense of community that encourages law-abiding behavior (*see* New York State Council on Community Re-entry and Reintegration, The Reentry Council, <https://www.governor.ny.gov/criminal-justice-reform/new-york-state-council-community-re-entry-and-reintegration> [last accessed Nov. 4, 2020] [“Individuals with criminal convictions continue to face significant economic and social barriers to their successful reintegration into society. On average, New York State releases more than 25,000 people from prison each year and research shows that without successful re-entry policies, there is a higher rate of re-convictions”]; *see also* 18 NYCRR 352.36 [a] [3] [describing “the importance of stable housing and support in allowing offenders to live in and re-enter the community and become law-abiding and productive citizens”]).

Significantly, New York City has recognized that indigent individuals, like Johnson and Ortiz, have a legally enforceable right to shelter. For nearly four decades, the City has, pursuant to a consent decree, guaranteed that homeless individuals who present themselves for intake at a city shelter will be provided with a bed. The consent decree requires the City to “provide shelter and board to each homeless man who applies for it provided that (a) the man meets the need standard to qualify for the home relief program established in New York State; or (b) the man by reason of physical, mental or social dysfunction is in need of temporary shelter” (final judgment by consent ¶ 1 in *Callahan v Carey*, Sup Ct, NY County, 1981, index No. 42582/79; *see also Gonzalez*, 32 NY3d at 489 [(H)ad DOCCS released (the petitioner) to any homeless shelter in New York City, the City would have been required to find him a bed, because the City guarantees (and indeed must guarantee) housing for every homeless person who requests it”). The right has been extended to women and families (*Eldredge v Koch*, 98 AD2d 675 [1st Dept 1983]; *McCain v Koch*, 117 AD2d 198, 222 [1st Dept 1986], *revd in part* 70 NY2d 109 [1987]).

The City publicly acknowledges that its approach to homelessness is “[g]overned by a unique . . . mandate” to provide shelter-on-demand “to every man, woman, and child who is eligible for services, every night” (New York City Department of Homeless Services, *Shelter*, <https://www1.nyc.gov/site/dhs/shelter/shelter.page> [last accessed Nov. 4, 2020]). The City proudly proclaims that its “policy sets New York part from municipalities across the nation—many of which turn homeless individuals and families away once shelters have filled up or simply put their names on a waiting list” (*id.*). New York City’s shelter system is consistently recognized as the most sophisticated and comprehensive in the nation.

As part of “providing shelter as a safety net for those in need” (*id.*), the City has adopted a regulatory framework that governs temporary housing assistance for homeless individuals and families, including assessment and case management, access to health care, and assistance with finding permanent housing (*see* 18 NYCRR 491.14 [a] [requiring that shelter operators “shall be responsible for the development and provision of resident services that shall include, at a minimum, room, board, health services, social rehabilitation services, supervision, and information and referral”]).

Moreover, the State has recognized its affirmative obligation to assist sex offenders in finding housing once released and, critically, that this obligation promotes postrelease stability and reduces recidivism (*see* 18 NYCRR 352.36 [a] [3] [“The State’s coordinated and comprehensive approach also recognizes the necessity to provide emergency shelter to individuals in need, including those who are sex offenders, and the importance of stable housing and support in allowing offenders to live in and re-enter the community and become law-abiding and productive citizens”]; *id.* § 352.36 [b] [describing procedures local social services departments are to follow in providing housing for released level three sex offender]; *see also Gonzalez*, 32 NY3d at 474 [requiring DOCCS “to assist inmates prior to release and under supervision to secure housing”]).

On the other hand, DOCCS’ asserted interest is in the enforcement of SARA, which provides:

“[W]here a person serving a sentence for an [enumerated] offense . . . and the victim of such offense was under the age of eighteen at the time of such offense or such person has been designated a

level three sex offender . . . , is released on parole or conditionally released . . . , the board shall require, as a mandatory condition of such release, that such sentenced offender shall refrain from knowingly entering into or upon any school grounds” (Executive Law § 259-c [14]).

In enacting SARA, the “legislature was clearly concerned with the release of the sex offender back into a community,” and “the point” of the legislation was “keeping sex offenders . . . 1,000 feet from children in school areas” (*Gonzalez*, 32 NY3d at 473 n 5; see also *Matter of Williams v Department of Corr. & Community Supervision*, 136 AD3d 147, 154 [1st Dept 2016] [(“T)he legislative intent (of SARA was) to protect children”). However, SARA’s text and purpose fail to evince a legislative intent to continue the incarceration and delay the release of indigent offenders, potentially indefinitely, by preventing them from requesting SARA-compliant shelter at DHS intake.

IV.

Standard of Review

A. Rational Basis

The rational basis test is a lenient one. However, “while rational basis review is indulgent and respectful, it is not meant to be ‘toothless’ ” (*Windsor v United States*, 699 F3d 169, 180 [2d Cir 2012], *affd* 570 US 744 [2013]; see also *Winston v City of Syracuse*, 887 F3d 553, 560 [2d Cir 2018] [“Rational basis review, however, does require some scrutiny of . . . government activity”]). Nor can government action survive rational basis review if its justification is “flimsy or implausible” (*Railroad Retirement Bd. v Fritz*, 449 US 166, 184 [1980]). Instead, the challenged action must “rationally further a legitimate state interest” (*Affronti v Crosson*, 95 NY2d 713, 718 [2001]).

Here, the asserted government interest in preventing the sexual victimization of children is plainly legitimate. However, DOCCS’ chosen means for effectuating that interest are of dubious rationality.⁴ Courts and scholars alike have recognized that residency restrictions do next to nothing to prevent children

4. Contrary to the majority’s view, petitioners’ claims are not challenges to policy, as they do not assert that state elected officials may not enact legislation to protect children. We are not asked to opine on the wisdom of

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from being victims of sex crimes (*see Does #1-5 v Snyder*, 834 F3d 696, 705 [6th Cir 2016] [striking down Michigan’s sex offender residency requirement in part because there was no evidence “that the residential restrictions have any beneficial effect on recidivism rates”]; Jill S. Levenson & Andrea L. Hern, *Sex Offender Residence Restrictions: Unintended Consequences and Community Reentry*, 9 Just Res & Pol’y [No. 1] 59, 61 [June 2007] [study in Minnesota tracking recidivism rates for people designated high-risk sex offenders found that, of the 4% who committed new sex crimes “(n)one of the new crimes occurred on the grounds of a school or was seemingly related to a sex offender’s living within close proximity to a school” and concluding that “residential proximity to schools and parks appeared to be unrelated to sex offense recidivism” and that “blanket policies restricting where sex offenders can live are unlikely to benefit community safety”]). Perhaps most damning is the Federal Department of Justice’s acknowledgement that residency restrictions appear ineffectual and may actually increase recidivism: “[T]here is no empirical support for the effectiveness of residence restrictions. In fact, a number of negative unintended consequences have been empirically identified . . . that may aggravate rather than mitigate offender risk” (Christopher Lobanov-Rostovsky, *Chapter 8: Sex Offender Management Strategies*, in U.S. Department of Justice, Office of Justice Programs, Office of Sex Offender Sentencing, Monitoring, Apprehending, Registering, and Tracking, *Sex Offender Management Assessment and Planning Initiative* at 205 [NCJ 247059, Oct. 2014], available at https://smart.ojp.gov/sites/g/files/xyckuh231/files/media/document/somapi_full_report.pdf [last accessed Nov. 3, 2020]; U.S. Department of Justice, Office of Justice Programs, Bureau of Justice Statistics, *Sexual Assault of Young Children as Reported to Law Enforcement: Victim, Incident, and Offender Characteristics* at 10 [NCJ 182990, July 2000] [noting that in 93% of sex crimes involving children, the perpetrator was someone known to the victim rather than a stranger]). Further highlighting the lack of correlation between the legislative ends and DOCCS’ policy of SARA incarceration is DOCCS’ failure to contest petitioners’ claim that, between 2005 and 2014 (when DOCCS permitted level three sex offenders to reside in non-compliant homeless

that legislation. Instead, we are called upon to exercise our judicial role and assess the constitutional validity of state action in furtherance of the legislature’s goals.

shelters), there was not a single reported sex offense involving a child perpetrated by a stranger living in a homeless shelter less than 1,000 feet from a school.

Assuming, for a moment, that the foregoing evidence did not strongly suggest the irrationality of DOCCS' chosen course of action, there is no rational justification for the application of this policy to Johnson. The record makes clear that he has never victimized a minor nor committed a crime near a school. Johnson committed his crimes on New York City's subways, against adult females. The State struggles to explain how SARA's restriction could possibly reduce the risk that Johnson would reoffend, given the particulars of his criminal history. It ultimately suggests that Johnson may pivot, altering his modus operandi and suddenly begin victimizing minors, not on the subway but within 1,000 feet of school property. This rank speculation is the kind of "flimsy or implausible justification[]" that fails even the rational basis test (*Fritz*, 449 US at 184).

As to *both* Ortiz and Johnson, DOCCS' SARA incarceration irrationally thwarts the New York State and City Legislatures' goals of fostering the successful reintegration of formerly incarcerated individuals into the community (*see e.g. Sparber*, 10 NY3d at 469; *Gonzalez*, 32 NY3d at 480 [Wilson, J., dissenting] ["In all respects, the statutory scheme is one that seeks systematically to remove from the willing inmate the disabilities of past crimes and imprisonment"]; Donnino, Practice Commentary, McKinney's Cons Laws of NY, Book 39, Penal Law § 70.45 at 396 [2004 ed] [quoting legislative memorandum which states that PRS is meant to provide "assurance that offenders will be successfully reintegrated into society"]; NY City Commission on Human Rights, Legal Enforcement Guidance on the Fair Chance Act, Local Law No. 63 [2015] at 1 [May 24, 2009] ["The (Fair Chance Act) reflects the City's view that job seekers must be judged on their merits before their mistakes . . . [and] is intended to level the playing field"]). The irrationality of DOCCS' choice is made plain by its violation of its own policy. As the State concedes, when individuals subject to SARA finally make it off DOCCS' internal waiting list for SARA-compliant housing, DOCCS transports them to the Bellevue Men's Shelter in Manhattan—even though that shelter is within 1,000 feet of a school. And, finally, DOCCS' insistence that the policy is not merely rational but also necessary is belied by the fact that SARA's restriction is finite in duration; it is only mandatory during an offender's sentence.

Thus, DOCCS' chosen means of effectuating the State's legitimate interest in protecting children beggars all rationality. Not only is it unsupported by the scientific literature, but DOCCS' historical practice—where, for nine years, it did the very thing it claims it now cannot do without jeopardizing the well-being of children—lends it no support. So irrational is DOCCS' policy of continuing an offender's confinement while simultaneously prohibiting them from exercising the right to request shelter directly from DHS, that the agency repeatedly ignores its own dictates when it eventually releases level three offenders (after, potentially, years of confinement) to the Bellevue shelter. All this, too, at the expense of legislative goals meant to facilitate the reintroduction of individuals on conditional release *back* to their home communities.

B. Intermediate Scrutiny

Regardless of whether DOCCS' SARA incarceration of indigent individuals who are reliant on shelter housing—and their resulting, potentially indefinite, confinement—survives rational basis review, the question remains whether it survives heightened intermediate scrutiny. Under our precedent's reasoning, the policy falls short of that threshold and is therefore unconstitutional.

This Court has regularly applied intermediate scrutiny when the question presented implicates *both* a constitutional right and a concededly legitimate state action. For instance, First Amendment challenges to local zoning laws that burden expressive activity trigger intermediate scrutiny (*see e.g. Town of Delaware v Leifer*, 34 NY3d 234, 244 [2019]; *For the People Theatres of N.Y., Inc. v City of New York*, 29 NY3d 340, 358 [2017]; *see also Matter of Expressview Dev., Inc. v Town of Gates Zoning Bd. of Appeals*, 147 AD3d 1427, 1431 [4th Dept 2017] [restrictions on commercial speech trigger intermediate scrutiny]). Similarly, Second Amendment challenges to certain firearm-related state laws warrant intermediate scrutiny (*see People v Hughes*, 22 NY3d 44, 51 [2013]; *see also Matter of Delgado v Kelly*, 127 AD3d 644, 644 [1st Dept 2015]).⁵

Most relevant to these appeals is *Cooper v Morin* (49 NY2d 69 [1979]), which resolved a constitutional challenge to pretrial

5. The Court has also applied a standard of review higher than rational basis in a number of Equal Protection Clause cases, including those that predate the emergence of the term “intermediate scrutiny” (*see e.g. Matter of Fay*, 44 NY2d 137, 144 [1978] [(a)pplying a less than strict scrutiny, but yet not a ‘toothless’ standard of review” to assess equal protection challenge to

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confinement at the Monroe County jail. The plaintiffs, a class of female detainees, alleged that correctional officials violated their state and federal constitutional rights by prohibiting any contact with visitors during jail visits. The Court acknowledged the holding of *Bell v Wolfish* (441 US 520 [1979]) which rejected “an intrusive standard of review” applicable to due process claims of pretrial detainees regarding the conditions of their confinement (*see e.g. Cooper*, 49 NY2d at 76-77 [describing *Bell*’s application of rational basis and surveying additional United States Supreme Court precedent applying the same standard to pretrial detainees’ constitutional challenges]). Applying that precedent, the Court held that “neither as a matter of Federal due process nor Federal equal protection are plaintiffs entitled to an order requiring the allowance of contact visits” (*id.* at 78).

However, “[t]hat conclusion d[id] not end the inquiry,” because plaintiffs asserted state constitutional claims (*id.*). Those claims prevailed. The Court explained that it

“c[ould] not agree that the validity of the regimen imposed upon such persons during detention turns on no more than whether a regulation has a legitimate purpose other than punishment and is not excessive in relation to that purpose. So one-sided a concept of due process we regard as unacceptable. In our view what is required is a balancing of the harm to the individual resulting from the condition imposed against the benefit sought by the government through its enforcement” (*id.* at 79).

Central to the analysis in *Cooper* was the fact that the no-contact policy severely impinged upon the plaintiffs’ “fundamental right to . . . family life on the one hand and to . . . rear children on the other” (*id.* at 80). In other words, heightened review applied because the governmental action at issue in *Cooper* impinged upon the plaintiffs’ constitutionally protected rights, even though the plaintiffs, like petitioners here, were lawfully in state custody.

That the State was permitted, after arresting and charging the plaintiffs with crimes, to detain them to ensure their ap-

intestacy statute disadvantaging children born out of wedlock]; *Alevy v Downstate Med. Ctr. of State of N.Y.*, 39 NY2d 326, 335-336 [1976] [applying a form of scrutiny higher than rational basis to evaluate equal protection challenge to affirmative action admissions practices at a medical school]).

pearance at trial did *not* mean that any rational restriction on their constitutionally protected rights was also permitted. The majority rejected the dissent's view that plaintiffs had no constitutionally protected rights because "lawful incarceration brings about the necessary withdrawal or limitation of many privileges and rights, a retraction justified by our penal system . . . [and] there are certain personal freedoms and conveniences that must be sacrificed as a necessary incident to the loss of liberty" (*id.* at 84-85 [Gabrielli, J., dissenting] [alterations omitted]). The dissent argued, similarly to the State here, that any fundamental rights must give way to a compelling governmental interest, particularly in light of "the relatively short duration of [the individual's] confinement" (*id.* at 85).

Instead of adopting this narrow view of our state due process protections, the Court examined the constitutional interests implicated by the challenged state action and weighed them against the interests asserted by the State. The *Cooper* Court made clear that the right it sought to protect through heightened review was broader than just the right to parent; instead, it encompassed the right to be in the community generally—a fundamental right that was not rendered wholly meaningless by virtue of the right-holder's detention (*see* 49 NY2d at 81 [(W)hen so *fundamental a right* as the maintenance by pre-trial detainees of relationships with family *and friends* is involved the measure adopted must be both reasonable and necessary to the maintenance of security" (emphasis added)]).

The reasoning of *Cooper* applies with equal force to petitioners here. As an initial matter, the same fundamental right at issue in *Cooper* is clearly implicated in the case of Ortiz, whose desire to maintain his relationship with his young daughter was central to his decision to seek release on PRS in New York City (as the record repeatedly makes clear). DOCCS' refusal to release Ortiz absent a SARA-compliant address and its denial of his request to directly seek shelter in the city, therefore, thwarted his attempts to vindicate his long-recognized fundamental right to parent (*see People ex rel. Portnoy v Strasser*, 303 NY 539, 542 [1952] [(T)he right of a parent, under natural law, to establish a home and bring up children is a fundamental one and beyond the reach of any court"]).

Here, the importance of the right to be in the community and to "maint[ain] . . . relationships with family and friends" (49 NY2d at 81) is, arguably, even greater for individuals on PRS who, by virtue of DOCCS' SARA incarceration, remained

confined in a correctional facility euphemistically labeled an RTF—despite the fact that this portion of their sentence is supposed to be served at liberty in the community. “Postrelease supervision is significant” (*People v Catu*, 4 NY3d 242, 245 [2005]), and DOCCS’ abridgement of it—particularly when that action simultaneously works harm on fundamental rights—must be subjected to something more searching than mere rational basis.

To be sure, the Constitution permits the State to infringe upon the rights of someone serving a sentence upon a lawful conviction, and an individual’s right to “conditional liberty [is] properly dependent on observance of special parole restrictions” (*Morrissey v Brewer*, 408 US 471, 480 [1972]). Nonetheless, the liberty interests of individuals who are presently incarcerated still merit constitutional protection. This is particularly true for individuals, like petitioners, who have either been granted an open parole date or who are currently serving the PRS portions of their sentences (*see id.* at 482 [liberty interest of a parolee, in the context of a revocation hearing, “includes many of the core values of unqualified liberty and its termination inflicts a ‘grievous loss’ on the parolee By whatever name, the liberty is valuable and must be seen as within the protection of the Fourteenth Amendment”]).

The majority relies heavily on the lack of any right to parole to reach its conclusion that there is no constitutional right—fundamental or otherwise—meriting heightened judicial review (majority op at 199-200). This parsimonious view of individual liberty ignores that once a person *is* granted parole or exceeds the maximum expiration date of the carceral portion of their sentence, they possess far “more than a hope or a unilateral expectation of release” (*Green v McCall*, 822 F2d 284, 288 [2d Cir 1987]). “[I]nstead, [they] have a legitimate claim of entitlement to it” (*Greenholtz v Inmates of Neb. Penal and Correctional Complex*, 442 US 1, 7 [1979]). In turn, once such individuals have a “legitimate claim of entitlement,” the Constitution protects that liberty interest (*see Victory v Pataki*, 814 F3d 47, 59-60 [2016] [(A) New York inmate who has been granted an open parole release date has a legitimate expectancy of release that is grounded in New York’s regulatory scheme . . . (and) has a protectable liberty interest that entitles (them) to due process” (internal quotation marks omitted)]).

While that interest may not rise to the level of a fundamental right, it is nonetheless constitutionally meaningful because it

derives from “a legitimate expectancy of release that is grounded in the state’s statutory scheme” (*id.* at 60, quoting *Graziano v Pataki*, 689 F3d 110, 114 [2012]). That is all the more true here, where the statutory scheme reflects a clear legislative intent in favor of reentry (*see e.g. People v Sparber*, 10 NY3d 457, 469 [2008] [purpose of PRS is to monitor certain incarcerated individuals “upon their *reintroduction into society*” (emphasis added)]; *see also* Donnino, Practice Commentary, McKinney’s Cons Laws of NY, Book 39, Penal Law § 70.45 at 396 [2004 ed] [quoting legislative memorandum which states that PRS is meant to provide “assurance that offenders will be successfully reintegrated into society”]).

Likewise, New York City’s status as a “right to shelter” jurisdiction bolsters the petitioners’ legitimate expectation of release and their concomitant liberty interests. Under a 1981 consent decree entered in *Callahan v Carey* (Sup Ct, NY County, 1981, index No. 42582/79), New York City agreed that it would “provide shelter and board to each homeless man who applies for it” (*Callahan v Carey*, 307 AD2d 150, 151 [2003] [quoting consent decree]). The *Callahan* consent decree does not have a sex offender exception, and its plain language requires DHS to provide SARA-compliant housing to individuals like petitioners—assuming, of course, DOCCS did not prohibit them from presenting themselves for intake (*see also Callahan v Carey*, 12 NY3d 496, 498 [2009] [requiring the City to “provide shelter and board to each homeless man who applies for it provided that . . . the man by reason of . . . social dysfunction is in need of temporary shelter”]). Indeed, DHS officials appear to have confirmed this understanding of the consent decree in litigation raising issues similar to those presented in the instant appeals (*see People ex rel. Bonilla v Superintendent, Fishkill Corr. Facility*, Sup Ct, Dutchess County, June 25, 2020, index No. 2020-51174). Supreme Court credited a DHS official’s testimony that individuals subject to SARA would be provided compliant beds so long as they presented themselves to DHS shelter intake (*see Gonzalez*, 32 NY3d at 489-490 [Wilson, J., dissenting] [(“H)ad DOCCS released (the petitioner) to any homeless shelter in New York City, the City would have been required to find him a bed, because the City guarantees (and indeed must guarantee) housing for every homeless person who requests it”]; Wilson, J., dissenting op at 230-232, 244-246 [demonstrating the breadth of the City’s obligation to provide homeless individuals like petitioners with housing upon

request]). Thus, in addition to New York State's reentry-promoting conditional release scheme, New York City's provision of shelter to indigent individuals further strengthens petitioners' liberty interest in and their expectation of unobstructed release on parole and PRS to a New York City shelter.

That New York City, as opposed to some other jurisdiction, guarantees a right to shelter is noteworthy for another reason. Although petitioners expressed some openness to living outside of the City, nothing in the record suggests that, as homeless individuals, they would be able to obtain shelter upon request in another part of the State. Moreover, the petitioners' historical connection to and preference for residing in New York City may reflect government policies resulting in pervasive racial segregation in housing that afflicts New York State generally. In upstate New York (where SARA-compliant housing is not in such high demand), for example, more than 80% of residents are non-Hispanic whites (see Nancy Denton et al., *Metropolitan and Micropolitan New York State: Population Change and Race-Ethnic Diversity 2000-2010*, *How the Other Third Lives: A Focus on Upstate New York*, <http://mumford.albany.edu/mumford/UpstateProject/geography.html>). And people of color are concentrated in neighborhoods with the highest poverty rates, adding to the challenges of reentry (see e.g. Paul Jargowsky, *Architecture of Segregation: Civil Unrest, the Concentration of Poverty, and Public Policy*, The Century Foundation [Aug. 7, 2015], <https://tcf.org/content/report/architecture-of-segregation/?agreed=1> [Syracuse, New York has the highest concentrations of African-American and Hispanic poverty in the nation]).

The significant interests at issue in these appeals, grounded in statutory and regulatory schemes aimed at promoting an individual's reentry into the community, reducing recidivism, and ensuring that they have shelter if they are homeless, demand more scrutiny than mere rational basis review. This is particularly so when the State's infringement of that interest implicates rights that are unquestionably fundamental, such as the right to "the maintenance . . . of relationships with family" (*Cooper*, 49 NY2d at 81). Nothing less than intermediate scrutiny serves to protect those rights. *Anonymous v City of Rochester* (13 NY3d 35, 48 [2009]) supports this conclusion.

In *Anonymous*, the Court considered the appropriate constitutional standard of review for a curfew that restricted minors' freedom of movement. The Court determined that, for adults,

such freedom of movement would undeniably constitute a fundamental right warranting strict scrutiny. But, because of the sensitive considerations applicable to minors, a slightly more lenient form of review (i.e., intermediate scrutiny) should apply (13 NY3d at 45-47). Specifically, the Court held that, notwithstanding the fundamentality of the right to freedom of movement, courts had long recognized the State's "entitle[ment] to adjust its legal system" when dealing with minors "by exercising broader authority over their activities" (*id.* at 46, quoting *Bellotti v Baird*, 443 US 622, 635 [1979]). As the petitioners argued before this Court, the relationship between an adult's and a minor's freedom of movement is clearly analogous to the relationship between the constitutional right to be free from confinement possessed by those at liberty and those who are incarcerated. That is, an individual who is at liberty has a constitutional right to remain at liberty that merits the protection of the Due Process Clause, even if subject to some additional constraints (*see DeShaney*, 489 US at 200 ["(I)t is the State's affirmative act of restraining the individual's freedom to act on (their) own behalf—through incarceration, institutionalization, or other similar restraint of personal liberty—which is the 'deprivation of liberty' triggering the protections of the Due Process Clause"]).

Intermediate scrutiny is "sufficiently skeptical and probing to provide rigorous protection of constitutional rights yet flexible enough to accommodate legislation that is carefully drafted to address" particularly sensitive cases (*Anonymous*, 13 NY3d at 47). Indeed, it is precisely for this reason that New York courts have routinely found it appropriate when considering the extent to which the State may, in service of certain important state functions, constitutionally impinge upon liberties enshrined in the Constitution (*see e.g. Town of Delaware*, 34 NY3d at 244 [applying intermediate scrutiny when balancing First Amendment rights against municipal zoning needs]; *Hughes*, 22 NY3d at 51 [applying intermediate scrutiny when balancing Second Amendment rights against state criminal law prohibiting certain possessions of firearms]; *Alevy*, 39 NY2d at 335-336 [applying intermediate scrutiny balancing equal protection concerns about disparate treatment based on race with the need to compose a racially diverse class of medical students]).

Due consideration of both sides of the ledger in these appeals does not require the Court to resort to the most stringent tier

of constitutional review. Indeed, the Court may take into account the State's legitimate concerns while simultaneously affording the petitioners "rigorous protection of [their] constitutional rights" (*Anonymous*, 13 NY3d at 47)—so long as it ensures that the level of scrutiny it applies to petitioners' claims is "not a 'toothless' standard of review" (*Matter of Fay*, 44 NY2d at 144). That standard—neither hyper-stringent nor utterly toothless—is intermediate scrutiny.

Applying that standard here, I conclude that DOCCS' policy of SARA incarceration of indigent individuals is unconstitutional. As discussed above, it is doubtful that the application of SARA's restriction to petitioners achieves the statute's legislative goals given the lack of evidence linking recidivism involving minors with SARA's school grounds restriction. But even if that were not the case, DOCCS' policy does not further correctional interests; it is intended as a stopgap for perceived administrative and budgetary constraints facing DHS (*see* Wilson, J., dissenting op at 247-248 ["DOCCS's cooperation with DHS serves a convenient purpose of allowing DHS to control access to shelter space; it does not alter the City's obligations under the *Callahan* consent decree to provide shelter to homeless individuals"]). In other words, DOCCS denies release not because continued incarceration serves the goals of the correctional system, or because it furthers individual reentry programming, but because DOCCS has concluded that it would be logistically difficult for the City to provide a SARA-compliant shelter bed upon request to sex offenders. However, DHS is obligated to provide shelter to those homeless individuals who seek it (*see* final judgment by consent ¶ 1 in *Callahan*; Wilson, J., dissenting op at 230-232, 244-246).

DOCCS argues that it must incarcerate individuals like petitioners until they have secured a SARA-compliant address, but DOCCS admits that it prevents offenders from requesting compliant shelter from DHS at the time of their scheduled release. In reality, we do not know if DHS will fail to comply with its obligations. As Judge Wilson explains in his dissent, which I join,⁶ there is no reason to believe it will not (Wilson, J., dissenting op at 244-246, 245-246 n 11). DOCCS' and the majority's assertion that indigent persons who need housing in the

6. To the extent that Judge Wilson's dissent asserts that the rights afforded an individual who has been released are subject to strict scrutiny, I agree. However, I need not, and do not, opine as to whether strict scrutiny applies to individuals who have an expectation of release but who have not

(n. cont'd)

City will automatically violate SARA upon release, absent DOCCS' policy (majority op at 200-201), is unsupported by this record. Instead, by limiting the number of persons subject to SARA who present themselves to DHS on any given date, DOCCS has effectively minimized the demand on the City, at the cost of petitioners' liberty. Other than the shelter vacancy rate, the State has no evidence to support its determination that the City would fail to abide by its obligations under the *Callahan* consent decree. Any speculation about the legal rights of petitioners to shelter in the City is a matter to be resolved by the parties to the consent decree or, if necessary, through litigation seeking to modify or terminate the consent decree (see *Callahan*, 12 NY3d at 502). Perversely, DOCCS' policy has made it impossible to resolve the alleged "short supply" problem.

Moreover, DOCCS' policy must be assessed in light of the competing statutory and regulatory scheme governing parole and PRS. Continued incarceration, perhaps prolonged indefinitely, does nothing to further the legislative goals of providing parole in appropriate cases and completion of the PRS sentence in the community. Both are intended to facilitate successful reentry and reduce recidivism. If there are administrative, budgetary or legal obstacles to fulfilling the commands of the legislative enactments described above, those challenges must be addressed by our elected officials not DOCCS (see *Rent Stabilization Assn. of N.Y. City v Higgins*, 83 NY2d 156, 174 [1993] ["the general wisdom or desirability" of State's economic choices "is a question for the legislature"]; *Saxton v Carey*, 44 NY2d 545, 549 [1978] [State's budgetary priorities "is for the Legislature to review," rather than the courts]). Nor may this Court approve of constitutional violations caused by well-meaning corrections officials.⁷

WILSON, J. (dissenting). No party disputes that persons adjudged to be dangerous sex offenders can live in New York City. They can and do. No party contends that the State may confine Mr. Ortiz or Mr. Johnson indefinitely if they are eligible for release but never able to find Sexual Assault Reform Act

yet been released. As I discuss, DOCCS' application of SARA to petitioners cannot survive even intermediate scrutiny.

7. Since I would reverse on due process grounds, I have no occasion to consider Ortiz's Eighth Amendment argument or his challenge to his incarceration in an RTF without residential-type privileges.

(SARA)-compliant housing. Doing so would violate the Constitution. Instead, the question we must decide is when was the State obliged to release Mr. Ortiz and Mr. Johnson, both of whom were held in correctional facilities for years after they had secured parole, and in Mr. Ortiz's case, for eight months past the maximum length of his sentence, allegedly because of their inability to find housing.

Had Mr. Ortiz or Mr. Johnson signed a lease on an apartment or placed a down payment on a SARA-compliant house, we would undoubtedly have enjoined the State from obstructing their legal right to housing, not to mention their rights of freedom of association and liberty. Too poor to afford housing, Mr. Ortiz and Mr. Johnson sought to avail themselves of their legal right to stay in a New York City homeless shelter.

Today, the majority takes the extraordinary step of declaring that a state agency can refuse to recognize a legal right guaranteed by the City of New York and enshrined in a legally enforceable consent decree entered as a court order. State agencies may not imprison people based on the belief that legal rights will not be vindicated. Accordingly, I dissent.

I.

A.

Since 1981, homeless people in New York City have had a legal right to shelter. That right arose out of a class-action lawsuit brought by Robert Callahan and a group of homeless men who challenged the inadequate capacity and substandard quality of New York City's homeless shelters (*see generally Callahan v Carey*, 12 NY3d 496 [2009] [relating the history of the consent decree]). Citing the State's obligation to provide for the "aid, care and support of the needy" under article XVII of the New York State Constitution, the plaintiffs argued that a right to shelter for the homeless existed under state law (*see* amended complaint at 9 in *Callahan v Carey*, Sup Ct, NY County, Apr. 30, 1980, index No. 72581/79, available at <https://www.coalitionforthehomeless.org/wp-content/uploads/2014/08/CallahanAmendedComplaint-1.pdf>). To settle that lawsuit, New York City entered into a consent decree in which the City committed to house every homeless man who presented himself at a city intake shelter. Paragraph 1 of the consent decree, entitled "Provision of Shelter," sets forth the basic right:

“The City defendants shall provide shelter and board to each homeless man who applies for it provided that (a) the man meets the need standard to qualify for the home relief program established in New York State; or (b) the man by reason [of] physical, mental or social dysfunction is in need of temporary shelter.” (Final judgment by consent ¶ 1 in *Callahan v Carey*, Sup Ct, NY County, Aug. 1981, index No. 42582/79 [hereinafter *Callahan* consent decree], available at <https://www.coalitionforthehomeless.org/wp-content/uploads/2014/06/CallahanConsentDecree.pdf>.)

The subsequent paragraphs detail standards for the quality of life that each shelter must meet, a system for monitoring the City’s performance, and, as relevant here, procedures for submitting and accepting applications for shelter. To wit, paragraph 5 begins:

“The City defendants shall accept applications for shelter at the Men’s Shelter, 8 East Third Street, New York, New York and at 529 Eighth Avenue, New York, New York (the ‘central intake center’). Applications for shelter shall be accepted at all times at the Men’s Shelter The City defendants shall provide direct transportation to shelter pursuant to paragraph 1, *supra*. . . .

“The City defendants shall accept applications for shelter at shelter facilities providing that such applicants have applied for and have been found eligible for shelter by the City defendants within six months of the time of application at a shelter facility.” (*Callahan* consent decree ¶¶ 5, 7.)

The consent decree definitively establishes the scope of the City’s commitment. The City must provide shelter to “each . . . man who applies” (subject to meeting the criteria of financial or personal need) and applications must be accepted “at all times” at the central intake facility or one of the City’s satellite facilities.

The City’s obligation, as we have repeatedly explained, “is in the nature of a contract” (*Callahan*, 12 NY3d at 502, quoting *19th St. Assoc. v State of New York*, 79 NY2d 434, 442 [1992]; accord *Callahan v Carey*, 307 AD2d 150, 153 [1st Dept 2003]). That guarantee is overseen and enforced by the courts of New York (see *Childs v Levitt*, 151 AD2d 318, 320 [1st Dept 1989], *lv*

denied 74 NY2d 613 [1989] [noting that a “settlement entered as a consent decree . . . operates as a binding contract” which “the courts are bound to enforce”]). As the U.S. Supreme Court has noted, “[c]onsent decrees have elements of both contracts and judicial decrees” (*Frew v Hawkins*, 540 US 431, 437 [2004]), but in many ways are easier for courts to enforce than ordinary contracts (see *Firefighters v Cleveland*, 478 US 501, 523-524 n 13 [1986] [emphasizing that with a consent decree, courts maintain continuing jurisdiction over the decree, possess a “more flexible repertoire of enforcement measures,” and do not need to rehash “many facts that would otherwise have to be shown in order to establish the validity of an ordinary contract”]), quoting with approval brief for National League of Cities and others as amici curiae in support of respondents at 25 in *Firefighters v Cleveland*, 478 US 501 [1986], available at 1986 WL 728298).

Over four decades, New York courts have reaffirmed and extended the City’s binding contractual obligation to provide shelter to those in need. In the years following the entry of the original consent decree, New York expanded the decree to guarantee shelter not only for homeless men, but also for homeless women (*Eldredge v Koch*, 98 AD2d 675 [1st Dept 1983]) and families with children (*McCain v Koch*, 117 AD2d 198, 222 [1st Dept 1986], *revd in part* 70 NY2d 109 [1987] [affirming a right to shelter for families with children, a holding not disturbed by the Court of Appeals]). In 2009, our Court confirmed the continued force of the *Callahan* consent decree, holding that the City must honor its commitments, including as they pertain to the disclosures and record keeping required for monitoring the City’s compliance (*Callahan v Carey*, 12 NY3d 496 [2009]). In our 2009 decision, we noted that if “the City defendants consider the consent decree to be outmoded and cumbersome, they may always seek to modify or terminate it as provided for by paragraph 19” (*id.* at 503). Because such a modification or termination has not occurred, the City remains obligated to provide shelter to those in need.¹

1. In the decades since the *Callahan* consent decree entered into force, other jurisdictions have followed New York City in establishing a legal right to shelter (see DC Code § 4-753.01 [c] [1] [providing that “the District shall make available appropriate space in District of Columbia public or private buildings and facilities for any resident of the District who is homeless and cannot access other housing arrangements,” whenever the actual or

(n. cont’d)

B.

Mr. Ortiz and Mr. Johnson sought to avail themselves of their legal right to shelter. Both men, by virtue of their convictions and risk level designations under the Sex Offender Registration Act (SORA), were subject to strictures of the Sexual Assault Reform Act, including its limitations on entering school grounds. SARA directs the Parole Board to “require, as a mandatory condition of . . . release, that such sentenced offender shall refrain from knowingly entering into or upon any school grounds . . . or any other facility or institution primarily used for the care or treatment of persons under the age of eighteen” (Executive Law § 259-c [14]). The statutory definition of “school grounds” includes not only schools but also “any area accessible to the public located within one thousand feet of the real property boundary line” of a school (Penal Law § 220.00 [14]).

On its face, SARA is a trespass statute—the law prohibits sex offenders from “knowingly entering” a publicly-accessible area within a thousand feet of a school.² The Department of Corrections and Community Supervision (DOCCS) interprets the statute by diverging from its plain language in three ways. First, DOCCS has interpreted SARA as a residency statute that imposes a pre-clearance requirement on people seeking to be released from prison.³ Consequently, DOCCS requires parolees and people on postrelease supervision (PRS) to locate

forecasted temperature falls below 32 degrees Fahrenheit or above 95 degrees Fahrenheit]; 1983 Mass Acts ch 450 [mandating that the state provide temporary emergency shelter to every eligible man, woman and child]).

2. “Knowingly enter” is the phrase New York penal statutes typically employ to denote the crime of trespass (*see* Penal Law § 140.10 [“A person is guilty of criminal trespass in the third degree when he *knowingly enters* or remains unlawfully in a building or upon real property” (emphasis added)]; Penal Law § 140.15 [similar]).

3. Although the petitioners here do not raise this claim, other litigants have successfully argued that the statute as applied by DOCCS is unconstitutionally vague. In 2019, a federal district court granted a preliminary injunction barring the enforcement of SARA’s 1,000-foot requirement as applied to a parolee who had not committed a sexual offense against a minor. The court reasoned that SARA’s expansive language “authorizes or even encourages arbitrary and discriminatory enforcement” (*Yunus v Robinson*, 2019 WL 168544, *13, 2019 US Dist LEXIS 5654, *41 [SD NY, Jan. 11, 2019, 17-CV-5839 (AJN)], *appeal withdrawn* 2019 WL 3814554, 2019 US App LEXIS 36482 [2d Cir, May 15, 2019, docket No. 19-382], quoting *Hill v Colorado*, 530 US 703, 732 [2000]). The court rejected the argument that DOCCS’s “informal enforcement practices” (enforcing SARA only as to residency) saved the mandatory conditions of parole from vagueness because the statute fails

(n. cont’d)

and have verified by DOCCS a SARA-compliant residence before they can be released. Second, DOCCS applies its SARA residency requirement to wholly private residences, even though most private residences are not “area[s] accessible to the public.”⁴ And third, DOCCS applies a 1,000-foot buffer to child care facilities even though the text of the statute applies that buffer to schools only, and not to child care facilities.⁵

Locating SARA-compliant housing in New York City is virtually impossible. Whereas a paroled sex offender might easily find SARA-compliant housing in bucolic Hamilton County, SARA, as interpreted by DOCCS, cordons off almost all residential areas of New York City, simply because the population is so dense. Trace a circle with a radius of 1,000 feet—roughly the equivalent of four city blocks—around each school and

to provide even “minimal guidelines to govern law enforcement” and therefore “places almost limitless discretion in the hands of Plaintiff’s parole officers to arrest him for traveling almost anywhere in the city that he lives, raising precisely the concerns that [the] void-for-vagueness doctrine seeks to prevent” (2019 WL 168544, *13, 2019 US Dist LEXIS 5654, *42-43).

4. DOCCS has historically refused to permit sex offenders to comply with SARA by committing to stay within a private residence, i.e., a form of house arrest (see e.g. *Matter of Berlin v Evans*, 31 Misc 3d 919, 922 [Sup Ct, NY County 2011], *appeal dismissed* 103 AD3d 405 [1st Dept 2013] [describing how DOCCS refused to permit the petitioner to live in his private apartment even though he “agree(d) to remain in his apartment at all hours and arrange for friends to deliver groceries and mail to him”]). Such commitments to house arrest illustrate the harsh penalties of SARA, although many parolees may prefer confinement at home to confinement at a correctional facility. If DOCCS’s rejections of such requests are based on SARA’s school grounds restriction, its decisions are likely *ultra vires*.

5. Executive Law § 259-c (14) prohibits sex offenders who are subject to SARA from “knowingly entering into or upon any *school grounds*, as that term is defined in subdivision fourteen of section 220.00 of the penal law, or any other facility or institution primarily used for the care or treatment of persons under the age of eighteen” (emphasis added). Executive Law § 259-c (14) does not include a blanket 1,000-foot buffer for all facilities used for the care of children. Instead, the 1,000-foot buffer applies only to “school grounds” as defined in Penal Law § 220.00 and not to other facilities—like daycare centers—that are used for the care of children. The plain language of the statute accords with the rationale behind the 1,000-foot buffer, which is that school-age children congregate in the vicinity of schools. That rationale may not apply to other facilities used for the care of children and certainly does not apply to child care facilities (toddlers who attend daycare generally do not go out unsupervised to get pizza). Mr. Ortiz did not raise that argument when DOCCS prohibited him from living with his mother, even though DOCCS’s explanation was that his mother’s apartment building included a daycare facility. Therefore, in this appeal, we cannot rule in Mr. Ortiz’s favor based upon DOCCS’s questionable (and extratextual) imposition of a 1,000-foot trespass zone around daycare facilities.

child care facility and all that remains are scattered and disconnected tracts where sex offenders may live among a sea of uninhabitable zones (see Allison Frankel, *Pushed Out and Locked In: The Catch-22 for New York's Disabled, Homeless Sex-Offender Registrants*, 129 Yale LJ Forum 279, 286 [2019] ["Given the abundance of schools and population density in New York City, the one-thousand-foot restriction puts most of the City, and practicably all of Manhattan, off-limits to registrants"]; *Matter of Gonzalez v Annucci*, 32 NY3d 461, 470 [2018] [noting the "dearth of SARA-compliant housing in New York City"]; *Matter of Williams v Department of Corr. & Community Supervision*, 136 AD3d 147, 166 [1st Dept 2016, Kapnick, J., dissenting in part] ["Petitioner's un rebutted evidence establishes that he is barred from living in or traveling to virtually all parts of Manhattan, where he allegedly lived for more than 20 years before his incarceration, and large areas of the other boroughs of New York City"]). SARA places entire neighborhoods off-limits, preventing recently released inmates from living with family and accessing networks of community support (see Jill S. Levenson & Andrea L. Hern, *Sex Offender Residence Restrictions: Unintended Consequences and Community Reentry*, 9 Just Res & Pol'y [No. 1] 59, 63-68 [June 2007])).

The daunting task of complying with SARA is made more difficult by DOCCS's method of "assisting" inmates in finding housing. Correction Law § 201 (5) requires DOCCS to assist inmates who are eligible for release in their search for housing. DOCCS's principal method of "assisting" inmates amounts to what is in essence an unwinnable game of real-estate Battleship (see *Matter of Gonzalez v Annucci*, 32 NY3d 461, 476 [2018, Wilson, J., dissenting]). DOCCS provides an inmate with occasional access to a telephone, instructs the inmate to find and propose potential places to live, and then informs the inmate from time to time that the proposed addresses are unacceptable (see e.g. *id.* at 474-475 [describing how an inmate proposed 58 residences over a period of more than eight months, all rejected by DOCCS]). Inmates who lack access to the Internet or DOCCS's tools for screening proposed addresses are then left to start again. The guessing game continues; another address is rejected; the inmate, already approved for release or parole, spends months or years of additional time in confinement.

Although SARA poses formidable challenges for everyone it reaches, people with financial means at least have some pos-

sibility of securing release. For sex offenders who are friendless, penniless and homeless, the deck is insurmountably stacked against them. State and federal law and DOCCS's enforcement policies deprive indigent sex offenders of many of the most common avenues for finding shelter. Hundreds of thousands of needy New Yorkers find homes in public housing facilities; federal law prohibits sex offenders who are subject to lifetime registration from living in public housing (*see* 42 USC § 13663).⁶ Many other people rely upon family; SARA renders that option impossible for most residents of New York City, unless a family member has the means and ability to relocate to one of the few SARA-compliant areas.

Prior to 2014, DOCCS implemented one ameliorating policy: it concluded that SARA's residency restriction did not apply to homeless shelters. Thus, from 2005 until 2014, DOCCS released sex offenders to any New York City shelter, even those within 1,000 feet of a school.⁷ That policy appears to have struck a reasonable balance between public safety and constitutional and statutory imperatives to release inmates who are entitled to it. According to Mr. Johnson (in a statement DOCCS does not contest), during that time period, there was not a single sex offense reported against a child on or near a school ground in which the perpetrator was a stranger living in a nearby shelter. That fact is not surprising. Research consistently shows that the vast majority of sex offenses are committed by perpetrators who already know the victim, and not as the debunked stereotype would hold, by strangers lurking in

6. Under New York law, sex offenders who are designated a level three risk of reoffending, as both Mr. Ortiz and Mr. Johnson were, must register for life.

7. That now-abandoned position found support in rulings from courts in other jurisdictions. In 2001, a federal district court in Michigan held that temporary stays in homeless shelters do not violate Michigan's residency restriction law for sex offenders (*Poe v Snyder*, 834 F Supp 2d 721 [WD Mich 2011]). That law prohibits sex offenders from "resid[ing] within" 1,000 feet of a school (Mich Comp Laws §§ 28.735 [1]; 28.733 [f]). In interpreting the word "reside," the court drew on several common dictionaries to construe "reside" as meaning "to dwell permanently" or "for a considerable time" (*Poe*, 834 F Supp 2d at 733). As a result, the court concluded that temporary stays at homeless shelters would not violate Michigan's residency restriction statute, regardless of where the shelter is located. The language of Michigan's statute differs from that of New York's statute, but it shows that DOCCS's current interpretation of SARA rests on unstable ground. DOCCS insists on interpreting SARA, which employs the language of trespass, as a statute imposing a "residency requirement." However, if SARA were a residency statute, no violation would occur from temporary stays in homeless shelters.

or around schools (see *Matter of State of New York v Floyd Y.*, 56 Misc 3d 271, 275 [Sup Ct, NY County 2017] [noting that “(t)here is no evidence the 1,000 foot rule promotes public safety . . . (and) the notion that the typical sex offender commits crimes against strangers he opportunistically encounters in public places, like children near schools, is a myth”]; see also Christopher Lobanov-Rostovsky, *Chapter 8: Sex Offender Management Strategies*, in U.S. Department of Justice, Office of Justice Programs, Office of Sex Offender Sentencing, Monitoring, Apprehending, Registering, and Tracking, *Sex Offender Management Assessment and Planning Initiative* at 181, 197 [NCJ 247059, Mar. 2017] [reporting that 94.1% of child molestation arrests in New York State involve first-time offenders], 202-204 [reviewing studies of residency restriction laws from Colorado, Florida, New York, Iowa, and Minnesota finding no evidence that such laws reduce recidivism for sexual assaults against children]).

In 2014, DOCCS reversed its position and concluded that it would no longer release sex offenders subject to SARA’s school requirement to homeless shelters that are within 1,000 feet of a school. Since then, New York courts have seen increasing litigation concerning DOCCS’s refusal to release people who have earned parole or postrelease supervision to the New York City public shelter system—including people who, like Mr. Ortiz, pleaded guilty at a time when they could have counted on being released to a shelter after the expiration of their sentence.⁸ The New York City shelter system houses approximately 57,660 homeless individuals each night (see *Coalition for the Homeless, New York City Homelessness: The Basic Facts* [Oct. 2020], available at https://www.coalitionforthehomeless.org/wp-content/uploads/2020/10/NYCHomelessnessFactSheet8-2020_citations.pdf). However, according to DOCCS, New York City is capable of receiving only 10 new sex offenders each

8. See e.g. *Matter of Arroyo v Annucci*, 61 Misc 3d 930 (Sup Ct, Albany County 2018) (finding that the continued confinement of an elderly, disabled level one sex offender past the maximum expiration of his sentence, on the ground that he lacked SARA-compliant housing, violated substantive due process); *Alcantara v Annucci*, 55 Misc 3d 1216(A), 2017 NY Slip Op 50610(U), *5, *11 (Sup Ct, Albany County 2017) (dismissing petitioner sex offenders’ claim that the State lacked statutory authority to detain them in RTFs beyond six months, and denying the petitioners’ request for a court order against the City on the ground that the City respondents had already placed three of the named petitioners in New York City Department of Homeless Services [DHS] shelters and asserted that they had received no shelter applications from the other named petitioners).

month. DOCCS has, therefore, created an internal waitlist for releasing people to the New York City shelter system.

C.

As Mr. Ortiz and Mr. Johnson's stories both demonstrate, the process of seeking release from prison is, for homeless sex offenders, a Sisyphean task with Ixionian result. Mr. Ortiz was convicted in 2008 of robbery and attempted sexual abuse. After serving 8.5 years in prison, he earned enough good time credits to be granted an early parole date. Mr. Ortiz, who grew up in New York City, initially sought to reunite with his mother and daughter. Mr. Ortiz's daughter was born shortly before his incarceration, and during Mr. Ortiz's years of incarceration, father and daughter maintained a relationship through letters, visits, and phone calls. In the interim, Mr. Ortiz's mother (his daughter's grandmother) acquired joint custody of his daughter to help raise her while Mr. Ortiz was incarcerated.

In the months before his release, Mr. Ortiz proposed living with his mother to help care for his daughter. DOCCS rejected that proposal because his mother's apartment building contained a child care center, and therefore would not comply with SARA. Denied the right to live with his family, Mr. Ortiz tried to find some other place to live. The record shows that Mr. Ortiz proposed dozens of places where he might live. Those residences included apartment buildings, homeless shelters, and hotels where Mr. Ortiz could stay temporarily while he found employment. The proposed residences spanned multiple boroughs of New York City, and included residences outside New York City in Onondaga, Putnam, and Saratoga Counties.

DOCCS rejected every single proposal. Its reasons for rejection ranged from the proximity of schools to the proposed housing, to the cost exceeding DOCCS's budget for assisting parolees with reentry, to DOCCS possessing insufficient information about the landlord.

The record also shows that in the months leading up to Mr. Ortiz's parole date, DOCCS had full knowledge that Mr. Ortiz, who lacked financial resources and could not live with family, would likely need to rely on the New York City public shelter system. A parole officer noted, five months prior to Mr. Ortiz's parole date, that Mr. Ortiz was "undomiciled and [would need to] be referred to Bellevue Men's Shelter," a central DHS intake facility to which DOCCS regularly transports parolees for processing and admission to the New York City shelter system.

Mr. Ortiz made the request to be released to a shelter, but when his parole date arrived, DOCCS refused to release Mr. Ortiz claiming that he had still been unable to find housing. DOCCS continued to imprison Mr. Ortiz for an additional 17 months until he reached the maximum limit of his sentence.

At that point, rather than release Mr. Ortiz, DOCCS transferred him to Fishkill Correctional Facility. Fishkill Correctional Facility is one of the state prisons that DOCCS has designated to be a “residential treatment facility” (RTF). The legislature intended RTFs to be temporary facilities to provide medical treatment and other “employment, educational and training opportunities” (Correction Law § 2 [6]) to people who needed it. Mr. Ortiz spent seven weeks at Fishkill Correctional Facility and then was transferred to Queensboro Correctional Facility, another prison DOCCS has designated as an RTF. Mr. Ortiz’s time at both “residences” was nearly indistinguishable from his regular prison sentence. Mr. Ortiz was housed with the general population, slept on a bunk bed in a dormitory-style unit, stored his possessions in a small, grey locker given to every inmate, used the same bathrooms, showers, and recreation rooms as the general prison population, and ate his meals in the same mess hall. The principal difference was that Mr. Ortiz was occasionally chosen to join a work crew that unloaded trucks at a nearby police facility, guarded at all times by armed correction officers. For that work, Mr. Ortiz was paid \$10 a day, which would cover a fraction of what it costs for Mr. Ortiz to afford private housing anywhere in New York State.

On June 19, 2018, counsel for Mr. Ortiz filed a writ of habeas corpus seeking to end Mr. Ortiz’s continued confinement. In support of the writ, counsel detailed Mr. Ortiz’s repeated attempts to secure housing, including his request to live with his mother and help raise his daughter. Accompanying the writ were photographs of Mr. Ortiz’s daughter, letters between the two of them, and proof of custody. DOCCS’s refusal to let him live with his family and raise his daughter, Mr. Ortiz explained, interfered with his “rights to associate with family and friends and to form other enduring attachments of normal life.”

A central feature of Mr. Ortiz’s writ was the assertion of his legal right to live in a New York City shelter. Mr. Ortiz explained that because he was a “single resident [of New York City] with no assets or means of financial support, the City is *required* to provide him with shelter.” He argued before Supreme Court that because DOCCS kept him in confinement

and would not release him to a city shelter, Mr. Ortiz could not “even attempt to exercise his right to such shelter or demand the City live up to its obligations.”

Finally, if DOCCS would not release Mr. Ortiz to live with his family or in a New York City shelter, Mr. Ortiz asserted his right to live on the street. Mr. Ortiz’s counsel explained:

“While Mr. Ortiz would certainly welcome having a home, residence, or shelter that he could reside in during his re-entry into the community, he would rather be homeless, *i.e.*, transient or living on the street, than have to remain incarcerated. . . .

“At least then, in his words, the ‘endless nightmare’ would finally be over.”

In opposition to Mr. Ortiz’s habeas petition, DOCCS acknowledged Mr. Ortiz’s request to be released to a New York City Department of Homeless Services facility to invoke his right to shelter. However, the agency concluded summarily that “[b]ecause spaces in one of the New York City DHS facilities are scarce, to the extent that Petitioner asserts that the Court order that he be released from the RTF so that he can demand that the city provide him with SARA-compliant shelter, such an argument should be rejected” (citation omitted). On September 5, 2018, Supreme Court denied Mr. Ortiz’s writ on the grounds that “Mr. Ortiz has not yet been able to obtain [SARA] compliant community housing” and therefore “his continued detention at a residential treatment facility is appropriate.” Mr. Ortiz appealed and the Appellate Division affirmed, reasoning in similar fashion that Mr. Ortiz had been “unable to locate SARA-compliant housing” (*People ex rel. Ortiz v Breslin*, 183 AD3d 577, 580 [2d Dept 2020]).

Neither court addressed Mr. Ortiz’s contention that if DOCCS permitted him to present himself at a DHS shelter, New York City would be legally obligated to provide him with shelter.

D.

Our second appellant, Fred Johnson, was held in prison for years past his parole date, once again because DOCCS refused to release him to the New York City shelter system. Mr. Johnson was convicted in 2009 of persistent sexual abuse stemming from Mr. Johnson’s pattern of rubbing up against women on the subway. Because of his prior convictions for similar acts,

Mr. Johnson was sentenced to a term of 2 years to life in prison. After serving eight years of the possible lifetime sentence, Mr. Johnson was granted parole, commencing on August 10, 2017. When the day arrived, DOCCS refused to release Mr. Johnson, once again on the grounds that he had been unable to secure SARA-compliant housing.

Mr. Johnson is indigent, and, like many people without a home, sought to live either with family or temporarily in a public shelter. DOCCS denied his request to stay with his brother in South Carolina because his brother had also been convicted of committing sex offenses and the South Carolina Probation Department prohibits two sex offenders from living with each other. Mr. Johnson next proposed being released to the Bellevue Men's Shelter. DOCCS informed Mr. Johnson that it had a "comprehensive" waitlist of all inmates seeking to be released to a New York City shelter and that DOCCS would not release Mr. Johnson until he reached the top of the list. (That event would not occur until more than two years had elapsed.)

Mr. Johnson filed a writ of habeas corpus seeking to compel DOCCS to release him to a SARA-compliant residence. Supreme Court denied his writ, and the Third Department affirmed (*People ex rel. Johnson v Superintendent, Adirondack Corr. Facility*, 174 AD3d 992 [3d Dept 2019]). The Third Department reasoned that the State may constitutionally impose "reasonable residential restrictions" before releasing inmates on parole (*id.* at 994). In a concurrence, Presiding Justice Garry observed that Mr. Johnson's "limited social and financial resources make a homeless shelter his only realistic housing option" (*id.* at 996 [Garry, P.J., concurring]). Justice Garry noted that DOCCS's internal waitlist for release to a New York City shelter, by DOCCS's calculation, had grown to approximately 295 inmates, with an average waiting time of two to three years (*id.*). The waitlist was created through "an agreement by which DHS reserves certain shelter beds for those under the supervision of DOCCS" (*id.* at 997).

Neither the Appellate Division majority nor concurrence addressed whether that "agreement" to prevent Mr. Johnson from appearing at a New York City shelter, and thereby claim his *Callahan* right to shelter, was legal. As discussed below, it is not.

II.

Our Constitution does not sanction a prisoner's indefinite incarceration beyond the sentence imposed by a court. Writing for a unanimous Supreme Court, Justice Cardozo made clear that "[t]he only sentence known to the law" is the sentence entered by a court (*Hill v United States ex rel. Wampler*, 298 US 460, 464 [1936]). Accordingly, the question before our Court is not whether the State should set at liberty individuals designated as sex offenders who reach the end of their prison sentences; the State *must* release individuals after its power to incarcerate them ends. The question is at what point the State must release individuals who have earned an open parole date, like Fred Johnson, or who have reached their term of post-release supervision after completing a determinate prison sentence, like Angel Ortiz—and what rights those individuals have around the point of release.⁹

The reason the State must at some point release them is that they have a right to be free from confinement that is protected by the Due Process Clause of the United States Constitution and by the terms of their plea and sentence (*see Foucha v Louisiana*, 504 US 71, 80 [1992] ["(C)ommitment for any purpose constitutes a significant deprivation of liberty that requires due process protection"]; *DeShaney v Winnebago County Dept. of Social Servs.*, 489 US 189, 200 [1989] [due process protections are triggered by "the State's affirmative act of restraining (an) individual's freedom to act on his own behalf—through incarceration, institutionalization, or other similar restraint of personal liberty"]; *Sandin v Conner*, 515 US 472, 484 [1995] [the Due Process Clause protects against restraints that exceed a prisoner's sentence in an "unexpected manner," and those that impose "atypical and significant hardship(s)"]). The protections of the Due Process Clause, as the majority recognizes, undoubtedly extend to incarcerated individuals. Those

9. Mr. Ortiz asserts that DOCCS effectively modified the terms of his judicially imposed sentence by confining him in an RTF for eight months of his PRS term following the maximum expiration of his prison sentence, which due process forbids (*see People v Estremera*, 30 NY3d 268, 270 [2017], citing *People v Catu*, 4 NY3d 242, 245 [2005] [when a defendant was not informed that the consequences of his guilty plea included a mandatory PRS term accompanying his prison sentence, due process required vacatur of the defendant's guilty plea]; *see also* brief of amicus curiae Appellate Advocates in *People ex rel. Ortiz v Breslin*). In these circumstances, the logic of our precedent does not require a vacatur of his plea, but, as he contends, a grant of his habeas petition.

protections include “a substantive component that bars certain arbitrary, wrongful government actions regardless of the fairness of the procedures used to implement them” (*Zinermon v Burch*, 494 US 113, 125 [1990] [internal quotation marks and citation omitted]). In addition, due process requires procedural safeguards against the deprivation of liberty and property interests created by the State, including a parole grantee’s “legitimate expectation of early release from prison” under the State’s sentencing scheme (*Matter of Russo v New York State Bd. of Parole*, 50 NY2d 69, 73 [1980]; see also *Victory v Pataki*, 814 F3d 47, 59 [2d Cir 2016] [(A) New York parole grantee . . . has a liberty interest in his open release date of which he may not be deprived without due process”]).

In their respective as-applied challenges, the petitioners assert that their prolonged confinement in correctional facilities, on the ground that they had not secured SARA-compliant housing, was unlawful. Mr. Johnson argues that DOCCS’s deprivation of his liberty interest, as a parole grantee subject to a potential life sentence, violated substantive due process. Mr. Ortiz also asserts a substantive due process violation based on DOCCS’s deprivation of his interest in conditional release and his continued incarceration in an RTF after the maximum expiration of his prison sentence. Both petitioners recognize that their liberty interests are cabined by New York’s statutory scheme governing parole and PRS, and by the conditions imposed on certain sex offenders subject to SARA. Neither petitioner asserts a right to be free from lawfully imposed conditions of release. Rather, they argue that DOCCS violated substantive due process by refusing to permit them to appear at DHS intake to claim their unequivocal right to shelter—in effect, cutting off their right to comply with SARA’s conditions outside of prison. In Mr. Ortiz’s case, prolonged detention cut off “perhaps the oldest of the fundamental liberty interests recognized by [the U.S. Supreme] Court,” namely, his interest as a parent in the “care, custody, and control” of his child (*Troxel v Granville*, 530 US 57, 65 [2000]).¹⁰ However, the majority concludes that “the temporary confinement of [Johnson and

10. Although SARA’s mandatory condition does not expressly prohibit SARA-restricted individuals from living with family members upon release, DOCCS’s application of SARA to prevent Mr. Ortiz from living with his daughter and mother—and to prevent contact with his daughter during his confinement in an RTF—curtailed Mr. Ortiz’s parental rights and right to familial association. Individuals subject to correctional supervision retain those

(n. cont’d)

Ortiz] in correctional facilities, while on a waiting list for SARA-compliant [DHS] housing” (majority op at 203), fell lawfully within DOCCS’s authority under the State’s regulatory scheme.

In truth, though, it is not DOCCS’s authority under the Penal Law or Correction Law, nor its duty to foster compliance with SARA, that defeated Mr. Johnson and Mr. Ortiz’s right to liberty. The actual basis for DOCCS’s indefinite confinement of individuals like Mr. Johnson and Mr. Ortiz is not any legal mandate but an improper agreement between DOCCS and DHS. DOCCS’s arrangement with DHS exists to enable the City to claim that, because it has not turned away any homeless persons appearing at its intake sites seeking shelter, it is complying with its consent decree. DOCCS’s deprivation of Messrs. Johnson and Ortiz’s right to live in compliance with SARA outside the walls of a correctional facility—in order to allow a different agency to avoid a clearly established legal obligation—amounts to unlawful and “arbitrary, wrongful government action[]” in violation of the Due Process Clause (*Zinerman v Burch*, 494 US 113, 125 [1990]).

As set forth in part I.A., New York City’s 1981 consent decree gives homeless persons the right to shelter provided by the City, so long as the person is without means, in need of housing, and shows up at an intake center. That decree binds the City and DHS (*see supra* at 230-232). It is a court order, enforceable by the court’s contempt power (*see generally Badgley v Santacroce*, 800 F2d 33, 37 [1986], *cert denied* 479 US 1067

fundamental rights (*see generally United States v Myers*, 426 F3d 117, 125 [2d Cir 2005] [vacating a special condition of supervised release that barred a defendant from visiting his son without the probation office’s pre-clearance, a condition “implicating a fundamental liberty interest protected by due process”]; *Maldonado v Mattingly*, 2019 WL 5784940, *10, 2019 US Dist LEXIS 193073, *27-29 [WD NY, Nov. 6, 2019, 11-CV-1091Sr] [denying the defendant parole officer’s motion for summary judgment with respect to the plaintiff SORA registrant’s claim that special conditions of parole prevented him from contact with his children in violation of substantive due process]). Thus, to the extent that Mr. Ortiz asserts that DOCCS violated his fundamental right to family integrity, DOCCS’s actions are properly subject to strict scrutiny (*see generally Troxel*, 530 US at 66 [affirming that “the Due Process Clause of the Fourteenth Amendment protects the fundamental right of parents to make decisions concerning the care, custody, and control of their children”]; *Moore v East Cleveland*, 431 US 494, 503, 504 [1977] [constitutional protections for the “sanctity of the family” extend even beyond “the nuclear family,” as “(t)he tradition of uncles, aunts, cousins, and especially grandparents sharing a household along with parents and children has roots equally venerable and equally deserving of constitutional recognition”]).

[1987] [reversing the district court’s denial of inmates’ motion to hold county correctional officers in contempt for violation of a consent judgment to reduce prison overcrowding, and rejecting the county officials’ defense that compliance was impossible without state officials’ assistance, where compliance was “hindered by political difficulties rather than physical impossibilities”]). Whether thought of as a court order or a contract, DOCCS’s knowing interference with that decree—by barring sex offenders entitled to parole or on PRS from holding the City to its obligation—is unlawful. In addition, Department of Social Services regulations make plain that “[a]ll social services districts are required by statute, regulation and directive to arrange temporary housing assistance for eligible homeless individuals, including those who are sex offenders” (18 NYCRR 352.36 [a] [4] [iii]; see also *Gonzalez*, 32 NY3d at 489 [Wilson, J., dissenting]). Simply put, New York law and the *Callahan* consent decree establish a legally enforceable right to temporary shelter for homeless individuals, including sex offenders, in New York City.

DOCCS does not contest that homeless sex offenders have a legal right to shelter in New York City. Before the habeas court, DOCCS responded to Mr. Ortiz’s claim that New York City is a right-to-shelter city not by challenging that right, but rather by objecting that “spaces in one of the New York City DHS facilities are scarce.” DOCCS’s sole justification for its refusal to release Mr. Ortiz is its speculation that New York City might not provide Mr. Ortiz with a SARA-compliant shelter bed. However, the City has an unequivocal legal obligation to provide every eligible homeless individual with temporary shelter meeting his or her needs pursuant to the *Callahan* consent decree. Thus, contrary to the majority’s suggestion that DOCCS could not plausibly “have relied on [DHS’s] obligation” under the consent decree (majority op at 205), DOCCS has no basis *not* to rely on DHS’s obligation to provide shelter to eligible applicants.¹¹ A settlement entered as a consent decree “operates as a binding contract” which the parties must follow

11. Justice Acker’s decision in a separate habeas corpus proceeding confirmed DHS’s position that it is required to provide SARA-compliant shelter to those in need (see decision & order in *People ex rel. Bonilla v Superintendent, Fishkill Corr. Facility*, Sup Ct, Dutchess County, June 25, 2020, index No. 2020-51174 [(“If a person who required SARA compliant housing presented to a DHS shelter, DHS cannot deny them and must find them a SARA compliant bed (under the *Callahan* consent decree)”)]). DOCCS need

(n. cont’d)

and which “the courts are bound to enforce” (*Childs v Levitt*, 151 AD2d 318, 320 [1st Dept 1989]). DOCCS’s speculation that a court order will not be enforced does not provide a constitutional basis for confinement.

Moreover, it requires no leap of faith to conclude that if DOCCS had not prohibited Mr. Johnson and Mr. Ortiz from presenting themselves at a shelter intake, the City would have found them shelter beds. The consent decree requires the City to maintain facilities that accommodate the differential needs of its clientele (see decision & order in *People ex rel. Bonilla v Superintendent, Fishkill Corr. Facility*, Sup Ct, Dutchess County, June 25, 2020, index No. 2020-51174 [noting that the consent decree requires DHS to provide SARA-compliant shelter to homeless sex offenders]; stipulation of settlement at 7 in *Butler v City of New York*, US Dist Ct, SD NY, May 15, 2017, No. 15-cv-3738, available at https://www.coalitionforthehomeless.org/wp-content/uploads/2017/08/Butleretalv_CityofNewYorketal_15-CV-3783-StipulationofSet.pdf [requiring DHS to “provide Reasonable Accommodations on an individualized basis” to shelter applicants with disabilities “in a manner that provides for meaningful access to shelter or shelter-related services”]). The City shelters 57,660 homeless individuals each night,¹² and DOCCS cannot credibly claim that a City of 8.5 million people lacks the resources to comply with the decree’s obligation to find or create SARA-compliant housing for 295 more people. At any rate, because the City’s mandate to provide temporary shelter to any homeless individual who appears at intake, on any given day, does not turn on funding levels or vacancy rates, DOCCS’s speculation about the shelter system’s actual capacity (and its inability to adapt to changing demand) provides no basis for DOCCS to assume that the City would abdicate its legal obligation.

not rely on DHS officials’ statements about the scope of the City’s responsibilities, however, given the City’s clear obligation to provide shelter.

12. The number of people in DHS shelters each night fluctuates seasonally by a margin much greater than the number of SARA-restricted individuals on DOCCS’s waitlist (see Coalition for the Homeless, *New York City Homelessness: The Basic Facts* (Oct. 2020), available at https://www.coalitionforthehomeless.org/wp-content/uploads/2020/10/NYCHomelessnessFactSheet8-2020_citations.pdf [reporting that there were 57,660 homeless people in city shelters each night in Aug. 2020]; *DHS Data Dashboard—Fiscal Year 2020—3QTR*, available at <https://www1.nyc.gov/assets/dhs/downloads/pdf/dashboard/tables/FYTD20-DHS-Data-Dashboard-Data.pdf> [reporting over 60,000 individuals in city shelters in Nov. and Dec. of 2019]).

The City's obligation to use any means at its disposal to provide shelter to homeless individuals who present at intake cannot seriously be questioned, nor is that question even necessary to resolve this appeal (although a basic belief in the rule of law is undeniably sufficient to do so). Fundamentally, Mr. Johnson and Mr. Ortiz were denied freedom not on the basis of DOCCS's statutory authority to impose conditions on parole and PRS, nor because of any violation of those conditions on the petitioners' part, nor because DOCCS lacked any alternatives besides indefinite confinement to achieve SARA compliance.

Instead, Mr. Johnson and Mr. Ortiz were held in confinement for years beyond their release dates because of DOCCS's agreement with DHS to restrict the flow of homeless sex offenders to city shelters. That agreement exists to allow the City to maintain fictive compliance with its obligation to provide shelter, and is therefore precisely the type of "arbitrary governmental action" the Due Process Clause forbids (*Foucha v Louisiana*, 504 US 71, 80 [1992]).

As the record in this case demonstrates, DOCCS and DHS maintain an arrangement whereby DOCCS limits the number of SARA-restricted individuals it releases from correctional facilities to DHS's SARA-compliant shelters each month, and DOCCS keeps a lengthy internal waitlist of those seeking SARA-compliant shelter (see *People ex rel. Johnson v Superintendent, Adirondack Corr. Facility*, 174 AD3d 992, 996 [2019, Garry, P.J., concurring] [DOCCS represented that as of Apr. 2019 "approximately 295 prisoners" were on the waitlist and the "average waiting time for placement in a SARA-compliant shelter was approximately two to three years"]; *Gonzalez*, 32 NY3d at 489 [Wilson, J., dissenting]; *Alcantara v Annucci*, 55 Misc 3d 1216[A], 2017 NY Slip Op 50610[U], *10 [Sup Ct, Albany County, Feb. 24, 2017]; decision & order in *People ex rel. Bonilla v Superintendent, Fishkill Corr. Facility*, Sup Ct, Dutchess County, June 25, 2020, index No. 2020-51174 ["(T)here is an agreement between DHS and DOCCS, where DHS reserves 10 SARA compliant beds per month for inmates being released by DOCCS"]). The placement of SARA-restricted individuals does not depend solely on the time they have spent on the waitlist, as DOCCS prioritizes the release of individuals serving their PRS terms in RTFs over parole grantees' release

from prison. DOCCS arranges for a parole officer from the RTF to escort releasees at the front of the waitlist to intake at DHS's Bellevue Men's Shelter in New York City and then to their assigned DHS locations.¹³ DOCCS's cooperation with DHS serves a convenient purpose of allowing DHS to control access to shelter space; it does not alter the City's obligations under the *Callahan* consent decree to provide shelter to homeless individuals.

The effect of the DOCCS-DHS arrangement is to extend the incarceration of SARA-restricted homeless individuals—potentially for life, for those in Mr. Johnson's position, and for an indefinite period beyond their maximum prison sentence, for those in Mr. Ortiz's position—solely because DOCCS has barred them from obtaining the SARA-compliant housing to which they are legally entitled. The circumstance is not much different than if Mr. Ortiz or Mr. Johnson had a signed, fully paid-up lease for a SARA-compliant apartment, but DOCCS and the landlord agreed that the landlord would dishonor the lease. The one difference is that instead of a lease, Messrs. Ortiz and Johnson have a court order.

Finally, in light of the City's obligation to provide SARA-compliant shelter, DOCCS's stated rationale for depriving Messrs. Johnson and Ortiz of liberty—DOCCS's own obligation to foster compliance with SARA—collapses. The expectation that Messrs. Johnson and Ortiz would violate the conditions of their release, when the City was legally bound to secure SARA-compliant beds for them, was not a lawful basis for DOCCS to deny them an immediate opportunity to present themselves at a shelter intake. Neither Mr. Johnson nor Mr. Ortiz asserts a right to be free from SARA's residency restriction or New York's regulatory scheme for parole and PRS. Rather, each petitioner

13. Since its change of policy in 2014, DOCCS maintains the position that Bellevue Men's Shelter is not SARA-compliant because of its proximity to school grounds, and claims that it may not permit SARA-restricted individuals to present themselves at Bellevue under DOCCS's escort where there is a risk that those individuals would have to stay a few weeks at Bellevue before a SARA-compliant shelter bed became available (*see* decision & judgment in *Matter of Allen v Annucci*, Sup Ct, Albany County, May 8, 2018, index No. 8224-17). In effect, DOCCS selectively tolerates SARA-restricted individuals' knowing entry within 1,000 feet of school grounds when they appear at Bellevue Men's Shelter to claim a bed set aside under DOCCS's agreement with DHS, but DOCCS bars SARA-restricted individuals from appearing at Bellevue to invoke their right to shelter. DOCCS's position exemplifies the arbitrariness inherent in its interpretation of SARA's school grounds condition.

asserted a right to live in compliance with SARA and their respective parole and PRS conditions, outside the confines of a correctional facility, in a right-to-shelter city. Thus, even under the majority's theory that Messrs. Johnson and Ortiz's liberty interests were not fundamental, the *Callahan* consent decree gave the petitioners a legally enforceable interest—an unequivocal right to seek temporary shelter—that, at the very least, could not be denied arbitrarily (*see generally Mathews v Eldridge*, 424 US 319, 335 [1976]; *Goldberg v Kelly*, 397 US 254, 262-263 [1970]; *Matter of Uniform Firefighters of Cohoes, Local 2562, IAFF, AFL-CIO v City of Cohoes*, 94 NY2d 686, 691-692 [2000]).¹⁴ DOCCS's bargain with the City to shield it from the consequences of violating its legal obligations would be laughable if advanced as a rational basis for DOCCS's refusal to allow the petitioners to apply to the City for shelter once they gained an expectation of release. Accordingly, DOCCS's preemptive, indefinite confinement of the petitioners violated their substantive due process right to be free from arbitrary governmental action.

The correct result here is simple. Convicted sex offenders who have served their time and are entitled to release, supervised or otherwise, cannot constitutionally be detained by one arm of government because another arm of government might be held to its court-ordered responsibilities. The writ of habeas corpus has existed for centuries so that courts may free those wrongfully held by executive authority. We make a mockery of the writ when we justify the unlawful detention by letting two executives point the finger at each other, or one

14. The irrationality of DOCCS's actions are further demonstrated by the modest steps needed for Mr. Ortiz to exercise his *Callahan* right. Mr. Ortiz requested release to the Bellevue Men's Shelter so that he could claim shelter, as is his right. The drive from Queensboro Correctional Facility to Bellevue is 11 minutes via the Queens Midtown Tunnel (*see* Google Maps, www.google.com/maps [last accessed Nov. 6, 2020]) (our Court may take judicial notice of Google Maps) (*see e.g. Pahls v Thomas*, 718 F3d 1210, 1216 n 1 [10th Cir 2013]; *United States v Perea-Rey*, 680 F3d 1179, 1182 n 1 [9th Cir 2012]; *Connor v City of New York*, 29 Misc 3d 1208[A], 2010 NY Slip Op 51757[U] [Sup Ct, NY County 2010]). For want of an 11-minute drive (maximum 26, with traffic), Mr. Ortiz was held for more than two years past his parole date, at a cost to New York State taxpayers of tens of thousands of dollars per year. Even a small probability of success warranted, at a minimum, an escorted visit for Mr. Ortiz to invoke his *Callahan* right in the manner required by the consent decree.

justify its actions because it believes the other will violate the law.¹⁵

In *People ex rel. Johnson v Superintendent, Adirondack Corr. Facility*: Order modified, without costs, by converting the proceeding into a declaratory judgment action and granting judgment in accordance with the opinion herein and, as so modified, affirmed.

Opinion by Judge FAHEY. Chief Judge DiFIORE and Judges STEIN, GARCIA and FEINMAN concur. Judge RIVERA dissents in an opinion. Judge WILSON dissents in a separate dissenting opinion.

In *People ex rel. Ortiz v Breslin*: Order modified, without costs, by converting the proceeding into a declaratory judgment action and granting judgment in accordance with the opinion herein and, as so modified, affirmed.

Opinion by Judge FAHEY. Chief Judge DiFIORE and Judges STEIN, GARCIA and FEINMAN concur. Judge RIVERA dissents in an opinion. Judge WILSON dissents in a separate dissenting opinion.

15. Because I would reverse the decisions of the Appellate Division on due process grounds, I do not discuss Mr. Ortiz's Eighth Amendment claim, which is more complex. However, his case raises colorable Eighth Amendment concerns similar to those recognized by courts in many other jurisdictions, which have found residency restriction laws punitive in effect (*see e.g. Does #1-5 v Snyder*, 834 F3d 696 [6th Cir 2016]; *Starkey v Oklahoma Dept. of Corr.*, 2013 OK 43, 305 P3d 1004 [2013]; *Commonwealth v Baker*, 295 SW3d 437 [Ky 2009]), or unconstitutional insofar as they punish involuntary conduct inseparable from homelessness and poverty (*see e.g. State v Adams*, 91 So 3d 724 [Ala Crim App 2010]; *Murphy v Raoul*, 380 F Supp 3d 731 [ND Ill 2019]).

[163 NE3d 1087, 140 NYS3d 170]

THE PEOPLE OF THE STATE OF NEW YORK ex rel. CHANCE MCCURDY, Appellant, v WARDEN, WESTCHESTER COUNTY CORRECTIONAL FACILITY, et al., Respondents.

Argued October 13, 2020; decided November 23, 2020

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 15, 2018. The Appellate Division (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, Westchester County (Barbara G. Zambelli, J.), which had converted the proceeding originally commenced as a habeas corpus proceeding into a CPLR article 78 proceeding and granted the petition solely to the extent of ordering respondents to immediately arrange for petitioner's transfer to the Queensboro Correctional Facility and to assign him to a wait list for a New York City Department of Homeless Services facility that was compliant with the requirements of the Sexual Assault Reform Act; (2) denied the petition; and (3) dismissed the proceeding on the merits.

People ex rel. McCurdy v Warden, Westchester County Corr. Facility, 164 AD3d 692, affirmed.

HEADNOTE

Crimes — Sex Offenders — Postrelease Supervision — Placement in Residential Treatment Facility Housing

Correction Law § 73 (10) authorizes the New York State Department of Corrections and Community Supervision (DOCCS) to provide temporary housing in a residential treatment facility (RTF) to sex offenders subject to the school grounds restriction set forth in the Sexual Assault Reform Act (SARA) (*see* Executive Law § 259-c [14]) after the six-month period specified in Penal Law § 70.45 (3) has expired but before the offender on postrelease supervision (PRS) has located compliant housing. Accordingly, in petitioner sex offender's proceeding challenging DOCCS's determination to place him in an RTF pursuant to Penal Law § 70.45 (3) because he was unable to identify SARA-compliant housing following expiration of his prison sentence, the Appellate Division properly rejected petitioner's argument that Correction Law § 73 (10) conflicts with Penal Law § 70.45 (3) by permitting DOCCS to confine a person on PRS in the custodial setting of a correctional facility for as long as that person is unable to obtain SARA-compliant housing. The two provisions serve entirely different purposes and, thus, are not in tension with each other. Penal Law § 70.45 (3) permits DOCCS to hold a sex offender in an RTF for up to six months and require participation in RTF programming. On the other hand, Correction Law § 73 (10) authorizes DOCCS to provide an offender with temporary housing so that the offender can avoid violating

a PRS term mandated by the legislature and having delinquency time imposed. So read, the statutes are not in conflict because they involve different types of authority that the legislature has granted to DOCCS—a mandatory, fixed term in an RTF versus temporary housing in an RTF that ends when a SARA-compliant residence is located.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Pardon and Parole §§ 94, 96.
 McKINNEY'S, Correction Law § 73 (10); Penal Law § 70.45 (3).
 NY JUR 2d Criminal Law: Procedure § 3274; NY JUR 2d Penal and Correctional Institutions §§ 45, 359.

ANNOTATION REFERENCE

See ALR Index under Parole, Probation, and Pardon; Sexual Relations and Offenses.

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POINTS OF COUNSEL

Janet Sabel, The Legal Aid Society, Criminal Appeals Bureau, New York City (Elon Harpaz of counsel), for appellant. Respondent had no authority to confine Chance McCurdy in a residential treatment facility long after the six-month period authorized by Penal Law § 70.45 (3) had expired. (*People ex rel. Johnson v Superintendent, Fishkill Corr. Facility*, 47 Misc 3d 984; *Matter of Williams v Department of Corr. & Community Supervision*, 136 AD3d 147; *Matter of Berlin v Evans*, 31 Misc 3d 919; *Morrissey v Brewer*, 408 US 471; *People v Catu*, 4 NY3d 242; *Matter of Gonzalez v Annucci*, 32 NY3d 461; *People v Melio*, 304 AD2d 247; *People ex rel. O'Connor v Barbary*, 195 Misc 2d 36; *Matter of Aaron J.*, 80 NY2d 402; *People v Brown*, 25 NY3d 247.)

Letitia James, Attorney General, New York City (Ester Murdukhayeva, Barbara D. Underwood and Anisha S. Dasgupta of counsel), for respondents. I. The New York State Department of Corrections and Community Supervision acted within its authority when it provided McCurdy with interim housing at a residential treatment facility. (*Matter of Dutchess County Dept.*

of *Social Servs. v Day*, 96 NY2d 149; *Matter of Aaron J.*, 80 NY2d 402; *Matter of Russo v New York State Bd. of Parole*, 50 NY2d 69; *People v Diack*, 24 NY3d 674; *Matter of Williams v Department of Corr. & Community Supervision*, 136 AD3d 147, 29 NY3d 990; *People ex rel. DeFlumer v Strack*, 212 AD2d 555; *People v Catu*, 4 NY3d 242; *People ex rel. O'Connor v Berbary*, 195 Misc 2d 36; *Matter of Gonzalez v Annucci*, 32 NY3d 461; *People v Mitchell*, 15 NY3d 93.) II. Accepting Chance McCurdy's arguments would compel sex offenders to violate the Sexual Assault Reform Act and the terms of their postrelease supervision. (*People v Diack*, 24 NY3d 674; *Matter of Gonzalez v Annucci*, 32 NY3d 461.)

Robert S. Dean, Center for Appellate Litigation, New York City (*Jan Hoth* of counsel), *Paul Skip Laisure*, Appellate Advocates, New York City, and *David C. Schopp*, Chief Defenders Association of New York, Buffalo, for Center for Appellate Litigation and others, amici curiae. The Sexual Assault Reform Act does not lawfully apply to people released to postrelease supervision after completing their full prison terms. (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Riley v County of Broome*, 95 NY2d 455; *Matter of Polan v State of N.Y. Ins. Dept.*, 3 NY3d 54; *United States v Ron Pair Enterprises, Inc.*, 489 US 235; *Caminetti v United States*, 242 US 470; *Matter of Town of Riverhead v New York State Bd. of Real Prop. Servs.*, 5 NY3d 36; *Matter of Brown v New York State Racing & Wagering Bd.*, 60 AD3d 107; *Kimmel v State of New York*, 29 NY3d 386; *People ex rel. Jenkins v Piscotti*, 52 AD3d 1207; *People v Hernandez*, 98 NY2d 8.)

Prisoners' Legal Services of New York, Albany (*Karen L. Murtagh* and *James Bogin* of counsel), for Prisoners' Legal Services of New York, amicus curiae. Respondent has no authority to confine people in a residential treatment facility status after the six-month period authorized by Penal Law § 70.45 (3) has expired. (*People v Williams*, 19 NY3d 100; *People v Finnegan*, 85 NY2d 53; *People v Brown*, 25 NY3d 247; *People v Cagle*, 7 NY3d 647; *Morrissey v Brewer*, 408 US 471; *Matter of Dutchess County Dept. of Social Servs. v Day*, 96 NY2d 149; *Matter of Aaron J.*, 80 NY2d 402.)

OPINION OF THE COURT

STEIN, J.

This appeal presents us with a question of statutory inter-

pretation. Penal Law § 70.45 (3) provides that, “notwithstanding any other provision of law, the board of parole may impose as a condition of post-release supervision [PRS] that for a period not exceeding six months immediately following release from the underlying term of imprisonment the person be transferred to and participate in the programs of a residential treatment facility [RTF].” Correction Law § 73 (10), in turn, authorizes the Department of Corrections and Community Supervision (DOCCS) “to use any [RTF] as a residence for persons who are on community supervision,” which includes those on PRS (*see* Correction Law § 2 [31]). The question before us is whether Correction Law § 73 (10) authorizes DOCCS to provide temporary housing in an RTF to sex offenders subject to the mandatory condition set forth in the Sexual Assault Reform Act (SARA) (*see* Executive Law § 259-c [14]) after the six-month period specified in Penal Law § 70.45 (3) has expired but before the offender on PRS has located compliant housing. We conclude that it does.

I.

In 2007, petitioner pleaded guilty to criminal sexual act in the first degree and was sentenced to five years in prison to be followed by five years of PRS. In 2011, while serving PRS, petitioner was charged with committing additional crimes and ultimately pleaded guilty to attempted sexual abuse in the first degree. For that crime, he was sentenced to three years in prison to be followed by five years of PRS. Petitioner was also adjudicated a level three sex offender, and it is undisputed that he is subject to the restriction contained in SARA, which prohibits him from residing within 1,000 feet of school grounds (*see* Executive Law § 259-c [14]; Penal Law § 220.00 [14]).

At the time petitioner was received into DOCCS’s custody on his attempted first-degree sexual abuse conviction, he had served sufficient time in a local jail to reach the maximum expiration date of the sentence imposed on that conviction. Therefore, he was designated for release to PRS. However, petitioner was unable to identify SARA-compliant housing. The Parole Board directed that petitioner be transferred to Fishkill RTF, pursuant to Penal Law § 70.45 (3), until a residence was approved for him that was verified to be located outside of “school grounds” as defined by SARA. On December 1, 2014, petitioner moved to a SARA-compliant residence in Far Rockaway, New York.

In January 2015, while on PRS, petitioner violated curfew, leading to revocation of his PRS status and imposition of 12 months of delinquency time. However, the Parole Board directed that, if petitioner completed a 90-day drug treatment program, he would be released back to PRS. Petitioner completed the drug treatment program in June 2015, but he again failed to identify SARA-compliant housing. Pursuant to Correction Law § 73 (10), DOCCS designated Fishkill RTF as petitioner's residence until he was able to identify adequate housing. In September 2015, petitioner was transferred from Fishkill RTF to Queensboro RTF, which was closer to his proposed future residence in New York City. The following month, while en route to a work crew assignment in New York City, petitioner jumped out of a DOCCS van, stole a bicycle, and fled. He was apprehended, returned to DOCCS's custody, and charged with violating the terms of his PRS.

While awaiting a final parole revocation hearing, petitioner commenced this proceeding against both respondent Warden of Westchester County Correctional Facility and DOCCS, seeking a writ of habeas corpus and arguing that DOCCS lacked the authority to assign him to an RTF following his completion of the 90-day drug treatment program. Petitioner asserted that, in fact, he had never been released to PRS after completing the drug treatment program because RTFs are prisons and, having never been released on PRS, he could not have violated PRS conditions. Petitioner further contended that Correction Law § 73 (10), when read in conjunction with Penal Law § 70.45 (3), does not confer authority on DOCCS to send a PRS violator to an RTF after the six-month period under Penal Law § 70.45 (3) has expired. Petitioner, who is indigent, admitted that DOCCS had no authority to release him in violation of SARA's residency requirement, but maintained that he should be placed at the top of the waiting list for a bed in a SARA-compliant homeless shelter.

Supreme Court converted the habeas corpus proceeding to a CPLR article 78 proceeding and granted the petition solely to the extent of ordering DOCCS to immediately transfer petitioner back to Queensboro RTF and place him in a SARA-compliant New York City Department of Homeless Services facility, or on a waitlist—based on the July 2015 date that he was last transferred to an RTF—for such facility if no space was immediately available. The court concluded that conversion to an article 78 proceeding was necessary in light of

petitioner's concession that he was not entitled to immediate release because he had not obtained a SARA-compliant residence and DOCCS lacked the authority to release him in violation of SARA. Turning to the merits, the court determined that Correction Law § 73 (10) did not authorize DOCCS to assign petitioner to Fishkill RTF following completion of the 90-day drug treatment program. The court reasoned that, because Penal Law § 70.45 (3) limits DOCCS's authority to impose transfer to an RTF as a condition of PRS only "for a period not exceeding six months immediately following release from the underlying term of imprisonment," DOCCS's reliance on Correction Law § 73 (10) as authority to use an RTF as a residence for the otherwise homeless petitioner beyond that six-month period rendered the language of section 70.45 (3) meaningless. Thus, the court held that DOCCS's July 2015 determination to assign petitioner to an RTF was "a nullity" and petitioner could not "be found . . . in violation of that illegally imposed condition."

The Appellate Division unanimously reversed, denied the petition, and dismissed the proceeding (164 AD3d 692 [2d Dept 2018]).¹ The Court concluded that there was no conflict between Penal Law § 70.45 (3) and Correction Law § 73 (10) (164 AD3d at 694). In reaching that conclusion, the Court noted that the Correction Law definition of "community supervision" encompasses individuals serving time on PRS, and that DOCCS is authorized, pursuant to Correction Law § 73 (10), "to use any [RTF] as a residence for persons who are on community supervision" (*id.*). In contrast, Penal Law § 70.45 (3) "permits DOCCS to *require* an offender subject to a term of [PRS] to spend the first six months of [that PRS term] in [RTF] housing as a transitional period prior to re-entry into the community" (*id.* [emphasis added]). Thus, the Court held, "constru-

1. While DOCCS's appeal was pending at the Appellate Division, the Parole Board issued a final revocation determination, finding petitioner guilty of violating the terms of his PRS and imposing a 24-month time assessment. When petitioner completed his time assessment in October 2017, he was restored to PRS, but he was again unable to identify SARA-compliant housing, so DOCCS transferred him to Green Haven RTF. In June 2018, petitioner was released to a community-based residence to complete his term of PRS. Within weeks of his release, petitioner was arrested and charged with, among other things, robbery in the first degree, criminal possession of a firearm in the second degree, and assault in the second degree; he is currently incarcerated on those charges. Although this proceeding is, therefore, moot, we conclude that the mootness exception applies for the reasons stated in *Matter of Gonzalez v Annucci* (32 NY3d 461, 470-471 [2018]).

ing the relevant statutes together,” the six-month limitation provided in Penal Law § 70.45 (3) does not curtail DOCCS’s authority pursuant to Correction Law § 73 (10) to temporarily place an offender in an RTF while the offender is serving PRS if such person is unable to locate SARA-compliant housing (*id.*). The Court cautioned that “it is clear that DOCCS’s authority to keep such an offender in [RTF] housing ends when the offender successfully identifies or otherwise obtains SARA-compliant community housing” (*id.* at 694-695).

This Court subsequently granted petitioner’s motion for leave to appeal (32 NY3d 1084 [2018]).

II.

“[T]he clearest indicator of legislative intent is the statutory text”; thus, “the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof” (*People v Anonymous*, 34 NY3d 631, 636 [2020]; see *Desrosiers v Perry Ellis Menswear, LLC*, 30 NY3d 488, 494 [2017]). We are also guided by the principles that “‘a statute . . . must be construed as a whole and that its various sections must be considered together and with reference to each other’ ” (*Matter of New York County Lawyers’ Assn. v Bloomberg*, 19 NY3d 712, 721 [2012], quoting *People v Mobil Oil Corp.*, 48 NY2d 192, 199 [1979]). Particularly relevant to this appeal, “[c]ourts must ‘harmonize the various provisions of related statutes and [] construe them in a way that renders them internally compatible’ ” (*Matter of Dutchess County Dept. of Social Servs. v Day*, 96 NY2d 149, 153 [2001], quoting *Matter of Aaron J.*, 80 NY2d 402, 407 [1992]).

It is not disputed that, when petitioner reached the maximum expiration date of his sentence and was released to community supervision, he was subject to the residency restriction of SARA set forth in Executive Law § 259-c (14). In that regard, Penal Law § 70.45 (3) requires the Board of Parole to “establish and impose conditions of [PRS] in the same manner and to the same extent as it may establish and impose conditions in accordance with the [E]xecutive [L]aw upon persons who are granted parole or conditional release; provided that, notwithstanding any other provision of law,” the Board may require, as a condition of PRS, that a person on PRS be transferred to an RTF for up to the first six months after release from the underlying determinate term of imprisonment. An RTF is defined as a

“correctional facility consisting of a community based residence in or near a community where employment, educational and training opportunities are readily available for persons who are on parole or conditional release and for persons who are or who will soon be eligible for release on parole who intend to reside in or near that community when released” (Correction Law § 2 [6]).

Correction Law § 73 (1) authorizes DOCCS to “transfer any inmate of a correctional facility who is eligible for community supervision or who will become eligible for community supervision within six months after the date of transfer or who has one year or less remaining to be served under [such inmate’s] sentence to [an RTF],” and provides that “[w]hile outside the facility [such inmate] shall be at all times in the custody of [DOCCS] and under its supervision.” “[I]nmate[s]” so transferred to an RTF may be transferred to another correctional facility at any time and for any reason (*id.* § 73 [5]), and they may be granted parole—another form of community supervision—“in accordance with provisions of law that would apply if the person were still confined in the facility from which [such person] was transferred” (*id.* § 73 [8]). In addition, the provisions of the Correction Law “relating to good behavior allowances and conditional release shall apply to behavior of inmates while assigned to [RTFs]” (*id.* § 73 [7]).

RTFs also must have “[p]rograms directed toward the rehabilitation and total reintegration into the community of persons transferred to” them; “[e]ach inmate” is assigned a program (*id.* § 73 [3]). Notably, Penal Law § 70.45 (3) authorizes DOCCS to require, not only transfer of a person on PRS to an RTF for up to the first six months of the PRS term, but also that the person “participate in the programs of [an RTF]” during that six-month period. In contrast, Correction Law § 73 (10) permits DOCCS “to use any [RTF] *as a residence* for persons who are on community supervision” (emphasis added), which includes those on PRS and parole (*see id.* § 2 [31]). “Persons who reside in such a facility shall be subject to conditions of community supervision imposed by the board” (*id.* § 73 [10]). Subdivision (10) does not require all RTF residents who are on community supervision—as opposed to inmates who are “eligible for community supervision” (*id.* § 73 [1])—to be assigned to an RTF program.

Petitioner and the dissenters assume that Correction Law § 73 (10) permits DOCCS to confine a person on PRS in the

custodial setting of a correctional facility—indeed, that it provides authorization for continued detention, as an inmate, of anyone on community supervision, including PRS—for as long as that person is unable to obtain SARA-compliant housing, up to the remainder of the PRS term. Based on that reading, they conclude that section 73 (10) directly conflicts with Penal Law § 70.45 (3), which concededly authorizes a period of confinement in an RTF upon commencement of the PRS term for a maximum of six months (*see People v Melio*, 304 AD2d 247, 250 [2003] [(P)ursuant to Penal Law § 70.45 (3), the Board of Parole may require a defendant to be transferred to a residential treatment facility immediately upon release from incarceration, thereby increasing the possible period of . . . confinement”). The flaw in petitioner’s argument and the dissent’s rationale is the failure to recognize the distinction in Correction Law § 73 between confinement in an RTF as an inmate subject to its programs, as opposed to the use of an RTF as a residence.² Construing these two statutes related to the same subject matter together—and considering Correction Law § 73 (10) with reference to the other subdivisions of that section—there is no conflict between the language of Penal Law § 70.45 (3) and Correction Law § 73 (10) that requires us to harmonize the two by reading the Penal Law’s temporal limitation as superseding an inconsistency in the Correction Law.³

2. In assuming that, under section 73 (10), the authority to indefinitely confine those on parole or conditional release has existed since the statute was enacted in 1970, petitioner maintains that PRS “is different” because those other forms of community supervision must be earned, while PRS commences by operation of law immediately upon release from prison. Unlike petitioner, the dissent offers no explanation for why PRS would be treated more leniently than any other form of community supervision. Moreover, although the dissenters merely assume that “Correction Law § 73 (10) was originally intended to permit long-term confinement of individuals who are on community supervision” (dissenting op at 267), they neither acknowledge the distinction that Correction Law § 73 makes between inmates and residents of an RTF nor offer any viable alternative interpretation of the statute.

3. Petitioner further argues that, before the Department of Correctional Services and Division of Parole were merged in 2011, there was a statutory gap because Penal Law § 70.45 (3) gave the Board of Parole authorization to mandate placement in an RTF, but the Department of Correctional Services (which controlled RTFs) had no authority to actually place an individual on PRS in an RTF. He contends that, when DOCCS was formed, Correction Law § 73 (10) was amended to give DOCCS the authority to place individuals

(n. cont’d)

The Penal Law authorizes the Board of Parole to impose, as a condition of PRS, a mandatory transfer of a person on PRS to an RTF for a period of up to six months; that period must commence immediately following initial release to PRS (Penal Law § 70.45 [3]). A sex offender subject to SARA who is serving PRS in an RTF under Penal Law § 70.45 (3) must remain in the RTF for the period of time specified by the Parole Board regardless of whether that person has available SARA-compliant housing. Moreover, just as an “inmate of a correctional facility who is eligible for community supervision or who will become eligible for community supervision within six months after the date of transfer or who has one year or less remaining to be served under his or her sentence” (Correction Law § 73 [1]) is assigned “[p]rograms directed toward the rehabilitation and total reintegration into the community” (*id.* § 73 [3]), Penal Law § 70.45 (3) expressly authorizes the Board of Parole to require an offender to participate in those same programs for the first six months of such offender’s PRS term.⁴ In other words, the language of section 70.45 (3) provides the Board of Parole authority to direct that an individual on PRS be transferred to an RTF and assigned the type of programming normally provided to inmates who are not on community supervision.

In contrast, Correction Law § 73 (10)—which may apply, not only during the first six months, but during the entire term, of community supervision whenever an individual on PRS lacks a suitable residence—has long been read as authorizing DOCCS

serving PRS in RTFs. This argument is both unsupported by any legislative history and ignores the fact that courts long recognized, prior to 2011, that the Department of Correctional Services had the authority to transfer those on PRS to RTFs (*see e.g. People v Catu*, 4 NY3d 242, 245 [2005] [(P)ostrelease supervision may require up to six months of participation in a residential treatment facility immediately following release from the underlying term of imprisonment]). Moreover, although we agree with the dissenters that nothing in the legislative history of the 2011 amendment evinces an intent to alter the length of time that DOCCS may require a sex offender to remain in an RTF under Penal Law § 70.45 (3), there is nothing in the record or case law cited by petitioner and the dissent to either indicate that the Department of Correctional Services routinely placed sex offenders in non-compliant shelters other than Bellevue Men’s Shelter or to establish that the agency took the “position that shelter housing was exempt from SARA” (dissenting op at 268).

4. The express statutory purpose of the programming mandated by Correction Law § 73 (3) is rehabilitation and reintegration into the community, mirroring the purpose of Penal Law § 70.45 (3) (*see* Letter from R. Giuliani, Bill Jacket, L 1998, ch 1 at 12).

to provide a temporary residence to those subject to community supervision *who lack approved housing* (see *People ex rel. De-Flumer v Strack*, 212 AD2d 555, 555 [1995], *lv dismissed* 85 NY2d 966 [1995]). As this Court recently recognized in *Gonzalez*, RTF residents and inmates are accorded different rights under Correction Law § 73 (see 32 NY3d at 475 [(“T)he record demonstrates that petitioner was accorded the rights of a resident of an RTF, as opposed to an inmate”]). For example, those individuals temporarily residing in an RTF under Correction Law § 73 (10) are subject only to the conditions of community supervision imposed on them; unlike Penal Law § 70.45 (3), Correction Law § 73 (10)—on its face—does not require those residents to be subject to the programs of an RTF.⁵ Moreover, while “[t]he state board of parole may grant parole to any *inmate* of a residential treatment facility at any time after [the inmate] becomes eligible therefor [and] [s]uch parole shall be in accordance with provisions of law that would apply if the person were still confined in the facility from which he or she was transferred” (Correction Law § 73 [8] [emphasis added]), “[p]ersons who reside in” an RTF clearly may not be released to parole because they are already “on community supervision” (*id.* § 73 [10] [emphasis added]). Nor does section 73 (10) authorize DOCCS to prescribe a specific period of *mandatory* RTF residence. Thus, respondents properly concede that DOCCS had no authority to require petitioner to continue to reside in an RTF after he obtained suitable housing. In other words, under Correction Law § 73 (10), “DOCCS’s authority to keep . . . an offender [subject to SARA] in [RTF] housing ends when the offender successfully identifies or otherwise obtains SARA-compliant community housing” (164 AD3d at 694-695).

5. The nature of the difference in the rights accorded to inmates and residents of an RTF is not a question presented to us on this appeal. Furthermore, to the extent petitioner argues and the dissent suggests that DOCCS did not use Queensboro RTF as a residence for him and simply continued his imprisonment as an inmate there (dissenting op at 269), not only is there “insufficient record evidence to establish that . . . the conditions of his placement at that facility were in violation of the agency’s statutory or regulatory obligations” (*Gonzalez*, 32 NY3d at 475), but petitioner did not raise before the courts below the issue of whether DOCCS accorded him the rights of an RTF resident under Correction Law § 73 (10). Our decision should not be read to address the issue of whether DOCCS may, as a matter of discretion in an individual case, impose participation in RTF programming as a condition for a period longer than the first six months of PRS; that issue is similarly not before us.

As the language of Penal Law § 70.45 (3) and Correction Law § 73 (10) demonstrates, the two provisions serve entirely different purposes and, thus, are not in tension with each other. Penal Law § 70.45 (3) permits DOCCS to hold a sex offender in an RTF for up to six months and require participation in RTF programming. On the other hand, Correction Law § 73 (10) authorizes DOCCS to provide an offender with temporary housing so that the offender can avoid violating a PRS term mandated by the legislature and having delinquency time imposed (*see* Penal Law § 70.45 [1] [(A) violation of any condition of supervision occurring at any time during such period of post-release supervision shall subject the defendant to a further period of imprisonment up to the balance of the remaining period of post-release supervision, not to exceed five years])). So read, the statutes are not in conflict because they involve different types of authority that the legislature has granted to DOCCS—a mandatory, fixed term in an RTF versus temporary housing in an RTF that ends when a SARA-compliant residence is located.

III.

Acceptance of petitioner’s alternative interpretation of the statutes at issue would lead to absurd results. Moreover, that interpretation conflicts with both the legislative intent underlying Penal Law § 70.45 (3) and the statutory scheme governing the placement of sex offenders in shelters.

If the statutes are read as eliminating DOCCS’s authority to provide housing in RTFs to sex offenders subject to SARA beyond the initial six-month period immediately following release to PRS, DOCCS would be required to release those offenders into the community regardless of whether they have SARA-compliant housing. However, as explained in this Court’s decision in *People ex rel. Johnson v Superintendent, Adirondack Corr. Facility* (36 NY3d 187, 200 [2020] [decided today]), the residency requirement is “a mandatory condition of” release to PRS for sex offenders subject to SARA (Executive Law § 259-c [14]), and such offenders are subject to immediate reincarceration if they violate that condition. Of course, we must “‘interpret . . . statute[s] so as to avoid an unreasonable or absurd application of the law’” (*Lubonty v U.S. Bank N.A.*, 34 NY3d 250, 255 [2019], quoting *People v Garson*, 6 NY3d 604, 614 [2006]). That petitioner’s interpretation of the provisions at issue would require DOCCS to release to the community

individuals who would be in violation of SARA’s housing restrictions and, therefore, potentially subject to imprisonment (*People ex rel. Johnson v Superintendent, Adirondack Corr. Facility*, 36 NY3d 187 [2020] [decided today]) is, in itself, sufficient reason to reject that construction of the statutes because such a result would be absurd.

In addition, petitioner’s interpretation of Penal Law § 70.45 (3) conflicts with the legislative intent underlying its enactment. Although section 70.45 (3) generally requires the Board of Parole to establish conditions of PRS in the same manner that it establishes conditions for those on parole or conditional release, that provision goes on to state “provided that, notwithstanding any other provision of law,” the Board may require transfer of a person on PRS to an RTF and participation in its programs—which are normally assigned to inmates (*see* Correction Law § 73 [3])—for up to the first six months immediately following release from the underlying term of imprisonment. Petitioner argues that this same language in Penal Law § 70.45 (3)—read together with an assumed legislative grant of authority in Correction Law § 73 (10) to indefinitely confine those subject to every other form of community supervision—should be interpreted as evincing the legislature’s intent to grant those on PRS “a legal entitlement” to a form of community supervision that is more *lenient* than other forms of community supervision. However, this reading is not supported by the legislative history underlying Penal Law § 70.45 (3). That provision was added as part of Jenna’s Law, named after a nursing student who was murdered, which eliminated parole for first-time violent felony offenders and created PRS to promote rehabilitation (*see* Governor’s Approval Mem, Bill Jacket, L 1998, ch 1 at 5-6, 1998 NY Legis Ann at 2-4 [emphasizing the need for supervision to promote rehabilitation of violent felons and prevent violent crime]; Letter from R. Giuliani, Bill Jacket, L 1998, ch 1 at 13 [stating that, without the reforms, then-current law “devalue(d) the severity of the sentences that have been imposed”]). The legislature’s purpose in enacting Jenna’s Law was to “advanc[e] a comprehensive series of reforms, including tough new penalties for violent crime and *stringent* [PRS] . . . [to] make New York’s communities safer” (Bill Mem, Bill Jacket, L 1998, ch 1 at 7 [emphasis added]). Even if “the plain meaning” of Penal Law § 70.45 (3) and Correction Law § 73 (10) could support an interpretation

of those provisions as treating PRS as a more lenient form of community supervision—which it cannot—that interpretation would produce “an unreasonable [result] plainly at variance with the policy of the legislation as a whole” in enacting section 70.45 (3) (*see New York State Bankers Assn. v Albright*, 38 NY2d 430, 437 [1975] [internal quotation marks omitted]).

The interpretation of Correction Law § 73 (10) urged by petitioner and the dissenters also would undercut the statutes governing placement of indigent sex offenders in shelters. As we explained in *Gonzalez*:

“By statute and regulation, for the indigent sex offender, it is the local Department of Social Services (DSS) that has the obligation to determine the placement of level two and three sex offenders in shelters (*see* Social Services Law § 20 [8] [b]; 18 NYCRR 352.36 [b]). Through this scheme, the legislature required DSS, in placing the sex offender in shelters, to consider factors other than the mere availability of shelter, *including the ‘investigation and approval of such placement by [DOCCS]’* for public safety reasons (Social Services Law § 20 [8] [b] [v]; Correction Law § 203 [1]; Executive Law § 243 [4]). The legislation requiring the agencies to consider such factors was intended, in part, to specifically address the warehousing of level two and three sex offenders residing in SARA-compliant housing in concentrated locations and the resulting risk to public safety in those neighborhoods (L 2008, ch 568)” (32 NY3d at 473 [emphasis added]).

Under the interpretation of petitioner and the dissenters, either DOCCS would be required to approve residences that do not comply with SARA or DSS would be required to ignore DOCCS’s disapproval of the proposed residences for offenders, in violation of the statutory scheme and *Gonzalez*.

In sum, the Appellate Division properly rejected petitioner’s interpretation of Penal Law § 70.45 (3) and Correction Law § 73 (10) because that interpretation turns on a purported conflict between those two statutes that does not exist, would lead to absurd results, and is contrary to both the legislature’s purpose in enacting section 70.45 (3) and the statutory scheme governing the placement of indigent sex offenders in shelters. Finally, we note that petitioner’s remaining claims are not

preserved for our review. Accordingly, the order of the Appellate Division should be affirmed, without costs.

FAHEY, J. (dissenting). The authority of the State to confine a sex offender at a residential treatment facility (RTF) during postrelease supervision (PRS) is restricted by the six-month limitation of Penal Law § 70.45 (3). I disagree with the attempt to impress Correction Law § 73 (10) into service as a substitute authorization for potentially indefinite confinement of sex offenders and I respectfully dissent.

I.

In 2014, petitioner Chance McCurdy was convicted of attempted sexual abuse in the first degree and sentenced to three years' imprisonment to be followed by five years' PRS. He satisfied his prison sentence while in local custody. McCurdy had been designated a sexually violent level three sex offender and was considered to be subject to the requirement of the Sexual Assault Reform Act (SARA) that he not live within 1,000 feet of a school (*see* Executive Law § 259-c [14]; Penal Law § 220.00 [14] [b]; *People v Diack*, 24 NY3d 674, 682 [2015]).* He was unable to identify a SARA-compliant residence. After McCurdy was designated for release to PRS, the New York State Department of Corrections and Community Supervision (DOCCS) confined him in the RTF at Fishkill Correctional Facility, invoking its authority under Penal Law § 70.45 (3) to “impose as a condition of [PRS] that for a period not exceeding six months immediately following release from the underlying term of imprisonment the person be transferred to and participate in the programs of [an RTF].”

After McCurdy was released to a SARA-compliant residence, he committed curfew violations and his PRS was revoked. In July 2015, McCurdy was once more unable to find a SARA-compliant residence, and DOCCS again confined McCurdy in the RTF at Fishkill Correctional Facility. By now, however, more than six months had elapsed since McCurdy's release from the underlying term of imprisonment, and this time

* There is some question about whether Executive Law § 259-c (14) applies, by its terms, to a sex offender who is serving PRS after fully serving their sentence (*see* brief for amici Center for Appellate Litigation, Appellate Advocates, and Chief Defenders Association of New York; *see also* Penal Law § 70.40 [2] [defining conditional release]). McCurdy concedes that he has not preserved any such argument. Consequently, the issue is not before the Court.

DOCCS invoked a different statute, Correction Law § 73 (10), which provides, with no temporal limitations, that DOCCS “is authorized to use any [RTF] as a residence for persons who are on community supervision.”

In a habeas petition, McCurdy challenged this second transfer to Fishkill Correctional Facility, arguing that DOCCS’s authority to transfer a SARA-restricted individual to serve PRS at an RTF is restricted by the six-month limitation of Penal Law § 70.45 (3). McCurdy did not seek immediate release, but instead asked for an order directing DOCCS to place him in, or on a waiting list for, SARA-compliant shelter accommodation in New York City.

Supreme Court converted McCurdy’s habeas proceeding to a declaratory judgment action and ruled in his favor, granting his petition to the extent of ordering DOCCS to either place McCurdy in a SARA-compliant New York City Department of Homeless Services (NYCDHS) facility or assign him to a waiting list for such a facility, based on the date of his second transfer to Fishkill Correctional Facility. The Appellate Division reversed. I would uphold Supreme Court’s remedy—the limited remedy McCurdy himself sought—as properly ordered.

II.

Penal Law § 70.45 (3) provides that

“notwithstanding any other provision of law, the board of parole may impose as a condition of post-release supervision that *for a period not exceeding six months immediately following release from the underlying term of imprisonment* the person be transferred to and participate in the programs of a residential treatment facility as that term is defined in subdivision six of section two of the correction law” (emphasis added).

The statute, enacted in 1998, as part of the newly created PRS scheme, authorized the confinement of “certain violent felony offenders to serve their first six months of supervision following release from prison in a post release transition facility” (Letter from Mayor Rudolph W. Giuliani, Bill Jacket, L 1998, ch 1 at 12). The statutory language is unmistakably clear and has been well understood by this Court prior to today. DOCCS may order a person serving PRS to be confined in an RTF for *no more than six months* after release from the

underlying term of imprisonment (*see e.g. People v Catu*, 4 NY3d 242, 245 [2005] [stating that “postrelease supervision may require *up to six months* of participation in a residential treatment facility immediately following release from the underlying term of imprisonment” (emphasis added)]).

The majority holds that an earlier statute, Correction Law § 73 (10), originally enacted in 1970, provides DOCCS with authority to hold sex offenders beyond six months. That proposition lacks any support. Assuming for the sake of argument that Correction Law § 73 (10) was originally intended to permit long-term confinement of individuals who are on community supervision, any such unrestricted authorization was abrogated by the enactment of Penal Law § 70.45 (3) in 1998. That statute clearly instructed that “*notwithstanding any other provision of law*, [DOCCS] may impose as a condition of post-release supervision that for a period not exceeding six months immediately following release from the underlying term of imprisonment the person be transferred to and participate in the programs of [an RTF]” (Penal Law § 70.45 [3] [emphasis added]). “The meaning of the statute’s ‘notwithstanding’ clause is plainly understood and clearly supersedes any inconsistent provisions of state law” (*Matter of State of New York v John S.*, 23 NY3d 326, 341 [2014] [emphasis and some internal quotation marks omitted]). Moreover, a “well-established rule of statutory construction provides that a prior general statute yields to a later specific or special statute” (*Matter of Dutchess County Dept. of Social Servs. v Day*, 96 NY2d 149, 153 [2001] [internal quotation marks omitted]). In this instance, Penal Law § 70.45 (3), dealing specifically with the duration of confinement of individuals on PRS in RTFs, superseded the more general Correction Law § 73 (10) to the extent it is inconsistent.

III.

It is true that Correction Law § 73 (10) was significantly amended in 2011. That amendment, however, lends no support to the majority’s analysis.

The history of the statute is instructive. As originally enacted in 1970, Correction Law § 73 (10) permitted “[t]he commissioner of correction and the chairman of the board of parole . . . to enter into an agreement for the use of any residential treatment facility as a residence for persons who are on parole or conditional release” (L 1970, ch 476, § 9 [emphasis added]).

The law belonged to the era before the Department of Correctional Services and the Division of Parole were merged and became DOCCS.

After the two agencies merged to form DOCCS in 2011, there was no longer any need for a statute authorizing correction and parole agencies to contract for the use of a correction facility. Accordingly, the statutory language was changed in 2011 to acknowledge the broad authority of DOCCS to use its own correctional facilities as RTFs for temporarily housing persons on parole or PRS. The amended statute gave DOCCS authority “to use any residential treatment facility as a residence for persons who are on community supervision” (Correction Law § 73 [10]), a term that includes the supervision of individuals on PRS (*see* Correction Law § 2 [31]). The legislative history of the 2011 amendment illuminates the intent behind this amendment to Correction Law § 73 (10). Clearly, the overall purpose of the bill, as relevant here, was “to amend the correction law and the executive law, in relation to merging the department of correctional services and division of parole into [DOCCS]” (Message of Governor, Bill Jacket, L 2011, ch 62 at 7-8; Senate Introducer’s Mem in Support, Bill Jacket, L 2011, ch 62 at 14).

Notably, no evidence exists in the legislative history that the legislature, when it amended Correction Law § 73 (10) in 2011 to take into account the merger that formed DOCCS, intended to permit placement of sex offenders in an RTF for longer than six months. There is no reference to the six-month restriction, either in the statute or in the Bill Jacket. Moreover, as of 2011, the legislature would not have had the understanding that any problem existed in regard to sex offenders that required remedying. At that time, DOCCS routinely released sex offenders to shelters that were within 1,000 feet of a school, taking the position that shelter housing was exempt from SARA (*see e.g. People ex rel. Johnson v Superintendent, Fishkill Corr. Facility*, 47 Misc 3d 984, 987 [Sup Ct, Dutchess County 2015] [“until recently, (DOCCS) had placed registered sex offenders at (the Bellevue men’s homeless shelter) despite the fact that it is not SARA-compliant”]).

In short, there is no evidence that Correction Law § 73 (10) was intended to contravene Penal Law § 70.45 (3) and permit placement of sex offenders in an RTF for longer than six months. Penal Law § 70.45 (3) remains the operative statute in this context. That statute expressly imposes a six-month restriction, and nothing in the plain language or legislative his-

tory of the amended section 73 (10) points to any intent to supersede the earlier statute or create an exception to its rule.

Correction Law § 73 (10) contains no temporal limitations, making it an inviting statute for DOCCS to cite when confining individuals on PRS. Encouraged by the way in which the parties have framed the appeal, the majority supposes that DOCCS would be obliged to release a sex offender as soon as they have identified SARA-compliant housing, because “DOCCS ha[s] no authority to require petitioner to continue to reside in an RTF after he obtained suitable housing” (majority op at 261). While this concession is an important one, which DOCCS must abide by, the limitation is found nowhere in Correction Law § 73. The reason for the lack of a time limit is clear. There is no mention of temporal duration in Correction Law § 73 (10) because the statute was not intended to serve as a standalone authorization for confining individuals who are on PRS.

Ultimately, the majority’s reading excises the unmistakable temporal limit from Penal Law § 70.45 (3). In doing so, the majority violates the long-standing principle of statutory construction that “unambiguous language should be construed pursuant to its plain meaning . . . , giving effect to each component and avoiding a construction that treats a word or phrase as superfluous” (*Matter of Lemma v Nassau County Police Officer Indem. Bd.*, 31 NY3d 523, 528 [2018]). This reading renders the statute meaningless. Indeed, if Correction Law § 73 (10) were always available as a justification for confining a sex offender who is serving PRS, there would be no reason for DOCCS to invoke Penal Law § 70.45 (3) at all. It is true that a sex offender confined under Penal Law § 70.45 (3) must “participate in the programs of” the RTF (Penal Law § 70.45 [3]), but the record is devoid of any evidence of a systematic difference between the manner in which McCurdy was treated when confined under Penal Law § 70.45 (3) and when confined under Correction Law § 73 (10).

IV.

The majority gives DOCCS permission to ignore the six-month limitation of Penal Law § 70.45 (3). I cannot agree with this rewriting of the statutory scheme. I would reverse, and uphold Supreme Court’s alternative remedy, which required that McCurdy be assigned to a waiting list for a SARA-compliant facility, as properly ordered.

Chief Judge DiFiore and Judges Garcia and Feinman concur; Judge Fahey dissents and votes to reverse in an opinion in which Judges Rivera and Wilson concur.

Order affirmed, without costs.

[164 NE3d 253, 140 NYS3d 447]

In the Matter of RANDY PEYTON, on Behalf of the ESTATE OF MAGGI PEYTON, Deceased, Respondent, and HILLEL HOFFMAN et al., Intervenor-Respondents, v NEW YORK CITY BOARD OF STANDARDS AND APPEALS et al., Appellants.

Argued and submitted November 18, 2020; decided December 17, 2020

SUMMARY

APPEALS, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered October 16, 2018. The Appellate Division (1) reversed, on the law, a judgment (denominated decision/order) of the Supreme Court, New York County (Joan B. Lobis, J.; op 2016 NY Slip Op 31504[U] [2016]), which had (a) denied the petition seeking to annul a resolution of respondent New York City Board of Standards and Appeals which upheld a decision of the New York City Department of Buildings that granted a permit to respondent Jewish Home Lifecare, Inc., for the construction of a nursing home; and (b) dismissed the proceeding; and (2) granted the petition to the extent of annulling the resolution and denying the permit. The following question was certified by the Appellate Division: “Was the order of this Court, which reversed the order of the Supreme Court, New York County, properly made?”

Matter of Peyton v New York City Bd. of Stds. & Appeals, 166 AD3d 120, reversed.

HEADNOTE

Municipal Corporations — Zoning — Open Space on Multi-Owner Zoning Lot

The determination of respondent Board of Standards and Appeals of the City of New York (BSA) interpreting “open space” within the meaning of the New York City Zoning Resolution to encompass rooftop gardens accessible to the residents of a single building on a multi-owner zoning lot as long as the residents of each building on the zoning lot receive at least a proportionate share of open space was rational and not arbitrary, capricious, or contrary to law. “Open space” is defined as “that part of a **zoning lot**, including **courts** or **yards**, which . . . is accessible to and usable by all persons occupying a **dwelling unit** or a **rooming unit** on the **zoning lot**” (ZR § 12-10). Respondents explained that the terms “dwelling unit” and “rooming unit” could not be ignored and are defined by reference to a residential building. By focusing on accessibility to residents of a residential building, as opposed to residents of a zoning lot generally, respondent BSA’s interpretation gave salience to a concept that is cross-referenced in the definition of open space, thereby better comporting with the principle that a statute must be construed as a whole

and that its various sections must be considered together and with reference to each other. Moreover, respondent's interpretation met the Zoning Resolution's minimum open space requirement by ensuring that the residents of each building on a multi-owner zoning lot have access to at least the amount of open space that would be required if the building were on a separate zoning lot. By allocating open space in that way, respondent's interpretation fulfilled the purpose of the open space requirement "to open up residential areas to light and air, to provide open areas for rest and recreation, and to break the monotony of continuous building bulk" (ZR § 21-00 [d]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Zoning and Planning §§ 108, 594.

NY JUR 2d Buildings, Zoning, and Land Controls §§ 9, 261.

ANNOTATION REFERENCE

See ALR Index under Open Spaces; Zoning.

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POINTS OF COUNSEL

James E. Johnson, Corporation Counsel, New York City (Jonathan Popolow, Richard Dearing and Devin Slack of counsel), for New York City Board of Standards and Appeals, appellant. The New York City Board of Standards and Appeals reasonably applies the New York City Zoning Resolution's open space requirement in the context of zoning lots under divided ownership. (Matter of New York Botanical Garden v Board of Stds. & Appeals of City of N.Y., 91 NY2d 413; Appelbaum v Deutsch, 66 NY2d 975; Matter of Frishman v Schmidt, 61 NY2d 823; Doctors Council v New York City Employees' Retirement Sys., 71 NY2d 669; McGowan v Mayor of City of N.Y., 53 NY2d 86; Majewski v Broadalbin-Perth Cent. School Dist., 91 NY2d 577; Community Bd. 7 of Borough of Manhattan v Schaffer, 84 NY2d 148; Matter of Knight-Ridder Broadcasting v Greenberg, 70 NY2d 151; Matter of Pecoraro v Board of Appeals of Town of Hempstead, 2 NY3d 608; Matter of Cowan v Kern, 41 NY2d 591.)

Bryan Cave Leighton Paisner LLP, New York City (Philip E. Karmel of counsel), for PWV Acquisition, LLC, appellant. I. A

New York City Board of Standards and Appeals determination may be overturned only if it lacks a rational basis. (*Matter of New York Botanical Garden v Board of Stds. & Appeals of City of N.Y.*, 91 NY2d 413; *Appelbaum v Deutsch*, 66 NY2d 975.) II. The Appellate Division erred in holding that the definition of “open space” is “clear and unambiguous.” (*Matter of Sutka v Conners*, 73 NY2d 395; *Kimmel v State of New York*, 29 NY3d 386; *Matter of Allen v Adami*, 39 NY2d 275; *Matter of Albano v Kirby*, 36 NY2d 526; *Matter of Cook v Carmen S. Pariso, Inc.*, 287 AD2d 208.) III. The Appellate Division erred in holding the 2011 New York City Zoning Resolution amendments were an “unmistakable rejection of the utilization of a building-by-building formula in calculating the open space ratio.” IV. There is a “rational basis” for the 2015 New York City Board of Standards and Appeals decision upholding the New York City Department of Buildings’s approval of the open space plan for the community facility building. (*Matter of Allen v Adami*, 39 NY2d 275.)

Greenberg Traurig, LLP, Albany (Henry M. Greenberg, Harold N. Iselin, Steven C. Russo and Kelly L. McNamee of counsel), for Jewish Home Lifecare, Inc., appellant. I. Petitioners are precluded from relitigating issues of open space at 808 Columbus Avenue under the doctrine of collateral estoppel. (*Ryan v New York Tel. Co.*, 62 NY2d 494; *Staatsburg Water Co. v Staatsburg Fire Dist.*, 72 NY2d 147; *Allied Chem. v Niagara Mohawk Power Corp.*, 72 NY2d 271; *Burka v New York City Tr. Auth.*, 739 F Supp 814; *Matter of Hilton Hotels Corp. v Commissioner of Fin. of City of N.Y.*, 219 AD2d 470; *Matter of Good Samaritan Hosp. v Axelrod*, 150 AD2d 775, 75 NY2d 703; *Matter of McDonald v Zoning Bd. of Appeals of Town of Islip*, 31 AD3d 642; *Dalton v Van Dien*, 72 Misc 2d 287; *Matter of Bobandal Realities v Worthington*, 21 AD2d 784; *Matter of Iazzetti v Village of Tuxedo Park*, 145 Misc 2d 78.) II. The Appellate Division erred in refusing to defer to the New York City Board of Standards and Appeals’s practical interpretation and application of the New York City Zoning Resolution’s open space requirements. (*Matter of New York State Assn. of Life Underwriters v New York State Banking Dept.*, 83 NY2d 353; *Matter of Beekman Hill Assn. v Chin*, 274 AD2d 161, 95 NY2d 767; *Matter of Toys “R” Us v Silva*, 89 NY2d 411; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *Matter of 151 Rte. 17M Assoc., LLC v Zoning Bd. of Appeals of Vil. of Harriman*, 19 AD3d 422; *Matter of Olson v Scheyer*, 67 AD3d 914; *Matter of Natural Resources Defense Council, Inc. v New York State Dept. of Envtl. Conservation*, 25 NY3d 373.)

John R. Low-Beer, Brooklyn, for respondent and intervenors-respondents. I. The decision of the New York City Board of Standards and Appeals is not entitled to deference. (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Union Indem. Ins. Co. of N.Y.*, 92 NY2d 107; *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *Matter of RAM I LLC v New York State Div. of Hous. & Community Renewal*, 123 AD3d 102; *Matter of Exxon Corp. v Board of Stds. & Appeals of City of N.Y.*, 128 AD2d 289; *Namro Holding Corp. v City of New York*, 17 AD2d 431, 14 NY2d 693; *Matter of Richardson v Commissioner of N.Y. City Dept. of Social Servs.*, 88 NY2d 35; *Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516; *Matter of Lyubinskiy v Srinivasan*, 65 AD3d 1237.) II. The New York City Zoning Resolution plainly and unambiguously requires that all open space be accessible to and usable by all residents of the zoning lot. (*Zaldin v Concord Hotel*, 48 NY2d 107; *Matter of Avella v City of New York*, 29 NY3d 425; *Simon v Usher*, 17 NY3d 625; *Matter of National Fuel Gas Distrib. Corp. v Public Serv. Commn. of the State of N.Y.*, 16 NY3d 360; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 57 NY2d 588; *Samuelson v New York City Tr. Auth.*, 101 AD3d 537; *Matter of Natural Resources Defense Council v New York City Dept. of Sanitation*, 83 NY2d 215; *Matter of Town of Brookhaven v New York State Bd. of Equalization & Assessment*, 88 NY2d 354; *Matter of Parkview Assoc. v City of New York*, 71 NY2d 274.) III. The New York City Board of Standards and Appeals's 2009 resolution cannot save its 2015 resolution. (*Matter of Lunding v Tax Appeals Trib. of State of N.Y.*, 89 NY2d 283; *Matter of Auerbach v Board of Educ. of City School Dist. of City of N.Y.*, 86 NY2d 198.) IV. Principles of collateral estoppel and reliance are not applicable here.

Akerman LLP, New York City (*Richard G. Leland* and *Kristen G. Niven* of counsel), for The Real Estate Board of New York, Inc., amicus curiae. I. The Appellate Division incorrectly interpreted the New York City Zoning Resolution and improperly substituted its judgment for the judgment of the New York City Board of Standards and Appeals. (*Matter of Toys "R" Us v Silva*, 89 NY2d 411; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 62 NY2d 539; *Matter of New York Botanical Garden v Board of Stds. & Appeals of City of N.Y.*, 91 NY2d 413; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *Matter of Shannon*, 25 NY3d 345; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Mancini v Office of Children & Family Servs.*, 32 NY3d 521; *Appelbaum v Deutsch*, 66

NY2d 975.) II. The Appellate Division’s decision will result in costly and untenable restrictions on New York City buildings and developments that relied on the New York City Board of Standards and Appeals’s long-standing application of the New York City Zoning Resolution. (*Matter of Parkview Assoc. v City of New York*, 71 NY2d 274.)

Orrick, Herrington & Sutcliffe LLP, New York City (*J. Peter Coll, Jr.*, *Matthew Shahabian* and *Rene Kathawala* of counsel), for Public School 163 Leadership Team and another, amici curiae. I. The Appellate Division decision aligns with the history of supporting equity through building restrictions in New York City. II. The decision of the Appellate Division must be affirmed to protect vital open space resources. III. The Appellate Division decision must be affirmed to prevent dangerous traffic hazards. (*Matter of Friends of P.S. 163, Inc. v Jewish Home Lifecare, Manhattan*, 30 NY3d 416.)

OPINION OF THE COURT

FEINMAN, J.

The question before us is whether an area must be accessible to the residents of every building on a zoning lot containing multiple, separately owned buildings in order to constitute “open space” within the meaning of the New York City Zoning Resolution, following amendments to the statute in 2011. The Board of Standards and Appeals of the City of New York (BSA), which is responsible for administering the Zoning Resolution, has interpreted the definition of open space to encompass rooftop gardens accessible to a single building’s residents as long as the residents of each building on the zoning lot receive at least a proportionate share of open space. Because the BSA rationally interpreted and harmonized the relevant provisions of the Zoning Resolution, a complex statutory scheme regulating zoning in New York City, and appropriately applied them to this context, we conclude that its determination is not arbitrary, capricious, or contrary to law.

I.

The New York City Zoning Resolution, adopted in 1961 and still in force as amended today, aims to provide “open space in residential areas wherever practicable . . . in order to open up residential areas to light and air, to provide open areas for rest and recreation, and to break the monotony of continuous building bulk” (NY City Zoning Resolution § 21-00 [d]). To achieve

this goal, the Zoning Resolution requires a minimum amount of open space—a term of art—in high-density residential zoning districts (*see id.* former §§ 23-14, 23-142).¹ The definition of open space, not substantively changed since enactment in 1961, provides: “‘Open space’ is that part of a **zoning lot**, including **courts** or **yards**, which is open and unobstructed from its lowest level to the sky and is accessible to and usable by all persons occupying a **dwelling unit** or a **rooming unit** on the **zoning lot**”² (*id.* § 12-10 [definition of open space]). The minimum amount of open space required on a zoning lot is determined by the “open space ratio,” which is “the number of square feet of **open space** on the **zoning lot**, expressed as a percentage of the **floor area** on that **zoning lot**” (*id.*). The applicable ratio is a function of the residential district in which the zoning lot is located and the “height factor” of the zoning lot (*see e.g.* ZR former § 23-142). Thus, the minimum amount of open space required on a zoning lot is calculated by multiplying the given open space ratio by the total residential floor area on the zoning lot.³ Originally, a zoning lot had to be in single ownership, but the Zoning Resolution was amended in 1977 to authorize zoning lots consisting of parcels held by different owners.

The zoning lot at issue in this case is a superblock located between W. 97th Street, W. 100th Street, Columbus Avenue, and a midblock line east of and parallel to Amsterdam Avenue. It was developed in the late 1950s under a federally subsidized urban renewal plan. Three residential buildings, which form part of the Park West Village apartment complex, were built at that time. Shortly before a 40-year restriction prohibiting additional construction on the lot expired, respondent PWV Acquisition, LLC (PWV) acquired ownership of the zoning lot intending to develop additional buildings on the property. In

1. In 2016, amendments to the Zoning Resolution recodified certain provisions including sections 23-14 and 23-142. Former section 23-14 has been redistributed between current sections 23-10 and 23-15, and former section 23-142 between current sections 23-15 and 23-151.

2. The Zoning Resolution uses bold italics to identify defined terms.

3. The definition of open space ratio in ZR § 12-10 provides the following example:

“[I]f for a particular **zoning lot** an **open space ratio** of 20 is required, 20,000 square feet of **floor area** in the **building** would necessitate 4,000 square feet of **open space** on the **zoning lot**; or, if 6,000 square feet of **lot area** were in **open space**, 30,000 square feet of **floor area** could be on that **zoning lot**.”

2006, PWV submitted a building permit application to the New York City Department of Buildings (DOB) for a mixed-use building at 808 Columbus Avenue, with two one-story retail wings, each with a rooftop garden exclusively accessible to the new building's residents. PWV's architects presented site plans that treated the rooftop gardens, covering tens of thousands of square feet, as open space within the meaning of the Zoning Resolution and reserved additional space for a future community building. Based on the architects' assumption that the rooftop gardens qualified as open space despite their inaccessibility to the residents of the existing Park West Village apartment complex, the architects stated there would be enough open space to satisfy the minimum amount required on the zoning lot after construction of 808 Columbus Avenue⁴ and the future community building. Further, the architects represented that each building on the zoning lot would receive at least its proportionate share of open space.

Several elected officials and Park West Village residents objected that the rooftop gardens did not qualify as open space under the Zoning Resolution because they were not accessible to all residents of all buildings on the zoning lot. Discerning no such requirement in the Zoning Resolution, the DOB rejected the challenge and approved the proposed open-space calculations. In 2009, the BSA upheld the DOB's determination, noting that each of the existing buildings was allocated a proportionate amount of open space in excess of what would be required if each building were located on its own zoning lot, and finding that the proposed allocation did not violate the open-space requirements under ZR §§ 12-10 and 23-142. The residents commenced a CPLR article 78 proceeding but soon discontinued it with prejudice. The 808 Columbus Avenue building was completed in 2010.

In 2011, the City Planning Commission adopted amendments to the definition of certain key terms in the Zoning Resolution. As part of this revision, the Commission also made nonsubstantive changes to clarify the meaning of various provisions and update obsolete language in line with DOB practice. Included in this latter category were nonsubstantive changes to the sections relating to minimum required open space and open space ratio, which clarified that those requirements apply

4. In 2007, PWV transferred the parcel on which the new building was to be built to a different owner.

to zoning lots, not buildings. For instance, references to the term “building” were deleted in former section 23-142: “[I]n the districts indicated, the minimum required ***open space ratio*** and the maximum ***floor area ratio*** for any ~~building on a zoning lot~~ shall be as set forth in the following table for buildings zoning lots with the ***height factor*** indicated in the table.”⁵ No changes were made to the definition of open space.

That same year, respondent Jewish Home Lifecare, Inc. (JHL) entered into an agreement with PWV to build and operate a nursing facility at the location designated in the 2006 site plans for the prospective community building. According to JHL’s site plans, the amount of open space to be provided would satisfy the minimum required, assuming that the rooftop gardens at 808 Columbus Avenue counted toward the total.

After the DOB approved JHL’s application, petitioner Maggi Peyton, then president of the Park West Village Tenants’ Association, challenged the issuance of the permit, arguing that the proposed nursing home did not satisfy the Zoning Resolution’s open-space requirements. The DOB rejected the challenge, determining that the amount of open space proposed was in excess of the minimum required. On appeal to the BSA, Peyton argued that amendments to the Zoning Resolution enacted in 2011 superseded the BSA’s 2009 determination and made plain that, to constitute open space, an area must be accessible to the residents of every building on a zoning lot. In 2015, the BSA denied her appeal, noting, among other things, that there was no indication that the City Planning Commission had intended to alter the BSA’s 2009 determination. Specifically, the BSA stated that the only question before it was whether the 2011 amendments to the Zoning Resolution “changed the language of the text such that it now reads as the [a]ppellant argued in the 2009 [a]ppeal, and whether the open space requirements are changed in such a way as to implicate the proposed construction of the Nursing Facility.” The BSA rejected Peyton’s argument that the amendments effectively changed the definition of open space to include only space that is accessible to and usable by all residents of all buildings on a zoning lot.

Peyton commenced this CPLR article 78 proceeding in November 2015, asserting that the BSA’s interpretation of

5. Text in strikeout was deleted; underlined text was added (*see* Key Terms Clarification Zoning Text Amendment, https://www1.nyc.gov/assets/planning/download/pdf/plans/key-terms/text_adopted_cc.pdf).

open space had no legal basis under the Zoning Resolution. Supreme Court denied the petition, rejecting her contention that the 2011 amendments modified or clarified the definition of open space, and concluding there was “enough ambiguity to defer to DOB’s practical construction of the ordinance” (2016 NY Slip Op 31504[U], *17 [2016] [internal quotation marks omitted]). The Appellate Division reversed over one Justice’s dissent (166 AD3d 120 [1st Dept 2018]).⁶ Declining to defer to the BSA, the majority opined that the definition of open space in ZR § 12-10 unambiguously requires that open space be accessible to the residents of every building on a zoning lot. By contrast, the dissent concluded that the statute was ambiguous and would have deferred to the BSA’s practical reading of the open-space definition as applied to multi-owner zoning lots. The Appellate Division granted respondents’ motions for leave to appeal to this Court.⁷

II.

In matters of statutory interpretation, “legislative intent is the great and controlling principle” (*Matter of Rizzo v New York State Div. of Hous. & Community Renewal*, 6 NY3d 104, 114 [2005] [internal quotation marks omitted]). Because “the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof” (*Kuzmich v 50 Murray St. Acquisition LLC*, 34 NY3d 84, 91 [2019] [internal quotation marks omitted], *rearg denied* 33 NY3d 1135 [2019], *cert denied* 589 US —, 140 S Ct 904 [2020]). Courts generally “construe words of ordinary import with their usual and commonly understood meaning” (*Matter of Walsh v New York State Comptroller*, 34 NY3d 520, 524 [2019] [internal quotation marks omitted]), “unless the Legislature by definition or from the rest of the context of the statute provides a

6. Peyton passed away during the appeal. The Appellate Division allowed her son to maintain the proceedings on her estate’s behalf and granted intervention to additional petitioners.

7. Before the BSA and in the courts below, respondents raised substantial objections to petitioners’ ability to challenge, in this application seeking a building permit for the proposed nursing home, the BSA’s previous determination that the one-story rooftop gardens at 808 Columbus Avenue constitute open space. In this Court, the BSA—but not PWV or JHL—has largely abandoned these objections and asked the Court to review the BSA’s interpretation and application of ZR § 12-10, which the Appellate Division rejected. Given our resolution of the statutory interpretation issue, we have no occasion to address the continued objections of PWV and JHL.

special meaning” (*Lohan v Take-Two Interactive Software, Inc.*, 31 NY3d 111, 121 [2018] [internal quotation marks omitted]). A statute “must be construed as a whole,” and “its various sections must be considered together and with reference to each other” (*Town of Aurora v Village of E. Aurora*, 32 NY3d 366, 372 [2018] [internal quotation marks omitted]). Further, in appropriate circumstances, the Court may “inquire into the . . . purpose of the legislation, which requires examination of the statutory context of the provision as well as its legislative history” (*id.* [internal quotation marks omitted]).

“Where the interpretation of a statute or its application involves knowledge and understanding of underlying operational practices or entails an evaluation of factual data and inferences to be drawn therefrom, the courts regularly defer to the governmental agency charged with the responsibility for administration of the statute” (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]). If the agency’s “interpretation is not irrational or unreasonable, it will be upheld” (*id.*). The BSA is the “ultimate administrative authority charged with enforcing the Zoning Resolution” (*Matter of Toys “R” Us v Silva*, 89 NY2d 411, 418 [1996]). It is “comprised of . . . experts in land use and planning” (*id.*), who not only possess technical knowledge of New York City’s reticulated zoning regulations and their operation in practice, but also are uniquely equipped to assess the practical implications of zoning determinations affecting the city’s eight million residents. Accordingly, we have consistently deferred to the BSA’s interpretation of the Zoning Resolution in matters relating to its expertise, “so long as the interpretation is neither irrational, unreasonable nor inconsistent with the governing statute” (*Toys “R” Us*, 89 NY2d at 418-419 [internal quotation marks omitted]; *see also Matter of New York Botanical Garden v Board of Stds. & Appeals of City of N.Y.*, 91 NY2d 413, 418-419 [1998]).

Conversely, when “the question is one of pure statutory reading and analysis, dependent only on accurate apprehension of legislative intent, there is little basis to rely on any special competence or expertise of the administrative agency,” and its interpretation is “therefore to be accorded much less weight” (*Kurcsics*, 49 NY2d at 459; *accord Toys “R” Us*, 89 NY2d at 419). If an agency’s interpretation “disregard[s] the plain meaning of the Zoning Resolution,” courts will afford it “little weight” (*Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98, 106, 103

[1997]). Still, “deference is appropriate where the question is one of specific application of a broad statutory term” (*Matter of O’Brien v Spitzer*, 7 NY3d 239, 242 [2006] [citations and internal quotation marks omitted]).

Petitioners focus on the first sentence of the definition generally describing open space as “that part of a **zoning lot**, including **courts** or **yards**, which . . . is accessible to and usable by all persons occupying a **dwelling unit** or a **rooming unit** on the **zoning lot**” (ZR § 12-10). For petitioners, “persons occupying a dwelling unit or a rooming unit” is an elaborate way of referring to residents generally, making the meaning of this text plain: open space must be accessible to all persons residing on the zoning lot.⁸ Respondents, on the other hand, explain that the terms “dwelling unit” and “rooming unit” cannot be ignored and are defined by reference to a residential building (see ZR § 12-10 [defining “dwelling unit” as a unit that “contains at least one **room** in a **residential building** . . . and is arranged, designed, used or intended for use by one or more persons living together and maintaining a common household”; defining “rooming unit” as a unit that “consists of any ‘living room,’ as defined in the Multiple Dwelling Law, in a **residential building**”]). By focusing on accessibility to residents of a residential building, as opposed to residents of a zoning lot generally, the BSA’s interpretation gives salience to a concept that is cross-referenced in the definition of open space, whereas petitioners narrowly look at a string of words in isolation.⁹ In this respect, the BSA’s approach better comports with the principle that a statute “must be construed as a whole and

8. The dissent states that there is “only one plain way to read that language” and then backtracks to acknowledge the phrase’s textual ambiguity, which it resolves by considering the extratextual “purpose” of open space (dissenting op at 286, 287-288). We decline to cherry-pick the sources of legislative intent in that way.

9. The term “building” historically included “a row of garden apartments with individual entrances” and “a series of row houses,” and still includes attached townhouses separated by fire walls (*compare* ZR § 12-10 [definition of “building”] [1961], *with id.* [2020]). The definition of open space encompasses spaces—such as “courts,” “yards,” and certain roof areas—that are accessible only through a building. Indeed, a “court” may be an “inner court” bounded by building walls, and a “yard” may be a “rear yard” (see ZR § 12-10 [definitions of “court,” “court, inner,” “yard,” and “yard, rear”]). And certain roof areas may only be “accessible by a passageway from a **building**, or by a **ramp . . . from a building**” (*id.* [definition of “open space”]). Therefore, the Zoning Resolution, on its face, does not appear to foreclose the possibility of separate buildings on a zoning lot with their own open space.

that its various sections must be considered together and with reference to each other” (*Matter of New York County Lawyers’ Assn. v Bloomberg*, 19 NY3d 712, 721 [2012] [internal quotation marks omitted]).

The complex set of cross-references and interlocking provisions in the Zoning Resolution’s definition of open space counsels deference here. The provision at issue is part of an intricate statutory edifice with which the BSA is most familiar. The definition of open space in ZR § 12-10 comprises no less than 13 defined terms, many of which cross-reference other defined terms. As noted, “open space” points to occupants of “a **dwelling unit**,” a phrase defined as “contain[ing] at least one **room** in a **residential building**, **residential** portion of a **building**, or **non-profit hospital staff dwelling**,” which directs the reader to at least four other terms with specific technical meanings in the zoning context. For a glimpse of how the definition of open space is intertwined with other definitional and substantive provisions of the Zoning Resolution, one need only turn to the requirements for roof areas. To determine whether a roof area qualifies as open space, one must, among many other things, consider whether the area is higher than 23 feet above the “curb level,” and if so, consult sections 24-164 and 35-33. The former instructs that a qualifying roof area may be higher than 23 feet above curb level if located on “the roof of the **community facility** portion of such **building**, provided that the level of any **open space** may not be higher than two and one half feet below the sill level of any **legally required window** opening on such roof area” (*id.* § 24-164). And the latter elaborates that such roof area may be provided, among other options, on the roof of “a **community facility building** that **abuts** such **residential building** or **residential** portion of a **mixed building**; provided that the level of any **open space** may not be higher than 2 feet, 6 inches below the sill level of any **legally required window** opening on such roof area, in the **residential** portion of such **mixed building**” (*id.* § 35-33). When the DOB and the BSA examine whether a particular area qualifies as open space, they have to consider all of these interconnected definitions and provisions jointly. The BSA’s interpretation of the definition of open space reflects a holistic approach, and we cannot overlook that the agency charged with administering the Zoning Resolution in all its

complexity is well placed to understand how the various parts of the statute fit together.¹⁰

The legislative history of the Zoning Resolution further supports the BSA's interpretation. An early draft of the Zoning Resolution, contained in a report commissioned by the City Planning Commission, described open space as accessible to "all residents upon the zoning lot" (Voorhees Walker Smith & Smith, *Zoning New York City: A Proposal for a Zoning Resolution for the City of New York* § 12-10 at 34 [Aug. 1958])—precisely the view espoused by petitioners here. But the City Planning Commission did not adopt that simplistic formulation, preferring the more precise and complex "all persons occupying a **dwelling unit** or a **rooming unit** on the **zoning lot**"—which, as discussed above, incorporates the concept of residential building by cross-reference. Additionally, the handbook published by the City Planning Commission contemporaneously with the 1961 Zoning Resolution characterized open space as "accessible to all residents of a building" (New

10. Citing *Toys "R" Us* and *Raritan*, the dissent categorically declares that no deference is warranted "when interpreting the Zoning Resolution's interlocking set of definitions" (dissenting op at 291). Neither case provides support for that sweeping proposition.

In *Toys "R" Us*, the Court examined the text, legislative history, and underlying public policy of a provision of the Zoning Resolution on abandonment of "substantially all" nonconforming uses (89 NY2d at 420-422). Although the Court had no obligation to defer to the BSA in fixing the meaning of the phrase "substantially all," it nevertheless approved the agency's interpretation, praising it for "giv[ing] effect to all of the [Zoning Resolution's] terms" and "comport[ing] with the policy underlying the Zoning [Resolution]" (*id.* at 419, 422). Further, the Court recognized the BSA's expertise in applying the abandonment standard to fact-specific scenarios. *Toys "R" Us* thus illustrates the wisdom of giving due consideration to the BSA's synoptic understanding of the Zoning Resolution's structure.

In *Raritan*, the question was whether "floor area" excludes "cellar space" (91 NY2d at 100-101). The interpretive problem was self-contained to the definition of floor area because both parties stipulated that the space in dispute was a "cellar" under the Zoning Resolution (*id.* at 101). Since the definition of floor area specifically provided that "the floor area of a building shall not include . . . cellar space," the statutory text resolved the dispute on its face (*id.* at 100, 103). The Court understandably rejected the BSA's reliance on a previous wording of the definition of floor area (*id.* at 103).

Here, by contrast, the definition of open space does not compel petitioners' preferred interpretation, and the many cross-references in that definition require us to consider the broader context of the Zoning Resolution's interlocking provisions. Further, the operative definition of open space has not changed since the BSA's 2009 determination, arguably signaling legislative approval of the BSA's approach.

York City Planning Commission, Zoning Handbook at 17 [1961]).

In any event, when the 1961 Zoning Resolution was adopted, zoning lots were held in single ownership. The drafters did not contemplate the possibility of multi-owner zoning lots, where access to any individual building by the residents of other buildings on a zoning lot might not be feasible for both practical and legal reasons.¹¹ This history gives further credence to the BSA's reading of the statute, which is sufficiently capacious to embrace the BSA's rational solution to a problem unanticipated by the Zoning Resolution's drafters. Based on its accumulated experience with the implementation of open space requirements across the city's residential districts, the BSA enjoys special insight into the DOB's operational practices, including procedures regarding access (such as manner and time restrictions) and use, as well as allocation and calculation of minimum required open space. We cannot ignore the agency's judgment about the feasibility of competing approaches, especially where the interpretive question involves the application of a broad statutory definition to a situation—multi-owner zoning lots—that the Zoning Resolution does not expressly address.¹²

In contrast, petitioners suggest that the drafters of the 1961 Zoning Resolution embraced a “tower-in-the-park vision” that

11. The dissent professes its inability to “reconcile the majority’s conclusion that the legislative history supports the BSA’s reading if, as the majority claims, the drafters of the Zoning Resolution did not envision the situation that has arisen here” (dissenting op at 293). We see no reason for perplexity. The fact that the Zoning Resolution’s text and legislative history permit the BSA’s building-centric approach does not mean that the drafters in 1961 anticipated the complications of providing access to open space on a multi-owner zoning lot.

12. The dissent casts aside the BSA’s expertise and experience and, seemingly fancying itself as a land-use expert, states that the answer is cut-and-dried: “to qualify as open space, a given area must be accessible to ‘all persons’ who reside on the zoning lot” (dissenting op at 287). Of course, removing words from the definition of open space makes it simpler and easier to parse. But if those omitted words are meaningless, why did the City Planning Commission include and adopt them? The omitted words remained after both the 2011 and 2016 amendments—unlike the dissent, the Commission chose not to remove them, indicating their significance. Further, the dissent probably does not mean what it broadly proclaims. For example, we doubt (though do not decide) that preventing residents from access when a space reaches a certain occupant load would render the space no longer “open space.” Nor would restricting access to all residents after midnight. Or even at all times during a COVID-19 outbreak. Neither would banning certain residents who at one time violated a rule on the use of the space or

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prized large zoning lots with multiple buildings surrounded by shared open space. Yet they do not cite any statement of intent or other language in the Zoning Resolution that favors “towers-in-the-park projects” on large superblocks. Instead of dictating the size of zoning lots, the Zoning Resolution requires a minimum amount of open space as a percentage of residential floor area. The BSA’s interpretation meets that requirement by ensuring that the residents of each building on a multi-owner zoning lot have access to at least the amount of open space that would be required if the building were on a separate zoning lot. By allocating open space in this way, the BSA’s interpretation fulfills the purpose of the open-space requirement, which is “to open up residential areas to light and air, to provide open areas for rest and recreation, and to break the monotony of continuous building bulk” (ZR § 21-00 [d]).

Nor is there any merit to petitioners’ contention that the 2011 amendments to the Zoning Resolution ratified their interpretation of the statute. The 2011 amendments deleted references to “building” and replaced them with references to “zoning lot” in the definition of open space ratio and in former sections 23-14 and 23-142 relating to minimum required open space. These provisions, however, do not govern what constitutes open space or how to allocate open space among buildings on a zoning lot. Rather, they set forth how to calculate the minimum amount of required open space based on the ratios applicable to residential districts for given height factors.¹³ Further, nothing in the legislative history of the 2011 amendments indicates that the City Planning Commission intended to make substantive changes to the definition of open space in response to the BSA’s 2009 resolution. That silence cuts against petitioners’ argument.

The BSA’s interpretation is rational as applied to multi-owner zoning lots. The text, structure, history, and purpose of the definition of open space show that the BSA’s interpretation is consistent with—and indeed furthers—the legislative intent of the Zoning Resolution’s drafters. Giving due consideration to the BSA’s technical knowledge of the implications for the city’s development of its application of the statute, we conclude that

did not pay their use fees. What about allowing the space to be reserved by a resident for a private event one evening?

13. It is undisputed that the calculation of minimum required open space using the ratios listed in sections 23-14 and 23-142 was the same before and after the 2011 amendments.

the BSA's application of the definition of open space to multi-owner zoning lots is not arbitrary, capricious, or contrary to law.

Accordingly, the Appellate Division order should be reversed, with costs, the judgment of Supreme Court reinstated and the certified question not answered as unnecessary.

WILSON, J. (dissenting). “‘Open space’ is that part of a zoning lot, including courts or yards, which . . . is accessible to and usable by all persons occupying a dwelling unit or a rooming unit on the zoning lot” (NY City Zoning Resolution § 12-10).¹ There is only one plain way to read that language: unless all persons residing in apartments on a zoning lot can access and use a particular space, that space does not count as “open space.” Appellant PWV Acquisition, LLC (PWVA) proposes a different reading: because the Zoning Resolution specifies that open space must be accessible to all persons occupying “a” dwelling unit, the word “a”—as PWVA notes—can be read to mean that if all the residents of just one apartment on a zoning lot can access and use a space, that space is “open space.” That reading may be a grammatically correct alternative, but it is absurd. No party contends that New York City’s open space requirements could be satisfied by giving a single luxury penthouse apartment a football-field sized private roof deck.

It would be one thing if the New York City Board of Standards and Appeals (BSA) had adopted one of those two interpretations, but it has not. Instead, the BSA advocates for a third definition of “open space,” one that is wholly absent from the language of the Zoning Resolution. The lack of any statutory support for the BSA’s interpretation renders the majority’s lengthy discussion of the principles of administrative law and deference to agency expertise entirely irrelevant. Agencies cannot rewrite the statutes that empower them; that function is legislative, not administrative. The majority does not make a credible case that the BSA’s interpretation can be found in the statutory language. Instead, it concludes we must defer to the BSA’s interpretation, regardless of the disconnect between that interpretation and the clear language of the statute, because the Zoning Resolution uses words that refer to

1. The Zoning Resolution utilizes a bold and italicized typeface to identify terms that are defined elsewhere in the resolution. For ease of comprehension, and to avoid confusion with my own emphasis, I have omitted the resolution’s bold italics throughout this opinion.

other words and because land use law is complicated. That reasoning contravenes basic principles of statutory interpretation. Accordingly, I dissent.

Open space serves important physical and social functions, particularly in a city as tall and dense as New York. To ensure residents have access to a minimum amount of open space, New York City mandates that developers in certain residential districts set aside areas for open space. The amount of space required varies depending upon, among other factors, the height, use, and square footage of the buildings on the zoning lot (*see e.g.* ZR §§ 12-10 [defining “open space” and “open space ratio”], 23-144 [noting distinct open space requirements that apply to affordable residents for seniors]). Reflecting the multifaceted purpose of open space, the City’s Zoning Resolution sets forth two principal criteria for open space.² First, in order to count towards a zoning lot’s quota for open space, an area must be “open and unobstructed from its lowest level to the sky” (ZR § 12-10), providing pathways for light and air to permeate a development. Second, the area must be “accessible to and usable by all persons occupying a dwelling unit or a rooming unit on the zoning lot” (*id.*).

The straightforward, sensible and compelling way to read the accessibility requirement is that to qualify as open space, a given area must be accessible to “all persons” who reside on the zoning lot.³ That natural reading gives meaning to the plain language of the statute. Furthermore, it reflects the purpose for which open space exists: to give residents outdoor areas in which to enjoy light, air and recreation (*see* ZR § 21-00

2. As indicated above, the Zoning Resolution also contains additional requirements and context-specific exceptions depending on the design and categorization of the building. For example, open space can be covered by a roof, provided that the roofed area “is not enclosed on more than one side” and does not exceed “10 percent of the unroofed or uncovered area” of the zoning lot (ZR § 12-10).

3. The majority quotes this sentence and then offers a smorgasbord of hypothetical challenges. The majority questions how the straightforward reading of the statute could be squared with the need to “prevent[] residents from access[ing an open space] when a space reaches a certain occupant load” or when “during a COVID-19 outbreak” crowded use of the open space would threaten public health (majority op at 284-285 n 12). My conclusion that the drafters of the Zoning Resolution intended for open spaces to be accessible to all residents of a zoning lot—for the purposes of securing a building permit—does not somehow compel the conclusion that the drafters had either the intention or the authority to override all fire safety ordinances and emergency public health regulations, or that the existence of such regulations suggests one interpretation of the Zoning Resolution over another.

[d]). The second possible reading is one that the appellant developers, PWVA, note in passing, although they do not champion it. The phrase “accessible to . . . all persons occupying ‘a’ dwelling unit” could be interpreted to mean that an area counts as open space if it is accessible to “all persons” who live in *at least one* dwelling unit. Appellants’ lack of enthusiasm for that reading undoubtedly stems from its unpalatability when one has the purpose of open space in mind. Under that reading, a private rooftop garden or large private tennis court would qualify as open space, negating much of the purpose behind including the accessibility requirement in the first place.⁴

Rather than adopt one of the two possible readings of the statute, the BSA has selected a third position, one that appears nowhere in the statutory text. According to the BSA, the definition of “open space” encompasses areas that are: (a) accessible to all residents of an adjoining building, even if (b) those areas are not accessible to residents of other buildings on the zoning lot, provided that (c) the resulting division of open space is not “inequitable.” None of the operative criteria relied upon by the BSA exists in the statute, which makes no allowance for open space to be siphoned off into separate areas of exclusive recreation. Indeed, the Zoning Resolution does not discuss dividing open space in any manner. Instead, it requires a plain and simple directive: areas may only count as “open space” if they are accessible to “all persons . . . on the zoning lot” (ZR § 12-10). The BSA’s interpretation therefore not only strays far from the text, it contradicts the plain language of section 12-10, which does not permit developers to count as

4. The majority states that my understanding of the purpose of open space is “extratextual” (majority op at 281 n 8). Not so. Section 21-00 (d) lists as one of the “specific purposes” of the Zoning Resolution the aim of ensuring the “provision of open space in residential areas wherever practicable . . . in order to open up residential areas to light and air [and] to provide open areas for rest and recreation.” Such spaces are meant to serve the “general welfare” (*id.* § 21-00). In addition, the language of section 12-10 provides ample evidence that the legislature intended for “all persons . . . on the zoning lot” to have access to open space. The PWVA’s contrary reading relies upon the farfetched proposition that the legislature, when it specified that “all persons” must have access to open space, was primarily concerned with eliminating unequal access to open space among residents within a single dwelling unit rather than across dwelling units. That hypothetical legislative purpose is wholly absent from the legislative history and does not provide a basis for adopting the PWVA’s literal (but inane) reading of the statute (*see Milbrandt v Green Refractories Co.*, 79 NY2d 26, 36 [1992]). In any event, the majority has selected neither of those two possible readings, and instead adopted a third reading that lacks any statutory support.

open space areas that are useable by “some” but not “all” persons on the zoning lot. The BSA’s interpretation of the Zoning Resolution may be a reasonable policy position, and if this were a community meeting, a class on urban planning or—best of all—a legislative committee meeting, they could have an in-depth discussion of the merits of the BSA’s proposed vision for open space in New York City. However, as a matter of statutory interpretation, the BSA’s proposed reading is statutorily unauthorized.

The BSA’s unfounded reading of the statute cannot be saved by appeals to administrative deference. The question presented on this appeal is an issue of pure statutory interpretation. In such cases, our precedent is clear: where “the question is one of pure statutory reading and analysis, dependent only on accurate apprehension of legislative intent,” we need not rely upon “any special competence or expertise of the administrative agency” (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]). And, of course, if an agency’s interpretation “runs counter to the clear wording of a statutory provision, it should not be accorded any weight” (*People v Francis*, 30 NY3d 737, 746 [2018], quoting *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270, 285-286 [2009], and *Kurcsics*, 49 NY2d at 459).

Applying that standard, we have repeatedly declined to defer to the BSA’s interpretation of the Zoning Resolution when, as here, the question involved is one of purely statutory interpretation (see e.g. *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98, 107 [1997] [declining to defer to the BSA’s interpretation of “floor area” contained in section 12-10 of the Zoning Resolution, the same definitional section we interpret today]; *Matter of Toys “R” Us v Silva*, 89 NY2d 411, 419 [1996] [concluding that “the appropriate legal standard for (determining the meaning of) abandonment under Zoning Resolution § 52-61” is one without “deference to the BSA” because its resolution involves “a pure legal question”]).⁵ In this case, the question presented—what was the legislature’s intent in enacting sec-

5. The majority’s attempts to distinguish *Toys “R” Us* and *Raritan* are unpersuasive. Both cases applied our long-standing framework for deference to administrative agencies, starting with the premise that “[w]here ‘the question is one of pure legal interpretation of statutory terms, deference to the BSA is not required’” (*Raritan Dev. Corp.*, 91 NY2d at 102, quoting *Toys “R” Us*, 89 NY2d at 419). In both cases, we determined that the relevant statutory questions involved “pure legal question[s] that do[] not mandate deference to the BSA” (*Toys “R” Us*, 89 NY2d at 419; *Raritan Dev. Corp.*, 91 NY2d at 103 [declining the BSA’s invitation to “ignore the obvious interpretation of

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tion 12-10 of the Zoning Resolution?—is a purely legal question, and, therefore, deference to the BSA is unwarranted.

Even if, for whatever reason, we decided to disregard settled precedent and afford deference to the BSA, we nonetheless would have to consider carefully whether there is a “rational basis” for the agency’s interpretation of the statute (*Matter of Fisher [Levine]*, 36 NY2d 146, 150 [1975]). Here, because the BSA’s interpretation of the statute is neither of the two possible readings of the statute, the choice of standard of review does not matter to the outcome. The BSA’s interpretation contravenes the plain language of the statute and therefore fails as a rational interpretation of the Zoning Resolution.⁶

In an effort to locate any support for the BSA’s position, the majority offers an array of unpersuasive arguments based for the most part on the notion that because the statute is complex, we should make no effort to understand its meaning, nor must we require the BSA to present reasonable grounds for its interpretation.⁷ Other arguments are fundamentally about policy choices concerning changes over time to the nature of building ownership. Some of those reasons might convince a legislative

the Zoning Resolution”). The majority makes no real attempt to argue that the question presented in this case, even if it involves interlocking statutory definitions, is anything but a “pure legal question” (*Toys “R” Us*, 89 NY2d at 419). We should therefore reach the same result that we did in *Toys “R” Us* and *Raritan* and conclude that no deference is owed to the BSA. In *Toys “R” Us*, after concluding that the “appropriate legal standard” was one without deference to the BSA, we nonetheless agreed with the BSA as to the proper reading of the Zoning Resolution, but we did so after an independent inquiry into the meaning of the statute, unaffected by deference to the BSA (*see id.* at 419-422). Here, the majority makes no effort to conduct an independent inquiry into the meaning of “open space,” nor does it argue that the BSA’s reading is the most persuasive reading of the statute. Instead, it asserts that the statute is complicated and therefore we should defer. That reasoning is anathema to our Court’s principles of statutory interpretation and administrative deference. Finally, the majority is correct that in *Toys “R” Us*, after we determined the meaning of the crucial statutory terms, we deferred to the BSA’s factual findings that the property owner in that case had abandoned its prior usage of the building. That factual question involved a “weighing [of] the evidence,” including parsing conflicting witness testimony and reviewing “warehouse logs” to ascertain how the property had been used over the previous two years (*id.* at 422-424). In contrast, the present appeal involves no disputed facts.

6. My colleagues and I do not “fancy[]” ourselves to be “land-use expert[s]” (majority op at 284 n 12), though we claim some modest expertise in interpreting statutes, which is all that is at issue here.

7. We are told that the “definition of open space in ZR § 12-10 comprises no less than 13 defined terms, many of which cross-reference other defined terms” (majority op at 282), but the majority makes no effort to analyze those

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body to rewrite the Zoning Resolution. But the majority's justifications for deferring to the BSA are flatly contradicted by our precedent and none is persuasive.

First, the majority declares that only the BSA's interpretation gives "salience" to a critical feature of the statute—the fact that the definitions of "dwelling unit" and "rooming unit" in the Zoning Resolution both mention that these living spaces are located "in . . . residential building[s]" (ZR § 12-10). As a guide to understanding the meaning of "open space," I question the importance of the majority's epiphany that apartments exist within residential buildings. But we can interpolate that feature of the Zoning Resolution directly into the definition of "open space" and the meaning does not change one bit. Open spaces must still be accessible to "all persons occupying a dwelling unit [in residential buildings] . . . on the zoning lot" (*id.*).

Second, the majority states that because the Zoning Resolution employs a "set of cross-references and interlocking provisions," the BSA must be afforded a special level of deference (majority op at 282). The example the majority gives is that the Zoning Resolution defines "dwelling unit" in part by reference to a "residential building" which requires consulting the statute to understand the meaning of "building." That argument is flawed on several levels. Clearly, it is foreclosed by our precedent. We have repeatedly declined to defer to the BSA when interpreting the Zoning Resolution's interlocking set of definitions (*see e.g. Raritan Dev. Corp.*, 91 NY2d at 107; *Toys "R" Us*, 89 NY2d at 419). Unless the majority can explain why the definition of, for example, "floor area ratio" should be interpreted differently than "open space," the majority's theory of administrative deference is contravened by controlling law.

The majority's reasoning is also illogical. It is true that the Zoning Resolution includes terms of art that must be understood in context. That is a feature of all statutes. However, the fact that the Zoning Resolution employs terms that are specifically defined in the statute makes it *easier* for judges to ascertain legislative intent, not harder. Definitions mark a path for jurists to follow.⁸ The situation is far harder when judges must interpret statutes that turn on broad and unde-

13 terms and other cross-references to see whether they matter at all or what interpretation they support.

8. For example, the word "adjacent" in the term "adjacent lot" (ZR § 74-79) has evolved over time as the City's policy priorities have shifted, in part to benefit owners of landmarked properties. In an effort to increase the

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finer terms, such as the requirement for utilities to charge “just and reasonable” rates (Public Service Law § 65 [1]). It is precisely because the City Planning Commission has defined critical terms such as “open space” and “zoning lot” that we are able to reach clear conclusions as to what the Zoning Resolution requires.

Third, the various provisions the majority cites as sources of ambiguity are irrelevant to the statutory question at hand. Perhaps that is why the BSA itself has not argued that the definition of a “room” or a “residential building” is essential for resolving the present dispute. If we were called upon to decide whether someone who lived in a Winnebago parked on the zoning lot had a legal right to access open space, we might need to delve into the nuance of how the Zoning Resolution defines “dwelling unit” or “room.” Here, no party disputes that the residents of the three Park West Village buildings qualify as “persons occupying a dwelling unit or a rooming unit on the zoning lot” (ZR § 12-10). The Zoning Resolution is clear that “all” such persons must be able to access open space, and the vast majority of the provisions cited by the majority play no role in the resolution of this lawsuit.

A statute might come along that is uninterpretable because it is pure gibberish, but here, the statute’s words can at most be read in two ways, only one of which is sensible, and neither of which the majority adopts. We should not permit administrative agencies to rewrite statutes or exceed the restrictions placed on them by law (*see Matter of Tze Chun Liao v New York State Banking Dept.*, 74 NY2d 505, 510 [1989] [“Administrative agencies, as creatures of the Legislature within the executive branch, can act only to implement their charter as it is written and as given to them . . . An agency cannot create rules, through its own interstitial declaration, that were not

usefulness (and lucrativeness) of transferrable development rights, New York City expanded the definition of “adjacent lots” in 1968 to permit owners of landmarked sites to sell unused development rights to non-contiguous (but still proximate) parcels located across streets and intersections (*see* Margaret Giordano, Note, *Over-Stuffing the Envelope: The Problems with Creative Transfer of Development Rights*, 16 Fordham Urb LJ 43, 43 n 4 [1988]). A reader who relied solely on a common dictionary to understand the meaning of “adjacent” would be led astray. Fortunately, the Zoning Resolution defines “adjacent lot” (*see e.g.* ZR § 74-79 [defining adjacent lot for the purpose of transferrable development rights for landmark sites]). Although the majority is correct that the Zoning Resolution employs technical vocabulary, technical does not mean judicially indiscernible.

contemplated or authorized by the Legislature and thus, in effect, empower themselves to rewrite or add substantially to the administrative charter itself” (citation omitted)).

Lacking support in the text of the statute, the majority attempts to invoke the legislative history of the Zoning Resolution, an interpretative guide that is unnecessary when the plain text of a statute is clear (see *Matter of Roosevelt Raceway v Monaghan*, 9 NY2d 293, 304-305 [1961]). Even were we to consider the scant legislative history cited by the majority, those materials do not illuminate the present question. The majority notes that a handbook published by the City Planning Commission in 1961 advertised that open space under the new Zoning Resolution would be “accessible to all residents of a building” (majority op at 283-284). The majority gives no indication that this portion of the handbook was written with multi-building zoning lots in mind, and accordingly, we can divine very little from that stray quote. (Moreover, the quote strongly suggests that the second possible interpretation of the open space requirement is suspect.)

The majority then pivots 180 degrees and argues that the drafters of the 1961 Zoning Resolution did not anticipate the problems arising with multi-owner zoning lots because these lots were not permitted until 1977. I cannot reconcile the majority’s conclusion that the legislative history supports the BSA’s reading if, as the majority claims, the drafters of the Zoning Resolution did not envision the situation that has arisen here. Regardless, this second argument is dubious as a historical matter and irrelevant as a legal one. As a matter of urban history, the phenomenon of zoning lots with more than one building predates the 1961 zoning resolution. Although this dispute presents a situation where portions of the zoning lot are owned by different entities, the BSA’s interpretation of “open space” rests upon a rationale that is not dependent upon whether a zoning lot has one or more owners. Instead, the BSA contends that no violation of the open space requirement occurs when, in a multi-building lot, developers divvy up open space into zones of exclusive access building-by-building. Because multi-building lots predate the 1961 or 1977 amendments to the Zoning Resolution, the situation here was not one beyond the capability of the drafters to envision.

Interesting as the urban history exercise might be in some other context, it is irrelevant as a matter of statutory interpretation. The majority’s view—that new problems have arisen,

and therefore the BSA can avoid clear statutory directives—is simply unavailing. Our Court has made clear that “[t]he courts are not free to legislate and if any unsought consequences result [from the continued application of a statute], the Legislature is best suited to evaluate and resolve them” (*Bender v Jamaica Hosp.*, 40 NY2d 560, 562 [1976]; see also *Ivey v State of New York*, 80 NY2d 474, 480 [1992] [“In essence, the State is asking the Court to rewrite, not just interpret, the statute. This we may not do”]). Contrary to the majority’s holding today, the BSA is not exempt from the basic requirement to abide by the language of the statute, even if that language creates hurdles for certain forms of development as New York City changes and grows (*Raritan Dev. Corp.*, 91 NY2d at 107 [“The solution (to a perceived problem in the Zoning Resolution) is for the City to legislate a different definition if that is its intent, to be manifested by the ordinance itself”]). If compliance with the Zoning Resolution poses challenges, the proper recourse is to the City Planning Commission, which has proved to be an active steward of the Zoning Resolution. Since 1961, the City Planning Commission has overseen approximately “10,000 amendments . . . to the [zoning] resolution” (NY City Dept of City Planning, *History Button: DCP’s Digital Zoning Resolution Now Includes a Full Legislative History* [June 19, 2019], <https://www1.nyc.gov/site/planning/about/press-releases/pr-20190619.page>).

Finally, the majority asserts that we must defer to the BSA’s understanding of the “feasibility” of complying with the Zoning Resolution. The responses above are sufficient to refute that point. The open space requirement has remained static for 60 years. If changes to the urban landscape have rendered it unworkable, those concerns must be addressed to the City Planning Commission. Changes to the urban landscape do not themselves change the law and do not excuse BSA from complying with the clear text of the Zoning Resolution.

As a further point, the majority’s view of “feasibility” mischaracterizes the purpose of the Zoning Resolution. The core premise of as-of-right zoning is that all residents of New York City—developers, neighbors, and city planning officials—benefit from clear rules concerning legal entitlements to develop land. To advance those aims, the Zoning Resolution sets out minimum requirements for as-of-right construction, and then invites developers to design and create within those constraints—or seek variances from them. In the context of an as-

of-right zoning system, an objection that complying with the Zoning Resolution renders infeasible certain forms of development is really no objection at all. Every design constraint limits what can be built as of right: that is a basic consequence of any land use regulation. The requirement that open space be accessible to all residents of the lot does not eliminate a property owner's ability to build. Instead, it simply supplies another design constraint that developers and architects must consider.

In this case, the developers of 808 Columbus Ave. built a 29-story residential tower with two adjoining commercial wings, one of which includes a high-end grocery store. The developers' decision to make the rooftop gardens atop the grocery store accessible only to residents of the adjoining tower was based on the BSA's erroneous reading of the Zoning Resolution. If instead, the BSA had interpreted the statute correctly, a developer like 808 Columbus Ave, LLC would still have an array of design possibilities for how to utilize the parcel. The developer could: (a) provide key card access to residents of other buildings on the zoning lot (appellant JHL committed to doing just that with the Meditation Garden in its proposed nursing home, representing to the Department of Buildings that it would provide "every resident of the zoning lot . . . [with] a key card to access" the garden), (b) build a 29-story building without an adjoining grocery store, if the addition of the store removed necessary open space, (c) construct a smaller residential tower which needs less open space and then build only one commercial wing rather than two, (d) subdivide the zoning lot (*see* ZR §§ 12-10, 23-72), or (e) pursue some other possibility entirely. Developers are eminently creative tacticians when it comes to designing within the constraints of the Zoning Resolution, a fact made abundantly evident by the land-swap that PWVA and JHL conducted in order to make use of the fact that a nursing home would require less open space than other residential buildings.

Indeed, the subsequent history here utterly undermines the majority's view that the literal interpretation of the open space requirement is infeasible. After the Appellate Division annulled the BSA's decision, the developer, PWVA, submitted plans for a completely different building that proposed less encroachment on the existing open space on the zoning lot. "Feasibility" cannot turn on this Court's judgment about which building is preferable or, indeed, whether any building is preferable.

New York City has determined that the city benefits from clear design constraints arrived at through a process of politi-

cal and community input that resolves competing visions for what the city should look like. Those understandings of how the city should grow and develop are codified in the Zoning Resolution. Developers build within those constraints; the BSA resolves disputes, pursuant to its delegated authority; the City Planning Commission updates the Zoning Resolution as needed; and courts serve as final arbiters of the meaning of the Zoning Resolution. That is how the system is supposed to work. Permitting the BSA to rewrite the definition of open space upends that statutory structure.

Chief Judge DiFiore and Judges Stein and Garcia concur; Judge Wilson dissents in an opinion in which Judges Rivera and Fahey concur.

Order reversed, with costs, judgment of Supreme Court, New York County, reinstated and certified question not answered as unnecessary.

[164 NE3d 984, 140 NYS3d 897]

SUTTON 58 ASSOCIATES LLC, Appellant, v PHILIP PILEVSKY et al., Respondents.

Argued October 15, 2020; decided November 24, 2020

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 10, 2019. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Shirley Werner Kornreich, J.), which had denied defendants' motion for summary judgment dismissing the complaint; and (2) granted the motion.

Sutton 58 Assoc. LLC v Pilevsky, 168 AD3d 477, reversed.

HEADNOTES

Statutes — Federal Preemption — Field Preemption of State Tort Law Claims

1. Plaintiff's state law claims alleging that defendants tortiously interfered with loan agreements between plaintiff and nonparty borrowers, who defaulted and filed for bankruptcy, were not precluded by the doctrine of field preemption based on federal bankruptcy regulations, where plaintiff's claims did not implicate debtor-creditor disputes relating to the bankruptcy estate. The Bankruptcy Code thoroughly governs the litigation and settlement of controversies between debtors and creditors in connection with the bankruptcy estate. However, defendants cited no provision of the Bankruptcy Code that suggested a congressional intent to interfere with the authority of state courts to provide traditional tort remedies for claims brought by a nondebtor against alleged nondebtor tortfeasors for interference with contractual agreements that exist independently of a bankruptcy proceeding. Moreover, defendants pointed to nothing in the language, structure, or history of the Bankruptcy Code to support their contention that, in addition to occupying the field of bankruptcy adjudication as between debtors and creditors, Congress clearly and manifestly expressed an intent to encroach upon the State's dominion by foreclosing tort remedies for claims that are not asserted by or against a debtor and do not affect the bankruptcy estate, thereby removing all available judicial recourse for plaintiffs injured by tortious conduct of nondebtors if there is any tangential connection to a bankruptcy proceeding.

Statutes — Federal Preemption — Conflict Preemption of State Tort Law Claims

2. Plaintiff's state law claims alleging that defendants tortiously interfered with loan agreements between plaintiff and nonparty borrowers, who defaulted and filed for bankruptcy, were not precluded by the doctrine of conflict, or obstacle, preemption based on federal bankruptcy regulations, as plaintiff's claims did not require the adjudication of rights and duties of creditors and debtors under the Bankruptcy Code, and therefore would not

encroach upon the province of the Bankruptcy Court. Federal law does not preempt state law under obstacle preemption analysis unless the repugnance or conflict is so direct and positive that the two acts cannot be reconciled or consistently stand together. While state courts are not authorized to determine whether a person's claim for relief under a federal law, in a federal court, and within that court's exclusive jurisdiction, is an appropriate one, there was no question raised as to the propriety of the bankruptcy proceedings. Plaintiff's tortious interference claims, asserted against defendants who were not debtors in the bankruptcy proceedings and which were premised upon conduct that occurred prior to those proceedings, were peripheral to, and did not impugn, the bankruptcy process. Resolution of plaintiff's claims in state court did not risk interference with the Bankruptcy Court's control over, or disposition of, the bankruptcy estate insofar as plaintiff's suit did not impair the debtors' estates. The debtors in the bankruptcy proceedings were unaffected by whether plaintiff prevailed on its tort claims against defendants, and the state action had no impact on the borrowers' ability to obtain a fresh start.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Constitutional Law § 231.

CARMODY-WAIT 2d Courts and Their Jurisdiction § 2:99.

NY JUR 2d Constitutional Law § 114.

NEW YORK LAW OF TORTS § 19:50.

ANNOTATION REFERENCE

See ALR Index under Bankruptcy and Insolvency; Contracts; Impairment of Contracts; Jurisdiction; Preemption; Torts.

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POINTS OF COUNSEL

Kramer Levin Naftalis & Frankel LLP, New York City (Ronald S. Greenberg, Natan M. Hamerman, Daniel Lennard and Zachary C. Naidich of counsel), for appellant. The Bankruptcy Code (11 USC) does not preempt plaintiff's claims. (*Arizona v United States*, 567 US 387; *Rice v Santa Fe Elevator Corp.*, 331 US 218; *Lorillard Tobacco Co. v Reilly*, 533 US 525; *Marentette v Abbott Labs., Inc.*, 886 F3d 112; *Mutual Pharmaceutical Co. v Bartlett*, 570 US 472; *Figueroa v Foster*, 864 F3d 222; *Geier v American Honda Motor Co.*, 529 US 861; *English v General Elec. Co.*, 496 US 72; *United States v Locke*, 529 US 89; *Hines v Davidowitz*, 312 US 52.)

Friedman Kaplan Seiler & Adelman LLP, New York City (Robert S. Smith, Anil Vassanji, Eric Seiler and Lance J. Gotko of counsel), for respondents. The Bankruptcy Code (11 USC) preempts plaintiff's claims. (*Fidelity Fed. Sav. & Loan Assn. v De la Cuesta*, 458 US 141; *Ray v Atlantic Richfield Co.*, 435 US 151; *Hines v Davidowitz*, 312 US 52; *Cipollone v Liggett Group, Inc.*, 505 US 504; *Grogan v Garner*, 498 US 279; *Local Loan Co. v Hunt*, 292 US 234; *Eastern Equip. & Servs. Corp. v Factory Point Natl. Bank, Bennington*, 236 F3d 117; *MSR Exploration, Ltd. v Meridian Oil, Inc.*, 74 F3d 910; *Gonzales v Parks*, 830 F2d 1033; *Casden v Burns*, 504 F Supp 2d 272.)

Ballard Spahr LLP, New York City (Paul E. Harner of counsel), for American College of Mortgage Attorneys, amicus curiae. I. The Appellate Division decision creates a jurisdictional limbo in which claims by mortgage lenders against nondebtor third parties unrelated to property of the bankruptcy estate can never be asserted. (*Stern v Marshall*, 564 US 462; *Executive Benefits Ins. Agency v Arkison*, 573 US 25; *Wellness Intl. Network, Ltd. v Sharif*, 135 S Ct 1932; *In re Johns-Manville Corp.*, 517 F3d 52; *Travelers Indemnity Co. v Bailey*, 557 US 137; *In re Quigley Co., Inc.*, 676 F3d 45.) II. The Appellate Division decision will result in increased lender risk and borrower cost and, accordingly, negatively impact secured real estate lending in New York.

Trachtenberg Rodes & Friedberg LLP, New York City (Barry J. Friedberg of counsel), for New York Bankers Association, amicus curiae. I. The Appellate Division decision creates a jurisdictional limbo in which claims by mortgage lenders against nondebtor third parties unrelated to property of the bankruptcy estate can never be asserted. (*Stern v Marshall*, 564 US 462; *Executive Benefits Ins. Agency v Arkison*, 573 US 25; *Wellness Intl. Network, Ltd. v Sharif*, 135 S Ct 1932; *In re Johns-Manville Corp.*, 517 F3d 52; *Travelers Indemnity Co. v Bailey*, 557 US 137; *In re Quigley Co., Inc.*, 676 F3d 45.) II. The Appellate Division decision will result in increased lender risk and borrower cost and, accordingly, negatively impact secured real estate lending in New York.

Otterbourg P.C., New York City (Andrew S. Halpern, Erik B. Weinick and Michael R. Maizel of counsel), for Melanie L. Cyganowski, amicus curiae. I. The Appellate Division decision should be affirmed because (a) defendants' allegedly tortious conduct damaged plaintiff, if at all, because defendants took

actions that facilitated debtors' bankruptcies and (b) plaintiff had adequate remedies in bankruptcy for any alleged misuse of the bankruptcy process. (*Astor Holdings, Inc. v Roski*, 325 F Supp 2d 251; *Eastern Equip. & Servs. Corp. v Factory Point Natl. Bank*, 236 F3d 117; *RadLAX Gateway Hotel, LLC v Amalgamated Bank*, 566 US 639.) II. The Appellate Division decision leaves real estate lenders such as plaintiff with a remedy outside of bankruptcy.

Bullard Law Group, PLLC, Melville (*Edward J. Bullard, Jr.* of counsel), for Bullard Law Group, PLLC, amicus curiae. I. Affirmance of the Appellate Division's decision would not have the deleterious effect on commercial real estate lending predicted by appellant and the pro-reversal amici curiae. II. Reversal of the Appellate Division's decision would subject junior lenders to untoward liability for routine transactions with borrowers that file for bankruptcy protection.

Fried, Frank, Harris, Shriver & Jacobson LLP, New York City (*Janice Mac Avoy* and *Sari Rosenfeld* of counsel), for Legal Services NYC Bankruptcy Assistance Project, amicus curiae. The Appellate Division decision should be affirmed because allowing prospective defendants to be sued for state tort claims would discourage legal advisors from providing pro bono services and therefore limit relief under the Bankruptcy Code. (*Astor Holdings, Inc. v Roski*, 325 F Supp 2d 251.)

Kelley Drye & Warren LLP, New York City (*David I. Zalman* and *Anne-Marie Mitchell* of counsel), for Brooklyn Bar Association Volunteer Lawyers Project, amicus curiae. I. The Appellate Division decision should be affirmed because (a) defendants' allegedly tortious conduct damaged plaintiff, if at all, because defendants took actions that facilitated debtors' bankruptcies and (b) plaintiff had adequate remedies in bankruptcy for any alleged misuse of the bankruptcy process. (*Astor Holdings, Inc. v Roski*, 325 F Supp 2d 251; *Eastern Equip. & Servs. Corp. v Factory Point Natl. Bank*, 236 F3d 117; *RadLAX Gateway Hotel, LLC v Amalgamated Bank*, 566 US 639.) II. The Appellate Division decision leaves real estate lenders such as plaintiff with a remedy outside of bankruptcy.

OPINION OF THE COURT

STEIN, J.

On this appeal, we are asked to determine whether federal bankruptcy law preempts plaintiff's state law claims asserted

against nondebtor third parties for tortious interference with a contract. Giving due consideration to the presumption against preemption, we hold that plaintiff's state law claims are not preempted under the circumstances presented here.

I.

Plaintiff Sutton 58 Associates, LLC loaned \$147,250,000 to nonparties BH Sutton Mezz LLC (mezz borrower) and Sutton 58 Owner LLC (mortgage borrower) (collectively, the borrowers) in order to finance the development and construction of an apartment complex on a Manhattan property owned by mortgage borrower. Mezz borrower owned 100% of the membership interest in mortgage borrower. The loan contracts consisted of a mezzanine loan agreement between plaintiff and mezz borrower, as well as acquisition and building loan agreements between plaintiff and mortgage borrower. These agreements forbade the borrowers from incurring any debt other than short-term trade debt, from acquiring any unrelated assets and from engaging in other business, and compelled them to remain "Special Purpose Bankruptcy Remote" entities.¹ The agreements also prohibited the sale or transfer of any direct or indirect interest in either the property or the borrowers without plaintiff's consent. It is undisputed that these provisions were intended to ensure that, if the borrowers filed for bankruptcy, they would be single asset real estate entities and the bankruptcy process would, at the very least, be expedited.² Plaintiff and mezz borrower also entered into a pledge and security agreement, in which mezz borrower pledged its 100% membership interest in mortgage borrower as collateral for the mez-

1. As defined in the agreements, a special purpose bankruptcy remote entity is one which, among other limitations, is organized for the sole purpose of owning property, engages in no unrelated business, and holds no unrelated assets.

2. The Bankruptcy Code defines single asset real estate as "real property constituting a single property or project, other than residential real property with fewer than [four] residential units, which generates substantially all of the gross income of a debtor who is not a family farmer and on which no substantial business is being conducted by a debtor other than the business of operating the real property and activities incidental thereto" (11 USC § 101 [51B]).

When a debtor is a single asset real estate entity, the Bankruptcy Code provides for expedited filing of a reorganization plan or the commencement of payments to a creditor in order to avoid lifting of the automatic stay and foreclosure on the property (*see* 11 USC § 362 [d] [3]).

zanine loan. This agreement gave plaintiff the right to foreclose upon and sell that membership interest—and, by extension, the development site—in the event of a default.

When the loans matured in January 2016, the borrowers defaulted. Plaintiff issued notices of default and sought to conduct a UCC foreclosure sale of mezz borrower's membership interest in mortgage borrower pursuant to the pledge and security agreement. Shortly before the scheduled sale, the borrowers unsuccessfully moved in Supreme Court for a preliminary injunction to block the sale. A few days after Supreme Court ordered that the sale proceed at the end of February 2016, mezz borrower filed a voluntary petition for chapter 11 bankruptcy in federal court.

Plaintiff initially moved to dismiss mezz borrower's bankruptcy petition on the ground that it was filed in bad faith or, alternatively, sought to lift the automatic stay imposed under bankruptcy law in order to permit plaintiff to pursue the sale.³ Thereafter, in April 2016, mortgage borrower separately filed a voluntary petition for chapter 11 bankruptcy in federal court. After the Bankruptcy Court commented that plaintiff's motion to dismiss mezz borrower's bankruptcy petition was "premature," plaintiff withdrew that motion without prejudice. Plaintiff did not seek to renew the motion during the bankruptcy proceedings or otherwise move to dismiss mortgage borrower's bankruptcy petition.

The bankruptcy cases were consolidated for joint administration. Plaintiff cooperated with a creditors' committee to develop and file a joint plan of liquidation. As part of the plan of liquidation, an auction sale was held in December 2016, during which plaintiff placed the winning credit bid—in the amount of \$86 million—for the project site.⁴ In early 2017, plaintiff and the borrowers' other creditors voted to accept the plan of liquidation, which the Bankruptcy Court confirmed.

3. The filing of a bankruptcy petition "operates as a stay" of, among other things, any actions or proceedings against the debtor that were or could have been commenced before the bankruptcy proceeding, the enforcement of judgments already obtained against the debtor, and any acts to obtain or exercise control over the property of the bankruptcy estate, create or enforce a lien against the property of the estate or debtor, or to collect or recover a claim against the debtor that arose before the bankruptcy proceeding (11 USC § 362 [a]).

4. Plaintiff submitted documents indicating that, by comparison, the appraisal value of the property at the time of the planned foreclosure sale was approximately \$180 million.

Meanwhile, in September 2016, plaintiff commenced this action in state court against defendants Philip Pilevsky, Michael Pilevsky, Seth Pilevsky, Prime Alliance Group Ltd., and Sutton Opportunity LLC—various affiliated persons and entities—alleging that defendants had tortiously interfered with the loan agreements between plaintiff and the nonparty borrowers. According to plaintiff, defendants had engaged in a scheme to obtain an ownership interest in the development project in violation of the loan agreements. Plaintiff averred that, as part of this alleged scheme, defendants loaned \$50,000 to mezz borrower to retain counsel, transferred three rental apartments to mortgage borrower so that it would no longer be a single asset real estate entity, and sold a 49% interest in BH Sutton Owner LLC—the parent company of mezz borrower—to a Pilevsky entity, thereby transferring to defendants an indirect interest in the borrowers and the development project.⁵ Plaintiff asserted that these actions violated the covenants in the loan agreements prohibiting the borrowers from incurring non-permitted indebtedness, owning other assets, and transferring any interest in the borrowers, as well as those provisions requiring the borrowers to remain special purpose bankruptcy remote entities. With respect to damages sustained, plaintiff asserted that the conduct of defendants delayed its ability to exercise its contractual remedies—because the bankruptcy proceeding was more protracted due to the borrowers no longer qualifying as single asset real estate entities and having taken on another creditor⁶—which, in turn, resulted in a significant loss in value of the development site.

Defendants moved for summary judgment dismissing the complaint, as relevant here, on the ground that the action was preempted by the Bankruptcy Code. Supreme Court denied the motion, holding that the action was not preempted because it “d[id] not involve the bankruptcy” and, instead, defendants were alleged to have interfered with “separate contractual agreements.” On defendants’ appeal, the Appellate Division reversed and granted defendants’ motion based upon its conclu-

5. The only defendant that participated in the underlying bankruptcy proceeding was Prime Alliance with respect to its loan to mezz borrower.

6. The loan was not alleged to be tortious on the basis that it facilitated the bankruptcy. Rather, the loan allegedly violated the borrowers’ covenants not to accept any liabilities other than “Permitted Indebtedness,” which provisions in the loan agreements were intended to minimize the number of the borrowers’ creditors.

sion that plaintiff's claims were preempted by federal law because "plaintiff's damages [arose] only because of the bankruptcy filings" (168 AD3d 477, 477 [1st Dept 2019]).

Plaintiff appealed to this Court as of right (*see* CPLR 5601 [b] [1]).

II.

Plaintiff argues that the Appellate Division erroneously held that its tortious interference claims are preempted by federal bankruptcy law. Plaintiff contends that neither field nor conflict preemption precludes a New York court from adjudicating its tort claims, observing that the borrowers' bankruptcy proceedings were successfully concluded and that plaintiff's action against defendants—who were not the debtors in the bankruptcy proceeding—did not pose any obstacle to resolution of those proceedings. Plaintiff does not dispute that so-called bad-faith filing claims, or other tort claims premised upon conduct *within* a bankruptcy proceeding, may be preempted. However, plaintiff asserts that a distinction has been, and should be, drawn between such claims and those that, as here, allege wrongful conduct by nondebtor defendants that occurred prior to the bankruptcy proceeding and that are grounded in independent contractual obligations. According to plaintiff, preemption would unfairly deprive it of any judicial forum or remedy for defendants' alleged wrongdoing and would upset the expectations of numerous lenders for large-scale real estate projects governed by similar loan agreements.

In response, defendants urge us to uphold the dismissal of plaintiff's claims on preemption grounds. Defendants contend that federal law has occupied the field of bankruptcy, to the exclusion of state law remedies. Defendants also assert that allowing plaintiff's tort claims to proceed in state court would conflict with federal bankruptcy law because the potential liability against third parties would discourage lending to, and counseling for, debtors—thereby indirectly chilling bankruptcy filings. As for plaintiff's remedies, defendants argue that they are limited to those available against the debtors in the bankruptcy proceeding—namely, a motion to dismiss the proceeding or for relief from the automatic stay imposed under bankruptcy law.

Although the parties cite varied case law from across the country relating to preemption in the bankruptcy context, no controlling precedent answers the question before us. Defend-

ants’ preemption arguments are not wholly implausible. Nevertheless, defendants ultimately “bear[] the ‘considerable burden’ of overcoming the presumption that Congress did not intend to preempt” plaintiff’s tortious interference claims (*Nealy v US Healthcare HMO*, 93 NY2d 209, 218 [1999], quoting *De Buono v NYSA-ILA Medical and Clinical Services Fund*, 520 US 806, 814 [1997]). For the reasons discussed herein, we conclude that defendants have not met that burden.

III.

The United States Constitution empowers Congress to establish uniform laws⁷ on the subject of bankruptcy (*see* US Const, art I, § 8, cl 4), and Congress has effectuated this power by enacting the Bankruptcy Code (*see* 11 USC § 101 *et seq.*). The Supremacy Clause, in turn, provides that federal law “shall be the supreme Law of the Land; and the Judges in every State shall be bound thereby, any Thing in the Constitution or Laws of any State to the Contrary notwithstanding” (US Const, art VI, cl 2). Therefore, “when federal and state law conflict, federal law prevails and state law is preempted” (*Murphy v National Collegiate Athletic Assn.*, 584 US —, —, 138 S Ct 1461, 1476 [2018]).

Preemption of state law may occur by express statutory provision or through implication, the latter of which may be accomplished through either federal preemption of the field of a particular subject matter or the existence of an irreconcilable conflict between federal and state law (*see Doomes v Best Tr. Corp.*, 17 NY3d 594, 601 [2011]; *Balbuena v IDR Realty LLC*, 6 NY3d 338, 356 [2006]; *Murphy*, 584 US at —, 138 S Ct at 1480). “Field preemption occurs when federal law occupies a ‘field’ of regulation ‘so comprehensively that it has left no room for supplementary state legislation’ ” (*Murphy*, 584 US at —, 138 S Ct at 1480, quoting *R. J. Reynolds Tobacco Co. v Durham County*, 479 US 130, 140 [1986]; *see People v First Am. Corp.*, 18 NY3d 173, 179 [2011]) or where there is a “‘federal interest . . . so dominant that the federal system will be assumed to preclude

7. “The uniformity requirement is not a straitjacket that forbids Congress [from] distinguish[ing] among classes of debtors, nor does it prohibit Congress from recognizing that state laws do not treat commercial transactions in a uniform manner” (*Railway Labor Executives’ Assn. v Gibbons*, 455 US 457, 469 [1982]). Furthermore, “uniformity does not require the elimination of any differences among the States in their laws governing commercial transactions” (*id.*).

enforcement of state laws on the same subject’ ” (*Arizona v United States*, 567 US 387, 399 [2012], quoting *Rice v Santa Fe Elevator Corp.*, 331 US 218, 230 [1947]). Conflict preemption, on the other hand, has been found “where it is impossible for a private party to comply with both state and federal requirements, or where state law stands as an obstacle to the accomplishment and execution of the full purposes and objectives of Congress,” the latter of which is often referred to as obstacle preemption (*Freightliner Corp. v Myrick*, 514 US 280, 287 [1995] [internal quotation marks and citations omitted]; see *Balbuena*, 6 NY3d at 356). These categories “are not rigidly distinct” and, regardless of the type of preemption urged, “a litigant must point specifically to a constitutional text or a federal statute that does the displacing or conflicts with state law” (*Virginia Uranium, Inc. v Warren*, 587 US —, —, 139 S Ct 1894, 1901 [2019] [internal quotation marks and citations omitted]).

Ultimately, any preemption analysis requires that we “ascertain the intent of Congress” (*Doomes*, 17 NY3d at 601 [internal quotation marks and citation omitted]; see *Wyeth v Levine*, 555 US 555, 565 [2009]). “[B]ecause the States are independent sovereigns in our federal system,” the United States Supreme Court has “long presumed that Congress does not cavalierly pre-empt state-law causes of action” (*Medtronic, Inc. v Lohr*, 518 US 470, 485 [1996]). Furthermore,

“[i]n all pre-emption cases, and particularly in those in which Congress has ‘legislated . . . in a field which the States have traditionally occupied,’ [courts must] ‘start with the assumption that the historic police powers of the States were not to be superseded by the Federal Act unless that was the clear and manifest purpose of Congress’ ” (*id.* [citation omitted], quoting *Rice*, 331 US at 230; see *Hillborough County v Automated Medical Laboratories, Inc.*, 471 US 707, 716 [1985]).

As the Supreme Court has acknowledged, “there is no question that States possess the ‘traditional authority to provide tort remedies to their citizens’ as they see fit” (*Wos v E. M. A.*, 568 US 627, 639-640 [2013], quoting *Silkwood v Kerr-McGee Corp.*, 464 US 238, 248 [1984]; see *CTS Corp. v Waldburger*, 573 US 1, 19 [2014]). The presumption against preemption applies to preemption in the bankruptcy context (see *BFP v Resolution Trust Corporation*, 511 US 531, 546 [1994]), and defendants

here must overcome “the starting presumption that Congress does not intend to supplant state law” (*De Buono*, 520 US at 814, quoting *New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.*, 514 US 645, 654 [1995]).

Looking to congressional intent in regulating bankruptcy, the principal purpose of the Bankruptcy Code is to give a “‘fresh start’ to the ‘honest but unfortunate debtor’” (*Marrama v Citizens Bank of Mass.*, 549 US 365, 367 [2007], quoting *Grogan v Garner*, 498 US 279, 286, 287 [1991]) by “provid[ing] a procedure by which . . . insolvent debtors can reorder their affairs, make peace with their creditors, and enjoy ‘a new opportunity in life and a clear field for future effort, unhampered by the pressure and discouragement of preexisting debt’” (*Grogan*, 498 US at 286, quoting *Local Loan Co. v Hunt*, 292 US 234, 244 [1934]). The Bankruptcy Code also aims to allow corporations to restructure so as to avoid liquidation (*see generally* *NLRB v Bildisco & Bildisco*, 465 US 513, 528 [1984]; *United States v Whiting Pools, Inc.*, 462 US 198, 203 [1983]), and to ensure fair distribution of the bankrupt estate to creditors (*see* *Union Bank v Wolas*, 502 US 151, 161 [1991]; *Katchen v Landy*, 382 US 323, 328-329 [1966]).

To advance these congressional purposes, the Bankruptcy Code contains an intricate and comprehensive framework governing voluntary and involuntary bankruptcy filings for various persons and entities. The statutory scheme governs the filing and adjudication of bankruptcy petitions, creditor claims, adversary proceedings and counterclaims. Although the Bankruptcy Code incorporates state law in various respects, the code generally prescribes which debts are dischargeable and which claims are allowable, as well as administration of the entire bankruptcy process. Further, the code empowers the Bankruptcy Court to prevent litigants from misusing the bankruptcy process by authorizing the court, among other things, to address abuses of process (*see* 11 USC § 105 [a]), dismiss certain petitions for abuse (*see e.g.* 11 USC §§ 303 [i] [2]; 707 [b]; 1112), grant relief from the automatic stay (*see* 11 USC § 362 [d] [1]), or issue sanctions for willful violations of the stay (*see* 11 USC § 362 [k] [1]).

IV.

[1] With the foregoing background in mind, we turn to application of the preemption doctrine to the facts of this case. Defendants make no claim of express preemption. Further,

while defendants argue that field preemption precludes assertion of plaintiff's tort claims in state court due to the comprehensive federal regulation of bankruptcy proceedings, in our view, this contention does not merit extended discussion. Certainly, the Bankruptcy Code thoroughly governs the litigation and settlement of controversies between debtors and creditors in connection with the bankruptcy estate; after all, Congress granted to federal district courts "exclusive jurisdiction of all cases under title 11" and "original but not exclusive jurisdiction of all civil proceedings arising under title 11, or arising in or related to cases under title 11" (28 USC § 1334 [a], [b]), which they typically refer to bankruptcy courts (*see* 28 USC § 157 [a]). Indeed, the Bankruptcy Code generally sets out the law that applies to bankruptcy petitions and claims filed in each bankruptcy case. However, defendants cite no provision of the code that suggests a congressional intent to interfere with the authority of state courts to provide traditional tort remedies for claims brought by a *nondebtor* against alleged *nondebtor* tortfeasors for interference with contractual agreements that exist independently of a bankruptcy proceeding (*cf. Balbuena*, 6 NY3d at 357). In fact, defendants concede that the Bankruptcy Code would provide no remedy for plaintiff's claims as asserted against defendants. To be sure, congressional silence as to remedies against third parties may not be dispositive. However, defendants point to nothing in the language, structure, or history of the Bankruptcy Code to support their contention that—in addition to occupying the field of bankruptcy adjudication as between debtors and creditors—Congress clearly and manifestly expressed an intent to encroach upon the State's dominion by foreclosing tort remedies for claims that are not asserted by or against a debtor and do not affect the bankruptcy estate, thereby removing all available judicial recourse for plaintiffs injured by tortious conduct of nondebtors if there is any tangential connection to a bankruptcy proceeding (*see Rosenberg v DVI Receivables XVII, LLC*, 835 F3d 414, 419 [3d Cir 2016]). To the extent that federal law occupies the field of bankruptcy, the state law claims presented here do not trigger such preemption because they do not implicate debtor-creditor disputes relating to the bankruptcy estate.

The more complex question is whether plaintiff's tortious interference claims are impliedly preempted in accordance with principles of conflict preemption insofar as defendants suggest

that permitting such claims to proceed in state court will undermine the accomplishment and execution of the full purposes and objectives of the Bankruptcy Code. “What is a sufficient obstacle [for purposes of preemption] is a matter of judgment, to be informed by examining the federal [law] as a whole and identifying its purpose and intended effects” (*Crosby v National Foreign Trade Council*, 530 US 363, 373 [2000]). Significantly, “the conflict between state law and federal policy must be a sharp one” and “federal law does not preempt state law under obstacle preemption analysis unless the repugnance or conflict is so direct and positive that the two acts cannot be reconciled or consistently stand together” (*Figueroa v Foster*, 864 F3d 222, 235 [2d Cir 2017] [internal quotation marks and citations omitted]; *Witco Corp. v Beekhuis*, 38 F3d 682, 687 [3d Cir 1994]; see also *Boyle v United Technologies Corp.*, 487 US 500, 507 [1988]).

In their bid for dismissal of plaintiff’s claims, defendants do not identify any specific Bankruptcy Code provisions that have preemptive effect. Instead, defendants cite to various court cases addressing bad-faith filing or abuse of process claims, and analogize plaintiff’s tortious interference causes of action to such claims. In that regard, courts have most often confronted preemption in the bankruptcy context in relation to attempts by creditors and debtors to lodge state tort claims against each other for malicious prosecution or abuse of process, alleging bad-faith filings in a bankruptcy proceeding or wrongful conduct within that proceeding. Judicial authorities are divided on whether such claims are preempted. However, it is fair to say that the majority of courts have held that such tort claims—those premised upon a bankruptcy filing, itself, or other alleged wrongful conduct within a bankruptcy proceeding—are preempted (see e.g. *Metcalf v Fitzgerald*, 333 Conn 1, 3, 214 A3d 361, 365 [2019], *cert denied* 589 US —, 140 S Ct 854 [2020]; *Longnecker v Deutsche Bank Nat. Tr. Co.*, 842 NW2d 680 [Iowa Ct App 2013] [table; text at 2013 WL 6700312, 2013 Iowa App LEXIS 1303 (2013)]; *PNH, Inc. v Alfa Laval Flow, Inc.*, 130 Ohio St 3d 278, 285, 958 NE2d 120, 127, 2011-Ohio-4398, ¶ 31 [2011]; *Stone Crushed Partnership v Kassab Archbold Jackson & O’Brien*, 589 Pa 296, 303, 908 A2d 875, 880 [2006]; *Pertuso v Ford Motor Credit Co.*, 233 F3d 417, 426 [6th Cir 2000]; *Smith v Mitchell Const. Co., Inc.*, 225 Ga App 383, 386, 481 SE2d 558, 561 [1997]; *MSR Exploration, Ltd. v Meridian Oil, Inc.*, 74 F3d 910, 911 [9th Cir 1996]; *Gonzales v*

Parks, 830 F2d 1033, 1035 [9th Cir 1987]; *but see Graber v Fuqua*, 279 SW3d 608, 613-614 [Tex 2009]; *U.S. Express Lines Ltd. v Higgins*, 281 F3d 383, 393 [3d Cir 2002]).

[2] We need neither adopt nor reject the reasoning of these courts to resolve the instant appeal. It suffices to say that, where a tort claim is premised upon a bankruptcy filing, itself, or on conduct that occurs within a bankruptcy proceeding and under the purview of the Bankruptcy Court, the obstacle presented by state tort remedies is more readily discerned. Parallel tort actions in state court against a debtor or creditor based on that party's alleged wrongful conduct in a bankruptcy proceeding risks subverting the Bankruptcy Court's authority to adjudicate the validity of bankruptcy filings, or otherwise producing inconsistent standards or outcomes between state and federal law. Indeed, the Bankruptcy Code provides remedies for such claims as asserted between debtors and creditors by, for example, authorizing dismissal of bad-faith filings and empowering the Bankruptcy Court to take measures to prevent any abuse of process. While some courts have reasoned that "[s]tate courts are not authorized to determine whether a person's claim for relief under a federal law, in a federal court, and within that court's exclusive jurisdiction, is an appropriate one" (*Gonzales*, 830 F2d at 1035; *see e.g. Metcalf*, 333 Conn at 13, 214 A3d at 370), in our view, this same obstacle is not presented under the circumstances here because no question is raised as to the propriety of the bankruptcy proceedings. Plaintiff's tortious interference claims—asserted against defendants who were not debtors in the bankruptcy proceedings and which are premised upon conduct that occurred prior to those proceedings—are peripheral to, and do not impugn, the bankruptcy process.

Significantly, plaintiff seeks to sue nondebtor third parties for alleged wrongful conduct that occurred prior to, and separate from, the bankruptcy proceedings. The Bankruptcy Code, however, is overwhelmingly concerned with *the debtor's* estate. Bankruptcy law and, in particular, chapter 11 bankruptcy, aims to "permit[] business debtors to reorganize and restructure their debts in order to revive the debtors' businesses" and "maximiz[e] the value of the bankruptcy estate" (*Toibb v Radloff*, 501 US 157, 163 [1991]). The accomplishment of these purposes relies upon the proper composition and allocation of the debtor's estate. Consequently, federal courts have "exclusive jurisdiction . . . of all the property, wherever located, of the

debtor as of the commencement of such case, and of property of the estate” (28 USC § 1334 [e] [1]).

In light of these purposes of the Bankruptcy Code, a significant component of a preemption analysis in the bankruptcy context must be the degree to which the state claims interfere with the administration of the debtor’s estate. Here, resolution of plaintiff’s claims in state court does not risk interference with the Bankruptcy Court’s control over, or disposition of, the bankruptcy estate insofar as the present suit does not impair the debtors’ estates. The debtors in the bankruptcy proceedings—i.e., the borrowers—are unaffected by whether plaintiff prevails on its tort claims against defendants, and the state action has no impact on the borrowers’ ability to obtain a “fresh start” (*Marrama*, 549 US at 367 [internal quotation marks omitted]).

It is not disputed that valid contracts existed between plaintiff and the borrowers. Plaintiff’s claims arising out of the borrowers’ breach of those contracts *as asserted against the borrowers* were resolved by the bankruptcy proceeding. Here, plaintiff alleges that defendants knew of the relevant contractual terms and deliberately induced the borrowers’ violations of those terms prior to the bankruptcy proceedings. In other words, plaintiff’s allegations state a claim for tortious interference with contract, and the remedy for that tort will not affect the debtor’s estate. As such, these claims will not encroach upon the province of the Bankruptcy Court. Stated simply, plaintiff’s claims “do[] not require the adjudication of rights and duties of creditors and debtors under the Bankruptcy Code” (*Davis v Yageo Corp.*, 481 F3d 661, 679 [9th Cir 2007]; cf. *In re Extended Stay Inc.*, 435 BR 139, 151-152 [SD NY 2010]).

Rather, plaintiff alleges that certain conduct engaged in by defendants—before the bankruptcy proceedings were even commenced—tortiously interfered with its contractual rights under various loan agreements. Litigation of those claims will require resolution of whether: plaintiff had a valid contract with the borrowers; defendants had knowledge of that contract and its relevant terms; defendants intentionally and improperly induced a breach of that contract; and plaintiff sustained damages caused by that conduct (see *Oddo Asset Mgt. v Barclays Bank PLC*, 19 NY3d 584, 594 [2012]; *White Plains Coat & Apron Co., Inc. v Cintas Corp.*, 8 NY3d 422, 426 [2007]). Contrary to the dissent’s assertion, our state courts will not be

asked to determine whether the borrowers' bankruptcy petitions were filed in bad faith or whether defendants engaged in some wrongful conduct during the bankruptcy proceedings themselves. Regardless of whether the *borrowers* filed for bankruptcy in good or bad faith (*see generally* 11 USC § 362 [d] [1]), "plaintiff may recover damages for tortious interference with contractual relations even if . . . defendant[s] w[ere] engaged in lawful behavior" to the extent that their conduct, as non-debtors, is not alleged to have been in violation of the Bankruptcy Code (*NBT Bancorp v Fleet/Norstar Fin. Group*, 87 NY2d 614, 621 [1996]). As defendants may be found to have tortiously interfered with plaintiff's contractual rights prior to the bankruptcy proceedings without any inquiry by the state court into whether any provision of the Bankruptcy Code was violated, those cases relied on by defendants and the dissent addressing preemption of bad-faith filing or abuse of process claims as between debtors and creditors are inapposite.

Defendants and the dissent point to *Choy v Redland Ins. Co.* (103 Cal App 4th 789, 796, 127 Cal Rptr 2d 94, 99 [2002]) and *Astor Holdings, Inc. v Roski* (325 F Supp 2d 251, 263 [SD NY 2003]) as compelling support for the conclusion that preemption is applicable here. Reliance on these cases is unpersuasive. In *Choy*, a California court concluded that the plaintiff's claim was preempted where plaintiff alleged that the defendants "induced" a debtor to "file a bankruptcy petition" in "order to benefit themselves" (103 Cal App 4th at 801, 127 Cal Rptr 2d at 102-103). Likewise, *Astor* "involved allegations that the defendant induced a third party to file for bankruptcy, harming the plaintiff" (325 F Supp 2d at 262). Unlike in *Choy* and *Astor*, where the filing of the bankruptcy petitions themselves was "the basis" of the plaintiffs' claims (*id.*), plaintiff here does not allege that defendants induced the borrowers' bankruptcy petition but, rather, that they induced breaches of independent contractual provisions prohibiting asset and interest transfers and certain types of indebtedness.⁸

Federal case law addressing bankruptcy preemption of state law tort claims against third parties differentiates between those claims that are based on conduct that occurs during

8. Indeed, the District Court permitted certain of the plaintiff's claims in *Astor* to proceed, including a claim that the defendant had tortiously interfered with a bankruptcy settlement agreement between the plaintiff and a debtor (*see Astor Holdings, Inc. v Roski*, 325 F Supp 2d 251, 270 [SD NY 2003]).

bankruptcy, and conduct undertaken by a third party before commencement of a bankruptcy proceeding. Contrary to the dissent's view, those cases neither find preemption merely because some fact questions might overlap with bankruptcy proceedings, nor base preemption on whether the damages resulting from a state law tort or contract action would be calculated by the delay caused by the bankruptcy proceedings.

As the dissent observes, the Ninth Circuit Court of Appeals has held that federal law preempts state courts from determining a creditor's claim against a debtor asserting that the filing of a bankruptcy petition was an abuse of process (*see Gonzales v Parks*, 830 F2d 1033, 1035 [9th Cir 1987]) and a debtor's allegation that a creditor's assertion of a claim in a bankruptcy proceeding constituted malicious prosecution (*see MSR Exploration, Ltd. v Meridian Oil, Inc.*, 74 F3d 910, 911 [9th Cir 1996]; *see also In re Miles*, 430 F3d 1083, 1086, 1092-1093 [9th Cir 2005] [holding that federal law preempted state claims alleging that "various (involuntary) bankruptcy filings and/or prosecution of them caused great emotional, physical, mental and psychological suffering and distress"])). However, the Ninth Circuit's holding in *Davis v Yageo Corp.* (481 F3d 661, 679 [9th Cir 2007]) undercuts the dissent's view that these cases support the proposition that any tort claims alleging that the damages incurred are causally connected to a bankruptcy proceeding are preempted.

In *Davis*, the complaint of minority shareholders alleged "that the directors and majority shareholder engaged in self-dealing to the detriment of the corporation through their decision to pursue bankruptcy and sought damages for breach of fiduciary duty under California state law" (*id.* at 679). The defendants argued that the plaintiffs' state law causes of action were preempted because they essentially constituted claims that defendants had "improperly used the bankruptcy process" (*id.* at 678). The Ninth Circuit clarified that its prior cases, including *Gonzales v Parks* (830 F2d 1033 [1987]), *MSR Exploration, Ltd. v Meridian Oil, Inc.* (74 F3d 910 [1996]) and *In re Miles* (430 F3d 1083 [2005]), "hold only that state law causes of action for abuse of process and malicious prosecution involving conduct that occurred *during* bankruptcy are preempted" (*Davis*, 481 F3d at 678). The court explained that, by contrast, the plaintiffs' claims in *Davis* were not preempted because they "concern[ed] conduct that occurred prior to bankruptcy" and did "not require the adjudication of rights and duties of credi-

tors and debtors under the Bankruptcy Code” (*id.* at 678, 679 [emphasis omitted]). The same is true here. Furthermore, the Ninth Circuit declined to hold the claims preempted despite the fact that the plaintiffs’ damages could be traced to the bankruptcy proceeding, as the measure of the damages alleged was the difference in the value of the company’s shares before and after the defendants’ decision to file for bankruptcy (*see id.* at 674). Thus, the *Davis* court recognized that it is the nature of the legal claim, not the measure of damages, that is relevant to determining whether a state law claim is preempted.

As the dissent observes, plaintiff could have pursued a request for dismissal of the bankruptcy proceedings or relief from the automatic stay. However, the Bankruptcy Court’s determination of any such request, while potentially reducing the amount of plaintiff’s ultimate damages, would not have resolved the question of whether defendants’ conduct was tortious and, as already noted, defendants do not claim that any remedy was available to plaintiff in the bankruptcy proceedings to compensate plaintiff for *defendants’* alleged wrongdoing. Thus, this is not a situation where state and federal law provide “two separate remedies” for identical grievances, thereby leading to an inevitable conflict (*compare Garner v Teamsters*, 346 US 485, 498-499 [1953] [state remedy of granting injunction against picketing conflicted with federal law where federal law authorized National Labor Relations Board to issue cease and desist order or injunction if picketing violated federal labor law]).

In addition, viewing the Bankruptcy Code as a whole to discern the relevant congressional intent, it is noteworthy that the code expressly authorizes the court to award judgment for monetary damages “proximately caused by” a bad-faith petition or punitive damages for a bad-faith petition only in the context of involuntary bankruptcy petitions (11 USC § 303 [i] [2] [A], [B]). No comparable statutory authorization for compensatory monetary damages exists in voluntary proceedings, weakening defendants’ argument in support of federal preemption here (*see In re Repository Tech., Inc.*, 601 F3d 710, 724 [7th Cir 2010]). In lieu of an express federal remedy authorizing monetary damages for bad-faith voluntary bankruptcy petitions—such as the one that exists for involuntary petitions filed in bad faith—the dissent offers several alternatives, none of which would permit recovery of the tort damages sought here and none of which address wrongs committed by a

nondebtor third party. Dismissal of the bankruptcy petition (*see generally* 11 USC § 1112 [b]) or lifting of the automatic stay (*see* 11 USC § 362 [d] [1])—the remedies relied on by defendants and the dissent to support preemption—merely operate to prevent future damages from accumulating; such remedies do not compensate for past injuries. Similarly, the sanctions available under the Federal Rules of Bankruptcy Procedure do not, and are not intended to, compensate an injured third party (*see* Fed Rules Bankr Pro rule 9011 [c]). The existence of these remedies, then, is insufficient evidence of Congress’s preemptive intent with respect to actions such as the instant one, inasmuch as none of the remedies extend to the pre-filing conduct of third-party tortfeasors (*cf. In re Repository Tech., Inc.*, 601 F3d at 724 [drawing distinction between voluntary and involuntary bad-faith filings in complete preemption analysis based on the lack of a damages remedy in voluntary petition cases]). Under these circumstances, any obstacle presented by plaintiff’s tort claims, to the extent it exists, is simply too tenuous to trigger preemption.

A different conclusion is not necessitated by defendants’ argument that, when the alleged tortious conduct consists of a scheme to hinder a creditor’s ability to obtain expeditious resolution of a bankruptcy proceeding, permitting plaintiffs to assert tortious interference claims in state court against non-debtors may generate some tension between the state court action and the bankruptcy proceeding insofar as the alleged damages may flow from the delay occasioned by the latter. “The mere fact of ‘tension’ between federal and state law is generally not enough to establish an obstacle supporting preemption, particularly when the state law involves the exercise of traditional police power” (*Madeira v Affordable Hous. Found., Inc.*, 469 F3d 219, 241 [2d Cir 2006]; *see Silkwood*, 464 US at 256; *see also Davis*, 481 F3d at 679).

Defendants and various amici speculate that permitting plaintiff’s state law claims to proceed will open the floodgates of litigation against attorneys who facilitate bankruptcy filings or provide other legal advice to debtors, debt counseling agencies, restructuring firms, and lenders to distressed borrowers. We are confident that these concerns are overstated and, in any event, more appropriately addressed through the proper application of our tort law. In that regard, while we do not opine on the merits of plaintiff’s tortious interference claims here, we note that New York courts have been skeptical of the

viability of claims that attorneys, acting as agents of their clients, may be liable for tortious interference based on the provision of legal advice (see e.g. *Little Rest Twelve, Inc. v Zajic*, 137 AD3d 540, 541 [1st Dept 2016]; *Burger v Brookhaven Med. Arts Bldg.*, 131 AD2d 622, 623-624 [2d Dept 1987]; *Kartiganer Assoc. v Town of New Windsor*, 108 AD2d 898, 899 [2d Dept 1985], *appeal dismissed* 65 NY2d 925 [1985]; *Goldner v Sullivan, Gough, Skipworth, Summers & Smith*, 105 AD2d 1149, 1150 [4th Dept 1984]). Liability against debt counseling organizations on such a theory likewise seems speculative; many potential bankruptcy petitioners are financially bereft and close to breaching contracts with creditors, if not already in breach, due to their inability to satisfy their financial obligations. Plaintiffs alleging tortious interference may have difficulty establishing the elements of the claim, such as causation or improper inducement on the part of such agencies. Finally, we are not persuaded that any remaining risk of liability assumed by lenders who intentionally and improperly induce breaches of known contractual obligations by an entity that subsequently files for bankruptcy sufficiently “frustrate[s] ‘a significant objective’ ” of the Bankruptcy Code so as to compel preemption (*Doomes*, 17 NY3d at 603 [emphasis omitted], quoting *Williamson v Mazda Motor of America, Inc.*, 562 US 323, 330 [2011]).⁹

In sum, defendants have failed to meet their heavy burden of establishing that federal bankruptcy law preempts plaintiff’s tortious interference claims that are based on pre-petition conduct and asserted against nondebtor defendants. Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to the Appellate Division for consideration of issues raised but not determined on the appeal to that Court.

RIVERA, J. (dissenting). Plaintiff seeks to recover for damages allegedly caused by bankruptcies that it accuses defendants of facilitating solely to prevent recovery of collateral owed to plaintiff by one of the bankruptcy debtors. Plaintiff chose to forgo the array of federal remedies available to a creditor, like

9. The dissent notes that plaintiff has repurchased the property and received a judgment against the loan guarantors for at least part of the funds loaned to borrowers (dissenting op at 340). Needless to say, the fact that this plaintiff may have secured legal entitlement to recover from other parties a portion of its alleged damages resulting from defendants’ conduct is irrelevant to the preemption question before us.

plaintiff, for such alleged misuse of the bankruptcy system. Plaintiff could have sought dismissal of the bankruptcy proceedings, relief from the automatic stay preventing plaintiff's recovery of the collateral, foreclosure on the property, or sanctions against the debtors for their improper conduct. Instead, plaintiff took a different course and allowed the bankruptcy claims to proceed, causing the alleged damages to accrue, only to file this separate action in state court against defendants for tortious interference with contract to recover the same damages. But "no *authorized proceeding* in bankruptcy can be questioned in a state court or used as the basis for the assertion of a tort claim in state court against any defendant" (*Astor Holdings, Inc. v Roski*, 325 F Supp 2d 251, 262 [SD NY 2003] [citation omitted]). Therefore, the Appellate Division properly dismissed the state tort action. To put it bluntly, federal law preempts plaintiff's work-around of the bankruptcy system.

I.

A. The Loans and the Bankruptcy Action

Joseph Beninati aspired to develop a towering, waterfront apartment building in Midtown Manhattan in the historic enclave of Sutton Place on the East River (the project). The project involved several entwined business entities. Beninati owned a membership interest in BH Sutton Owner LLC (Sutton owner), which owned a 100% membership interest in BH Sutton Mezz LLC (mezz borrower). Sutton 58 Owner LLC (mortgage borrower) was a wholly owned subsidiary of mezz borrower and owner of the real property where the project was to be constructed.

Plaintiff, Sutton 58 Associates LLC, loaned to mezz borrower and mortgage borrower (collectively, borrowers) an aggregate principal loan of \$147,250,000 to finance construction of the building. The loans were documented in a mezzanine loan structure consisting of various loan agreements with provisions commonly used in the real estate development industry. As relevant to this appeal, borrowers covenanted to at all times remain "Special Purpose Bankruptcy Remote Entities" unencumbered by additional indebtedness and to refrain from own-

ing any assets other than the project.¹ Together, these covenants limited borrowers to developing the project.

The loans matured, and borrowers defaulted. Plaintiff issued notices of default and sought to recover its agreed upon collateral by notice of a UCC auction sale of mezz borrower's membership interest in mortgage borrower. Borrowers sought to enjoin the sale in state court, alleging, among other things, that plaintiff's attempt to foreclose on the collateral without complying with the statutory procedures for foreclosing on a mortgage loan resulted in an "improper clogging of [mortgage borrower]'s [unwaivable] equity of redemption in the real property." Finding that borrowers failed to establish irreparable harm, likelihood to succeed on the merits, or that the equities tipped in their favor, Supreme Court denied borrower's motion to enjoin the UCC sale and ordered that the sale go forward.

Three days before the scheduled UCC sale, mezz borrower filed a voluntary petition for reorganization under chapter 11 of the Bankruptcy Code. Mezz borrower attached an affidavit affirming that its filing was precipitated by plaintiff's attempt to foreclose on mezz borrower's membership interest in mortgage borrower, in which mezz borrower held "substantial equity."

Two weeks later, plaintiff moved the Bankruptcy Court to dismiss mezz borrower's petition under 11 USC § 1112 (b), or, in the alternative, to modify the automatic stay under 11 USC § 362 (d) (1). Plaintiff argued that mezz borrower was a "special purpose, bankruptcy remote, holding company" and the petition was "a classic bad-faith filing" only pursued by mezz borrower after Supreme Court "rejected [mezz borrower's] last ditch attempt to stave off a fully noticed UCC foreclosure." Plaintiff further characterized the petition as a "litigation tactic without the intention or serious hope of reorganizing" through bankruptcy.

1. A special purpose bankruptcy remote entity, in accordance with the loan documents, is a corporation, limited partnership or limited liability company that, among other characteristics, is organized solely for the purpose of owning the project asset, and refrains from engaging in any business unrelated to ownership of the project or holding any additional assets other than the project. In comparison, the Bankruptcy Code defines "single asset real estate" as real property "constituting a single property or project, . . . which generates substantially all of the gross income of a debtor . . . and on which no substantial business is being conducted by a debtor other than the business of operating the real property and activities incidental thereto" (11 USC § 101 [51B]).

In mezz borrower's opposition to plaintiff's motion to dismiss, mezz borrower painted a different picture. "Contrary to the position advanced by [plaintiff], this case is not a simple two[-]party dispute without creditors. Rather, it is a complex commercial transaction involving insatiable greed and disturbing facts." Mezz borrower explained that it was not a "shell entity" but owned 100% of the membership interest in mortgage borrower as well as contracts to purchase air rights and assets that constituted the project, which had been appraised at a value of \$181,000,000, "an amount well in excess of any purported amounts claimed by [plaintiff] and all unsecured debt." In short, mezz borrower alleged that "review of the loan documents, exorbitant fees, transaction costs and reserves illustrate[d] a strange and unconscionable transaction," brokered by a lender who "sat at both sides of the negotiating table."

Prior to the hearing on the motion, mortgage borrower filed for reorganization under chapter 11, and mezz borrower subsequently filed for joint administration of borrowers' bankruptcy petitions. Borrowers represented to the Bankruptcy Court that their bankruptcy filings "prevented their unscrupulous lenders from engaging in illegal activity through a 'back door play' against [borrowers]."² Following plaintiff's withdrawal of its motion, the court consolidated the two bankruptcies for joint administration. Within a few months, plaintiff and a creditors' committee jointly filed a reorganization plan that was accepted and confirmed by the Bankruptcy Court.

2. Borrowers, seeking to subordinate and reduce the amount they owed defendants on the subject loans, commenced another action, an adversarial proceeding in bankruptcy court, alleging improper conduct by plaintiff and several nonparty entities (adversarial defendants), through their principals. Borrowers alleged breach of contract, breach of implied duty of good faith and fair dealing, contractual unconscionability, fraud, deceit, estoppel, equitable subordination, objection to claim, criminal usury, unjust enrichment and lender liability by the adversarial defendants. Borrowers also sought declaratory relief to determine the nature, extent, and validity of the defendants' liens against the project.

After a bench trial, the court found that borrowers failed to establish a basis for liability on all claims except the alleged criminal usury because one of the loans at issue carried a rate in excess of New York's criminal usury statute. The adversarial defendants agreed to waive their claim for interest on the building loan, which reduced plaintiff's secured claim under the loan agreements. The court further ordered that the adversarial defendants, including plaintiff here, were entitled to a credit bid of all or such portion of its allowed secured claims with respect to the sale of borrowers' assets.

B. Plaintiff's Tortious Interference Claims

During the pendency of the bankruptcies, plaintiff brought this action for tortious interference with contract against Prime Alliance Group, Ltd., and Sutton Opportunity LLC, and their three individual owners and managers, Philip Pilevsky and his sons Michael and Seth, in state court. Plaintiff alleged that the borrowers' bankruptcies, which defendants facilitated through their tortious conduct, stayed the foreclosure proceeding, causing plaintiff to incur damages and attorney's fees.³ Borrowers' bankruptcies predominate plaintiff's narrative of the many vicissitudes of the underlying commercial transaction and the various litigations arising therefrom, including this appeal. Indeed, "bankruptcy" is mentioned 56 times in 41 of the 125 paragraphs of the complaint.

According to plaintiff, defendants were instrumental in a two-part scheme to prevent it from recovering its collateral for the loan maturity defaults.

"Defendants, who were strangers to the Project, intentionally and improperly caused these contractual breaches in a scheme to benefit themselves and obtain an ownership interest in the Project The . . . Scheme had two parts. . . .

"First, when plaintiff tried to exercise its agreed-upon contractual remedies following the maturity defaults, Philip Pilevsky caused Prime Alliance to lend Mezz Borrower \$50,000 (the 'Pilevsky Loan') to retain a law firm (in which another Pilevsky is a partner) to file a petition for bankruptcy that prevented plaintiff from exercising those remedies. This caused Mezz Borrower to breach no fewer than five contractual obligations to plaintiff . . . : (a) not to file a petition for bankruptcy; (b) not to incur debt other than 'Permitted Indebtedness'; (c) to pay its liabilities out of its own funds and assets; (d) to

3. The majority is only partially correct that plaintiff sought damages "because the bankruptcy proceeding was more protracted due to the borrowers no longer qualifying as single asset real estate entities" (majority op at 303). Plaintiff also sought damages incurred as a result of defendants' facilitation of the bankruptcy (by loaning funds to mezz borrower to commence its bankruptcy petition), which, in turn, triggered an automatic stay of the foreclosure sale. In other words, according to plaintiff, defendants caused an injury in tort, in the first instance, merely by the fact of mezz borrower filing its bankruptcy petition.

consider the interests of plaintiff in connection with all of its corporate actions; and (e) to remain a special purpose bankruptcy remote entity. . . .

“Second, Michael Pilevsky and Seth Pilevsky caused Sutton Opportunity to transfer three rental apartments . . . (the ‘Pilevsky Apartments’) to Mortgage Borrower to evade a fundamental protection in favor of plaintiff under bankruptcy law. . . . The Pilevsky Apartment transaction caused Mortgage Borrower to breach no fewer than seven contractual obligations to plaintiff . . . : (a) not to file a petition for bankruptcy; (b) not to own any real property or assets other than the Project property; (c) not to engage in any business unrelated to the Project; (d) not to make or permit the sale or transfer of any indirect interest in Mortgage Borrower; (e) to pay its liabilities out of its own funds and assets; (f) to consider the interests of plaintiff in connection with all corporate actions; and (g) to remain a special purpose bankruptcy remote entity.”

Plaintiff further claimed that defendants knowingly and willfully precipitated borrowers’ misuse of the bankruptcy system.

“Philip Pilevsky has sworn under penalty of perjury that he caused Prime Alliance to make the Pilevsky Loan ‘so that [Mezz Borrower] could file for reorganization under Chapter 11 of the Bankruptcy Code.’ . . . The Pilevsky Loan was made, and Mezz Borrower’s bankruptcy petition was filed, just after this Court issued an order allowing plaintiff to foreclose and on the eve of that foreclosure. Mezz Borrower’s managing member has sworn that Mezz Borrower filed for bankruptcy in order to avoid that foreclosure, which is a breach of Mezz Borrower’s contract with plaintiff. . . .

“The Pilevsky Apartments transaction was similarly willful and improper. The defendants urgently sought to get the Pilevsky Apartments into the hands of Mortgage Borrower, which immediately upon receipt of the Pilevsky Apartments filed a bankruptcy petition stating that it was not subject to the Bankruptcy Code’s restrictions on bank-

ruptcy filings by ‘Single Asset Real Estate’ businesses. Mortgage Borrower’s managing member has sworn under oath that the transaction was intended ‘to bring in equity’ and unrelated real estate, which are breaches of Mortgage Borrower’s contract with plaintiff.”

According to plaintiff, the sole purpose of these machinations was to prevent plaintiff from swiftly recovering its collateral.

Plaintiff also alleged that the scheme allowed mortgage borrower to end its status as a single asset real estate entity in order to “dodge” the applicable Bankruptcy Code provisions.

“The Bankruptcy Code, for good reason, disfavors a Single Asset Real Estate entity using bankruptcy to defeat the ordinary contractual remedies of its secured lender (here, plaintiff). Michael Pilevsky and Seth Pilevsky caused Sutton Opportunity to transfer the Pilevsky Apartments to Mortgage Borrower in order to allow it to seek to dodge these Bankruptcy Code provisions and to continue to avoid the consequences of its maturity defaults.”

To summarize the manipulative purpose of the bankruptcy filings, plaintiff explained that

“[t]he Bankruptcy Code reflects a specific public policy that protects lenders to single asset real estate projects from ‘eve of foreclosure’ bankruptcy filings that delay lenders’ rights to exercise their remedies. The Project at issue here is exactly the type of property covered by these statutory protections. The Pilevsky Apartments were transferred to Mortgage Borrower so that it could represent that it was not a Single Asset Real Estate business. . . .

“If Mortgage Borrower were engaged in a Single Asset Real Estate business, 11 U.S.C. § 362(d)(3) would allow plaintiff relief from the automatic stay to proceed with its foreclosure unless, within 90 days, the debtor starts servicing the mortgage debt or the debtor has filed a plan of reorganization that has a reasonable possibility of being confirmed within a reasonable time. . . .

“If Mortgage Borrower were engaged in a Single Asset Real Estate business, 11 U.S.C.

§ 362(d)(3)(B)(ii) would allow plaintiff to be relieved from the Bankruptcy Code's automatic stay and to proceed with its maturity default remedies against Mortgage Borrower if Mortgage Borrower did not pay monthly interest payments to plaintiff within ninety days of the petition date."

Critically, plaintiff alleged that defendants' prebankruptcy conduct adversely affected plaintiff's rights as a creditor in the bankruptcy proceedings.

"Section 362(d)(3)(B)(ii) would apply here. On the date it filed for bankruptcy, Mortgage Borrower had no liquid assets, no income-generating assets, no employees, and no ability to make such monthly interest payments to plaintiff. . . .

"Furthermore, if Mortgage Borrower were engaged in a Single Asset Real Estate business, 11 U.S.C. § 362(d)(3)(B)(i) would allow plaintiff to be relieved from the Bankruptcy Code's automatic stay and to proceed with its maturity default remedies against Mortgage Borrower if Mortgage Borrower did not file, within ninety days of the petition date, a plan of reorganization that has a reasonable possibility of being confirmed within reasonable time. A Chapter 11 debtor that is not engaged in a Single Asset Real Estate business does not need to satisfy this requirement in order to benefit from the Bankruptcy Code's automatic stay. . . .

"Section 362(d)(3)(B)(i) would apply here. Mortgage Borrower was not able to file a plan for reorganization within ninety days of its April 6, 2016 petition date. The plan for reorganization Mortgage Borrower ultimately filed outside that time period does not have a reasonable possibility of being confirmed within a reasonable time. It calls for months of discovery and litigation before the bankruptcy court will even rule on it. And it requests the Property to be sold at a public sale after the conclusion of that litigation, even though Mortgage Borrower has a single secured creditor, plaintiff, and unsecured obligations that are dwarfed in size by plaintiff's secured claim."

These excerpts of the complaint amply demonstrate that plaintiff's tort claims arise from, and seek damages caused

solely by, the bankruptcy filings. Without the bankruptcy filings there would have been no automatic stay, which means no delay, and no damages. Plaintiff can prevail on its state claims only if it establishes that defendants caused these damages from debtors' alleged bad-faith filings and misuse of the bankruptcy system.

Defendants moved for summary judgment on preemption grounds. The court denied the motion, concluding that borrowers' breaches of the loan agreements had nothing to do with bankruptcy, and it would not have to rule on the question of bad-faith filings, which was not addressed by the bankruptcy court. The Appellate Division reversed and granted defendants summary judgment as "plaintiff's damages [arose] only because of the bankruptcy filings" and are thus preempted (168 AD3d 477, 477 [1st Dept 2019]).

Plaintiff has recast as state law causes of action what are in fact complaints of bad-faith filings and misuse of the bankruptcy system. Litigation of these claims in state court frustrates the congressional purpose of the Bankruptcy Code's remedial provisions. It allows plaintiff to forgo its federal remedies to avoid the damages it now claims to have incurred, even as it participates in the bankruptcies and recovers its collateral, and while it simultaneously requests that a state court declare it has been damaged by the improper actions taken in those same proceedings. The Appellate Division got it right; these claims are preempted.

II.

A. Federal Bankruptcy Law Preemption of State Claims

The Supremacy Clause of the United States Constitution commands that federal law is "the supreme Law of the Land; and the Judges in every State shall be bound thereby, any Thing in the Constitution or Laws of any State to the Contrary notwithstanding" (US Const, art VI, cl 2). In accordance with the clause's preemption mandate, courts "must not give effect to state laws that conflict with federal laws" (*Armstrong v Exceptional Child Center, Inc.*, 575 US 320, 324 [2015], citing *Gibbons v Ogden*, 22 US [9 Wheat] 1, 210 [1824]; accord *Cipollone v Liggett Group, Inc.*, 505 US 504, 516 [1992] ["(S)ince our decision in *McCulloch v. Maryland*, 4 Wheat. 316, 427 (1819), it has been settled that state law that conflicts with federal law is 'without effect'"]; *Murphy v National Collegiate Athletic*

Assn., 584 US —, —, 138 S Ct 1461, 1476 [2018] [(W)hen federal and state law conflict, federal law prevails and state law is preempted]). The Supremacy Clause “is essentially a power conferring provision, one that allocates authority between the national and state governments” (*Western Air Lines, Inc. v Port Auth. of N.Y. & N.J.*, 817 F2d 222, 225 [2d Cir 1987] [citation omitted]).

Whether state regulation of a particular subject matter “is invalid under the Supremacy Clause depends on the intent of Congress” (*Malone v White Motor Corp.*, 435 US 497, 504 [1978]; see also *In re Methyl Tertiary Butyl Ether [MTBE] Prods. Liab. Litig.*, 739 F Supp 2d 576, 602 [SD NY 2010] [(T)he touchstone of the doctrine of federal preemption is not fairness to the parties; it is Congressional intent]). “State action may be foreclosed by express language in a congressional enactment, by implication from the depth and breadth of a congressional scheme that occupies the legislative field, or by implication because of a conflict with a congressional enactment” (*Lorillard Tobacco Co. v Reilly*, 533 US 525, 541 [2001] [citations omitted]; see also *Balbuena v IDR Realty LLC*, 6 NY3d 338, 356 [2006] [“The Supremacy Clause, in article VI of the Constitution, may entail pre-emption of state law either by express provision, by implication, or by a conflict between federal and state law” (citation and internal quotation marks omitted)]).

I agree with defendants that litigation of the state claims conflicts with bankruptcy law.⁴ A conflict exists “where compliance with both federal and state regulations is a physical impossibility[,] or where the state law stands as an obstacle to the accomplishment and execution of the full purposes and objectives of Congress” (*Balbuena*, 6 NY3d at 356, quoting *Ray v Atlantic Richfield Co.*, 435 US 151, 158 [1978]). “What is a sufficient obstacle is a matter of judgment, to be informed by

4. Because I conclude that conflict preemption applies here, I have no occasion to opine on defendants’ field preemption argument. To the extent that the majority suggests that defendants are subject to a heavier burden to show preemption because state common-law remedies are at issue (see majority op at 316 [“defendants have failed to meet their heavy burden of establishing that federal bankruptcy law preempts plaintiff’s tortious interference claims that are based on pre-petition conduct and asserted against nondebtor defendants”]), I need not reach the issue. The question is whether Congress intended for the code’s remedial scheme to preempt plaintiff’s claims given the *nature* of the claims, not the theory of liability in which they sound.

examining the federal statute as a whole and identifying its purpose and intended effects” (*Crosby v National Foreign Trade Council*, 530 US 363, 373 [2000]). Critical to the analysis in this appeal, “when two separate remedies are brought to bear on the same activity, a conflict is imminent” (*Garner v Teamsters*, 346 US 485, 498-499 [1953]).

Under its federal constitutional power to establish “uniform Laws on the subject of Bankruptcies throughout the United States,” Congress enacted the Bankruptcy Code (US Const, art I, § 8, cl 4; accord *Kunzler v Kohaus*, 5 Hill 317, 324 [1843] [“The subject in respect to which uniform laws are authorized, is bankruptcy throughout the United States . . . (and) (t)he power conferred is without restriction, save in its uniformity” (emphasis omitted)]). The Bankruptcy Code “provides a comprehensive federal system of penalties and protections to govern the orderly conduct of debtors’ affairs and creditors’ rights” (*Eastern Equip. & Servs. Corp. v Factory Point Natl. Bank, Bennington*, 236 F3d 117, 120 [2d Cir 2001], citing 11 USC § 101 *et seq.*). The code provides a detailed procedure “by which [an] . . . insolvent debtor[] can reorder their affairs” and “make peace with their creditors” (*Grogan v Garner*, 498 US 279, 286 [1991]). It accomplishes this by enabling the continued operation of the subject estate through restructuring (*NLRB v Bildisco & Bildisco*, 465 US 513, 550 [1984]) and the “equitable distribution of the bankrupt’s estate” (*United States v Embassy Restaurant, Inc.*, 359 US 29, 31 [1959]). A good faith standard applies to bankruptcy petitions, which “furtheres the balancing process between the interests of debtors and creditors which characterizes so many provisions of the bankruptcy laws and is necessary to legitimize the delay and costs imposed upon parties to a bankruptcy” (*In re C-TC 9th Ave. Partnership*, 113 F3d 1304, 1310 [2d Cir 1997], quoting *Matter of Little Cr. Dev. Co.*, 779 F2d 1068, 1071-1072 [5th Cir 1986]).

To ensure the proper functioning of the bankruptcy system, Congress has provided remedies to prevent bad-faith filings and actions intended to misuse the bankruptcy process. “[S]uch misuse is governed exclusively by [the Bankruptcy] Code” (*As-tor Holdings*, 325 F Supp 2d at 262). These remedies include, among other things, granting relief from the automatic stay upon a showing that a petition is part of “a scheme to delay, hinder, or defraud creditors that involved either . . . transfer of all or part ownership of, or other interest in, [single asset real estate] without the consent of the secured creditor or court

approval” (11 USC § 362 [d] [4] [A]). A creditor may also seek to have the bankruptcy proceeding dismissed or have the proceeding converted to a proceeding under chapter 7 of the Bankruptcy Code (11 USC § 1112 [b]).⁵ Under rule 9011 of the Federal Rules of Bankruptcy Procedure, the court may impose sanctions against parties, attorneys or law firms that have filed a petition “for any improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of litigation” (Fed Rules Bankr Pro rule 9011 [b] [1]; *see also Midland Funding, LLC v Johnson*, 581 US —, — n 5, 137 S Ct 1407, 1419 n 5 [2017, Sotomayor, J., dissenting] [noting that rule 9011 of the Federal Rules of Bankruptcy Procedure “authorize(s) a court to impose sanctions on parties who willfully file meritless claims”]). Chapter 11 bankruptcy aims to “permit[] business debtors to reorganize and restructure their debts in order to revive the debtors’ businesses” and “maximiz[e] the value of the bankruptcy estate” (*Toibb v Radloff*, 501 US 157, 163 [1991]), but the Bankruptcy Code’s remedial framework evinces Congress’ clear and manifest interest to protect the proper “adjudication of rights and duties of *creditors*” under the code (*Davis v Yageo Corp.*, 481 F3d 661, 679 [9th Cir 2007] [emphasis added]).

The majority of courts to address the issue have concluded that state regulations, including tort actions, that conflict with this carefully designed federal statutory framework or obstruct its purpose are preempted (*see e.g. Metcalf v Fitzgerald*, 333 Conn 1, 28-29, 214 A3d 361, 379 [2019]; *PNH, Inc. v Alfa Laval Flow, Inc.*, 130 Ohio St 3d 278, 284-285, 958 NE2d 120, 126 [2011]; *Stone Crushed Partnership v Kassab Archbold Jackson*

5. The Second Circuit Court of Appeals has recognized the following non-exhaustive list of indicia of bad-faith conduct:

“(1) the debtor has only one asset; (2) the debtor has few unsecured creditors whose claims are small in relation to those of the secured creditors; (3) the debtor’s one asset is the subject of a foreclosure action as a result of arrearages or default on the debt; (4) the debtor’s financial condition is, in essence, a two party dispute between the debtor and secured creditors which can be resolved in the pending state foreclosure action; (5) the timing of the debtor’s filing evidences an intent to delay or frustrate the legitimate efforts of the debtor’s secured creditors to enforce their rights; (6) the debtor has little or no cash flow; (7) the debtor can’t meet current expenses including the payment of personal property and real estate taxes; and (8) the debtor has no employees” (*In re MBM Entertainment, LLC*, 531 BR 363, 408 [SD NY 2015], quoting *In re C-TC 9th Ave. Partnership*, 113 F3d at 1311; *see also* 9A Am Jur 2d, Bankruptcy § 911).

& *O'Brien*, 589 Pa 296, 313-314, 908 A2d 875, 886 [2006]; *Glan-non v Garrett & Assoc., Inc.*, 261 BR 259, 265 [D Kan 2001]; *Pertuso v Ford Motor Credit Co.*, 233 F3d 417, 426 [6th Cir 2000]; *Koffman v Osteoimplant Tech., Inc.*, 182 BR 115, 127 [D Md 1995]).

The Second Circuit has explained that

“(1) Congress placed bankruptcy jurisdiction exclusively in the district courts under 28 U.S.C. § 1334(a); (2) Congress created a lengthy, complex and detailed Bankruptcy Code to achieve uniformity; (3) the Constitution grants Congress exclusive power over the bankruptcy law; (4) the Bankruptcy Code establishes several remedies designed to preclude the misuse of the bankruptcy process; and (5) the mere threat of state tort actions could prevent individuals from exercising their rights in bankruptcy, thereby disrupting the bankruptcy process” (*Eastern Equip.*, 236 F3d at 121 [citation omitted], citing *MSR Exploration, Ltd. v Meridian Oil, Inc.*, 74 F3d 910, 913-916 [9th Cir 1996]).

Remedies for bad-faith filings and misuse of bankruptcy are well-covered terrain under the code. Accordingly, the propriety of a bankruptcy filing is solely within the jurisdiction of the Bankruptcy Court because “no *authorized proceeding* in bankruptcy can be questioned in a state court or used as the basis for the assertion of a tort claim in state court against any defendant” (*Astor Holdings*, 325 F Supp 2d at 262, quoting *Choy v Redland Ins. Co.*, 103 Cal App 4th 789, 801, 127 Cal Rptr 2d 94, 103 [2002]).

B. Elements of Common-Law Tortious Interference with Contract

The substantive law of tortious interference with contract is also central to the analysis in this appeal. The common-law elements of tortious interference with contract are “the existence of a valid contract between the plaintiff and a third party, defendant’s knowledge of that contract, defendant’s intentional procurement of the third-party’s breach of the contract without justification, actual breach of the contract, and damages resulting therefrom” (*Lama Holding Co. v Smith Barney*, 88 NY2d 413, 424 [1996]; see also *Oddo Asset Mgt. v Barclays Bank PLC*, 19 NY3d 584, 594 [2012]). Damages are an essential element of the tort (*Kronos, Inc. v AVX Corp.*, 81 NY2d 90, 94

[1993]). Another keystone is the requirement that the conduct is “without justification,” which “draw[s] its substance from the circumstances of the particular situation at hand” (*Guard-Life Corp. v Parker Hardware Mfg. Corp.*, 50 NY2d 183, 189-190 [1980]).

Our Court has observed that

“[t]he issue in each case is whether the interference is improper or not under the circumstances; whether, upon a consideration of the relative significance of the factors involved, the conduct should be permitted without liability, despite its effect of harm to another. The decision therefore depends upon a judgment and choice of values in each situation” (*id.* at 190, quoting Restatement [Second] of Torts § 767, Comment *b*; accord *NBT Bancorp v Fleet/Norstar Fin. Group*, 87 NY2d 614, 621 [1996] [(T)he degree of protection available to a plaintiff for a competitor’s tortious interference with contract is defined by the nature of the plaintiff’s enforceable legal rights”).

Factors to be considered by the court are (a) “the nature of the conduct of the [party] who interferes (a chief factor in determining whether conduct is improper)” and that party’s motive, (b) the interests sought to be advanced by the interfering party, (c) the broader social interests in protecting the “freedom of action” for the interfering party and the contractual interests of the party being interfered with, and (d) proximity to the interference of the conduct complained of (*Guard-Life Corp.*, 50 NY2d at 190). The interests of the party with whom the actor’s conduct interferes, and the relationship between the parties are also relevant factors (*id.*).⁶

III.

As noted, plaintiff’s state common-law claims are for damages incurred due to the delay caused by the bankruptcy proceeding, occasioned by the filing, which triggered the automatic stay, as well as the change in the mortgage borrower’s status from a special purpose bankruptcy remote entity

6. I need not address whether the majority’s assertion that a claim of tortious interference with contract is a historic example of our state’s regulation of public health and safety (majority op at 306), because for purposes of preemption, the dispositive question remains whether Congress intended to preempt the state’s regulation of the subject matter at issue.

to a holder of multiple assets. Plaintiff seeks compensatory damages, which, assuming plaintiff prevails, would require the court to calculate the loss flowing from the automatic stay and any additional delay caused by the status change. The court must also determine whether defendants *improperly* induced debtors to breach their contractual obligations, which would require the court to opine on the legitimacy of the debtors' bankruptcy proceedings and defendants' interest and role in facilitating debtors' filings. The court must also inquire into the causal relationship between plaintiff's damages and defendants' alleged tortious conduct, which turns in large part on the propriety of borrowers' bankruptcy proceedings.

The majority correctly expounds on the law and explains

“that, where a tort claim is premised upon a bankruptcy filing, itself, or on conduct that occurs within a bankruptcy proceeding and under the purview of the Bankruptcy Court, the obstacle presented by state tort remedies is more readily discerned. Parallel tort actions in state court against a debtor or creditor based on that party's alleged wrongful conduct in a bankruptcy proceeding risks subverting the Bankruptcy Court's authority to adjudicate the validity of bankruptcy filings, or otherwise producing inconsistent standards or outcomes between state and federal law” (majority op at 310).

But then the majority reaches the unfounded conclusion that plaintiff's case does “not impugn . . . the bankruptcy process” (*id.*). It is as if the majority read a different complaint than the one filed by plaintiff in Supreme Court wherein it alleged repeatedly that the bankruptcy was commenced for an improper purpose, at the behest and for the benefit of defendants, and that defendants' conduct was willful and improper. The only way to read these allegations is that plaintiff “cast doubt upon,” “call[ed] into question,” and roundly “dispute[d] the truth, validity or honesty of” the bankruptcy proceeding, which, by definition, means plaintiff impugned the bankruptcy action (New Oxford American Dictionary [3d ed 2010], *impugn*; Black's Law Dictionary [11th ed 2019], *impugn*; Merriam Webster's Collegiate Dictionary 585 [10th ed 1993]).

Although, as the majority argues, a plaintiff may recover damages for tortious interference with contract even if the defendant “w[as] engaged in lawful behavior” (majority op at 312, quoting *NBT Bancorp*, 87 NY2d at 621), nonetheless, under

our law the allegedly tortious conduct must be “improper . . . under the circumstances” (*Guard-Life Corp.*, 50 NY2d at 190 [emphasis added]). The majority ignores our observation in *Guard-Life Corp.* that whether a defendant’s conduct is tortious is necessarily particularized (*id.*). Here, plaintiff alleged that borrowers and defendants acted pursuant to a scheme to disadvantage plaintiff as creditor by filing for bankruptcy. If true, at a minimum, this constitutes improper conduct intended to achieve defendants’ own ends by use of a surrogate with equally bad intentions and with the common goal to injure plaintiff.

Thus, contrary to the majority view, the state court is caused to invade the precinct of bankruptcy law to determine the merits of plaintiff’s claim of tortious interference with contract. But federal courts have exclusive jurisdiction over that determination (*see Gonzales v Parks*, 830 F2d 1033, 1035 [9th Cir 1987] [stating that, allowing state courts to determine whether a claim for relief under federal law is of merit “would be inconsistent with and subvert the exclusive jurisdiction of the federal courts by allowing state courts to create their own standards as to when persons may properly seek relief in cases Congress has specifically precluded those courts from adjudicating”]).

In *Choy v Redland Ins. Co.* (103 Cal App 4th 789, 127 Cal Rptr 2d 94 [2002]), the plaintiff brought a state court action against an insurance company and associated defendants. The plaintiff alleged that the defendants encouraged the insured to petition for bankruptcy for the “real purpose” of “frustrat[ing]” the plaintiff’s “ability to seek and obtain a judgment against [the insured]” in excess of defendant insurer’s policy limit (103 Cal App 4th at 794, 127 Cal Rptr 2d at 97-98). The claims were preempted because the “gist” of the plaintiff’s complaint was the defendants’ “misuse[] [of] the bankruptcy process” and state court remedies cannot serve as a vehicle to “circumvent well established federal rules relating to redress” for such misuses (103 Cal App 4th at 802, 127 Cal Rptr 2d at 103-104). Although bankruptcy law references state law, “the adjustment of rights and duties within the bankruptcy process itself is uniquely and exclusively federal” (103 Cal App 4th at 797, 127 Cal Rptr 2d at 100 [emphasis omitted], quoting *MSR Exploration*, 74 F3d at 914). The “superimposition” of tort remedies “on the many activities that might be undertaken in the management of the bankruptcy process” would lend to intolerable exposure to claims of malicious prosecution (*Choy*, 103 Cal App 4th at 797, 127 Cal Rptr 2d at 100).

As recognized in *Choy*,

“the highly complex laws needed to constitute the bankruptcy courts and regulate the rights of debtors and creditors also underscore the need to jealously guard the bankruptcy process from even slight incursions and disruptions brought about by state malicious prosecution actions. To put it another way, the problem here is not only one of state courts deciding issues of federal law in one manner or another. That is not an entirely unique situation, even when uniformity is required. The difficulty here goes much deeper. It is a question of state courts, in effect, interfering with the whole complex, reticulated bankruptcy process itself” (103 Cal App 4th at 797-798, 127 Cal Rptr 2d at 100 [citation omitted]).

As in *Choy*, if plaintiff incurred damages because of borrowers’ improper bankruptcy filings, it was for the bankruptcy court to address those claims, not a state court (103 Cal App 4th at 801, 127 Cal Rptr 2d at 103).

Plaintiff here has made no claim—as it could not—that its only remedy for its damages lies in state court because “the ‘authorized proceeding’ in bankruptcy was not only exclusive, it was adequate” (*id.*; see part II. A. *supra*). Plaintiff’s choice to forgo the remedies in the forum available to it under the Bankruptcy Code does not open the door to our courts.

The Ninth Circuit in *Gonzales* has explained that

“Congress’ authorization of certain sanctions for the filing of frivolous bankruptcy petitions should be read as an implicit rejection of other penalties, including the kind of substantial damage awards that might be available in state court tort suits. Even the mere possibility of being sued in tort in state court could in some instances deter persons from exercising their rights in bankruptcy. In any event, it is for Congress and the federal courts, not the state courts, to decide what incentives and penalties are appropriate for use in connection with the bankruptcy process and when those incentives or penalties shall be utilized” (*Gonzales*, 830 F2d at 1036).

In *Gonzales*, the court determined that permitting state court

tort claims against a bankruptcy attorney “based on the filing of a bankruptcy petition,” would distort exclusive federal jurisdiction in “much the same manner” as allowing tort damages against debtors (*id.* at 1036-1037).

Similarly, in *MSR Exploration*, the Ninth Circuit underscored the significance of the Bankruptcy Code’s preemptive effect on state law remedies. The court explained that “[d]ebtors’ petitions, creditors’ claims, disputes over reorganization plans, disputes over discharge, and *innumerable other proceedings*”—all the business of the bankruptcy courts—would “lend themselves to claims of malicious prosecution. Those possibilities might gravely affect the already complicated processes of the bankruptcy court” (74 F3d at 914 [emphasis added]). The complaint filed by the debtors in *MSR Exploration* “self-consciously” sought damages for a claim allegedly maliciously filed and pursued during the plaintiffs’ chapter 11 bankruptcy proceeding, and the court understood that “the opportunities for asserting malicious prosecution claims,” much like here, are “only . . . limited by the fertility of the pleader’s mind and by the laws of the state in which the proceeding took place” (*id.*).

Plaintiff’s case here is indistinguishable in any meaningful way from *Astor Holdings*. In *Astor Holdings*, Second Circuit Judge Lynch, then a district-court judge sitting in the Southern District of New York, dismissed as preempted several tort claims that required the court to opine on whether the defendant filed bankruptcy documents in bad faith or for an improper purpose (325 F Supp 2d at 262). The plaintiff sponsor of robotic combat events, Astor Holdings, sued defendant Roski, a robot builder, and his promotional company, alleging that these non-debtors had, among other claims, tortiously interfered with contractual agreements between plaintiff and its joint venture partner, Thorpe. The plaintiff averred that Roski had assisted Thorpe in acquiring bankruptcy counsel, and it was counsel that suggested that Thorpe file for bankruptcy. Counsel advised Thorpe that bankruptcy could serve dual purposes of “re-configure[ing]” his debt and “freeing him of his obligations” under the contractual agreements at issue (*id.* at 257). The plaintiff’s complaint alleged that filing for bankruptcy was an effort to “divest [plaintiff] of its interest in the [subject] business” (*id.* at 260).

Closer inspection of *Astor Holdings*’ complaint demonstrates further similarities with the state claims asserted here. *Astor Holdings* also alleged that Roski’s attorneys arranged for

Thorpe to borrow \$150,000 from the defendant “for the sole and express purpose of enabling Thorpe to file a bankruptcy petition. Roski’s loan, which was secured by Thorpe’s interest in the Venture, was used to pay a retainer to the bankruptcy counsel that [the defendant] picked for Thorpe.” Astor Holdings contended that Roski and his attorneys, “who had formulated the strategy Thorpe and his bankruptcy counsel pursued” succeeded in “paralyzing Robot Wars and preventing the Venture from making any new deals.”

Citing the Bankruptcy Code’s remedies for abuse of process, the court held that “misuse of the [bankruptcy] process” is governed exclusively by the Bankruptcy Code (*id.* at 262). Notably, relying on *Choy*, the court rejected an argument advanced by plaintiff here, and adopted by the majority, to expound that defendants’ nondebtor status was “a distinction without a difference,” reasoning that preemption “implies” that a claim for which the Bankruptcy Code provides a remedy “cannot be the subject of regulation by state statutory or common-law remedies” (*id.*). Further, the court explained, any assertion that Thorpe petitioned for bankruptcy or filed certain papers in bad faith or for an improper purpose would be measured by state law, and therefore would be barred (*id.* at 263). Just so here, where plaintiff alleges that borrowers’ bankruptcy petitions were filed for an improper purpose: to prevent plaintiff from exercising its contractual remedies by means of the foreclosure sale.

The majority unpersuasively attempts to distinguish *Choy* and *Astor Holdings*. The courts in those cases explained that the underlying *nature* of the claims is what matters in the preemption analysis. For example, in *Choy*, “(t)he real purpose” of causing the non-party debtor to petition for bankruptcy “was to frustrate [the plaintiff’s] ability to seek and obtain a judgment against [the debtor]” (103 Cal App 4th at 794, 127 Cal Rptr 2d at 97-98). The bankruptcy filing was “on the initiative” of the defendant, who paid the necessary filing fees, so that the defendant could “avoid liability” for its bad-faith conduct in rejecting the plaintiff’s earlier offers to settle an insurance dispute (103 Cal App 4th at 794, 127 Cal Rptr 2d at 98). In *Astor Holdings*, Roski’s attorney “suggested that Thorpe file for bankruptcy” because the Venture Agreement was purportedly “onerous,” “obscene,” and “unconscionable” (325 F Supp 2d at

257). The attorney also suggested to Thorpe that bankruptcy could serve the dual goal of “reconfigur[ing]” Thorpe’s debt and “freeing him of his obligations under the Venture Agreement” (*id.*).⁷ Here, plaintiff alleges breaches of contract, but its complaint is with the actions taken in bankruptcy. As I have noted (*see* part I.B., *supra*), for purposes of preemption, what matters is not the source of the allegedly tortious conduct but that the damages flow from the bankruptcy proceedings. Indeed, the function of the doctrine is to *preempt* a litigant’s “ability collaterally to attack bankruptcy petitions in the state courts,” lest a patchwork of “laws of the state in which the proceeding took place” and “the fertility of the pleader’s mind” “threaten the uniformity of federal bankruptcy law, a uniformity required by the Constitution” (*Choy*, 103 Cal App 4th at 797-798, 127 Cal Rptr 2d at 100-101, citing US Const, art I, § 8, cl 4).

The majority’s reliance on *Davis* is no more availing. In *Davis*, the basis of the plaintiff minority shareholders’ claim of breach of fiduciary duty was grounded in their allegation that defendants caused the corporation to petition for bankruptcy without “considering other alternatives that may have yielded greater value for the corporation and its shareholders” (481 F3d at 665). In other words, defendants’ alleged tortious act was their failure to represent the best interests of plaintiffs by presenting bankruptcy as one option among others. Thus, “plaintiffs’ breach of fiduciary duty claims [were] not based on ‘activities that might be undertaken in the management of the bankruptcy process’ ” (*id.* at 679-680, quoting *MSR Exploration*, 74 F3d at 914). In contrast, the damages here flow solely from defendants’ facilitation of borrowers’ bankruptcies and the additional attendant delay related to administration of that process, which, according to plaintiff, would not have oc-

7. The majority correctly notes that in *Astor* the District Court did not dismiss the plaintiff’s claim that the defendant had tortuously interfered with a bankruptcy settlement (majority op at 312 n 8) but fails to explain its relevance. The plaintiff alleged that Roski “set out to undermine the bankruptcy settlement, and Robot Wars itself, by causing Thorpe to renege on the promise to ‘promote’ Robot Wars” (*Astor Holdings*, 325 F Supp 2d at 269), which, unlike here, plainly does not implicate either the plaintiff’s or debtor’s status in the subject bankruptcy proceeding or the administration of the debtor’s estate. And, of course, state courts are authorized to enforce settlement agreements.

curred but for defendants' alleged inducement of borrowers' contractual breaches.⁸

Davis illustrates that the ultimate legal conclusion turns on whether there has been *misuse* of the bankruptcy system. In *Davis*, the majority shareholders made no allegation that defendants had abused the bankruptcy system but instead argued that the defendants had a duty to weigh different options to yield the greatest value in the company's shares. In contrast, plaintiff's claim here is that defendants, acting in concert with borrowers, took advantage of "the adjustment of rights and duties within the bankruptcy process" to upset plaintiff's status as a first-tier creditor in borrowers' bankruptcy proceedings (*Choy*, 103 Cal App 4th at 797, 127 Cal Rptr 2d at 100 [emphasis omitted], quoting *MSR Exploration*, 74 F3d at 914).

In finding no preemption here, the majority relies on the premise that the plaintiff's claims "do not implicate debtor-creditor disputes relating to the bankruptcy estate" (majority op at 308). To the contrary, if plaintiff's claims are credited, the purpose of the bankruptcy filings was solely to delay plaintiff's recovery of its collateral. In fact, plaintiff initially argued to the bankruptcy court that the filing was in bad faith. However, it withdrew its motion and instead supported the reorganization plan. In doing so, plaintiff chose to forgo its remedy for the borrowers' alleged misuse of bankruptcy law and the bankruptcy system. Plaintiff cannot now seek to have a state court decide whether the damages were caused by delay from the improper bankruptcy filings. To permit such action would interfere with and undermine the uniform remedies enacted by Congress in the Bankruptcy Code.

The majority's other argument that plaintiff's state claims are not preempted because the defendants are nondebtors and their alleged actions occurred prior to the bankruptcy, is no more persuasive. First, the preemption analysis does not turn on whether the defendants are nondebtors, but rather on the fact that the code is written to address the impact of the al-

8. The majority claims that my analysis compels preemption in cases where "some fact questions might overlap with bankruptcy proceedings" (majority op at 313). As I explain, the preemption analysis requires careful scrutiny of the substantive nature of the claim, and its potential disruptive impact on the bankruptcy system by, as here, avoiding the remedial framework of the Bankruptcy Code. Unlike the majority I do not ignore plaintiff's allegations and the leitmotif of its complaint that defendants and borrowers labored towards one end—filing bankruptcy to undercut plaintiff in its position as borrowers' secured creditor.

leged scheme on the bankruptcy proceeding (*see Astor Holdings*, 325 F Supp 2d at 262; *Gonzales*, 830 F2d at 1035). In other words, the issue is plaintiff's "interfer[ence] with the whole complex reticulated bankruptcy process itself" by its choice to shop forums and forgo the remedial mechanisms exclusive to the bankruptcy court and gamble on a state remedy instead (*Choy*, 103 Cal App 4th at 798, 127 Cal Rptr 2d at 100).

Moreover, plaintiff was a creditor in the bankruptcy proceedings when it simultaneously filed these state claims and relied on those federal proceedings to support its allegations that defendants' scheme undercut its creditor status. The majority's view that there is an insufficient connection is simply belied by the plaintiff's narrative of the interdependent actions of defendants and borrowers.

Second, the conduct alleged here was to facilitate the bankruptcies, so the fact that acts were taken pre-filing is unsurprising. For example, a debtor who, before filing, secures a loan to pay the bankruptcy filing fee or acquires property to undercut a creditor's remedies—as plaintiff asserts happened here—would be relevant to the bankruptcy court's assessment of the motives of the debtor (*cf. National Hockey League v Moyes*, 2015 WL 7008213, *6, 2015 US Dist LEXIS 153262, *17-19 [D Ariz, Nov. 12, 2015, No. CV-10-01036-PHX-GMS] [rejecting the plaintiff's argument that its tort claims are not preempted because the claims comprise pre-filing conduct on the ground that, when an injury "might never occur, and thus plaintiff's claim would not accrue . . . until after the company files its bankruptcy petition, and accrual of the claim depends on what happens in the Bankruptcy Court, the potential future claim would interfere sufficiently with the bankruptcy process to trigger preemption" (citation omitted)]). As this example illustrates, for preemption purposes there is no analytically sound basis to distinguish between preparatory actions that make possible the bankruptcy filing. The latter cannot occur without the former—indeed that is plaintiff's core argument in support of its claims, i.e., but for defendants having loaned money to borrowers to finance the bankruptcy filings and defendants' transfer of the apartments that transformed mortgage borrower from a special purpose bankruptcy remote entity, there would be no automatic stay and delay of the foreclosure sale, which is what plaintiff alleges caused its losses.

Contrary to the majority's characterization of plaintiff's claims, the state lawsuit is an attempt to avoid the remedies of

the Bankruptcy Code. Indeed, plaintiff filed a motion to dismiss mezz borrower's bankruptcy petition, which it withdrew after the court indicated that it was premature because, were the court to afford plaintiff relief at that early stage, it would have had to adopt the view based on plaintiff's disputed assertions that the proceeding was a two-party dispute with no additional creditors. Such a view would require the court to have disregarded the existence and appointment of the committee of unsecured creditors, and that was "asking a lot of [that] early stage of the case." Rather than pursue remedies under the Bankruptcy Code for the alleged misuse of the bankruptcy system by refiling its motion at the appropriate time and pursuing sanctions, plaintiff seeks to have our state courts decide that defendants' actions were for an improper purpose, caused plaintiff damages, and therefore warrant compensation to plaintiff. But the Bankruptcy Code provides the exclusive remedies for these alleged injuries. As amicus curiae Melanie L. Cyganowski, former Chief Judge of the United States Bankruptcy Court for the Eastern District of New York, explains, "[t]he only significance of [d]efendants' allegedly tortious conduct is that it facilitated or affected the nature of, the [b]ankruptcies. The damages [p]laintiff claims to have sustained all resulted from [d]ebtors' bankruptcy filings" (*see* brief for amicus curiae Melanie L. Cyganowski at 6). And as amicus curiae details, the Bankruptcy Code afforded plaintiff various remedies for that alleged tortious conduct.

The Bankruptcy Code's remedial scheme includes a set of "comprehensive and purposeful procedures designed to achieve uniformity, fairness and efficiency in the administration of bankruptcy cases" (*id.* at 2). The only remedy plaintiff chose to pursue was the credit-bid for debtors' assets under 11 USC § 363 (k), which allowed it to purchase the property at an auction sale, almost one month after filing the underlying tort claims in state court. The United States Supreme Court has explained that "[t]he ability to credit-bid helps to protect a creditor against the risk that its collateral will be sold at a depressed price. It enables the creditor to purchase the collateral for what it considers the fair market price (up to the amount of its security interest) without committing additional cash to protect the loan" (*RadLAX Gateway Hotel, LLC v*

Amalgamated Bank, 566 US 639, 644 [2012]).⁹ Thus, plaintiff simultaneously invoked remedies from federal and state courts to address damages flowing from the bankruptcy filings—exactly the type of dual proceedings Congress sought to preempt.¹⁰

Apart from incorrectly approving state litigation of issues that fall squarely within the exclusive jurisdiction of the bankruptcy court, the majority's decision will affect debtor access to bankruptcy remedies and the "fresh start" allowed by Congress. The fear of state litigation may disincentivize lawyers and potential secondary lenders from assisting debtors who wish to file for bankruptcy but need legal counsel and financial assistance to do so, impacting those with the little to no resources and a low credit rating (*see* brief for amicus curiae Legal Services NYC Bankruptcy Assistance Project for defendants-respondents at 6-8; brief for amicus curiae Bullard Group at 15-16 ; *see also* Alana Abramson, 'People are Very Scared.' *Why Small Businesses Hit by Coronavirus are Struggling to Get Emergency Loans*, Time, Apr. 9, 2020 [explaining that "(i)t may well be the companies most in need of assistance" during the coronavirus pandemic that "are the companies that don't have a current banking relationship"]; Paul Kiel, *What Happens When You Can't Afford to Go Bankrupt*, Wash Post, Mar. 2, 2018 ["Scores of people considering bankruptcy told me the same thing again and again: if they had \$1,000 to pay an at-

9. As amicus curiae notes, had mortgage borrower been a "single asset real estate" debtor, at most the earliest date upon which plaintiff could have obtained relief from the automatic stay under 11 USC § 362 (d) (3) would have been on July 5, 2016 (Cyganowski brief at 13 n 4). Plaintiff purchased the property under its winning credit-bid on December 13, 2016, meaning that mortgage borrower's changed status as a "single asset real estate" debtor resulted, at most, in a delay of approximately six months (*id.*).

10. The majority makes the remarkable assertion that "defendants do not claim that any remedy was available to plaintiff in the bankruptcy proceedings to compensate plaintiff for *defendants'* alleged wrongdoing" (majority op at 314). Defendants have described several remedies plaintiff could have sought during the bankruptcy proceedings to prevent, mitigate, or recoup the alleged damages plaintiff requests in state court, remedies further detailed by amicus curiae former Chief Judge Cyganowski. For example, plaintiff could have moved to dismiss the bankruptcy cases on the ground that they were filed in bad faith (*see* 11 USC § 1112 [b]), moved to lift the automatic stay (*see* 11 USC § 362), or sought sanctions for filing a meritless claim (*see* Fed Rules Bankr Pro rule 9011). Had plaintiff pursued its initial motion and succeeded, there might well be no injury to remedy. Further, the majority has failed to identify, because it cannot, what would be plaintiff's damages were borrowers not to have filed for bankruptcy.

torney, then they probably wouldn't need to file (for bankruptcy) in the first place"]; David Skeel, Bankruptcy and the Coronavirus at 5, Brookings Center on Regulation and Markets, Apr. 21, 2020 ["The costs of bankruptcy for small and medium-sized businesses are substantial—often 30% of the value of the business—and two-thirds are liquidated rather than reorganizing"]; Chrystin Ondersma, *Small Debts: Big Burdens*, 103 Minn L Rev 2211, 2233 [2019] ["Although purportedly designed to keep out high-income debtors, the effect of the 2005 amendments (to the Bankruptcy Code) has been to reduce access for the poorest debtors who cannot afford the increased fees and who have difficulty navigating the complex technical rules without attorneys"]. The majority opines that state claims against attorneys and debt counseling entities are likely to fail (majority op at 315-316). And yet this is the first time our Court has addressed the viability of a claim for tortious interference with contract against a non-debtor. It remains to be seen as to what other parties shall be subject to the ruling here, notwithstanding the majority's speculative "optimism" about the narrow class of defendants who will be dragged into state court by litigious lenders.

IV.

According to the majority, plaintiff's state claims for tortious interference with contract against defendants "are peripheral to, and do not impugn, the bankruptcy process" (majority op at 310). That conclusion will come as a surprise to defendants who plaintiff alleges were parties to a "scheme" that depended on and succeeded only by virtue of borrowers' bankruptcy filings. It is also contrary to congressional intent in enacting our reticulated Bankruptcy Code with remedies for a party aggrieved by the type of manipulation of the bankruptcy system alleged by plaintiff in its state action. And I do not anticipate it will be well-received by the bankruptcy courts, which have exclusive jurisdiction over bankruptcy filings and sole authority to determine whether a bankruptcy petition is filed in bad faith.

Notably, this plaintiff recovered \$86 million as a creditor in the bankruptcy proceeding, achieved its goal of purchasing the property from one of the borrowers, and obtained a \$24 million judgment against the loan guarantors. Plaintiff obtained everything our federal and state legal systems allow. Plaintiff's state action is merely an attempt to avoid litigating in bank-

ruptcy court the impact of defendant's alleged scheme to manipulate plaintiff's status as a creditor of the bankruptcy petitioners. Put another way, plaintiff's state action is for damages incurred by the delay in purchasing the property that resulted from borrowers filing for bankruptcy. If there's no bankruptcy filing, there's no delay, and no damages. Without damages, there is no viable state claim. There is nothing peripheral about that. The majority plainly misconstrues the matter when it suggests that "this is not a situation where state and federal law provide 'two separate remedies' for identical grievances" (majority op at 314). The voluminous record before us tells a different story.

In sum, plaintiff's complaint is "self-consciously and entirely one which seeks damages for a claim filed and pursued in the bankruptcy court" (*MSR Exploration*, 74 F3d at 912). Plaintiff "allege[s] state law tort causes of action for damages entirely predicated upon the filing and prosecution of" the bankruptcy petitions (*In re Miles*, 430 F3d 1083, 1093 [9th Cir 2005]). Therefore, plaintiff's claims are preempted by federal law. I dissent.

Chief Judge DiFIORE and Judges WILSON and FEINMAN concur; Judge RIVERA dissents and votes to affirm in an opinion in which Judges FAHEY and GARCIA concur.

Order reversed, with costs, and case remitted to the Appellate Division, First Department, for consideration of issues raised but not determined on the appeal to that Court.

[165 NE3d 180, 141 NYS3d 410]

In the Matter of PART 60 PUT-BACK LITIGATION.

DEUTSCHE BANK NATIONAL TRUST COMPANY, as Trustee of the
MORGAN STANLEY ABS CAPITAL I INC. TRUST 2007-NC4,
Respondent, v MORGAN STANLEY MORTGAGE CAPITAL HOLD-
INGS LLC, as Successor-by-Merger to MORGAN STANLEY
MORTGAGE CAPITAL INC., et al., Appellants.

Argued November 17, 2020; decided December 22, 2020

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered January 17, 2019. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Marcy Friedman, J.), which, insofar as appealed from as limited by the briefs, had granted defendants' motion to dismiss the cause of action for breach of representations and warranties to the extent it sought compensatory damages inconsistent with the sole remedy clauses of the parties' agreements, punitive damages, and attorneys' fees; and (2) denied the motion. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of the Supreme Court, properly made?"

Matter of Part 60 Put-Back Litig., 169 AD3d 217, reversed.

HEADNOTES

Contracts — Contractual Limitation of Liability — Sole Remedy Provision — Gross Negligence Public Policy Exception

1. In a breach of contract case, grossly negligent conduct will render unenforceable only exculpatory or nominal damages clauses, and the public policy rule forbidding a party's attempt to escape liability, through a contractual clause, for damages occasioned by grossly negligent conduct does not extend to limitations on the remedies available to the non-breaching party. In New York, contractual exculpatory clauses intended to insulate a party from liability for its own negligence are enforceable so long as the contract language is clear and unequivocal and the clause does not violate statutory law or a separate rule of public policy. However, when a party engages in conduct that smacks of intentional wrongdoing or evinces reckless disregard for the rights of others, public policy will not permit that actor to escape all liability for its misconduct. Furthermore, policy does not allow the party injured as a result of such wrongdoing to be left uncompensated for its losses. These public policy concerns do not apply with equal force where sophisticated commercial parties choose a remedy that will be available in the event of a breach of contract to the exclusion of others. When the clause limiting liability is negotiated at arm's length by sophisticated parties,

provides for more than nominal damages, and does not wholly exculpate the breaching party, the rationales underlying the gross negligence public policy exception fail to overcome the public policy in favor of freedom of contract, where the only causes of action raised in the complaint sound in breach of contract.

Damages — Compensatory Damages — Breach of Contract — Residential Mortgage-Backed Securities — Sole Remedy Provision — Gross Negligence Public Policy Exception

2. In a residential mortgage-backed securities (RMBS) put-back action, plaintiff's cause of action seeking compensatory damages for defendants' alleged breach of the representations and warranties regarding the mortgage loans should have been dismissed, where the sole remedy provision of the parties' contract was neither an exculpatory nor a nominal damages clause and was therefore not subject to the gross negligence public policy exception. The sole remedy provision did not immunize defendants from liability for a breach of the representations and warranties. Nor did it limit plaintiff's damages to a nominal sum. Instead, the sole remedy provision provided a mechanism by which defendants could correct the breach—cure or repurchase of a nonconforming loan—which was intended to make the trust whole. In concluding that the issue of whether the sole remedy provision would operate as an exculpatory clause could not yet be determined, the Appellate Division relied on its holding in an unrelated matter that where specific performance of cure or repurchase is impossible, a plaintiff in an RMBS case may pursue monetary damages in lieu of specific performance. However, the Court of Appeals had not yet considered that conclusion. Defendants conceded that if a breaching loan had already been liquidated, they would still be liable to pay the repurchase price and thereby make the trust whole. Based on that concession, the Appellate Division erred in concluding that it could not be ascertained at that stage of the litigation whether the sole remedy provision was illusory. Moreover, whether a contractual provision constitutes an exculpatory clause cannot depend upon a legal ruling that may be made in some unrelated litigation at some unspecified point in the future.

Damages — Punitive Damages — Breach of Contract — Tortious Conduct Separate from Failure to Fulfill Contractual Obligations

3. In a residential mortgage-backed securities put-back action, Supreme Court properly dismissed plaintiff's claims for punitive damages because plaintiff's allegations that defendants failed to deliver mortgage loans that complied with the representations and warranties they made in the contracts did not establish that defendants engaged in tortious conduct separate and apart from their failure to fulfill their contractual obligations. Where a lawsuit has its genesis in the contractual relationship between the parties, the threshold task for a court considering defendant's motion to dismiss a cause of action for punitive damages is to identify a tort independent of the contract. Where a party is merely seeking to enforce its bargain, a tort claim will not lie. A cause of action based on the failure to deliver an item of a bargained-for quality sounds purely in breach of contract. Plaintiff therefore was merely seeking to enforce its bargain. Plaintiff's assertion that defendants committed fraud by entering into the relevant contracts with no intention of delivering loans that complied with the representations and warranties did not require a different conclusion, since general allegations that a defendant entered into a contract while lacking the intent to perform it are insufficient to support a claim for fraud. Although the Securities and Exchange Commission found that defendants defrauded investors by mis-

stating the delinquency rate of the loans in the pool, that was another example of defendants' alleged failure to comply with the representations they made about the quality and characteristics of the loans in the pool, which was the gravamen of the breach of contract cause of action.

Costs — Counsel Fees — Residential Mortgage-Backed Securities Put-Back Action

4. In a residential mortgage-backed securities put-back action, Supreme Court properly dismissed plaintiff's claims for attorneys' fees, where the language of the parties' pooling and servicing agreement (PSA) was not unmistakably clear as to their intention to award attorneys' fees to the prevailing party. New York follows the general rule that attorney's fees are incidents of litigation and a prevailing party may not collect them from the loser unless an award is authorized by agreement between the parties, statute, or court rule. Courts must not infer a party's intention to waive the benefit of the rule unless the intention to do so is unmistakably clear from the language of the promise. The PSA's definition of the repurchase price referred to the trustee's ability to recover the "costs and expenses" it incurred arising out of a breach, including costs and expenses related to its "enforcement of the repurchase obligation of the Depositor or the Sponsor." That language did not meet the unmistakably clear standard. Depending on the context, "costs and expenses" may not encompass attorneys' fees, especially here, where the PSA expressly referred to attorneys' fees or legal fees more than a dozen times in separate provisions, but the parties used the phrase "costs and expenses" in the repurchase price definition.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Contracts §§ 708, 709; AM JUR 2d Negligence §§ 222, 223.

NY JUR 2d Contracts § 265; NY JUR 2d Mortgages and Deeds of Trust § 303; NY JUR 2d Negligence §§ 6–8, 46.

ANNOTATION REFERENCE

See ALR Index under Limitation of Liability.

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Query: "sole remedy" & gross! /2 negligenc! /p public /2 policy

POINTS OF COUNSEL

Davis Polk & Wardwell LLP, New York City (*Brian S. Weinstein*, *Matthew Cormack* and *Craig T. Cagney* of counsel), for appellants. I. The sole remedy provision is not unenforceable as a matter of public policy, and is not analogous to exculpatory clauses that eliminate liability or limit it to a nominal

sum. (*Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 30 NY3d 572; *Eujoy Realty Corp. v Van Wagner Communications, LLC*, 22 NY3d 413; *Metropolitan Life Ins. Co. v Noble Lowndes Intl.*, 84 NY2d 430; *Sommer v Federal Signal Corp.*, 79 NY2d 540; *Abacus Fed. Sav. Bank v ADT Sec. Servs., Inc.*, 18 NY3d 675; *Colnaghi, U.S.A. v Jewelers Protection Servs.*, 81 NY2d 821; *Kalisch-Jarcho, Inc. v City of New York*, 58 NY2d 377; *Gross v Sweet*, 49 NY2d 102; *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 133 AD3d 96; *Morgan Stanley Mtge. Loan Trust 2006-13ARX v Morgan Stanley Mtge. Capital Holdings LLC*, 143 AD3d 1.) II. As in *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.* (30 NY3d 572 [2017]) and *Ambac Assur. Corp. v Countrywide Home Loans, Inc.* (31 NY3d 569 [2018]), the trustee cannot circumvent the sole remedy provision through allegations of pervasive breaches. (*Metropolitan Life Ins. Co. v Noble Lowndes Intl.*, 84 NY2d 430; *Gross v Sweet*, 49 NY2d 102; *Sommer v Federal Signal Corp.*, 79 NY2d 540; *Kalisch-Jarcho, Inc. v City of New York*, 58 NY2d 377; *New York University v Continental Ins. Co.*, 87 NY2d 308; *Rocanova v Equitable Life Assur. Socy. of U.S.*, 83 NY2d 603; *Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382; *OFSI Fund II, LLC v Canadian Imperial Bank of Commerce*, 82 AD3d 537; *La Fleur v Montgomery*, 70 AD2d 545.) III. The trustee's allegations do not support a demand for punitive damages. (*New York University v Continental Ins. Co.*, 87 NY2d 308; *Rich v New York Cent. & Hudson Riv. R.R. Co.*, 87 NY 382; *Rocanova v Equitable Life Assur. Socy. of U.S.*, 83 NY2d 603; *Walker v Sheldon*, 10 NY2d 401.) IV. The parties' contract does not meet the *Hooper* test for shifting attorney's fees. (*Congel v Malfitano*, 31 NY3d 272; *Mighty Midgets v Centennial Ins. Co.*, 47 NY2d 12; *Tonking v Port Auth. of N.Y. & N.J.*, 3 NY3d 486; *Gotham Partners, L.P. v High Riv. Ltd. Partnership*, 76 AD3d 203; *Waverly Mews Corp. v Waverly Stores Assoc.*, 294 AD2d 130; *Riverside S. Planning Corp. v CRP/Extell Riverside, L.P.*, 13 NY3d 398; *Quadrant Structured Prods. Co., Ltd. v Vertin*, 23 NY3d 549; *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 30 NY3d 572; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *In re Refco Sec. Litig.*, 890 F Supp 2d 332.)

MoloLamken LLP, New York City (Steven F. Molo, Robert K. Kry, Lauren M. Weinstein and Lauren F. Dayton of counsel), for respondent. I. The Appellate Division correctly held that Morgan Stanley's gross negligence and willful misconduct could

render the sole remedy clauses unenforceable. (*Abacus Fed. Sav. Bank v ADT Sec. Servs., Inc.*, 18 NY3d 675; *Sommer v Federal Signal Corp.*, 79 NY2d 540; *Colnaghi, U.S.A. v Jewelers Protection Servs.*, 81 NY2d 821; *Kalisch-Jarcho, Inc. v City of New York*, 58 NY2d 377; *Food Pageant v Consolidated Edison Co.*, 54 NY2d 167; *Gross v Sweet*, 49 NY2d 102; *Metropolitan Life Ins. Co. v Noble Lowndes Intl.*, 84 NY2d 430; *Turkish v Kasenetz*, 27 F3d 23; *Morgan Stanley Mtge. Loan Trust 2006-13ARX v Morgan Stanley Mtge. Capital Holdings LLC*, 143 AD3d 1, 32 NY3d 1001; *Banc of Am. Sec. LLC v Solow Bldg. Co. II, L.L.C.*, 47 AD3d 239.) II. The Appellate Division correctly held that Morgan Stanley's fraudulent conduct authorizes punitive damages. (*New York University v Continental Ins. Co.*, 87 NY2d 308; *Cohn v Goldman*, 76 NY 284; *Altshuler Shaham Provident Funds, Ltd. v GML Tower, LLC*, 21 NY3d 352; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Telaro v Telaro*, 25 NY2d 433; *Merrill v Albany Med. Ctr. Hosp.*, 71 NY2d 990; *Lindlots Realty Corp. v County of Suffolk*, 278 NY 45; *Walker v Sheldon*, 10 NY2d 401.) III. The trustee is entitled to recover attorney's fees. (*Hooper Assoc. v AGS Computers*, 74 NY2d 487; *D.H. Blair & Co., Inc. v Gottdiener*, 462 F3d 95; *Breed, Abbott & Morgan v Hulko*, 74 NY2d 686; *Matter of New York City Asbestos Litig.*, 142 AD3d 408; *DiPerna v American Broadcasting Cos.*, 200 AD2d 267; *Pfizer, Inc. v Stryker Corp.*, 348 F Supp 2d 131; *Bath & Hammondsport R.R. Co. v New York State Dept. of Envtl. Conservation*, 73 NY2d 434; *Sword Line v United States*, 230 F2d 75; *Elonis v United States*, 135 S Ct 2001; *United States of America v Ng Lap Seng*, 934 F3d 110.)

Hughes, Hubbard & Reed LLP, New York City (*Shahzeb Lari* of counsel), for Securities Industry and Financial Markets Association, amicus curiae. I. The Appellate Division's application of the gross negligence exception to the sole remedy provision was erroneous. (*Metropolitan Life Ins. Co. v Noble Lowndes Intl.*, 84 NY2d 430; *Board of Educ. of Hudson City School Dist. v Sargent, Webster, Crenshaw & Folley*, 71 NY2d 21; *Ambac Assur. Corp. v Countrywide Home Loans, Inc.*, 31 NY3d 569; *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 30 NY3d 572; *ACE Sec. Corp. Home Equity Loan Trust, Series 2007-HE3 v DB Structured Prods., Inc.*, 5 F Supp 3d 543; *Sommer v Federal Signal Corp.*, 79 NY2d 540; *Net2Globe Intl., Inc. v Time Warner Telecom of N.Y.*, 273 F Supp 2d 436; *AXA Mediterranean Holding, S.P. v ING Ins. Intl., B.V.*, 106 AD3d 457; *OFSI Fund II, LLC v Canadian Im-*

perial Bank of Commerce, 82 AD3d 537; *Home Equity Loan, Inc., Series 2006-FM2 v Credit & Capital, Inc.*, 133 AD3d 96.) II. Affirmance of the Appellate Division's order would upset the carefully structured allocation of risk in residential mortgage-backed securities contracts. (*Holy Props. v Cole Prods.*, 87 NY2d 130; *Bluebird Partners v First Fid. Bank*, 94 NY2d 726.)

Fordham Law School, New York City (*Ethan J. Leib* of counsel), for New York Contract Law Professors and Scholars, amicus curiae. I. New York contract law has a motivating policy preferring certainty, predictability, and finality—and enforceable remedial clauses between sophisticated parties promote those objectives. (*IRB-Brasil Resseguros, S.A. v Inepar Invs., S.A.*, 20 NY3d 310; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *159 MP Corp. v Redbridge Bedford, LLC*, 33 NY3d 353; *Fifty States Mgt. Corp. v Pioneer Auto Parks*, 46 NY2d 573; *Equitable Lbr. Corp. v IPA Land Dev. Corp.*, 38 NY2d 516; *Sommer v Federal Signal Corp.*, 79 NY2d 540; *Kalisch-Jarcho, Inc. v City of New York*, 58 NY2d 377.) II. New York law is clear that the “gross negligence exception” applies only to truly exculpatory clauses. (*Kalisch-Jarcho, Inc. v City of New York*, 58 NY2d 377; *Gross v Sweet*, 49 NY2d 102; *Colnaghi, U.S.A. v Jewelers Protection Servs.*, 81 NY2d 821; *Abacus Fed. Sav. Bank v ADT Sec. Servs., Inc.*, 18 NY3d 675; *Turkish v Kasenetz*, 27 F3d 23; *Florence v Merchants Cent. Alarm Co.*, 51 NY2d 793; *A.H.A. Gen. Constr. v New York City Hous. Auth.*, 92 NY2d 20; *Cirillo v Slomin's Inc.*, 196 Misc 2d 922; *Valhal Corp. v Sullivan Assoc., Inc.*, 44 F3d 195; *Great N. Ins. Co. v ADT Sec. Servs., Inc.*, 517 F Supp 2d 723.) III. The “sole remedy” clause in the residential mortgage-backed securities instruments here is not an exculpatory clause under New York law and is not subject to the “gross negligence exception.” (*Morgan Stanley Mtge. Loan Trust 2006-13ARX v Morgan Stanley Mtge. Capital Holdings LLC*, 143 AD3d 1.)

James M. Peaslee, New York City, for Morgan Stanley Mortgage Capital Holdings LLC and another, amici curiae. I. The real estate mortgage investment conduit rules provide a critical tax exemption and other benefits for investors. II. To qualify as a real estate mortgage investment conduit an assets test must be satisfied. III. Required buy back remedies are critical to satisfying the real estate mortgage investment conduit assets test.

OPINION OF THE COURT

FAHEY, J.

Our recent history of cases dealing with residential mortgage-backed securities (RMBS) has a consistent theme: does the contract mean what it says?

Starting in *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.* (25 NY3d 581 [2015]), we held that a trustee's cause of action for breach of the representations and warranties made about the mortgage loans accrued on the closing date, and that the sponsor's failure to repurchase the defective loans did not give rise to a separate cause of action. Then, in *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.* (30 NY3d 572 [2017]), we held that, where the trustee's claims for damages were "grounded in alleged breaches of the mortgage loan-specific representations and warranties to which the limited remedy"—set forth in a sole remedy provision—applies, the general contract damages claim must be dismissed (*id.* at 577).

We similarly held in *Ambac Assur. Corp. v Countrywide Home Loans, Inc.* (31 NY3d 569 [2018]) that allegations of pervasive breach of the representations and warranties were nevertheless subject to the contract's sole remedy provision (*see id.* at 581-584). We have also considered the application of our procedural statutes to RMBS actions, including CPLR 203 (f) (*see U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 33 NY3d 84 [2019]), CPLR 205 (a) (*see U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 33 NY3d 72 [2019]), and CPLR 202 (*see Deutsche Bank Natl. Trust Co. v Barclays Bank PLC*, 34 NY3d 327 [2019]). Only in *Deutsche Bank Natl. Trust Co. v Flagstar Capital Mkts.* (32 NY3d 139 [2018]) did we hold that, to the extent an accrual clause in the parties' contract sought to delay accrual of the breach of contract cause of action, such a clause was unenforceable because it violated New York's public policy prohibiting pre-accrual extensions of the limitations period.

Here, we again conclude that the parties' contract, as written, means what it says. In this RMBS put-back action, plaintiff seeks to avoid a provision in the contract—similar to the provisions at issue in *Nomura* and *Ambac*—that sets out a sole remedy for a breach by alleging that defendants breached the contract with gross negligence. This sole remedy provision purports to limit, but not eliminate, the remedies available to the plaintiff in the event of a breach. We conclude that, in a

breach of contract action, the public policy rule prohibiting parties from insulating themselves from damages caused by grossly negligent conduct applies only to exculpatory clauses or provisions that limit liability to a nominal sum. The rule does not apply to contractual limitations on remedies that do not immunize the breaching party from liability for its conduct. The sole remedy provision is not an exculpatory or nominal damages clause. Plaintiff cannot render it unenforceable through allegations of gross negligence.

I.

Facts and Procedural History

Plaintiff Deutsche Bank National Trust Company is the trustee for the Morgan Stanley ABS Capital I Inc. Trust 2007-NC4 (the trust). Defendant Morgan Stanley Mortgage Capital Holdings LLC is the successor to the sponsor for the RMBS transaction at issue, and defendant Morgan Stanley ABS Capital I, Inc. is the depositor.¹ Pursuant to a representations and warranties agreement (RWA) and a pooling and servicing agreement (PSA), 5,337 residential mortgage loans were placed into a pool for securitization. In the RWA and the PSA, defendants made certain representations and warranties regarding the mortgage loans. Plaintiff now alleges, on behalf of the trust, that the vast majority of the loans in the pool did not comply with those representations and warranties. The RWA and PSA each contained a “sole remedy provision,” which provided that if a loan in the pool materially breached a representation and warranty, plaintiff’s sole remedy in the event of such breach

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1. “[A]n RMBS transaction involves the bundling of mortgage loans into a pool that is sold to an affiliated purchaser, which then places the loans into a trust for securitization purposes. The trust then issues certificates that are purchased by investors, or certificateholders. The individual mortgage loans served as collateral for the certificates, which paid principal and interest to certificateholders from the cash flow generated by the mortgage loan pool; that is, certificateholders made money when the borrowers made payments on their loans. High default rates by borrowers led to the collapse of the subprime housing market, a primary factor in the ensuing precipitous market decline and recession” (*Deutsche Bank Natl. Trust Co. v Barclays Bank PLC*, 34 NY3d 327, 331-332 [2019] [internal quotation marks and citations omitted]).

would be defendants' obligation to cure the breach or repurchase the loan at the contractually defined repurchase price.²

Plaintiff's complaint alleged three causes of action, all sounding in breach of contract. Plaintiff also alleged that defendants were "grossly negligent" in failing to comply with their obligations under the contracts. Specifically, plaintiff alleged that defendants were grossly negligent in failing to notify plaintiff of the nonconforming loans and in failing to cure or repurchase those defective loans. Plaintiff sought specific performance, "compensatory, consequential, and punitive damages," and attorneys' fees. Defendants moved to dismiss the complaint pursuant to CPLR 3211 (a) (1) and (7). Defendants argued that the sole remedy provision was enforceable despite plaintiff's allegations of gross negligence because gross negligence could render unenforceable only exculpatory or nominal damages clauses, and the sole remedy provision was neither. Defendants also sought dismissal of plaintiff's claims for punitive damages and attorneys' fees. Plaintiff argued that gross negligence should render unenforceable any contractual provision that restricted the types of remedies or amount of damages available to the non-breaching party.

With respect to plaintiff's first cause of action alleging a breach of the representations and warranties, Supreme Court held that the sole remedy provision was enforceable. The court granted defendants' motion to the extent of dismissing plaintiff's claims for damages on the first cause of action as well as plaintiff's claims for punitive damages and attorneys' fees. Plaintiff appealed from Supreme Court's order, challenging the dismissal of its first cause of action for breach of the representations and warranties to the extent plaintiff sought compensatory damages inconsistent with the sole remedy pro-

2. Specifically, the RWA stated that "[i]t is understood and agreed that the obligation of the Sponsor set forth in Section 4(a) to repurchase for a Mortgage Loan in breach of a representation or warranty contained in Section 2 constitutes the sole remedy of the Depositor or any other person or entity with respect to such breach." The PSA similarly provided that

"[i]t is understood and agreed by the parties hereto that the obligation of the Depositor under this Agreement or of the Sponsor under the [RWA] to cure, repurchase or substitute any Mortgage Loan as to which a breach of a representation and warranty has occurred and is continuing, shall constitute the sole remedies against such Persons respecting such breach available to Certificateholders . . . or the Trustee on their behalf."

vision. Plaintiff also challenged the dismissal of its claims for punitive damages and attorneys' fees.³

The Appellate Division reversed, denying defendants' motion to dismiss plaintiff's cause of action for breach of the representations and warranties to the extent plaintiff sought compensatory damages beyond those contemplated by the sole remedy provision and to dismiss plaintiff's claims for punitive damages and attorneys' fees (169 AD3d 217 [1st Dept 2019]). The Court concluded that the complaint's allegations of gross negligence were sufficient to render the sole remedy provision unenforceable (*see id.* at 219, 224-225, citing *Morgan Stanley Mtge. Loan Trust 2006-13ARX v Morgan Stanley Mtge. Capital Holdings LLC*, 143 AD3d 1 [1st Dept 2016] [hereinafter *2006-13ARX*]). The Court reasoned that it could not determine, at this stage of the litigation, whether the sole remedy provision would actually make the investors whole (*see id.* at 225).

The Appellate Division further reinstated the claim for punitive damages, holding that the complaint adequately pleaded the elements of such a claim pursuant to this Court's decision in *New York Univ. v Continental Ins. Co.* (87 NY2d 308 [1995]) (*see* 169 AD3d at 225-226). Finally, the Court held that plaintiff's claim for attorneys' fees was improperly dismissed (*see id.* at 226).

The Appellate Division granted defendants leave to appeal to this Court. We now reverse.

II.

Sole Remedy Provision

Plaintiff's first cause of action, to the extent it sought compensatory damages for defendants' breach of the representations and warranties, should be dismissed. In a pure breach of contract case, where a defendant's conduct does not give rise to separate liability in tort, the public policy rule prohibiting parties from immunizing themselves from liability for grossly negligent conduct applies only to exculpatory or nominal damages clauses, and the sole remedy provision is neither.

3. Supreme Court also dismissed plaintiff's second cause of action alleging a breach of defendants' obligation to comply with the cure or repurchase protocol (*see ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581, 589 [2015]). Plaintiff did not appeal from that portion of Supreme Court's order.

A.

In New York, contractual exculpatory clauses intended to insulate a party from liability for its own negligence are enforceable, albeit disfavored and closely scrutinized, so long as the contract language is clear and unequivocal and the clause does not violate statutory law or a separate rule of public policy (see *Lago v Krollage*, 78 NY2d 95, 99-100 [1991]; *Ciofalo v Vic Tanney Gyms*, 10 NY2d 294, 296-297 [1961]). Furthermore, “[c]ontract terms providing for a sole remedy are sufficiently clear to establish that no other remedy was contemplated by the parties at the time the contract was formed, for purposes of that portion of the transaction . . . especially when entered into at arm’s length by sophisticated contracting parties’ ” (*Ambac*, 31 NY3d at 581-582, quoting *Nomura*, 30 NY3d at 582). “It is well settled that ‘courts must honor contractual provisions that limit liability or damages because those provisions represent the parties’ agreement on the allocation of the risk of economic loss in certain eventualities’ ” (*id.* at 581, quoting *Nomura*, 30 NY3d at 581).

On the other hand, it is equally well settled that public policy “forbids a party’s attempt to escape liability, through a contractual clause, for damages occasioned by ‘grossly negligent conduct’ ” (*Colnaghi, U.S.A. v Jewelers Protection Servs.*, 81 NY2d 821, 823 [1993], quoting *Sommer v Federal Signal Corp.*, 79 NY2d 540, 554 [1992]; see *Kalisch-Jarcho, Inc. v City of New York*, 58 NY2d 377, 384-385 [1983]; *Gross v Sweet*, 49 NY2d 102, 106 [1979]). Gross negligence “differs in kind, not only degree, from claims of ordinary negligence” (*Colnaghi*, 81 NY2d at 823). “Gross negligence, when invoked to pierce an agreed-upon limitation of liability in a commercial contract, must ‘smack[] of intentional wrongdoing’ ” or “evinces[] a reckless indifference to the rights of others” (*Sommer*, 79 NY2d at 554, quoting *Kalisch-Jarcho*, 58 NY2d at 385).⁴

In light of two potentially competing lines of precedent, we must consider whether the sole remedy provision here may be rendered unenforceable by plaintiff’s allegations that “a breach of contract occurred as a result of gross negligence” (*Abacus Fed. Sav. Bank v ADT Sec. Servs., Inc.*, 18 NY3d 675, 684-685 [2012]).

4. Plaintiff does not contend here that any statute or different public policy rule could render the sole remedy provision unenforceable.

B.

[1] We have previously considered the application of the gross negligence public policy rule only in cases where the contract provision at issue was an exculpatory clause, purporting to wholly immunize a party from liability, or a nominal damages clause limiting damages to, at most, \$250 (*see Abacus*, 18 NY3d at 681; *Colnaghi*, 81 NY2d at 823; *Sommer*, 79 NY2d at 549; *David Gutter Furs v Jewelers Protection Servs.*, 79 NY2d 1027, 1029 [1992]).⁵ We have not yet determined whether grossly negligent conduct may render unenforceable contractual provisions that do not wholly insulate a party from liability for its breach, but instead impose reasonable limitations on either liability or the remedies available to the non-breaching party. We conclude that, in a breach of contract case, grossly negligent conduct will render unenforceable only exculpatory or nominal damages clauses, and the public policy rule does not extend to limitations on the remedies available to the non-breaching party.

This conclusion is in keeping with the secondary sources laying the groundwork for the rule. The Restatement (Second) of Contracts provides that “[a] term exempting a party from tort liability for harm caused intentionally or recklessly is unenforceable on grounds of public policy” (Restatement [Second] of Contracts § 195 [1] [1979]). That is consistent with the rule announced by the first Restatement in 1932 (*see* Restatement [First] of Contracts § 575 [1] [1932] [“A bargain for exemption from liability for the consequences of a wilful breach of duty is illegal”]). When articulating the rule in our decisions, we have relied on these Restatement provisions, as well as Williston on Contracts (*see Sommer*, 79 NY2d at 554; *Kalisch-Jarcho*, 58 NY2d at 385; *Gross*, 49 NY2d at 106). That treatise similarly provided that “[a]n attempted exemption from liability for a future intentional tort or for a future willful act or one of gross negligence is void” (15 Walter H.E. Jaeger, Williston on Contracts § 1750A at 141 [3d ed 1972]). The use of the word “exempt” in these secondary sources suggests total immunity from liability (*see* Black’s Law Dictionary 717 [11th ed 2019],

5. Although we used the phrase “liquidated damages clauses” in *Abacus* (18 NY3d at 683), that was dicta. The contracts at issue in *Abacus* both “contained clauses that exculpated defendants from liability for their own negligence and limited their liability, under all circumstances, to \$250” (*id.* at 681). Those clauses were therefore exculpatory and nominal damages clauses, respectively.

exemption [“Freedom from a duty, liability, or other requirement; an exception”]; Merriam-Webster Online Dictionary, exemption [<https://www.merriam-webster.com/dictionary/exemption>] [“the act of exempting or state of being exempt : IMMUNITY”]).

Other authorities also have recognized the difference between exculpatory clauses and clauses merely limiting liability. Williston on Contracts quoted an Appellate Division decision for the following proposition:

“ ‘A total immunity clause is bad; a limitation provision, if reasonable, is not. In truth, the rule rests not so much on the basis that the immunity provision may be avoided for fraud in the inducement of the contract, but on the principle that the provision is illegal, and therefore null, because it violates public policy’ ” (15 Walter H.E. Jaeger, Williston on Contracts § 1750A at 147 [3d ed 1972], quoting *Soviero Bros. Contr. Corp. v City of New York*, 286 App Div 435, 441 [1st Dept 1955], *affd without op* 2 NY2d 924 [1957]; *see also* 15 Corbin on Contracts § 85.18 [2020]; *cf. Boyle v Bush Term. R.R. Co.*, 210 NY 389, 392 [1914] [“(T)he contract in this case did not provide for exemption from liability. On the contrary, the agreement fixed the value of the goods and thereby measured the liability of the carrier for damage or loss, whether from negligence or otherwise”]).

Limiting the scope of the gross negligence public policy exception to exculpatory and nominal damages clauses in breach of contract cases is also consistent with the public policy concerns animating the rule. When a party engages in conduct that smacks of intentional wrongdoing or evinces reckless disregard for the rights of others (*see Sommer*, 79 NY2d at 554), public policy will not permit that actor to escape all liability for its misconduct. Furthermore, policy does not allow the party injured as a result of such wrongdoing to be left uncompensated for its losses. These public policy concerns do not apply with equal force where, as here, sophisticated commercial parties choose a remedy that will be available in the event of a breach of contract to the exclusion of others.

Moreover, we will enforce the bargain that contracting parties have freely made, “ ‘[a]bsent some violation of law or transgression of a strong public policy’ ” (*Deutsche Bank Natl.*

Trust Co. v Flagstar Capital Mkts., 32 NY3d 139, 154 [2018], quoting *Rowe v Great Atl. & Pac. Tea Co.*, 46 NY2d 62, 67-68 [1978]). Freedom to contract itself is “deeply rooted in public policy” (*J.P. Morgan Sec. Inc. v Vigilant Ins. Co.*, 21 NY3d 324, 334 [2013] [internal quotation marks omitted]). “Freedom of contract prevails in an arm’s length transaction between sophisticated parties such as these, and in the absence of countervailing public policy concerns there is no reason to relieve them of the consequences of their bargain” (*Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685, 695 [1995]). When the clause limiting liability is negotiated at arm’s length by sophisticated parties, provides for more than nominal damages, and does not wholly exculpate the breaching party, the rationales underlying the gross negligence public policy exception fail to overcome the public policy in favor of freedom of contract, where, as here, the only causes of action raised in the complaint sound in breach of contract.

We decline to extend the scope of this public policy rule in a breach of contract case to invalidate limitations on liability or remedies available to the non-breaching party. Rather, in a breach of contract case, grossly negligent conduct will render unenforceable only exculpatory or nominal damages clauses.

C.

[2] The sole remedy provision at issue here is neither an exculpatory clause nor a nominal damages clause. “Exculpatory clauses immunize a party from liability for its own misconduct” (*A.H.A. Gen. Constr. v New York City Hous. Auth.*, 92 NY2d 20, 30 [1998], *rearg denied* 92 NY2d 920 [1998]). The sole remedy provision does not immunize defendants from liability for a breach of the representations and warranties. Nor does it limit plaintiff’s damages to a nominal sum. Instead, the sole remedy provision provided a mechanism by which defendants could correct the breach—cure or repurchase of a nonconforming loan—which was intended to make the trust whole.

Plaintiff argues that the Appellate Division correctly concluded that it cannot be determined at this stage of litigation whether the sole remedy provision will make the trust whole (*see* 169 AD3d at 225). We disagree. The Appellate Division’s conclusion is based on its previous decision in *2006-13ARX*. There, that Court recognized that it had held in a previous RMBS case, *Nomura*, that the specific performance of

cure or repurchase might be impossible in cases where the nonconforming loans have been foreclosed upon or liquidated (see *2006-13ARX*, 143 AD3d at 9, citing *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 133 AD3d 96, 106 [1st Dept 2015]). In that situation, the Court had held that where the granting of equitable relief in the form of specific performance was impossible, equity may award damages in lieu of specific performance (see *Nomura*, 133 AD3d at 106). In *2006-13ARX*, the Appellate Division noted that *Nomura* was then pending at the Court of Appeals, and therefore that “[t]he issue of whether the sole remedies clauses in these contracts will make the investors whole cannot be ascertained at this stage of the litigation, militating in favor of permitting the allegations of gross negligence to remain” (*2006-13ARX*, 143 AD3d at 9). The Appellate Division relied on that holding in its decision below to conclude that, at this stage of litigation, the issue of whether the sole remedy provision will operate as an exculpatory clause cannot yet be determined (see 169 AD3d at 225).

In *Nomura*, however, the parties to the appeal did not raise that issue before this Court (see *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 30 NY3d 572 [2017]). Although the order in *2006-13ARX* was also appealed to this Court, the appeal was withdrawn by stipulation of the parties before this Court could consider it (see 32 NY3d 1001 [2018]). This Court therefore has not yet considered, let alone overruled, the Appellate Division’s conclusion that where specific performance of cure or repurchase is impossible, a plaintiff in an RMBS case may pursue monetary damages in lieu of specific performance.

Defendants concede that the Appellate Division’s holdings on that issue are “binding law in this case.” More specifically, defendants concede that “if a breaching loan has already been liquidated, the defendant will still be liable to pay the Repurchase Price, and thereby make the Trust whole, even if actual repurchase of the loan (i.e., specific performance) is impossible because the loan no longer exists.” Based on this concession, the Appellate Division erred in concluding that it cannot be ascertained at this stage of the litigation whether the sole remedy provision is “illusory.” Defendants are bound by the Appellate Division’s precedent and their concessions in this case, regardless of what this Court may ultimately decide on that issue, if and when it is raised before us. For that rea-

son, the sole remedy provision cannot be said to be exculpatory or illusory in this particular case.

Moreover, as a general matter, whether a contractual provision constitutes an exculpatory clause cannot depend upon a legal ruling this Court may make in some unrelated litigation at some unspecified point in the future. Such a rule could leave RMBS litigation in limbo indefinitely and would be destabilizing to the uniformity and predictability that is the foundation of New York contract law (*see Deutsche Bank Natl. Trust Co.*, 34 NY3d at 342). Instead, we examine the plain language of the contracts to determine whether the sole remedy provision was intended to immunize defendants from liability for a breach. We conclude that the sole remedy provision was not intended to exculpate defendants from liability for a breach but rather was intended by the parties to provide a remedy for the breach, albeit an exclusive one, that would make the trust whole.

Plaintiff's contention that the pervasive nature of the breaches will make it impossible for plaintiff to prove its case on a loan-by-loan basis has previously been considered and rejected by this Court as a basis to render the sole remedy provision unenforceable (*see Nomura*, 30 NY3d at 585; *Ambac*, 31 NY3d at 581-584). Plaintiff's remaining arguments as to why the sole remedy provision is an exculpatory clause are without merit.

For these reasons, we conclude that the sole remedy provision at issue here is not an exculpatory or nominal damages clause and, under the circumstances of this case, is not subject to the gross negligence public policy exception. The allegations of gross negligence in the complaint therefore cannot render the sole remedy provision unenforceable.⁶

D.

Our dissenting colleague reasonably points out the enormous damage to the economy and the investing public that resulted from the 2008 financial crisis, damage that defendants here al-

6. In light of this conclusion, we do not consider whether plaintiff's complaint sufficiently alleged conduct by defendants that, if true, constituted gross negligence (*cf. Abacus*, 18 NY3d at 683-684). In a breach of contract case where exculpatory or nominal damages clauses are at issue, a plaintiff seeking to render those clauses unenforceable pursuant to this public policy rule must sufficiently plead, and ultimately prove, allegations of gross negligence (*see id.*).

legedly contributed to by ignoring their contractual obligations to deliver loans that complied with the representations and warranties they had made (*see* dissenting op at 363-366). We do not intend to condone that alleged misconduct or to minimize the suffering that the economic crisis inflicted upon homeowners and families throughout this state. We nevertheless respectfully disagree with our dissenting colleague that a different outcome is warranted in this case, for several reasons.

As we have repeatedly emphasized, where, as here, the causes of action alleged in the complaint sound purely in breach of contract, the gross negligence public policy exception may render unenforceable only exculpatory or nominal damages clauses. Notably, some cases do not clearly sound in either tort or contract and instead fall into the “borderland between tort and contract” (*Sommer*, 79 NY2d at 550). In some of those cases, where the relationship between the parties is formed by contract, the defendant’s conduct also gives rise to separate liability in tort arising from a duty of care independent of the contract, which duty of care may be breached by the same conduct constituting the contractual breach (*see id.* at 550-553).

For the reasons explained below (*see infra* at 360-361), that is not the case here. Plaintiff does not contend, at least insofar as it seeks compensatory damages for breach of contract, that defendants have committed some independent tort or violated a duty of care separate from their obligations under the contracts. Instead, plaintiff contends that although it did not plead a tort claim for gross negligence, the sole remedy provision is void as against public policy because plaintiff alleged that defendants breached certain of their contractual obligations in a “grossly negligent manner.” In support of that contention, plaintiff cites our decision in *Abacus*. There, the Court held that the plaintiff’s complaint “did not allege conduct that would give rise to separate liability in tort” and that “the allegations that a breach of contract occurred as a result of gross negligence does not give rise to a duty independent of the contractual relationship” (*Abacus*, 18 NY3d at 684-685). The Court nevertheless reinstated the plaintiff’s breach of contract action against one defendant and held that, if the plaintiff could prove its sufficiently pleaded allegations of gross negligence, it could seek damages despite the exculpatory and nominal damages clauses in the contracts pursuant to this public policy rule (*see id.* at 683-684).

In *Abacus*, however, the limitation provisions at issue there “exculpated defendants from liability for their own negligence and limited their liability, under all circumstances, to \$250” (*id.* at 681). Those were clearly exculpatory and nominal damages clauses, and we based our holding in *Abacus* on *Sommer*’s rule that exculpatory and nominal damages clauses in contracts are not enforceable against allegations of gross negligence (*see id.* at 683, citing *Sommer*, 79 NY2d at 554). We have never extended that rule to a contractual provision other than one that was exculpatory or nominal, and we decline to do so here. Our holding about the scope of the public policy rule today applies solely to cases that, like this one, sound purely in breach of contract. We express no opinion on the scope of the gross negligence public policy rule in cases that involve cognizable tort claims or claims that straddle the line between contract and tort.⁷

The dissent alternatively posits that defendants *have* breached an independent duty of care, for reasons similar to those articulated in *Sommer*. The dissent therefore reaches the issue we leave open here, i.e., the scope of the gross negligence public policy rule to cases that fall in the borderland between tort and contract (*see* dissenting op at 378-380). Although the dissent’s arguments regarding the “catastrophic consequences” of subprime RMBS securitizations on a global scale are not without merit, they are not reflected in the complaint filed in this particular case. Indeed, here, plaintiff’s allegations of gross negligence in the complaint related solely to defendants’ failure to either notify plaintiff of defective loans or to comply with the cure or repurchase protocol for those defective loans. Specifically, plaintiff alleged that defendants “were grossly negligent in failing to identify and cure breaches of their representations and warranties”—not with respect to the truth or falsity of the representations and warranties when made.

The remedy of cure or repurchase was intended to make the trust whole for defective loans in the pool, and defendants have conceded that if specific performance is impossible, they will be obligated to pay the repurchase price for nonconforming loans. Although that remedy of course does not compensate the public

7. For that reason, we express no opinion on the dissent’s hypothetical example of an alternative limitation on liability in *Sommer* (*see* dissenting op at 376). This Court held that the plaintiff’s claims in *Sommer* “lie in tort as well as contract” (*Sommer*, 79 NY2d at 552-553). *Sommer* therefore was not a pure breach of contract case.

for its losses resulting from the 2008 financial crisis, plaintiff here seeks recompense only for the losses to the trust.⁸ We conclude that plaintiff is bound by the agreement it made.

III.

Punitive Damages and Attorneys' Fees

We further conclude that Supreme Court properly dismissed plaintiff's claims for punitive damages and attorneys' fees.

The "pleading elements required to state a claim for punitive damages as an additional and exemplary remedy when the claim arises from a breach of contract" are: "(1) defendant's conduct must be actionable as an independent tort; (2) the tortious conduct must be of [an] egregious nature . . . ; (3) the egregious conduct must be directed to plaintiff; and (4) it must be part of a pattern directed at the public generally" (*New York Univ.*, 87 NY2d at 316). "Where a lawsuit has its genesis in the contractual relationship between the parties, the threshold task for a court considering defendant's motion to dismiss a cause of action for punitive damages is to identify a tort independent of the contract" (*id.*). For punitive damages to arise, the defendant must have violated a duty "apart from and independent of promises made" in the contract (*id.* [internal quotation marks omitted]). In other words, the defendant must have "engaged in tortious conduct separate and apart from its failure to fulfill its contractual obligations" (*id.*). "[W]here a party is merely seeking to enforce its bargain, a tort claim will not lie" (*id.*).

[3] Here, plaintiff alleges that defendants failed to deliver mortgage loans that complied with the representations and warranties defendants made in the contracts. A cause of action based on the failure to deliver an item of a bargained-for quality sounds purely in breach of contract (*see Sommer*, 79 NY2d at 552; *Bellevue S. Assoc. v HRH Constr. Corp.*, 78 NY2d 282, 294-295 [1991]). Plaintiff therefore is merely seeking to enforce its bargain (*see New York Univ.*, 87 NY2d at 316). Plaintiff's

8. As the dissent points out (*see* dissenting op at 379-380), there are other regulatory and enforcement mechanisms, outside the context of individual breach of contract actions between RMBS parties, that are intended to compensate the public for the kind of harm the dissent identifies. Whether or not those mechanisms have been effective or satisfying in the wake of the 2008 financial crisis, it does not transform the nature of the dispute before us in this case.

assertion that defendants committed fraud by entering into the relevant contracts with no intention of delivering loans that complied with the representations and warranties does not require a different conclusion. “General allegations that [a] defendant entered into a contract while lacking the intent to perform it are insufficient” to support a claim for fraud (*id.* at 318).

The Appellate Division relied on an order from the Securities and Exchange Commission (SEC), attached to the complaint, to support its conclusion that the claim for punitive damages could proceed (*see* 169 AD3d at 225-226). The SEC found that, with respect to this RMBS securitization and one other, defendants defrauded investors by misstating the delinquency rate of the loans in the pool. Defendants’ misstatement of the delinquency rate, however, is another example of defendants’ alleged failure to comply with the representations they made about the quality and characteristics of the loans in the pool, which is the gravamen of the breach of contract cause of action. Indeed, plaintiff concedes that defendants made representations and warranties regarding the delinquency rate of the loans in the pool in the PSA. “In this situation where the bargained-for consideration has failed to meet the expectations of the purchaser,” the remedy lies in contract (*Bellevue*, 78 NY2d at 294). The SEC order therefore does not demonstrate that defendants committed independently tortious conduct that is separate and distinct from the conduct giving rise to the breach of defendants’ contractual obligations to plaintiff (*see New York Univ.*, 87 NY2d at 316).⁹

[4] Finally, Supreme Court properly dismissed plaintiff’s claim for attorneys’ fees. New York follows the general rule that “attorney’s fees are incidents of litigation and a prevailing party may not collect them from the loser unless an award is authorized by agreement between the parties, statute or court rule” (*Hooper Assoc. v AGS Computers*, 74 NY2d 487, 491 [1989]). Courts must not “infer a party’s intention to waive the benefit of the rule unless the intention to do so is unmistakably clear from the language of the promise” (*id.* at 492; *see e.g. Mount Vernon City School Dist. v Nova Cas. Co.*, 19 NY3d 28, 39-40 [2012]; *Ambac*, 31 NY3d at 584).

9. Inasmuch as plaintiff’s claim for punitive damages fails on the first element, we do not address the remaining three elements. We express no opinion on whether the SEC order is relevant to allegations of fraud against defendants in a different context.

Plaintiff's claim for attorneys' fees relies on the PSA's definition of the repurchase price, which refers to the trustee's ability to recover the "costs and expenses" it incurs arising out of a breach, including costs and expenses related to its "enforcement of the repurchase obligation of the Depositor or the Sponsor." This language does not meet the "unmistakably clear" standard of *Hooper*. Depending on the context, "costs and expenses" may not encompass attorneys' fees (*see e.g. Waverly Mews Corp. v Waverly Stores Assoc.*, 294 AD2d 130, 132 [1st Dept 2002]). That is especially true here, where the PSA expressly refers to attorneys' fees or legal fees more than a dozen times in separate provisions, but the parties used the phrase "costs and expenses" in the repurchase price definition.

Accordingly, the order of the Appellate Division should be reversed, with costs, the order of Supreme Court reinstated and the certified question answered in the negative.

RIVERA, J. (dissenting in part). This appeal presents another wrinkle in the now familiar residential mortgage-backed securitization (RMBS) litigation that has consumed New York courts for more than a decade. The parties ask us to resolve whether the RMBS agreements limit the plaintiff's remedies for defendants' alleged grossly negligent breach of their representations and warranties.

The applicable legal principles favor plaintiff. First, it is the public policy of this state that a defendant cannot insulate itself from the consequences of its grossly negligent conduct by contracting away its liability (*Sommer v Federal Signal Corp.*, 79 NY2d 540, 554 [1992]; *Kalisch-Jarcho, Inc. v City of New York*, 58 NY2d 377, 384-385 [1983]; *Gross v Sweet*, 49 NY2d 102, 106 [1979]). Second, an agreement on the type and amount of damages available in the event of a breach is unenforceable where the amount is unreasonable compared to the alleged damages incurred (*Trustees of Columbia Univ. in the City of N.Y. v D'Agostino Supermarkets, Inc.*, 36 NY3d 69, 75-76 [2020]; *Sommer*, 79 NY2d at 553-554; *Wilson Trading Corp. v David Ferguson, Ltd.*, 23 NY2d 398, 405 [1968]). Third, a defendant may be liable for gross negligence when its actions give rise to a duty "independent of the contractual relationship" (*Abacus Fed. Sav. Bank v ADT Sec. Servs., Inc.*, 18 NY3d 675, 685 [2012]; *see also Sommer*, 79 NY2d at 553). As the Court has explained, a defendant's duty to act with reasonable care may stem from "the nature of the injury, the manner in which the

injury occurred and the resulting harm,” including where there is a duty to the public to avoid a breach with “catastrophic consequences” (*Sommer*, 79 NY2d at 552-553).

Nevertheless, the majority holds that the RMBS trustee may not recover damages for gross negligence beyond the remedy provided in the transaction agreements because the remedy provides more than nominal relief (*see* majority op at 359). It further concludes that, despite plaintiff’s allegations of violations of federal securities law in this highly regulated industry, plaintiff has failed to allege an independent legal duty of reasonable care (*see id.* at 359). The majority’s new rule undermines the public policy in deterring gross negligence and ignores the public’s interest in holding financial institutions accountable when they fail to exercise reasonable care in the RMBS market.

The approach adopted by the majority accommodates intentional irresponsible conduct by parties with a track record of disregarding regulatory requirements and industry standards of practice. Therefore, I dissent from that part of the majority decision that insulates defendants from the plaintiff’s claims for compensatory and punitive damages.

I.

A. RMBS and the Economic Meltdown

In order to resolve the question before us, we must locate plaintiff’s claim in its historical context. Since 1970, financial institutions in the United States have engaged in RMBS transactions by pooling home-mortgage loans in trusts and selling beneficial-ownership interests in the pooled loans to investors (U.S. Securities and Exchange Commission, *Staff Report: Enhancing Disclosure in the Mortgage-Backed Securities Markets* § II [C] [Jan. 2003]; Jason H.P. Kravitt et al., *Securitization of Financial Assets* § 16.02 [A] [1] [3d ed & 2021 Supp]). Specifically, “a ‘sponsor’ reviews the loan origination files . . . and sells those loans to an entity known as the ‘depositor’. . . . The depositor transfers (or ‘deposits’) the loans into a trust—which is controlled by a ‘trustee’ for the benefit of its security holders—in exchange for debt securities in the trust” (*see Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 30 NY3d 572, 597 [2017, Rivera, J., dissenting]). As borrowers pay off their mortgages, the proceeds pass through the trust and are used to make pay-

ments to investors in accordance with a priority scheme detailed in the securitization documents. Bundling mortgages in this way reduces the risks posed by individual loans. “Securitization thus enables financial diversification and transfer of risk from mortgage lenders to investors” (*id.* at 597-598). Given the money to be made by diluting risk in this way, for decades mortgage-backed securities have served in the United States and abroad as a popular and lucrative investment vehicle (*id.*).

Investors purchasing interests in RMBS “rely on the sponsor’s warranties and representations—as the entity responsible for assessing and selecting the loans to be included in the trust—to ensure that the loan pools are as they purport to be” (*id.* at 598). “[I]nstitutional investors usually have to make snap judgments whether to invest without time for any substantive due diligence; most simply rely on lenders, underwriters, and rating agencies” (*id.* at 598 n 2 [internal quotation marks omitted], citing Kathleen C. Engel & Patricia A. McCoy, *Turning a Blind Eye: Wall Street Finance of Predatory Lending*, 75 Fordham L Rev 2039, 2061, 2068 [2007]). Similarly, “[s]econdary market purchasers . . . demand contractual protections to mitigate” the danger to the investment vehicle posed by high-risk loans (*id.*).

The popularity of securitization, and the willingness of financial institutions to underrate or misrepresent high-risk mortgages, led to calamity and financial ruin in the late 2000s. In the lead up to 2008, large Wall Street firms “joined with numerous ground-level lenders to mine the home equity of the large numbers of Americans who were squeezed by modest incomes, meager government services, and rising debt” (Martha T. McCluskey, *How the “Unintended Consequences” Story Promotes Unjust Intent and Impact*, 22 Berkeley La Raza LJ 21, 22-23 [2012]). The lenders offered these borrowers loans that they could not afford, commonly referred to as subprime mortgages, in order to meet the financial market’s voracious demand for mortgage-backed securities (*id.*). Inevitably subprime mortgagors began to default, setting into motion a financial conflagration known as the Great Recession (*id.*; Steven L. Schwarcz, *Misalignment: Corporate Risk-Taking and Public Duty*, 92 Notre Dame L Rev 1, 3 [2016]).

Between 2007 and 2009, the stock market lost \$8 trillion in value and Americans lost \$9.8 trillion “in wealth as their home values plummeted and their retirement accounts vaporized”

(Renaë Merle, *A Guide to the Financial Crisis—10 Years Later*, Wash Post, Sept. 10, 2018, https://www.washingtonpost.com/business/economy/a-guide-to-the-financial-crisis—10-years-later/2018/09/10/114b76ba-af10-11e8-a20b-5f4f84429666_story.html). By the end of June 2009, close to 240,000 families in New York were past due on their mortgages, and families living within the state were expected to lose close to \$242 billion dollars in home equity (Center for Responsible Lending, *Financial Crisis in New York and the Need for a Consumer Financial Protection Agency* [Sept. 2009], available at <https://www.responsiblelending.org/mortgage-lending/policy-legislation/states/ny-statewide.pdf>). The collapse of the economy also led to record-level unemployment in New York and nationally (see New York State Department of Labor, *Employment in New York State* [Feb. 2010], available at <https://labor.ny.gov/stats/PDFs/enys0210.pdf>; Christopher J. Goodman & Steven M. Mance, *Employment Loss and the 2007-09 Recession: An Overview*, U.S. Bureau of Labor Statistics, Monthly Lab Rev, Apr. 2011, at 4-8). Workers in New York and other states experienced mounting job losses which led to significantly diminished tax revenue and a reduction in available funds for social services and education (Raymond H. Brescia & Nicholas Martin, *The Price of Crisis: Eminent Domain, Local Governments, and the Value of Underwater Mortgages*, 24 Temp Pol & Civ Rts L Rev 1, 12 [2014]). Homeowners began to abandon their underwater properties, which then “demanded extensive city resources in the form of police and fire services,” adding to the costs faced by flailing municipalities (Sarah L. Swan, *Plaintiff Cities*, 71 Vand L Rev 1227, 1239-1240 [2018]).

The Federal Reserve estimated that the loss in real estate wealth per US household was roughly \$30,300, and the loss in stock wealth per household was approximately \$66,200 (Pew Research Center, *The Impact of the September 2008 Economic Collapse* [Apr. 28, 2010], <https://www.pewtrusts.org/en/research-and-analysis/reports/2010/04/28/the-impact-of-the-september-2008-economic-collapse>). As these numbers suggest, unsurprisingly, the Great Recession’s effects skewed towards the most vulnerable members of our society (McCluskey, 22 Berkeley La Raza LJ at 24). While homeowners did not receive government assistance to cope with their losses, “the government allocated \$700 billion of taxpayer funds to provide relief to troubled banks and Wall Street investment firms—the largest bailout of private financial companies in American history”

(Tracie R. Porter, *Pawns for a Higher Greed: The Banking and Financial Services Industry's Capture of Federal Homeownership Policy and the Impact on Citizen Homeowners*, 37 Hamline L Rev 139, 174 [2014]). In addition to the individual suffering caused by the financial crisis, the country lost an estimated \$648 billion in revenue “due to slower economic growth” (Pew Research Center, *The Impact of the September 2008 Economic Collapse* [Apr. 28, 2010], <https://www.pewtrusts.org/en/research-and-analysis/reports/2010/04/28/the-impact-of-the-september-2008-economic-collapse>).

Unsurprisingly, the financial crisis led to litigation by various financial-sector entities and investors seeking to recover their losses due to the devaluation of securitized, subprime mortgages. Typically, in these cases, the trustee of an RMBS trust or a certificateholder who invested in the securities alleges breaches of the representations and warranties commonly made in the industry as part of an RMBS transaction.

The litigation has been robust. For example, our Court has decided seven appeals dealing with alleged breaches of representations and warranties in RMBS cases in the last five years. We have held, among other things, that an RMBS breach of contract claim accrues on the date that defendant made the allegedly false representations and warranties (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581, 594-595 [2015]), that attempts to delay the commencement of the statutory limitations periods are against New York public policy (*Deutsche Bank Natl. Trust Co. v Flagstar Capital Mkts.*, 32 NY3d 139, 143 [2018]), and that, as a matter of contract interpretation, plaintiffs can only recover through damages limitation provisions for breaches of loan-specific representations and warranties (*Nomura*, 30 NY3d at 577; *Ambac Assur. Corp. v Countrywide Home Loans, Inc.*, 31 NY3d 569, 581 [2018]). It is no exaggeration to say that litigation will continue for the foreseeable future, given the creativity of counsel and the vast amount of money at stake. Whether this litigation will discourage repetition of the sins of the past and avoid another economic meltdown depends, at least in part, on how we apply the law governing contractual remedies.

B. The Morgan Stanley ABS Capital I Inc, Trust 2007-NC4
and the Trustee's Breach of Contract Litigation

The current appeal is the latest New York installment in the RMBS saga. This time the plaintiff before us proceeds under a

theory of gross negligence for alleged breaches of representations and warranties concerning the value and stability of the RMBS securitization sold to Morgan Stanley ABS Capital I Inc. Trust 2007-NC4 (the trust)—a transaction plaintiff calls “the Deal.”

In 2007, Morgan Stanley Mortgage Capital Inc. (MSMCI) purchased 5,337 mortgage loans at a public auction after the loan originator went bankrupt. MSMCI claimed to have reviewed the loan-origination files, including the borrowers’ applications, before purchasing the loans. Defendant Morgan Stanley Capital Holdings LLC (MS Holdings), as successor-by-merger to MSMCI, sold the loans to its affiliate, defendant Morgan Stanley ABS Capital I Inc. (MS ABS)¹ through a representations and warranties agreement (RWA). MS ABS, as depositor for the deal, entered into a pooling services agreement (PSA) with plaintiff Deutsche Bank National Trust Company (the trustee).² The mortgage loans were conveyed to the trust, which was created under the PSA.

The trust issued certificates representing a security interest in the loans to Morgan Stanley, and Morgan Stanley sold the certificates to investors. Morgan Stanley profited from the sale of the certificates to the public and received approximately half a million dollars as an underwriting fee in connection with the RMBS transaction.

Defendants made representations regarding the quality of the loans in the RWA,³ and defendant MS ABS made additional representations that it had good title to the mortgage loans when it transferred them to the trust. The RWA representa-

1. MS Holdings is a limited liability company formed under New York law, and MS ABS is a corporation formed under Delaware law. Both MS Holdings and MS ABS are wholly owned subsidiaries of Morgan Stanley, which is a publicly held corporation.

2. Deutsche Bank National Trust Company is a national banking association organized to carry out the business of a limited-purpose trust company under the laws of the United States. Deutsche Bank National Trust Company is a wholly owned subsidiary of a chain of subsidiaries owned by Deutsche Bank AG, which is a publicly held banking corporation organized under the laws of the Federal Republic of Germany.

3. For example, defendants represented that “[t]he information set forth in the” agreements “relating to the [m]ortgage [l]oans” was “complete, true and correct as of” the transaction’s cut-off date; unless already identified, none of the loans within the pool were more than 30 days’ delinquent; the mortgaged properties were insured; all charges relating to the properties had been paid; and none of the mortgagors were “encouraged or required” to obtain subprime mortgages.

tions were incorporated into the PSA. Defendants made similar representations in the public offering documents, including assertions that their due diligence to ensure the quality of the loans met underwriting guidelines before loans were sold to the trust.

Under both agreements, if a mortgage in the trust was in breach of a representation or warranty that materially and adversely affected the value of the loan or the interests of the trustee or a certificateholder, defendants were obligated to cure, repurchase the loan at a defined price, or substitute the defective loan.⁴ This “sole remedy” provision is common in securitization transactions (*see generally ACE Sec. Corp.*, 25 NY3d 581; *Nomura*, 30 NY3d 572; *Ambac Assur. Corp.*, 31 NY3d 569; *Flagstar Capital Mkts.*, 32 NY3d 139).

Plaintiff commenced this action in its capacity as trustee against defendants, charging that the mortgage loans were higher risk than defendants had publicly represented. The complaint alleges widespread breaches of the representations and warranties and the defendants’ refusal to cure or repurchase the defective loans. According to plaintiff, these breaches resulted in the trust losing almost half a billion dollars in value, approximately 50% of the original loan balance.

Plaintiff alleges that this was no mere mistake but, rather, that the sponsor and depositor transferred the loans fully aware that they were misleading plaintiff and certificateholders as to the value of the securitization. In support of this claim, the complaint asserts that in 2011, the certificate insurer, which issued an insurance policy for the certificateholders’ benefit, retained a third-party consultant to analyze a sample of at least 800 mortgages held in the trust. The consultant discovered that every one of the examined mortgages violated the warranties and representations in the PSA and RWA. The breaches involved key characteristics of the mortgages, including misrepresentations in the mortgage applications concerning the borrowers’ incomes, debt obligations, and

4. The PSA defined the repurchase price as “an amount equal to the sum of (i) the unpaid principal balance of such Mortgage Loan as of the date of the repurchase, (ii) interest on such unpaid principal balance,” (iii) “all unreimbursed Servicing Advances,” (iv) “all costs and expenses incurred by” plaintiff “arising out of or based upon a breach or defect, including without limitation, costs and expenses relating to” plaintiff’s “enforcement of the repurchase obligation . . . under the” RWA, and (v) “any costs and damages incurred by the Trust in connection with any violation” of predatory or abusive lending laws. The RWA incorporated this definition by reference.

employment, and the properties' occupancy and values. Plaintiff alleges that this number of breaches is unprecedented.

Plaintiff attached to the complaint a Securities and Exchange Commission (SEC) order issued in 2014 instituting cease and desist proceedings pursuant to section 8A of the Securities Act of 1933.⁵ According to that order, and as described in plaintiff's complaint, the SEC concluded that the defendants' acts "[o]perated or [w]ould [o]perate as a [f]raud or [d]eceit [u]pon [p]urchasers."⁶ The SEC explained,

"[t]he transactions, which were the last subprime RMBS [that respondents] sponsored, issued, and underwrote, came against the backdrop of rising borrower delinquencies and unprecedented distress in the subprime market. In the midst of these adverse market conditions, [respondents] misrepresented in the offering documents the current or historical delinquency status of certain loans collateralizing the transactions."

The SEC found that, while the RWA and PSA guaranteed that no more than 1% of the loans in the trust were delinquent at the time that the loans were transferred to the trust, defendants knew or should have known that "at least 4.5%" of the trust's aggregate principal balance was delinquent immediately before the transfer. The SEC concluded that defendants' conduct leading to "offering documents that materially understated [then] current delinquencies" violated Securities Act of 1933 § 17 (a) (2)-(3) (prohibiting [1] the offer or sale of securities for compensation by means of any untrue statement of a material fact or any omission of a material fact and [2] transactions, practices, or courses of business that operate or would operate as a fraud or deceit upon the purchaser). The SEC ordered that defendants cease and desist from committing or causing any current or future violations and pay disgorgement, interest, and civil penalties totaling over a quarter billion dollars.

The complaint alleges that accurate representations and warranties "were especially important to the Deal because the

5. Respondents in the cease and desist proceedings included a third Morgan Stanley subsidiary, Morgan Stanley and Co. LLC, in addition to the two defendants in this case.

6. The SEC order addressed defendants' misleading public disclosures regarding delinquent loans in the trust at issue in this appeal and a second subprime RMBS transaction concluded the same year, 2007.

party” that “originated the Mortgage Loans . . . was bankrupt and could not guarantee the Loans. The [d]efendants’ representations and [their] notice and cure-or-repurchase obligations were thus the only ways to ensure for the Trust that the Mortgage Loans would be of sufficient quality to fund the bargained-for cash flow to the Certificateholders.” With respect to delinquency rates, the SEC similarly noted in its order that “[t]he presence and extent of current and historical delinquencies is important information to investors because it helps enable them to assess the likelihood that borrowers will be able to repay their mortgage loans and, as a result, whether investors will suffer losses on, or will recover and profit from, their investments.” Indeed, the SEC found that defendants’ misrepresentations of the loan delinquency rates caused millions of dollars in losses to investors from bankruptcies, properties reverting to lenders and foreclosures.

Plaintiff further alleges that, given the large number of breaching loans, the defendants’ repurchase obligation could not fulfill its “essential purpose” of ensuring that the trust received the “economic benefit” of its bargain with defendants. Thus plaintiff was “entitled to alternative remedies, including an award of damages.”

As relevant to this appeal, based on its factual allegations, plaintiff requested compensatory damages in lieu of the specific performance provided for in the PSA and RWA, along with punitive damages and attorneys’ fees. Supreme Court granted in part defendants’ motion to dismiss the cause of action for breach of representations and warranties, under CPLR 3211 (a) (1) and (7), finding that plaintiff failed to allege conduct that rises to gross negligence that would, among other things, support relief from the sole remedy provision. The Appellate Division reversed, concluding that the complaint sufficiently pleads that the sole remedy provision is unenforceable as a matter of public policy, given defendants’ alleged gross negligence and because the court could not determine at the pleading stage whether the sole remedy provision would “mak[e] the investors whole” (*Matter of Part 60 Put-Back Litig.*, 169 AD3d 217, 225 [1st Dept 2019]). The Court further held that the alleged wrongdoing supported plaintiff’s demand for punitive damages, and that defendants had conceded attorneys’ fees under First Department precedent (*id.* at 226, citing *U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 140 AD3d 518 [1st Dept 2016]). The Appellate Division granted defendants leave to appeal.

I agree for the reasons stated by the majority that plaintiff is not entitled to attorneys' fees and reversal on that issue is warranted (majority op at 361-362). I would otherwise affirm the Appellate Division as to plaintiff's demand for relief because the complaint adequately pleads gross negligence by defendants for which plaintiff may seek compensatory and punitive damages not limited by the sole remedy provision. I first address the new rule adopted in this appeal and then turn to the duty of care question left unanswered by the majority.

II.

Standard of Review

"On a motion to dismiss pursuant to CPLR 3211, the pleading is to be afforded a liberal construction" (*Leon v Martinez*, 84 NY2d 83, 87 [1994]). "We accept the facts as alleged in the complaint as true, accord plaintiffs the benefit of every possible favorable inference, and determine only whether the facts as alleged fit within any cognizable legal theory" (*id.* at 87-88; *accord AG Capital Funding Partners, L.P. v State St. Bank & Trust Co.*, 5 NY3d 582, 591 [2005]; *Rushaid v Pictet & Cie*, 28 NY3d 316, 327 [2016]). The motion to dismiss "must be denied if from the pleadings' four corners 'factual allegations are discerned which taken together manifest any cause of action cognizable at law'" (511 W. 232nd Owners Corp. v Jennifer Realty Co., 98 NY2d 144, 152 [2002], quoting *Polonetsky v Better Homes Depot*, 97 NY2d 46, 54 [2001]; *accord Rushaid v Pictet & Cie*, 28 NY3d 316, 327 [2016]; *JF Capital Advisors, LLC v Lightstone Group, LLC*, 25 NY3d 759, 764 [2015]; *see also Maddicks v Big City Props., LLC*, 34 NY3d 116, 125 [2019]). "A copy of any writing which is attached to a pleading is a part thereof for all purposes" (CPLR 3014; *accord 805 Third Ave. Co. v M.W. Realty Assoc.*, 58 NY2d 447, 451 [1983]). "[T]he form of the complaint and the label[s]" used "by the pleader are not to be exalted to a position of control" (*Alvord & Swift v Muller Constr. Co.*, 46 NY2d 276, 284 [1978]). The relevant inquiry is whether a cause of action exists, "not whether [the plaintiff] . . . properly labeled or artfully stated one" (*Chanko v American Broadcasting Cos. Inc.*, 27 NY3d 46, 52 [2016]).

Notably, whether the plaintiff "can ultimately establish its allegations is not part of the calculus in determining a motion to dismiss" (*EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11, 19 [2005]). Put another way, our task is to discern whether a cause of action is viable, not whether the plaintiff will ultimately prevail (*Leon*, 84 NY2d at 88).

Dismissal under CPLR 3211 (a) (1) is warranted “only if the documentary evidence submitted conclusively establishes a defense to the asserted claims as a matter of law” (*Leon*, 84 NY2d at 88). That is, the documentary evidence must “conclusively refute[] plaintiff’s” allegations (*AG Capital Funding Partners, L.P.*, 5 NY3d at 591).

III.

Plaintiff Sufficiently Pleads Claims for Compensatory Damages for Gross Negligence Not Limited by the Sole Remedy Provision

Defendants do not allege that the complaint fails to plead a cause of action for breach of contract based on gross negligence. Nor could they, as the complaint describes alleged intentional misrepresentations that led to widespread financial loss for the trust and certificateholders, even as defendants collected fees for services intended to provide accurate information regarding the quality and marketable title of the mortgage loans. Instead, defendants assert that, as a matter of law, plaintiff may not seek compensatory or punitive damages for its alleged misconduct. Specifically, defendants maintain that the sole remedy provision is plaintiff’s only source of relief for the alleged breaches of the RWA and PSA.

Plaintiff responds that the provision is unenforceable given defendants’ gross negligence and alleges that repurchase alone cannot compensate the trust for losses due to the massive devaluation of the mortgage loans. As I discuss, precedent and public policy support plaintiff’s argument.

A. The Gross Negligence Exception to Contractual Limitations on Damages

There is no dispute that parties are free to enter agreements that further their respective interests, so long as they do not violate public policy (*Trustees of Columbia Univ. in the City of N.Y.*, 36 NY3d at 75 n 4). As the majority correctly states, a party cannot escape liability for gross negligence by means of an exculpatory or nominal damages clause, since such limitations violate public policy (majority op at 352, citing *Colnaghi, U.S.A. v Jewelers Protection Servs.*, 81 NY2d 821, 823 [1993], *Sommer*, 79 NY2d at 554, *Kalisch-Jarcho, Inc.*, 58 NY2d at 384-385, and *Gross*, 49 NY2d at 106). The majority also correctly holds that, to invoke this public policy exception, a

plaintiff need not establish an independent tort or duty of care separate from the parties' contractual relationship (majority op at 358, citing *Abacus Fed. Sav. Bank*, 18 NY3d at 684-685).

The majority errs, however, when it concludes that, where no separate duty of care has been violated, the exception only applies to exculpatory or nominal damages clauses. In other words, according to the majority, any agreed upon remedy forecloses claims for additional relief, regardless of whether the damages limitation compensates plaintiff or discourages gross negligence. The majority's reasoning for constricting our public-policy-based rule is unpersuasive as an abstract proposition and irrelevant here, where plaintiff has alleged defendants' violation of a separate duty of care not to mislead the public about the defects in the mortgage loans, especially the delinquency rates.

B. The Sole Remedies Provision is an Unenforceable
Limitation on Defendants' Liability for Grossly Negligent
Conduct

The Court has previously addressed the public policy exception in cases involving exculpatory and nominal damages clauses, but that does not mean, as the majority concludes, that the exception only applies to those two categories of limiting clauses. The public policy that justifies the exception remains vital even when, as here, the parties agree to damages that are not nominal, but which the injured party alleges fail to compensate for gross negligence. The breaching party's defining conduct—gross negligence—remains the same, regardless of the damages limitation, as does the public interest in discouraging recklessness.

This Court first recognized the gross negligence exception in *Gross v Sweet* (49 NY2d 102 [1979]). In that case, the plaintiff sued the owner and a training school where he took a parachute jumping course for damages (*id.* at 105). As a prerequisite for admission into the course, the plaintiff signed a release form that exculpated the defendants from any personal injury or property damage incurred during the course (*id.*). On the first day, the plaintiff jumped from an airplane and suffered serious personal injuries (*id.*). In filing suit, the plaintiff claimed that the defendants "failed to provide adequate training and safe equipment, violated certain rules and procedures promulgated by the Federal Aviation Administration governing the conduct of parachute jumping schools and failed to warn [the plaintiff]

sufficiently of the attendant dangers” (*id.*). The defendants countered that the release insulated them from all tort liability no matter how negligent they had been (*id.*)

The issue before this Court in *Gross* was straightforward: could the defendants shield themselves from the consequences of their negligence by means of a liability waiver? The Court analyzed the waiver’s enforceability, beginning “with the proposition, too well settled to invoke any dispute, that the law frowns upon contracts intended to exculpate a party from the consequences of [their] own negligence” (*id.* at 106). The Court then noted that, “[t]o the extent that agreements purport to grant exemption for liability for willful or grossly negligent acts they have been viewed as wholly void” (*id.*).

Several years later, the Court stated “[m]ore pointedly” that “an exculpatory clause is unenforceable when, in contravention of acceptable notions of morality, the misconduct for which it would grant immunity smacks of intentional wrongdoing” and “betokens a reckless indifference to the rights of others” (*Kalisch-Jarcho, Inc.*, 58 NY2d at 385).

Sommer further expounded upon the principle articulated in *Gross*. The plaintiff in *Sommer* owned a skyscraper in Midtown Manhattan and contracted with the defendant to monitor a fire alarm system installed in the building (79 NY2d at 548). A confused employee of the defendant negligently deactivated the alarm system, leading to a fire that raged through one floor of plaintiff’s building, causing \$7 million worth of damages to the property (*id.* at 549). The plaintiff accused defendant of gross negligence and sought damages for the fire (*id.*). The defendant invoked a provision in its contract with the plaintiff that limited its liability for negligence to \$250 (*id.*). This Court held that the damages limitation was unenforceable as against public policy (*id.* at 553).

In *Abacus*, this Court noted that “exculpatory clauses and liquidated damages clauses in contracts are not enforceable against allegations of gross negligence” (18 NY3d at 683). The majority discounts as dictum this Court’s statement in *Abacus* that the exception applies to “liquidated damages,”—i.e., stipulated damages agreed to by the parties (majority op at 353 n 5). Yet, the majority fails to explain why this is an incorrect statement of law. Indeed, we have never held that a liquidated damages or specific performance provision is enforceable, even if it effects the same purpose as a nominal damages clause and

effectively insulates a defendant from accountability for gross negligence or reckless misconduct. Rather, the majority elides the question by marginalizing the *Abacus* Court's reference to both exculpatory clauses and damages limitations that provide for more than a nominal sum (*see* 18 NY3d at 683). Thus, the majority makes way for its new rule that the gross-negligence exception applies only to exculpatory and nominal damages clauses.

But the majority is not even fully committed to this rule and does not put it to the test here. The majority asserts that the provision “was intended to make the trust whole” (majority op at 355)—meaning that, in the majority's view, the remedy is reasonable. Indeed, as the majority quotes, “[a] total immunity clause is bad; a limitation provision, *if reasonable*, is not” (majority op at 354 [emphasis added], citing 15 Williston on Contracts § 1750A at 147 [3d ed 1972], quoting *Soviero Bros. Contr. Corp. v City of New York*, 286 App Div 435, 441 [1st Dept 1955], *affd without op* 2 NY2d 924 [1957]). This is exactly right. Here, plaintiff alleges the limitation is not reasonable given the widespread nature of the breaches and the defendants' recklessly broken promises about the quality of the mortgage loans, as illustrated by the certificate insurer's findings regarding the 800-loan sample and the SEC order. The factual allegations of gross misconduct—which we must accept as true—are sufficient and thus plaintiff's claim for damages beyond those provided by the sole remedy provision survives the motion to dismiss (*Leon*, 84 NY2d at 87; *511 W. 232nd Owners Corp.*, 98 NY2d at 152).

As this discussion illustrates, our case law stands for the proposition that courts will not stamp their imprimatur on a remedy that fails to hold a defendant accountable for harm that it has caused through gross negligence, including harm that threatens catastrophic consequences and implicates the public interest. Usually, courts act to further the welfare of the parties to a contract, for they are ordinarily the only parties affected by the contract. If, however, the performance of the contract threatens or causes harm external to the contracting parties and thus exceeds the value of the contract, then courts must take into consideration those actual or potential harms (Steven Shavell, *Foundations of Economic Analysis of Law* 294, 320 [2004]; Ronald H. Coase, *The Firm, the Market, and the Law* 27-28 [1990]). Put another way, it should never be worth the risk to a contracting party (especially a bank) to perform

and thus breach a contract in a grossly negligent manner, where the costs of grossly negligent performance far surpass the gains from breach (Richard Posner, *Economic Analysis of Law* 616-620 [8th ed 2011] [detailing the incentives that existed for banks to securitize subprime mortgages and the extensive harm caused by their doing so excessively]). Moreover, the law should eliminate incentives for a contracting party to spread false information about its products and services, as lack of transparency constitutes a market failure (Francis M. Bator, *The Anatomy of Market Failure*, 72 QJ Econ 351, 354 [1958] [describing market failure as a result of legal and organizational imperfections which leave “inputs or outputs hidden” (internal quotation marks omitted)]; Allen Buchanan, *Ethics, Efficiency, and the Market* 19-20 [1985] [describing how lack of information and false information undermines markets’ efficiency]).

“The rationale behind” the public policy exception “is that the risk of harm to the public increases when contracting parties exempt themselves from liability for their intentional or reckless conduct” (*American Motorist Ins. Co. v Morris Goldman Real Estate Corp.*, 277 F Supp 2d 304, 307 [SD NY 2003]). If the public policy exception does not apply because damages are capped at some non-nominal sum, the number of cases in which grossly negligent breaches appear to contracting parties to be worth the risk that they pose increases, and so does the potential, uninternalized threat to the public. Put another way, the public policy exception exists to disincentivize intentional wrongdoing and recklessness that threatens the public by providing a remedy commensurate with the harm done.

By way of example, assume that the damages provision in *Sommer* allowed the plaintiff to recover 10% of the loss caused through the defendant’s negligence instead of \$250. Arguably the plaintiff’s recovery of \$700,000—10% of the \$7 million worth of damages that the defendant’s negligence caused—is not nominal. But the remedy fails to compensate for the other 90% of the injury and, if the value of the contract exceeds the cost of breach to the fire alarm company, the remedy does nothing to promote the public’s interest in discouraging grossly negligent breaches of contract, which, in the case of *Sommer*, was a conflagration that could have spread throughout the plaintiff’s building or to another building, endangering lives and causing further property damage.

Gross negligence, given its extreme nature, also poses a foreseeability issue for non-breaching parties. Arguably, even a

sophisticated entity, like plaintiff here, will not anticipate conduct in “contravention of acceptable notions of morality” or that “smacks of intentional wrongdoing” and “betokens a reckless indifference to the rights of others” (*Kalisch-Jarcho, Inc.*, 58 NY2d at 385). Indeed, who would contract with a party one anticipates acting in that way? Thus, limited damages provisions, which are designed to address foreseeable breaches, cannot be said to accommodate gross negligence.

The appeal before us demonstrates that point. Assume the limitations on recovery accepted by the majority, including that the agreements’ plain language does not shift attorneys’ fees—the same reading I give to these documents (majority op at 362). It defies logic and common sense that a contracting party in plaintiff trustee’s position would enter into the agreements at issue here anticipating that the sponsor or depositor would knowingly ignore accepted underwriting practices leading to sweeping breaches—perhaps reaching 100% of the loan pool if the certificate insurer’s sampling is indicative of the breaches’ extent—and then shift onto itself the burden of defendants’ gross negligence by agreeing to litigate each breach under the sole remedy provision on a case-by-case basis without attorneys’ fees.⁷

Granted, the replace-and-repurchase sole remedy provision makes sense in the abstract, when parties assume, because of the representations made in the RMBS materials, that the defective mortgage loans are small in number and have limited impact on the value of the trust as a whole. In that case, the individualized loan approach is workable and provides a fair remedy for the type of loan deficiencies commonplace in the market. In contrast, the sole remedy provision is wholly inappropriate when the trustee and investors are unaware that the trust is populated with a supermajority of subprime mortgages with little chance of providing a meaningful rate of return on investment. In that type of RMBS transaction, the actual risk level is hidden; and because of the concentration of delinquent subprime mortgage loans, the RMBS cannot suf-

7. The majority’s argument that the sole remedy is not illusory because liquidated damages are available in this case because of defendant’s concessions misses the mark (majority op at 356-357). First, the rule announced by the majority applies beyond these parties. Second, it is unclear whether plaintiff may pursue relief by the use of sampling. If not, the sole remedy provision may indeed be illusory and fail to provide plaintiff with the benefit of its bargain.

ficiently dilute the risk, negating the investor's primary justification for buying an interest in an RMBS.

Why then does the majority adopt a rule that disserves non-breaching parties and the public? As the majority concedes, limitations on liability are subject to judicial scrutiny and may be nullified on public policy grounds (majority op at 352). Nevertheless, the majority concludes that the public interest in deterring gross negligence has no place where the parties are litigating a breach limited to their bargain. This analysis is grounded in outdated notions of legal doctrine.

We are long past the heyday of the *Lochner* era where every type of contractual agreement was tolerated under the banner of "freedom of contract" (see David A. Strauss, *Why Was Lochner Wrong?*, 70 U Chi L Rev 373, 383-386 [2003] [describing the shortcomings of unnuanced freedom of contract as articulated by courts in the *Lochner* era]; see generally Joseph W. Singer, *Things That We Would Like to Take for Granted: Minimum Standards for the Legal Framework of a Free and Democratic Society*, 2 Harv L & Pol'y Rev 139 [2008] [arguing that market regulations and some limits on freedom of contract are necessary]). Under modern notions of contract law, there is no logical or just basis for enforcing an unreasonable and harm-facilitating damages provision simply because it provides more than nominal relief. Yes, parties are free to adopt a damages provision intended to address a possible breach (*Trustees of Columbia Univ. in the City of N.Y.*, 36 NY3d at 71). But such provisions are unenforceable if the recovery that they allow is excessive or unreasonably small, or, as plaintiff alleges here, fails to achieve its essential purpose (*id.* at 75-76; Restatement [Second] of Contracts § 195 [1]; UCC 2-719, Comment 1; *Wilson Trading Corp.*, 23 NY2d at 404-405). In other words, limitations on damages are upheld only if they are reasonable in light of the harm caused through breach.

Thus, whether the gross negligence exception applies, rendering the sole remedy provision unenforceable—as I argue, or the provision is assessed for reasonableness under general rules of contract, defendants' legal argument fails, as does this branch of the motion to dismiss.

C. Claims of Gross Negligence Based on Defendants' Independent Duty of Care

Even accepting the majority view that, with respect to cases solely grounded in breach of contract, the public policy excep-

tion applies exclusively to exculpatory or nominal damages clauses, that still leaves open the application of the exception to cases that “fall[] in the borderland between tort and contract” where a plaintiff alleges an independent duty of care (*Sommer*, 79 NY2d at 550). In those cases, “the lines of distinction are shadowy and obscure, and the tort and the contract so approach each other, and become so nearly coincident as to make their practical separation somewhat difficult” (*id.* at 550-551 [internal quotation marks omitted], quoting *Rich v New York Cent. & Hudson Riv. R.R. Co.*, 87 NY 382, 390 [1882], and citing *Matter of Paver & Wildfoerster [Catholic High School Assn.]*, 38 NY2d 669, 678 [1976]; Prosser, Selected Topics on the Law of Torts, ch VII, *The Borderland of Tort and Contract* [1953]; Note, *The Elastic Concept of Tort and Contract as Applied by the Courts of New York*, 14 Brook L Rev 196 [1948]). In at least some borderland cases, like in *Sommer*, the “relationship” formed through contract “gives rise to a duty of reasonable care that is independent” of the parties’ “contractual obligations” (79 NY2d at 553).

Here, plaintiff alleges that defendants violated federal securities law by publishing statements intended to mislead the public about the deficiency rates of the subprime mortgage loans sold to the trust, citing the SEC investigation and order. As the SEC articulated, defendants had a duty to comply with the Securities Act of 1933, passed in the wake of the Great Depression, which regulates the creation and sale of securities by requiring robust disclosures that accrue to the benefit of not only the parties to a securities transaction, but the public generally (*see* HR Rep 85, 73rd Cong, 1st Sess at 1-2 [1933] [noting the abuses and harm to the public that prompted the creation of securities disclosure requirements, and the president and legislature’s intent “to protect the public”]). This regulatory regime embodies an axiom, championed by Justice Louis D. Brandeis, that “[s]unlight is said to be the best of disinfectants; electric light the most efficient policeman” (Louis D. Brandeis, *Other People’s Money: And How the Bankers Use It* 62 [1914]).

In *Sommer*, the Court concluded that the plaintiff’s claims against that defendant sounded in contract and tort, explaining that the defendant’s “duty to act with reasonable care is not only a function of its private contract with [the plaintiff] but also stems from the nature of its services” (79 NY2d at 552). In *Sommer*, the defendant’s fire alarm transmittal ser-

vices were subject to New York's fire-safety regulations, which this Court interpreted as the expression of a public interest in the defendant providing its services with reasonable care. Similarly, in *Gross*, the plaintiff indicated the defendants' violation of Federal Aviation Administration regulations in making his claim for gross negligence (49 NY2d at 105).

In accordance with our liberal pleading standards, we assume all facts asserted in the complaint to be true and draw all reasonable inferences from those assertions, with full recognition that form and labels do not control (*Leon*, 84 NY2d at 87-88). Under that well-established standard, and contrary to the majority's conclusion, plaintiff adequately alleges conduct giving rise to separate liability in tort, as the Court has previously understood that concept. Plaintiff claims that defendants' "widespread breaches . . . demonstrate that the [d]efendants were grossly negligent in their performance of (and failure to perform) their contractual obligations." This gross negligence stems, in part, from numerous "misrepresentations to the public." Defendants' securities transactions are regulated to ensure the public is not misled nor capital markets compromised (*see e.g.* Securities Act of 1933 § 17 [a] [2], [3]; Securities Exchange Act of 1934 §§ 12 [b], [g]; 15 [d]; 17 CFR 229.1100 [b]; 229.1111 [a] [3], [5]; [c]; 26 USC §§ 860a-860g). Certainly, the public interest in transparent RMBS markets, avoiding economic catastrophe, and imposing the full cost of gross negligence on financial institutions that sell securities and perform services like those at issue here is immense, as illustrated by the Great Recession and the regulatory regime that governs securitization. Thus, as reflected in the regulatory scheme, defendants had a duty of reasonable care to the investing public and plaintiff independent of the RMBS agreements.

Apparently, the majority believes a fire-alarm company violates public policy by contracting to limit its liability for property damage from an out-of-control building fire, but an RMBS sponsor and depositor can cabin damages for alleged gross negligence that sparked a financial meltdown and threw the country into a historic recession. To be sure, the devastating effects of a building fire on property or a parachute training school's use of faulty equipment or training procedures on individual lives are beyond cavil. But so too were the "catastrophic consequences" of the global economic crisis, the effects of which were felt acutely in New York, the home of Wall Street and the financial capital of the United States.

IV.

Plaintiff Sufficiently Pleads a Claim for Punitive Damages

“[P]unitive damages may be recoverable if necessary to vindicate a public right” and “are available only in those limited circumstances where it is necessary to deter defendant and others like it from engaging in conduct that may be characterized as ‘gross’ and ‘morally reprehensible,’ and of ‘such wanton dishonesty as to imply a criminal indifference to civil obligations’” (*New York Univ. v Continental Ins. Co.*, 87 NY2d 308, 315-316 [1995]).

The specific pleading requirements for a punitive damage claim in a breach of contract action are well established and not in dispute. First, “defendant’s conduct must be actionable as an independent tort” (*New York Univ.*, 87 NY2d at 316). For the reasons I have discussed, the complaint alleges services which “gives rise to a duty of reasonable care that is independent of [defendants’] contractual obligations” (*Sommer*, 79 NY2d at 553). Thus, plaintiff has met the first requirement.

Second, the tortious conduct must be egregious (*New York Univ.*, 87 NY2d at 316). This requirement is satisfied by plaintiff’s allegations of intentional wrongdoing that led to a securitization of mortgage loans substantially in breach of the contracts’ representations and warranties. The complaint alleges that defendants knowingly made false representations about the quality and good title of the trust’s mortgage loans: “[d]efendants’ conduct forms part of a pattern by which [they] freely misrepresented, to the public, RMBS as good investments in order to pad their own bottom lines.” The complaint further alleges that the SEC imposed close to a quarter billion dollars of sanctions on defendants for violations of the Securities Act of 1933 based on defendants’ misleading public disclosures regarding the delinquency rates of mortgage loans in the trust. Further, as the certificate insurer’s investigation revealed, 100% of a sample of 800 loans were in breach, and the SEC concluded that at least 4.5% of the loans were delinquent when they were transferred to the trust.

Third, the conduct must be directed at the plaintiff (*id.*). It is a closer call whether plaintiff has sufficiently pleaded this element, given that potential investors are the obvious targets of the alleged misinformation and suffered devaluation in their investments. However, plaintiff alleges that defendants’

misconduct was directed at both certificateholders and the trustee. Plaintiff argues that defendants' scheme could not have succeeded without first misrepresenting the quality of the mortgage loans to the trustee, which purchased and held the loans in the trust. As plaintiff made clear in the PSA, its "policy and intention . . . was to acquire only [m]ortgage [l]oans meeting the requirements set forth in" its agreement with defendant. I cannot conclude that plaintiff's pleading fails at this stage given those assertions. Therefore, these allegations satisfy the third pleading requirement.

Fourth, and finally, the conduct must be part of a pattern directed at the public generally (*id.*). Plaintiff alleges defendants intentionally misled the public through its disclosure documents and intentionally ignored the known high-delinquency rates of the mortgage loans so that they could collect substantial fees. According to plaintiff, defendants either failed to diligently examine the quality of the mortgage loans or intentionally ignored the loans' defects. Indeed, the complaint states that one judge noted defendants' "wholesale abandonment of underwriting standards and protocols." These alleged widespread breaches of the representations and warranties bespeak of an underlying pattern of gross negligence. Therefore, the allegations that defendants intentionally misrepresented the quality and title of the mortgage loans to induce purchase of the loans and to collect fees for defendants' services easily satisfy this last requirement.

V.

It may be that plaintiff will not prevail on its claim, notwithstanding the SEC order and the results of the 800-loan sample. But that is not our concern in this appeal. We must simply decide whether, at this stage of litigation, plaintiff has sufficiently alleged a claim based on gross negligence and, if so, whether plaintiff may seek damages beyond those permitted by the sole-remedy provision. As to the first question, the complaint makes out a claim that survives the motion to dismiss. The second question raises broader issues as to the public's interest in holding defendants accountable if plaintiff proves gross negligence by virtue of defendants' intentional failure to conduct their RMBS transaction with reasonable care. We have seen the dire effects on investors and society generally when financial institutions ignore protocols adopted to avoid the type of malfeasance alleged by plaintiff. Our

State's public policy does not allow parties to contract around restraints on conduct that risk taking the economy over a cliff.

In sum, for the reasons I have discussed, plaintiff adequately pleads a basis for its compensatory and punitive damages demand, and to that extent I would affirm the Appellate Division.

Judges STEIN, WILSON and FEINMAN concur; Judge RIVERA dissents in part in an opinion; Chief Judge DiFIORE and Judge GARCIA taking no part.

Order reversed, with costs, order of Supreme Court, New York County, reinstated and certified question answered in the negative.

[165 NE3d 209, 141 NYS3d 439]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DRURY
DUVAL, Appellant.

Argued January 7, 2021; decided February 11, 2021

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered November 26, 2019. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Steven L. Barrett, J., on motion; Alvin Yearwood, J., at plea and sentencing), which had convicted defendant, upon his plea of guilty, of criminal possession of a weapon in the third degree.

People v Duval, 179 AD3d 62, affirmed.

HEADNOTES**Crimes — Search Warrant — Facial Validity — Description of Place to be Searched**

1. In the prosecution of defendant arising from the recovery of a handgun and ammunition from his residence, the search warrant authorizing police officers to search for and seize firearms and ammunition and related evidence at a specified street address for a “private residence clearly marked” with that street number was facially valid, notwithstanding that it did not identify any individual unit of the house, which defendant claimed contained three private residences. Given a commonsense reading, the warrant satisfied the constitutional requirement to particularly describe the place to be searched inasmuch as it commanded a search of “a” single residence, not a multiunit building, at the marked street address. In determining, on defendant’s motion to controvert the warrant, that the building did not contain three discrete units, the court reviewed the information before the warrant court, which consisted of the affidavit and testimony of the detective who applied for the warrant; the testimony of a confidential informant; and material provided by defendant, including a deed showing that the property was owned by his mother, a city agency record showing that the house had been registered therewith as having three units, and an affidavit from defendant’s mother stating that on the date of the search, defendant “was living at” the specified address, “Third Floor, Bronx NY.” Because the motion court considered the materials for the purpose of determining whether the warrant’s description of the place to be searched as a single private residence was supported by the information available to the detective who applied for the warrant and the court that issued the warrant, it did not improperly rely on the unincorporated warrant application materials to cure a facial deficiency in the warrant.

Crimes — Suppression Hearing — Sufficiency of Factual Allegations of Suppression Motion to Warrant Hearing

2. In the prosecution of defendant arising from the recovery of a handgun and ammunition from his residence upon execution of a search warrant that

defendant challenged as void for failure to satisfy the constitutional requirement to particularly describe the place to be searched by not identifying which of the three units at the specified street address was to be searched, the motion court did not abuse its discretion in denying, without a hearing, suppression of the evidence obtained from the search. To be entitled to a suppression hearing, defendant was required to raise a question of fact as to whether, based on what the detective knew or should have known about the premises when the warrant was sought, the warrant's description of the target premises as a single residence was accurate. Here, defendant failed to proffer evidence suggesting that the building's outward appearance, consisting of one street address, one front door, and one side door, indicated that it was not a single-family residence. While a reasonable officer may be required to take further investigative steps in certain circumstances to ensure that the requested warrant does not command an overbroad search, other information presented to the court here about the inside of the building and its inhabitants further supported the conclusion that the building was a single-family residence. Thus, the warrant was valid when issued where the level of particularity provided in the description of the place to be searched was both adequate on its face and supported by the information known to the detective and the warrant court. Defendant had ready access to information about the actual conditions of the premises at the time of the search but failed to provide it in support of his suppression motion.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Evidence §§ 647, 648; AM JUR 2d Searches and Seizures §§ 180, 181, 225–228.
CARMODY-WAIT 2d Search and Seizure §§ 173:125, 173:167, 173:170, 173:172; CARMODY-WAIT 2d Pretrial Motions §§ 189:260–189:262.
LAFAYE, ET AL., CRIMINAL PROCEDURE (4th ed) § 3.4.
NY JUR 2d Criminal Law: Procedure §§ 337, 338, 340, 342, 343, 1636, 1644.

ANNOTATION REFERENCE

See ALR Index under Exclusion of Evidence; Search and Seizure.

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POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (Hunter Haney of counsel), for appellant. I. Where the

warrant authorizing the search of “a private residence” was inadequately particularized and resort to unincorporated warrant materials could not cure that defect, suppression, or, at a minimum, a hearing, was required upon defendant’s well-supported motion to controvert. (US Const Amends IV, XIV; NY Const, art I, §§ 6, 12; CPL 690.15 [1] [a]; 690.45 [5]; *Groh v Ramirez*, 540 US 551 [2004].) (*Coolidge v New Hampshire*, 403 US 443; *United States v Chadwick*, 433 US 1; *United States v Cioffi*, 668 F Supp 2d 385; *United States v Hill*, 459 F3d 966; *United States v Ulbricht*, 858 F3d 71; *United States v Wey*, 256 F Supp 3d 355; *People v Rainey*, 14 NY2d 35; *United States v Galpin*, 720 F3d 436; *Bivens v Six Unknown Fed. Narcotics Agents*, 403 US 388; *People v Wallace*, 238 AD2d 807.) II. Where defendant’s mother, an owner-occupant of a ground-floor apartment, repeatedly informed police of her building’s multiunit character, the subsequent search of the building pursuant to a warrant that failed to specify which unit was to be searched was unreasonable. (US Const Amends IV, XIV; NY Const, art I, §§ 6, 12; CPL 690.15 [1] [a]; 690.45 [5].) (*Maryland v Garrison*, 480 US 79; *United States v Ramirez*, 523 US 65; *United States v Marin-Buitrago*, 734 F2d 889; *United States v Ritter*, 416 F3d 256; *Groh v Ramirez*, 540 US 551; *United States v Voustianikouk*, 685 F3d 206.)

Darcel D. Clark, District Attorney, Bronx (*Paul A. Andersen*, *Nancy D. Killian* and *Peter D. Coddington* of counsel), for respondent. I. The lower courts properly found the warrant to have particularly described the place to be searched. (*People v Cahill*, 2 NY3d 14; *People v Brown*, 96 NY2d 80; *People v Tambe*, 71 NY2d 492; *People v Williams*, 66 NY2d 659; *Matter of Save America’s Clocks, Inc. v City of New York*, 33 NY3d 198; *People v Hansen*, 99 NY2d 339; *Messerschmidt v Millender*, 565 US 535; *United States v Cannon*, 264 F3d 875; *People v Nieves*, 36 NY2d 396; *People v Rivera*, 23 NY3d 827.) II. The motion court properly denied suppression without conducting a hearing. (*People v Gray*, 86 NY2d 10; *People v Cona*, 49 NY2d 26; *People v Garay*, 25 NY3d 62; *People v Mendoza*, 82 NY2d 415; *People v Lambey*, 176 AD3d 1232; *People v Bellinger*, 169 AD3d 553, 33 NY3d 1066; *People v Mabeus*, 47 AD3d 1073; *People v Ferron*, 248 AD2d 962; *People v Castillo*, 80 NY2d 578; *Franks v Delaware*, 438 US 154.)

White & Case LLP, Washington, D.C. (*Dana Foster* of counsel) and New York City (*Iris Greenquist* and *Yue Wang* of counsel), and *Richard D. Willstatter*, *Amicus Curiae Committee*,

New York State Association of Criminal Defense Lawyers, White Plains, for New York State Association of Criminal Defense Lawyers, amicus curiae. I. *Groh v Ramirez* (540 US 551 [2004]) requires that this Court invalidate the warrant because it failed to specify the unit to be searched within a multiunit residence; furthermore, any documents not incorporated in and attached to the warrant itself cannot cure a constitutionally infirm search warrant. (*Boyd v United States*, 116 US 616; *People v Liggins*, 64 AD3d 1213; *Payton v New York*, 445 US 573; *United States v United States Dist. Court for Eastern Dist. of Mich.*, 407 US 297; *Florida v Jardines*, 569 US 1; *United States v Allen*, 813 F3d 76; *United States v Voustianiouk*, 685 F3d 206; *United States v George*, 975 F2d 72; *Ramirez v Butte-Silver Bow County*, 298 F3d 1022; *United States v Marti*, 421 F2d 1263.) II. Properly applying *Groh v Ramirez* (540 US 551 [2004]) promotes bright-line rules and deters improper searches and seizures, which is especially important given the nature of dwellings in New York. (*People v P.J. Video*, 68 NY2d 296; *People v Johnson*, 66 NY2d 398; *People v Scott*, 79 NY2d 474; *People v Harris*, 77 NY2d 434; *People v Dunn*, 77 NY2d 19.)

OPINION OF THE COURT

WILSON, J.

Defendant Drury Duval challenges the validity of a search warrant, the summary denial of his suppression motion, and the reasonableness of the manner in which the warrant was executed. We conclude that the search warrant was facially valid and that the motion court did not abuse its discretion in denying, without a hearing, suppression of evidence obtained from the search. Mr. Duval's challenge to the execution of the search warrant is unpreserved for our review.

Officers searched Mr. Duval's residence and recovered, among other things, a handgun and ammunition. They conducted the search pursuant to a warrant issued that same day. The warrant authorized officers to search for and seize property including firearms, ammunition, and evidence relating to ownership of the premises and the purchase or sale of firearms, located at a specified street address for a "private residence clearly marked" with that street number.

Mr. Duval moved to controvert the search warrant and suppress the physical evidence seized, arguing that the warrant was "void for failing to meet constitutional requirements of

particularity with respect to the description of the place to be searched” because it failed to identify any individual unit within the house, which Mr. Duval alleged was a multiunit dwelling. Mr. Duval’s counsel affirmed that the house contained three private residences, one on each floor, and offered three documents to support that factual assertion: a deed showing that the property was owned by Mr. Duval’s mother, a record from the New York City Department of Housing Preservation and Development (HPD) website showing that the house had been registered with HPD as having three “A” units, and an affidavit from Mr. Duval’s mother stating that on the date of the search, Mr. Duval “was living at” the specified address, “Third Floor, Bronx NY.” Counsel also alleged that when police officers executed the search warrant, Mr. Duval’s mother told the officers that each floor was a private residence, and that when a resident of the second floor presented identification, the officers declined to search the second floor and proceeded to the third floor. In addition, Mr. Duval moved for disclosure of the search warrant application documents and, in the alternative, for a hearing “to challenge the validity of the warrant and underlying documents.” In response, the People maintained that the house was a single residence without separate units, and that the warrant properly authorized a search of the entire residential address.

The motion court reviewed the information before the warrant court, which consisted of the affidavit and testimony of the detective who applied for the warrant, the testimony of a confidential informant, and the material provided by Mr. Duval. The court denied suppression without a hearing, holding that the warrant was properly issued upon a finding of probable cause and that “the warrant and the application comported with the constitutional and statutory particularity requirement.” Mr. Duval moved for reargument, asserting that CPL 710.60 required the motion court to hold a suppression hearing; the court denied Mr. Duval’s motion. Mr. Duval pleaded guilty to third-degree criminal possession of a weapon and was sentenced to 2 to 4 years’ imprisonment.

The Appellate Division affirmed the judgment, upholding the denial of Mr. Duval’s suppression motion (179 AD3d 62 [1st Dept 2019]). The Appellate Division, with two Justices dissenting, held that the warrant was sufficiently particularized on its face, and that the warrant application materials and Mr. Duval’s submissions did not provide a basis to controvert the war-

rant. The majority concluded that the motion court “reasonably determined that the building in fact did not consist of multiple discrete units” (*id.* at 66). The dissent contended that the denial of suppression should be reversed “because the search warrant did not specify which apartment in the three-unit building was to be searched . . . and that deficiency was not cured by reference to any other documents that could properly have been considered by the court,” insofar as the U.S. Supreme Court’s decision in *Groh v Ramirez* (540 US 551 [2004]) prevented consideration of supporting materials that were not incorporated by reference and attached to the warrant (*Duval*, 179 AD3d at 67 [Gesmer, J., dissenting]). A dissenting Justice granted Mr. Duval leave to appeal (34 NY3d 1164 [2020]).

[1] To begin, the warrant’s description of the target premises satisfied the constitutional requirement that the warrant “particularly describ[e] the place to be searched” (US Const Amend IV; *see also* CPL 690.15 [1] [a]; 690.45 [5]). The warrant’s description of the place to be searched as “a private residence,” located at a unique, specified street address, was not facially deficient; given a commonsense reading, the warrant clearly commanded a search of “a” single residence, not a multiunit building, at the marked street address. Because the warrant was facially sufficient, the case does not implicate the U.S. Supreme Court’s ruling in *Groh v Ramirez* that courts may not rely on documents not incorporated and attached to the warrant in order to provide particularity that the warrant, on its face, lacks (*see* 540 US at 557-558). The motion court did not rely on the unincorporated warrant application materials to cure a facial deficiency in the warrant, which *Groh* forbids. Rather, the court considered those materials for a different purpose—to determine whether the warrant’s description of the place to be searched as a single private residence was supported by the information available to the detective who applied for the warrant and the court that issued the warrant. Where Mr. Duval challenged the warrant on the ground that the building identified in the warrant actually comprised multiple residences, the motion court reviewed the documents supporting the issuance of the warrant to determine whether they established that the building was in fact a single residence, as described in the warrant. Thus, the motion court did not err by considering those materials when deciding Mr. Duval’s motion.

[2] To establish his entitlement to a suppression hearing, Mr. Duval was required to raise a question of fact as to

whether, based on what the detective knew or should have known about the premises when the warrant was sought, the warrant's description of the target premises as a single residence was accurate. In *People v Rainey* (14 NY2d 35 [1964]), we held that a search warrant failed to meet the particularity requirement where it commanded a "search of said entire premises . . . 529 Monroe Street in the City of Buffalo," but in fact the premises "consisted of two separate residential apartments," and that fact was "known to the police officer, but not brought to the attention of the court at the time he obtained the warrant" (*id.* at 36, 37). In *Rainey*, the warrant was "void in its inception" because of the officer's actual knowledge of facts that rendered the warrant's description of the premises overbroad (*id.* at 39), a principle that would extend to invalidate a warrant where the applicant should have known, from reasonable investigation, that the warrant's description was overbroad (see *Maryland v Garrison*, 480 US 79, 85 [1987] [the validity of a warrant to search the third floor of a building turned on whether "the officers had known, or even if they should have known, that there were two separate dwelling units on the third floor," when they requested the warrant]). The instant case is different from *Rainey* because the level of particularity in the warrant's description of the place to be searched matched the facts available to the detective and presented to the warrant court.

Here, in support of his suppression motion, Mr. Duval failed to proffer evidence suggesting that the building's outward appearance indicated that it was not a single-family residence. It had one street address, one front door, and one side door. To be sure, as we recognized in *Rainey*, a building's outward appearance will not always disclose its multi-residence use, and thus, depending on the circumstances, a reasonable officer may need to take further investigative steps to ensure that the requested warrant does not command an overbroad search.* Here, however, other information presented to the court about the

* When considering whether an officer made a reasonable investigation before applying for a warrant that turned out to be overbroad in its description of the place to be searched, the Appellate Division Departments and federal courts have considered, for example, whether the officer's investigation showed there were multiple utility accounts, multiple mailboxes, or multiple entrances to the building (see e.g. *People v Atkins*, 154 AD3d 1064, 1068-1069 [3d Dept 2017]; *People v Danclair*, 139 AD3d 541, 541 [1st Dept 2016]; *People v Fiore*, 46 AD2d 814, 814 [2d Dept 1974]), as well as whether the building's multi-dwelling use could not be ascertained from public rec-

(n. cont'd)

inside of the building and its inhabitants further supported the conclusion that the building was a single-family residence. Accordingly, because the level of particularity provided in the warrant's description of the place to be searched (i.e., a single private residence at the given address) was both adequate on its face and supported by the information known to the detective and the warrant court, the warrant was valid when issued.

Under the circumstances presented here, the motion court did not abuse its discretion in denying suppression without a hearing because the factual allegations and records that Mr. Duval offered did not sufficiently support the legal basis for suppression asserted in his motion papers. CPL 710.60 permits summary denial of a suppression motion where the motion papers do not provide adequate "sworn allegations of fact" (CPL 710.60 [1]; *see also* *People v Mendoza*, 82 NY2d 415, 421 [1993]), or if the papers do not allege a legal basis for suppression or (with two exceptions not relevant here) if the sworn factual allegations "do not as a matter of law support the ground alleged" (CPL 710.60 [3] [b]). Here, the motion court had discretion pursuant to the statute to deny suppression without a hearing on the ground that Mr. Duval's factual showing was insufficient to require a hearing.

In *People v Mendoza*, we held that a suppression motion's "factual sufficiency should be determined with reference to the face of the pleadings, the context of the motion and defendant's access to information" (82 NY2d at 422; *see also* *People v Jones*, 95 NY2d 721, 729 [2001]). Although Mr. Duval lacked access to the materials that were before the warrant court, he had ready access to information about the actual conditions of the premises at the time of the search, but failed to provide it in support of his suppression motion. For example, he, his mother, or any other resident of the premises could have provided sworn affidavits or other evidence as to the separateness of the alleged residences on the three floors; the existence of unrelated tenants on the second floor; the obviousness to a visitor that the building contained separate residences—such as allegations that each unit had separate locking entry doors—or a variety of other types of evidence plainly known to residents of the house. Instead, Mr. Duval tendered city records that

ords because it contravened the legal use of the building (*see e.g. People v Germaine*, 87 AD2d 848, 850 [2d Dept 1982]; *United States v Santore*, 290 F2d 51, 67 [2d Cir 1959], *cert denied* 365 US 834 [1961]).

purport to show that it would have been lawful to use the house as a three-family residence and an affidavit from his mother, the owner of the house, saying merely that on the date of the search, "Drury Duval was living at" the specified address, "Third Floor, Bronx NY." None of the proffered materials show that the house was, in fact, divided into three separate residential units or that Mr. Duval did not reside in, or lacked access to, other portions of the house. Thus, Mr. Duval's submissions fail to meet the factual sufficiency required by *Mendoza*, particularly in view of Mr. Duval's easy access to evidence as to the actual configuration of the home. On this record, the motion court did not abuse its discretion in denying an evidentiary hearing. In any event, the Appellate Division concluded that the motion court "reasonably determined that the building in fact did not consist of multiple discrete units" (179 AD3d at 66). Because that finding has a basis in the record, we cannot disturb it.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia and Feinman concur.

Order affirmed.

[165 NE3d 1068, 142 NYS3d 128]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v FRED-
ERIC BADJI, Appellant.

Argued January 6, 2021; decided February 11, 2021

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 9, 2019. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Anthony J. Ferrara, J.), which had convicted defendant, upon a jury verdict, of attempted grand larceny in the fourth degree, criminal possession of stolen property in the fourth degree and grand larceny in the fourth degree (three counts).

People v Badji, 171 AD3d 499, affirmed.

HEADNOTE

**Crimes — Larceny — Grand Larceny Involving Credit Card
Theft — Use of Credit Card Account Number without Proof of
Physical Possession of Tangible Credit Card**

The definition of credit card in General Business Law § 511 (1), as supplemented by General Business Law § 511-a to include “any number assigned to a credit card,” is the controlling definition for purposes of Penal Law § 155.00 (7) such that the People need not prove that a defendant physically possessed the tangible credit card in order to support a conviction of grand larceny based upon credit card theft. Accordingly, in defendant’s prosecution for making unauthorized purchases using the victim’s corporate credit card accounts, the evidence was legally sufficient to support defendant’s grand larceny conviction despite the absence of proof that he was in physical possession of the credit card. For purposes of title J of the Penal Law, offenses involving theft, a “[c]redit card” means any instrument or article defined as a credit card in General Business Law § 511 (Penal Law § 155.00 [7]), which was expanded to include “any number assigned to a credit card” (General Business Law § 511-a). Thus, the language of the relevant statutes unambiguously provides that a credit card number is incorporated within the section 511 definition of “credit card” for purposes of General Business Law article 29-A. The only definition of credit card applicable to grand larceny is, by legislative dictate of Penal Law § 155.00 (7), the one contained in section 511. The inclusion of a credit card number in the definition of credit card under section 511-a necessarily applies to the definition in section 511, which is likewise contained in General Business Law article 29-A. The most reasonable reading of the plain language of the statutes is that section 511-a supplements the definition of section 511 for all provisions to which article 29-A is applicable, including the Penal Law.

RESEARCH REFERENCES

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AM JUR 2d Credit Cards and Charge Accounts §§ 1, 45, 48, 53; AM JUR 2d Larceny § 61.
MCKINNEY'S, General Business Law §§ 511 (1); 511-a; Penal Law § 155.00 (7).
NY JUR 2d Credit Cards and Debit Cards; Letters of Credit §§ 30–32; NY JUR 2d Criminal Law: Substantive Principles and Offenses § 872.

ANNOTATION REFERENCE

Criminal Liability for Unauthorized Use of Credit Card Under State Credit Card Statutes. 68 ALR6th 527.

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Query: larceny /s "credit card" & physical! /3 possess!

POINTS OF COUNSEL

Janet E. Sabel, The Legal Aid Society, New York City (Harold V. Ferguson, Jr. of counsel), for appellant. I. Contrary to the Appellate Division, First Department's decision, the evidence of appellant's grand larceny of a credit card conviction, related to the complainant's MasterCard, was legally insufficient because the People failed to prove that appellant physically possessed the credit card as required by statute. (*People v Barden*, 117 AD3d 216, 27 NY3d 550; *Matter of Luis C.*, 124 AD3d 109; *Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106; *Matter of New York County Lawyers' Assn. v Bloomberg*, 19 NY3d 712; *People v Ryan*, 274 NY 149; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Matter of Sutka v Conners*, 73 NY2d 395; *Riley v County of Broome*, 95 NY2d 455.) II. Contrary to the Appellate Division's decision, the trial court's multiple erroneous evidentiary rulings violated appellant's due process right to a fair trial. (*People v Jung Hing*, 212 NY 393; *People v Quevas*, 81 NY2d 41; *People v Patterson*, 93 NY2d 80; *People v Huertas*, 75 NY2d 487; *People v Bayron*, 66 NY2d 77; *People v Colon*, 13 NY3d 343; *People v Trowbridge*, 305 NY 471; *Schozer v William Penn Life Ins. Co. of N.Y.*, 84 NY2d 639; *People v Haggerty*, 23 NY3d 871; *Kain v Larkin*, 131 NY 300.)

Cyrus R. Vance, Jr., District Attorney, New York City (Michael J. Yetter and Karen Schlossberg of counsel), for respondent. I. The evidence sufficiently proved defendant's guilt of fourth-degree grand larceny of the victim's MasterCard. (*People v Barden*, 117 AD3d 216, 27 NY3d 550; *Matter of Luis C.*, 124 AD3d 109; *People v Danielson*, 9 NY3d 342; *People v Delamota*, 18 NY3d 107; *People v Gordon*, 23 NY3d 643; *People v Sinistaj*, 67 NY2d 236; *People v Coleman*, 24 NY3d 114; *People v Roberts*, 31 NY3d 406; *People v Versaggi*, 83 NY2d 123; *People v Abeel*, 182 NY 415.) II. Defendant received a fair trial; his complaints about the court's evidentiary rulings are partially unpreserved and wholly baseless. (*People v Lane*, 7 NY3d 888; *People v Charleston*, 56 NY2d 886; *People v Williams*, 46 NY2d 1070; *People v Trowbridge*, 305 NY 471; *People v Harris*, 98 NY2d 452; *People v Dien*, 77 NY2d 885; *People v Caserta*, 19 NY2d 18; *People v Buie*, 86 NY2d 501; *People v Huertas*, 75 NY2d 487; *People v Tosca*, 98 NY2d 660.)

OPINION OF THE COURT

Chief Judge DiFiore.

The primary question presented by this appeal is whether the definition of credit card for purposes of Penal Law § 155.00 (7) includes the credit card account number, such that the People need not prove that a defendant physically possessed the tangible credit card in order to support a conviction of grand larceny based upon credit card theft. Here, defendant's conviction of grand larceny in the fourth degree was based on defendant's theft of the victim's credit card account number to purchase goods, although there was no evidence that defendant possessed the physical card itself. We conclude that the definition of credit card in General Business Law § 511 (1), as supplemented by General Business Law § 511-a, is the controlling definition as designated by Penal Law § 155.00 (7) and, as a result, the evidence is legally sufficient to support defendant's conviction of grand larceny for stealing an intangible credit card account number.

I.

In 2015, defendant was hired as a temporary assistant to the victim, a managing director at a nonprofit organization. Defendant's administrative responsibilities included making travel arrangements and completing expense reports. In that capacity, he had access to the victim's corporate credit card information, Uber account information and the victim's physical

workspace. Over a four-day period in April 2015, defendant, without authorization, used the victim's personal and corporate credit card accounts to make several purchases, some of which were captured on surveillance camera. The victim discovered the theft and alerted authorities. Defendant was charged by indictment with four counts of grand larceny in the fourth degree, attempted grand larceny in the fourth degree and two counts of criminal possession of stolen property in the fourth degree.

Relevant to our determination here, defendant used the victim's personal credit card to make several purchases.¹ Defendant swiped the credit card at the point of sale for each purchase. At trial, the surveillance footage of one of the transactions was admitted into evidence and the victim was permitted to testify to her opinion that defendant was the person depicted in the video making the purchase. Limiting instructions were given to the jury, reminding them that they bore the ultimate responsibility of determining whether defendant was the person depicted and that they could accept or reject the victim's testimony on that issue.

Defendant also used the victim's corporate credit card account number to purchase a two-year cellular service agreement, an iPhone and other equipment at a Verizon store. Defendant signed the receipt in his own name. Still photographs taken from surveillance footage of this transaction were admitted into evidence. The victim was again permitted to testify that she recognized defendant as the person depicted making the purchase, subject to the same limiting instruction to the jury. The same corporate account number was also used to pay for an unauthorized Uber ride. At trial, there was no proof that defendant possessed the physical credit card for either of these transactions.

The victim testified that, immediately after receiving notification that an Uber ride had been ordered on her corporate account without her knowledge, she confronted defendant, the only person who had access to her Uber account information. Defendant provided a "flurry" of inconsistent responses when asked about the transaction and even chastised

1. Defendant was acquitted of the charges of fourth-degree grand larceny and fourth-degree criminal possession of stolen property relating to the alleged unauthorized use of a different personal credit card belonging to the victim. That credit card was swiped at the point of sale, but there was no surveillance footage of the transaction.

her for leaving her wallet open on her desk. The victim further testified that she texted a photograph of defendant to the Uber driver who provided the unauthorized ride, in an attempt to ascertain whether the driver could identify defendant as the passenger. She also testified that, based on the driver's response she concluded that defendant was "probably" the passenger. However, the Uber driver ultimately testified that, although he recalled someone texting him a photo relating to the misuse of their account, he had no reaction to viewing the photo at the time.

The jury convicted defendant of three counts of grand larceny in the fourth degree, attempted grand larceny in the fourth degree and criminal possession of stolen property in the fourth degree.

The Appellate Division unanimously affirmed, specifically rejecting defendant's challenge to the legal sufficiency of his grand larceny conviction involving the corporate credit card account number, despite the absence of proof that he was in physical possession of the corporate credit card (171 AD3d 499 [1st Dept 2019]). The Court also rejected defendant's evidentiary challenges as either unpreserved or without merit. A Judge of this Court granted defendant leave to appeal (33 NY3d 1066 [2019]) and we now affirm.

II.

"A person is guilty of grand larceny in the fourth degree when [such person] steals property and when . . . [t]he property consists of a credit card or debit card" (Penal Law § 155.30 [4]). For purposes of title J of the Penal Law, offenses involving theft, a "[c]redit card" means any instrument or article defined as a credit card in General Business Law § 511 (Penal Law § 155.00 [7]). Section 511, in turn, provides that "[i]n this article,"—i.e., article 29-A of the General Business Law—

"unless the context or subject matter otherwise requires[,] . . .

"'[c]redit card' means and includes any credit card, credit plate, charge plate, courtesy card, or other identification card or device issued by a person to another person which may be used to obtain a cash advance or a loan or credit or to purchase or lease property or services on the credit of the issuer or of the holder" (General Business Law § 511 [1]).

In 2002, the legislature enacted an “Additional definition,” which, “[f]or purposes of” article 29-A, expanded the definition of credit card to include “any number assigned to a credit card” (General Business Law § 511-a).

The language of the additional definition of a credit card in section 511-a, incorporating account numbers, is free from ambiguity. Defendant argues, however, that the prefatory language limiting the application of the expanded definition in section 511-a to article 29-A of the General Business Law means that the expanded definition of credit card does not apply to the Penal Law, despite the Penal Law’s long-standing direction to the General Business Law’s definition of credit card (*see* Penal Law § 155.00 [7]). He argues that the legislative choice to enact a separate “additional” definitional statute, instead of amending the definition of credit card in section 511, demonstrates an intent to exclude intangible credit card information from any criminal offenses relating to theft.²

“In statutory interpretation cases, the Court’s primary consideration is to ascertain and give effect to the intention of the [l]egislature. The statutory text is the clearest indicator of legislative intent and courts should construe unambiguous language to give effect to its plain meaning” (*Matter of Mestecky v City of New York*, 30 NY3d 239, 243 [2017] [citations and internal quotation marks omitted]). At the outset, the language of the relevant statutes unambiguously provides that a credit card number is incorporated within the section 511 definition of “credit card” for purposes of article 29-A of the General Business Law. There is no dispute that the only definition of credit card applicable to grand larceny is, by legislative dictate of Penal Law § 155.00 (7), the one contained in section 511. The inclusion of a credit card number in the definition of credit card under section 511-a necessarily applies to the definition in section 511, which is likewise contained in article 29-A of the General Business Law (*see People v Barden*, 117 AD3d 216, 234 [1st Dept 2014], *revd on other grounds* 27 NY3d 550 [2016]). This expanded definition of credit card, in turn, necessarily applies to the definition of credit card used in the Penal

2. That there are other ways the legislature could have elected to include credit card account numbers in the definition of credit card for purposes of article 29-A does not create an ambiguity in the statute or alter the clear legislative intent (*see* dissenting op at 410). Significantly, at no point does the dissent offer any interpretation of what section 511-a was intended to accomplish, if not to amend section 511.

Law. The term “credit card” in section 511 should be interpreted to have a consistent meaning, rather than one meaning for purposes of article 29-A and another meaning for purposes of the Penal Law, which is entirely dependent on article 29-A for the definitional term (*see* McKinney’s Cons Laws of NY, Book 1, Statutes § 98 [a], Comment [“Inconsistency in the same statute is thought to be contrary to the intent of the lawmakers, and hence it is to be avoided”]). The most reasonable reading of the plain language of the statutes is that section 511-a supplements the definition of section 511 for all provisions to which article 29-A is applicable, including the Penal Law.

“The primary consideration of courts in interpreting a statute is to ascertain and give effect to the intention of the [l]egislature” and, although the strongest indication of the statute’s meaning is in its plain language, “the legislative history of an enactment may also be relevant and is not to be ignored, even if words be clear” (*Riley v County of Broome*, 95 NY2d 455, 463 [2000] [citations and internal quotation marks omitted]). Here, a review of the legislative history buttresses the conclusion that is evident from the statutes’ plain language. The stated purpose of the 2002 legislation was to enact laws to prohibit and penalize identity theft (L 2002, ch 619). In addition to creating the expanded definition of credit card, the amendments created the new criminal offenses of identity theft and possession of personal identification information (Penal Law §§ 190.77-190.84), expanded the geographical jurisdiction for the prosecution of those crimes, established restitution remedies for card holders as crime victims and increased consumer protection (Sponsor’s Mem in Support of 2002 NY Assembly Bill A4939-E, enacted as L 2002, ch 619, 2002 McKinney’s Session Laws of NY at 2093). For the purposes of these new Penal Law offenses, the act defined personal identifying information to include a host of intangible information, including credit card account numbers (*see* Penal Law § 190.77 [1]). The act did not expressly amend any then-existing Penal Law offenses relating to credit cards; nor did it amend or create any other new provisions, apart from section 511-a, in article 29-A of the General Business Law.

In light of defendant’s claim that “the purposes of” article 29-A of the General Business Law do not extend to the Penal Law, a further historical view is enlightening. Article 29-A was enacted in 1961 to protect credit card users from liability for fraudulent purchases made on their cards (Mem of Joint Legis

Comm on Commerce and Economic Development in Support of NY Senate Bill S1758, enacted as L 1961, ch 549, 1961 Legis Ann at 59). That initial version of the statute also contained a provision in the General Business Law making it the crime of larceny for a person to fraudulently obtain property or services by use of a credit card issued to another person (*see* Mem of Joint Legis Comm on Commerce and Economic Development in Support of NY Senate Bill S1758, enacted as L 1961, ch 549, 1961 Legis Ann at 59). In 1969, when the legislature amended the Penal Law and the General Business Law to address the increasing problem of credit card fraud, that General Business Law provision was repealed. The legislative history demonstrates that the “misuses prescribed” in that original General Business Law statute were “covered” by the additional amendments to the Penal Law and were crimes more properly addressed in the criminal law (*see* Mem in Support at 3, Bill Jacket, L 1969, ch 115). Demonstrating the fundamental interaction of the laws in question, the legislature removed the definition of credit card from the Penal Law in favor of the General Business Law definition, explaining that it was “unnecessary to retain both definitions . . . and the General Business Law definition was felt to be the better of the two” (*see* Mem in Support at 1, Bill Jacket, L 1969, ch 115). Significantly, the legislation also made the theft of a credit card a felony, to address the inability to prosecute the theft and possession of credit cards at the felony level under existing penal statutes due to valuation issues (*see* Mem in Support, Bill Jacket, L 1969, ch 115). The change reflected the reality that, although the card itself lacked any discernable market value, “in the hands of the unscrupulous, a stolen credit card can be used to run up many thousands of dollars in purchases” (Mem in Support at 3, Bill Jacket, L 1969, ch 115).³

3. The dissent selectively quotes from the canons of statutory interpretation and places excessive reliance on select dictionary definitions of “instrument” and “article” in support of its conclusion that a credit card, as defined, is limited to a tangible item (*see* dissenting op at 407-408). But the dictionary definitions do not conclusively lead to the dissent’s interpretation. Given the inclusive nature of the terms—indeed, the same dictionary selected by the dissent also defines “instrument” as something intangible (The American Heritage Dictionary [5th ed 2020] [“means by which something is done”])—a more natural reading is that “instrument” and “article” are umbrella terms meant to capture the definitions provided by the General Business Law—and not meant to limit those definitions. Moreover, though dictionary definitions can be “useful as guide posts . . . they are not controlling” (*see* McKinney’s

(n. cont’d)

The clear thrust of this legislative history is an ongoing effort to address the growth of economic crimes, the evolving methods used to perpetrate credit card fraud and the resulting need for greater consumer protections. As we have previously observed when addressing the 2002 amendments in a different context, the 2002 legislation was drafted at a time of increasing appreciation of the rise of e-commerce and the ease with which intangible personal information could be improperly obtained and used (*see People v Roberts*, 31 NY3d 406, 416 [2018]; Sponsor’s Mem in Support of 2002 NY Assembly Bill A4939-E, enacted as L 2002, ch 619, 2002 McKinney’s Session Laws of NY at 2093, citing Mar. 2002 United States General Accounting Office Report on Identity Theft). We explained that the purpose of “the broader [2002] legislative scheme [was] to address [both] the theft *and* use of personal identifying information” (31 NY3d at 423 [emphasis added]). We also noted that

“[a] State Senate Committee Report drafted before the legislation was enacted noted that identity theft occurs ‘when criminals steal the identity of law-abiding citizens by gaining access to their personal information such as name, address, Social Security Number, credit card numbers, bank account numbers, or date of birth to apply for credit or to obtain goods, services, or money’” (*id.*, quoting Rep of NY St Senate Comm on Investigations, Taxation and Govt Operations, *Identity Theft: Is Your Identity Safe?* at 1 [June 2000]).

We concluded that the legislation was intended “to ensure maximum deterrence and the prosecution of unauthorized conduct as defined in the statute” (31 NY3d at 416). Defendant’s proposed statutory construction ignores the stated purpose of the 2002 amendment to punish and prohibit identity theft, the overarching legislative concern for effective and punitive tools to stem the tide of illegal use of intangible informa-

Cons Laws of NY, Book 1, Statutes § 234) and “[w]e find the purpose of the law more helpful than dictionaries in deciding the meaning to be given” to these terms (*Bruni v City of New York*, 2 NY3d 319, 327 [2004]; *see People v Brooks*, 34 NY2d 475 [1974]). In light of the clear legislative intent to adapt to the changing technological landscape in the realm of credit card fraud, and, particularly, the use of credit card numbers on the Internet, we will not presume that the legislature’s use of these terms, beginning in 1969, was meant to curtail the scope of the statute in this manner (*see People v Finley*, 10 NY3d 647, 655 [2008]).

tion to commit crimes, and the legislative history demonstrating a consistent desire to combat and prosecute credit card fraud in all of its manifestations.

Defendant nonetheless posits that language in the sponsor's memo supports his position because, in explaining the creation of the additional definition of credit card in General Business Law § 511-a, the memo specified that it alters the definition of credit card "only for purposes of the general business law" (Sponsor's Mem in Support of 2002 NY Assembly Bill A4939-E, enacted as L 2002, ch 619, 2002 McKinney's Session Laws of NY at 2093; *see Matter of Luis C.*, 124 AD3d 109, 118 [2d Dept 2014]). Defendant's reliance on this broad language used in the sponsor's memo is inapposite, as it does not reflect the statutory text, which limits application of the additional credit card definition to article 29-A of the General Business Law. Nor does it account for the other provisions that separately define "credit card"—either within article 29-A itself (*see* General Business Law § 520-c [3] [a] ["For the purposes of this section"]), in different articles of the General Business Law (*see* General Business Law § 391-l [1] [d] ["As used in this section"]; § 521 [5] ["As used in this article"]; § 523 [4] [applying article 29-A definition]) or in other chapters of the Consolidated Laws (*see* Insurance Law § 3442 [a] [9]; Education Law § 6304 [11] [a] [i]; PRHPL 13.15 [5] [b] [1]). The reasonable reading of the sponsor's language, which, of course, does not alter the actual language of the statute, is as an acknowledgement that there were other definitional provisions of the Consolidated Laws to which this additional definition may not apply, rather than a subtle attempt to build a wall between the definition as applied to article 29-A and title J of the Penal Law—a definition that had been shared for decades.

Defendant's suggestion that the legislature did not intend that the *theft* of intangible account information itself would be punishable as grand larceny because the *possession* or *misuse* of that account information is addressed by other provisions of the Penal Law is likewise without merit (*see Matter of Luis C.*, 124 AD3d at 118). One does not eliminate criminal offenses simply because a defendant's conduct falls within the ambit of more than one statute (*see United States v Batchelder*, 442 US 114, 123-126 [1979]; *People v Eboli*, 34 NY2d 281, 287 [1974]). To be sure, the legislature has created overlapping criminal statutes in its treatment of an access device, which includes the intangible property of calling card or credit card account

numbers “that can be used to obtain telephone service” (Penal Law § 155.00 [7-c]).⁴ It is the crime of fourth-degree grand larceny to steal the specific intangible property that constitutes an access device, defined to include a “credit card number [or] account number,” with the intent to use it unlawfully (*see* Penal Law §§ 155.30 [10]; 155.00 [7-c]). It is a separate offense to use the access device unlawfully to obtain telecommunications services (*see* Penal Law §§ 190.75, 190.76).

Defendant also maintains that any interpretation that results in the unequal treatment of credit cards and debit cards should not be countenanced. Yet debit and credit cards are not similarly defined and the legislature chose not to expand the definition of debit card in 2002, when it created the additional definition of credit cards. Although the legislature has generally treated the two types of cards similarly, the fact is that they serve different purposes—only one allows for the purchase of property on credit. Moreover, article 29-A contains several other sections directed solely to the credit card (*see* General Business Law §§ 515, 518, 519, 520, 520-b, 520-c). Based on the General Accounting Office (GAO) report referenced in the 2002 sponsor’s memo, which emphasized payment card fraud and referenced MasterCard and Visa as sources for fraud losses, the legislature reasonably focused on credit cards as more closely linked to identity theft and fraudulent transactions. Indeed, the GAO report considered the increase in Internet usage in the 1990s and observed that the fastest growing activity was online shopping. It is perfectly reasonable to interpret the 2002 amendments as an attempt to keep pace with commercial technology—particularly e-commerce—and an acknowledgment that possession of a physical card was obsolete in online credit transactions, making the theft of the credit card account number the same crime as the theft of the card itself.

To that end, the dissent’s invocation of the concept of asportation is completely misplaced (*see People v Olivo*, 52 NY2d 309,

4. In this vein, the dissent’s premise that the legislature has created a “deliberate distinction” between the theft of material items and intangible property is demonstrably incorrect (*see* dissenting op at 412). Since 1992, the legislature has embraced the concept that the crime of larceny is applicable to specifically described intangible property (L 1992, ch 491)—including credit card account numbers. Again, the dissent’s disagreement with the manner in which the legislature chose to define “credit card” for the purpose of Penal Law § 155.00 (7) does not change either the unambiguous statutory language or the legislative intent.

317-318 [1981]; *People v Alamo*, 34 NY2d 453, 459-460 [1974]). “It is to be noted that not since 1942 have we in this jurisdiction been strictly bound to the ancient common-law concepts of larceny . . . There is nothing in the definitions section [of Penal Law § 155.00] which states that asportation is in all cases an essential element of such taking or obtaining” (34 NY2d at 459-460). Ancient common law could not possibly have conceived of the evolving technology in this area—particularly, e-commerce. Similarly, the dissent’s overly strict construction of the statute loses sight of the evil the legislature was attempting to remedy. “[G]iven that the enactment of a criminal statute often ‘follow[s] in [the] wake’ of the activity it attempts to penalize, courts should not legislate or nullify statutes by overstrict construction” (*People v Versaggi*, 83 NY2d 123, 131 [1994], quoting *People v Abeel*, 182 NY 415, 421-422 [1905]).

Finally, defendant seeks to invoke the rule of lenity, asserting that, whenever there are two “plausible” readings of a criminal statute, a reading more favorable to the defendant must be adopted (*see People v Green*, 68 NY2d 151, 153 [1986]). This paraphrasing of the rule of lenity omits significant elements of the analysis. Although ambiguity in a criminal statute should be construed in the defendant’s favor, underpinning the rule of lenity is the concern that an individual should have “fair warning” of conduct that is deemed criminal and that activity that will result in criminal punishment be clearly defined by the legislature, rather than the courts (*see United States v Bass*, 404 US 336, 348 [1971]). Lenity is warranted where the courts have the task of discerning the undeclared will of the legislature in an ambiguous statute (*see Bell v United States*, 349 US 81, 83 [1955]). In that instance, the language used in a criminal statute is to be read “with the saving grace of common sense with which other enactments, not cast in technical language, are to be read” (349 US at 83). Thus, “[t]he mere possibility of articulating a narrower construction . . . does not by itself make the rule of lenity applicable” (*Smith v United States*, 508 US 223, 239 [1993]).⁵ The rule “applies only if, after seizing everything from which aid can be derived . . . we can make

5. The dissent implicitly acknowledges the lack of support for its sweeping interpretation of the rule of lenity by resorting to reliance upon another dissenting opinion, not adopted by the United States Supreme Court, for the proposition that the rule should be invoked when at least one judge interprets a penal statute in a manner that is favorable to the defendant (*see* dissenting op at 419).

no more than a guess as to what [the legislature] intended. To invoke the rule, we must conclude that there is a grievous ambiguity or uncertainty in the statute” (*Muscarello v United States*, 524 US 125, 138-139 [1998] [citations and internal quotation marks omitted]; see also *Ocasio v United States*, 578 US 282, — n 8 136 S Ct 1423, 1434 n 8 [2016]). There is no such ambiguity here in the language of the statute and there is ample evidence of the stated legislative intent for the 2002 amendment. Defendant offers no reasonable argument why the theft of a credit card bearing the account number to enable a purchase would constitute larceny, while theft of the credit card account number itself used to enable the purchase would not. Application of the rule of lenity is therefore unwarranted.

Finally, defendant’s remaining evidentiary arguments as to the surveillance footage are without merit. His additional argument that the court erred in allowing the victim to provide hearsay testimony that the Uber driver confirmed defendant’s identity is not preserved.

Accordingly, the order of the Appellate Division should be affirmed.

RIVERA, J. (dissenting in part). Defendant used his supervisor’s credit card account number to purchase a telephone and service contract without permission. No doubt, defendant is guilty of a crime, just not the crime of which he was convicted. For the unauthorized use of the credit card number—officially referred to as the victim’s personal identifying information—defendant could have been prosecuted for second-degree identity theft, a class E felony (Penal Law § 190.79 [1]). Instead, he was prosecuted for fourth-degree grand larceny of the credit card (Penal Law § 155.30 [4]). That was a mistake. Fourth-degree grand larceny requires theft of a tangible card, and there was no proof that defendant ever possessed the card. The plain language of the controlling statutes, our canons of construction, and the relevant legislative history require this reading of the Penal Law.

Even assuming, as the majority does, that under the Penal Law theft of a tangible card is not a necessary element of fourth-degree grand larceny, the majority’s affirmance of defendant’s conviction is contrary to the rule of lenity. As the majority acknowledges, the Penal Law must clearly define crimes and their punishments. Where the Penal Law is ambiguous, it must be interpreted in the defendant’s favor (*People v Golb*, 23

NY3d 455, 468 [2014]). The majority knows well that, at the time that defendant made the underlying transactions, the law was unsettled as to whether the Penal Law definition of “credit card” included the card number. Therefore, the rule of lenity dictates that this Court adopt the interpretation that favors defendant. Here, that means that the prosecution was required to prove that defendant had physical possession of the credit card.¹

I.

Defendant Frederic Badji was convicted of several crimes arising from his unapproved charges and attempted charge to his former supervisor’s personal and corporate credit card and ride-hailing accounts. On appeal, defendant challenges as legally insufficient his conviction of one of several fourth-degree grand larceny counts for the theft of his supervisor’s credit card (Penal Law § 155.30 [4]). It is undisputed that the prosecution failed to admit evidence that defendant took the physical card or possessed it at the time of the illicit purchase. It is just as clear that the transaction was completed using the number associated with the card.

The Appellate Division upheld defendant’s conviction, notwithstanding the lack of proof of possession of the physical credit card, relying on its prior decision in *People v Barden* (*People v Badji*, 171 AD3d 499, 500 [1st Dept 2019], citing *People v Barden*, 117 AD3d 216, 230-236 [1st Dept 2014]). We reversed *Barden* on different grounds, but in our decision noted a department split on whether credit card numbers alone constituted a “credit card” under the Penal Law’s larceny provisions (*People v Barden*, 27 NY3d 550, 557 [2016], *comparing Barden*, 117 AD3d 216, *with Matter of Luis C.*, 124 AD3d 109 [2d Dept 2014]). This appeal presents the question that we were unable to reach in *Barden*.

II.

“When presented with a question of statutory interpretation, our primary consideration is to ascertain and give effect to the intention of the Legislature” (*People v Wallace*, 31 NY3d 503, 507 [2018] [citations omitted]). The statutory text is the clearest evidence of legislative intent (*People ex rel. Negron v Superintendent, Woodbourne Corr. Facility*, 36 NY3d 32, 36 [2020]).

1. I agree with the majority that defendant’s challenges to various evidentiary rulings are either unpreserved or without merit.

We interpret the text “according to its natural and most obvious sense, without resorting to an artificial or forced construction” (McKinney’s Cons Laws of NY, Book 1, Statutes § 94; *see also Samiento v World Yacht Inc.*, 10 NY3d 70, 78 [2008] [applying these canons of statutory interpretation]). A construction of a statute will be rejected, however, if it renders the statute absurd or produces objectionable, anomalous, or unjust results (McKinney’s Cons Laws of NY, Book 1, Statutes §§ 141, 143, 145, 146; *see also Matter of DeTroia v Schweitzer*, 87 NY2d 338, 342 [1996] [applying these canons]). Applying these principles, I conclude that grand larceny of a credit card requires proof that the defendant stole the physical card.

A.

Under Penal Law § 155.30 (4), a person is guilty of fourth-degree grand larceny when they “steal[] property and when . . . [t]he property consists of a credit card or debit card.” Penal Law § 155.00 (7) defines “credit card” as “any instrument or article defined as a credit card in section five hundred eleven of the [G]eneral [B]usiness [L]aw.” In turn, section 511 (1) of the General Business Law—titled “[d]efinitions”—defines “credit card” as “any credit card, credit plate, charge plate, courtesy card, or other identification card or device” that “may be used to obtain a cash advance or a loan or credit or to purchase or lease property or services on the credit of the issuer or of the holder.” Separately, General Business Law § 511-a, titled “[a]dditional definition,” states that “[f]or purposes of this article ‘credit card’ shall also mean any number assigned to a credit card” (*id.*).

Beginning with the clearest indicator of legislative intent, the text of Penal Law § 155.00 (7) defines “credit card” as a tangible item. Section 155.00 (7) states that a credit card is “any instrument or article” defined as a “credit card” in General Business Law § 511. The words “instrument” and “article” denote something tangible (Black’s Law Dictionary [11th ed 2019], article [defining “article” as “a particular item or thing”]; The American Heritage Dictionary [5th ed 2020], instrument [defining “instrument” as “(a) tool or implement used to do or facilitate work”]; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998] [instructing that the Court must give “effect to the plain meaning” of statutory language]; *see also People v Hedgeman*, 70 NY2d 533, 537 [1987]; *cf. People v Sansanese*, 17 NY2d 302, 306 [1966] [holding that a driver’s

license is not “property,” under the plain meaning of that word, for purposes of theft by false pretenses]). Thus, the reference to the General Business Law definition in section 511 applies only to tangible items listed in that cross-referenced section. This language alone is fatal to the majority’s analysis.² But there is more.

The fact that Penal Law § 155.00 (7-c) defines an “access device” to include credit card numbers confirms that the legislature’s word choice in section 155.00 (7) was deliberate. As section 155.00 (7-c) demonstrates, the legislature knows how to refer to intangible numbers. Accordingly, the legislature’s omission of a reference to numbers from section 155.00 (7) can only be understood as intentional (*see e.g. Matter of Kosmider v Whitney*, 34 NY3d 48, 58 [2019], *rearg denied* 33 NY3d 1134 [2019]; *Xiang Fu He v Troon Mgt., Inc.*, 34 NY3d 167, 172 [2019]; *Matter of Robert J.*, 2 NY3d 339, 345 [2004]; *People v Williams*, 66 NY2d 659, 660 [1985]; *see also People v Finnegan*, 85 NY2d 53, 58 [1995] [“We have firmly held that the failure of the Legislature to include a substantive, significant prescrip-

2. This textual analysis of the words chosen by the legislature is the first step in analyzing the meaning of the statutes in question, a step that this Court’s precedent instructs must be taken. And, as the majority recognizes (majority op at 400-401 n 3), in the enterprise of ascertaining the meaning of statutory text, “[d]ictionary definitions may be useful as guide posts in determining the sense with which a word was used” (McKinney’s Cons Laws of NY, Book 1, Statutes § 234; *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475, 480 [2001]; *see e.g. Town of Delaware v Leifer*, 34 NY3d 234, 242 [2019, DiFiore, Ch. J.] [citing Merriam-Webster Online Dictionary for definitions of the words “facility” and “present”]; *People v Flanagan*, 28 NY3d 644, 660 [2017, DiFiore, Ch. J.] [citing Black’s Law Dictionary for the definitions of “duty” and “discretionary duty”]). The majority observes that dictionary definitions, while useful as guideposts, should not supplant clear indications of legislative intent (majority op at 400-401 n 3). I agree with this uncontroversial statement. Here, the legislative intent is clear—the Penal Law does not incorporate the additional definition of “credit card” supplied by General Business Law § 511-a exclusively for purposes of the General Business Law. Thus the meanings of “instrument” and “article” as physical things comport with the exhibited legislative intent that a credit card is exclusively a tangible object. It is the majority, and not I, that relies on peripheral meanings for these words to accommodate its reading of the statute. Indeed, a “means by which something is done” does not exclusively denote something intangible (*contra id.* at 400 n 3). A pen is a means to write; a motor is a means to locomote; and a nail is a means to hold material together, and just so a credit card is a means of purchasing a product or service on credit. It is telling that the word “intangible” or any synonym for that word is absent from The American Heritage Dictionary definition that the majority and I cite (*see generally* The American Heritage Dictionary [5th ed 2020], instrument).

tion in a statute is a strong indication that its exclusion was intended”]).

Significantly, section 155.00 (7) adopts the definition set forth in General Business Law § 511, not section 511-a. Section 511 (1) defines “credit card” in tangible terms as “any credit card, credit plate, charge plate, courtesy card, or other card or device” that “may be used to obtain a cash advance or a loan or credit or to purchase or lease property or services on the credit of the issuer or of the holder.” Cards, plates, and devices are all readily understood as physical objects. This fact did not escape the legislature, which is “charged with knowledge of the law” (*People ex rel. Postal Tel.-Cable Co. v State Bd. of Tax Com-mrs.*, 224 NY 167, 183 [1918]; *see also People ex rel. Sibley v Sheppard*, 54 NY2d 320, 325 [1981]; *Easley v New York State Thruway Auth.*, 1 NY2d 374, 379 [1956]; McKinney’s Cons Laws of NY, Book 1, Statutes § 222 [“A statute is to be construed with reference to earlier statutes *in pari materia*”]). Thus, we must assume that the legislature knew Penal Law § 155.00 (7) exclusively referenced General Business Law § 511 when it enacted General Business Law § 511-a as a separate provision. Yet, when it enacted section 511-a, the legislature refrained from changing a single word in section 511 or Penal Law § 155.00 (7).

Under the majority’s interpretation, the legislature would have inexplicably ignored or neglected well-established and common drafting rules. Specifically, that statutory amendments are accomplished by revisions to the existing text that the legislature intends to change (*see e.g.* L 1986, ch 514, § 6 [amending the definition of terms “(b)usiness record” and “(w)ritten instrument” as they appear in Penal Law § 175.00 to include “computer data or a computer program”]; L 2006, ch 558, § 1 [adding the term “computer network” to the list of definitions in Penal Law § 156.00]; L 2017, ch 20, § 1 [amending Banking Law § 2 (30) so that the term “(c)onsummation of a mortgage loan” included that loan applicants could consummate loans “by electronic signature”]). If the legislature meant to amend General Business Law § 511 to define “credit cards” as including “credit card numbers,” it would have done so by simply adding the seven operative words set forth in section 511-a to section 511. “Whenever a reading arbitrarily ignores” a statute’s or provision’s “components or inadequately accounts for them, the reading may be presumed improbable” (Antonin Scalia & Bryan A. Garner, *Reading the Law: The Interpreta-*

tion of Legal Texts 174 [2012], quoting E.D. Hirsch, *Validity in Interpretation* 236 [1967] [internal quotation marks omitted]).

The most logical explanation for the separate provision is that the legislature did *not* expand section 511's definition of "credit card"—the improbable interpretation adopted by the majority (majority op at 398-399). Otherwise, there would be no reason for the legislature to have gone through the effort of enacting a wholly separate provision, and to have gone one step further to title it "[a]dditional definition" (McKinney's Cons Laws of NY, Book 1, Statutes § 123 [a] [providing that statute titles "may be resorted to as an aid in the ascertainment of the legislative intent"]). If the legislature intended for section 511-a to operate as an amendment to the definition contained in section 511, it would have left some hint of its intent, perhaps by titling section 511-a "amended definition" or "amendment to the definition of 'credit card.'" It did neither and instead separated the two definitions. Notably, section 511-a does not refer back to section 511 (1). It is clear from the statute's design that the legislature enacted section 511-a as a separate provision precisely because it was not intending to amend section 511.

In support of its interpretation, the majority asserts that section 511-a's only conceivable purpose would be to amend section 511 (majority op at 398 n 2). This ignores the obvious and explicit function of section 511-a, which is to add a definition of credit card to General Business Law article 29-A, which governs the unauthorized or improper use of credit and debit cards. Section 511-a serves this function without changing the definition contained in section 511.

For instance, under article 29-A, businesses are prohibited from imposing surcharges on individuals who use credit cards in lieu of cash (General Business Law § 518), and, if a business requires that a person using a credit card make a minimum purchase before accepting the credit card, it must post the requirement "conspicuously and in all advertisements that mention that credit cards are accepted" (General Business Law § 519 [1]). Section 511-a prevents businesses from circumventing these consumer protection requirements by levying surcharges for the use of credit card numbers or failing to post information about minimum purchase requirements when only credit card numbers are used. Take as another example the fact that credit card holders can defend against actions for purchases made on credit, for which they are ostensibly obli-

gated, by indicating that the underlying transaction “arose out of the unauthorized use” of their credit cards (General Business Law § 514 [1] [a]). Section 511-a makes clear that credit card holders can defend against these actions where their credit card numbers alone were used without their authorization.

B.

The purpose of this legislative action is easily understood by placing the amendment in its historical context. When the legislature added General Business Law § 511-a, it enacted a suite of identity-theft crimes in the same bill. These new Penal Law provisions address unlawful possession and use of personal identifying information, including credit card numbers. The legislature intended these provisions to:

“aid law enforcement in combating one of the fastest growing financial crimes. At the time, there was a growing awareness across the country and in New York of the ease with which personal information can be obtained through the use of technology and by access to the Internet, and that confidential data was vulnerable to computer security system breaches. The increased unauthorized use of individuals’ personal information caused significant financial harm to victims, who were often unaware that their information had been stolen until they received debt collection notices or discovered their credit ratings had been ruined. The law was drafted to ensure maximum deterrence and the prosecution of unauthorized conduct as defined in the statute” (*People v Roberts*, 31 NY3d 406, 416 [2018] [citations and internal quotation marks omitted]).

The Penal Law provisions enacted in 2002 ensure that a person, like defendant, is punished for the unauthorized possession and use of another’s credit card number. We may not read the Penal Law in a manner that ignores the legislature’s carefully drawn scheme, which punishes misuse of credit card numbers through these new provisions and left unchanged larceny’s physical-possession requirement (*People v Anonymous*, 34 NY3d 631, 641 n 4 [2020] [noting that “we are obligated to adhere to” the legislature’s “determination”]; *People v Boston*, 75 NY2d 585, 589 [1990] [(“I)t remains for the Legislature—not the courts—to rewrite . . . statute(s)”]; McKinney’s Cons Laws of NY, Book 1, Statutes § 73, Comment [“It is a basic rule of statutory construction that the courts should avoid judicial legislation, since the Constitution of this

state vests the legislative power in the Senate and Assembly; and courts may not legislate under the guise of interpretation of statutes”). Indeed, the sponsor’s memorandum in support of the bill that includes the Penal Law amendments states that “[s]ection 511-a is created in the general business law, providing that *only for purposes of the [G]eneral [B]usiness [L]aw* the term credit card shall also mean any number assigned to a credit card” (Assembly Sponsor’s Mem, 2002 NY Assembly Bill A4939-E at 2, enacted as L 2002, ch 619, 2002 McKinney’s Session Laws of NY at 2093 [emphasis added and internal quotation marks omitted]).³

This illustrates the legislature’s deliberate distinction in the Penal Law between theft crimes involving possession of a material thing and identity theft and fraud, which criminalize unauthorized possession of information.⁴ The Penal Law defines possession as physical “possession” or “dominion or control over tangible property” (Penal Law § 10.00 [8]). “Tangible” means “‘material’ or ‘having physical form’” (*People v Aleynikov*, 31 NY3d 383, 398 [2018]). By enacting the identity theft crimes, the legislature broke from the Penal Law’s definition of “possession” and created criminal liability for possession of intangible personal identification information (Penal Law §§ 190.77-190.84). However, it left unchanged the Penal Law’s definition of possession outside of the context of identity theft and fraud.

3. The majority’s interpretation of the sponsor’s memorandum is nonsensical (majority op at 399-402). Because the bill amended the Penal Law and the General Business Law, the obvious purpose of explaining that General Business Law § 511-a applies “only for purposes of the [G]eneral [B]usiness [L]aw” is to clarify that section 511-a is limited to the General Business law, and is not part of the cross-reference in the Penal Law to section 511 (1) (*contra* majority op at 402). No more persuasive is the majority’s reliance on definitions of “credit card” found in other sections of the General Business Law (majority op at 402). The specific definitions within individual provisions supersede the general definition found elsewhere in the article (McKinney’s Cons Laws of NY, Book 1, Statutes § 238; *People v Mobil Oil Corp.*, 48 NY2d 192, 200 [1979]). Moreover, these different definitions confirm that the legislature qualified the meaning of “credit card” in response to different situations. As I discuss *infra*, that is what the legislature has done—the unlawful use of credit card numbers is criminalized through the identity theft crimes, not larceny, which requires theft of a tangible object.

4. The majority reinforces this point by indicating other instances demonstrating that the legislature explicitly criminalizes the theft of intangible property when it so intends (majority op at 403 n 4). Here, the plain text of the provisions at issue and the legislative history indicate that there is no such intent.

C.

Preserving General Business Law §§ 511 and 511-a as distinct provisions also accords with our common-law understanding of larceny, which requires asportation—the carrying away of property to complete a theft (see *People v Olivo*, 52 NY2d 309, 318 n 6 [1981]; *People v Alamo*, 34 NY2d 453, 457 [1974]; *Harrison v People*, 50 NY 518, 523-524 [1872]). Theft of the tangible card satisfies the asportation requirement. In contrast, when a person merely learns a credit card number without taking the card, they have not separated that information from its rightful owner or gained exclusive control over the card or numbers. The credit card owner retains access to and use of the numbers and card.

The majority unravels our precedent with its misinterpretation of *Alamo*'s analysis. Rather than retreat from established precedent, *Alamo* reaffirmed the core meaning of asportation as possession or exclusive control over another's property. In *Alamo*, the defendant was charged with larceny for forcibly entering and starting a car. On appeal, the defendant challenged the jury instructions because they provided that a larceny was complete where a person exercises exclusive control over the vehicle and that movement of the vehicle is not required to accomplish that level of control (34 NY2d at 456). On appeal, this Court observed that "[i]t is woven into the fabric of the common law that asportation is an element of a completed larceny" (*id.* at 457). It noted that asportation was listed as one of "the essential elements of larceny" in *Harrison* (*id.* at 457). The Court further observed that, in *Harrison*, it had held that a pickpocket had completed a larceny by grasping a victim's wallet and lifting it "several inches and not all the way out of the [victim's] pocket" (*id.*). "While it is to be conceded that the element of movement was a consideration in the court's reasoning" in *Harrison*, "critical analysis of that reasoning discloses that the elements of possession and control were the paramount elements sought and that the fact of movement merely tended to support the idea of control" (*id.*). *Harrison* explained that "[t]o constitute the offence of larceny, there must be a taking or severance of the goods from the possession of the owner. . . . But possession, so far as this offense is concerned, is the having or holding or detention of property in one's power or command" (*id.* at 457-458 [internal quotation marks and citation omitted]).

The *Alamo* Court observed that an automobile “is itself an instrument of transportation and when activated comes within the total possession and control of the operator. In this situation movement or motion is not essential to control” (*id.* at 458). Thus “[a]bsent any evidence that the vehicle is somehow fastened or immovable because of a mechanical defect, the thief has taken command of the object of the larceny” by turning the vehicle on and has thus “‘taken’ the property from its owner surely as much so as had the thief in *Harrison*” (*id.*). The legislature had indicated its endorsement of this understanding in Penal Law § 165.05 (1), in which it defined the unauthorized use of a vehicle as the “operation” of the vehicle (*id.* at 459).

The Court upheld the trial court’s instruction given that it did not abnegate the function of asportation as a means of measuring a defendant’s control and dominion over the object of the theft (*id.*). That same reasoning does not apply here. There is no evidence that defendant took the complainant’s physical credit card, and accordingly he did not have exclusive dominion and control over the card. To the contrary, as the complainant retained her card and the ability to make purchases with it. The exception to this long-established and “essential” element of larceny described in *Alamo* does not exist here.

By holding that a defendant can possess a credit card merely by apprehending its numbers, the majority has eliminated asportation as an element of fourth-degree grand larceny and, more fundamentally, the element of exclusive possession and control that asportation manifests. Far from being the next step in the common-law evolution of our understanding of larceny, this is a reinvention of the crime to fit the majority’s preferred outcome of the case.

The common law “must be held no further abrogated than the clear import of the language used in the statutes absolutely requires” (*Bertles v Nunan*, 92 NY 152, 157 [1883]; McKinney’s Cons Laws of NY, Book 1, Statutes § 153 [“A change in long established rules of law is not deemed to have been intended by the Legislature in the absence of a clear manifestation of such intention”]). My interpretation leaves the asportation requirement intact while providing a sensible reading to the

Penal Law and its cross-reference to the General Business Law.⁵

D.

Unlike the majority's interpretation, reading the larceny provision to require possession of the credit card does not lead to absurd results. As the Second Department stated in *Matter of Luis C.*, "[a] person who appropriates account information is not immune from punishment" (124 AD3d at 115-116). Although a person who has unauthorized possession of a credit card number is not guilty of fourth-degree grand larceny, they are liable for unlawful possession of personal identification information, a class A misdemeanor or class D or E felony, depending on the facts (Penal Law §§ 190.80-a–190.83). Criminal liability is greater for a person who steals a physical credit card intending to use it unlawfully because they are criminally liable for both larceny for the theft of the card (a class E felony) and unlawful possession of personal identification information. Defense counsel concedes the same.

Heightened criminal exposure in this context makes sense, as a person who possesses a stolen credit card is able to complete transactions that require not only the card number but the card itself. For example, the holder of a card can attempt to make purchases in a brick-and-mortar establishment by tapping, swiping, or inserting the card in a card reader as

5. The majority further dismisses our established definition of larceny by suggesting that asportation is an outdated concept (majority op at 403-404). If the legislature intended to eliminate that requirement for purposes of fourth-degree grand larceny, it would have done so explicitly and not through cryptic atmospherics like adding a definition to the General Business Law that is not referenced by the Penal Law, and in a bill that created crimes that would make the theft of credit card numbers redundant.

In any case, the majority's underlying premise is unfounded. Individuals have had the ability to apprehend information to which they were not privileged long before the advent of "e-commerce." For example, state, trade, and military secrets have existed and been learned illicitly as long as asportation has been a requirement of larceny, and yet asportation survives as an essential element of the crime, which the prosecution must prove beyond a reasonable doubt. Thus, the majority's claim that earlier generations of judges "could not possibly have conceived" of the apprehension of information without the movement of property simply because they lacked Internet access is unpersuasive (*id.*). And, as I discuss, no "evil" goes unpunished here (*contra* majority op at 404) unless the prosecutor forgoes charging defendants who misappropriate credit card numbers with the legislatively-adopted identity theft crimes. Our elected officials did their job; it is up to the prosecutors to do theirs. When they do not, it is not our job to find a work-around to the legislation.

well as online or over the phone, whereas a person with a number alone is limited to purchases for which presentation of the card is not required.

While my reading does no violence to the legislative design, the statutory reading adopted by the majority leads to the nonsensical disparate treatment of victims based solely on the type of card that they own. Under the majority's reading, crimes against debit card holders are punished less harshly than crimes against credit card holders with no logical justification. Consider the facts of *Matter of Luis C.*, where the individual used his uncle's debit card numbers without consent to buy a pair of sneakers worth \$120. Such a defendant could be charged with third-degree identity theft (Penal Law § 190.78 [1]) and third-degree unlawful possession of personal identification information (Penal Law § 190.81), which are both class A misdemeanors. Under the majority's interpretation, if this same person instead had used his uncle's credit card numbers, the District Attorney could charge him with fourth-degree grand larceny, a class E felony (Penal Law § 155.30 [4]), in addition to the two class A misdemeanors.

This result defies reason. It is also in clear contravention of the legislative scheme, which, in other parts of the Penal Law, makes no distinction between unauthorized possession or use of debit and credit card numbers and punishes both equally.

Moreover, the identity theft crimes elevate punishment in cases involving aggravating factors. For example, first-degree unlawful possession of personal identification information is a D felony which requires either the supervision of accomplices, a previous conviction for an identity theft crime, or that the defendant held the information with the intent to commit second-degree identity theft against a victim that the defendant knew was a member of the armed forces (Penal Law § 190.83). Second-degree identity theft is an E felony which requires the possession of 250 or more items of personal identification information with the intent to commit a separate identity fraud crime (Penal Law § 190.82; *see also* § 190.78 [requiring the thief to have caused financial loss or to have intended to commit a separate crime that is at least a class A misdemeanor]; § 190.79 [requiring theft of more than \$500 or commensurate financial hardship or that the assumption of identity was to commit or attempt to commit a felony]; § 190.80 [requiring theft of more than \$2,000 or commensurate financial hardship or the commission or attempted commission of a D felony or

higher]; § 190.80-a [requiring the assumption of the identity of a member of the armed forces while that person was deployed overseas]).

The majority's myopic conclusion that in 2002 the legislature was focused solely on the misuse of credit cards (majority op at 403) simply ignores the scope of the identity theft crimes, which are not limited to credit card numbers. The legislature broadly criminalized the use of personal identifying information, i.e.,

“a person's name, address, telephone number, date of birth, driver's license number, social security number, place of employment, mother's maiden name, financial services account number or code, savings account number or code, checking account number or code, brokerage account number or code, credit card account number or code, debit card number or code, automated teller machine number or code, taxpayer identification number, computer system password, signature or copy of a signature, electronic signature, unique biometric data that is a fingerprint, voice print, retinal image or iris image of another person, telephone calling card number, mobile identification number or code, electronic serial number or personal identification number, or any other name, number, code or information that may be used alone or in conjunction with other such information to assume the identity of another person” (Penal Law § 190.77 [1]).

Thus, while the legislature has sought to address credit card misuse, it has done so in the context of the larger problem of the unauthorized use of personal identifying information.

III.

For the reasons that I have discussed, Penal Law § 155.30 (4) must be read as applying to the theft of a tangible credit card and not the intangible numbers associated with it. That should end the analysis. Nevertheless, to the extent that the statutes' language and history are ambiguous such that we cannot decipher the legislative intent when presented with equally logical interpretations, the rule of lenity requires that we conclude that the trial evidence was insufficient to support defendant's conviction for credit card theft. As the Court has explained, “[i]f two constructions of a criminal statute are plausible, the one more favorable to the defendant should be

adopted” (*Golb*, 23 NY3d at 468, quoting *People v Green*, 68 NY2d 151, 153 [1986]). Thus, because the prosecution failed to sustain its burden of proof of defendant’s guilt, we must vacate the conviction for grand larceny (*id.*).

The majority and I believe that the statutes are unambiguous, reaching different conclusions about how they should be read. Each side believes that the other’s interpretation is erroneous. The analytical challenge is obvious: can the statutes truly be said to be unambiguous when the majority and I rely on divergent constructions of the statutes to find that they lend themselves to only one reading, even as we disagree about what that reading should be? Under our law, where the different views are in equipoise, each supported by the text and legislative history, then the statutes are ambiguous in the sense that reason does not point definitively in one direction over the other. In such cases, the rule of lenity applies.

In part, as the majority acknowledges, the rule of lenity ensures a defendant has “fair warning” of what amounts to criminal conduct and the punishment for criminal transgressions (majority op at 404). When defendant used his supervisor’s credit card numbers to make unauthorized purchases, the law was unsettled as to whether he could be convicted of fourth-degree grand larceny. We identified a departmental split in *Barden*, and it remained an open question in this Court until today. In fact, the First Department in *Barden* gave credence to the reading that favors defendant here, recognizing that “the legislative history might seem to indicate that the addition of General Business Law § 511-a in 2002 was meant to apply only to the General Business Law” (*Barden*, 117 AD3d at 234). The Court then erroneously interpreted that history. And, of course, in *Matter of Luis C.*, the Second Department was persuaded that this was the proper understanding of the legislature’s intent. If learned Justices of the Appellate Division agree that the proposed reading of the statutes that favors defendant has purchase, we cannot presume that the defendant knew the full range of his criminal exposure.

Coming full circle, as I have discussed, the argument that Penal Law §§ 155.00 (7) and 155.30 (4) require proof of theft of a tangible credit card finds support in the plain language of the relevant provisions, New York’s canons of construction, and the contested statutes’ legislative history. That may not be a unanimous view, but my interpretation of the statutes is at least as plausible as the one adopted by the majority.

As Justice Scalia aptly explained:

“Even if the reader does not consider the issue to be as clear as I do, [the reader] must at least acknowledge, I think, that it is eminently debatable—and that is enough, under the rule of lenity, to require finding for the petitioner here. At the very least, it may be said that the issue is subject to some doubt. Under these circumstances, we adhere to the familiar rule that, where there is ambiguity in a criminal statute, doubts are resolved in favor of the defendant” (*Smith v United States*, 508 US 223, 246 [1993, Scalia, J., dissenting] [citation and internal quotation marks omitted]).

IV.

The prosecution’s evidence was insufficient to establish defendant’s guilt of fourth-degree grand larceny as a matter of law, because there was no proof that he stole his supervisor’s credit card. Any inference that defendant used the credit card numbers to make unauthorized purchases cannot be the basis for defendant’s conviction because the statute applies solely to theft of the tangible card. We need not worry that defendant and others who commit this same act will go unpunished; the legislature has criminalized unlawful possession of credit card numbers in Penal Law §§ 190.81-190.83. This Court may not rewrite the statutes at issue here at the cost of our canons of statutory interpretation and established common-law rules, including the rule of lenity, to penalize a single defendant because the District Attorney failed to use these arrows in its prosecutorial quiver.

Judges STEIN, FAHEY, GARCIA and FEINMAN concur; Judge RIVERA dissents in part in an opinion in which Judge WILSON concurs.

Order affirmed.

[166 NE3d 514, 142 NYS3d 440]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v TYRONE
D. GORDON, Respondent.

Argued January 7, 2021; decided February 18, 2021

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 6, 2019. The Appellate Division affirmed so much of an order, insofar as appealed from, of the Supreme Court, Suffolk County (Mark D. Cohen, J.), as had granted that branch of defendant's omnibus motion which was to suppress physical evidence seized from two vehicles.

People v Gordon, 169 AD3d 714, affirmed.

HEADNOTES

Crimes — Search Warrant — Authorization to Search “Entire Premises” — No Probable Cause to Search Vehicles Located Outside Residence

1. Physical evidence seized from two vehicles located outside defendant's residence by police officers executing a search warrant authorizing a search of defendant's “person” and the “entire premises” from which defendant was seen emerging to engage in drug transactions was properly suppressed as the warrant contained no reference to the vehicles and the record supported the finding of Supreme Court that the search warrant materials failed to provide probable cause to search the vehicles. The search warrant application alleged that undercover detectives and a confidential informant had engaged in a total of three controlled purchases from defendant, that the detectives had observed several more likely narcotics sales, and that all alleged sales followed the same pattern whereby a car would pull up outside the residence and defendant or another person would emerge from the residence, approach the buyer, and return to the residence. No observation was reported as to any movement of persons between the residence and the vehicles searched that would substantiate a belief that those vehicles were utilized in the alleged activity. The mere presence of a vehicle seen at the site of premises wherein the police suspect criminal activity to be occurring does not by itself provide probable cause to search the vehicle. In requiring, under CPL 690.15 (1), that a search warrant direct a search of “one or more” of three separately listed categories, i.e., a designated or described premises; a designated or described vehicle; or a designated or described person, the legislature strongly suggested that the search of only one category (e.g. a premises) does not impliedly encompass the others. In the case of automobiles, unlike desks, closets or trunks, the risks of innocent invasions of privacy are substantially higher, given the commonplace occurrence of traveling by car to visit other places and people. Moreover, automobiles are typically titled and registered, and are more often in public view, providing police with means to establish connections between a vehicle and the target of a search.

**Crimes — Appeal — Preservation of Issue for Review — State
Constitutional Claim — Search of Vehicles Pursuant to Search
Warrant**

2. Defendant properly preserved for review the issue of whether, under state constitutional standards, the police had probable cause to search two vehicles that were on site at a residence at which they were executing a search warrant that authorized the search of defendant's "person" and the "entire premises." The debate in the lower courts focused on the merits of adopting the People's interpretation of the federal standard in light of Court of Appeals prior precedent. Before Supreme Court, defendant cited New York case law that had adhered to the position that a search warrant must specify the area to be searched, resting on both the New York and U.S. Constitutions and the Criminal Procedure Law to require a greater degree of protection for searches of vehicles than required under the federal law cited by the People. The issue of whether New York courts should hew closely to Court of Appeals prior precedent or adopt, as a matter of state law, an emerging rule of federal constitutional law had been consistently litigated by both parties throughout the case. While the prior New York decisions on which defendant relied may not have conducted an extensive analysis of whether state constitutional protections deviate from federal constitutional protections in this context, that did not render their repeated citations to the State Constitution meaningless; those cases accurately set forth state constitutional law. To avoid answering the state constitutional component of defendant's argument on preservation grounds would require distorting the preservation rule by overruling the prior New York cases as a matter of federal and state constitutional law, while maintaining that defendant failed to preserve a state constitutional claim.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

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3.4, 3.6, 3.7, 27.5.
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NY JUR 2d Criminal Law: Procedure §§ 342, 345, 353, 354,
3556–3558, 3574.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Automobiles
and Highway Traffic; Probable Cause; Search and Seizure;
Warrants.

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Query: “search warrant” & particular! & “entire premises” /p vehicle

POINTS OF COUNSEL

Timothy D. Sini, District Attorney, Riverhead (*Guy Arcidiacono* of counsel), for appellant. The hearing court decision should be reversed because the term “entire premises” includes vehicles parked within the curtilage of the property that is owned or controlled by the target of the warrant. (*People v Sciacca*, 45 NY2d 122; *People v Hansen*, 38 NY2d 17; *People v Ponder*, 54 NY2d 160; *People v Dumper*, 28 NY2d 296; *United States v Gottschalk*, 915 F2d 1459; *People v Rainey*, 14 NY2d 35; *People v Velez*, 138 AD3d 1041, 28 NY3d 938; *Keiningham v United States*, 287 F2d 126; *Katz v United States*, 389 US 347; *United States v Griffin*, 827 F2d 1108.)

Jonathan B. Manley, Hauppauge, for respondent. The hearing court decision should be affirmed because the search warrant did not particularize the search of the vehicles and did not contain probable cause to search any area other than the residence. (*People v Rainey*, 14 NY2d 35; *People v Hansen*, 38 NY2d 17; *People v Dumper*, 28 NY2d 296; *People v Sciacca*, 45 NY2d 122; *United States v Griffin*, 827 F2d 1108; *People v Velez*, 138 AD3d 1041, 28 NY3d 938; *People v Morris*, 128 AD3d 813, 25 NY3d 1168; *People v Theodore*, 114 AD3d 814, 23 NY3d 968; *People v Caputo*, 155 AD3d 648; *People v Avinger*, 140 AD3d 895.)

OPINION OF THE COURT

WILSON, J.

Over several days, police officers observed Mr. Gordon selling heroin from his home; in addition to the surveillance, undercover officers engaged in drug transactions with Mr. Gordon and conducted a controlled buy using an informant. Based on that information, the court issued a search warrant authorizing a search of Mr. Gordon’s “person” and the “entire premises.” In the proceedings below, Supreme Court held that although the police had probable cause to search Mr. Gordon and his residence, the warrant did not encompass the search of two vehicles located outside the residence, and the police lacked probable cause to search those vehicles. As a result, Supreme Court ordered the suppression of physical evidence seized from the two vehicles. On appeal, the Appellate Division affirmed,

and we now do so as well. Because the search warrant in this case contained no references to the vehicles and the record supports the finding of Supreme Court that the search warrant materials failed to provide probable cause to search the vehicles, the evidence seized therefrom was properly suppressed.

I.

During the course of a narcotics investigation, police officers observed Mr. Gordon and at least one associate selling narcotics from a private residence; on several occasions, Mr. Gordon or an associate exited the residence, walked to the street and delivered an object to a waiting person in exchange for money. As part of the investigation, detectives prepared a search warrant application that alleged the following: (1) on August 13 and August 25, 2015, undercover detectives had engaged in two controlled buys of heroin from Mr. Gordon, (2) a confidential informant had participated in a third controlled purchase from Mr. Gordon, and (3) the detectives had observed several more likely narcotics sales on the evenings of August 25 and 26, 2015. In all cases, the alleged sales followed the same pattern: a car would arrive on the street outside the residence, Mr. Gordon or another person would emerge from the residence, approach the prospective buyer, and then return to the residence a few minutes later.

Based on the surveillance and undercover purchases, the detectives applied for and obtained a search warrant authorizing a search of “the person of Tyrone Gordon . . . and the entire premises” from which Mr. Gordon was seen emerging. The warrant was issued on August 28, 2015 and executed one week later. As a result of the search of the residence, the police found a handgun, but a separate individual (not Mr. Gordon) was charged with possession of that weapon. No other contraband was found on Mr. Gordon’s person or in the interior of the residence.

The factual materials prepared for the search warrant made no mention of any vehicles associated with Mr. Gordon or the premises as allegedly being involved in the observed criminal activity. Nonetheless, as part of the search of the “entire premises,” police officers searched two vehicles found on-site: a Nissan Maxima and a Chevrolet sedan. The Nissan, which was registered to Mr. Gordon’s cousin, was parked in the driveway of the residence. From the search of the Nissan, the police

retrieved quantities of heroin, cocaine, and assorted drug paraphernalia. The Chevrolet, parked in the backyard behind two fences, was unregistered. A search of the Chevrolet revealed a loaded handgun.

Mr. Gordon was arrested and arraigned on a 9-count indictment. Counts 5 through 9 rested in large part on the physical evidence seized from the two vehicles. In an omnibus motion, Mr. Gordon moved to suppress that evidence. Mr. Gordon based his argument on several of our prior decisions, including *People v Dumper* (28 NY2d 296 [1971]) and *People v Hansen* (38 NY2d 17 [1975], *abrogated on other grounds by People v Ponder*, 54 NY2d 160 [1981] [abrogating automatic standing]). Based on our prior precedent and interpretations thereof by the lower courts, Mr. Gordon argued that the police officers lacked the particularized probable cause necessary to search the vehicles. The factual allegations, Mr. Gordon contended, supported at most a search of Mr. Gordon's person and his residence and not the vehicles located outside the residence.

Supreme Court granted Mr. Gordon's motion to suppress. Supreme Court explained that in New York, a search warrant must list "each specific area of the building, area or vehicle to be searched" and "[p]robable cause must be shown in each instance." Reviewing the warrant materials, Supreme Court concluded that probable cause was lacking in this case because the detective's affidavit made no mention of the vehicles or otherwise "provide[d] any specific probable cause [to believe] that the vehicles were involved in the criminal activity." The Appellate Division affirmed, concurring in Supreme Court's conclusion that "the search warrant did not particularize that a search of the vehicles was permitted" and "probable cause to search those vehicles had not been established in the application for the search warrant" (169 AD3d 714, 714-715 [2d Dept 2019] [citations omitted]). A Judge of this Court granted the People's motion for leave to appeal (33 NY3d 976 [2019]), and we now affirm.

II.

The parties dispute the proper standards for evaluating the sufficiency of the warrant application and whether the search of the vehicles conformed to the warrant's directives. Mr. Gordon relies primarily on New York precedent; the People look instead to federal case law for guidance. The People rely heavily on *United States v Ross* (456 US 798 [1982]) and sev-

eral decisions of federal courts of appeals that have determined, under the U.S. Constitution, that a warrant to search an “entire premises” may, under certain circumstances, impliedly authorize a search of automobiles found on the property (*e.g.* *United States v Pennington*, 287 F3d 739, 745 [8th Cir 2002]; *United States v Percival*, 756 F2d 600, 611-613 [7th Cir 1985]).

In *Ross*, the Supreme Court held that when police officers have probable cause to conduct a warrantless search of the trunk of a vehicle—based on an informant’s tip that narcotics were being kept in the trunk of the car—the police may open a paper bag found inside the trunk (*Ross*, 456 US at 801). The Supreme Court did not address whether a search of an automobile could be upheld when the information supporting a warrant application is determined by a magistrate to justify the search of a premises but makes no mention of vehicles located on the property. The People and dissent contend that we should extend the reasoning of *Ross* to hold, as some federal courts of appeals have, that vehicles located outside a residence are no different from any other “closets, chests, drawers, [or] containers” located within (*id.* at 821).

Those federal courts extending *Ross* to automobiles on the theory that an automobile is no different than a paper bag have found difficulty in arriving at a single standard for determining what vehicles may be searched: they disagree regarding whether police officers may search any vehicle found on-site during the execution of a premises warrant or only those vehicles that are “owned or controlled by the owner of . . . the premises” (*Percival*, 756 F2d at 612; compare *United States v Reivich*, 793 F2d 957, 963 [8th Cir 1986] [exempting “vehicle(s) of a guest or other caller” from the permissible scope of a premises warrant], with *United States v Cole*, 628 F2d 897, 899-900 [5th Cir 1980] [upholding the search of a truck of a third party that arrived on the property during the execution of the premises warrant]).

Ross itself does not govern the situation here, and we are skeptical of the wisdom of the federal appellate cases extending it.¹ Nonetheless, we decline, as a matter of state constitutional law, to adopt either version of the federal rule advocated

1. The Supreme Court in *Ross* cautioned that the scope of the search must be narrowly constrained to the specific area as to which probable cause existed. The Court explained that under the Fourth Amendment, “[p]robable cause to believe that a container placed in the trunk of a taxi contains contraband or evidence does not justify a search of the entire cab” (*Ross*, 456

(n. cont’d)

by the People. As explained below, the constitutional principles we have developed in this area, including judicial monitoring of the search warrant process and the importance of probable cause and particularity, strongly weigh against the People's proposed rule.

III.

[1] A search warrant must be based on probable cause and describe with particularity the areas to be searched (*see People v Rainey*, 14 NY2d 35, 38 [1964]). We have on several occasions addressed the permissible scope of a search based on allegations of illegal activity occurring at a residence or premises (*see e.g. People v Nieves*, 36 NY2d 396, 400 [1975] [a person's mere presence on the premises where suspected gambling is occurring is insufficient to justify a search]).

In *People v Rainey*, police officers tendered factual allegations sufficient to establish that the defendant's residence likely contained forged or illicit goods. As a consequence, police officers obtained a warrant for the "entire premises" of 529 Monroe Street, notwithstanding the fact that when they applied for the warrant, the police officers knew that the address contained two separate apartments—one belonging to the suspect of the search, the other to an innocent third party. Attached to the third party's apartment was a shed. Acting pursuant to the authority to search the "entire premises," the police canvassed both apartments and the shed, retrieving from the latter a check writer and set of blank checks believed to have been used in the suspect's check-forging activities. The defendant controverted the warrant, arguing that it was "constitutionally deficient for not 'particularly describing the place to be searched' " (*Rainey*, 14 NY2d at 36, citing NY Const, art I, § 12; US Const 4th Amend]). We agreed, and held that "[f]or purposes of satisfying the State and Federal constitutional requirements, the searching of two or of more residential apartments in the same building is no different from searching two

US at 824 [emphasis added]). For analogous reasons, although the allegations here were sufficient to justify a search of the residence and of Mr. Gordon's person, the warrant materials raised no facts to indicate that Mr. Gordon hid narcotics anywhere outside his person or the residence. The People's interpretation of *Ross*—that if evidence of a criminal activity is alleged to occur in part of a premises, the scope of a search must necessarily extend to all areas of the premises—stretches *Ross* beyond its holding and disregards its cautionary example.

or more separate residential houses. Probable cause must be shown in each instance” (*id.* at 37).

Rainey established that probable cause to search a suspect’s residence did not encompass the authority to search a separate residence, even if both were located on the same premises. *Rainey* did not address whether the need to provide particular probable cause for separate residences extended to providing particularized probable cause for vehicles found at or associated with a residence. Two subsequent cases did. In *People v Dumper*, we held that evidence seized from a vehicle that arrived on a premises during the search of those premises must be suppressed. Our decision in *Dumper* rested on two grounds. We first held that the underlying warrant for the residence lacked sufficient factual allegations to authorize a search of the residence (*Dumper*, 28 NY2d at 298). We then concluded that even if the affidavit had been sufficient to support a search of the residence, the warrant failed “in any event [to] justify a search of the automobile which had just been driven into the driveway” (*id.* at 299). Citing *Rainey*, we reiterated that under our precedent, the “scope of [the] search has been carefully limited” and “[p]robable cause must be shown in each instance” (*id.*). We explained that

“a warrant must describe the premises to be searched, and this warrant did not include the automobile, which was not on the premises when the police came with the warrant but which was driven into the driveway while police were there, [and therefore] it did not justify [a] search of the car” (*id.*).

We next addressed the search of a vehicle associated with a residence in *People v Hansen*. In *Hansen*, we held that police officers had sufficient cause to search Hansen’s residence after surveilling the residence for some time and observing pipes, scales, and other narcotics materials (*Hansen*, 38 NY2d at 20). However, we held that the police lacked sufficient evidence to search a vehicle that had been seen coming and going from the residence. We explained:

“The observations of the police were that this van had made ‘trips in and out carrying at least one other person in addition to the driver’, and that it was ‘the sole vehicle observed entering and leaving these premises on a regular basis’. The affidavit

contained no indication as to dates, times, frequency or purpose and was open to the interpretation that other vehicles might have entered or left the premises on a nonregular basis. Additionally no observation was reported as to any movement of persons between the house and the van. The activity described in the affidavit, without more, was innocuous and as consistent with innocence as with criminal activity” (*id.*).

Applying the doctrine of severability, we upheld the search of Hansen’s residence but directed that the evidence seized from the van should be suppressed.

Finally, in *People v Sciacca* (45 NY2d 122 [1978]), we held that tax investigators who had a valid warrant to search an automobile exceeded the scope of that warrant by entering into a private garage in order to execute the search of the vehicle. Citing *Hansen* and *Dumper*, we stated:

“It is clear that a warrant to search a building does not include authority to search vehicles at the premises (*People v Hansen*, 38 NY2d 17; *People v Dumper*, 28 NY2d 296). The converse is also true. Authority to search a vehicle does not include authority to enter private premises to effect a search of a vehicle within those premises. The Constitution (NY Const, art I, § 12; US Const, 4th Amdt) requires that a warrant particularly describe the place to be searched and the Criminal Procedure Law provides for the issuance of warrants to search persons, premises or vehicles (CPL 690.15). The fact that premises are generally fixed while persons and vehicles are moveable presents a problem to officers executing search warrants. However, the constitutional mandate of particularity of the place to be searched may not be circumvented by implication as the People urge. We cannot accept the argument that the entry into the private garage was a permissible incident of the right to search pursuant to a warrant. The warrant here authorized the search of a particular van and nothing else. The garage had a structural and functional existence distinct from defendant’s van which should have been recognized by the investigators” (*id.* at 127).

In *Sciacca*, our statement that “a warrant to search a building does not include authority to search vehicles at the premises” was arguably dicta because the facts there involved whether a search warrant for a vehicle authorized an intrusion into a premises, and not vice versa. Yet that statement represents our Court’s understanding of the meaning of our prior decisions in *Hansen* and *Dumper*, one that, as we noted in *Sciacca*, accords with the legislature’s prescription of “what and who” are subject to search pursuant to a New York warrant (*see* CPL 690.15 [1] [“A search warrant must direct a search of one or more of the following: (a) A designated or described place or premises; (b) A designated or described vehicle . . . (c) A designated or described person”]).

The requirement that warrants must describe with particularity the places, vehicles, and persons to be searched is vital to judicial supervision of the warrant process (*see People v P.J. Video*, 68 NY2d 296, 305-306 [1986]). Warrants “interpose the detached and independent judgment of a neutral Magistrate between the interested viewpoint of those engaged in ferreting out crime and potential encroachments on the sanctity and privacy of the individual” (*People v Hanlon*, 36 NY2d 549, 558 [1975]). To further that role, our Constitution assigns to the magistrate the tasks of evaluating whether probable cause exists to initiate a search and defining the subjects to be searched (*see Nieves*, 36 NY2d at 402 [“In reviewing the validity of a search warrant to determine whether it was supported by probable cause or whether it contained a sufficiently particular description of its target, the critical facts and circumstances for the reviewing court are those which were made known to the issuing Magistrate at the time the warrant application was determined”]).

The particularity requirement protects the magistrate’s determination regarding the permissible scope of the search. Thus, to be valid, a search warrant must be “specific enough to leave no discretion to the executing officer” (*People v Brown*, 96 NY2d 80, 84 [2001], quoting *People v Darling*, 95 NY2d 530, 537 [2000]). So important is the role of the neutral and detached magistrate that we have in the past parted ways from federal constitutional jurisprudence when we believed that an emerging rule of federal constitutional law “dilute[s] . . . the requirements of judicial supervision in the warrant process” (*P.J. Video*, 68 NY2d at 305; *see also People v Gokey*, 60 NY2d 309 [1983]; *People v Scott*, 79 NY2d 474, 487 [1992];

People v Keta, 79 NY2d 474, 497-498 [1992] [declining to incorporate a federal rule permitting warrantless searches of business establishments in light of the paramount importance of “advance judicial oversight” under art I, § 12 of the State Constitution]; *P.J. Video*, 68 NY2d at 306 [distinguishing federal constitutional law in part of the grounds that New York imposes a “rigorous, fact-specific standard of review . . . upon the magistrate determining probable cause”]).

IV.

Supreme Court’s probable cause analysis is consonant with our prior cases and the record supports its finding, affirmed by the Appellate Division, that the warrant application failed to establish probable cause to search the two vehicles. The application contained no mention of the existence of the vehicles ultimately searched, much less evidence connecting them to any criminality. Indeed, the observed pattern, as described in the affidavit, was for Mr. Gordon to proceed from the residence to the street and back, without detouring to any vehicles parked at the residence. As in *Hansen*, “no observation was reported as to any movement of persons between the house and the [vehicles]” (*Hansen*, 38 NY2d at 20) that would substantiate a belief that the vehicles searched were utilized in the alleged criminal activity.

Nor do we believe that the warrant for Mr. Gordon’s “person” or “premises”—in the context of the factual allegations averred by the detectives—authorized a search of the vehicles. As we stated in *Hansen*, the mere presence of a vehicle seen at the site of premises wherein the police suspect criminal activity to be occurring does not by itself provide probable cause to search the vehicle (*see id.* at 21).

Our conclusion that the officers in this case exceeded the scope of the warrant finds support both in our prior cases and in the Criminal Procedure Law (*see Hanlon*, 36 NY2d at 559 [(“P)robable cause (must be) demonstrated as a matter of fact in the manner prescribed by statute (CPL art 690) and decisional law”]). Section 690.15 (1) of the CPL states:

“1. A search warrant must direct a search of one or more of the following:

“(a) A designated or described place or premises;

“(b) A designated or described vehicle, as that term is defined in section 10.00 of the penal law;

“(c) A designated or described person.”

In this case, the police officers obtained a search warrant for two out of the three: (1) “the person of Tyrone Gordon” and (2) “the entire premises” from which Mr. Gordon was seen emerging. The legislature’s instruction that a warrant may direct a search of “one or more of the following” strongly suggests that a warrant which directs the search of only one category (e.g. a premises) does not impliedly encompass the others. Moreover, to the extent to which vehicle searches are authorized in a warrant, the vehicles must be “designated or described” (CPL 690.15 [1] [b]). Here, no vehicle was designated or described in the warrant, and the People have not argued that the police had probable cause to engage in a search of anything outside of what was designated or described in the warrant. The People’s contention that a search warrant authorizing the search of a premises encompasses an implicit grant of authority to search all vehicles located on the property undermines the legislature’s delineation of three distinct categories as appropriate subjects of a search (*see Matter of Orens v Novello*, 99 NY2d 180, 187 [2002] [“When different terms are used in various parts of a statute or rule, it is reasonable to assume that a distinction between them is intended”], quoting *Matter of Albano v Kirby*, 36 NY2d 526, 530 [1975]; *Rangolan v County of Nassau*, 96 NY2d 42, 47 [2001] [“where . . . the Legislature uses different terms in various parts of a statute, courts may reasonably infer that different concepts are intended”]). Our prior decisional law and the CPL’s differentiation between premises, vehicles, and persons both support the view that specific descriptions or designations, backed by particularized probable cause, are required for a search of each.

We are not persuaded by the People’s attempts to distinguish our prior cases. In *Hansen*, the police surveilled the van in question, recorded its repeated travels to and from the residence, and specifically mentioned the vehicle in the warrant. Nonetheless, we held that there was “not sufficient evidence to support a finding of probable cause justifying a search of the Speake Dodge van” because there had been no allegations of criminal activity specifically linking the vehicle to the residence (*Hansen*, 38 NY2d at 20). In this case, by comparison, the warrant application contained no mention whatsoever of the existence of the vehicles ultimately searched, much less evidence connecting them to any criminality. Adopting the People’s position would lead to the incongruous result that proof that a vehicle had an ongoing connection with a property

would be insufficient to justify a search, while a warrant application that makes no mention of the vehicle would somehow provide greater cause to search that vehicle.

Likewise, the People attempt to distinguish *People v Dumper* by arguing that the salient difference in *Dumper* was that the vehicle was driven onto the property during the execution of the warrant. We are not convinced that constitutional protections turn on such accidents of timing; an automobile not mentioned in a premises search warrant, whether arriving one minute before or one minute after the search commences, should be entitled to the same protection under our Constitution. Indeed, we observed in *Dumper* that—pursuant to both constitutional and statutory directives—a “warrant must describe the premises to be searched” and “this warrant did not include the automobile” (*Dumper*, 28 NY2d at 299). The significance of that conclusion relates back to the basic standards for issuing and reviewing search warrants (see *Nieves*, 36 NY2d at 402 [“In reviewing the validity of a search warrant . . . the critical facts and circumstances for the reviewing court are those which were made known to the issuing Magistrate at the time the warrant application was determined”]). The reason the warrant did not describe the vehicles in this case, as in *Dumper*, is that the warrant application materials failed to mention the vehicles, which consequently fell beyond the scope of the warrant.

Even were we writing on a blank slate, we would not adopt the rule advocated by the People. The touchstone of the constitutional protection for privacy, under article I, § 12 of the State Constitution, is whether a person has a reasonable expectation of privacy (see *Scott*, 79 NY2d at 488). Those expectations must at times give way to “compelling police interest[s]” (*People v Class*, 63 NY2d 491, 495 [1984], *revd and remanded* 475 US 106 [1986], *reaffirmed on state constitutional grounds* 67 NY2d 431 [1986]). Even then, the permissible “scope of [a] search has been carefully limited” by the requirement for probable cause and a particular description of the subjects to be searched (*Dumper*, 28 NY2d at 299). Those limits have not been honored in this case. Individuals do not cede legitimate expectations of privacy when they park a vehicle at the house of a friend, acquaintance or stranger. In the case of automobiles, unlike desks, closets or trunks, the risks of innocent invasions of privacy are substantially higher, given the commonplace occurrence of traveling by car to visit other places

and people. Moreover, automobiles, unlike other containers, are typically titled and registered, and are also more often in public view, providing police officers with the means of establishing connections between the vehicle and the target of the search. No such connections were made here.

The dissent offers an array of arguments for how probable cause to search the vehicles could be established by their proximity to alleged drug trafficking. Even were we to put aside the contrary reasoning of *Hansen* and *Dumper*, the dissent never addresses the fundamental tenets of our search warrant jurisprudence: it is the magistrate, and not the police officer, who determines the scope of the search conducted pursuant to a warrant (*Hanlon*, 36 NY2d at 559; *P.J. Video*, 68 NY2d at 307 [noting that *Hanlon* “imposed a specific, nondelegable burden on the magistrate which required that (the magistrate), not the police, determine probable cause”]). That determination must be based upon the factual allegations presented in the warrant application (*Nieves*, 36 NY2d at 402). To satisfy the constitutional requirement for particularity, the description setting forth the search must “leave no discretion to the executing officer[s]” (*Brown*, 96 NY2d at 84). If, as the dissent says, trafficking in drugs provides probable cause to search vehicles, the officers can set forth the results of their investigation, describe the vehicles they have observed, and make their case to the magistrate. If that proof is insufficient to convince the magistrate to authorize a search of the vehicles, allowing a search because the vehicles are located on a premises would constitute an unconstitutional bootstrapping.²

2. The dissent does not choose between the two differing federal rules—one permitting the search of all vehicles and the other limited to those vehicles that appear, based on “objectively reasonable indicia present at the time of the search” (dissenting op at 440 n 1), to be owned or controlled by the target of the warrant—because the vehicles here were ultimately conceded to be either owned or controlled by Mr. Gordon. That misses the fundamental point: whether a sufficient basis exists to search the automobiles is a question, in the first instance, for the judge issuing the warrant, not one left to the discretion of the police. Although the dissent characterizes the warrant issued here as supported by probable cause as to the entire premises including whatever vehicles happened to be there, the determination of whether probable cause existed to search any vehicle was not presented to the judge who issued the warrant. Thus, whereas the dissent claims that the question of overbreadth can be resolved in another case, its approach would, in fact, decide that question as a matter of law, eliminating any need for particularized probable cause to search any vehicle on the premises. It cannot seriously be asserted that the police would have probable cause to search

(n. cont’d)

[2] Finally, the dissent argues that we are bound to decide this case purely as an application of the Supreme Court’s decision in *United States v Ross* because Mr. Gordon has not preserved a claim under the State Constitution. Contrary to the assertion of the dissent, this issue has been preserved and developed by both parties throughout the course of this litigation, which is perhaps why the People themselves have not argued that Mr. Gordon’s contentions are unpreserved.

The debate below focused on the merits of adopting the People’s interpretation of the federal standard in light of our prior precedent. Before Supreme Court, Mr. Gordon cited the same New York case law discussed above to argue that New York law has “consistently adhered to the position that a search warrant must specify the area to be searched.” Those cases rested on both the New York and U.S. Constitutions as well as the Criminal Procedure Law to require a greater degree of protection for searches of vehicles than is now required under the federal circuit court law cited by the People. Before Supreme Court, the People responded by attempting to distinguish our prior decisions and arguing that, if they were distinguishable and therefore not controlling, Supreme Court should adopt the People’s preferred rule interpreting the Fourth Amendment. In reply, Mr. Gordon specifically rejected the importation of the federal circuit court law into this context and contended that the People’s position would amount to a “detour from established precedent.” For reasons explained above, Mr. Gordon is correct that adopting the People’s position would amount to a substantial deviation from the rule to which we have adhered under both the Fourth Amendment and article I, § 12 of the State Constitution, requiring warrants to provide particularization between vehicles and real property, even when a vehicle is located on real property.³

a vehicle parked on the driveway by a visitor mere minutes before execution of the warrant. Yet the dissent’s view of the scope of a premises warrant leaves that choice solely to the discretion of the officers executing the warrant, a result that is anathema to the constitutional warrant requirement itself.

3. The posture of this appeal is, therefore, substantially different from prior cases such as *People v Garvin* (30 NY3d 174 [2017]). In *Garvin*, the defendant did not argue in the initial suppression hearing that New York provided any greater protections to individuals subject to warrantless arrests than federal jurisdictions. Quite the opposite—Mr. Garvin argued for suppression under *Payton v New York* (445 US 573 [1980]), a U.S. Supreme Court case setting forth a federal constitutional rule. Although Mr. Garvin

(n. cont’d)

Our prior decisions, relied upon by Mr. Gordon and the courts below, depended upon both the State and Federal Constitutions as well as the Criminal Procedure Law. In this area of constitutional law, we have set forth principles that would be unduly weakened by the People's preferred rule (*see People v Johnson*, 66 NY2d 398, 407 [1985]).

The dissent faults our prior decisions in *Hansen*, *Dumper*, *Sciacca*, and *Rainey* for failing to conduct an extensive analysis of whether state constitutional protections deviate from federal constitutional protections in this context, while simultaneously acknowledging that our state case law delineating that particular analysis postdates those decisions. Nevertheless, in our view, that does not render our repeated citations to the State Constitution meaningless. Although a defendant must preserve a state constitutional analysis, Mr. Gordon has maintained throughout this litigation that the holdings of our jurisprudence should not follow the federal appellate extensions of *United States v Ross*, and that the rationale and considerations that undergird our jurisprudence counsel against adopting any extension of *Ross* that might displace them. Thus, Mr. Gordon preserved the argument that, notwithstanding *United States v Ross* and related federal circuit court decisions, our state law remains the same as we articulated in our decisions in *Hansen*, *Dumper*, *Sciacca*, and *Rainey*. To address the continued viability of case law premised upon our interpretation of *both* the U.S. and the State Constitutions, we now clarify that—at the very least—those cases accurately set forth our state constitu-

included a bare parallel citation to the State Constitution, he did not argue that there were any substantive differences between New York and federal law and his arguments focused solely upon the proper interpretation and application of the federal rule. As a consequence, our opinion addressed the question presented to the lower courts—whether, under *Payton*, the arrest of Mr. Garvin was unconstitutional. We answered that question in the negative and concluded secondarily that Mr. Garvin had not preserved any independent argument under New York law. By contrast, Mr. Gordon has throughout this litigation relied exclusively upon New York case law that cites to both the State and Federal Constitutions, and he objected in the courts below to the importation of federal circuit court case law in this area on the grounds that to do so would be inconsistent with the New York rule that our Court has developed. The issue of whether we should hew closely to our prior precedent or adopt, as a matter of state law, an emerging rule of federal constitutional law has been consistently litigated by both parties throughout this case. Indeed, the courts below necessarily concluded, in rejecting the People's arguments for the adoption of some version of the federal rule, that *Ross* and its progeny were not controlling as a matter of New York State law under our prior precedent. Thus, this issue is fully preserved for our review.

tional law. To avoid answering the state constitutional component on preservation grounds would be to overrule those cases as a matter of federal and state constitutional law, while concomitantly maintaining that defendant failed to preserve a state constitutional claim. We decline to distort our preservation rule in such a manner where, as here, the claim was brought to the attention of the courts below, litigated by the parties, and addressed by the courts.

Our Court has never adopted a “fixed analytical formula for determining when the proper protection of fundamental rights requires resort to the State Constitution” (*Scott*, 79 NY2d at 491). In the context of article I, § 12, we have done so when, among other considerations, “the aims of predictability and precision in judicial review of search and seizure cases . . . are best promoted by applying State constitutional standards” (*Johnson*, 66 NY2d at 407) and when the “constitutional protections we have enjoyed in this State have in fact been diluted by subsequent decisions of a more recent Supreme Court” (*Scott*, 79 NY2d at 504 [Kaye, J., concurring]).

Although some federal courts of appeals have interpreted the Fourth Amendment in a manner that might permit the search here, we decline to follow suit. Instead, we exercise our independent authority to follow our existing state constitutional jurisprudence, even if federal constitutional jurisprudence has changed, because “we are persuaded that the proper safeguarding of fundamental constitutional rights requires that we do so” (*Scott*, 79 NY2d at 480; *see generally* William J. Brennan, Jr., *State Constitutions and the Protection of Individual Rights*, 90 Harv L Rev 489 [1977]; Jeffrey S. Sutton, 51 *Imperfect Solutions: States and the Making of American Constitutional Law* 16-20 [2018] [counseling against state high courts engaging in “lockstepping” and describing instead the virtues of independent assessments of parallel constitutional provisions]; Goodwin Liu, *State Courts and Constitutional Structure*, 128 Yale LJ 1304, 1311 [2019] [noting that “redundancy (of constitutional interpretation) makes innovation and variation possible and, for that reason, is a vital feature of our federal system”]).

Because the supporting affidavits did not describe the vehicles to be searched at all, never mind with any particular allegations connecting them to criminal activity, the record supports the affirmed finding that there was no probable cause to search the vehicles. Accordingly, the order of the Appellate Division should be affirmed.

FEINMAN, J. (dissenting). The determinative question on ap-

peal is whether a valid warrant, supported by probable cause and authorizing the search of the “entire premises,” permits the search of vehicles parked on the designated premises, when the vehicles may contain the items authorized to be seized by the warrant, but the warrant does not specifically mention the vehicles. While this Court has not yet had the opportunity to answer it, the question is certainly not a novel one for courts. Every federal circuit court of appeals and every state high court that has addressed the question—until today—concluded that vehicles are no different than other containers that might be found on premises, and, thus, heeding the directive from the United States Supreme Court that there is no constitutional distinction between types of containers, held that vehicles parked on the premises may reasonably be searched if they may contain the object of the search.

A majority of this Court, however, answers that question in the negative. The majority disagrees with every federal court and state high court, and posits that the Fourth Amendment prohibits the search of the vehicles here (majority op at 436). That belief, in turn, appears to be grounded in a series of inapposite New York cases decided prior to the seminal Supreme Court case, *United States v Ross* (456 US 798 [1982]). With respect to its treatment of the New York State Constitution, the majority, without clarifying whether it interprets the relevant state constitutional provision as diverging from its federal counterpart, reaches two very problematic conclusions: first, that defendant preserved an argument that our State Constitution provides more protection than the Fourth Amendment, by simply citing New York cases, even though those cases contain no discussion of the State Constitution; and second, that those earlier decisions by this Court somehow justify, with no further analysis, a constitutional rule applicable to this case. Both conclusions fundamentally alter our jurisprudence. I dissent.

I.

In this case, the Suffolk County Police Department applied for and obtained a warrant to search the “person of” defendant and “the entire premises located at” an address believed to be defendant’s residence, “a 1 story ranch style house.” The warrant further described the premises to include an “attached carport,” “a cement driveway,” “a cement walkway that leads to the front door,” and a “chain link fence.” The warrant authorized the police to search for, among other things, heroin,

money as the proceeds of an illicit drug business, cell phones, computers, and drug paraphernalia.

The warrant application also detailed drug sales that took place in the street in front of the premises, including a controlled buy with a confidential informant, two undercover buys, and other transactions observed during surveillance of the premises. During each alleged sale, a driver pulled up in front of the premises in their vehicle, and defendant exited his residence, approached the vehicle, and then returned to the house. For the controlled and undercover buys, defendant agreed in advance to meet at his residence for the purpose of selling heroin. The deponent set forth his experience, stating that he had been involved in more than 1,000 drug-related arrests, that he was familiar with the modus operandi of heroin dealers, that the activity taking place at the premises was consistent with narcotics transactions, and, based on the above, there was probable cause to believe drugs would be “found at the above described premises.” The warrant application did not refer to any vehicles.

During execution of the warrant, the police searched two vehicles: (1) a Nissan Maxima parked on the driveway of the property and (2) an unregistered 2000 Chevrolet sedan parked in the backyard. Defendant’s expectation of privacy in the vehicles is not disputed. In the Nissan, which defendant was borrowing from the owner, the police found heroin, marijuana, cocaine, money, and drug paraphernalia. In the Chevrolet, which defendant owned, the police recovered a loaded handgun from the engine block.

Defendant sought to suppress all evidence seized from the Nissan and Chevrolet. His sole contention was that the search of the vehicles was outside the scope of the search permitted by the warrant, noting that the vehicles were not in an attached garage and thus not part of the home. The People opposed, arguing that the search warrant was not restricted to the private dwelling, but authorized the search of the “entire premises,” which includes the house located at the address as well as the surrounding curtilage, and that the search of the vehicles parked thereon was reasonable as they could and did contain contraband sought by the warrant. Supreme Court granted suppression, on constraint of *People v Sciacca* (45 NY2d 122 [1978]), and the Appellate Division affirmed on the determinative ground that the “search warrant did not particularize that a search of the vehicles was permitted” (169

AD3d 714, 714-715 [2d Dept 2019]). A Judge of this Court granted the People leave to appeal (33 NY3d 976 [2019]).

II.

A.

Where a search warrant authorizes the search of premises, a separate showing of probable cause is not required to search containers found on the designated premises, if the object of the search could be found therein. For example, “a warrant that authorizes an officer to search a home for illegal weapons also provides authority to open closets, chests, drawers, and containers in which the weapon might be found” (*Ross*, 456 US at 821). In *Ross*, the United States Supreme Court held that, where police officers have probable cause to believe that contraband is concealed somewhere within a vehicle, they may conduct a warrantless search of every part of it and its contents, including all containers and packages, that may conceal the object of the search (*id.* at 825; see *People v Langen*, 60 NY2d 170, 180-181 [1983] [applying *Ross* and declining to adopt a different rule under the New York State Constitution]). The Court broadly stated that a “lawful search of fixed premises generally extends to the entire area in which the object of the search may be found and is not limited by the possibility that separate acts of entry or opening may be required to complete the search” (*Ross*, 456 US at 820-821). “This rule applies equally to *all* containers” (*id.* at 822 [emphasis added]). There is no “constitutional distinction between ‘worthy’ and ‘unworthy’ containers” (*id.*). As the Supreme Court has explained, “[e]ven though such a distinction perhaps could evolve in a series of cases in which paper bags, locked trunks, lunch buckets, and orange crates were placed on one side of the line or the other, the central purpose of the Fourth Amendment forecloses such a distinction” (*id.*).

Federal courts, applying *Ross*, have found that vehicles located in the area to be searched are a type of container—worthy of no more protection than other types of containers (see e.g. *United States v Evans*, 92 F3d 540, 543 [7th Cir 1996] [“It seems to us that a car parked in a garage is just another interior container, like a closet or a desk”]; *United States v Percival*, 756 F2d 600, 612 [7th Cir 1985] [“Although a car is less fixed than a closet or cabinet, . . . it is no less fixed than a suitcase or handbag found on the premises, both of which can

readily be searched under *Ross* if capable of containing the object of the search”). Accordingly, those courts have held that, under the Fourth Amendment, “[a] search warrant authorizing a search of a certain premises generally includes any vehicles located within its curtilage if the objects of the search might be located therein” (*United States v Gottschalk*, 915 F2d 1459, 1461 [10th Cir 1990]; accord *United States v Armstrong*, 546 Fed Appx 936, 939 [11th Cir 2013]; *United States v Johnson*, 640 F3d 843, 845 [8th Cir 2011]; *United States v Patterson*, 278 F3d 315, 318 [4th Cir 2002]; *Evans*, 92 F3d at 543; *United States v Duque*, 62 F3d 1146, 1151 [9th Cir 1995]; *United States v Singer*, 970 F2d 1414, 1417-1418 [5th Cir 1992]; *United States v Reivich*, 793 F2d 957, 963 [8th Cir 1986]; *Percival*, 756 F2d at 612; *United States v Asselin*, 775 F2d 445, 447 [1st Cir 1985]).¹

Moreover, every other state high court that has addressed this issue has, like the federal courts, held that a warrant authorizing a search of the entire premises permits the police to search vehicles located thereon.² Nearly 30 years ago, an Appellate Division court applied *Ross* to reach the same conclusion (see *People v Powers*, 173 AD2d 886, 888-889 [3d Dept 1991] [interpreting *Ross* to permit the search of a vehicle owned or controlled by the owner of the premises authorized to be searched by the warrant], *lv denied* 78 NY2d 1079 [1991]). Applying *Ross*, I would likewise hold that, where a warrant authorizes a search of the entire premises for items that could be found in a vehicle on those premises, it is reasonable to

1. While there may be some disagreement among the federal courts whether the vehicle must be owned or controlled by the owner of the premises (see *Percival*, 756 F2d at 612), or, alternatively, whether it is enough that the vehicle appears, based on objectively reasonable indicia present at the time of the search, to be so owned or controlled (see *Gottschalk*, 915 F2d at 1461), it is undisputed here that defendant owned or controlled both vehicles.

2. See e.g. *Hardin v State*, 148 NE3d 932, 941-942 (Ind 2020); *State v Hidalgo*, 296 Neb 912, 921, 896 NW2d 148, 155 (2017); *State v Patterson*, 304 Kan 272, 279-281, 371 P3d 893, 898-899 (2016); *State v Lowe*, 369 NC 360, 366-368, 794 SE2d 282, 286-287 (2016); *McLeod v State*, 297 Ga 99, 105, 772 SE2d 641, 646 (2015); *State v Stout*, 356 Mont 468, 485, 237 P3d 37, 49 (2010); *Commonwealth v Fernandez*, 458 Mass 137, 146, 934 NE2d 810, 818 (2010); *State v Smith*, 2002-1842 (La [9/20/02]), 827 So 2d 1122, 1123 (2002); *State v O'Brien*, 223 Wis 2d 303, 318, 588 NW2d 8, 14 (1999); *State v Harnisch*, 113 Nev 214, 219, 931 P2d 1359, 1363 (1997); *State v Lewis*, 270 NW2d 891, 897 (Minn 1978); *Matter of One 1970 Ford Van, I.D. No. 14GHJ55174*, License No. CB 4030, 111 Ariz 522, 523, 533 P2d 1157, 1158 (1975); *Lawson v State*, 176 Tenn 457, 143 SW2d 716, 717 (1940).

search a vehicle parked thereon, just as it would be for other containers found on the premises.

Here, based on the uncontroverted probable cause to believe that defendant was engaged in drug trafficking on and around the premises of his residence, the warrant directed to the “entire premises” was sufficiently particular to “enable the searcher to identify the persons, places or things that [a court] has previously determined should be searched or seized” (see *People v Nieves*, 36 NY2d 396, 401 [1975]). Moreover, a search of vehicles is reasonable insofar as defendant may have secreted the objects of the search, i.e., drugs and other evidence of trafficking, in his vehicles (*id.* at 402 [the “ultimate mandate of reasonableness” “depend(s) upon the facts and circumstances”]). Because a driveway and a backyard located within the curtilage are part of the “entire premises,” there was no constitutional impediment to the police search of the two vehicles.

B.

The majority’s response to the analysis of *Ross* conducted by all the federal circuit courts and other state courts that have considered the issue is to express “skeptical[ism],” with an added footnote that explains that the Supreme Court in *Ross* did not disturb the fundamental principle that searches must be bound by probable cause (majority op at 425, 425-426 n 1). One should hope not. That Court did, however, leave no doubt—at least in the view of any other court to consider the issue—that the Fourth Amendment permits the search of containers found on the premises, such as the vehicles here.

Nevertheless, the majority insists that vehicles are special containers, arbitrarily favoring vehicles over other transportable containers, such as backpacks and rollable luggage, and containers normally located outdoors, such as mailboxes. I see no persuasive rationale why, if a bicycle and a car are parked next to each other on a driveway, it is reasonable to search the bicycle’s closed basket but unreasonable to search the car’s trunk. The majority says that “automobiles, unlike other containers, are typically titled and registered,” “more often in public view,” and used for traveling “to visit other places and people” (majority op at 432-433). But those are all well settled reasons why there is a *reduced* expectation of privacy in automobiles—not reasons to invent greater protections for them (see e.g. *South Dakota v Opperman*, 428 US 364, 367-368 [1976]; *People v Galak*, 81 NY2d 463, 467 [1993]).

The majority seems primarily concerned about the possibility that vehicles parked on a target's premises might belong to a visiting friend or acquaintance (majority op at 432, 433-434 n 2)—a possibility I view as quite remote where, for example, the vehicle is found in an enclosed structure (such as a garage), in a backyard, or behind a gate, or when no visiting friend or acquaintance is in fact present at the premises. Nevertheless, this concern exists equally for all containers, not just vehicles.³ Instead of attempting to ameliorate the concern by, as other courts have done, fashioning an appropriate rule (*see* n 1, *supra*), the majority categorically prohibits the search of vehicles pursuant to a premises warrant unless the vehicles are identified in the warrant application and supported by a separate showing of probable cause, making vehicles concealed on premises effectively search proof. There is no justification for such an extreme position.

C.

Rather than forthright basing this extreme position on the Fourth Amendment and application of Supreme Court precedent—a decision that would theoretically be more readily reviewed by the Supreme Court (perhaps because this Court has now become an outlier and created a “split” in the interpretation of *Ross*)—the majority relies, in some unspecified way, on our case law that not only is inapposite, but also predates *Ross* and was decided without the benefit of subsequent constitutional law on the import of containers located in the areas designated to be searched in warrants. While the majority characterizes these cases as setting forth state constitutional law—simply by retroactively decreeing them to do so (majority op at 435-436)—it is not clear if the majority intends these cases to stand for our contrary interpretation of

3. For example, in determining when containers such as purses and handbags owned by third persons may be searched pursuant to a premises warrant, some courts apply a “physical possession” analysis, focusing on the physical location of the container and whether the third person wore the container at the time it was searched (*see United States v Vogl*, 7 Fed Appx 810, 815 [10th Cir 2001], citing *United States v Johnson*, 475 F2d 977, 979 [DC Cir 1973]). Other courts examine the “relationship between the person whose personal effects are searched and the place which is the subject of the search” “as the agents perceive[] it when they execute[] the search warrant” (*e.g. United States v Giwa*, 831 F2d 538, 544-545 [5th Cir 1987]). No court, however, has ever said—as the majority seems to do today with respect to vehicles—that a search of a container is prohibited unless the container is identified in the warrant application.

the Federal Constitution, to form some kind of common-law rule, to be an implied application of the Criminal Procedure Law, or to express a heightened state constitutional standard.

As an initial matter, these cases are factually distinguishable in pivotal aspects from the issue we are deciding and are not in conflict with *Ross*. In *People v Sciacca* (45 NY2d 122 [1978]), we held that a warrant authorizing a search of a defendant's van does not permit a forcible warrantless entry into another person's locked building—a garage—in order to execute the warrant (*id.* at 126-127). The actions of the investigators in breaking and entering into the building were unreasonable, as there was “no evidence whatever which would indicate that the garage was a premises where the controlled activity was taking place. The garage was completely distinct, indeed incidental, to any illegal activity” (*id.* at 128).

Our statement in that case, unrelated to specific facts before the Court, that “a warrant to search a building does not include authority to search vehicles at the premises” (*id.* at 127) is dictum and, in any event, lacks context as to its intended application. The plain import of this language is that a warrant to search a discrete structure (“a building”) does not authorize a search of any container located on the grounds upon which the structure is situated (“vehicles at the premises”), because a search of the latter would exceed the scope of the warrant. As the Court made clear, the fact that the warrant in *Sciacca* “authorized the search of a particular van and nothing else” did not mean that “a vehicle may never be searched while on private property” (*id.* [citing to federal and state case law]). To the extent that the dictum in *Sciacca* was referring to a scenario where a search warrant only describes a particular structure, it has no application where, as here, instead of limiting the search to a specific structure, the search warrant authorizes a search of the “entire premises,” which, as particularized in this case, included the house as well as surrounding private property.

People v Dumper (28 NY2d 296 [1971]), cited in *Sciacca*, is also unavailing. In *Dumper*, the search warrant was similarly directed at discrete structures, including “a one story wood frame cottage with white sidewall, green roof” and a “cottage east of a main house” (*id.* at 299). Additionally, in *Dumper*, we invalidated the search warrant based on the absence of probable cause of criminal activity to sustain *any* search. Here, there is no dispute that the search warrant was supported by

probable cause to believe that defendant was involved in narcotics trafficking on his premises, and, unlike the vehicle in *Dumper*, defendant's vehicles were parked on the premises when the police arrived to execute the warrant. As noted above, the extent to which a vehicle (or any container for that matter) located in the area authorized to be searched must be connected to the target or to the premises in order for a search of it to be reasonable has generated some disagreement among courts (*see* nn 1, 3, *supra*). In the appropriate case, *Dumper* may be relevant in assessing how we would decide that issue, but it is not relevant here.

People v Hansen (38 NY2d 17 [1975]), also cited by the Court in *Sciacca*, is likewise factually inapposite and not controlling. The issue in *Hansen* was whether there was probable cause for the search warrant directed at "two separate target locations discretely described," namely a residence and an "automotive van *wherever located*" (*id.* at 21 [emphasis added]). In that case, police saw drugs in the home when they were investigating a burglary and later obtained a warrant for the home and the van (*id.* at 20). We concluded that there was probable cause to search the target residence for the drugs observed by the police, as the information in the warrant was not stale, but there was no probable cause to search the van, as the presence of the drugs in the house was not indicative of more than possession—in other words, no evidence of narcotics trafficking (*see id.* at 20-21). Here, by contrast, the question is whether the officers exceeded the scope of a valid search warrant for evidence of an illicit drug business conducted from the premises—an issue not addressed by this Court in *Hansen*. In *Hansen*, it appears that the Court rejected the argument that the affidavit on which the warrant was issued provided probable cause of trafficking, because it was factually deficient and the trafficking-related allegation was unreliable hearsay, thus undermining the related argument that there was probable cause to search the van as part of a drug business or because it was otherwise connected to the drugs in the house (*id.*). Like *Sciacca* and *Dumper*, *Hansen* focused on the basic tenets of probable cause of criminal activity in the warrants at issue and did not address the question here. In light of the *Hansen* Court's conclusion that there was no probable cause to search the van, the Court certainly did not confront whether the warrant to search the residence covered a search of the van "wherever located." Nor did it confront whether the van could

reasonably be searched if the van was located on the residence when the van was searched—how could it, after all, given that its opinion does not even indicate whether the van was in fact located on the residence when it was searched.⁴

III.

It is the majority's treatment of the state constitutional issue that is most problematic. The majority sets out for new territory both in terms of preservation of the issue and in determining when our decisions establish a state constitutional standard greater than that of the Fourth Amendment.

A.

Before the motion court, defendant argued that he was entitled to suppression because the search of the vehicles fell outside the scope of the warrant. Defendant did not support that argument with any state constitutional analysis. Instead, defendant supported his suppression argument with citations to this Court's decisions in *Rainey*, *Dumper*, *Hansen*, and *Sciacca*. The only reference to the New York Constitution in those decisions comes in the form of a parallel reference or citation to New York Constitution, article I, § 12 and the Fourth Amendment of the United States Constitution (*see Sciacca*, 45 NY2d at 127; *Hansen*, 38 NY2d at 22; *Dumper*, 28 NY2d at 299; *People v Rainey*, 14 NY2d 35, 38 [1964]). When the People invoked *Ross* in their response papers, defendant ignored the argument.⁵

4. The majority's intimation that I am interpreting "premises" and "vehicle" in CPL 690.15 (1) to have the same meaning is a straw person (*see* majority op at 431). That statute says that a warrant may direct a search of "premises" and/or of a "vehicle." The latter raises issues as to whether the vehicle may be searched where it is found (*see e.g. Sciacca*, 45 NY2d at 125-127); because premises have a fixed location, the former does not. Contrary to the majority's misapprehension, the statute is not relevant to the issue of whether a search warrant for the entire premises includes vehicles located on the premises—as such a warrant does for all other containers in which the object of the search may be found.

5. The majority's statement, noting that defendant "rejected the importation of the federal circuit court law into this context and contended that the People's position would amount to a 'detour from established precedent'" (majority op at 434), leaves a mistaken impression that defendant made a state constitutional argument. He did not; rather defendant made the obvious point that a ruling interpreting the Federal Constitution by a federal court—other than the Supreme Court—is not binding on our state courts (*see*

(n. cont'd)

Nevertheless, the majority argues that defendant's reliance on those cases, without more, was sufficient to preserve a state constitutional argument (*see* majority op at 434). I disagree.

This Court has never held that a mere reference or citation to both a state constitutional provision and its federal counterpart is enough to preserve an argument that the parallel state provision provides for heightened protection. Indeed, a parallel citation indicates a belief by the litigant (or the court) that the state and federal provisions at issue are coextensive. Instead, this Court has repeatedly held that, to preserve a state constitutional argument, a defendant must specifically argue below that the New York Constitution provides greater protection than the Federal Constitution (*see e.g. People v Garvin*, 30 NY3d 174, 185 n 8 [2017] ["Any issues regarding whether New York Constitution, article I, § 12 provides *greater* protection . . . are unpreserved here because, in the suppression hearing, defendant did not argue that the State Constitution provides greater protections than its federal counterpart"];⁶ *People v Hansen*, 99 NY2d 339, 344, 345 n 4 [2003] [holding that the defendant failed to preserve "grounds to impose any heightened due process procedures" under the State Constitution, even though his due-process challenge below referenced both the State and Federal Constitutions]). Thus, the majority upsets—to say the least—this Court's well settled preservation rules holding that defendant preserved an argument that the

Sue/Perior Concrete & Paving, Inc. v Lewiston Golf Course Corp., 24 NY3d 538, 551 [2014]).

6. The majority states that, "[i]n *Garvin*, the defendant did not argue in the initial suppression hearing that New York provided any greater protections to individuals subject to warrantless arrests than federal jurisdictions" (majority op at 434 n 3). I agree. And so, it is unclear to me how the majority is distinguishing *Garvin* from the present case, given that the dissent there made clear that, unlike defendant here, in *Garvin*, the defendant expressly argued at nisi prius that his state constitutional rights were violated

"[a]t the suppression hearing, Mr. Garvin's counsel expressly advised the Court that he was relying on the omnibus motion papers previously filed with the Court. Those papers expressly state: 'The Defendant moves for a hearing to determine whether Defendant was improperly seized and unlawfully detained in violation of the Defendant's constitutional rights derived from both the United States Constitution, Fourth and Fourteenth Amendments, *New York State Constitution, Article [I], Section 12*' (emphasis added). Furthermore, Mr. Garvin maintained at the hearing that the violation of 'both his federal and state constitutional rights' was specifically intended to circumvent his right to counsel" (30 NY3d at 214 n 5 [Wilson, J., dissenting]).

State Constitution provides heightened protection simply by citing several New York cases in which the sole reference to the New York Constitution is in a parallel cite with the Federal Constitution.

B.

Worse still, the majority's preservation rule will have the effect of transforming those same cases, and any other cases that employ parallel citations to the State and Federal Constitutions, into seminal state constitutional decisions, irrespective of the fact that those cases are wholly devoid of any basis for concluding that the New York Constitution provides greater protection than the Fourth Amendment in the context of the issues they addressed. "[I]t is highly awkward, if not impossible, to use a case as the basis for an argument about the meaning of the state constitution if it is unclear from the case itself whether the case is even about the state constitution" (James A. Gardner, *The Failed Discourse of State Constitutionalism*, 90 Mich L Rev 761, 783 [1992]). The majority's rejoinder—that the absence of any discussion of the State Constitution “does not render our repeated citations to [it] meaningless” (majority op at 435)—makes a parallel citation the equivalent of principled state constitutional discourse.

As discussed, *Sciacca*, *Hansen*, *Dumper*, and *Rainey* all contain parallel references to New York Constitution, article I, § 12 and the Fourth Amendment, without distinguishing between the guarantees afforded by the two provisions. Additionally, all of those cases either directly rely on federal case law, or rely on New York cases that turned on federal case law, in deciding the search-and-seizure issues before them (see *Sciacca*, 45 NY2d at 127-129; *Hansen*, 38 NY2d at 21-23; *Dumper*, 28 NY2d at 299; *Rainey*, 14 NY2d at 38). This not only underscores that the corresponding state and federal constitutional provisions reach the same result, but also demonstrates that, traditionally, the Court “follow[ed] a policy of uniformity with the federal courts” when considering search-and-seizure arguments (Judith S. Kaye, *Dual Constitutionalism in Practice and Principle*, 61 St. John's L Rev 399, 417 [1987]; see e.g. *People v Ponder*, 54 NY2d 160, 165 [1981] [(“S)ection 12 of article I of the New York State Constitution conforms with the Fourth Amendment regarding the proscription against unreasonable searches and seizures, and this identity of language supports a policy of uniformity in both State and Federal courts”]).

Indeed, the cases cited by defendant predate the “dawn of active New York State constitutionalism” in the 1980s, before which the “state constitutional protection against unreasonable searches and seizures mostly lay judicially dormant” (Robert M. Pitler, *Independent State Search and Seizure Constitutionalism: The New York State Court of Appeals’ Quest for Principled Decisionmaking*, 62 Brook L Rev 1, 103, 213 [1996]). Although this Court has, starting in the 1980s, adopted “independent standards” under the State Constitution,⁷ we have also continued to stress that the history of article I, § 12 of the New York Constitution “supports the presumption” that the provision against unlawful searches and seizures conforms with that found in the Fourth Amendment (*People v P.J. Video*, 68 NY2d 296, 304 [1986], quoting *People v Johnson*, 66 NY2d 398, 406-407 [1985]). We delineated an “independent body” of search-and-seizure law under the State Constitution, and we have explained that, because the state and federal provisions contain similar language and share a common history, any divergence in meaning must derive from a “noninterpretive analysis” focused on “circumstances peculiar to New York” (*People v Harris*, 77 NY2d 434, 438-439 [1991]). Given that the cases cited by defendant did not engage in this weighty undertaking, it would be inappropriate to interpret those cases as creating a separately enforceable state constitutional standard. The majority’s “clarification” of the cases (which comes nearly a half century later), transforming them into state constitutional decisions, is nothing short of judicial legerdemain (majority op at 435-436).

The importance of upholding our preservation rule that requires a defendant to make a specific state constitutional argument is buttressed by United States Supreme Court precedent concerning an independent state ground for purposes of that Court’s jurisdiction (see *Michigan v Long*, 463 US 1032, 1044 [1983]). The Supreme Court has held that a passing parallel reference to the State and Federal Constitutions is insufficient to satisfy the plain-statement rule—i.e., that a case was decided on a state-law ground (see e.g. *New York v Class*, 475 US 106, 109 [1986] [New York Court of Appeals opinion failed to satisfy the plain-statement rule where it mentioned the New

7. The 1980 decision in *People v Elwell* was the “first time that the Court of Appeals expressly recognized Article one, Section twelve of the New York State Constitution as a source of substantive search and seizure protection broader than that of the Fourth Amendment” (Pitler, 62 Brook L Rev at 132).

York Constitution “but once, and then only in direct conjunction with the United States Constitution,” and made “use of both federal and New York cases in its analysis, generally citing both for the same proposition”]; *New York v P. J. Video, Inc.*, 475 US 868, 872 n 4 [1986] [same, where the opinion “cited the New York Constitution only once, near the beginning of its opinion, and in the same parenthetical also cited the Fourth Amendment to the United States Constitution”]). This jurisdictional rule is grounded in the principle of federalism (see *Long*, 463 US at 1041, quoting *Minnesota v National Tea Co.*, 309 US 551, 557 [1940] [“ ‘It is fundamental that state courts be left free and unfettered by us in interpreting their state constitutions. But it is equally important that ambiguous or obscure adjudications by state courts do not stand as barriers to a determination by this Court of the validity under the federal constitution of state action’ ”]).

Discipline in this area benefits not only the Supreme Court in determining its own jurisdiction, but also this Court in establishing a respected body of state constitutional law. In doing so, we must “marshal[] distinct state texts and histories and draw our [own] conclusions” in order to “dignify state constitutions as independent sources of law” (Jeffrey S. Sutton, 51 *Imperfect Solutions: States and the Making of American Constitutional Law* 177 [2018]). Failing to do so, we accomplish the reverse.

Judges RIVERA, STEIN and FAHEY concur; Judge FEINMAN dissents in an opinion in which Chief Judge DiFIORE and Judge GARCIA concur.

Order affirmed.

[167 NE3d 454, 143 NYS3d 286]

MARGARET DOE, Appellant, v BLOOMBERG L.P. et al., Defendants, and MICHAEL BLOOMBERG, Respondent.

Argued January 7, 2021; decided February 11, 2021

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 24, 2019. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, an order of the Supreme Court, Bronx County (Fernando Tapia, J.; op 2018 NY Slip Op 33961[U] [2018]), which had, upon reargument, denied defendant Michael Bloomberg's motion to dismiss the first, second and third causes of action as against him; and (2) granted the motion.

Doe v Bloomberg L.P., 178 AD3d 44, affirmed.

HEADNOTE

Civil Rights — New York City Human Rights Law — Discrimination in Employment — Vicarious Liability of Individual Owner or Officer of Corporate Employer

In plaintiff employee's action alleging discrimination, sexual harassment, and sexual abuse by her supervisor, defendant owner and officer of the company was not an "employer" within the meaning of the New York City Human Rights Law (Administrative Code of City of NY, title 8 [City HRL]) and could not be held vicariously liable under Administrative Code of City of NY § 8-107 (13) (b) for the supervisor's offending conduct. Where a plaintiff's employer is a business entity, the shareholders, agents, limited partners, and employees of that entity are not employers within the meaning of the City HRL. The City HRL specifically imposes primary liability on employees and agents for some discriminatory acts but conspicuously does not impose vicarious liability on those individuals under section 8-107 (13) (b). Furthermore, the vicarious liability provision itself applies when "[t]he employee or agent exercised managerial or supervisory responsibility" (Administrative Code of City of NY § 8-107 [13] [b] [1]), differentiating between the liable party (employer) and the party committing the offending conduct (employee or agent with managerial or supervisory responsibility). The difference demonstrates that employees, agents, and others with an ownership stake are not employers within the meaning of the City HRL. Moreover, at common law, shareholders are not subject to vicarious liability for the torts of a corporation's agents or employees, and the text of the City HRL demonstrates no intent to displace those settled principles. Plaintiff's allegations that defendant owner fostered a culture of discrimination and sexual harassment at the company, based primarily on news articles and reports of a deposition in an unrelated case, did not transform him into an employer for purposes of vicarious liability for the supervisor's discriminatory conduct.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Job Discrimination §§ 65, 834, 840–842, 856, 858, 862.
NY JUR 2d Civil Rights and Discrimination §§ 56, 95, 293, 297, 298.

ANNOTATION REFERENCE

See ALR Index under Civil Rights and Discrimination; Sex Harassment.

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owner

POINTS OF COUNSEL

Law Office of Niall Macgiollabhúí, New York City (*Niall Macgiollabhúí* of counsel), and *The Clancy Law Firm, P.C.*, New York City (*Donna H. Clancy* of counsel), for appellant. I. All provisions of the New York City Human Rights Law must be construed broadly in favor of discrimination plaintiffs, for the accomplishment of its uniquely broad and remedial purposes. (*Williams v New York City Hous. Auth.*, 61 AD3d 62; *Albunio v City of New York*, 16 NY3d 472.) II. Section 8-107 (13) (b) of the New York City Human Rights Law (Administrative Code of City of NY) provides for strict liability of all employers for the discriminatory conduct of managers and supervisors. (*Zakrzewska v New School*, 14 NY3d 469; *Matter of Totem Taxi v New York State Human Rights Appeal Bd.*, 65 NY2d 300; *Matter of Carr v New York State Bd. of Elections*, 40 NY2d 556.) III. Michael Bloomberg qualifies as an “employer” under the New York City Human Rights Law. (*Patrowich v Chemical Bank*, 63 NY2d 541; *Berkey v Third Ave. Ry. Co.*, 244 NY 84; *Irizarry v Catsimatidis*, 722 F3d 99; *Makinen v City of New York*, 167 F Supp 3d 472.)

Proskauer Rose LLP, New York City (*Elise M. Bloom*, *Rachel S. Philion* and *Andrew A. Smith* of counsel), for respondent. I. The term “employer” in Administrative Code of the City of New York § 8-107 (13) does not include an owner or executive of a corporate employer who does not participate in or have a con-

nection to the specific conduct giving rise to a plaintiff's claim. (*Albunio v City of New York*, 16 NY3d 472; *Makinen v City of New York*, 30 NY3d 81; *Chauca v Abraham*, 30 NY3d 325; *Rose v Mount Ebo Assoc.*, 170 AD2d 766; *Hoffman v Parade Publs.*, 15 NY3d 285; *Murphy v ERA United Realty*, 251 AD2d 469; *Malena v Victoria's Secret Direct, LLC*, 886 F Supp 2d 349; *Forrest v Jewish Guild for the Blind*, 3 NY3d 295; *Thoreson v Penthouse Intl.*, 80 NY2d 490; *Matter of Notre Dame Leasing v Rosario*, 2 NY3d 459.) II. Plaintiff failed to allege that Michael Bloomberg was her "employer" under any "reasonably possible" interpretation of the term. (*Barsella v City of New York*, 82 AD2d 747.)

Ritz Clark & Ben-Asher LLP, New York City (*Miriam F. Clark* of counsel), for National Employment Lawyers Association-New York, amicus curiae. I. The Court should remand with instructions that this matter be considered in light of section 8-107 (1) (a) and (6) of the Administrative Code of the City of New York. (*Kaplan v New York City Dept. of Health & Mental Hygiene*, 142 AD3d 1050.) II. In determining whether an individual is an employer under the city law, the court should not be guided by restrictive state law concepts derived from *Matter of Totem Taxi v New York State Human Rights Appeal Bd.* (65 NY2d 300 [1985]). (*Patrowich v Chemical Bank*, 63 NY2d 541; *Makinen v City of New York*, 167 F Supp 3d 472; *Boyce v Gumley-Haft, Inc.*, 82 AD3d 491; *Marchuk v Faruqi & Faruqi, LLP*, 100 F Supp 3d 302; *McRedmond v Sutton Place Rest. & Bar, Inc.*, 95 AD3d 671; *Faragher v Boca Raton*, 524 US 775; *Burlington Industries, Inc. v Ellerth*, 524 US 742; *Zakrzewska v New School*, 14 NY3d 469.)

Debevoise & Plimpton LLP, New York City (*Jyotin Hamid*, *Morgan A. Davis*, *Malini Malhorta* and *Jonathan B. Mangel* of counsel), for Partnership for New York City, amicus curiae. I. Plaintiff's interpretation would not meaningfully advance the New York City Human Rights Law's remedial aims. (*Albunio v City of New York*, 16 NY3d 472; *Williams v New York City Hous. Auth.*, 61 AD3d 62; *Zakrzewska v New School*, 14 NY3d 469.) II. Plaintiff's interpretation would undermine foundational tenets of corporate law. (*Matter of Franklin St. Realty Corp. v NYC Envtl. Control Bd.*, 34 NY3d 600; *Rapid Tr. Subway Constr. Co. v City of New York*, 259 NY 472; *Halsted v Globe Indem. Co.*, 258 NY 176; *Matter of Morris v New York State Dept. of Taxation & Fin.*, 82 NY2d 135; *We're Assoc. Co. v Cohen*, *Stracher & Bloom*, 65 NY2d 148; *Matter of Seagroatt Floral*

Co. [Riccardi], 78 NY2d 439; *Lloyd v Moore*, 115 AD3d 1309; *Bernstein v Starrett City*, 303 AD2d 530; *Joan Hansen & Co. v Everlast World's Boxing Headquarters Corp.*, 296 AD2d 103; *Matter of Brookside Mills, Inc. [Raybrook Textile Corp.]*, 276 App Div 357.) III. Plaintiff's interpretation would have far-reaching costs for New York City businesses.

OPINION OF THE COURT

GARCIA, J.

Plaintiff, an employee of Bloomberg L.P. using the pseudonym "Margaret Doe," brought suit against defendants Bloomberg L.P., her supervisor Nicholas Ferris, and Michael Bloomberg, asserting several causes of action arising from alleged discrimination, sexual harassment, and sexual abuse. The question before us is whether Bloomberg, in addition to Bloomberg L.P., may be held vicariously liable as an employer under the New York City Human Rights Law (Administrative Code of City of NY, title 8 [City HRL]) based on his status as "owner" and officer of the company. We hold that Bloomberg is not an "employer" within the meaning of the City HRL and accordingly, we affirm the dismissal of plaintiff's claims that seek to hold Bloomberg vicariously liable for Ferris's offending conduct.

I.

Plaintiff's complaint asserted various causes of action, including sex discrimination and hostile work environment claims under the City HRL.¹ Plaintiff alleged that Ferris, her direct supervisor at Bloomberg L.P., engaged in a continuous pattern of sexual harassment, including rape. She alleged that Bloomberg, in addition to Bloomberg L.P., was her "employer" and as a result was subject to vicarious liability under the City HRL. Plaintiff asserted that "[a]t all relevant times" Bloomberg was the "Co-Founder, Chief Executive Officer and President of [Bloomberg L.P.]," and that he had fostered an environment that accepted and encouraged "sexist and sexually-charged behavior." She does not claim that Bloomberg had any "personal participation" in the specific offending conduct.

Bloomberg moved to dismiss the claims against him. Supreme Court, after first granting the motion to dismiss, granted

1. Plaintiff also sued Bloomberg for aiding and abetting sex discrimination and negligent infliction of emotional distress. Those claims, along with the remaining claims against Bloomberg L.P. and Ferris, are not at issue here.

reargument and denied the motion (2018 NY Slip Op 33961[U] [2018]). The Appellate Division, with two Justices dissenting, reversed and dismissed the causes of action against Bloomberg (178 AD3d 44 [1st Dept 2019]). Plaintiff appealed to this Court as of right pursuant to CPLR 5601 (a).

II.

“When reviewing a defendant’s motion to dismiss a complaint for failure to state a cause of action, a court must give the complaint a liberal construction, accept the allegations as true and provide plaintiffs with the benefit of every favorable inference” (*Cortlandt St. Recovery Corp. v Bonderman*, 31 NY3d 30, 38 [2018] [internal quotation marks omitted]). The ultimate question is whether, accepting the allegations and affording these inferences, “plaintiff can succeed upon any reasonable view of the facts stated” (*Aristy-Farer v State of New York*, 29 NY3d 501, 509 [2017] [internal quotation marks omitted]). Applying this standard, we conclude that the claims against Bloomberg must be dismissed, but our reasoning differs from that of the courts below.

A.

The City HRL makes it unlawful for “an employer or an employee or agent thereof” to discriminate on the basis of gender (Administrative Code of City of NY § 8-107 [1] [a]). The statute also prohibits “any person” from aiding and abetting discrimination (*id.* § 8-107 [6]) or from retaliating against another person for engaging in certain protected activities (*id.* § 8-107 [7]).

In addition, the City HRL imposes vicarious liability on employers in the following circumstances:

“An employer shall be liable for an unlawful discriminatory practice based upon the conduct of an employee or agent which is in violation of subdivision 1 or 2 of this section only where:

“(1) The employee or agent exercised managerial or supervisory responsibility; or

“(2) The employer knew of the employee’s or agent’s discriminatory conduct, and acquiesced in such conduct or failed to take immediate and appropriate corrective action; an employer shall be deemed

to have knowledge of an employee's or agent's discriminatory conduct where that conduct was known by another employee or agent who exercised managerial or supervisory responsibility; or

“(3) The employer should have known of the employee's or agent's discriminatory conduct and failed to exercise reasonable diligence to prevent such discriminatory conduct” (Administrative Code of City of NY § 8-107 [13] [b]).

The statute is clear as to when an employer is liable: for the employer's own offending conduct and vicariously for some actions of others. But the term “employer” is undefined, generating confusion as courts have endeavored to determine who is an employer in the context of the extensive—and at times strict—liability imposed.

B.

We do not find persuasive the analysis adopted by the Appellate Division majority. That Court held that “some participation in the specific conduct committed against the plaintiff is required in order to hold an individual owner or officer of a corporate employer personally liable in his or her capacity as an employer” (178 AD3d at 50). Because plaintiff failed to allege that Bloomberg “encouraged, condoned or approved [of] the specific discriminatory conduct allegedly committed by Mr. Ferris,” the Court dismissed the complaint against Bloomberg (*id.* at 50, 52).

The Appellate Division majority's test is derived from our case law interpreting the New York State Human Rights Law (Executive Law art 15 [State HRL]). In *Matter of Totem Taxi v New York State Human Rights Appeal Bd.*, we held that a common carrier or place of public accommodation, like a typical private employer, could not be held liable under the State HRL for an employee's discriminatory act “unless the employer became a party to it by encouraging, condoning, or approving it” (65 NY2d 300, 305 [1985]; see also *Matter of State Div. of Human Rights v St. Elizabeth's Hosp.*, 66 NY2d 684, 687 [1985]; *Hart v Sullivan*, 84 AD2d 865, 866 [3d Dept 1981], *affd* 55 NY2d 1011 [1982]). In *Totem Taxi*, the Court was not considering who was an employer under the State HRL—it was the corporation that employed the driver who engaged in offensive conduct. Rather, the issue was whether, under that statute, the corporate employer could be liable under a respon-

deat superior theory for the acts of an employee. Concluding that the State HRL did not impose vicarious liability on employers, the Court held that only an employer who “became a party to” the discriminatory act could be held liable (*Totem Taxi*, 65 NY2d at 305 [statute did not provide “that a person who employs one who commits a discriminatory act is also guilty of a violation irrespective of fault”]). By contrast, this Court held in *Zakrzewska v New School* that City HRL § 8-107 (13) (b) (1), unlike any provision in the State HRL, is a vicarious liability provision which imposes strict liability on an employer—the employer need not have “participated” in the offending conduct (14 NY3d 469, 480-481 [2010]). Accordingly, in *Zakrzewska*, we made clear that the State HRL’s minimum culpability standard was irrelevant to assessing whether an employer is liable under this provision of the City HRL (*id.* at 481 [“we may not apply cases under the State Human Rights Law imposing liability only where the employer encourages, condones or approves the unlawful discriminatory acts”]).

Nonetheless, some courts have applied the State HRL’s culpability standard to determine whether individuals are employers under the City HRL because of their relationship to the business entity employing the perpetrator of the offending conduct (*see Boyce v Gumley-Haft, Inc.*, 82 AD3d 491, 492 [1st Dept 2011] [defendant who was the 50% owner of an LLC with the power to hire and fire employees, could be held liable as an employer under section 8-107 (13) (b) provided that “he encouraged, condoned or approved (the) alleged discriminatory conduct”]; *McRedmond v Sutton Place Rest. & Bar, Inc.*, 95 AD3d 671, 673 [1st Dept 2012] [the general manager of a restaurant “can be held liable (under the State HRL) as an employer if, as the record suggests, he had the authority to do more than carry out personnel decisions and he . . . participated in the conduct . . . (and) (f)or the same reasons, (he) may also be held liable under the City HRL”]). However, the *Totem Taxi* test for determining *whether* an employer is liable under the State HRL has no application in determining *who* is an employer for purposes of the City HRL.

The test proposed by the dissent below, purportedly drawn from our decision in *Patrowich v Chemical Bank* (63 NY2d 541 [1984]), is even less suitable. According to the dissent an individual qualifies as an employer under the City HRL when shown to have either (1) an ownership interest in the organization or (2) the power to do more than carry out personnel deci-

sions made by others (*Doe*, 178 AD3d at 53 [Manzanet-Daniels, J., dissenting]). This is a misreading of *Patrowich*.

In *Patrowich*, the Court considered whether a corporate officer or employee could be an “employer” subject to liability under the State HRL and Labor Law, as well as under two federal statutes:

“A corporate employee, though he has a title as an officer and is the manager or supervisor of a corporate division, is not individually subject to suit with respect to discrimination based on age or sex under New York’s Human Rights Law or its Labor Law or under the Federal Age Discrimination in Employment Act or Equal Pay Act if he is not shown to have any ownership interest or any power to do more than carry out personnel decisions made by others” (63 NY2d at 542 [citations omitted]).

The dissent below, the dissent here, and a number of other courts misinterpret *Patrowich* as making the “ownership/personnel decisions” test relevant to defining “employer” in each of the state and federal statutes at issue, including the State HRL (see e.g. *Matter of New York State Div. of Human Rights v ABS Elecs., Inc.*, 102 AD3d 967, 969 [2d Dept 2013]; *Barbato v Bowden*, 63 AD3d 1580, 1581 [4th Dept 2009]; *Peppler v Coyne*, 33 AD3d 434, 435 [1st Dept 2006]; *Strauss v New York State Dept. of Educ.*, 26 AD3d 67, 72 [3d Dept 2005]; *Hafez v Avis Rent A Car Sys., Inc.*, 242 F3d 365 [2d Cir 2000] [table; text at 2000 WL 1775508 (2000)]).

Patrowich, however, applied two different standards, one to the state laws and one to the federal statutes at issue: “A corporate employee, though [the employee] has a title as an officer and is the manager or supervisor of a corporate division, [1] is not individually subject to suit with respect to discrimination based on age or sex under New York’s Human Rights Law or its Labor Law” and “[2] is not individually subject to suit with respect to discrimination based on age or sex . . . under the Federal Age Discrimination in Employment Act or Equal Pay Act if [the employee] is not shown to have any ownership interest or any power to do more than carry out personnel decisions made by others” (63 NY2d at 542 [citations omitted]). The analysis that follows makes this distinction clear. In discussing the State HRL, the Court remarked that the defini-

tion for “employer” provided in the State HRL “relates only to the number of persons employed and provides no clue to whether individual employees of a corporate employer may be sued under its provisions” (*id.* at 543). The Court noted, however, that other parts of the law specifically impose liability on “employee[s]” and “agent[s],” demonstrating that “the Legislature differentiated that provision from the general definition of ‘employer’”; in other words, the statutory language recognized a difference between an “employer” and other “employees” and “agents” of that employer (*id.*). Accordingly, we held in *Patrowich* that the State HRL does not render employees liable as individual employers.

We contrasted this narrow meaning of “employer” under the State HRL with the definitions of that same term found in the two federal statutes at issue, under which, according to the Court, “[t]he question [was] a closer one” (*id.*). Those statutes broadly defined an employer as “any person acting directly or indirectly in the interest of an employer in relation to an employee” and as “a person engaged in an industry affecting commerce . . . [and] any agent of such person” (*id.*). Nevertheless, this expansive language required some limitation, and the Court concluded that

“the weight of Federal authority is that ‘economic reality’ governs who may be sued under both [federal] statutes and that a corporate employee . . . who . . . has not been shown to have any ownership interest or power to do more than carry out personnel decisions made by others is not individually subject to suit under either statute” (*id.* at 543-544 [citing federal cases]).

The “ownership” language was a way to limit which employees could qualify as employers under the expansive definitions in the federal statutes.

In *Patrowich*, it is clear that this Court distinguished between (1) the state statutes, under which a corporate employee simply does not qualify as an “employer,” regardless of the employee’s position or relationship to the employer, and (2) the federal statutes, under which, according to “Federal authority,” individual employees may be subject to suit as “employers” if shown to have an ownership interest or power to do more than

carry out personnel decisions made by others.² Of course, *Patrowich* did not examine the meaning of “employers” pursuant to the City HRL, and we address it here only in light of the City Council’s directive that “similarly worded provisions of federal and state civil rights laws [should be viewed] as a floor below which the City’s Human Rights law cannot fall” (Local Law No. 85 [2005] of City of NY § 1).

III.

The language in the City HRL, like that found in the State HRL, is itself circumscribed and requires no external limiting principle exempting employees from individual suit as employers. Instead, where a plaintiff’s employer is a business entity, the shareholders, agents, limited partners, and employees of that entity are not employers within the meaning of the City HRL. Rather, those individuals may incur liability only for their own discriminatory conduct, for aiding and abetting such conduct by others, or for retaliation against protected conduct (Administrative Code of City of NY § 8-107 [1], [6], [7]). This rule aligns with the structure of the City HRL and comports with the Court’s interpretation of similar language in *Patrowich*. It is also consistent with the principles of vicarious and limited liability governing certain business structures (*see e.g.* Partnership Law §§ 26, 121-303; Limited Liability Company Law § 609; Business Corporation Law § 719).

The City HRL specifically imposes primary liability on employees and agents for some discriminatory acts (*see e.g.* Administrative Code of City of NY § 8-107 [1] [a] [making it unlawful for “an employer or an employee or agent thereof” to discriminate based on gender]) but conspicuously does not

2. The “economic reality” test advanced by plaintiff, used to determine individual employer liability under the Fair Labor Standards Act (FLSA), has no application here (*see Irizarry v Catsimatidis*, 722 F3d 99, 109 [2d Cir 2013]). In the FLSA, like the federal statutes at issue in *Patrowich*, Congress broadly defined “employer” as “any person acting directly or indirectly in the interest of an employer in relation to an employee” (*id.* at 103). The City Council did not include such expansive language in the City HRL definition of employer and, as discussed below, chose to differentiate between the liability of employers and those acting on an employer’s behalf. Likewise, the “control test” articulated in *Griffin v Sirva, Inc.* (29 NY3d 174 [2017])—discussed at oral argument but not raised in either party’s submissions—is inapplicable. In *Griffin*, the Court, responding to a certified question from the Second Circuit, provided guidance for determining whether a second corporation could be held liable as an employer under a provision of the State HRL addressing employment discrimination based on criminal history.

impose vicarious liability on these individuals under section 8-107 (13) (b) (*see Patrowich*, 63 NY2d at 543 [use of “employee” and “agent” elsewhere in State HRL indicated that those individuals were not included in the term “employer”]). Furthermore, the vicarious liability provision itself applies when “[t]he employee or agent exercised managerial or supervisory responsibility” (Administrative Code of City of NY § 8-107 [13] [b] [1]), differentiating between the liable party (employer) and the party committing the offending conduct (employee or agent with managerial or supervisory responsibility). Similarly, the legislature chose to make an “owner, . . . manager, . . . agent or employee” of a place of public accommodation (*see id.* § 8-107 [4] [a]) and the “owner . . . of a housing accommodation” (*id.* § 8-107 [5] [a]) directly liable for discrimination, but again did not make those categories of individuals subject to vicarious liability as employers under section 8-107 (13) (b). These differences in the statutory provisions demonstrate that employees, agents, and others with an ownership stake are not employers within the meaning of the City HRL (*see Matter of Tonis v Board of Regents of Univ. of State of N.Y.*, 295 NY 286, 293 [1946]).

Indeed, employees and agents of a company are not ordinarily understood to be “employers,” and are not normally subject to vicarious liability for the wrongs of corporate employees. Rather, an employee is “[s]omeone who works in the service of another person (the employer)” (Black’s Law Dictionary [11th ed 2019], employee). “The principle that respondeat superior is a form of secondary liability that cannot be imposed upon the fellow employee of a wrongdoer is certainly well-defined and explicit in New York” (*Hardy v Walsh Manning Sec., L.L.C.*, 341 F3d 126, 130 [2d Cir 2003]). Similarly, although possessing more power to act on the corporation’s behalf, an agent is “[s]omeone who is authorized to act for or in place of another” (Black’s Law Dictionary [11th ed 2019], agent) and a “corporate agent” is an agent “authorized to act on behalf of a corporation; broadly, all employees and officers who have the power to bind the corporation” (Black’s Law Dictionary [11th ed 2019], corporate agent). Though the common law imposes vicarious liability on the corporation for torts of its employees and agents committed within the scope of their job duties (*see Riviello v Waldron*, 47 NY2d 297, 302 [1979]), “directors or officers are not subject to personal liability for the torts of corporation employees simply because the directors or officers hold corporate

office” (19 CJS, Corporations § 635; see *Connell v Hayden*, 83 AD2d 30, 58 [2d Dept 1981]).

Shareholders are also not commonly understood to be employers, and to designate them as such for the purpose of imposing vicarious liability would go against the principles underlying the legal distinction. “The law permits the incorporation of a business for the very purpose of enabling its proprietors to escape personal liability” (*Walkovszky v Carlton*, 18 NY2d 414, 417 [1966]).

“As a general rule, the law treats corporations as having an existence separate and distinct from that of their shareholders and, consequently, will not impose liability upon shareholders for the acts of the corporation. Indeed, the avoidance of personal liability for obligations incurred by a business enterprise is one of the fundamental purposes of doing business in the corporate form” (*Billy v Consolidated Mach. Tool Corp.*, 51 NY2d 152, 163 [1980] [citation omitted]).

Accordingly, at common law, shareholders are not subject to vicarious liability for the torts of a corporation’s agents or employees (*Connell*, 83 AD2d at 58). The text of the City HRL demonstrates no intent to displace these settled legal principles.³ Nor is there merit to the dissent’s suggestion that the structure of the employer business at issue here, a limited partnership, serves somehow to create “employer liability” for the partners (dissenting op at 472, 480). Whatever liability individual partners may have for unsatisfied judgments against the partnership, and the effect of the partnership structure on that liability, has no bearing on whether the partner has individual “employer liability” under the City HRL. Furthermore, given the amorphous nature of its “interpretive approach” (dissenting op at 476 n 10), it is unclear what import a “limited” rather than a “limited liability” label on the entity would have on the dissent’s assessment of an individual’s liability.

Our conclusion does not run afoul of the City Council’s instruction that “similarly worded provisions of federal and

3. The dissent argues that the City HRL’s use of the term “employer” “is not subordinate to principles of corporate or agency law” (dissenting op at 471), but given our holding we need not address any potential conflict between the state statutes delineating corporate or agency liability and employer liability imposed by the City HRL (see *Zakrzewska v New School*, 14 NY3d 469, 480-481 [2010]).

state civil rights laws [are] a floor below which the City's Human Rights law cannot fall, rather than a ceiling above which the local law cannot rise" (Local Law No. 85 [2005] of City of NY § 1). The liability imposed on employers by the City HRL is substantially broader than that provided by its state counterpart, and as a result it is not necessary to distort the ordinary meaning of the term "employer" to accomplish the goal of the City Council's interpretive guidance. Moreover, the federal statutes plaintiff cites as supporting a broader definition are not "similarly worded" (*see Patrowich*, 63 NY2d at 543 [describing broader language of Equal Pay Act and Age Discrimination in Employment Act]; n 3, *supra* [discussing broad language of FLSA]). The unique provisions of the City HRL provide for broad vicarious liability for employers but that liability does not extend to individual owners, officers, employees, or agents of a business entity.

The dissent advocates for a contrary result based solely on *Albunio v City of New York*'s (16 NY3d 472, 477-478 [2011]) rule of construction that the City HRL be interpreted "broadly in favor of discrimination plaintiffs, to the extent that such a construction is reasonably possible" (dissenting op at 463, 468, 475-476, 484). But any such broad construction must be *reasonable* and grounded in the language of the local law (*see e.g. Chauca v Abraham*, 30 NY3d 325, 332 [2017]). Indeed, the dissent does not propose a workable rule—or indeed any rule—for reaching a contrary result in this case. Although the dissent cites the opinion of the dissenting Justices (dissenting op at 470), it conspicuously fails to adopt the rule the dissent below applied. And while the dissent here speaks of "owners" (dissenting op at 483-484), it does not address whether its suggested approach turns on ownership, or principles of control, or corporate titles, or some other formulation. Indeed, the dissent points to Bloomberg's role as a "co-founder, chief operating officer, president, and majority owner of the business" and of his "commanding role in the company" (dissenting op at 464, 472), but does not identify which of these roles render him an employer. The litany of titles may well, in the dissent's view, make Bloomberg a "captain[] of industry" (dissenting op at 464), but provides no guidance for imposing individual liability. Similarly, the dissent speaks favorably of *Griffin*'s application of New York common law to clarify the meaning of "employer" (dissenting op at 474-475), and agrees that case is "not directly on point" (dissenting op at 474-475), yet fails to identify what

common law would supply a rule here. Criticism alone, however forceful, provides no reasonable alternative.

IV.

Applying our rule to the present case, plaintiff has failed to allege that Bloomberg is her employer for purposes of liability under the City HRL. Her allegations concerning his position at the company demonstrate only that he is an owner or officer of Bloomberg L.P. Additionally, plaintiff's allegations that Bloomberg fostered a culture of discrimination and sexual harassment at Bloomberg L.P., based primarily on news articles and reports of a deposition in an unrelated case, do not transform him into an employer for purposes of vicarious liability for Ferris's discriminatory conduct. Any claims that Bloomberg engaged in offending conduct against plaintiff by discriminating, aiding and abetting discrimination, or retaliating are not advanced in this appeal.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

RIVERA, J. (dissenting). The New York City Human Rights Law (NYCHRL) is "the most progressive in the nation, and reaffirms New York's traditional leadership in civil rights" (Rep of Governmental Affairs Div, Comm on Gen Welfare at 2, Aug. 17, 2005, Local Law Bill Jacket, Local Law No. 85 [2005] of City of NY, quoting Mayor David Dinkins, available at <http://www.antibiaslaw.com/sites/default/files/all/CommitteeReport081705.pdf> [last accessed Jan. 25, 2021]). To cement its status as a powerful deterrent to discrimination, the NYCHRL "shall be construed liberally for the accomplishment of the uniquely broad and remedial purposes thereof" and its text interpreted independently of other similarly worded federal and state legislation (Administrative Code of City of NY § 8-130 [a]). The New York City Council could not be clearer in this directive that our Court is prohibited from ascribing a narrow intention or construction to the purpose and statutory text of the NYCHRL. Accordingly, "we must construe . . . the City's Human Rights Law . . . broadly in favor of discrimination plaintiffs, to the extent that such a construction is reasonably possible" (*Albunio v City of New York*, 16 NY3d 472, 477-478 [2011]).

That rule of construction is dispositive in this appeal, in which we consider whether defendant Michael Bloomberg is an

employer of those who work for Bloomberg L.P., the company that he built and that bears his name. The NYCHRL does not expressly limit “employer” to a business entity or exclude business owners from employer status. To the contrary, the statutory text and remedial scheme suggest the legislature’s intent for a broad and flexible definition of “employer,” in line with the public policy undergirding the NYCHRL. In that vein, the NYCHRL applies generally to businesses with as few as four employees and subjects employers to liability for their own discriminatory conduct and that of their supervisors (*see* Administrative Code §§ 8-102, 8-107 [1]). Maximizing the accountability of those at the top encourages preemptive action by captains of industry with the means to effectuate broad workplace change.

The question, then, is whether, affording the statute its broadest possible reading, as we must, this defendant is an “employer” based on his relationship to the business. Viewed in this light, plaintiff adequately alleges that defendant is an employer for purposes of the NYCHRL because he is co-founder, chief operating officer, president, and majority owner of the business.

The majority repeats the errors of the past, retreats from our mandate, and narrowly construes the NYCHRL to adopt a *per se* rule that favors corporate defendants. Applying its new rule, the majority concludes that this defendant is not an employer, notwithstanding his commanding role in the company. This interpretation of the statute is untenable, and so I dissent.

I.

The New York City Human Rights Law was born of the City Council’s recognition that “there is no greater danger to the health, morals, safety and welfare of the city and its inhabitants than the existence of groups prejudiced against one another and antagonistic to each other because of their actual or perceived differences” (Administrative Code § 8-101). The law, therefore, strikes directly at “prejudice, intolerance, bigotry, and discrimination, bias-related violence or harassment and disorder occasioned thereby,” which “threaten the rights and proper privileges of [New York City’s] inhabitants and menace the institutions and foundation of a free democratic state” (*id.*).

In furtherance of this public policy, the NYCHRL has been amended on several occasions to expand its coverage.¹ These amendments were intended to address retrenchment in federal civil rights law and our state courts' overly narrow interpretation of the NYCHRL (Rep of Governmental Affairs Div, Comm on Gen Welfare at 2, Aug. 17, 2005 [quoting Mayor Dinkins, who explained that amendments to the NYCHRL were necessary because "there is no time in the modern civil rights era when vigorous local enforcement of anti-discrimination laws has been more important. Since 1980, the federal government has been steadily marching backward on civil rights issues"]; Rep of Governmental Affairs Div, Comm on Civ Rights at 8, Mar. 8, 2016, Local Law Bill Jacket, Local Law No. 35 [2016] of City of NY ["Over at least the last 25 years, the Council has sought to protect the HRL from being narrowly construed by courts Some courts have recognized and followed this vision, but others have not"]). As a committee of the City Council concluded, the amendments were in service of "a very specific vision: a Human Rights Law designed as a law enforcement tool with *no tolerance for discrimination in public life*" (Rep of Governmental Affairs Div, Comm on Civ Rights at 8, Mar. 8, 2016 [emphasis added]).

In the past, our Court has, as it does today, parsimoniously interpreted state and city anti-discrimination laws. And, on several occasions, the City Council has repudiated such interpretations by adopting broader protections against unlawful discrimination. For instance, in *Matter of Totem Taxi v New York State Human Rights Appeal Bd.* (65 NY2d 300 [1985]), the Court considered a case brought under the New York State Human Rights Law (NYSHRL), in which a taxi driver hurled a racial slur at four Black women and threatened them with violence. The women filed complaints with the New York State Division of Human Rights against the taxi company.

1. As I discuss, *infra*, in 1991, the New York City Council enacted comprehensive reforms to the NYCHRL in response to a perceived civil rights counterrevolution, which saw state and federal courts across the country adopt restrictive interpretations of anti-discrimination law (*see* Administrative Code tit 8 [1991]). Then in 2005, the Council passed the Local Civil Rights Restoration Act in response to decisions of this Court declining to afford the NYCHRL a broader interpretation than its state counterpart (*see* Local Law No. 85 [2005] of City of NY). And again in 2016, the Council sought to clarify its intent that the NYCHRL be construed liberally in favor of discrimination plaintiffs by identifying certain New York State court decisions that accurately reflected the properly broad construction of the statute (*see* Local Law No. 35 [2016] of City of NY).

The charges against the company were sustained. The company appealed, arguing that it could not be held liable for the acts of its employees under a theory of *respondeat superior*.² This Court determined that liability ran only to the individual. Thus, the discriminatory conduct—which the Court described as “not only embarrassing and demeaning to [the women subjected to it] but to all civilized persons who hear of it,” and “the kind of conduct which the Human Rights Law condemns and seeks to eliminate”—nonetheless did not give rise to vicarious liability on the part of the company (65 NY2d at 305-306).

This approach drew the ire of the New York City Council and high-ranking city officials. In explaining the 1991 amendments to the NYCHRL, then-Mayor David Dinkins specifically mentioned the Court’s holding in *Totem Taxi* as a motivation for expanding the anti-discrimination protections available under the City’s law:

“Even on the state level, narrow interpretations of civil rights laws have retarded progress. For example, the State Court of Appeals has made it virtually impossible to hold taxi companies responsible for the discriminatory acts committed by their drivers. There is, therefore, no incentive for these companies to curb bias on the part of their drivers, and persons of color still routinely face difficulty in getting a cab to take us where we want to go” (Mayor David N. Dinkins, *Remarks by Mayor David N. Dinkins at Public Hearing on Local Laws*, June 18, 1991 at 1-2, available at <http://www.antibiaslaw.com/sites/default/files/all/LL39LegHist-Mayor.pdf> [last accessed Jan. 15, 2021]).³

Despite the intent of the City Council, this Court continued to ignore textual and historical support for independent

2. “Under the doctrine of *respondeat superior*, an employer will be liable for the negligence of an employee committed while the employee is acting in the scope of [the employee’s] employment” (*Lundberg v State of New York*, 25 NY2d 467, 470 [1969]).

3. See also e.g. William Neuman, *New York Office to Address Discrimination by Taxis and For-Hire Vehicles*, NY Times, July 31, 2018, available at <https://www.nytimes.com/2018/07/31/nyregion/uber-taxis-minorities-bias-refusal-nyc.html> (last accessed Jan. 25, 2021); Gabrielle Gurley, *Racism Merges into New York’s Ride-Hailing Debate*, Am Prospect, Aug. 7, 2018, available at <https://prospect.org/civil-rights/racism-merges-new-york-s-ride-hailing-debate/> (last accessed Jan. 25, 2021).

consideration of the NYCHRL and applied “rote parallelism” which merely tracked contemporary analysis under the NYSHRL and title VII of the Civil Rights Act of 1964, the federal employment anti-discrimination analog. Frustrated with this interpretive approach, the City Council enacted the Local Civil Rights Restoration Act (LCRRA) in 2005. The LCRRA was intended “to clarify the scope” of the NYCHRL because

“[i]t is the sense of the Council that New York City’s Human Rights Law has been construed too narrowly to ensure protection of the civil rights of all persons covered by the law. In particular, through passage of this local law, the Council seeks to underscore that the provisions of New York City’s Human Rights Law are to be construed independently from similar or identical provisions of New York state or federal statutes” (Local Law No. 85 [2005] at City of NY § 1).

Critically, the Council explained that

“[i]nterpretations of New York state or federal statutes with similar wording may be used to aid in interpretation of the New York City Human Rights Law, viewing similarly worded provisions of federal and state civil rights laws *as a floor below which the City’s Human Rights law cannot fall, rather than a ceiling above which the local law cannot rise*” (*id.* [emphasis added]).

To further emphasize the Council’s intent that courts employ an independent and robust analysis of the NYCHRL, the LCRRA amended the section titled “Construction” to declare that “[t]he provisions of this title shall be construed liberally for the accomplishment of the uniquely broad and remedial purposes thereof, regardless of whether federal or New York state civil and human rights laws, including those laws with provisions worded comparably to provisions of this title, have so been construed” (Administrative Code § 8-130 [a]).⁴

When the law was amended in 2005, this Court was again singled out for its failure to give the NYCHRL the liberal, far-reaching application intended by the Council. The Committee

4. Prior to the 2005 amendments, section 8-130 provided that “[t]he provisions of this chapter shall be construed liberally for the accomplishment of the purposes thereof.”

on General Welfare’s report on the proposed legislation, for example, specifically cited *McGrath v Toys “R” Us, Inc.* (3 NY3d 421 [2004]) as one of several “recent judicial decisions [which] underscore the need to clarify the breadth of protections afforded by New York City’s human rights law” (Rep of Governmental Affairs Div, Comm on Gen Welfare at 4, Aug. 17, 2005, Local Law Bill Jacket, Local Law No. 85 [2005] of City of NY, available at <http://www.antibiaslaw.com/sites/default/files/all/CommitteeReport081705.pdf> [last accessed Jan. 25, 2021]).

In *McGrath*, the Court determined that broad statements regarding the intended liberal construction of the NYCHRL were insufficient to justify interpreting the law more broadly than its state counterpart—a holding the City Council explicitly rejected in enacting the 2005 amendments (*see* Statement of Council Member Annabel Palma, Hearing Tr of Stated Council Meeting at 41-42, Sept. 15, 2005 [“Insisting that our local law be interpreted broadly and independently will safeguard New Yorkers at a time when . . . state civil rights protections are in jeopardy. There are many illustrations of cases, like . . . McGrath and Forrest (*v Jewish Guild for the Blind*, 3 NY3d 295 [2004]) that have either failed to interpret the City Human Rights Law to fulfill its uniquely broad purposes, ignore the text of specific provisions of the law, or both”]).⁵

Following the 2005 amendments, it appeared that the Court understood this clear expression of legislative intent. In *Albunio*, the Court unanimously declared that, in accordance with the LCRRA, we “must construe . . . the City’s Human Rights Law . . . broadly in favor of discrimination plaintiffs, to the extent that such a construction is reasonably possible” (*Albunio*, 16 NY3d at 477-478; *see also Williams v New York City Hous. Auth.*, 61 AD3d 62, 68-69 [1st Dept 2009] [“(T)he text and legislative history represent a desire that the City HRL meld the broadest vision of social justice with the strongest

5. In *Forrest*, the plaintiff alleged that her supervisor had discriminated against her on account of race and that she was subjected to a hostile work environment. Our Court asserted that the NYCHRL’s provisions “mirror” the NYSHRL’s and should be “analyzed according to the same standards” (3 NY3d at 305 n 3). Additionally, the Court held that, even if the quantum of alleged harassment the plaintiff experienced were sufficient to be actionable, the defendant employer would still not be liable for its supervisor’s harassment under either the NYSHRL or the NYCHRL because an “employer cannot be held liable [under state law] for an employee’s discriminatory act unless the employer became a party to it” (*id.* at 311 [internal quotation marks omitted]).

law enforcement deterrent” (internal quotation marks omitted)). Finally, and in no uncertain terms, the Court recognized that the legislative intent of the NYCHRL obligates the judiciary to interpret the law in favor of plaintiffs in discrimination suits, to the furthest extent reasonably possible. With this background in mind, I now turn to the interpretive issue presented on this appeal.

II.

Plaintiff, under the pseudonym Margaret Doe,⁶ filed the underlying complaint alleging violations of the NYCHRL for gender discrimination at her workplace, Bloomberg L.P., a limited partnership. She averred that she was 22 and had just graduated college when she commenced her first professional job at Bloomberg L.P. Shortly after starting and continuing for the next three years she worked in a hostile work environment where her supervisor, Nicholas Ferris, relentlessly sexually harassed her and on two occasions raped her. She further averred that, due to the toxic work environment and the harm she suffered as an employee, she was forced to take indefinite medical leave.

Plaintiff named as defendants Bloomberg L.P., Ferris, and Michael Bloomberg, the majority owner⁷ of Bloomberg L.P. As alleged in the complaint, Bloomberg was at all relevant times the co-founder, chief executive officer, and president of Bloomberg L.P. He served as CEO until his election as Mayor of New York City and resumed that position after his term as Mayor ended and while plaintiff was employed with the company. Plaintiff alleges that, while Mayor, Bloomberg maintained communication with those who had replaced him as CEO, including on matters related to Bloomberg L.P.’s

6. Plaintiff filed her action pseudonymously, explaining the need for anonymity given the severe nature of her injuries, the emotional distress she suffered, her current fragile emotional and physical state, her ongoing need for psychotherapy and other medical treatment, and the risk of retaliatory physical or mental harm.

7. Defendant, at various points in his briefing, concedes ownership in Bloomberg L.P., and does not controvert the Appellate Division’s assumption that he holds an ownership interest in the company. Nor does he deny plaintiff’s assertion in opposition to his motion to dismiss that he is a majority owner. Therefore, given the pre-answer posture of this appeal, and the parties’ representations throughout this litigation, I assume as fact for purposes of this appeal that defendant is the majority owner of Bloomberg L.P.

handling of sexual harassment and discrimination claims by employees, of which there were many.

Plaintiff further alleges that the corporate culture at Bloomberg L.P. was deeply misogynist, and female employees were regularly sexually objectified and subjected to comments regarding their physical appearance. Plaintiff maintains that this sexist and sexually charged behavior was known and encouraged by Bloomberg himself, and that he was a defendant in another lawsuit charging him and several managers with sexist behavior. She alleges that Bloomberg L.P.'s human resources department was notoriously indifferent towards the sexual harassment complaints of lower-level female employees and lax in its enforcement of policies meant to prevent sex discrimination and harassment. Plaintiff further maintains this was indicative of a "top-down culture that is blatantly hostile towards women" and that, following Bloomberg's lead, sexual harassment is rampant, leaving female employees vulnerable to abuse.

Bloomberg moved to dismiss the complaint against him in its entirety for failure to state a cause of action, arguing that he was not an "employer" within the meaning of the NYCHRL. Upon reargument the court held that plaintiff sufficiently stated claims against Bloomberg as an employer (2018 NY Slip Op 33961[U] [2018]).

On appeal, a divided Appellate Division reversed, holding that plaintiff had failed to allege that Bloomberg qualified as her employer under the NYCHRL because she failed to allege that he encouraged, condoned, or approved the specific conduct which gave rise to the claim (*Doe v Bloomberg L.P.*, 178 AD3d 44, 50-51 [1st Dept 2019]). The majority explained that the NYCHRL could not be read to impose strict liability on any individual holding an ownership stake or leadership position in a company, because doing so would increase the number of individuals who could be held strictly liable and would hold vicariously liable any individual owner or high-ranking executive of any corporation in New York City, in contravention of the principles underlying New York corporate law. The dissenting Justices argued that the majority disregarded the plain wording of the NYCHRL detailing when an employer is strictly liable for the discriminatory conduct of its employees and agents and the general judicial principle that anti-discrimination laws should be liberally construed.

III.

On a motion to dismiss pursuant to CPLR 3211 (a) (7), the Court must “accept the facts as alleged in the complaint as true, accord plaintiff[] the benefit of every possible favorable inference, and determine only whether the facts as alleged fit within any cognizable legal theory” (*Leon v Martinez*, 84 NY2d 83, 87-88 [1994]). “Accepting the allegations as true, [the Court’s] sole criterion is whether the pleading states a cause of action, and if from its four corners factual allegations are discerned which taken together manifest any cause of action cognizable at law a motion for dismissal will fail” (*Polonetsky v Better Homes Depot*, 97 NY2d 46, 54 [2001] [internal quotation marks and citation omitted]).

Assuming the facts alleged about Bloomberg’s role vis-à-vis Bloomberg L.P., the next step is to consider whether he is an “employer” for purposes of the NYCHRL. I agree with the majority that the Appellate Division’s reasoning is erroneous. Indeed, as one of the principal drafters of the amendments to the NYCHRL has explained, “[s]ection 8-107(13)(b)(1) imposes no requirement that the employer encourage, condone, or acquiesce in the conduct,” because the Council sought to impose strict liability on employers (Craig Gurian, *A Return to Eyes on the Prize: Litigating Under the Restored New York City Human Rights Law*, 33 Fordham Urb LJ 255, 270-271 and n 66 [2006]). Rather, whether a party is an “employer” for purposes of the NYCHRL turns on their relationship to the plaintiff and the workplace. In other words, the starting point is not whether a party will be strictly liable for the actions of another; the measure of liability is the end point, to be considered after the party is established to be an employer. That is where our agreement ends because the majority essentially replicates this flaw in its analysis and adopts an overly narrow rule that undermines the purpose of the NYCHRL. The majority concludes that because plaintiff worked for a business entity, vicarious liability can only be imposed on Bloomberg L.P., not Bloomberg the individual. But the NYCHRL does not limit “employer” to any single party, and the NYCHRL’s use of that term is not subordinate to principles of corporate or agency law. The purpose, public policy, and text of the NYCHRL do not tolerate the majority’s interpretation of “employer,” which allows owners to avoid vicarious liability, not by compliance with the NYCHRL but by adoption of a business model intended for a different purpose—to maximize profit and limit investor debt liability.

The majority incorrectly assumes that principles of *corporate* liability resolve the questions presented on this appeal. The business here, however, is a limited partnership, which, under New York law, passes some personal risks onto the business's partners, and defendant allegedly occupies a commanding role in the company (*see e.g. Ederer v Gursky*, 9 NY3d 514, 522 [2007] ["Just as a principal is liable for the acts of its agents, each partner is personally responsible for the acts of other partners in the ordinary course of the partnership's business"]). The majority insists that the difference between a corporation and a limited partnership is irrelevant and that, in any event, partners in limited partnerships would not face liability on the facts presented on this appeal. This is incorrect; even limited partners will become liable as general partners when they "take[] part in the control of the business" (Partnership Law § 96). In contrast, shareholders' liability does not increase as they accumulate more shares in the corporation.⁸

The parties dispute the definition of "employer" as it relates to section 8-107 (13) (b), which outlines when an employer may be held liable for the unlawful discriminatory act of an employee or agent. The provision states,

"An employer shall be liable for an unlawful

8. While the majority asserts that the structure of the business entity has no bearing on its liability here (majority op at 461), that contention has no basis in the laws of this state. For instance, even a brief review of Partnership Law § 26 demonstrates the overbreadth of the majority's rule. Section 26 (c) (i) provides that "each partner, employee or agent of" a limited liability partnership (LLP) "shall be personally and fully liable and accountable for any negligent or wrongful act or misconduct committed by . . . any person under [their] direct supervision and control while rendering professional services on behalf of" the LLP (*see also* Partnership Law § 26 [c] [ii] [extending the same liability to "each shareholder, director, officer, member, manager, partner, employee and agent of" a business entity that is a partner in a LLP]). In other words, the Partnership Law affirmatively contemplates vicarious liability for partners of LLPs (and, in the case of corporate partners of LLPs, for their officers and shareholders) for the wrongful acts of supervisees under their control. (The majority mischaracterizes this liability as applying only to "unsatisfied judgments" [majority op at 461].) This statutorily authorized vicarious liability is markedly different from the liability faced by a corporation's shareholders and officers and, therefore, demonstrates the inaccuracy of the majority's claim that, irrespective of the "the structure of the employer business at issue," the same principles of liability apply (*id.*). Second, this statutory liability undermines the majority's contention that extending "broad vicarious liability for employers [under the NYCHRL] . . . to individual owners, officers, employees, or agents of a business entity" (*id.* at 462) would mark a radical departure from "settled legal principles" of the liability of business entities (*id.* at 461).

discriminatory practice based upon the conduct of an employee or agent . . . only where:

“(1) The employee or agent exercised managerial or supervisory responsibility; or

“(2) The employer knew of the employee’s or agent’s discriminatory conduct, and acquiesced in such conduct or failed to take immediate and appropriate corrective action; an employer shall be deemed to have knowledge of an employee’s or agent’s discriminatory conduct where that conduct was known by another employee or agent who exercised managerial or supervisory responsibility; or

“(3) The employer should have known of the employee’s or agent’s discriminatory conduct and failed to exercise reasonable diligence to prevent such discriminatory conduct” (Administrative Code § 8-107 [13] [b]).

Both parties agree that section 8-107 (13) (b), while indicating *when* an employer is liable for the unlawful discriminatory acts of an employee or agent, does not, on its own, define *who* is an employer in the first instance.⁹

Section 8-102, titled “Definitions,” states that

“the term ‘employer’ does not include any employer that has fewer than four persons in the employ of such employer at all times during the period beginning twelve months before the start of an unlawful discriminatory practice and continuing through the end of such unlawful discriminatory practice, provided however, that in an action for unlawful discriminatory practice based on a claim of gender-based harassment pursuant to subdivision one of section 8-107, the term ‘employer’ shall include any employer, including those with fewer than four persons in their employ. For purposes of this defini-

9. Section 8-107 (13) (d) allows an employer to present mitigation evidence when facing liability based on the conduct of its employees, agents, or independent contractors. The employer may show, for example, that it established policies and procedures for preventing and detecting unlawful discrimination, such as robust reporting processes and mechanisms for dealing with employees found to have discriminated; additionally, an employer may show that it has a record of no, or relatively few, prior incidents of discrimination (*see* Administrative Code § 8-107 [13] [d]).

tion, (i) natural persons working as independent contractors in furtherance of an employer's business enterprise shall be counted as persons in the employ of such employer and (ii) the employer's parent, spouse, domestic partner or child if employed by the employer are included as in the employ of such employer."

The NYCHRL contains no further explication of what constitutes an employer, except by differentiation and implication. The NYCHRL distinguishes employer from various subordinate actors, namely "employee," "agent," an employee or agent who exercises "managerial or supervisory responsibility," "independent contractor," and "intern" (*id.*). Also distinguished are a "labor organization"—which deals with employers—and an "employment agency"—responsible for procuring employees or work opportunities (*id.*).

Bloomberg does not fall within any of these defined categories of actors. He is not a subordinate; he was at all relevant times and remains the majority owner, president, CEO, and co-founder of the business that bears his name. Further, plaintiff alleges that, from his high-level position, he fostered the sexist culture that created the sexually hostile workplace she joined, thereby connecting him to the alleged conduct of defendant Ferris. It takes no great leap of logic to conclude that the owner of a business is the employer of those who work for the business. This is why, for instance, the Appellate Division rightly noted that a sole proprietor is an employer for purposes of the NYCHRL (*Bloomberg*, 178 AD3d at 47-48). Nothing in the NYCHRL limits the definition of employer, as applied to an individual, to a sole proprietor. And it is logical to treat an individual with control over the business as an employer in fact, if not in name—particularly given the liability faced by low-level supervisors and managers for their discriminatory conduct. It is, of course, eminently reasonable to hold individuals personally liable for their own discriminatory acts. But it beggars belief that this company's owner—alleged to have fostered a pernicious culture of misogyny that facilitated the egregious conduct to which plaintiff was subjected—should nonetheless escape liability by virtue of his position at the top of the company hierarchy.

Indeed, this commonsensical conclusion is clear from our recent decision in *Griffin v Sirva, Inc.* (29 NY3d 174 [2017]). While I agree with the majority that *Griffin* is not directly on

point (majority op at 459 n 2), that case nonetheless elucidates an important principle for our construction of anti-discrimination statutes. In *Griffin* we recognized that the NYSHRL, like its city counterpart, provides no clear definition of “employer” (29 NY3d at 185, citing *Patrowich v Chemical Bank*, 63 NY2d 541, 543 [1984]). To clarify the term’s meaning, we held that “we need look no further than our own lower courts to determine who is an employer under the Human Rights Law” (*Griffin*, 29 NY3d at 186), recognizing that those lower courts frequently “applied New York common law to make that determination” (*id.*). *Griffin*, then, establishes that state common law cannot be disregarded in determining who counts as an employer under New York anti-discrimination statutes. This is, in fact, the approach prescribed by the United States Supreme Court, which has held that, in the absence of statutory definitions in anti-discrimination legislation, courts should look to the common law to supply those definitions (*see Nationwide Mut. Ins. Co. v Darden*, 503 US 318, 322-323 [1992]; *cf. id.* at 323-324 [“In determining whether a hired party is an employee under the general common law of agency, we consider the hiring party’s right to control the manner and means by which the product is accomplished” (internal quotation marks omitted)]; *see also Gulino v New York State Educ. Dept.*, 460 F3d 361, 371-372 [2d Cir 2006] [holding that, because title VII contains a “nominal” or “unhelpful” definition of “employer,” “the common-law element of control is the principal guidepost that should be followed” (citations and internal quotation marks omitted)]). Applying “common-law principles . . . [to] determine who may be liable as an employer,” requires us to place the “greatest emphasis . . . on the alleged employer’s power ‘to order and control’ the employee in [the employee’s] performance of work” (29 NY3d at 186); here, plaintiff alleges that defendant had a significant degree of power to order and control the work performance of Bloomberg L.P.’s employees. Indeed, she alleges that, while Mayor, he maintained communication with the CEO at that time regarding Bloomberg L.P.’s handling of employee sexual harassment and discrimination claims. Thus, under the relevant common-law principles (reaffirmed in our recent decision in *Griffin*), defendant would qualify as an employer. That the majority cites corporate and agency law purportedly disfavoring finding defendant to be an employer (majority op at 460-461) ultimately matters very little, given that the City Council

has expressed its clear intent that, as between multiple, competing, reasonable interpretations, “we must construe . . . the [NYCHRL] broadly in favor of discrimination plaintiffs” (*Albunio*, 16 NY3d at 477-478).

The Court’s prior decision in *Patrowich v Chemical Bank* (63 NY2d 541 [1984]) is also instructive. In *Patrowich* we held that

“[a] corporate employee, though [such employee] has a title as an officer and is the manager or supervisor of a corporate division, is not individually subject to suit with respect to discrimination based on age or sex under New York’s Human Rights Law or its Labor Law or under the Federal Age Discrimination in Employment Act or Equal Pay Act if [the employee] is not shown to have any ownership interest or any power to do more than carry out personnel decisions made by others” (*id.* at 542 [citations omitted]).

In other words, a corporate employee—including CEOs like defendant—will not be held liable as an employer under the NYSHRL unless “shown to have [an] ownership interest or . . . power to do more than carry out personnel decisions made by others” (*id.*).¹⁰

The majority asserts that this plain language is, actually, quite muddled. Apparently, what the Court meant to say is that a corporate employee is not individually subject to suit under the NYSHRL or the State Labor Law—full stop. Separately, a corporate employee is not subject to suit under the Federal Age Discrimination in Employment Act or Equal Pay Act unless it is established that they have an ownership interest or the power to do more than carry out personnel decisions made by others. While the actual text of the opinion contains no punctuation or clarifying language that might indicate that the *Patrowich* Court was drawing such a distinction between the state and federal statutes, this distinction, according to the majority, is evident from the Court’s ensuing

10. The majority attempts to distract from its flawed analysis by claiming I merely criticize but fail to provide a rule by which to discern an employer for purposes of the NYCHRL (majority op at 462-463). I do not concoct a novel “rule” but rather apply the interpretive approach established by common law and precedent. As I clearly state, plaintiff has sufficiently pleaded facts supporting defendant’s ownership interest in the company and his control over the workplace, thereby supporting her claim that he should be treated as an employer. The majority must understand my points of law, given how hard it attempts to counter them.

analysis. Not so. The *Patrowich* Court acknowledged that the NYSHRL “provides no clue to whether individual employees of a corporate employer may be sued under its provisions” (*id.* at 543). The Court also noted that one subdivision of that law distinguished between a certain class of employers and “employee[s] or agent[s] thereof” (*id.* [emphasis omitted]). The majority claims that this portion of the opinion “demonstrat[es] that . . . the State HRL does not render employees liable as individual employers” (majority op at 458). That is a strained and unsupportable reading of the case. In the words of the *Patrowich* Court, that subdivision of the NYSHRL merely “suggested” that individual employees of a corporate employer are not liable (63 NY2d at 543). But even assuming the majority were correct, it would not matter. *Patrowich* considered liability under the NYSHRL while the issue here turns on the meaning of “employer” under the NYCHRL.

Notably, *Patrowich* was the law when the Council amended the NYCHRL in 1991 and 2005. By that time, lower courts had understood the case to stand for the same proposition that I do—that a party will be held vicariously liable when “shown to have [an] ownership interest or [the] power to do more than carry out personnel decisions made by others” (*id.* at 542). We must assume the Council was aware of the state of the law when it amended the NYCHRL (see *People ex rel. Postal Tel. Cable Co. v State Bd. of Tax Commrs.*, 224 NY 167, 183 [1918]; see also *People ex rel. Sibley v Sheppard*, 54 NY2d 320, 325 [1981]; *Easley v New York State Thruway Auth.*, 1 NY2d 374, 379 [1956] [“Legislatures are presumed to know what statutes are on the books”]). Yet, the Council never sought to limit strict liability to the business entity rather than its owners or high-level executives. To the contrary, with each amendment it expanded liability. Indeed, it added employer vicarious liability as part of the 1991 amendments. That is a long time to allow an erroneous interpretation to go uncorrected, especially if, as the majority claims, the interpretation violates tenets of corporate and agency law meant to protect those same actors from liability.

Particularly telling is the fact that the New York State Division of Human Rights brought a number of anti-discrimination enforcement actions against owners and high-ranking employees, which various Appellate Divisions affirmed by citation to *Patrowich* (see e.g. *Matter of State Div. of Human Rights v Steve’s Pier One, Inc.*, 123 AD3d 728, 729 [2d Dept 2014] [hold-

ing that “(s)ubstantial evidence also supports the determination (of the Commissioner of the New York State Division of Human Rights) that . . . the owner and general manager of the restaurant where the complainant was employed at the time . . . is individually liable for the discrimination” and citing *Patrowich*]; *Matter of New York State Div. of Human Rights v ABS Elecs., Inc.*, 102 AD3d 967, 969 [2d Dept 2013] [finding that the “Commissioner . . . properly imposed liability on” an individual manager because “there is substantial evidence in the record that . . . (the manager) had the authority ‘to do more than carry out personnel decisions made by others’” and citing *Patrowich*]; *Matter of State Div. of Human Rights v Koch*, 60 AD3d 777, 777-778 [2d Dept 2009] [holding that “(s)ubstantial evidence . . . supports the (Commisioner’s) determination that (an individual), as owner and president . . . , was individually liable for the discrimination” and citing *Patrowich*]; *Matter of West Taghkanic Diner II, Inc. v New York State Div. of Human Rights*, 105 AD3d 1106, 1109 [3d Dept 2013] [determining that discrimination plaintiff was entitled to enforcement awards against corporation *and* owner of corporation and citing *Patrowich*]; *Matter of New York State Div. of Human Rights v Nancy Potenza Design & Bldg. Servs., Inc.*, 87 AD3d 1365, 1366 [4th Dept 2011] [determining that “respondent . . . , as the owner and president of the employer who condoned sexual harassment, may be held individually liable for the discriminatory actions that damaged the complainant” and citing *Patrowich*]). While it is true that the individuals determined to be employers in these cases *also* took part in the discriminatory conduct, that is also wholly irrelevant. Unlike the NYCHRL, there is no vicarious liability provision under the NYSHRL (*see Forrest*, 3 NY3d at 311 [(“A)n employer cannot be held liable (under state law) for an employee’s discriminatory act unless the employer became a party to it” (internal quotation marks omitted)]).¹¹ Thus, the threshold inquiry before liability attaches under the NYSHRL is whether an individual is an employer. In answering that inquiry, the Appellate Divi-

11. The statute also extends liability to individual non-employers who “aid, abet, incite, compel or coerce” discriminatory conduct (*see* Executive Law § 296 [6]). However, in *Steve’s Pier One*, *ABS Elecs.*, *Koch*, and *West Taghkanic Diner* there do not appear to be any allegations of aiding and abetting. In *Nancy Potenza Design*, the individual owner determined to be an employer under the NYSHRL was alleged to have condoned the discriminatory conduct, rather than having aided and abetted it. Thus, in each of these cases, the Courts were required to decide whether the individual owners and

(n. cont’d)

sion in each of these cases cited *Patrowich*. The majority has put forward no explanation for why so many courts would regularly invoke *Patrowich* if not for its definition of “employer” under the NYSHRL.

The majority may be correct in its implicit assumption that the state agency charged with enforcing the NYSHRL—as well as the courts which upheld that agency’s determinations—were simply mistaken as to what *Patrowich* actually said. However, at a minimum, these decisions show that, for purposes of the NYSHRL, a definition of employer that reaches owners and high-ranking employees is a reasonable one. All the more so, then, would such an interpretation be reasonable under the NYCHRL, whose drafters made perfectly clear that the statute was to be interpreted more broadly than its state counterpart. Put another way, in accordance with the Council’s directive, the NYSHRL is “a floor below which the City’s Human Rights law cannot fall, rather than a ceiling above which the local law cannot rise” (Local Law No. 85 [2005] of City of NY § 1 [emphasis added]).¹²

The majority also suggests that the structure of the NYCHRL precludes finding high-ranking corporate employees and owners vicariously liable (majority op at 459-460). But the subdivisions the majority invokes do no such thing. For instance, the fact that the “City HRL specifically imposes *primary* liability on employees and agents for some discriminatory acts” is irrelevant (*id.* at 459 [emphasis added]). The fact that individuals who directly participate in unlawful discrimination may face personal liability says precisely nothing about any vicarious liability they may *also* face. Thus, the majority’s conclusion that the NYCHRL “conspicuously does not impose vicarious liability on these individuals under section 8-107 (13) (b)” is no more than question-begging (*id.* at 459-460). Similarly, that section 8-107 (13) (b) mentions both the vicariously liable employer *and* the individual employee responsible for the unlawful discrimination cannot possibly illuminate the meaning of the term “employer” for purposes of that subdivision.

managers were, in the first instance, “employers.” In determining that they were, the Courts all relied on *Patrowich*.

12. As of February 8, 2020, the NYSHRL defines “employer” to “include all employers within the state” (Executive Law § 292 [5]). Previously, the NYSHRL applied only to employers with four or more employees. This amendment demonstrates that, contrary to the majority’s holding today, anti-discrimination protections in New York are trending towards *expanding* employer liability for discriminatory conduct.

Lastly, the majority concludes that broad principles of corporate and agency law demonstrate that individual corporate employees and shareholders face no vicarious liability under the NYCHRL. As an initial matter, as I have discussed, Bloomberg L.P. is a limited partnership, and the principles relied upon by the majority are inapplicable. In any event, the majority's conclusion fails to account for the specific allegations that plaintiff has made with respect to defendant. Far from alleging that defendant was a "fellow employee" (majority op at 460, citing *Hardy v Walsh Manning Sec., L.L.C.*, 341 F3d 126, 130 [2d Cir 2003]), plaintiff's factual allegations—which must be deemed true for purposes of assessing the motion to dismiss—identify defendant as co-founder, president, and CEO, who, during his tenure as Mayor, played an outsize role in shaping the company's handling of sexual harassment of the kind plaintiff was subjected to. Plaintiff alleged that Bloomberg's control over the business promoted a culture of sexism and harassment, fostering the unlawful discrimination she suffered. And while the majority concludes that the "text of the City HRL demonstrates no intent to displace these settled legal principles" (majority op at 461), that conclusion can hardly be reconciled with either the legislative intent undergirding the NYCHRL or its unambiguous declaration of that intent.

The structure and legislative history of the NYCHRL make plain its purpose to impose liability broadly. The Council determined that accountability should not be limited to individual bad actors but also to those with controlling authority over those actors. This approach furthers the purpose of rooting out discrimination in all its forms by imposing liability on those who can most effectively bring about change. So, while a person is liable for their own discriminatory conduct (Administrative Code § 8-107 [1] [a]), owners and those with high-level executive status are vicariously liable as employers because they have the power to change the culture and ferret out discrimination in their business (*see* Gurian, *A Return to Eyes on the Prize*, 33 Fordham Urb LJ at 270 n 66 [drafter of the 2005 amendments explaining that the New York City "Council designed the vicarious liability section to, inter alia, hold employers to a high level of liability for employment discrimination" (citation and internal quotation marks omitted)]).

Although the state legislature has expressly permitted vicarious liability in circumstances not dissimilar from the those present in this appeal (*see* n 8, *supra*), the majority nonethe-

less insists that reading the NYCHRL to permit such vicarious liability would not be “reasonable” (majority op at 462-463). This misguided approach—predicated on the misapplication of corporate liability to a limited partnership—makes the majority’s willingness to jettison the requirement of liberal construction in favor of discrimination plaintiffs all the more unsupportable. In any event, even if these “long-standing principles of corporate liability” applied here, it is plainly the intent of the New York City Council to displace those principles to achieve a society in which there is “no tolerance for discrimination in public life” (Rep of Governmental Affairs Div, Comm on Civ Rights at 8, Mar. 8, 2016). Despite this and other unambiguous statements of legislative intent, the majority makes the startling claim that, “given [its] holding [it] need not address any potential conflict between the state statutes delineating corporate or agency liability and employer liability imposed by the City HRL” (majority op 461 n 3)—notwithstanding the fact that its holding only serves to exacerbate that conflict.

IV.

If owners and high-ranking employees wish to avoid strict liability, they simply need to bring their business into compliance with the NYCHRL and purge discrimination from their workplace. The Council sought to encourage such conduct both by imposing vicarious liability on employers and providing the opportunity for mitigation of liability with proof of diligent efforts to achieve a discrimination-free workplace (Administrative Code § 8-107 [13] [d]). For example, an employer may avoid vicarious liability by proving that it established a “meaningful and responsive procedure for investigating complaints” of discrimination by employees or by demonstrating a “record of no, or relatively few, prior incidents of discriminatory conduct” by employees (*id.* § 8-107 [13] [d] [1] [i]; [2]). The Council was within its authority to choose both the carrot and the stick to further its progressive, robust anti-discrimination agenda.

Leadership starts at the top. Legal scholarship on workplace sexual harassment has long identified the “top-down” nature of discriminatory workplace cultures. Scholars have noted that CEOs play a powerful role in shaping workplace cultures, either hampering or fostering discriminatory behavior, even when they have not personally discriminated against an individual plaintiff:

“For men to behave more responsibly toward their

female colleagues, they must work in a corporate culture that supports and affirms gender equity The chief executive officer (CEO) establishes that culture. Male employees and managers will adapt to the corporate culture in order to survive and succeed within that culture. It seems, therefore, that for companies to change, the men who work for them must change. The best way to inspire change among male executives, managers, and employees is to inspire change among America's CEOs" (see Cheryl L. Wade, *Transforming Discriminatory Corporate Cultures: This is Not Just Women's Work*, 65 Md L Rev 346, 347 [2006]).

In other words, ensuring that powerful individuals at the top of powerful companies face liability when their managers repeatedly harass and assault vulnerable employees provides the employer with exactly the sort of incentive to "curb bias" that Mayor Dinkins hoped the 1991 amendments to the NYCHRL would accomplish.

The recent emergence of the #MeToo movement laid bare the extent to which sexual harassment is common within business entities, where powerful company executives both tolerate and foster sexism in their ranks. For decades, businesses "would avoid liability by proliferating policies and offering trainings in cultures in which sexual harassment festered" (Amelia Miazad, *Sex, Power, and Corporate Governance*, 54 UC Davis L Rev [forthcoming 2021]). However, "#MeToo . . . exposed just how anemic sexual harassment training programs are" (*id.*). Male-dominated business cultures facilitate sexual harassment, and, recently, such cultures have become sources of concern for stakeholders (see *e.g.* verified derivative complaint at 1-2 in *City of Monroe Employees' Retirement Sys. v Murdoch*, Del Ch, No. 2017-0833 [filed Nov. 20, 2017]; fifth amended class action complaint at 61 in *In re Signet Jewelers Ltd. Sec. Litig.*, US Dist Ct, SD NY, No. 1:16-cv-06728-JMF [filed Mar. 22, 2018], available at 2018 WL 2191300). As the legal scholarship suggests, these derivative actions have shifted the focus from mere compliance with sexual harassment training programs to accountability for high-ranking executives (see Miazad, *Sex, Power, and Corporate Governance*, 54 UC Davis L Rev). The majority bucks this welcomed trend, ignores clear legislative direction, and embraces an exceedingly narrow approach to the

NYCHRL which would hold liable only those lower-ranking employees who commit discriminatory acts, while leaving higher-ups (who may be the chief architects of these discriminatory workplace cultures) exempt from the NYCHRL's vicarious liability provisions.

Assume the following hypothetical: A person who is the founder and sole owner of a business adopts a policy that no female shall be promoted to a managerial position. The owner then transforms the business into a limited partnership, and holds positions of majority owner, president, and CEO. The person subsequently leaves for another opportunity but retains status as an owner and appoints a successor as CEO. The policy of no female managers remains unchanged. A few years later, the person returns to the business and retakes the reins as CEO. The policy continues throughout this entire period, even as internal complaints increase and litigation ensues, challenging the policy. Under the majority's rule, a victim of the discriminatory policy cannot sue the architect of that policy for the actions of the managers and supervisors who effectuated that policy. That is the case even if the person holds a 99% ownership interest in the business. According to the majority, if this person structured the business in such a way as to shield themselves from individual liability for the company's debts, then they must also be shielded from liability for expressly promoting discrimination as well, regardless of their control of the workplace.¹³ That undermines the NYCHRL, which holds employers vicariously liable for the actions of supervisors.

In contrast, the interpretation I adopt ensures accountability from the top down. Owners cannot escape the consequences of the policies that they impose or the cultures that they foster within their businesses. Owners would thus diligently ensure full compliance with the NYCHRL, knowing that, if they did not, they would face vicarious liability for their supervisors' actions.

13. Supreme Court dismissed plaintiff's aiding and abetting claim pursuant to Administrative Code § 8-107 (6). As plaintiff's counsel explained in oral argument, lower courts have interpreted the NYCHRL's aiding and abetting provision to be limited to the specific discriminatory conduct charged. Plaintiff did not appeal this portion of the decision below, and so I take no position on the correctness of Supreme Court's interpretation of section 8-107 (6).

V.

A majority of the Court has departed once more from our mandate to “construe . . . the [NYCHRL] broadly in favor of discrimination plaintiffs, to the extent that such a construction is reasonably possible” (*Albunio*, 16 NY3d at 477-478). As it did in *McGrath*, the majority rejects the plain language of the NYCHRL, declining—despite an expression of legislative intent that could hardly be clearer—to adopt the reasonable definition of employer that would be most favorable to discrimination plaintiffs. This error is particularly troubling because, unlike the *McGrath* Court, which did not have the benefit of the Court’s opinion in *Albunio*, the majority today is entirely aware of our obligation to construe the statute in this way. Nonetheless, it refuses to do so.

A proper definition of “employer” would enforce the rule that every workplace—including those controlled by a limited partnership—is subject to the prohibitions of the NYCHRL. The NYCHRL holds owners accountable for discrimination and all employees are subject to its protections, regardless of how owners structure their businesses.

Chief Judge DiFIORE and Judges STEIN, FAHEY, WILSON and FEINMAN concur; Judge RIVERA dissents in an opinion.

Order affirmed, with costs.

[167 NE3d 478, 143 NYS3d 310]

In the Matter of WENCESLAO JUAREZ et al., Respondents, v
NEW YORK STATE OFFICE OF VICTIM SERVICES et al., Appel-
lants.

Argued January 6, 2021; decided February 18, 2021

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered January 31, 2019. The Appellate Division modified, on the law, a judgment (denominated decision, order & judgment) of the Supreme Court, Albany County (Richard Platkin, J.), entered in a combined proceeding pursuant to CPLR article 78 and action for declaratory judgment, which had granted in part and denied in part respondents' motion for summary judgment dismissing the petition/complaint. The modification consisted of (1) reversing so much thereof as had granted respondents' motion for summary judgment dismissing that part of the petition/complaint which (a) sought a declaration that 9 NYCRR 525.9 as amended improperly limits counsel fee awards by respondent Office of Victim Services to those incurred in administrative appeals and/or judicial review, and (b) sought to annul the amended regulations to that extent; (2) denying the motion to that extent; (3) annulling said amendments to 9 NYCRR 525.9; and (4) remitting the matter to respondent Office of Victim Services for reconsideration of the applications for counsel fee awards. The Appellate Division affirmed the judgment as modified.

Matter of Juarez v New York State Off. of Victim Servs., 169 AD3d 52, reversed.

HEADNOTES

Administrative Law — Rulemaking — Regulations Limiting Counsel Fee Awards to Crime Victims

1. The amended regulations of respondent New York State Office of Victim Services limiting attorneys' fee awards for crime victim claimants to the costs incurred on applications for administrative reconsideration or appeal and on judicial review are consistent with Executive Law article 22 and rationally implement the statutory limitation that only attorneys' fees that are "reasonable" and "reasonably incurred" may qualify for reimbursement (Executive Law § 626 [1]). The statute, when read as a whole, grants respondent the authority to determine whether attorneys' fees are "reasonable." The legislature directed respondent to adopt rules for the approval of attorneys' fees for representation before it and the Appellate Division. However, the

statutory language also expressly states that reimbursable out-of-pocket loss “shall also include . . . the cost of reasonable attorneys’ fees for representation before [respondent] and/or before the [A]ppellate [D]ivision upon judicial review” (Executive Law § 626 [1]). Because Executive Law article 22 permits respondent to reimburse only fees that are “reasonable,” but is silent with regard to the parameters of what is reasonable, the legislature necessarily granted respondent the authority to determine the scope of that term. Inasmuch as the legislature left the definition of the term “reasonable” to respondent, the statute is silent as to how respondent is to address fees for the various stages of a claim, and nothing in the statutory scheme prohibits respondent from deeming certain categories of fees unreasonable, the regulation does not conflict with the statute.

Administrative Law — Rulemaking — Regulations Limiting Counsel Fee Awards to Crime Victims — Fees for Tasks in Early Stages of Claim

2. In promulgating new regulations limiting attorneys’ fees awards for crime victim claimants to costs incurred in connection with administrative or judicial review, respondent New York State Office of Victim Services’s determination that fees for tasks occurring in the early stages of a claim are not reasonable expenses qualified for reimbursement was rational and not in conflict with preexisting regulations providing for counsel fee awards based on case-specific factors set forth in 9 NYCRR 525.9 (d). One of the factors is “the skill requisite to perform the legal service properly” (9 NYCRR 525.9 [d] [1]). The new regulations act to clarify this factor by making explicit that reimbursement of attorneys’ fees is not available for the initial filing of a claim because it is a relatively simple task, and Victim Assistance Programs (VAPs) are available to assist claimants in any instance in which the initial claim process is more complicated. The questions of whether reimbursement for attorneys’ fees is reasonable for the types of tasks involved in those stages of the process and whether VAPs are capable of adequately assisting claimants with such tasks are matters involving respondent’s expertise and experience with the process, and respondent rationally relied on that experience in determining that requests for attorneys’ fees in connection with those tasks are not “reasonable” within the meaning of Executive Law § 626. Moreover, respondent’s regulations defining “reasonable” attorneys’ fees represent an attempt to conserve its resources for use in the compensation of losses suffered by crime victims, rather than for attorneys’ fee awards it deemed unreasonable, consistent with the fundamental purpose of the statute to provide “aid, care and support . . . , as a matter of grace, for . . . victims of crime” and their dependents (Executive Law § 620).

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Administrative Law §§ 215, 216, 219–222, 463.
McKINNEY’S, Executive Law §§ 620, 626 (1).
9 NYCRR 525.9 (d).
NY JUR 2d Administrative Law §§ 53, 55, 320, 321; NY
JUR 2d State of New York § 113.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Rules and Regulations.

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POINTS OF COUNSEL

Letitia James, Attorney General, Albany (Owen Demuth, Barbara D. Underwood, Jeffrey W. Lang and Victor Paladino of counsel), for appellants. Respondent New York State Office of Victim Services's amended regulations governing attorneys' fees are a lawful and rational exercise of respondent's statutory authority. (Kuppersmith v Dowling, 93 NY2d 90; Matter of City of New York v State of N.Y. Commn. on Cable Tel., 47 NY2d 89; Matter of Regan v Crime Victims Compensation Bd., 57 NY2d 190; Matter of Acevedo v New York State Dept. of Motor Vehs., 29 NY3d 202; Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib., 2 NY3d 249; Matter of Bernstein v Toia, 43 NY2d 437; Matter of Kigin v State of N.Y. Workers' Compensation Bd., 24 NY3d 459; Matter of Medical Socy. of State of N.Y. v Serio, 100 NY2d 854; Andryeyevea v New York Health Care, Inc., 33 NY3d 152; Matter of Consolation Nursing Home v Commissioner of N.Y. State Dept. of Health, 85 NY2d 326.)

Boies Schiller Flexner LLP, Albany (George F. Carpinello and Mark A. Singer of counsel), for respondents. The Appellate Division, Third Department's order should be affirmed because respondent New York State Office of Victim Services's interpretation of the Executive Law is erroneous and not entitled to deference. (Matter of Regan v Crime Victims Compensation Bd., 57 NY2d 190; Matter of Goldstein v State of New York, 188 Misc 2d 524; Matter of Goldstein v New York State Indus. Bd. of Appeals, 292 AD2d 706; Matter of Ferro v Lavine, 46 AD2d 313; Matter of New York Constr. Materials Assn., Inc. v New York State Dept. of Envtl. Conservation, 83 AD3d 1323; Matter of United Univ. Professions v State of New York, 36 AD3d 297; Matter of Visiting Nurse Serv. of N.Y. Home Care v New York State Dept. of Health, 5 NY3d 499; Kurcsics v Merchants Mut. Ins. Co., 49 NY2d 451; Matter of Freeman, 34 NY2d 1; Board of Trustees of the Vil. of Groton v Pirro, 170 AD3d 1479.)

OPINION OF THE COURT

STEIN, J.

Regulations of the Office of Victim Services (OVS), as amended in January 2016, limit attorneys' fee awards for crime victim claimants to the costs incurred on applications for administrative reconsideration or appeal and on judicial review (9 NYCRR 525.3, 525.9). The question presented on this appeal is whether these regulations conflict with the authorizing statute, Executive Law article 22, or are otherwise irrational. We hold that the regulations are fully consistent with the governing statutory language and purpose, within OVS's authority, and rational.

I.

Executive Law article 22 effectuates "the legislature's intent that aid, care and support be provided by the state, as a matter of grace, for . . . victims of crime" and their dependents (Executive Law § 620). OVS administers the provisions of article 22 and is authorized to "hear and determine all claims for awards filed with the office . . . and to reinvestigate or reopen cases as necessary" (*id.* § 623 [5]). The parties agree that the statute empowers OVS to reimburse victims for "out-of-pocket loss," which is defined as "unreimbursed and unreimbursable expenses or indebtedness *reasonably* incurred for medical care or other services necessary as a result of the injury upon which such claim is based" and "shall also include . . . the cost of *reasonable* attorneys' fees for representation before the office and/or before the [A]ppellate [D]ivision upon judicial review not to exceed [\$1,000]" (*id.* § 626 [1] [emphasis added]). OVS is required to "adopt, promulgate, amend and rescind suitable rules and regulations to carry out the provisions and purposes of" the statute, "including . . . rules for the approval of attorneys' fees for representation before the office and/or before the [A]ppellate [D]ivision upon judicial review . . . , and rules for the authorization of qualified persons to assist claimants in the preparation of claims for presentation to the office" (*id.* § 623 [3]).

As relevant here, OVS regulations formerly provided that claimants had a "right to be represented . . . at all stages of a claim" (9 NYCRR former 525.9 [a]) and, "[w]henever an award [was] made to a claimant who [was] represented by an attorney, [OVS was required to] approve a reasonable fee commensurate with the services rendered, up to \$1,000," unless the request for attorneys' fees was premised on a claim "submitted without legal or factual basis" (9 NYCRR former 525.9 [c]). OVS

acknowledges that this meant that attorneys' fees, if reasonable, were available at all stages of a claim. However, effective January 13, 2016, OVS amended 9 NYCRR 525.9 to provide that "[a]ny claimant . . . may choose to be represented before [OVS], at any stages of a claim, by an attorney-at-law . . . and/or before the Appellate Division upon judicial review of the office's final determination," but "only those fees incurred by a claimant during: (1) the administrative review for reconsideration of such decision . . . ; and/or (2) the judicial review of the final decision of [OVS] . . . may be considered for reimbursement" (9 NYCRR 525.9 [a]). The new regulations expressly define "[r]easonable attorney's fees for representation before the office and/or before the [A]ppellate [D]ivision upon judicial review" to mean only reasonable fees incurred during the explicitly enumerated stages of the claim process (9 NYCRR 525.3 [h]). The amendments did not alter the preexisting regulation setting forth "factors to be considered in determining the reasonableness of a fee," which include "the time and labor required [of the attorney], the novelty and difficulty of the questions involved, and the skill requisite to perform the legal service properly," and "whether any part of the cost of the legal service provided to the claimant has been paid or is payable by a third party" (9 NYCRR 525.9 [d] [1], [6]).

OVS issued a regulatory impact statement indicating that the "purpose of th[e] rule change [wa]s to limit attorney's fees pursuant to article 22 of the Executive Law" (NY Register, Nov. 10, 2015 at 42). OVS stated that the amendments were "designed to conform the regulations to the enacting statute," explaining that the prior regulations permitted claimants to recover attorneys' fees that "far exceed[ed]" the "*reasonable expenses*" specified under Executive Law § 626 (1) (*id.* at 43 [emphasis added]). OVS indicates that Victim Assistance Programs (VAPs) are federally funded with a state match, and it emphasized in its regulatory impact statement that it "fund[ed] 228 [VAPs] across New York State, distributing in excess of \$35 million to these programs to assist and advocate on the behalf of victims and claimants" (*id.*). The required services provided by the VAPs include, among other things, "assist[ing] victims and/or claimants in completing and submitting OVS applications and assist[ing] claimants through the claim process" (*id.*). OVS determined that the legislature did not intend that attorneys' fees incurred in relation to assistance within the scope of services provided by VAPs would be considered reasonable under the statute.

The individual petitioners herein are crime victims who were represented by petitioner Gordon, Jackson & Simon in their applications for awards from OVS. As relevant here, petitioners Michelle Soriano and Daniel Velez filed their applications in 2016, after the effective date of OVS's amended regulations; Soriano was awarded \$125 and Velez was awarded \$365. Soriano also filed a separate emergency application for moving expenses, which included 23 supporting attachments. That application was granted and Soriano was awarded approximately \$1,400 in moving and storage expenses. However, OVS denied the requests of both Soriano and Velez for attorneys' fees, and for reconsideration of those requests, on the ground that the fees sought did not relate to assistance obtained in connection with administrative or judicial review. Soriano and Velez did not make separate applications for attorneys' fees in applying for reconsideration.

Thereafter, petitioners commenced this combined CPLR article 78 proceeding and declaratory judgment action in December 2016, arguing in pertinent part that the amended regulations and the denials of Soriano's and Velez's attorneys' fee requests were arbitrary and capricious. In that regard, petitioners asserted that the 2016 amendments were contrary to the plain language of the Executive Law and the legislature's intent that attorneys' fees be awarded "for representation before the office," without restriction.

Supreme Court, as relevant here, granted OVS's subsequent motion for summary judgment and declared that the amendments "constitute an appropriate and lawful exercise of OVS's authority under [a]rticle 22 of the Executive Law to adopt rules governing the approval of reasonable attorneys' fees for representation before [OVS]." The court held that OVS's statutory authority to adopt regulations "governing the approval of attorneys' fees for representation before the agency, together with the agency's duty to award only reasonable reimbursement to crime victims, provide a sufficient statutory predicate for excluding attorneys' fees incurred in the preparation and submission of claims as . . . 'not reasonable expenses.'" Finally, Supreme Court concluded that neither the amended regulations, themselves, nor their application to Soriano's and Velez's fee requests, resulting in the denial thereof, were arbitrary and capricious.

Upon petitioners' appeal, the Appellate Division modified and, in relevant part, annulled the amendments to 9 NYCRR

525.9 (169 AD3d 52 [3d Dept 2019]). The Court held that “[t]he provisions in the amended regulations that limit counsel fee awards for crime victims to administrative appeals and judicial review are inconsistent with the language and purposes of Executive Law article 22 and in excess of the authority of OVS” (*id.* at 60). Noting that “Executive Law § 626 (1) requires OVS to reimburse crime victims for out-of-pocket loss, which ‘shall . . . include . . . the cost of reasonable attorneys’ fees for representation before [OVS] and/or before the [A]ppellate [D]ivision upon judicial review,’” the Court determined that there is “no authorization in the statute’s plain language for OVS to conclude that counsel fees are *never* ‘reasonable’ during the early stages of a claim and, thus, to categorically exclude awards of counsel fees for such representation in *every* instance” (169 AD3d at 57). The Court also concluded that the amended regulations conflict with another OVS regulation—9 NYCRR 525.9 (d)—which “requires OVS to determine the reasonableness of a counsel fee award based upon specified factors,” explaining that “[t]hese factors necessarily contemplate a case-by-case examination of the circumstances of each claim” (169 AD3d at 58), and rejected, as contrary to the record, OVS’s assertion, based on the agency’s experience, that the initial submission of a claim is a simple process (*id.* at 58-59).

II.

Neither party disputes the determination of the Appellate Division that Executive Law article 22 “requires OVS to reimburse crime victims for out-of-pocket loss, which ‘shall . . . include . . . the cost of reasonable attorneys’ fees for representation before [OVS] and/or before the [A]ppellate [D]ivision upon judicial review’” (169 AD3d at 57, quoting Executive Law § 626 [1]). Their disagreement on this appeal concerns OVS’s interpretation of the term “reasonable” as reflected in the amended regulations. We conclude that, as OVS argues, the directive in Executive Law § 623 (3) that OVS adopt “rules for the approval of attorneys’ fees for representation before the office and/or before the [A]ppellate [D]ivision upon judicial review” must be read together with the provision that only attorneys’ fees that are “reasonable” and “reasonably incurred” may qualify for reimbursement (Executive Law § 626 [1]), and that OVS’s regulations rationally implement that statutory limitation.

Administrative agencies have “all the powers expressly delegated to [them] by the Legislature” (*Matter of Consolidated*

Edison Co. of N.Y. v Department of Envtl. Conservation, 71 NY2d 186, 191 [1988]), and are “permitted to adopt regulations that go beyond the text of [their] enabling legislation, so long as those regulations are consistent with the statutory language and underlying purpose” (*Matter of Acevedo v New York State Dept. of Motor Vehs.*, 29 NY3d 202, 221 [2017]). While “an administrative agency may not, in the exercise of rule-making authority, engage in broad-based public policy determinations” (*Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249, 254 [2004], quoting *Rent Stabilization Assn. of N.Y. City v Higgins*, 83 NY2d 156, 169 [1993], *cert denied* 512 US 1213 [1994]), “[t]he cornerstone of administrative law is . . . the principle that the Legislature may declare its will, and after fixing a primary standard, endow administrative agencies with the power to fill in the interstices in the legislative product by prescribing rules and regulations consistent with the enabling legislation” (*Matter of Nicholas v Kahn*, 47 NY2d 24, 31 [1979]). As we have long recognized, “it is not necessary that the Legislature supply administrative officials with rigid formulas in fields where flexibility in the adaptation of the legislative policy to infinitely variable conditions constitute the very essence of the programs” (*id.*).

Stated differently, “where flexibility is required to enable an administrative agency to adapt to changing conditions, it is sufficient if the Legislature confers broad power upon the agency to fulfill the policy goals embodied in the statute, leaving it up to the agency itself to promulgate the necessary regulatory details” (*Matter of Consolidated Edison Co. of N.Y.*, 71 NY2d at 191). The standard for judicial review of those regulatory details “‘is whether the regulation has a rational basis and is not unreasonable, arbitrary or capricious’” (*Matter of Acevedo*, 29 NY3d at 226, quoting *Matter of Consolation Nursing Home v Commissioner of N.Y. State Dept. of Health*, 85 NY2d 326, 331 [1995]). Where the legislature has left to an agency’s discretion the determination of “what specific standards and procedures are most suitable to accomplish the legislative goals,” the agency’s rulemaking, “[i]f . . . reasonably designed to further the regulatory scheme, . . . cannot be disturbed by the courts unless it is arbitrary, illegal or runs afoul of the enabling legislation or constitutional limits” (*Matter of Mercy Hosp. of Watertown v New York State Dept. of Social Servs.*, 79 NY2d 197, 204 [1992])—regardless of our as-

assessment of the “wisdom” of the agency’s approach (dissenting op at 507). The questions before us, then, are whether the amended regulations are inconsistent with the statutory text; and, if not, whether they are “‘so lacking in reason’ that they are ‘essentially arbitrary’” (*Matter of Acevedo*, 29 NY3d at 226-227, quoting *Kuppersmith v Dowling*, 93 NY2d 90, 96 [1999]).

[1] Here, petitioners’ argument and the dissent’s reasoning are flawed in that they overlook that the statute, when read as a whole, grants OVS the authority to determine whether attorneys’ fees are “reasonable.” Specifically, the legislature directed OVS to adopt rules for the approval of attorneys’ fees for representation before it and the Appellate Division (*see* Executive Law § 623 [3]). However, the statutory language also expressly states that reimbursable out-of-pocket loss “shall also include . . . the cost of *reasonable* attorneys’ fees for representation before the office and/or before the [A]ppellate [D]ivision upon judicial review” (*id.* § 626 [1] [emphasis added]). Petitioners focus primarily on the language in the statute providing that OVS “shall” reimburse attorneys’ fees, while concomitantly ignoring the statutory limitation that OVS reimburse such fees only if they are “reasonable.” It bears emphasis that the statute itself—as opposed to OVS’s own regulations—does not define the term “reasonable.” Nor does the statutory scheme dictate any relevant factors that OVS must consider or set forth a rigid formula to be used in determining whether attorneys’ fees are reasonable; rather, the legislature authorized and required OVS to determine what factors should be considered or what formula should be used—not simply how much to reimburse an attorney within the statutory limit of \$1,000 (*cf.* *Matter of Regan v Crime Victims Compensation Bd.*, 57 NY2d 190, 195-196 [1982] [annulling an award on the ground that “serious financial hardship”—a term left to the Crime Victims Compensation Board to define—had not been established because the statute specifically required the Board to “consider all of the financial resources of the claimant,” but the Board’s rules exempted a wide variety of assets and income from consideration as part of claimant’s financial resources]). Because Executive Law article 22 permits OVS to reimburse only fees that are “reasonable,” but is silent with regard to the parameters of what is reasonable, the legislature necessarily granted OVS the authority to determine the scope of that term. In other words, the definition of the term “reasonable” was left to OVS’s discretion.

Critically, the legislative silence regarding what constitutes a “reasonable” fee does not create a conflict between the statute and the agency’s regulations. Unlike the rules at issue in *Regan*, the regulations challenged here do not permit OVS to disregard any factors that the legislature has explicitly required it to consider. Rather, the purpose of the amended regulations was to clarify which fees OVS would consider as falling within the meaning of the broad statutory term “reasonable,” consistent with the statutory directive that OVS “adopt . . . rules for the approval of attorneys’ fees for representation before the office and/or before the [A]ppellate [D]ivision upon judicial review” (Executive Law § 623 [3]). Petitioners and the dissent argue that attorneys’ fees must be awarded based on case-specific factors, but they can point to nothing in the statute that requires OVS to determine all aspects of fee applications on a case-by-case basis. Nor is there anything in the statutory language prohibiting OVS, in promulgating the challenged regulations, from making a categorical judgment that attorneys’ fees incurred in connection with the initial claim stage are not “reasonable” within the meaning of Executive Law § 626 (1). Inasmuch as the legislature left the definition of the term “reasonable” to OVS, the statute is silent as to how OVS is to address fees for the various stages of a claim,¹ and nothing in the statutory scheme prohibits OVS from deeming certain categories of fees unreasonable, the regulation does not conflict with the statute.² Further, it cannot be said that the agency “use[d] its enabling statute as a basis for drafting a

1. The lower courts disagreed on whether Executive Law § 623 (3) recognizes a distinction between “representation before [OVS]”—for which attorneys’ fees may be recovered—and “assist[ing] claimants in the preparation of claims.” As Supreme Court observed, the language of section 623 (3) separately directs OVS to promulgate “rules for the approval of attorneys’ fees for representation before the office” and “rules for the authorization of qualified persons to assist claimants in the preparation of claims for presentation to the office,” implying that representation and preparation of claims for presentation are separate stages of the claim process. The statute also requires OVS regulations to “provide for . . . written notification to an applying victim of their right to representation by counsel, as well as their potential eligibility for an award of attorney’s fees pursuant to [section 626 (1)]” (*id.* § 627 [1] [a]). In providing that OVS need not notify a victim of the right to counsel until after an application has been filed, the statute again distinguishes between the initial application stage and representation before the office.

2. Petitioners repeatedly argue that the question before this Court is one of pure statutory interpretation that turns only on an analysis of the “plain language” of the statutory terms. However, to the extent they argue that

(n. cont’d)

code embodying its own assessment of what public policy ought to be” (*Matter of Acevedo*, 29 NY3d at 222 [internal quotation marks and citation omitted]) or contradicted the public policy embodied in the statutory scheme. Rather, OVS simply defined a term—“reasonable”—that the legislature directed it to define (see *Matter of Bernstein v Toia*, 43 NY2d 437, 440, 448 [1977] [upholding a DSS regulation fixing maximum, flat-grant shelter allowances without “making provision for exceptions due to circumstances peculiar to individual recipients” where the authorizing statute “itself (was) not explicit as to whether grants for shelter sh(ould) be fixed by the employment of flat grants or by special grants”]; see generally *Matter of Acevedo*, 29 NY3d at 220 [rejecting the argument that the Commissioner of the Department of Motor Vehicles contravened a “statutory mandate to exercise discretion on a case by case basis by adopting hard and fast rules that are waivable only under limited circumstances” because the Commissioner was granted exclusive, discretionary authority over relicensing of certain individuals convicted of driving while intoxicated, and “the Commissioner d(id) not abdicate her discretion by formalizing it”]).

III.

In light of our conclusion that the amended regulations do not conflict with the statute, the question before the Court distills to whether OVS rationally determined that attorneys’ fees for tasks such as preparing and submitting claim forms, or making telephone calls to ascertain the status of a claim, are not reasonable expenses (see *Matter of General Elec.*, 2 NY3d at 255). Petitioners argue that the amended regulations conflict with OVS’s preexisting regulation providing for the determination of counsel fee awards based on various case-specific factors

OVS’s regulations are contrary to the *purpose* of the statute because they disincentivize attorneys from assisting crime victims, we note that attorneys’ fees are available for services rendered to victims on administrative reconsideration—during which they may offer additional evidence, if their initial claim is denied or insufficient to support the maximum award permissible under law, or on matters such as any delays in filing, eligibility issues, and failure to supply proper forms—as well as on judicial review. The dissent’s assertion that, “[i]f OVS has already denied a claim, that suggests that the claim has little chance of success or requires significant time and resources, likely exceeding the \$1,000 statutory cap, and thus is not worth an attorney’s effort” (dissenting op at 510-511) both lacks evidentiary support and represents the dissent’s substitution of its own judgment for that of OVS—the agency that the legislature chose to administer the statute.

(see 9 NYCRR 525.9 [d]) and, thus, violate the instruction in Executive Law § 627 (1) that OVS “shall determine claims in accordance with rules and regulations promulgated by the director.” In addition, petitioners and the dissent question the accuracy of OVS’s description of the nature of the work involved in the initial application process, and petitioners argue that OVS is tacitly supporting an artificial “VAP bureaucracy” by discouraging victims from relying on independent attorneys.

[2] The Appellate Division agreed with petitioners that the factors set forth in 9 NYCRR 525.9 (d) “necessarily contemplate a case-by-case examination of the circumstances of each claim” and that the amended regulations conflict with this regulation because they “preclude[] such case-by-case consideration for fees incurred in the early stages of a claim, determining the reasonableness of a fee award based *solely* upon the stage of representation when the fees were incurred—a factor that does not appear in the regulation” (169 AD3d at 58). However, OVS could rationally construe the new regulations as defining the types of services for which fees are not available and then apply the section 525.9 (d) factors to those stages of the process for which attorneys’ fees are available (see *Andryeyeve v New York Health Care, Inc.*, 33 NY3d 152, 174 [2019] [“an agency’s construction of its regulations if not irrational or unreasonable, should be upheld” (internal quotation marks and citations omitted)]). Such a construction does not conflict—and, indeed, comports—with section 525.9 (d) inasmuch as one of the factors that must be considered under that regulation is “the skill requisite to perform the legal service properly” (9 NYCRR 525.9 [d] [1]). The new regulations act to clarify this factor by making explicit that reimbursement of attorneys’ fees is not available for the initial filing of a claim because it is a relatively simple task, accomplished in most cases by the completion of a four-page form requesting basic information, and VAPs are available to assist claimants in any instance in which the initial claim process is more complicated.

Moreover, nothing in the statute prohibits OVS from changing its regulations prospectively or suggests that it cannot modify them in response to changing circumstances (see *Matter of Consolidated Edison Co. of N.Y.*, 71 NY2d at 191), as long as OVS determines individual claims in accordance with its current regulations (see Executive Law § 627 [1]). Those changing circumstances include the increased funding of hundreds of local VAPs, which are available to assist claimants in completing

the initial form to submit a claim. Although the Appellate Division rejected OVS's consideration of the availability of VAPs (169 AD3d at 60), we agree with OVS that it rationally refused to disregard the role that VAPs play in the claims process in determining that attorneys' fees for services rendered during the initial claim process or in the preparation of emergency applications cannot be deemed "reasonable" when VAPs exist in every county to provide assistance in the same manner (*see Matter of Acevedo*, 29 NY3d at 223 [(b)alancing of costs and benefits is inherent in any rulemaking process, and . . . an agency would be acting irrationally if it adopted a particular rule without first considering whether its benefits justify its societal costs" (internal quotation marks and citation omitted)]). The questions of whether reimbursement for attorneys' fees is reasonable for the types of tasks involved in those stages of the process and whether VAPs are capable of adequately assisting claimants with such tasks are matters involving OVS's expertise and experience with the process, and OVS rationally relied on that experience in determining that requests for attorneys' fees in connection with those tasks are not "reasonable" within the meaning of the statute (*see Matter of Sigety v Ingraham*, 29 NY2d 110, 114 [1971] [upholding as rational regulations issued by the Commissioner of Health that limited Medicaid reimbursement rates to 50% of the weighted average adjusted in-patient cost at proprietary hospitals in the State based on the Commissioner's experience that efficiently run nursing homes will have costs below the regulatory 50% standard]).

Finally, the express purpose of Executive Law article 22 is to provide "aid, care and support for . . . victims of crime" (Executive Law § 620), not to promote economic activities and income for attorneys to enable them to render services that can be provided adequately by others trained and available to do so. OVS's regulations defining "reasonable" attorneys' fees represent an attempt to conserve its resources for use in the compensation of losses suffered by crime victims, rather than for attorneys' fee awards it deemed unreasonable, consistent with the fundamental purpose of the statute, which is to provide "aid, care and support . . . , as a matter of grace, for . . . victims of crime" and their dependents (Executive Law § 620). Although there may be other valid ways in which OVS could have defined "reasonable" attorneys' fees, the definition in the amended regulations is rational and the application of

those regulations to deny petitioners' fee applications was not arbitrary and capricious. In short, because the regulations are consistent with the statutory language and OVS "appl[ie]d its special expertise in a particular field to interpret [that] statutory language, [its] rational construction is entitled to deference" (*Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98, 102 [1997]). Accordingly, the order of the Appellate Division should be reversed, without costs, and the judgment of Supreme Court reinstated.

WILSON, J. (concurring). I agree with the majority's conclusion that the amended regulations of the Office of Victim Services (OVS), which limit the reimbursement of attorneys' fees to those incurred during administrative review of crime victims' claims and judicial review of OVS's decisions, are consistent with the agency's governing statute and are a rational exercise of the agency's discretion. I write separately because, as I interpret the relevant sections of the Executive Law, this case is very simple. In short, Executive Law § 626 is purely a definitional section, as its title indicates ("Out of pocket loss; definition"). Nothing in that section compels or authorizes OVS to take any action; the section merely defines "out-of-pocket loss" to include a specified set of expenses and indebtedness. One must look elsewhere for OVS's statutory authorization to pay claims, which is most clearly found in subdivisions (3) and (5) of Executive Law § 623. Section 623 (3) grants OVS very broad discretion to promulgate rules for victim compensation, and contains no requirement that OVS make awards for any particular component(s) within the definition of "out-of-pocket loss."

Article 22 of the Executive Law, which governs OVS, is laid out in a straightforward way. As the majority states, OVS's role is to effectuate "the legislature's intent that aid, care and support be provided by the state, as a matter of grace, for . . . victims of crime" and their dependents (Executive Law § 620). Section 623, entitled "Powers and duties of the office," unsurprisingly begins: "The office shall have the following powers and duties," after which follows a list of 23 powers and duties. Someone wanting to know what powers and duties OVS has should look to section 623, not section 626, which is solely devoted to providing a definition of a single term, "out-of-pocket loss."

Most relevant here is section 623 (3), which awards OVS the power:

“To adopt, promulgate, amend and rescind suitable rules and regulations to carry out the provisions and purposes of this article, including rules for the determination of claims, rules for the approval of attorneys’ fees for representation before the office and/or before the appellate division upon judicial review as provided for in section six hundred twenty-nine of this article, and rules for the authorization of qualified persons to assist claimants in the preparation of claims for presentation to the office.”

The only constraint placed on OVS’s power to promulgate rules is that they be “suitable . . . to carry out the provisions and purposes of this article” (*id.*). That suitability is plainly a matter of discretion, to which courts owe deference (*see Matter of Acevedo v New York State Dept. of Motor Vehs.*, 29 NY3d 202, 221 [2017] [(A)n agency is permitted to adopt regulations that go beyond the text of its enabling legislation, so long as those regulations are consistent with the statutory language and underlying purpose]). For the reasons amply set out by the majority, OVS’s rules restricting attorneys’ fees are not irrational. I further note that section 623 (3), by providing that OCS is empowered to develop rules for attorneys’ fees for representation before OVS “and/or” before the Appellate Division, strongly suggests that the legislature did not compel OVS to provide for both, but instead gave it great flexibility to determine under what circumstances to allow fee awards.

Executive Law § 626 is purely a definitional section. It does not require or empower OVS to do anything at all.¹ Much of the confusion comes from not properly parsing the word “shall” in that section. The section does not say that OVS “shall” award anything at all; instead, it says that the words

“Out-of-pocket loss *shall mean* unreimbursed and unreimbursable expenses or indebtedness reason-

1. I agree with the majority that the statute does not define “reasonable attorneys’ fees” and does not expressly say how OVS is to determine a fee’s reasonableness. However, as I interpret the statute, neither of those observations matters to the resolution of this appeal. Because “reasonable attorneys’ fees” is placed within the definitional section and section 623 (3) grants OVS broad authority to determine which items to compensate and how, OVS’s rules regarding attorneys’ fees are rational and consistent with the overall statutory purpose. With the two limited exceptions I identify below, the statute contains no mandate requiring OVS to reimburse crime victims for any expense listed within the definition of “out-of-pocket loss” in section 626.

ably incurred for medical care or other services necessary as a result of the injury upon which such claim is based *Such expenses or indebtedness shall include* the cost of counseling . . . [and] *shall also include* the cost of residing at or utilizing services provided by shelters for battered spouses and children who are eligible . . . , and the cost of reasonable attorneys' fees for representation before the office and/or before the appellate division upon judicial review not to exceed one thousand dollars" (Executive Law § 626 [1] [emphases added]).

Thus, all section 626 (1) does is list the items that shall be included in the definition of "out-of-pocket loss."²

That definition serves as a limit on the types of losses for which OVS may award compensation, but does not compel OVS to provide compensation for them if, in OVS's discretion, the purposes of the statute would be better served by compensating subsets of those types of losses. Further support for that conclusion is found in subdivisions (3) and (3-a) of Executive Law § 631, in which the legislature required that, for losses of earnings, support or savings, the award must be equal to the loss sustained (subject to dollar amount caps stated elsewhere), but it did not restrict OVS's ability to award less than the actual loss sustained for any other type of out-of-pocket loss. If OVS were required to grant awards for every type of expense included in the definition of "out-of-pocket loss," that command would have to appear somewhere else in the statutory scheme. However, as to attorneys' fees the statute contains no provision comparable to those found in section 631 (3) and (3-a). Nothing

2. When a definitional clause in a statute uses the phrase "shall include," courts construing the statute sometimes confront a question about whether the word "include" is "used as a word of extension or enlargement rather than as one of limitation or enumeration" (*American Surety Co. of N. Y. v Marotta*, 287 US 513, 517 [1933] [citing cases interpreting the phrase "shall include" in the context of different definitional statutes]). That is, when a statute provides that the meaning of a given term "shall include" certain enumerated items, courts may have to decide whether the definition excludes items not listed, or whether the word "include," in context, is "used to expand, not to restrict" the definition of the term (*id.*). In the instant case, we are not presented with a question about whether the definition of "out-of-pocket loss" excludes any cost not listed in Executive Law § 626 (1), or whether "shall include" is used to describe the minimum set. That alternate possibility—that "shall include" might imply extension, not limitation, of the set of expenses included in "out-of-pocket loss"—would not alter my conclusion in this case because, if anything, it would further broaden OVS's discretion to determine what expenses to compensate.

in the statute provides textual support for the view that OVS is obligated to pay reasonable attorneys' fees incurred at every stage of representation.³

Thus, I interpret the phrase "shall . . . include" in section 626 (1) very differently from the Appellate Division, which read that language as "mandat[ing] the inclusion of reasonable counsel fees in awards for out-of-pocket loss," with no permissible limit other than the \$1,000 cap (169 AD3d 52, 58 [3d Dept 2019]). Executive Law § 626 (1) defines a set of expenses and indebtedness that are eligible for compensation as out-of-pocket losses; it does not by its own terms mandate that OVS grant requests for compensation of all the expenses listed in that set, nor does it constrain OVS's authority to impose categorical limits on the compensation of those expenses. In other words, the statute enables OVS to compensate crime victims for expenses listed within the definition of "out-of-pocket loss," but does not itself command OVS to pay every listed expense for which a claimant could receive compensation.

So long as OVS's rules do not conflict with the authorizing statute and are not irrational, they must be upheld (*see Acevedo*, 29 NY3d at 221, 226). Accordingly, I concur with the majority's conclusion that OVS's amended regulations fall within its statutory authority, and I fully join the majority's reasoning as to the rationality of the regulations.

RIVERA, J. (dissenting). Under our system of government, the legislature—as the representative body of the People—enacts laws that reflect policy choices (*Boreali v Axelrod*, 71 NY2d 1, 13 [1987]). While the legislature cannot delegate its exclusive lawmaking power, it may grant regulatory oversight to an agency through statute, so long as it identifies the public policy that the agency is supposed to promote and articulates sufficient guidance regarding the agency's proper exercise of its

3. Indeed, other OVS regulations, not at issue in this case, establish categorical rules—not compelled by the terms of the statute itself—that limit the availability of other types of expenses included in the definition of "out-of-pocket loss." For example, although Executive Law § 626 (1) does not specify any temporal limit on the counseling costs included in the definition of compensable losses, OVS regulations set conditions for the availability of awards for counseling costs when a claimant seeks compensation more than a year after counseling has begun and when a claimant seeks compensation for counseling provided over a six-month period or longer (*see* 9 NYCRR 525.12 [g] [4], [6]).

authority (*Matter of Levine v Whalen*, 39 NY2d 510, 515 [1976]; *Matter of Nicholas v Kahn*, 47 NY2d 24, 31 [1979] [(A)dmistrative agencies are but creatures of the Legislature and are possessed only of those powers expressly or impliedly delegated by that body]). Thus, as a foundational tenet of administrative law, an agency cannot act in contravention of its enacting legislation, for example by expanding the scope of its authority (*Nicholas*, 47 NY2d at 31; *Kuppersmith v Dowling*, 93 NY2d 90, 96 [1999]; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]; *Matter of Jones v Berman*, 37 NY2d 42, 53 [1975]).

At issue on this appeal is the Office of Victim Services' (OVS) interpretation of Executive Law article 22. The law allows reimbursement for "reasonable attorneys' fees for representation before the office and/or before the [A]ppellate [D]ivision upon judicial review not to exceed" \$1,000 (Executive Law § 626 [1]). There is no limitation on the type or rate of legal assistance reimbursable under the statute. Beyond the statutory cap, the only statutory limitation is that the fees must be "reasonable." Thus, OVS is limited to determining what is reasonable in a particular claimant's case.

Nevertheless, by regulatory fiat, OVS has denied reimbursement for an entire class of legal work. Under OVS's current regulations, only claimants who appeal the denial of their applications are entitled to attorneys' fees. These regulations are ultra vires and should be annulled.

Contrary to the majority's conclusion, the categorical denial of attorneys' fees for legal work in filing a claim is not a permissible exercise of agency discretion under Executive Law article 22. In fact, it involves no exercise of discretion at all. As OVS concedes, the regulation is a per se rule, precluding OVS's accommodation of fee requests, regardless of an individual claimant's circumstances. Moreover, because the regulations are intended to discourage attorneys from assisting claimants with their initial claim requests, the regulations undermine the legislative goal, embodied in the Executive Law, of encouraging legal representation of claimants seeking reimbursement for out-of-pocket losses caused by crime. The legislature did not authorize OVS to effectively deny attorneys' fees to the majority of crime victims and their families. I dissent.

I.

“The cornerstone of administrative law is derived from the principle that the Legislature may declare its will, and after fixing a primary standard, endow administrative agencies with the power to fill in the interstices in the legislative product by prescribing rules and regulations consistent with the enabling legislation” (*Nicholas*, 47 NY2d at 31). “In so doing, an agency can adopt regulations that go beyond the text of that legislation, provided they are not inconsistent with the statutory language or its underlying purposes” (*Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249, 254 [2004]; *see also Kuppersmith*, 93 NY2d at 96; *Goodwin v Perales*, 88 NY2d 383, 395 [1996]; *Matter of City of New York v State of N.Y. Commn. on Cable Tel.*, 47 NY2d 89, 92-93 [1979]). But if “the question is one of pure statutory reading and analysis,” we do not defer to the agency’s statutory interpretation (*Kurcsics*, 49 NY2d at 459).

Of course, “[w]hen presented with a question of statutory interpretation,” this Court’s “primary consideration is to ascertain and give effect to the intention of the Legislature” (*Yatauro v Mangano*, 17 NY3d 420, 426 [2011] [internal quotation marks and citations omitted]). “[T]he starting point for accomplishing this is the statute’s language” (*Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270, 286 [2009]). This Court interprets the text “according to its natural and most obvious sense, without resorting to an artificial or forced construction” (McKinney’s Cons Laws of NY, Book 1, Statutes § 94; *see also Samiento v World Yacht Inc.*, 10 NY3d 70, 78 [2008]). The “standards prescribed by the Legislature are to be read in light of the conditions in which they are to be applied” (*Nicholas*, 47 NY2d at 31). Moreover, in determining the scope of the animating legislation, it is “necessary . . . to examine” the legislation’s “purpose[,] . . . factual background and history” (*id.* at 32).

Administrative agency regulations must be upheld if they are supported by a “rational basis” and are not “unreasonable, arbitrary, capricious or contrary to the statute under which [they are] promulgated” (*Kuppersmith*, 93 NY2d at 96). To the extent that regulations “conflict” with an animating statute, “they are invalid” (*Matter of Regan v Crime Victims Compensation Bd.*, 57 NY2d 190, 196 [1982]).

II.

It is the policy of this State to provide financial assistance to crime victims and their families for certain expenses (Execu-

tive Law §§ 620, 626 [1]). Executive Law § 626 (1) provides that “[o]ut-of-pocket loss shall” include “the cost of reasonable attorneys’ fees for representation before the office [of victim services] and/or before the [A]ppellate [D]ivision upon judicial review not to exceed one thousand dollars.” In accordance with Executive Law § 623 (3), OVS is empowered to “adopt, promulgate, amend and rescind suitable rules and regulations” including “rules for the approval of attorneys’ fees.” The statute also provides that the claims process shall accord with the Director’s rules and regulations, and that OVS must provide written notification to an applicant of their right to counsel and reasonable attorneys’ fees (Executive Law § 627 [1] [a]).¹

Pursuant to this legislative authorization, OVS enacted 9 NYCRR 525.9. As relevant here, the 2015 version declared that parties had “the right to be represented before the office, at all stages of a claim, by an attorney-at-law” (9 NYCRR former 525.9 [a]). It also allowed that, “[w]henever an award [was] made to a claimant who [was] represented by an attorney,” OVS “shall approve a reasonable fee commensurate with the services rendered, up to \$1,000” (9 NYCRR former 525.9 [c]).

The regulation announced the following nonexclusive list of factors “to be considered in determining the reasonableness of a fee”:

- “(1) the time and labor required, the novelty and difficulty of the questions involved, and the skill requisite to perform the legal service properly;
- “(2) the fee customarily charged in the locality for similar legal services;
- “(3) the amount involved and the results obtained;
- “(4) the time limitations imposed by the client or by the circumstances;
- “(5) the experience, reputation, and ability of the lawyer or lawyers performing the services; and

1. OVS does not argue on this appeal that the legislature intended to limit attorneys’ fees to legal work done after the initial submission of the claim application. In other words, OVS does not argue that the specification in article 22 to “representation before [OVS]” means appearances after an OVS determination on the claim, such as requests for reconsideration. The majority’s reliance on this language is misplaced (majority op at 494-495 n 2). Therefore, I see no reason to consider whether the statutory language supports limiting attorneys’ fees in that way on this appeal.

“(6) whether any part of the cost of the legal service provided to the claimant has been paid or is payable by a third party” (9 NYCRR 525.9 [d]).

In 2016, OVS amended its regulation to its current form, which limits reimbursement to attorneys’ fees incurred during: (1) administrative review of the victim’s claims and (2) judicial review of OVS’s final decision (9 NYCRR 525.9 [a]; *see also* 525.3 [h] [defining “(r)easonable attorney’s fees for representation before the office and/or before the (A)ppellate (D)ivision upon judicial review” for purposes of Executive Law article 22]). According to OVS, the amendment was intended to prevent victims from obtaining reimbursement for attorneys’ fees incurred for work preparing and filing claims. The factors listed in 9 NYCRR 525.9 (d) to be considered in determining whether attorneys’ fees are reasonable remain unchanged but are available only to victims who appeal an adverse determination.

OVS also deleted its statement that claimants have a “right” to representation at each stage of the claim process. The regulation now reads that a victim “may choose to be represented before the office, at any stages of a claim, by an attorney-at-law” (9 NYCRR 525.9 [a]). The regulation also instructs that OVS “may approve”—as opposed to “shall approve”—“a reasonable fee commensurate with the services rendered, up to \$1,000” (9 NYCRR 525.9 [c]).

OVS contends that it provides federal and state funds to Victim Assistance Programs (VAPs) by means of grants and contracts, in part, to assist victims with the claim submission process. It also indicates that a claimant may submit their request by means of an online form, which OVS claims is easily completed by someone without legal training. OVS further represents that VAPs assist claimants in 85% of filings.

As detailed in the OVS Annual Reports, the principal reason that OVS rejects claims is for lack of documentation. Nowhere in the Reports—and OVS has made no such representation in the course of this litigation—does the data establish that any victim has been denied a claim due to lack of OVS funds.

III.

The legislative purpose of Executive Law article 22 is to provide funds, within statutory limits, to victims and their families for certain costs incurred as a result of crime (Executive Law § 620). The statute defines those costs as expressly

including reasonable attorneys' fees. The statute thus leaves no room for OVS to determine whether legal fees are reimbursable. The only authority rendered to OVS is to determine how much to reimburse within the statutory limit. In other words, the legislature has decided, as a policy matter, to reimburse legal fees; the agency's sole discretion is to determine what constitutes a "reasonable" fee (Executive Law §§ 620, 623).

Here, OVS did not exercise discretion in deciding what constitutes a reasonable fee; it did not consider the relevant factors, such as whether the work was legal in nature or the proper rate of reimbursement. Instead, OVS adopted a per se rule that reimbursement of legal fees is *only* reasonable for work during an administrative appeal and upon judicial review. This no-exceptions-ever approach cannot be squared with the Executive Law, which mandates reimbursement up to the \$1,000 cap.

The majority argues unpersuasively that OVS acted within the scope of its authority in adopting a categorical exclusion because the legislature did not define "reasonable," thus leaving it to OVS to determine what is reasonable (majority op at 493).² The majority is correct that the statute authorizes OVS to determine what is a reasonable fee in accordance with enumerated factors adopted by OVS, but that does not answer the question of whether the statute also permits the categorical exclusion adopted by OVS. Put another way, the question before us is whether OVS may fill "the interstices in the legislative product" by excising an entire class of private legal services without consideration of the factors, or is OVS's authority limited to deciding whether the service was reasonable under the circumstances and what rate of reimbursement within the statutory cap is appropriate and fair. Because the legislature has determined that fees shall be reimbursed so long as they are reasonable, the statute tolerates only the latter interpretation.

2. There is no textual support for reading the Executive Law in the way that the majority has, which amounts to the legislature granting unfettered authority to OVS to decide whether to reimburse fees. In the exercise of its lawmaking power, the legislature has mandated reimbursement of "reasonable attorneys' fees" (Executive Law § 626 [1]). Accordingly, OVS cannot disregard that portion of the statute and refuse to reimburse a reasonable fee request within the statutory cap. Nor can OVS effectively achieve the same result by adopting a categorical rule that denies reimbursement to all claimants for legal assistance in determining whether to apply and how best to present their claims.

The majority's fixation on the lack of a definition of "reasonable" reveals a misunderstanding of the authorization granted to OVS in the statute and the legislative intent for the proper exercise of administrative discretion. "Reasonable attorneys' fees" is a term of art, known to the legislature and regularly construed by courts (*see e.g.* Education Law § 6309 [2]-[3]; Public Officers Law § 19 [2]-[3]; General Business Law § 538-a; 35 USC § 285; 16 USC § 2632 [a] [1]; 2 USC § 396). A "reasonable" fee is what is fair and appropriate based on the facts and circumstances of an individual case. OVS has recognized as much, as reflected in the factors that it adopted in 9 NYCRR 525.9 (d) to determine what is reasonable, which are the same factors commonly used throughout the country and by this Court (*see e.g.* Black's Law Dictionary [11th ed 2019] attorney's fee, citing Model Rule of Professional Conduct rule 1.5 [2005]; *Hensley v Eckerhart*, 461 US 424, 430 n 3 [1983]; *Matter of Freeman*, 34 NY2d 1, 9 [1974]; *Riley v City of Jackson, Miss.*, 99 F3d 757, 760 [5th Cir 1996]; *Barber v Kimbrell's, Inc.*, 577 F2d 216, 226 [4th Cir 1978], citing *Johnson v Georgia Highway Exp., Inc.*, 488 F2d 714, 717-719 [5th Cir 1974]; *Stratos v Department of Pub. Welfare*, 387 Mass 312, 320-325, 439 NE2d 778, 785-787 [1982]; *Woude v First Midwest Bank*, 45 NE3d 847, 852 [Ind Ct App 2015]; *Steiger v J.S. Builders, Inc.*, 39 Conn App 32, 38, 663 A2d 432, 435 [1995]). As these factors illustrate, what constitutes a reasonable fee is a fact-specific determination and does not lend itself to the kind of categorical exclusion adopted by OVS and upheld by the majority.

The wisdom of a case-by-case approach is demonstrated by petitioner Michelle Soriano's emergency application. In addition to filing a claim for an award for damaged property, Soriano—in fleeing a domestic abuser who had repeatedly violated orders of protection—filed an emergency application for moving expenses with the assistance of an attorney. She attached 23 supporting enclosures to her application. These included police reports, copies of each of the violated orders of protection, and a Department of Housing and Urban Development certification of domestic violence. OVS granted the emergency application.

Under the OVS regulation, upheld by the majority here, Soriano would not be able to seek reimbursement for attorneys' fees accrued for work done preparing and filing her emergency application. The majority insists that in relatively complex

cases like Soriano's emergency application, claimants should make their best effort in filing claims by themselves or through VAPs. According to OVS, claimants should only hire an attorney if the claim is rejected in order to rectify any failures in the submission on administrative review or appeal (majority op at 494-495 n 2). But Soriano's emergency application appears to have been time sensitive. Her best chance in obtaining potentially life-preserving relief quickly was through the help of an attorney dedicated to her case. The majority accepts OVS's conclusion that any fee for Soriano's emergency application was per se unreasonable. But under the factors OVS uses to determine reasonable attorneys' fees—used throughout the country and by this Court—at least some award was reasonable for the work done in filing Soriano's emergency application.

In any case, a claimant might also need legal assistance with providing the information and documentation requested in the OVS online form. For instance, the form requires a claimant to explain the reason for delay in filing. Further, OVS instructs claimants to file a number of supporting documents with their submissions, and attorneys could help claimants identify and collect the proper forms.

The OVS regulation also fails to allow fees for legal help with eligibility issues that precede filing and that might influence what is included with a submission or whether to make a submission at all. For example, whether the victim of a crime "contributed" to the injury that they suffered influences a claimant's award (see e.g. *Matter of Cox v Office of Victim Servs.*, 110 AD3d 797, 798 [2d Dept 2013] [reversing OVS's determination that a victim, who was alleged by police to have been a drug dealer, had "contributed" to his homicide under Executive Law § 631 (5) (a), thus reducing his mother's award for funeral expenses]). In fact, whether someone was actually the "victim of a crime" at all is not always clear (see e.g. *Matter of Muscatello v New York State Crime Victims Bd.*, 289 AD2d 789, 790 [3d Dept 2001] [claimant who suffered a heart attack following a burglary was not a "victim of a crime" under Executive Law § 624 (1) (a)]).

Even if most claimants are able to fill out and file the form on their own, or with some guidance from a VAP, OVS fails to account for those cases when legal assistance is required to ensure a claimant receives the maximum award permissible under the law. A cursory reading of the statute and the regula-

tions makes plain that assessing an award amount can be complicated (*see e.g. Matter of Pelaez v State of N.Y. Exec. Dept. Crime Victims Bd.*, 186 AD3d 831, 833 [2d Dept 2020] [affirming the denial of a claimant's application in part because his paystubs listed two different Social Security numbers, and thus his claim failed to demonstrate that he reported his income to the appropriate tax authority under 9 NYCRR 525.8 (b)]; *Matter of Starkman v Fischetti*, 252 AD2d 845, 846 [3d Dept 1998] [finding that the claimant had not suffered a loss of earnings under Executive Law § 631 (3) because she was unemployed at the time of her crime-related injury, despite the fact that she submitted evidence that she had been offered a job before the injury but was unable to start because of the injury]; 1983 Ops Atty Gen No. 83-F2 [opining that life insurance payments should not reduce a claimant's award because they are not reimbursements for an out-of-pocket expense, unlike health insurance, but that life insurance benefits should be considered in determining whether a claimant has suffered financial hardship under Executive Law § 631]). These examples belie the majority's argument that the legislature authorized OVS to limit legal fees to claimants who seek administrative reconsideration or appear before the Appellate Division.³

The majority's reliance on *Matter of Acevedo v New York State Dept. of Motor Vehs.* (29 NY3d 202 [2017]) and *Matter of Sigety v Ingraham* (29 NY2d 110 [1971]) is misplaced. Both cases support petitioners here. In *Acevedo*, the controlling statute provided for license revocation and authorized the New York State Department of Motor Vehicles Commissioner to exercise discretion in adopting post-revocation standards (29 NY3d at 213-214). Here, the statute does not grant OVS discretion to deny reasonable attorneys' fees. And while in *Acevedo* we rejected the challenge to the Commissioner's hard-and-fast rules, the challenged regulations authorized the Commissioner to "deviate from the general policy" in light of "'unusual, extenuating and compelling circumstances'" (*id.* at 216 [citations omitted]). Here, OVS does not allow for any deviation from the regulation—no fees are reimbursed regardless of the complexity or nature of the filing.

3. Notably, OVS fails to argue that the VAPs provide legal assistance in filling out and filing the form. And, as the above examples demonstrate, legal assistance may be necessary to successfully complete the claim-filing process. Thus, OVS is unpersuasive in arguing that the VAPs render legal fees an unreasonable cost of submitting a claim.

Sigety similarly fails to support the majority's holding. *Sigety* involved a challenge to the Commissioner of Health's regulation limiting Medicaid reimbursements to 50% of the average daily cost of proprietary hospital care (29 NY2d at 113-115). In that case, the relevant statute authorized the adoption of administratively determined reimbursement rate schedules. The statute did not require individual assessments but rather the Commissioner's certification that the rate schedules were reasonably related to the service's costs (*id.* at 112-113). Thus, the legislative scheme mandated uniform rates based on comparisons to costs within the industry. The Commissioner's 50% rate was in accordance with that scheme.

The regulation at issue here did not set a reimbursement rate for specific types of legal work. OVS deemed legal work associated with submitting a claim unnecessary by setting the reimbursement rate for that work at zero, without exception. That is not an exercise of discretion. Instead, OVS's Director made a policy choice not to pay for private legal services at the filing stage. That determination exceeded OVS's administrative authority.

In both *Acevedo* and *Sigety*, the regulations accorded with the policies and directives set forth in the respective statutes. In *Acevedo*, the regulations denying reissuance of a license furthered the policy to protect the public against drunk drivers (29 NY3d at 213-214). In *Sigety*, the 50% rate cap furthered the policy of containing Medicaid costs unrelated to the relevant health care service (29 NY2d at 114-115). In contrast, the OVS regulation *contradicts* the public policy of providing financial support to crime victims and their families. The law as written does not authorize OVS to make the policy choice to discourage private sector lawyers from assisting victims and their families in return for reasonable fees.

Significantly, the regulation also discourages representation in complex cases, and even during the stages of the claim process at which OVS recognizes that attorneys' fees are reasonable. OVS only acknowledges the reasonableness of attorneys' fees in cases in which the agency has in the first instance denied a claim. And claimants are only entitled to reimbursement if their claims are successful (9 NYCRR 525.9 [c]). If OVS has already denied a claim, that suggests that the claim has little chance of success or requires significant time and re-

sources, likely exceeding the \$1,000 statutory cap, and thus is not worth an attorney's effort.⁴

OVS asserts, and the majority agrees, that reimbursing lawyers for work related to submitting claims leaves less money for claimants and that the Executive Law was not intended to channel OVS's limited funds to lawyers for work that could be done by VAPs. This argument lacks any evidentiary support. OVS has failed to identify a single claim that it has rejected because it lacked the funds to compensate the claimant. Nor has OVS quantified what it allocates to VAPs for claim filing services, or said whether this is actually less costly than reimbursing attorneys up to the \$1,000 cap per filing.

Regardless, if OVS thinks that its limited funds are better spent in ways other than reimbursing attorneys for reasonable fees incurred during early-stage work, then its recourse is to make its case to the New York State Legislature and obtain an amendment to the Executive Law.⁵ That may be a reasonable position, given current federal funding of VAPs, but how best to spend the money and whether only certain private legal assistance should be reimbursed are policy choices left to the legislature.

IV.

In sum, the legislature has determined and expressed through the Executive Law that reasonable attorneys' fees for victims and their families are reimbursable in an amount not

4. The majority claims that this position "both lacks evidentiary support and represents the dissent's substitution of its own judgment for that of OVS—the agency that the legislature chose to administer the statute" (majority op at 495 n 2). But OVS quite correctly assumes that, by completely denying attorneys' fees for a class of work, its regulation discourages attorneys from representing victims. I then state the obvious: discouraging attorneys undermines the legislative choice to increase access to the private bar embodied in the command that OVS reimburse reasonable attorneys' fees. It is the majority, not I, that has made a judgment call as to the better policy. It is the majority, not I, that disapproves of the legislative choice in article 22 as essentially an unnecessary stream of income for attorneys (majority op at 497-498).

5. It would not be the first time that the legislature was persuaded by an agency's view. For example, before *Sigety* was decided, the legislature approved the Commissioner's interpretation of the statute governing Medicaid reimbursements by amending it to only require reimbursement for rates "related to the costs of the *efficient production*" of nursing home services (*Sigety*, 29 NY2d at 115 n 4). That is how the system should work; not as here with an agency implementing a policy choice that contradicts the plain language of its animating statute.

to exceed the statutory cap. To effectuate that policy, the legislature granted OVS authority to adopt rules for the approval of those fees. OVS exceeded that authority when it amended its regulation to categorically deny fees for legal assistance with the claims-submission process, regardless of the specifics of the claim, and without consideration of the traditional reasonableness factors that OVS *itself* has adopted in its regulations. I would affirm the Appellate Division because the OVS regulation should be annulled as ultra vires. Therefore, I dissent.

Chief Judge DiFiore and Judges Garcia and Feinman concur; Judge Wilson concurs in result in an opinion; Judge Rivera dissents and votes to affirm in an opinion in which Judge Fahey concurs.

Order reversed, without costs, and judgment of Supreme Court, Albany County, reinstated.

[168 NE3d 827, 144 NYS3d 654]

STACY GREENE, as Administratrix of the Estate of GRETA DEVERE GREENE, Deceased, et al., Appellants, v ESPLANADE VENTURE PARTNERSHIP et al., Respondents, et al., Defendant.

Argued January 6, 2021; decided February 18, 2021

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered May 15, 2019. The Appellate Division (1) reversed insofar as appealed from, on the law, so much of an order of the Supreme Court, Kings County (Richard Velasquez, J.; op 2016 NY Slip Op 33106[U]), as had granted that branch of plaintiffs' motion pursuant to CPLR 3015 (b) which was for leave to amend the amended complaint to add a cause of action sounding in negligent infliction of emotional distress; and (2) denied that branch of plaintiffs' motion which was for leave to amend the amended complaint to add a cause of action sounding in negligent infliction of emotional distress. The following question was certified by the Appellate Division: "Was the decision and order of this Court dated May 15, 2019, properly made?"

Greene v Esplanade Venture Partnership, 172 AD3d 1013, reversed.

HEADNOTE

Damages — Mental Anguish — Recovery by Persons within Zone of Danger — Grandchild is Immediate Family of Grandparent

A grandchild is the immediate family of a grandparent for the purpose of applying the zone of danger rule, which allows one who is threatened with bodily harm in consequence of the defendant's negligence to recover for emotional distress flowing only from the viewing of the death or serious physical injury of a member of that person's immediate family. Accordingly, plaintiffs' motion for leave to file and serve a second amended complaint asserting a cause of action on behalf of plaintiff grandmother for negligent infliction of emotional distress under the zone of danger theory based upon the emotional harm stemming from witnessing at close proximity an incident in which her granddaughter was killed should have been granted. Given the recognition by the Court of Appeals and the legislature that the relationship of grandparent and grandchild enjoys a special status among familial relationships, inclusion of grandparents in the common-law term "immediate family" as that phrase is used in zone of danger jurisprudence is warranted. Blending the historically circumspect approach to expanding liability for emotional damages within zone of danger jurisprudence with recognition of

reshaped societal norms and everyday common sense leads to the conclusion that a grandparent is within the discrete, limited class of persons that enjoys a special status under modern New York family law and comes within the narrow avenue to bystander recovery.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Fright, Shock, and Mental Disturbance §§ 13–15, 17.

DOBBS LAW OF TORTS § 391.

NY JUR 2d Fright, Shock, and Mental Disturbance §§ 23, 24.

NEW YORK LAW OF TORTS §§ 6:27, 21:25.

ANNOTATION REFERENCE

Relationship Between Victim and Plaintiff-Witness as Affecting Right to Recover Under State Law for Negligent Infliction of Emotional Distress Due to Witnessing Injury to Another Where Bystander Plaintiff is Not Member of Victim's Immediate Family. 98 ALR5th 609.

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& grandparent

POINTS OF COUNSEL

Gair Gair Conason Rubinowitz Bloom Hershenhorn Steigman & Mackuaf, New York City (*Ben B. Rubinowitz* and *Richard M. Steigman* of counsel), for appellants. The motion court properly exercised its discretion in granting leave to plaintiffs to amend the complaint to add a potentially meritorious claim on behalf of Susan Frierson under the bystander theory of recovery. (*Marcum, LLP v Silva*, 117 AD3d 917; *Stein v Doukas*, 128 AD3d 803; *Katz v Castlepoint Ins. Co.*, 121 AD3d 948; *Favia v Harley-Davidson Motor Co., Inc.*, 119 AD3d 836; *United Fairness, Inc. v Town of Woodbury*, 113 AD3d 754; *Battalla v State of New York*, 10 NY2d 237; *Trombetta v Conkling*, 82 NY2d 549; *Tobin v Grossman*, 24 NY2d 609; *Jun Chi Guan v Tuscan Dairy Farms*, 24 AD3d 725, 7 NY3d 784; *Matter of Emanuel S. v Joseph E.*, 78 NY2d 178.)

Shaub Ahmuty Citrin & Spratt, LLP, New York City (*Jonathan P. Shaub*, *Timothy R. Capowski*, *Christopher Simone*, *Jen-*

nifer A. Graw and Sarah M. Ziolkowski of counsel), for Esplanade Venture Partnership, respondent. I. The “immediate family” for purposes of New York’s bystander negligent infliction of emotional distress claim does not include grandparents and grandchildren. (*Tobin v Grossman*, 24 NY2d 609; *Howard v Lecher*, 42 NY2d 109; *Becker v Schwartz*, 46 NY2d 401; *Vaccaro v Squibb Corp.*, 52 NY2d 809; *Lafferty v Manhasset Med. Ctr. Hosp.*, 54 NY2d 277; *Kennedy v McKesson Co.*, 58 NY2d 500; *Bovsun v Sanperi*, 61 NY2d 219; *Yaniveth R. v LTD Realty Co.*, 27 NY3d 186; *De La Cruz v Caddell Dry Dock & Repair Co., Inc.*, 21 NY3d 530; *Matter of Orens v Novello*, 99 NY2d 180.) II. The Court should reject plaintiff’s invitation to adopt a more flexible test for bystander recovery. (*People v Peque*, 22 NY3d 168; *Matter of State of New York v Donald DD.*, 24 NY3d 174; *K2 Inv. Group, LLC v American Guar. & Liab. Ins. Co.*, 22 NY3d 578; *Hass v Manhattan & Bronx Surface Tr. Operating Auth.*, 204 AD2d 208; *Zea v Kolb*, 204 AD2d 1019; *Wallace v Parks Corp.*, 212 AD2d 132; *Fonzi v Beishline*, 270 AD2d 912; *Consolidated Rail Corporation v Gottshall*, 512 US 532; *Doerr v Goldsmith*, 25 NY3d 1114; *Matter of New York City Asbestos Litig.*, 5 NY3d 486.) III. Plaintiff is not entitled to bystander emotional damages simply because she was struck by debris. (*Hunt v Bankers & Shippers Ins. Co. of N.Y.*, 50 NY2d 938; *Matter of Khan v New York State Dept. of Health*, 96 NY2d 879; *Merrill v Albany Med. Ctr. Hosp.*, 71 NY2d 990.) IV. The motion to amend should have been denied based on plaintiff’s failure to comply with CPLR 3025 (b). (*Bogoni v Friedlander*, 197 AD2d 281.)

Mauro Lilling Naparty LLP, Woodbury (Katherine Herr Solomon and Caryn L. Lilling of counsel), and *Goldstein Law, P.C.*, for Blue Prints Engineering, P.C. and another, respondents. The Appellate Division, Second Department’s decision and order should be affirmed based upon this Court’s precedent. (*Trombetta v Conkling*, 82 NY2d 549; *Bovsun v Sanperi*, 61 NY2d 219; *Jun Chi Guan v Tuscan Dairy Farms*, 24 AD3d 725; *De Angelis v Lutheran Med. Ctr.*, 58 NY2d 1053; *Albala v City of New York*, 54 NY2d 269; *Broadnax v Gonzalez*, 2 NY3d 148; *Pulka v Edelman*, 40 NY2d 781; *Strauss v Belle Realty Co.*, 65 NY2d 399; *Policano v Herbert*, 7 NY3d 588; *Matter of Alison D. v Virginia M.*, 77 NY2d 651.)

Teresa A. Klaum, *Defense Association of New York, Inc.* (Andrew Zajac, Rona L. Platt and Jonathan T. Uejio of counsel), for Defense Association of New York, Inc., amicus curiae. The

existing “zone of danger” rule is fair to both plaintiffs and defendants. (*Bovsun v Sanperi*, 61 NY2d 219; *Tobin v Grossman*, 24 NY2d 609; *Trombetta v Conkling*, 82 NY2d 549; *Matter of Suarez v Williams*, 26 NY3d 440; *Matter of Bennett v Jeffreys*, 40 NY2d 543; *Matter of Benitez v Llano*, 39 NY2d 758; *Kennedy v McKesson Co.*, 58 NY2d 500; *Becker v Schwartz*, 46 NY2d 401; *McCahill v New York Transp. Co.*, 201 NY 221; *Ornstein v New York City Health & Hosps. Corp.*, 10 NY3d 1.)

OPINION OF THE COURT

FAHEY, J.

This case begins with the heartbreaking death of a child. Our responsibility is to determine whether plaintiff grandparent Susan Frierson, who was in close proximity to the decedent grandchild at the time of the death-producing accident, may pursue a claim for bystander recovery under a “zone of danger” theory.

We have applied the settled “zone of danger” rule to “allow[] one who is . . . threatened with bodily harm in consequence of the defendant’s negligence to recover for emotional distress” flowing only from the “viewing [of] the death or serious physical injury of a member of [that person’s] *immediate family*” (*Bovsun v Sanperi*, 61 NY2d 219, 228 [1984] [emphasis added]). Unsettled at this juncture, however, are “the outer limits” of the phrase “immediate family” (*id.* at 233 n 13). Once again, we are not asked to fix permanent boundaries of the “immediate family.” Instead, our task simply is to determine whether a grandchild may come within the limits of her grandparent’s “immediate family,” as that phrase is used in zone of danger jurisprudence.

We conclude that the grandchild comes within those limits. Consistent with our historically circumspect approach expanding liability for emotional damages within our zone of danger jurisprudence, our increasing legal recognition of the special status of grandparents, shifting societal norms, and common sense, we conclude that plaintiff’s grandchild is “immediate family” for the purpose of applying the zone of danger rule.

I.

A.

On May 17, 2015, plaintiff Susan Frierson and her two-year-old granddaughter, decedent Greta Devere Greene, were in

front of a building when they were suddenly struck by debris that fell from the facade of that edifice. Emergency measures taken to save Greta's life failed, and she died the next day.

Susan and Greta's mother, plaintiff Stacy Greene, subsequently commenced this action seeking damages for injuries sustained in that accident. The complaint was quickly superseded by an amended pleading in which plaintiffs alleged, among other things, that defendant Esplanade Venture Partnership owned the building, and that the remaining defendants were negligent with respect to the inspection of the facade of that structure. The amended complaint also alleged that the facade was in a dangerous condition, and that as a result, a piece of the facade broke, fell, struck Greta, and caused her to die.

Based on those allegations, plaintiffs asserted two causes of action; the first sounding in negligence, and the second in wrongful death. Nowhere in that amended pleading, however, did plaintiffs assert a cause of action for negligent infliction of emotional distress on behalf of Susan under the "zone of danger" doctrine.

B.

Plaintiffs sought to cure that deficiency through a motion for leave to amend the amended complaint, and that application lies at the core of this appeal. In that motion, plaintiffs sought permission to "assert an additional cause of action on behalf of plaintiff Susan under the 'zone of danger' doctrine." That cause of action, plaintiffs contended, was appropriate in view of the "unique and special" nature of "the relationship between a grandparent and a grandchild."

To the extent the grandparent-grandchild relationship between Susan and Greta is not alone enough to bring Greta into Susan's "immediate family," plaintiffs maintained that the nature of the relationship warrants that classification. Susan, plaintiffs alleged, participated in Greta's birthing process, helped to care for Greta during the first few weeks of Greta's life, and subsequently developed a "powerful" "emotional bond" with Greta. By the time Greta was one year old, plaintiffs further alleged, Greta began to have overnight visits with Susan. It was during one of those visits that Susan was struck by debris that fell from the subject building, and Greta was struck and killed.

C.

The motion to amend the amended complaint was granted (2016 NY Slip Op 33106[U] [2016]). Relying on the combination of our reasoning in *Bovsun* (61 NY2d at 232), this State’s “specific recognition of the custody rights of grandparents with respect to their grandchildren,” and the progression of zone of danger jurisprudence in other jurisdictions, Supreme Court subsequently denied defendants’ motion to reargue, concluding that Susan “should be considered an ‘immediate family member’ and afforded a right to recover for her emotional injuries caused by this tragic accident” (2017 NY Slip Op 32335[U], *4-5 [2017]).

A divided Appellate Division reversed the 2016 order insofar as appealed from and denied the “branch of the plaintiffs’ motion which was for leave to amend the amended complaint to add a cause of action sounding in negligent infliction of emotional distress” (172 AD3d 1013, 1014 [2d Dept 2019]). The majority ruled that leave to amend should have been denied (*see id.* at 1015) based on its interpretation of *Bovsun* (61 NY2d 219) and *Trombetta v Conkling* (82 NY2d 549 [1993]). *Bovsun* saw us hold “that a plaintiff may recover damages for emotional distress ‘occasioned by [the plaintiff’s] witnessing injury or death caused by the defendant’s conduct to a member of the plaintiff’s *immediate family*’ (emphasis added)” (172 AD3d at 1015, quoting *Bovsun*, 61 NY2d at 224). That case, the Appellate Division believed, thus “stands for the proposition that spouses and their children are immediate family members” (172 AD3d at 1015, citing *Bovsun*, 61 NY2d at 233-234).

Bovsun was not an exercise in line-drawing. Although it identified certain relationships that come within the class of “immediate family members,” *Bovsun* did not establish exhaustive boundaries with respect to the universe of “immediate family members.” For that reason, the Appellate Division analogized this case—involving a grandmother and a granddaughter—to *Trombetta* (82 NY2d 549). There, we concluded that the plaintiff niece of a woman who was killed in the plaintiff’s presence and with whom the plaintiff had a significant emotional bond was not entitled to “bring suit as a bystander for the negligent infliction of emotional injuries under the . . . ‘zone of danger’ rule” (*id.* at 550) because the decedent aunt was not part of the plaintiff niece’s immediate family (*see id.* at 553; *see also* 172 AD3d at 1015-1016, citing *Jun Chi*

Guan v Tuscan Dairy Farms, 24 AD3d 725, 725 [2d Dept 2005], *appeal dismissed* 7 NY3d 784 [2006]).

The dissenters at the Appellate Division would have affirmed Supreme Court's order. Though mindful of "the importance of precedent in our common-law system," the dissenters noted that the "‘living’" nature of the common law sometimes requires a "‘respon[se] to the surging reality of changed conditions’" (172 AD3d at 1016, quoting *Gallagher v St. Raymond's R. C. Church*, 21 NY2d 554, 558 [1968]) and maintained that the law should recognize that Greta was part of Susan's "immediate family" for the purpose of permitting a zone of danger claim (*see* 172 AD3d at 1028). The dissenters also rejected what they characterized as the majority's "use of consanguinity as a crude proxy for emotional harm" given the likelihood that "arbitrary and unjust results . . . will inevitably follow when, for instance, a child is denied recovery because [the child] does not live within a traditional family structure" (*id.* at 1030). "To be sure," the dissenters continued, "line drawing is often an inevitable element of the common-law process, but [it] . . . does not justify . . . clinging to a [boundary] that," as sketched by the Appellate Division, excludes Greta from the class of persons constituting Susan's immediate family (*id.* at 1031).

The Appellate Division subsequently granted leave to appeal to this Court and certified for our review the question whether its order was properly made. We now reverse and answer that question in the negative.

II.

The past is always prologue. Our review of the merits begins with the underpinnings of our modern bystander zone of danger law.

A.

In the nineteenth century, *Mitchell v Rochester Ry. Co.* (151 NY 107 [1896]) saw us conclude that "no recovery can be had for injuries sustained by fright occasioned by the negligence of another, where there is no immediate personal injury" (*id.* at 110). That now-outdated rule fittingly arose from antiquated circumstances; there the plaintiff was rendered unconscious and suffered a miscarriage during a "near miss" with the defendant's horse car (*see id.* at 108-109). Even assuming that the defendant was negligent in the management of its horses, however, we concluded that the plaintiff could not "recover for

injuries occasioned by fright, as there was no immediate personal injury” (*id.* at 109). Central to that determination was the concern that recovery for emotional distress “would be contrary to public policy because that type of injury could be feigned without detection and it would result in a flood of litigation where damages must rest on speculation” (*Battalla v State of New York*, 10 NY2d 237, 240 [1961] [discussing *Mitchell*]).

By the 1930s, *Mitchell* had “been much discussed and frequently criticised by legal scholars” (*Comstock v Wilson*, 257 NY 231, 234 [1931]). In a point that carries weight today, we acknowledged that *Mitchell* had been shaped by views of policy rooted in the outlook of the times in which that case had been decided. We also noted that there are times in which “[p]ractical considerations must . . . determine the bounds of relative rights and duties” (*Comstock*, 257 NY at 235). At that juncture, we believed that those practical concerns continued to require that a plaintiff be physically impacted in order to recover. Still, in *Comstock* we recognized that damages for “a mental disturbance” might be recoverable where the “fright” or “nervous shock” is produced by a concurrent physical impact (*see id.* at 237-239).

B.

As time marched on, the law continued to drift away from *Mitchell*. By the early 1960s, we acknowledged that the core of the *Mitchell* conclusion—namely, that recovery for injury resulting from “mere fright” is not permitted—had been “demolished many times” (*Battalla*, 10 NY2d at 240). We also reconsidered the public policy underlying *Mitchell* (*see Battalla*, 10 NY2d at 240). The review was circumspect, to be sure; we balanced the possibility that “fraud, extra litigation and a measure of speculation are, of course, possibilities” in the event of a claim for fright against our awareness of the folly of denying “a logical legal right and remedy in *all* cases because in *some* a fictitious injury may be urged as a real one” (*id.* at 240-241). Against the backdrop of those competing considerations, and while mindful of factors including “justice,” “experience[,] and logic” (*id.* at 239), we concluded that a plaintiff “subjected to the fear of physical injury as a direct result of the tortious conduct” (*Howard v Lecher*, 42 NY2d 109, 111 [1977]) may state a claim that he or she was “negligently caused to suffer ‘severe emotional and neurological disturbances with residual physical

manifestations’ ” when the defendant owed the plaintiff a direct duty, such as the one owed to the plaintiff by the ski-lift operator at issue in that case (*Battalla*, 10 NY2d at 238-239). By the late 1960s, we crystallized that point. There was “no longer any question” that, in some circumstances, “one may have a cause of action for . . . negligently induced mental trauma without physical impact” (*Tobin v Grossman*, 24 NY2d 609, 613 [1969]).

C.

By the time *Tobin* was decided, we came to consider the issue whether a cause of action for negligent infliction for emotional distress might lie in favor of a bystander who did not suffer physical injury and who was owed no “direct duty” (*see id.*). Although we acknowledged developments in the law—including landmark developments in other areas in the tort field—we declined to recognize a cause of action for harm sustained by a “third person” parent as a result of injuries negligently inflicted directly upon her child when the parent was not in the zone of danger (*see id.* at 615-619; *see also id.* at 614, citing *MacPherson v Buick Motor Co.*, 217 NY 382 [1916]). Stating the practical difficulties and the goal for the law to “limit the legal consequences of wrongs to a controllable degree,” we observed that “[t]he risks of indirect harm from the loss or injury of loved ones is pervasive and inevitably realized at one time or another” (*Tobin*, 24 NY2d at 619).

In words that have failed the test of time, however, we also said that “[o]nly a very small part of that risk is brought about by the culpable acts of others” and that “[t]his is the risk of living and bearing children” (*id.*). That logic, and a concern with “[t]he problem of unlimited liability” (*id.* at 616), led us to conclude that it was “enough that the law establishes liability in favor of those directly or intentionally harmed” (*see id.* at 619).

Fifteen years later, we revisited the question and our policy consideration in *Tobin* to recognize a cause of action for bystander liability in part. *Bovsun* (61 NY2d 219) recognized that a plaintiff negligently

“expose[d] . . . to an unreasonable risk of bodily injury or death . . . may recover . . . damages for injuries suffered in consequence of the observation of the serious injury or death of a member of his or

her immediate family—assuming, of course, that it is established that the defendant’s conduct was a substantial factor [in] bringing about such injury or death” (*id.* at 230-231).

“Traditionally,” we observed, “courts ha[d] been reluctant to recognize any [such] liability for . . . mental distress which may result from the observation of a third person’s peril or harm” (*id.* at 227). However, by then, the “zone-of-danger rule, which” renders compensable emotional harm caused by the negligent infliction of injuries upon another person in certain cases, had “become the majority rule in this country” (*id.* at 228-229).¹

Consequently, we incorporated the zone of danger rule into our jurisprudence (*see id.* at 230-231; *see also id.* at 224). That rule “allows one who is . . . threatened with bodily harm in consequence of the defendant’s negligence to recover for emotional distress” flowing only from the “viewing [of] the death or serious physical injury of a member of his or her immediate family” (*id.* at 228).

D.

At the time *Bovsun* (61 NY2d 219) was decided, other courts had taken a more expansive view of liability for emotional distress resulting from viewing the death or serious physical injury of a relative. In *Dillon v Legg* (68 Cal 2d 728, 441 P2d 912 [1968]), for example, the Supreme Court of California held “that damages may be recovered for the emotional trauma caused when a plaintiff witnesses the injury or death of a close relative even though the plaintiff is not . . . within the zone of danger of physical injury, provided that the emotional injury is reasonably foreseeable” (*Bovsun*, 61 NY2d at 227 [discussing *Dillon*]). *Bovsun*’s approach, of course, was more circumscribed. As in *Tobin* (24 NY2d at 618), the *Bovsun* Court expressly rejected adoption of the rule in *Dillon*, explaining that for those in the zone of danger,

“[r]ecognition of this right to recover for emotional distress attributable to observation of injuries suffered by a member of the immediate family involves

1. We further observed that “[i]n disposing of the appeal in *Tobin* we were not, however, required to confront the precise issue presented . . . inasmuch as the plaintiff in *Tobin* had not been within the zone of danger of bodily harm” (*id.* at 228).

a broadening of the duty concept but—unlike the *Dillon* approach—not the creation of a duty to a plaintiff to whom the defendant is not already recognized as owing a duty to avoid bodily harm” (61 NY2d at 229).

We emphasized that “the zone-of-danger rule provides a circumscribed alternative to the apparently sweeping liability recognized in *Dillon* . . . and does so within the framework of traditional and accepted negligence principles by using an objective test of whether the plaintiff was unreasonably threatened with bodily harm by the conduct of the defendant” (*id.* at 230).

Bovsun is also remarkable for what it did not say. While *Bovsun* recognized a zone of danger rule with an objectively defined class of bystanders as “immediate family,” the Court did not list or enumerate “immediate family members.” In fact, consistent with the caution with which we have historically approached this issue, we expressly declined to define the “outer limits” with respect to “the immediate family” element of the zone of danger rule (*see id.* at 233 n 13). “Inasmuch as all [of the] plaintiffs [at issue in *Bovsun*] were married or related in the first degree of consanguinity to the injured or deceased person,” we left for another case the decision as to “where lie the outer limits of ‘the immediate family’ ” (*id.*).

III.

Our evolving zone of danger field jurisprudence is not the only development in the law relevant to our analysis.

In the 1990s we concluded that an unmarried, same-sex partner could adopt the partner’s biological child (*see Matter of Jacob*, 86 NY2d 651, 655-656 [1995], citing Domestic Relations Law § 110, and 18 NYCRR 421.16 [former (h) (2)]). Same sex marriage was codified in 2011 (*see* Domestic Relations Law § 10-a [1] [added by L 2011, ch 95, § 3]) and affirmed in 2012 (*see New Yorkers for Constitutional Freedoms v New York State Senate*, 98 AD3d 285, 287 [4th Dept 2012], *lv denied* 19 NY3d 814 [2012]).

More recently we acknowledged that the definition of parent—which previously excluded a partner without a biological or adoptive relation to the subject child—had “become unworkable when applied to increasingly varied familial relationships” (*Matter of Brooke S.B. v Elizabeth A.C.C.*, 28 NY3d 1, 14 [2016]). This analysis emphasized the point that roles and

perspectives change, and that what once was accepted as a basic social premise has to be carefully examined in a way that reflects the realities of our lives.

Even more important in the context of this case is the legislative recognition of the changing nature of society's understanding of family and the special relationship between grandparents and grandchildren. In the 1960s the legislature established a vehicle for grandparents to obtain visitation rights with minor grandchildren (*see* Domestic Relations Law § 72; L 1966, ch 631, § 1). Although section 72 originally addressed only grandparent visitation, the statute was amended in 2003 "to provide guidance regarding the ability of grandparents to obtain standing in custody proceedings involving their grandchildren" (L 2003, ch 657, § 1). Following the amendment, section 72 now provides "that grandparents may demonstrate standing to seek custody based on extraordinary circumstances where the child has lived with the grandparents for a prolonged period of time, even if the child had contact with, and spent time with, a parent while the child lived with the grandparents" (*Matter of Suarez v Williams*, 26 NY3d 440, 444 [2015]).

The 2003 amendment was enacted based on an express legislative finding illustrative of the policy choice here. Namely, the legislature acknowledged that

"grandparents play a special role in the lives of their grandchildren and are increasingly functioning as care givers in their grandchildren[']s lives. In recognition of this critical role that many grandparents play in the lives of their grandchildren, the legislature finds it necessary to provide guidance regarding the ability of grandparents to obtain standing in custody proceedings involving their grandchildren" (L 2003, ch 657, § 1).

Thus, this Court recognized the "special status" of grandparents and that the unique path embodied in section 72 to establish extraordinary circumstances was enacted "in recognition of the important role of grandparents and the increasing number of grandparents raising their grandchildren" (*Suarez*, 26 NY3d at 446, 448). As we have recognized in other contexts (*see e.g. Brooke S.B.*, 28 NY3d at 14), concepts of the creation and composition of family units have evolved beyond traditional legal notions of blood relation or consanguinity. What once was accepted as a basic social premise must be carefully examined

in a way that reflects the realities of both our changing legal landscape and our lives.

IV.

It is here that the evolution of New York law with respect to bystander claims and the shifting understanding of varied familial relationships intersect.² As noted, this case presents the question whether Susan, as the grandmother of Greta, may assert a viable cause of action for negligent infliction of emotional distress under the “zone of danger” theory based upon the emotional harm stemming from witnessing at close proximity the incident in which Greta was killed. There is no dispute that Susan was within the zone of danger at the time of that incident, meaning that the question whether she may assert that cause of action for negligent infliction of emotional distress turns on whether Greta was part of Susan’s “immediate family” (*see Bousun*, 61 NY2d at 228).

We have not established an outer boundary for “the immediate family” element of the zone of danger rule (*see id.* at 233 n 13). Here, we simply conclude that a grandchild is within our understanding of what is meant by “immediate family.” That is, given the recognition by this Court and the legislature that the relationship of grandparent and grandchild enjoys a “special status” among familial relationships (*Suarez*, 26 NY3d at 448; *see* L 2003, ch 657, § 1), inclusion of grandparents in the common-law term “immediate family” under these circumstances is more than warranted.

This circumspect approach is consistent with our post-*Bousun* decision in *Trombetta v Conkling* (82 NY2d 549 [1993]). There, we concluded that the decedent aunt was not “immediate family” of the plaintiff niece for the purpose of the zone of danger rule (*see id.* at 550). That determination was borne not

2. We note that New York appears to be an outlier in terms of limiting bystander recovery to those with a familial relationship, but not permitting grandparents to recover (*see Philibert v Kluser*, 360 Or 698, 385 P3d 1038 [2016]; *Smith v Toney*, 862 NE2d 656 [Ind 2007]; *Dickerson v Lafferty*, 750 So 2d 432 [La Ct App 2000]; *Fernandez v Walgreen Hastings Co.*, 126 NM 263, 968 P2d 774 [1998]; *Bowen v Lumbermens Mut. Cas. Co.*, 183 Wis 2d 627, 517 NW2d 432 [1994]; *Hayes v Illinois Power Co.*, 225 Ill App 3d 819, 587 NE2d 559 [1992]; *Thing v La Chusa*, 48 Cal 3d 644, 771 P2d 814 [1989]; *Genzer v City of Mission*, 666 SW2d 116 [Tex App 1983]; *Barnhill v Davis*, 300 NW2d 104 [Iowa 1981]; *Leong v Takasaki*, 55 Haw 398, 520 P2d 758 [1974]; Wyo Stat Ann §§ 1-38-102, 2-4-101). As plaintiffs argue, our case law in this regard is in tension with New York’s public policy recognizing the special status of grandparents.

of an investigation into the nature of the bond between the decedent and the plaintiff, but of our historical precision and prudence in this area (*see id.* at 553). We adhered to our articulated policy of “limiting the availability of recovery for the negligent infliction of emotional distress to a strictly and objectively defined class of bystanders” (*id.*). Critically, we also recognized that *Bovsun* did not “define the boundaries of ‘the immediate family’ ” (*id.* at 552) and we did not do so in *Trombetta* either. Likewise, it is unnecessary to do so here, and that issue remains open.

This case calls upon us to blend the prudence we have shown in the course of many decades, including in *Bovsun* (61 NY2d 219) and that yielded *Trombetta* (82 NY2d 549) with recognition of reshaped societal norms and everyday common sense. We simply clarify that a discrete, limited class of persons that enjoys a special status under modern New York family law comes within the “narrow avenue to bystander recovery” (*Trombetta*, 82 NY2d at 552), and conclude that a grandchild is the “immediate family” of a grandparent for the purpose of applying the zone of danger rule.

V.

The motion for leave to serve and file a second amended complaint should have been granted. “Permission to amend pleadings should be ‘freely given’ (CPLR 3025, subd [b])” (*Edenwald Contr. Co. v City of New York*, 60 NY2d 957, 959 [1983]), and the decision whether “to allow . . . the amendment is committed to the court’s discretion” (*id.*). Here, inasmuch as the proposed amendment is not “patently devoid of merit” (172 AD3d at 1015), there was no reason to deny that application.³

Accordingly, the order of the Appellate Division should be reversed, with costs, plaintiffs’ motion to serve and file a second amended complaint granted in its entirety, and the certified question answered in the negative.

RIVERA, J. (concurring). The Court has missed the moment. In *Bovsun v Sanperi* (61 NY2d 219 [1984]), the Court adopted the zone-of-danger rule that limits recovery for infliction of emotional distress to certain family members put within harm’s

3. To the extent defendants contend that the motion should have been denied for the independent reason that plaintiffs failed to comply with the submission requirements of CPLR 3025 (b), that contention should be rejected.

way by defendants' conduct. On this appeal, we could have discarded that rule, which the Court knew then to be arbitrary and which served merely as a legally sanctioned excuse for "holding strict rein on liability" (*id.* at 230, quoting *Tobin v Grossman*, 24 NY2d 609, 618 [1969]). We could have explained that basing a right of recovery on whether a plaintiff was physically near to the injured or killed person leads to absurd results.

"[W]hile legislative bodies have the power to change old rules of law, nevertheless, when they fail to act, it is the duty of the court to bring the law into accordance with present day standards of wisdom and justice rather than 'with some outworn and antiquated rule of the past.' No reason appears why there should not be the same approach when traditional common-law rules of negligence result in injustice" (*Woods v Lancet*, 303 NY 349, 355 [1951], quoting *Funk v United States*, 290 US 371, 382 [1933]).

On this appeal, we could have discarded the Court's additional limitation that a person within the zone of danger must be the third party's "immediate family" member, defined strictly by marriage and degrees of consanguinity (*see Bovsun*, 61 NY2d at 233 n 13; *Trombetta v Conkling*, 82 NY2d 549, 553 [1993]). We would be justified in rejecting this outdated, patriarchal, and parochial definition, because families are formed not solely by matrimony and blood but also with bonds of friendship and love.

Lastly, we could have acknowledged that our rule was formed around the Court's assumption that a less stringent rule would lead to "unduly burdensome liability" (*Tobin*, 24 NY2d at 615), and then recognized that—as the experiences of other jurisdictions have proved—this concern is overstated. Regardless, such liability is merely "a kind of dollars-and-cents argument" (*id.* at 617) that neglects the dual purposes of tort law, which are to make wrongfully injured parties whole and provide a sufficient economic disincentive for injurious negligent conduct. We should have taken this opportunity to "reject[] as a ground for denying a cause of action that there will be a proliferation of claims" (*id.* at 615). "It suffices that if a cognizable wrong has been committed that there must be a remedy, whatever the burden of the courts" (*id.*). Having freed ourselves from the constraints of a retrograde and deeply flawed jurisprudence,

the Court could have adopted a rule premised on the fundamentals of tort law—foreseeability, causation, and discernable harm—rather than a rule overwhelmingly concerned with assumed “unduly burdensome liability” (*id.*). Yes, the majority holding is a long overdue, though modest, expansion of the class of plaintiffs that are eligible to recover for emotional injuries sustained from watching loved ones suffer injury or death. And so I concur in the result. But the majority adheres to a legal framework that is arbitrary to the point of being contrary to public policy and blatantly unjust. The majority’s small step is inadequate and solidifies an indefensible jurisprudence for the unforeseen future.

I write separately to explain why our rule should be that a person may recover for the emotional distress caused by perceiving the serious injury or death of any person with whom they shared a strong personal and loving bond. Alternatively, a person may recover if they contemporaneously observed the serious injury or death of another, regardless of their relationship, if they were at risk of immediate and serious physical harm from the defendant’s conduct. This rule would eliminate the requirement that the plaintiff be related to the victim by marriage or consanguinity. The rule would also allow “strangers” to recover if the defendant violated a duty owed to them by putting them at risk of immediate and serious physical harm.

I.

The majority has described with a broad brush the development of our common law that led to this Court’s adoption of a standard that permits recovery for infliction of emotional distress caused by observing a defendant’s harm to an immediate family member (majority op at 519-523). There are some additional observations and conclusions within these seminal cases worth noting, which illustrate why we should adopt a new rule as I have articulated.

In *Battalla v State of New York* (10 NY2d 237, 242 [1961]), the Court first recognized a claim for damages based on mental distress without physical injury. *Battalla* involved an infant that was placed in a chairlift by an employee of a ski resort and not properly secured (*id.* at 239). The infant “became frightened and hysterical” while riding on the chairlift and suffered severe emotional disturbance with residual physical manifestations as a result (*id.* 238-239). In finding that the

plaintiff had stated a legally cognizable claim, the Court noted the well-understood principle, “fundamental to our common-law system[,] that one may seek redress for every substantial wrong” (*id.* at 240).

Battalla overruled *Mitchell v Rochester Ry. Co.* (151 NY 107, 110 [1896]), which prohibited recovery for emotional disturbance without physical injury. The Court explained that “a rigorous application of” the rule articulated in *Mitchell* “would be unjust, as well as opposed to experience and logic” (*Battalla*, 10 NY2d at 239).

Unlike the majority here, the Court in *Battalla* extolled our role in developing the common law. That role is not contingent upon legislative enactments, for as the Court explained, “[w]e act in the finest common-law tradition when we adopt and alter decisional law to produce common-sense justice. . . . Legislative action there could, of course, be, but we abdicate our own function, in a field peculiarly nonstatutory, when we refuse to reconsider an old and unsatisfactory court-made rule’ ” (*id.*, quoting *Woods v Lancet*, 303 NY 349, 355 [1951]).

Fidelity to the development of common law as the duty of an independent judiciary was well established long before its reaffirmation in *Battalla* and *Woods*. Aligning the common law with an evolving sense of justice is essential to the judicial exercise of this authority. Almost a century ago the United States Supreme Court explained that

“ ‘as it was the characteristic principle of the common law to draw its inspiration from every fountain of justice, we are not to assume that the sources of its supply have been exhausted. On the contrary, we should expect that the new and various experiences of our own situation and system will mould and shape it into new and not less useful forms.’ . . .

“To concede this capacity for growth and change in the common law by drawing ‘its inspiration from every fountain of justice,’ and at the same time to say that the courts of this country are forever bound to perpetuate such of its rules as, by every reasonable test, are found to be neither wise nor just, because we have once adopted them as suited to our situation and institutions at a particular time, is to deny to the common law in the place of

its adoption a ‘flexibility and capacity for growth and adaptation’ which was ‘the peculiar boast and excellence’ of the system in the place of its origin. . . .

“It has been said so often as to have become axiomatic that the common law is not immutable but flexible, and by its own principles adapts itself to varying conditions” (*Funk*, 290 US at 383).

In the same vein, the *Battalla* Court rejected the traditional arguments against expanding liability to include emotional injuries (10 NY2d at 240). Specifically, it questioned the Court’s preoccupation in *Mitchell* with the possibility that emotional injury “could be feigned without detection” and the risk that expanding liability would lead to “a flood of litigation where damages must rest on speculation” (*id.*). The Court reasoned that, “[a]lthough fraud, extra litigation and a measure of speculation are, of course, possibilities, it is no reason for a court to eschew a measure of its jurisdiction” (*id.* at 240-241). In addition, the Court noted that “fraudulent accidents and injuries are just as easily feigned in the slight-impact cases and other exceptions wherein New York permits a recovery, as in no-impact cases which it has heretofore shunned” (*id.* at 241). Thus, the Court rejected the view that it was too difficult to discern the genuine from the fraudulent claim for nonphysical harm. That was the right choice because, as the Court observed, an “argument from mere expediency cannot commend itself to a Court of justice, resulting in the denial of a logical legal right and remedy in *all* cases because in *some* a fictitious injury may be urged as a real one” (*id.* [internal quotation marks omitted], quoting *Green v T.A. Shoemaker & Co.*, 111 Md 69, 81, 73 A 688, 692 [1909]).

A few years later, California adopted a “bystander” recovery rule in *Dillon v Legg* (68 Cal 2d 728, 747, 441 P2d 912, 924-925 [1968]). In that case, California permitted a mother to recover for her emotional harm caused by observing the defendant’s car hit her son. The court applied a foreseeability test, concluding that the emotional harm to the plaintiff was foreseeable even if the mother was not at risk of physical harm because the mother and victim shared a strong emotional bond and she was in close proximity to the events (68 Cal 2d at 741, 441 P2d at 920-921). The court rejected arguments that emotional harm was easily feigned, that its holding would encourage false claims, and that the defendant owed a duty of care solely to

those in danger of physical harm (68 Cal 2d at 746-747, 441 P2d at 924-925).¹

The court noted legal commentators' observations that emotional injury should be treated as any other negligently inflicted injury (68 Cal 2d at 746, 441 P2d at 924, citing 2 Fowler V. Harper & Fleming James, Jr., *The Law of Torts* 1039 [1956], and Archibald H. Throckmorton, *Damages for Fright*, 34 Harv L Rev 260, 277 [1921]). For example, one commentator argued that

“[n]ervous shock resulting from fright is just one species of physical injury, and the rules of law, governing the right of recovery therefor, and the measure of recovery, are, or should be, the same as in all other cases of physical injury. The refusal to apply these general rules to actions for this particular kind of physical injury is nothing short of a denial of justice” (Throckmorton, 34 Harv L Rev at 277).

William L. Prosser described *Dillon* as a movement away from the zone-of-danger limitation, which he regarded as “no great triumph of logic,” given the inconsistencies that it created within tort law (Prosser & Keeton, *Torts* § 54 at 366 [5th ed 1984]). Indeed, “[i]t is the business of the courts to make precedent where a wrong calls for redress, even if lawsuits must be multiplied” (*id.* at 360). And, “where the concern is to avoid imposing excessive punishment upon a negligent defendant, it must be asked whether fairness will permit leaving the burden of loss instead upon the innocent victim” (*id.* at 361; see also *Leong v Takasaki*, 55 Haw 398, 404, 520 P2d 758, 763 [1974] [describing limitations like the zone-of-danger requirement as “artificial devices” that “may actually foreclose relief to a genuine claim” that were unnecessary under the rule developed in *Dillon*]; *Dunphy v Gregor*, 136 NJ 99, 112, 642 A2d 372, 378 [1994] [noting that the need to put a limit on liability “does not outweigh the need to recognize claims that are legitimate and just”]).

1. California has refined its rule and now limits recovery “to relatives residing in the same household, or parents, siblings, children, and grandparents of the victim” absent exceptional circumstances (*Thing v La Chusa*, 48 Cal 3d 644, 668 n 10, 771 P2d 814, 829 n 10 [1989]).

New York did not follow *Dillon*'s lead, although many other jurisdictions did.² Less than a year after California's path-breaking holding, our Court decided *Tobin*, which refused to allow recovery for emotional and mental damages incurred as a result of a defendant's injury to another (24 NY2d at 619). Like *Dillon*, *Tobin* involved a mother who sought recovery for her emotional and mental injuries caused by perceiving defendant's negligent harm to her child. Unlike in *Dillon*, the mother was not an eyewitness to the events; she heard the screech of automobile brakes and then discovered moments later that her infant child had been struck by a car and seriously injured (*id.* at 611).³ In rejecting the mother's claim for recovery, the Court acknowledged that "the common law is not circumscribed by syllogisms, however constructed out of precedents" (*id.* at 614).

However, the Court in *Tobin* erred in framing the issue as whether to create a new cause of action, which according to the Court required a "radical change in policy" that it was unwilling to make (*id.* at 615). Yet, all that was necessary was for the Court to employ the same logic of *Battalla* to extend the cause of action recognized therein to an individual who asserts emotional and mental injuries, leaving it to traditional principles of tort law to address that person's entitlement to recovery. As Judge Keating explained in dissent, the holding was unsupported by reason given that the majority "ha[d] shown that every element necessary to build a case for tortious liability in negligence is here present" (*id.* at 619 [Keating, J., dissenting]). Specifically, "[t]here is an important interest worthy of protection, there is proximate cause, there is injury, and there is foreseeability" (*id.*).

As both the *Tobin* majority and dissent recognized, withholding recovery from the mother was patently arbitrary (*id.* at 618, 620). In rejecting recovery nonetheless, the *Tobin* majority reviewed "several [policy] factors most often considered" in the development of the law governing recovery for emotional injury. These factors "overlap in various degrees" (*id.* at 615).

2. See e.g. *Sacco v High Country Indep. Press, Inc.*, 271 Mont 209, 228-229, 896 P2d 411, 423 (1995); *Paugh v Hanks*, 6 Ohio St 3d 72, 80, 451 NE2d 759, 767 (1983); *Sinn v Burd*, 486 Pa 146, 172-173, 404 A2d 672, 686 (1979); *Leong*, 55 Haw at 404-410, 520 P2d at 763-766.

3. This distinction was an odd one to note. The Court in *Battalla* had rejected the requirement that the plaintiff actually be impacted so it should not have mattered in *Tobin* whether the plaintiff was in a position to be impacted (10 NY2d at 239).

The Court had previously rejected the threat of a proliferation of claims and an increase in fraudulent litigation as outcome-determinative factors, and so handily rejected these as bases for deciding whether plaintiff should recover in *Tobin* (*id.* at 615-616). The Court concluded, however, that the remaining “factors”—foreseeability, the “inconsistency of the zone of danger rule, unlimited liability, unduly burdensome liability, and the difficulty of circumscribing the area of liability”—all weighed against plaintiff (*id.* at 615).

The Court noted that section 313 of the Restatement (Second) of Torts and several states had adopted the zone-of-danger rule, although it acknowledged that *Dillon* viewed that rule as a “rather arbitrary limiting rule which has the unpalatable consequence that a mother who also fears for herself may recover while, if she does not or has no such similar opportunity, she may not recover” (*id.* at 616, citing *Dillon*, 68 Cal 2d at 747, 441 P2d at 924-925). While unlimited and unduly burdensome liability were constants under any theory of recovery, the “most difficult factor” to resolve, according to the Court, was the “reasonable circumscription, within tolerable limits required by public policy, of a rule creating liability” (*id.* at 617).

As the Court recognized, a parent need not witness the events that caused harm to their child for the parent “to sustain grievous psychological trauma” (*id.*). “The sight of gore and exposed bones is not necessary to provide special impact on a parent” (*id.*). And apart from the irrationality of conditioning recovery on whether the parent was an eyewitness to the harm, there is “the logical difficulty of excluding the grandparent, the relatives, or others *in loco parentis*, and even the conscientious and sensitive caretaker, from a right to recover, if in fact the accident had the grave consequences claimed, rais[ing] subtle and elusive hazards in devising a sound rule in this field” (*id.*).

The *Tobin* dissent argued that arbitrariness alone warranted discarding the limitation on recovery. The majority justified its holding as necessary to limit defendants’ liability (*id.* at 618). But the Court rejected the limitations adopted in *Dillon* because, according to the Court, “none of these standards are of much help if they are to serve the purpose of holding strict rein on liability and if the test is to be a reasonably objective one” (*id.*).

It was not until *Bovsun* that the Court finally held that third parties could recover “damages for injuries suffered in consequence of the observation of the serious injury or death” of another in certain circumstances (61 NY2d at 231). The *Bovsun* Court correctly viewed the issue as an expansion of the plaintiff’s right to recover and not the creation of a new duty of the defendant (*id.* at 229). Nor did the Court create a new cause of action:

“There may be an enlargement of the scope of recoverable damages; there is no recognition of a new cause of action or of a cause of action in favor of a party not previously recognized as entitled thereto. In conformity with traditional tort principles, the touchstone of liability in these cases is the breach by the defendant of a duty of due care owed the plaintiff” (*id.* at 233).

Nevertheless, in its quest to limit liability, the Court adopted two requirements intended to circumscribe the class of plaintiffs who could assert this right of recovery (*id.* at 230-231). Under the first, a plaintiff may recover if they are within the zone of danger created by the defendant’s conduct (*id.* at 223-224). This requirement does not require direct infliction of physical harm to the plaintiff, as the Court long ago rejected what had come to be known as the physical impact test (*see Tobin*, 24 NY2d at 613 [citation omitted]). As the analysis goes, a defendant who has placed a plaintiff in the zone of danger created by the defendant’s conduct has violated a duty of reasonable care owed to the plaintiff, who may recover for emotional harm, even if the plaintiff is not physically impacted or injured (*Bovsun*, 61 NY2d at 229). Notwithstanding the rule’s detractors, the Court viewed it “as comporting with the requirements set out in *Tobin* of a ‘reasonably objective’ standard which will ‘serve the purpose of holding strict rein on liability’ ” (*id.* at 230, quoting *Tobin*, 24 NY2d at 618).

The second requirement limits recovery only to persons who are members of the third-party victim’s “immediate family” (*id.* at 230-231). Because the plaintiffs in *Bovsun* and its companion case “were married or related in the first degree of consanguinity to the injured or deceased person,” the Court had no occasion to opine at the time on “the outer limits of ‘the immediate family’ ” (*id.* at 233 n 13).

It would not be long before the Court defined the boundary of “immediate family” in *Trombetta*. In that case, the Court

denied a niece recovery as a bystander to her aunt's death, though the niece "shared a long and strong emotional bond" with her aunt who had cared for her and acted as her mother since she was a child (82 NY2d at 550). The Court held that the definition of "immediate family" was "confine[d] . . . to only the immediate family as surveyed in *Bovsun*" and "defined and limited by *Bovsun*" (*id.* at 553, 554). "Immediate family," limited to spouses, parents, and children, was "a strictly and objectively defined class" that was "discrete [and] readily determinable" (*id.* at 553-554).

The Court noted that, regardless of the quality of the plaintiff's bond with her aunt, and "[a]lthough plaintiff suffered a personal tragic loss," those facts could not "justify the significant extension of defendants' obligation to be answerable in damages for [plaintiff's] emotional trauma" (*id.* at 553). "On firm public policy grounds," bystander recovery was foreclosed to individuals "who may be able to demonstrate a blood relationship coupled with significant emotional attachment or the equivalent of an intimate, immediate familial bond" but were not "immediate family" as defined by *Bovsun* (*id.*).

The Court's limiting of the meaning of "immediate family" to the relationships "surveyed" in and "defined and limited" by *Bovsun*, and its further admonition that the definition did not include others "who may be able to demonstrate" the "equivalent of an intimate, immediate familial bond," was intended to close the door on further expansion of the plaintiff class. Thus, and contrary to the majority view, I agree with Judge Garcia that *Trombetta* is properly understood as holding that only spouses, parents, and children can recover for their emotional injuries caused by observing defendant's third-party harm (*compare* Garcia, J., concurring op at 548, *with* majority op at 525-526). However, the *Bovsun/Trombetta* approach, and the majority's inclusion of grandparents and grandchildren within the definition of "immediate family," removes any rational ground for excluding other close bonds that are functional equivalents.⁴

As this discussion illuminates, the zone of danger and "immediate family" limitations suffer from analytic and practical

4. *Bovsun* included the additional requirement that an emotional injury be "serious and verifiable" (61 NY2d at 231, citing Restatement [Second] of Torts § 436 [3], Comment *g* [1965]). This requirement also acts as a check on unlimited liability and a flood of litigation, further undermining the necessity of the other two limitations.

deficiencies. I now turn to approaches broader than New York's to assist in designing a truly "objectively reasonable test."

II.

Many jurisdictions have acknowledged the lack of sound policies justifying harsh limitations on a plaintiff's recovery for emotional distress and have adopted more flexible or permissive rules. Oregon has adopted bystander recovery exactly as it is articulated in the Third Restatement of Torts, which allows recovery by close family members who perceive accidents even if they are not within the zone of danger (*Philibert v Kluser*, 360 Or 698, 711, 385 P3d 1038, 1046 [2016]). And several other states have adopted tests with only slight differences from the Third Restatement rule (see e.g. *La Chusa*, 48 Cal 3d at 647, 771 P2d at 815 [allowing bystanders "closely related" to direct victims to recover for "emotional distress beyond that which would be anticipated in a disinterested witness"]; *Jones v City of Houston*, 294 SW3d 917, 920 [Tex App 2009] [allowing bystanders who have "suffered shock as a result of a direct emotional impact" and are "closely related" to the direct victim to recover]; *Cameron v Pepin*, 610 A2d 279, 284-285 [Me 1992] [requiring that the plaintiff be "closely related to the victim"]; *Satchfield v R.R. Morrison & Son*, 872 So 2d 661, 664 [Miss 2004] [same]; *Portee*, 84 NJ at 101, 417 A2d at 528 [requiring "a marital or intimate, familial relationship between plaintiff and the injured person"]; *Clifton v McCammack*, 43 NE3d 213, 218 [Ind 2015] [requiring the plaintiff to have witnessed the death or injury of "a loved one with a relationship to the plaintiff analogous to a spouse, parent, child, grandparent, grandchild, or sibling caused by the defendant's negligent or otherwise (tortious) conduct"]; *Graves v Easterbrook*, 149 NH 202, 209, 818 A2d 1255, 1261-1262 [2003] [requiring that the plaintiff and physically injured victim share a "relationship that is stable, enduring, substantial, and mutually supportive" and "cemented by strong emotional bonds and provid(ing) a deep and pervasive emotional security"]).

Some states that require strict familial relationships between bystander plaintiffs and injured third parties are still less restrictive than New York (see e.g. *Barnhill v Davis*, 300 NW2d 104, 108 [Iowa 1981] [requiring that the "bystander and the victim were husband and wife or related within the second degree of consanguinity or affinity"]; La Civ Code Ann art 2315.6 [A] [allowing spouses, children, siblings, grandparents,

and grandchildren to recover as bystanders]; *Grotts v Zahner*, 115 Nev 339, 989 P2d 415 [1999] [employing a tripartite scheme in which nuclear family members have a sufficient relationship to assert a bystander claim, nonfamily members may not, and relationships between non-nuclear family members are submitted to the jury to decide if the relationship is sufficiently close to permit recovery]).

Other states use *Dillon's* foreseeability test, which is more permissive of recovery than the Third Restatement's test. "The touchstone" of that test "is not a rigid requirement of sensory and contemporaneous observance of the accident" or strict relational criteria, "but rather" whether there is a "reasonable foreseeability that the plaintiff-witness would suffer emotional harm" (*Tommy's Elbow Room, Inc. v Kavorkian*, 727 P2d 1038, 1043 [Alaska 1986]; *accord Leong*, 55 Haw at 408, 520 P2d at 764-765; *Sinn v Burd*, 486 Pa 146, 172-173, 404 A2d 672, 686 [1979]; *Wages v First Natl. Ins. Co. of Am.*, 318 Mont 232, 239, 79 P3d 1095, 1100, 2003 MT 309, ¶ 25 [2003]; *Paugh v Hanks*, 6 Ohio St 3d 72, 78, 451 NE2d 759, 765 [1983]; *James v Lieb*, 221 Neb 47, 55, 375 NW2d 109, 115 [1985] [adopting the foreseeability rule but adding that plaintiffs must show a "marital or intimate familial relationship"]; *Heldreth v Marrs*, 188 W Va 481, 493, 425 SE2d 157, 169 [1992] [adopting a foreseeability test but limiting recovery to "close relatives"]; *Hegel v McMahon*, 136 Wash 2d 122, 136, 960 P2d 424, 431 [1998] [adopting a foreseeability test but requiring "objective symptoms of the distress that are susceptible to medical diagnosis and proved through qualified evidence"]).

While there are other holdouts throughout the country that have adopted rules that are as similarly harsh as New York's, or deny bystander recovery altogether,

"as is plain from approaches such as those employed by the New York courts, especially in *Trombetta v. Conkling*, the concentration on difficulties in 'reasonably circumscribing the area of liability' represents a policy perception betokening greater concern with the burdens of imposing liability than with compensating loss, even where clearly attributable to the fault of another. Separating out the underlying philosophical orientations, that concern seems more apparent than real, especially when, to date, there is no sense of explosive expansion of tort liability either in those jurisdictions that have

recognized the bystander's claim or in those that have established a generally available tort for the negligent infliction of emotional distress" (Howard H. Kestin, *The Bystander's Cause of Action for Emotional Injury: Reflections on the Relational Eligibility Standard*, 26 Seton Hall L Rev 512, 542 [1996]).

New York's failure to reconsider and reject these unsupported policy justifications has rendered us an outlier. The Court has used those policies to shield its strict limitations and kept us from joining jurisdictions like California, Texas, and New Jersey in devising a rule better suited to address negligently inflicted harm. As jurisdictions adopt a more permissive rule without experiencing a flood of litigation, the more the policy foundation upon which New York's rule is built erodes.⁵

III.

The Second Restatement provided that if an actor's conduct is negligent and creates "an unreasonable risk of causing bodily harm to another," and where that harm "results from . . . shock or fright at harm or peril to a member of" the plaintiff's "immediate family occurring in" the plaintiff's "presence," the plaintiff could recover (Restatement [Second] of Torts § 436 [2], [3] [1965]).

The comments to this section noted that the rule applied "even though the plaintiff's shock or fright is not due to any fear for" the plaintiff's safety, "but to fear for the safety of" the plaintiff's "wife or child" (*id.*, Comment *f*). In a caveat to the rule, the Restatement's commentators noted that, due to an absence of sufficient decisions, they "expresse[d] no opinion as to whether the rule" would allow for recovery for "shock or fright at harm or peril to a third person who is not a member" of a plaintiff's "immediate family, or where the harm or peril does not occur in" the plaintiff's "presence" (*id.*, Caveat; Comment on Caveat *h*).

Similarly, section 46 of the Second Restatement provided that, where a person injures or kills a third person, the actor is

5. Courts are on shaky justificatory ground to begin with when they shape substantive law to avoid an increase in their workloads (*see* Marin K. Levy, *Judging the Flood of Litigation*, 80 U Chi L Rev 1007, 1057 [2013]). "[T]he concern with court-centered floodgates arguments is precisely about volume—that the . . . courts will have additional cases to decide (which is, of course, precisely their official obligation)" (*id.* at 1065).

subject to liability if they “intentionally or recklessly cause[] severe emotional distress (a) to a member of such person’s immediate family who is present at the time, whether or not such distress results in bodily harm, or (b) to any other person who is present at the time, if such distress results in bodily harm” (Restatement [Second] of Torts § 46 [2] [1965]). Thus, under section 46, the Second Restatement recognizes two classes of “bystander” plaintiffs: the immediate family member *and* any person whose distress results in bodily harm.

As with the commentators’ caveat to section 436, Comment *l* to section 46 of Restatement (Second) of Torts explains that the language “leave[s] open the possibility of situations in which presence at the time may not be required.” Further, although the cases decided up to the point of the Second Restatement’s publishing involved a plaintiff who was at least a close associate with the person harmed, the analysis could extend to strangers: “there appears to be no essential reason why a stranger who is asked for a match on the street should not recover when the [person] who asks for it is shot down before [their] eyes, at least where [the stranger’s] emotional distress results in bodily harm” (Restatement [Second] of Torts § 46, Comment *l* [1965]).

The Third Restatement, Liability for Physical and Emotional Harm, first published in 2012 and updated in 2020, reflects the further evolution of the rules governing “bystander recovery” in the ways left open by the Second Restatement. Under the Third Restatement, “[a]n actor who negligently causes sudden serious bodily injury to a third person is subject to liability for serious emotional harm” caused to “a person who: (a) perceives the event contemporaneously, and (b) is a close family member of the person suffering the bodily injury” (Restatement [Third] of Torts: Liability for Physical and Emotional Harm § 48 [Oct. 2020 update]).

The bystander recovery rule articulated in the Third Restatement differs from the rule developed in *Bovsun* and *Trombetta*. It mandates that the plaintiff perceived the harm to the third party as it occurred. The comments to the Third Restatement explain that the contemporaneous-perception requirement “is not limited to sight” and give the example of a blind person hearing a close family member suffer harm as an instance where recovery would be permitted (*id.*, Comment *e*).

In addition, the Third Restatement requires only that the plaintiff and injured or killed third party are “close family

member[s]” as opposed to “immediate family.” The Third Restatement commentators urged courts to adopt flexible definitions for “close family.” As the Third Restatement commentators explained, “[s]ometimes people live functionally in a nuclear family without formal legal family ties” (*id.*, Comment f). Thus, “[w]hen defining what constitutes a close family relationship, courts should take into account changing practices and social norms and employ a functional approach to determine what constitutes a family” (*id.*).

That view is supported by studies of human relations and modern family structures. For example, the percentage of children living with unmarried, cohabitating parents more than doubled between 1997, the first year that census data on cohabitation was available, and 2017; and in 2018 approximately one third of children were living with an unmarried parent (Gretchen Livingston, *About One-Third of U.S. Children are Living with an Unmarried Parent*, Pew Research Center, Apr. 27, 2018, <https://www.pewresearch.org/fact-tank/2018/04/27/about-one-third-of-u-s-children-are-living-with-an-unmarried-parent/> [last accessed Feb. 5, 2021]; see also Rebecca L. Melton, Note, *Legal Rights of Unmarried Heterosexual and Homosexual Couples and Evolving Definitions of “Family,”* 29 J Fam L 497, 499 [1991] [surveying statistical data indicating that American families take many varied forms, including group living and unmarried cohabitation]; Mary Patricia Treuthart, *Adopting A More Realistic Definition of “Family,”* 26 Gonz L Rev 91, 91-92 [1991] [noting that most families are not organized around a married man and woman occupying traditional gender roles]; Michael J Rosenfeld, *Young Adulthood as a Factor in Social Change in the United States*, 32 Population & Dev R 27, 40-47 [2006] [describing a trend away from traditional family structures dominant before and during the industrial revolution towards alternative family structures, including unmarried cohabitation, and attributing the shift to a less oppressive culture]; Benjamin Gurrentz, *For Young Adults, Cohabitation is Up, Marriage is Down: Living with an Unmarried Partner Now Common for Young Adults*, United States Census Bureau, Nov. 15, 2018, <https://www.census.gov/library/stories/2018/11/cohabitation-is-up-marriage-is-down-for-young-adults.html> [last accessed Feb. 5, 2021] [in 1968, only “0.2 percent of 25- to 34-year-olds lived with an unmarried partner”; in 2018, 14.8% did]).

Moreover, since this Court’s decision in *Tobin*, multigenerational households have almost doubled in number; one in five

Americans—20% of the United States population—live in these arrangements (D’Vera Cohn & Jeffrey S. Passel, *A Record 64 Million Americans Live in Multigenerational Households*, Pew Research Center, Apr. 5, 2018, <https://www.pewresearch.org/fact-tank/2018/04/05/a-record-64-million-americans-live-in-multigenerational-households/> [last accessed Feb. 5, 2021]; see also Frank F. Furstenberg, *Fifty Years of Family Change: From Consensus to Complexity*, 654 *Annals Am Acad Pol & Soc Sci* 12, 13-15 [2014] [describing the increasing complexity in types of familial structures throughout the world]).

Unsurprisingly, the revolution in awareness of the diversity of family arrangements has worked its way into many areas of our jurisprudence. As a constitutional matter, for zoning purposes, unrelated individuals living together may be the “functional and factual equivalent” of a family (see e.g. *Baer v Town of Brookhaven*, 73 NY2d 942, 943 [1989] [finding that five unrelated elderly women who lived together in a home were a family]; *McMinn v Town of Oyster Bay*, 66 NY2d 544, 551 [1985] [holding unconstitutional a town zoning ordinance that defined “family” to exclude households consisting of more than two unrelated or unmarried persons younger than 62]; *Group House of Port Washington v Board of Zoning & Appeals of Town of N. Hempstead*, 45 NY2d 266, 272 [1978] [holding that a group home in which two surrogate parents cared for seven foster children was a family]; *City of White Plains v Ferraioli*, 34 NY2d 300, 303 [1974] [finding that, for purposes of a city’s zoning regulations, a group home consisting of a married couple, their two biological children, and 10 foster children constituted a single family]).

Other cases similarly demonstrate that when tasked with recognizing the bonds that comprise family, the Court has adopted an approach that does not depend solely upon the rigid familial markers of birth or marriage. For example, in *Braschi v Stahl Assoc. Co.* (74 NY2d 201 [1989]), Judge Vito J. Titone, writing for the Court, explained the proper test for interpreting the word “family” in New York’s rent-control code. The Court rejected the Appellate Division’s holding that the rent-control code limited tenant succession rights to “family members within traditional, legally recognized familial relationships” (*id.* at 207). Instead, in order to serve the broad remedial aims of the rent-control law,

“the term family, as used in 9 NYCRR 2204.6 (d),

should not be rigidly restricted to those people who have formalized their relationship by obtaining, for instance, a marriage certificate or an adoption order. The intended protection against sudden eviction should not rest on fictitious legal distinctions or genetic history, but instead should find its foundation in the reality of family life” (*id.* at 211).

To aid in recognizing the “reality of family life,” the Court described a non-exhaustive list of factors for courts and juries to consider, including the “longevity of the relationship, the level of emotional and financial commitment, the manner in which the parties have conducted their everyday lives and held themselves out to society, and the reliance placed upon one another for daily family services” (*id.* at 212-213). *Braschi* acknowledged that the lower courts had already ably applied those factors in a variety of cases to determine whether “the totality of the relationship as evidenced by the dedication, caring and self-sacrifice of the parties” demonstrate that two people were family (*id.* at 213).

Scores of cases decided before and after *Braschi* prove that New York courts are well-equipped to apply a functional mode of analysis in order to identify strong and caring bonds, when the important remedial purposes of New York law so require (*e.g.* 2-4 *Realty Assoc. v Pittman*, 137 Misc 2d 898, 899-900 [Civ Ct, NY County 1987] [two men developed a father-son relationship after supporting each other through 25 “long years of life, poor health, and eventual death”], *affd* 144 Misc 2d 311 [App Term, 1st Dept 1989]; *Zimmerman v Burton*, 107 Misc 2d 401, 403 [Civ Ct, NY County 1980] [recognizing the tenant succession rights of unmarried partners and noting that “(t)he law must keep abreast of changing moral standards”]; *Fleishman Realty Corp. v Garrison*, 27 Misc 3d 1202[A], 2010 NY Slip Op 50527[U], *9 [Civ Ct, Bronx County 2010] [finding that over a decade a tenant formed “loving, committed, long-term relationships” with his boyfriend and boyfriend’s mother]).

IV.

Thus, we come to the foundational error of *Tobin* that continues to taint this Court’s analysis. The specter of unlimited liability is a weak justification for our tort rule, especially when it is unproven and when its application leads to irrational results. As the *Tobin* dissent observed,

“Not one piece of evidence is offered to prove that

the ‘dollar-and-cents’ problem [of unlimited liability] will have the dire effects claimed. More important, the manner in which the argument about infinite liability is explicitly rejected one day only to be revived the next is indicative of what may be described as a rather erratic method of decision. One can easily recognize the ad hoc nature of the argument by comparing passages in our opinions where we have chosen to do what modern concepts of justice demand[] with those cases where we have hesitated to follow through on the basic currents in the law of torts for the past generation. The statements in these opinions cannot be reconciled. . . . [T]here has been an expanding recognition that the argument concerning unlimited liability is of no merit, yet the aberrations persist. One would imagine that we were here involved with a catastrophic loss. There have already been decisions imposing liability of far greater dimension than can ever arise if we should embark upon a search for ‘essential justice’ in the bystander class of cases” (24 NY2d at 620 [citations omitted]).

The dissent is not alone.

“Too many respectable commentators have dismissed the ‘flood of litigation’ argument for it to detain us. The problem of imposing ‘unlimited and unduly burdensome liability’ is no greater as the jurisprudence relating to this cause of action develops than it has classically been in the past as causes of action have been articulated and have matured. As we gain familiarity with the various elements of any cause of action, our concerns about the burdens of coping with them are usually allayed. Typically, it is not a new development expanding a cause of action that itself creates problems of understanding and administration but, rather, the sense of unfamiliarity with its requirements. By now, with respect to typical factual issues concerning the existence and extent of emotional injury, this is no longer a real problem” (Howard H. Kestin, *The Bystander’s Cause of Action for Emotional Injury: Reflections on the Relational Eligibility Standard*, 26 Seton Hall L Rev 512, 542 [1996]).

Moreover, as others have observed, “rigid doctrinal limitations on liability to bystanders produce arbitrary, incongruous and indefensible results. Plaintiffs in substantially the same position have been treated differently” (*Bowen v Lumbermens Mut. Cas. Co.*, 183 Wis 2d 627, 651-652, 517 NW2d 432, 442 [1994]). Consider the following examples.

A parent stands on a street corner with their child waiting for a car service, when the defendant negligently loses control of their car and fatally strikes the child. The parent suffers emotional trauma from losing their child and has nightmares of the accident in which the parent relives the moment when they saw the car hit the child.

As a person within the zone of danger created by the defendant’s conduct and a person who was the “immediate family” member of the decedent, as defined in *Trombetta*, the parent may recover for the physical and emotional injuries suffered as a direct cause of the defendant striking them as well as the emotional trauma caused by observing the defendant strike and kill their child.

Incongruously, if the parent is a block away from the child waiting on the corner, and the child is at all times within the parent’s line of sight, the parent cannot recover in New York because they were not within the zone of danger, although they are an “immediate family” member. Where is the fairness in this outcome? Why is the defendant in this example more worthy of protection from liability than the defendant in the first example? In both scenarios the defendant killed a child on a public street in plain view of the child’s parent. The plaintiff’s injury and the defendant’s culpability are the same in both examples. The measure of deterrence required is also identical. There is no defensible justification for denying recovery to a plaintiff simply because of where they stood relative to the accident that they apprehended. Only blind adherence to a doctrine grounded in an unproven concern for limiting liability explains the difference in outcome.⁶

Take the further example of a parent estranged from their minor child, who has not seen the child since the child’s birth. The child lives with the other parent who has sole legal and

6. Further emphasizing the trend in favor of a broader rule, the parent could recover under the Third Restatement because the parent perceived the accident contemporaneously with its occurrence and the parent is a close family member of the child (Restatement [Third] of Torts: Liability for Physical and Emotional Harm § 48 [Oct. 2020 update]).

physical custody pursuant to a court order, and who has raised and cared for the child since birth. The estranged parent seeks to reconnect and finds the child on the street as the child waits for a school bus, while the custodial parent watches from the window of their second-story apartment, directly above the bus stop. At that moment, the defendant's car fatally strikes the child.

Under New York's rule, the custodial parent may not recover, despite losing the child they nurtured since birth. This result, on its own, is indefensible. As with the prior example, this parent experiences injurious emotional distress over the loss of their child that is in no way lessened merely because the custodial parent was outside the zone of danger. But it further contravenes public policy by allowing the noncustodial parent to recover, in disregard of both society's and the law's recognition of the long-standing bond between the custodial parent and their child.

Or assume, as in *Trombetta*, a woman within the zone of danger created by the defendant's negligence watches a car strike and kill her aunt, who has been the woman's caretaker and a parental figure since childhood. The niece could not recover under *Trombetta*. And the majority's limited expansion of bystander recovery to grandparents and grandchildren would not expressly apply. Yet one cannot seriously argue that grandparents are intimate family members (based on presumptions of their role within a family), but the parental figure in this hypothetical should not be considered an intimate family member.⁷

Marriage and blood relationships have served for too long as the primary measure for a strong human bond based on affection and connectedness. By its own terms, this measure is over-inclusive, as it assumes a reaction that may not be accurate given the actual nature of the relationship. It is a strange principle that seeks to circumscribe liability but allows for recovery on such an assumption. But that is not the real problem because our system already disallows recovery without actual injury and the plaintiff must still provide proof of real emotional trauma.

7. Again, showing the trend towards flexibility and recovery for plaintiffs based on their actual relationships with victims, under the Third Restatement rule, the niece could recover (Restatement [Third] of Torts: Liability for Physical and Emotional Harm § 48 [Oct. 2020 update]).

The real problem is that this limitation is underinclusive because it assumes that only spouses and certain relatives have the type of emotional attachment to the third-party victim that justifies recovery. That assumption cannot stand the cold light of reality. Human beings have strong, loving connections to non-relatives and non-spouses that are at least as meaningful as those between spouses and to grandparents (Restatement [Third] of Torts: Liability for Physical and Emotional Harm § 48, Comment *f* [Oct. 2020 update] [urging a functional as opposed to formal definition of family]; Rebecca L. Melton, Note, *Legal Rights of Unmarried Heterosexual and Homosexual Couples and Evolving Definitions of “Family,”* 29 J Fam L 497, 499 [1991]; Mary Patricia Treuthart, *Adopting A More Realistic Definition of “Family,”* 26 Gonz L Rev 91, 91-92 [1991]). In the past we have not hesitated to reject outdated holdings and adopt standards and rules that better reflect life and family structures (*Matter of Brooke S.B. v Elizabeth A.C.C.*, 28 NY3d 1, 26 [2016] [overruling a strict definition of “parent” that excluded non-biological and non-adoptive caregivers]).

We are also now well past the point of denying rights to persons who could not marry or who decide that it best serves them and their families not to marry (*see e.g.* Public Health Law § 2805-q [prohibiting hospitals from barring domestic partners from visiting one another]; 22 NYCRR 24.4 [a] [2] [defining “close family member” for purposes of paid sick leave for non-Family Medical Leave Act approved absences as an “employee’s spouse; domestic partner; natural, foster or step child; natural, foster or step parent; or any relative residing with the employee or an individual for whom the employee is the primary caregiver”]; 12 NYCRR 380-4.4 [providing that proof of domestic partnership is sufficient in part to establish a non-birthing parent’s right to take leave to bond with their child]). These legislative changes are no less powerful than the ones upon which the majority relies to expand tort liability to include grandparents, yet the majority offers no principle to distinguish legislative recognition of the familial relationship of grandparents from domestic partners.

The plaintiff in *Trombetta* is a prime example of the way many families are structured. But even without a blood relation, people form bonds, for example, based on a shared culture and a mutual experience born of shared struggle. We cannot ignore that unrelated children who grow up together consider themselves siblings in every sense, or that individuals who

have grown close through shared experiences may be family in every sense of the word save for biology. Our rule should no longer preclude recovery by persons whose lives are intertwined but choose not to marry because their families would ostracize them for marrying someone of the same gender, or because they are of a different race or ethnicity, or from outside of their religious community, or because they simply choose not to marry. Our rule denying recovery in these situations cannot withstand the logic by which the Court extends bystander recovery today.

Further, the immediate family requirement should be eliminated for persons within the zone of danger whose emotional distress caused by observing the serious injury or death of another manifests in physical harm. In that case, the defendant owes a duty directly to the plaintiff and traditional rules of foreseeability and proof of actual injury should apply to all aspects of the claim and demands for recovery. Under those rules, it is foreseeable that a person within the zone of danger who fears for their life would suffer a particular serious emotional trauma if they survive but observe another's severe or fatal injuries. The third-party victim's harm is a constant reminder of the plaintiff's own close call. In contrast, a bystander across the street may be horrified by what they see, but they will not associate that memory with their own near-death encounter or harm.

Allowing recovery is not arbitrary in this circumstance because someone in physical proximity to the victim has a meaningfully different experience from that of someone who perceives no risk to themselves and suffers no injury (Restatement [Second] of Torts § 46, Comment *l* [1965]). Thus, there is a logical basis for allowing a stranger who is within the zone of danger to recover while denying liability to any other bystander who happens to observe the injury or death of another.

As a final point, a rule that excuses a defendant—like the ones sued by plaintiff here—of the consequences of their negligence is bereft of justice. The defendants failed to remedy the building façade's structural weaknesses and thus risked harm to any pedestrians that walked beneath the building. While the majority holding allows *this* plaintiff to recover, if she had stood in a slightly different relationship or was a stranger to the deceased child, the defendants would not have to compensate her for a part of the harm caused by their inexcusable negligence. Causing defendants like these to

internalize the full cost of the harm that they cause, and making those harmed by them whole, promotes the important societal goal of public safety. Second, it encourages potential defendants to acquire appropriate insurance coverage; this, too, promotes public safety, as these individuals and entities will likely undertake risk-reduction measures to avoid hefty insurance premiums. For those concerned that society (renters in the building, for instance) will pay the price for increased insurance, the costs are unlikely to be greater than for any other type of tort recovery that we already permit, and defendant can contain increased insurance costs by taking the legally prescribed steps to reduce the likelihood that their buildings crumble and kill passersby.

V.

The majority's expansion of the definition of "immediate family," while significant for this plaintiff and others like her, repeats the errors of the past. It has taken over a quarter century since *Trombetta* for the Court to get this far. "I can only hope that it will not take as long [for] New York" to finally "correct[] this error" (*Tobin*, 24 NY2d at 621 [Keating, J., dissenting]).

GARCIA, J. (concurring). What's past is precedent. Here, that means this Court's decision in *Trombetta v Conkling* (82 NY2d 549, 554 [1993]) and by reversing the Appellate Division, we overrule, at least in part, that decision. While the majority is correct that this Court declined to set the "outer limits of the immediate family" in *Bovsun v Sanperi* (61 NY2d 219, 233 n 13 [1984] ["Inasmuch as all plaintiffs in these cases were married or related in the first degree of consanguinity to the injured or deceased person, we need not now decide where lie the outer limits of 'the immediate family'"]), we did so in *Trombetta*. In that case we held that "[s]ound policy and strong precedents justify our confinement and circumscription of the zone of danger rule to only the immediate family as surveyed in *Bovsun*" (82 NY2d at 553). That "survey"—covering only those married or related in the first degree of consanguinity—did not include the relationship at issue here.

Six of my colleagues agree that we should overrule our precedent and expand the pool of potential plaintiffs. Although I question the wisdom of that conclusion (*see Bovsun*, 61 NY2d at 234 [Kaye, J., dissenting] [noting that "sound policy

considerations supported this court's decisions consistently denying" recovery for "emotional distress from observing physical injury to another" and that the "artificial and arbitrary" limitation imposed would eventually "give way to far-reaching liability affecting the public generally"[]), I see no value in dissenting. Accordingly, acknowledging the proper context of what we do today—overturning in part our decision in *Trombetta*—I concur in the narrow holding that "a grandchild is the 'immediate family' of a grandparent for the purpose of applying the zone of danger rule" (majority op at 526).

Chief Judge DiFiore and Judges Stein and Feinman concur; Judge Rivera concurs in result in an opinion in which Judge Wilson concurs; Judge Garcia concurs in result in a separate concurring opinion.

Order reversed, with costs, plaintiffs' motion to serve and file a second amended complaint granted in its entirety and certified question answered in the negative.

[168 NE3d 1138, 145 NYS3d 1]

CIT BANK N.A., Respondent, v PAMELA SCHIFFMAN et al., Appellants, et al., Defendants.

Argued February 9, 2021; decided March 30, 2021

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “(1) Where a foreclosure plaintiff seeks to establish compliance with RPAPL § 1304 through proof of a standard office mailing procedure, and the defendant both denies receipt and seeks to rebut the presumption of receipt by showing that the mailing procedure was not followed, what showing must the defendant make to render inadequate the plaintiff’s proof of compliance with § 1304?” and “(2) Where there are multiple borrowers on a single loan, does RPAPL § 1306 require that a lender’s filing include information about all borrowers, or does § 1306 require only that a lender’s filing include information about one borrower?”

HEADNOTES

Mortgages — Foreclosure — Presumption of Mailing and Receipt of RPAPL 1304 Notice — Rebuttal

1. In residential mortgage foreclosure actions, to rebut the presumption of mailing and receipt of a RPAPL 1304 notice created through proof of a standard office mailing procedure, there must be proof of a material deviation from an aspect of the office procedure that would call into doubt whether the notice was properly mailed, impacting the likelihood of delivery to the intended recipient. In addition to a claim of no receipt, there must be a showing that the routine office practice was not followed or was so careless that it would be unreasonable to assume that the notice was mailed. The crux of the inquiry is whether the evidence of a defect casts doubt on the reliability of a key aspect of the process such that the inference that the notice was properly prepared and mailed is significantly undermined. Minor deviations of little consequence are insufficient. This is a workable rule that balances the practical considerations underpinning the presumption against the need to ensure the reliability of a routine office practice with respect to the creation and mailing of notices.

Mortgages — Foreclosure — RPAPL 1306 Filing Requirement — Multi-Borrower Loan

2. In residential mortgage foreclosure actions, inclusion of information about only one borrower on a multi-borrower loan is sufficient to satisfy

RPAPL 1306's electronic filing requirement. Although the statute does not specify whether information must be supplied concerning each party when there are multiple individuals or entities on a single loan, a plain reading indicates that RPAPL 1306 is satisfied as long as one borrower is listed. The statute states that the filing must contain information about "the borrower," referring to the party in singular form—unlike RPAPL 1304, which references the "borrower, or borrowers." Despite using the singular and plural form in section 1304, the legislature chose to reference only the singular "borrower" in RPAPL 1306, a closely related statute. The principal objective of the filings is to provide statistical data permitting accurate tracking and analyzing of loans at risk of foreclosure and proper allocation of foreclosure counseling resources statewide in order to combat the mortgage crisis—an aim also reflected in the legislative history. This objective is fulfilled by a filing that references at least one borrower.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Mortgages §§ 531, 545; AM JUR 2d Process §§ 195, 196.

CARMODY-WAIT 2d Service and Filing of Papers §§ 20:36, 20:37; CARMODY-WAIT 2d Foreclosure of Mortgages on Real Estate §§ 92:37, 92:197.

McKINNEY'S, RPAPL 1304, 1306.

MORTGAGE LIENS IN NEW YORK (2020-2021 ed) ch 19, The Action to Foreclose the Mortgage.

NY JUR 2d Mortgages and Deeds of Trust §§ 545, 550; NY JUR 2d Process and Papers § 79.

ANNOTATION REFERENCE

See ALR Index under Foreclosure; Mail; Mortgages; Presumptions and Burden of Proof.

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POINTS OF COUNSEL

Law Office of Samuel Katz, PLLC, Brooklyn (*Samuel Katz* and *Joseph J. Schwartz* of counsel), for appellants. I. A foreclosure plaintiff's showing of RPAPL 1304 compliance through proof of a standard office mailing procedure is inadequate where a defendant denies receipt and demonstrates that the mailing procedure was not followed. (*Aurora Loan Servs., LLC v Weisblum*, 85 AD3d 95; *Bank of N.Y. Mellon v Aquino*, 131

AD3d 1186; *Wells Fargo Bank, NA v Burke*, 125 AD3d 765; *Cenlar, FSB v Censor*, 139 AD3d 781; *CitiMortgage, Inc. v Pappas*, 147 AD3d 900; *Citibank, N.A. v Wood*, 150 AD3d 813; *Investors Sav. Bank v Salas*, 152 AD3d 752; *Central Mtge. Co. v Abraham*, 150 AD3d 961; *M&T Bank v Joseph*, 152 AD3d 579; *Cenlar, FSB v Weisz*, 136 AD3d 855.) II. Compliance with RPAPL 1306 mandates a foreclosure plaintiff to file information with the superintendent regarding all borrowers upon whom service of an RPAPL 1304 notice was required. (*John v Rikud Realty, Inc.*, 149 AD3d 707; *TD Bank, N.A. v Leroy*, 121 AD3d 1256; *Aurora Loan Servs., LLC v Weisblum*, 85 AD3d 95; *Bank of Am., N.A. v Colagrande*, 171 AD3d 1124.)

Hogan Lovells US LLP, Washington, D.C. (*Sean Marotta* and *Danielle Desaulniers Stempel* of the District of Columbia bar, admitted pro hac vice, of counsel), and New York City (*Allison J. Schoenthal* and *Allison M. Funk* of counsel), for respondent. I. Because Pamela Schiffman and Jerry Schiffman have not identified a material defect directly related to CIT Bank N.A.'s actual mailing process, they have not rebutted the presumptions of mailing and receipt. (*Deutsche Bank Natl. Trust Co. v Spanos*, 102 AD3d 909; *Aurora Loan Servs., LLC v Weisblum*, 85 AD3d 95; *JPMorgan Chase Bank, N.A. v Skluth*, 177 AD3d 592; *Citigroup v Kopelowitz*, 147 AD3d 1014; *Bossuk v Steinberg*, 58 NY2d 916; *Mishkind-Feinberg Realty Co. v Sidorsky*, 189 NY 402; *Viviane Etienne Med. Care, P.C. v Country-Wide Ins. Co.*, 25 NY3d 498; *Badio v Liberty Mut. Fire Ins. Co.*, 12 AD3d 229; *Electronic Servs. Intl. v Silvers*, 233 AD2d 361; *Liriano v Eveready Ins. Co.*, 65 AD3d 524.) II. RPAPL 1306 requires that a lender need only list one borrower in its notice, even for a multiborrower loan. (*Jericho Water Dist. v One Call Users Council, Inc.*, 10 NY3d 385; *Matter of Lower Manhattan Loft Tenants v New York City Loft Bd.*, 66 NY2d 298; *Ruffin v Lion Corp.*, 15 NY3d 578.)

OPINION OF THE COURT

Chief Judge DiFiore.

In New York, prior to commencing a residential foreclosure action, a lender must comply with certain requirements set forth in the Real Property Actions and Proceedings Law. As relevant here, these include, under section 1304, providing certain notices to the borrower 90 days before commencing a foreclosure action and, under section 1306, completing an electronic filing providing certain borrower information to the State

Department of Financial Services (DFS). In this appeal involving a foreclosure action commenced in federal court, the United States Court of Appeals for the Second Circuit has posed two questions to this Court implicating what a lender must do to comply with these statutes. First, the Second Circuit asks how a borrower can rebut a lender's proof of compliance with RPAPL 1304 when that proof is in the form of a standard office mailing procedure. We respond that where a presumption of mailing and receipt arises from such evidence it may be rebutted by proof of a material deviation from the ordinary practice that calls into doubt whether the notice was properly mailed. Second, with respect to the RPAPL 1306 filing, we are asked if the statute requires the inclusion of information about each individual liable on the loan. We conclude that it does not and that information about only one borrower is sufficient.

As stated by the Second Circuit, in 2008 defendant Pamela Schiffman executed a \$326,000 note secured by a mortgage on property she owned with her husband, defendant Jerry Schiffman. The couple jointly executed a consolidation, extension and modification agreement combining prior obligations on the property into a single agreement, and later entered into a loan modification agreement. The mortgage was assigned to One-West Bank, F.S.B., which—after defendants' payment default in December 2014—later became known as plaintiff CIT Bank N.A. (CIT). Following the default, CIT commenced this foreclosure action against the Schiffmans in October 2016 in the United States District Court for the Eastern District of New York. Defendants answered, asserting (among other defenses) that CIT failed to comply with RPAPL 1304 and 1306.

CIT moved for summary judgment against defendants, arguing it had established its *prima facie* entitlement to a judgment of foreclosure and, as relevant here, that it had satisfied the requirements of RPAPL 1304 and 1306 in November 2015, almost a year before commencing suit, by mailing the notices and submitting the electronic filing within three days of that mailing. To demonstrate compliance with RPAPL 1304, CIT submitted the affidavit of employee Rachel Hook in which she attested to her personal knowledge of CIT's routine office practice relating to the generation, addressing, and mailing of 90-day notices, which she described in the affidavit. Copies of the notices and envelopes purportedly mailed to Pamela and Jerry Schiffman were attached to the motion papers. As relevant to the first certified question, Hook's affidavit stated that,

as part of CIT's routine practice, envelopes for the 90-day notices are "created upon default." CIT also submitted a copy of its completed RPAPL 1306 electronic filing statement, which listed Pamela Schiffman as the borrower and stated that the filing was completed on the same day as the mailing of the 90-day notice. Defendants opposed summary judgment, denying receipt of the section 1304 notices, asserting the Hook affidavit was insufficient to create a presumption of receipt for various reasons, and contending that CIT failed to satisfy section 1306 by listing only Pamela, and not also Jerry, on the filing.

The motion was referred to a magistrate judge, who recommended that the court grant CIT's motion for summary judgment. Adopting that recommendation, District Court granted summary judgment to CIT, concluding that the bank satisfied both RPAPL 1304 and 1306. Defendants appealed, arguing, among other things, that the District Court erred in concluding that CIT proved compliance with RPAPL 1304. Specifically, defendants contended that it was evident from the fact that the notices were dated almost a year after default that the bank had deviated from its routine office practice of generating the envelopes for the 90-day notices "upon default." Defendants also reiterated their argument that CIT failed to comply with RPAPL 1306 because the requisite filing listed only one of their names.

On appeal, the Second Circuit did not resolve defendants' argument that, even if a presumption arose, the "nearly one-year gap" between the date of the notice and defendants' initial payment default rebutted the presumption, creating a triable question of fact.* Determining that it needed guidance from this Court as to the type of showing necessary to rebut the presumption in this context, the Second Circuit certified the first question, which asks:

"Where a foreclosure plaintiff seeks to establish compliance with RPAPL § 1304 through proof of a standard office mailing procedure, and the defendant both denies receipt and seeks to rebut the presumption of receipt by showing that the mailing procedure was not followed, what showing must

* The Second Circuit has not requested guidance concerning whether CIT's submissions created a presumption—a matter the Second Circuit addressed and resolved in CIT's favor, rejecting defendants' arguments to the contrary (*CIT Bank N.A. v Schiffman*, 948 F3d 529, 534 [2d Cir 2020]).

the defendant make to render inadequate the plaintiff's proof of compliance with § 1304?" (*CIT Bank N.A. v Schiffman*, 948 F3d 529, 538 [2d Cir 2020]).

With respect to CIT's compliance with the RPAPL 1306 electronic filing requirement, the Second Circuit concluded that whether the statute requires a lender to list all borrowers on the filing constitutes an unresolved question of New York law, certifying the second question, which asks: "Where there are multiple borrowers on a single loan, does RPAPL § 1306 require that a lender's filing include information about all borrowers, or does § 1306 require only that a lender's filing include information about one borrower?" (*id.*).

We accepted the questions for review pursuant to section 500.27 of this Court's rules (22 NYCRR 500.27) (*CIT Bank N.A. v Schiffman*, 34 NY3d 1137 [2020]).

Certified Question No. 1

We begin with the first question concerning the showing necessary to rebut the presumption created by proof of a standard office mailing procedure in the section 1304 context. RPAPL 1304 (1) provides that "with regard to a home loan, at least ninety days before a lender, an assignee or a mortgage loan servicer commences legal action against the borrower, or borrowers . . . including mortgage foreclosure, such lender, assignee or mortgage loan servicer shall give notice to the borrower." The notice must be sent "by registered or certified mail and also by first-class mail" and contain a list of at least five local housing counseling agencies, among other requirements (RPAPL 1304 [2]). "Notice is considered given as of the date it is mailed" (*id.*).

The legislature enacted RPAPL 1304 in 2008 in response to the mortgage crisis, initially making it applicable only to lenders of certain "high-cost," "subprime" and "non-traditional" home loans (L 2008, ch 472, § 2). The scope of the statute was expanded the following year to cover all home loans (L 2009, ch 507, § 1-a; *see* RPAPL 1304 [1], [6] [a] [1]). This had the effect of increasing the number of borrowers who would benefit from the information provided in the notice and the 90-day period during which the parties could attempt to work out the default "without imminent threat of a foreclosure action," in an effort to further the ultimate goal of reducing the number of foreclosures (Governor's Program Bill Mem No. 46R, Bill Jacket, L 2009, ch 507 at 10).

RPAPL 1304 does not indicate what proof a lender must submit in a foreclosure action to demonstrate compliance with the notice requirement. However, in analogous circumstances, this Court has long recognized a party can establish that a notice or other document was sent through evidence of actual mailing (e.g., an affidavit of mailing or service) (*see Engel v Lichterman*, 62 NY2d 943, 944 [1984]) or—as relevant here—by proof of a sender’s routine business practice with respect to the creation, addressing, and mailing of documents of that nature. Evidence of “an established and regularly followed office procedure” (*Matter of Gonzalez [Ross]*, 47 NY2d 922, 923 [1979]) may give rise to a rebuttable “presumption that such a notification was mailed to and received by the [intended recipient]” (*Preferred Mut. Ins. Co. v Donnelly*, 22 NY3d 1169, 1170 [2014]; *see also Nassau Ins. Co. v Murray*, 46 NY2d 828, 829 [1978]). “[I]n order for the presumption to arise, [the] office practice must be geared so as to ensure the likelihood that [the] notice . . . is always properly addressed and mailed” (*Nassau Ins. Co.*, 46 NY2d at 830). Such proof need not be supplied by the employee charged with mailing the document (*see Bossuk v Steinberg*, 58 NY2d 916, 919 [1983]) but can be offered in the form of an affidavit of an employee with “personal knowledge of the practices utilized by the [company] at the time of the alleged mailing” (*Preferred Mut. Ins. Co.*, 22 NY3d at 1170; *see also Nassau Ins. Co.*, 46 NY2d 828). For example, in *Preferred Mut. Ins. Co.*, we deemed an affidavit describing the procedures used by an insurance company “to ensure the accuracy of addresses, as well as office procedures relating to the delivery of mail to the post office” sufficient to support the presumption, where the affidavit explained, among other things, how the notices and envelopes were generated, posted and sealed, as well as how the mail was transmitted to the postal service (22 NY3d at 1170, *affg* 111 AD3d 1242, 1244 [4th Dept 2013]).

[1] The particular issue before us here is what showing a borrower must make to *rebut* the presumption created through proof of a standard office mailing procedure in the context of RPAPL 1304 notices. In this Court, defendants essentially argue that a lender’s showing of compliance with section 1304 through an affidavit of a routine office mailing procedure can be rebutted by the borrower’s denial of receipt, accompanied by a showing that any aspect of the routine office procedure was not followed. CIT does not disagree that a denial of receipt and a showing of noncompliance can raise a fact issue but contends

that this is true only if the deviation from procedure is material and related to the mailing process in a manner that would affect whether the document was mailed to the appropriate party.

It is well-settled that “[d]enial of receipt . . . , standing alone, is insufficient In addition to a claim of no receipt, there must be a showing that [the] routine office practice was not followed or was so careless that it would be unreasonable to assume that the notice was mailed” (*Nassau Ins. Co.*, 46 NY2d at 829-830). While we set forth these general principles in *Nassau Ins. Co.*, we did not elaborate upon the nature or extent of the departure from stated office routine necessary to rebut the presumption. Asked by the Second Circuit for further guidance on that issue, we clarify that to rebut the presumption, there must be proof of a material deviation from an aspect of the office procedure that would call into doubt whether the notice was properly mailed, impacting the likelihood of delivery to the intended recipient. Put another way, the crux of the inquiry is whether the evidence of a defect casts doubt on the reliability of a key aspect of the process such that the inference that the notice was properly prepared and mailed is significantly undermined. Minor deviations of little consequence are insufficient.

What is necessary to rebut the presumption that a RPAPL 1304 notice was mailed will depend, in part, on the nature of the practices detailed in the affidavit. Moreover, contextual considerations may also factor into the analysis. For example, here, CIT points out that residential notes and mortgages are negotiable instruments that often change hands at various points during their duration, which may impact the timing of the creation and mailing of RPAPL 1304 notices—a contextual factor a court could consider in assessing whether a purported deviation from routine procedure was material. We reject defendants’ argument that a single deviation from any aspect of the routine office procedure necessarily rebuts the presumption of mailing. Such a standard would undermine the purpose of the presumption because, in practice, it would require entities to retain actual proof of mailing for every document that could be potentially relevant in a future lawsuit. As we recognized almost a century ago, such an approach would be financially and logistically impractical given the reality that commercial entities create and process significant volumes of mail and may experience frequent employee turnover—circumstances that

apply not only to banks, but many other businesses and government agencies (*see generally Johnson v Lutz*, 253 NY 124, 126-127 [1930] [addressing adoption of the business records rule]). Instead, New York courts have applied a workable rule that balances the practical considerations underpinning the presumption against the need to ensure the reliability of a routine office practice with respect to the creation and mailing of notices, which we have further clarified today in the context of notices mailed pursuant to section 1304.

The Second Circuit has not asked us to address how the standard should be applied in this case and we therefore express no view on that question (*see e.g. Engel v CBS, Inc.*, 93 NY2d 195, 207 [1999]).

Certified Question No. 2

The second certified question asks whether RPAPL 1306 requires that a lender's filing include information about all borrowers on a multi-borrower loan. RPAPL 1306 provides that as a "condition precedent" to commencing a foreclosure action, "[e]ach lender, assignee or mortgage loan servicer" file with the superintendent of financial services "within three business days of the mailing of the [section 1304 notice] . . . the information required by subdivision two" (RPAPL 1306 [1]). Subdivision (2) directs, in relevant part, that "[e]ach filing . . . shall be on such form as the superintendent shall prescribe, and shall include at a minimum, the name, address, last known telephone number of the borrower, and the amount claimed as due and owing on the mortgage" (RPAPL 1306 [2]). In this case, defendants do not dispute that CIT submitted the electronic filing—nor do they dispute that it was made within three days of the purported date of the mailing of the 90-day notices. Instead, defendants contend that the copy of the filing statement supplied by CIT was insufficient to establish compliance because it listed only Pamela Schiffman, and not Jerry Schiffman, as a borrower—arguing that the statute requires a lender to include "up to two, not only one" borrower on a multi-borrower loan. CIT asserts that only one borrower must be listed on an RPAPL 1306 filing in light of the plain language of the statute, which refers to "the borrower" in singular form, and the statute's primary purpose to provide data on defaulting loans to a state agency, which is satisfied by listing one borrower on the filing. We agree with CIT.

Whether the statute requires the lender to list the names of each individual or entity liable on a loan is a matter of statu-

tory interpretation. “[O]ur primary consideration is to ascertain and give effect to the intention of the [l]egislature” (*Samiento v World Yacht Inc.*, 10 NY3d 70, 77-78 [2008], quoting *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]). Because “the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself” (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]), with due consideration given to the statutory purpose and history, including the objectives the legislature sought to achieve through its enactment (see *Abood v Hospital Ambulance Serv.*, 30 NY2d 295, 298 [1972]; *Matter of Hernandez v Barrios-Paoli*, 93 NY2d 781, 786, 788-789 [1999]; *Riley v County of Broome*, 95 NY2d 455, 463-464 [2000]).

[2] Although the statute does not specify whether information must be supplied concerning each party when there are multiple individuals or entities on a single loan, a plain reading indicates that RPAPL 1306 is satisfied as long as one borrower is listed. The statute states that the filing must contain information about “the borrower,” referring to the party in singular form—unlike RPAPL 1304, which references the “borrower, or borrowers.” To be sure, words in the singular may generally be interpreted to encompass the plural, if doing so is consistent with the context and legislative intent (see General Construction Law § 35; *Matter of Toys “R” Us v Silva*, 89 NY2d 411, 421 n 2 [1996]). But it is significant that, despite using the singular and plural form in section 1304, the legislature chose to reference only the singular “borrower” in RPAPL 1306, a closely related statute.

Moreover, the conclusion that information relating to one borrower suffices is consistent with the primary purpose of the filing, which is expressed in the plain language of the statute. RPAPL 1306 (4) provides that the data collected via the filing “shall be used by the superintendent [of financial services] *exclusively* for the purposes of monitoring on a *statewide basis* the extent of foreclosure filings within this state” with the ultimate purpose to “perform an analysis of *loan types*” at risk of foreclosure and to “direct[] as appropriate available public and private foreclosure prevention and counseling services to borrowers at risk of foreclosure” (RPAPL 1306 [4] [emphasis added]). This provision shows that the principal objective of the filings is to provide statistical data permitting DFS to ac-

curately track and analyze loans at risk of foreclosure and properly allocate foreclosure counseling resources statewide in order to combat the mortgage crisis—an aim also reflected in the legislative history (Governor’s Program Bill Mem No. 46R, Bill Jacket, L 2009, ch 507 at 9-11). This objective is fulfilled by a filing that references at least one borrower. Indeed, it appears that DFS—the agency charged with developing the filing form and database and otherwise implementing the statute—views RPAPL 1306 as requiring the listing of only one borrower (*see* Pre-foreclosure Information Form FAQs, NYS Department of Financial Services, available at https://www.dfs.ny.gov/apps_and_licensing/mortgage_companies/pre-foreclosure_filing_guide_faqs [last accessed Mar. 19, 2021], cached at <http://www.nycourts.gov/reporter/webdocs/DFSPreForeclosureInfo.pdf> [RPAPL 1306 “does not specifically anticipate multiple borrowers” and DFS “do(es) not believe RPAPL § 1306 should be interpreted as requiring the reporting of more than two Borrowers”]).

To be sure, the statutory text permits the agency to share information from the filing with certain housing counseling agencies that coordinate help for distressed borrowers, and DFS may use the information “to facilitate a review of whether the borrower might benefit from counseling or other foreclosure prevention services” (RPAPL 1306 [2], [4]). But such ancillary uses of the data do not compel the conclusion that the statute is violated if each liable individual is not listed on the filing. In most instances, an electronic filing containing one borrower’s information would not impede these downstream uses of the data. Indeed, in many cases the inclusion of additional information about a second borrower would be redundant—as reflected here, where the borrowers are married, reside at the subject property together, and their interests are aligned (as is evident from their joint representation by the same counsel). To read the statute as defendants urge would give an overly specific interpretation to “borrower,” unsupported by the language of the statute or the primary legislative objective—to provide DFS with statewide data on properties at risk of foreclosure through a filing containing information about the loan and the “borrower.” Thus, a filing that includes information about only one borrower is sufficient under the statute.

Accordingly, the certified questions should be answered in accordance with this opinion.

FAHEY, J. (concurring). The Second Circuit has certified to us a question regarding the showing required to rebut the presumption of receipt created by proof of a standard office mailing procedure (*see* 948 F3d 529, 538 [2d Cir 2020]). As the majority notes (majority op at 554 n), the Second Circuit has not asked this Court about the nature or quantum of proof sufficient to create the presumption in the first place. Nevertheless, the Second Circuit has invited us to “address any other issues of New York law that would assist [the Second Circuit] in determining whether CIT demonstrated compliance” with the RPAPL statutes at issue in this case (948 F3d at 538). Inasmuch as the proof necessary to rebut a presumption can be fully considered only in conjunction with the threshold issue of what proof gives rise to the presumption in the first instance, and because the presumption of mailing and receipt is an issue that arises in many areas of the law, I write separately to briefly address New York law on that threshold issue.

As the majority states, where a party seeks to establish receipt of a document through proof of a standard office mailing procedure rather than proof of actual mailing, the proponent must provide evidence of its routine office practice with respect to the “creation, addressing, and mailing of documents of that nature” (majority op at 556). If the proponent demonstrates “an established and regularly followed office procedure designed to insure that [documents] are properly addressed and mailed, a rebuttable presumption arises that the [documents] are received” (*Matter of Gonzalez [Ross]*, 47 NY2d 922, 923 [1979], citing *Nassau Ins. Co. v Murray*, 46 NY2d 828, 829-830 [1978]). We allow proof of a standard office procedure to substitute for proof of actual mailing for practical reasons, based on the assumption that “a person who regularly follows a strict routine in relation to a particular repetitive practice is likely to have followed that same strict routine at a specific date or time relevant to the litigation” (*Galetta v Galetta*, 21 NY3d 186, 198 [2013]; *see Gardam & Son v Batterson*, 198 NY 175, 178-180 [1910]). Upon adequate proof of mailing, the presumption of receipt, in turn, is “founded on the probability that the officers of the government will do their duty; and the usual course of business” (*News Syndicate Co. v Gatti Paper Stock Corp.*, 256 NY 211, 214 [1931] [internal quotation marks omitted]).

For the presumption to arise, the standard office procedure “must be geared so as to ensure the likelihood that [the docu-

ment] is always properly addressed and mailed” (*Nassau Ins. Co.*, 46 NY2d at 830). The proof of that standard procedure generally should include a description of “the practices utilized by the [mailing party] at the time of the alleged mailing to ensure the accuracy of addresses, as well as office procedures relating to the delivery of mail to the post office” (*Preferred Mut. Ins. Co. v Donnelly*, 22 NY3d 1169, 1170 [2014]).

In *Gardam & Son*, for example, this Court held that the proof of a standard office mailing procedure was deficient because, although the defendant testified that he always placed outgoing letters in a tray on his desk to be mailed, there was “no sufficient proof of a course of office practice, or of business, from which a presumption might be legally indulged, that the letters had been carried to the post office and that they, therefore, had been received in due course of the mails” (198 NY at 178). We held that

“[h]owever strong the convictions and the statements of the defendant as to the usual mailing of the letters placed on his desk, there was the gap in the proof, created by the failure to show that regular practice, or custom, of carrying them to the post, by some one charged with that duty, from which a presumption would naturally arise of these letters having been posted” (*id.* at 180; *see also Progressive Cas. Ins. Co. v Infinite Ortho Prods., Inc.*, 127 AD3d 1050, 1051-1052 [2d Dept 2015]; *Rhulen Agency v Gramercy Brokerage*, 106 AD2d 725, 726 [3d Dept 1984]).

By contrast, in *Preferred Mut. Ins. Co.*, the proof was sufficient to raise a presumption of mailing and receipt where an affidavit described how the notices in question were generated, addressed, and placed in envelopes; how those envelopes were transported to the mail room, posted and sealed; and then how the mail was regularly delivered to the nearby post office (22 NY3d at 1170, *affg* 111 AD3d 1242, 1244 [4th Dept 2013]; *see also Badio v Liberty Mut. Fire Ins. Co.*, 12 AD3d 229, 230 [1st Dept 2004]; *Jonathan Woodner Co. v Higgins*, 179 AD2d 444, 445 [1st Dept 1992], *lv denied* 80 NY2d 756 [1992]).

Once the presumption arises, I agree with the majority that to rebut the presumption, the alleged recipient must deny receipt and point to a deviation from an aspect of the stated office procedure that would call into doubt whether the notice was properly prepared, addressed, or mailed (*see* majority op at

556-558).^{*} I further agree that minor, insignificant deviations from the stated procedure will not be sufficient to rebut the presumption, although what constitutes a minor deviation will depend upon the stated office practice described by the proponent (*see id.*). Of course, it would be in the proponent's interest in such situations to explain the reason for any deviation from the standard office practice in order to diminish doubt as to the reliability of the mailing and minimize the likelihood that a court will consider the deviation sufficient to rebut the presumption.

I am in full agreement with the majority's response to the Second Circuit's certified question regarding RPAPL 1306.

Judges RIVERA, STEIN, GARCIA and WILSON concur; Judge FAHEY concurs in an opinion, in which Judges STEIN and WILSON concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in accordance with the opinion herein.

^{*} Alternatively, a recipient may rebut the presumption by denying receipt and showing that the routine office practice "was so careless that it would be unreasonable to assume that the notice was mailed" (*Nassau Ins. Co.*, 46 NY2d at 830). Defendants did not make such a claim here.

[169 NE3d 224, 145 NYS3d 512]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v MARINA Y. VIVIANI, Respondent. ATTORNEY GENERAL OF THE STATE OF NEW YORK, Intervenor-Respondent.

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JUSTIN HOPE, Respondent. ATTORNEY GENERAL OF THE STATE OF NEW YORK, Intervenor-Respondent.

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v NICOLE HODGDON, Respondent. ATTORNEY GENERAL OF THE STATE OF NEW YORK, Intervenor-Respondent.

Argued and submitted February 10, 2021; decided March 30, 2021

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 11, 2019. The Appellate Division affirmed an order of the Supreme Court, Albany County (Thomas A. Breslin, J.), which had granted defendant's motion to dismiss the indictment.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 11, 2019. The Appellate Division affirmed an order of the Albany County Court (William A. Carter, J.), which had granted defendant's motion to dismiss the indictment.

APPEAL, in the third above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 11, 2019. The Appellate Division affirmed an order of the Supreme Court, Albany County (Roger D. McDonough, J.), which had granted defendant's motion to dismiss the indictment.

People v Viviani, 174 AD3d 1069, affirmed.

People v Hope, 174 AD3d 1069, affirmed.

People v Hodgdon, 175 AD3d 65, affirmed.

HEADNOTES

District and Prosecuting Attorneys — Special Prosecutor — Protection of People with Special Needs Act — Constitutionality

1. Executive Law § 552, which, as part of the Protection of People with Special Needs Act, created a special prosecutor appointed by the Governor

empowered to investigate and prosecute crimes of abuse or neglect of vulnerable victims in facilities operated, licensed, or certified by the State, is unconstitutional to the extent it grants the special prosecutor concurrent prosecutorial authority with county district attorneys. Where the Constitution establishes a specified office, or recognizes its existence, and prescribes the manner in which it shall be filled, the legislature may not transfer any essential function of the office to a different officer chosen in a different manner. Although the Constitution establishes the elected office of the district attorney, it leaves the allocation of prosecutorial authority to the legislature. That task is accomplished in County Law § 700 (1), which provides that it is the “duty of every district attorney to conduct all prosecutions for crimes and offenses cognizable by the courts of the county for which [such district attorney] shall have been elected or appointed.” Executive Law § 552 deprives the elected district attorneys of an essential function of their constitutional office—namely, the discretionary power to determine whom, whether and how to prosecute in a criminal matter. Moreover, although a statute ought normally to be saved by construing it in accord with constitutional requirements, the very language of the statute must be fairly susceptible of such an interpretation. The proposed requirement that the local district attorney retain ultimate responsibility for the prosecution lacked statutory support and would instead need to be imported from language found in Court of Appeals decisions. The Court of Appeals is not at liberty to save a statute by, in effect, rewriting it in a manner that contravenes its unambiguously articulated legislative purpose.

Statutes — Validity of Statute — Severance of Unconstitutional Subdivisions from Valid Portions of Statute — Protection of People with Special Needs Act

2. Although Executive Law § 552, as part of the Protection of People with Special Needs Act, is unconstitutional to the extent it empowers a special prosecutor to investigate and prosecute crimes of abuse or neglect of vulnerable victims in facilities operated, licensed, or certified by the State, the remainder of the statute is valid and preserved. Whether unconstitutional subdivisions may be severed from the valid and the remainder of a statute preserved is question of legislative intent, namely whether the legislature, if partial invalidity of the statute had been foreseen, would have wished the statute to be enforced with the valid part excised, or rejected altogether. Given that the purpose of the Special Needs Act was to bolster the ability of the State to respond more effectively to abuse and neglect of vulnerable persons, it is apparent that the legislature would wish that as much of Executive Law § 552 aimed at protecting that class of victims as can be preserved remain in effect. Nor would excising the offending provisions leave the remainder without any beneficial impact. Therefore, the portion of Executive Law § 552 (1) that provides the special prosecutor with non-prosecutorial functions should remain in force. Likewise, Executive Law § 552 (2) (a) (ii), which empowers the special prosecutor “to cooperate with and assist district attorneys and other local law enforcement officials in their efforts against . . . abuse or neglect of vulnerable persons,” without interfering with those efforts, was left intact. Cooperation with the local district attorney furthers the overarching goal of the legislature to provide resources to address crimes of abuse and neglect committed against vulnerable persons without infringing on that constitutional officer’s essential authority.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Prosecuting Attorneys §§ 1, 19, 21.
CARMODY-WAIT 2d Criminal Proceedings in General; Jurisdiction and Venue §§ 172:13, 172:17.
MCKINNEY'S, County Law § 700 (1); Executive Law § 552.
NY JUR 2d Counties, Towns, and Municipal Corporations §§ 734, 738; NY JUR 2d Criminal Law: Procedure § 7.

ANNOTATION REFERENCE

See ALR Index under Prosecuting Attorneys.

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POINTS OF COUNSEL

Rachel P. Dunn, Special Prosecutor and Inspector General, Delmar (Caitlin Halligan of counsel), for appellant in the first above-entitled action. I. The legislature may authorize the Governor to delegate his prosecutorial authority to the Special Prosecutor and Inspector General for the Protection of People with Special Needs. (*Matter of Johnson v Pataki*, 91 NY2d 214; *Matter of Andresen v Rice*, 277 NY 271; *Bransten v State of New York*, 30 NY3d 434; *Matter of Morgan v Furey*, 186 NY 202; *Free Enterprise Fund v Public Company Accounting Oversight Bd.*, 561 US 477; *People v P.J. Video*, 68 NY2d 296; *Matter of Nassau County Grand Jury Subpoena Duces Tecum Dated June 24, 2003*, 4 NY3d 665; *Riley v St. Luke's Episcopal Hosp.*, 252 F3d 749; *Youngstown Sheet & Tube Co. v Sawyer*, 343 US 579; *Matter of Dondi v Jones*, 40 NY2d 8.) II. If consent is required for allocation of prosecutorial authority to the Special Prosecutor and Inspector General for the Protection of People with Special Needs, notice and consultation with the district attorney is sufficient. (*People v Davidson*, 27 NY3d 1083; *Matter of Lorie C.*, 49 NY2d 161; *People v Van Sickel*, 13 NY2d 61; *People v Soddano*, 86 NY2d 727; *Additional Jan. 1979 Grand Jury of Albany Supreme Ct.*, 50 NY2d 14.)

Law Offices of Michael Pollok, PLLC, Red Hook (Michael S. Pollok of counsel), for respondent in the first above-entitled action. I. This appeal should be dismissed because the issue pre-

sented turns on issues of fact or a mixed question of law and fact. (*People v Hodgdon*, 175 AD3d 65, 34 NY3d 981; *People v Burr*, 70 NY2d 354; *People v Warren*, 61 NY2d 886; *People v Mackell*, 40 NY2d 59.) II. Executive Law § 552 is unconstitutional because the legislature cannot grant the Governor or his designees the authority to prosecute crimes statewide when such power was created and exclusively conferred by the State Constitution to the county district attorneys. (*Matter of Rice*, 31 Misc 3d 838; *People v Theodore*, 59 Misc 3d 525; *People v Davidson*, 27 NY3d 1083; *Haggerty v City of New York*, 267 NY 252; *People v Romero*, 91 NY2d 750; *Matter of Schumer v Holtzman*, 60 NY2d 46; *Matter of Cloke v Pulver*, 243 AD2d 185; *Matter of Hoerger v Spota*, 109 AD3d 564, 21 NY3d 549; *People v Garcia*, 16 Misc 3d 198.) III. If Executive Law § 552 is deemed constitutional, the appellant failed to establish consent, notice and consultation with the district attorney and the lower courts' decisions should be affirmed.

Letitia James, Attorney General, Albany (Barbara D. Underwood, Andrew W. Amend, Anisha S. Dasgupta, Nikki Kowalsk and Patrick A. Woods of counsel), for intervenor-respondent in the first above-entitled action. I. The New York Constitution requires that criminal prosecutions be undertaken by the Attorney General, a county district attorney, or a delegate of those officials. (*People ex rel. Wogan v Rafferty*, 208 NY 451; *People ex rel. Burby v Howland*, 155 NY 270; *Town of Putnam Val. v Slutzky*, 283 NY 334; *People ex rel. Bolton v Albertson*, 55 NY 50; *People v Raymond*, 37 NY 428; *People v Gilmour*, 98 NY2d 126; *People ex rel. Gardenier v Board of Supervisors of County of Columbia*, 134 NY 1; *Mulroy v Carey*, 58 AD2d 207, 43 NY2d 819; *Matter of Haggerty v Himelein*, 89 NY2d 431; *Matter of Schumer v Holtzman*, 60 NY2d 46.) II. Executive Law § 552 may be read to permit the Special Prosecutor and Inspector General for the Protection of People with Special Needs to conduct prosecutions on behalf of a county district attorney, subject to the county district attorney's retention of ultimate prosecutorial responsibility and control. (*People v Soddano*, 86 NY2d 727; *People v Van Sickel*, 13 NY2d 61; *Matter of Lorie C.*, 49 NY2d 161; *Baumann & Sons Buses, Inc.*, 6 NY3d 404; *Matter of Working Families Party v Fisher*, 23 NY3d 539; *Matter of Schumer v Holtzman*, 60 NY2d 46.) III. Dismissal was required because no delegation of authority from the Albany County District Attorney took place. (*People v Van Sickel*, 13 NY2d 61; *People v Soddano*, 86 NY2d 727; *People v Vial*, 132 Misc 2d 5; *People v Birnberg*, 112 Misc 2d 870; *People*

v Czajka, 11 NY2d 253; *People v Di Falco*, 44 NY2d 482; *People v Zimmer*, 51 NY2d 390.)

Rachel P. Dunn, Special Prosecutor and Inspector General, Delmar (*Caitlin Halligan* of counsel), for appellant in the second above-entitled action. I. The legislature may authorize the Governor to delegate his prosecutorial authority to the Special Prosecutor and Inspector General for the Protection of People with Special Needs. (*Matter of Johnson v Pataki*, 91 NY2d 214; *Matter of Andresen v Rice*, 277 NY 271; *Bransten v State of New York*, 30 NY3d 434; *Matter of Morgan v Furey*, 186 NY 202; *Free Enterprise Fund v Public Company Accounting Oversight Bd.*, 561 US 477; *Riley v St. Luke's Episcopal Hosp.*, 252 F3d 749; *Matter of Nassau County Grand Jury Subpoena Duces Tecum Dated June 24, 2003*, 4 NY3d 665; *People v P.J. Video*, 68 NY2d 296; *Youngstown Sheet & Tube Co. v Sawyer*, 343 US 579; *Matter of Dondi v Jones*, 40 NY2d 8.) II. If consent is required for allocation of prosecutorial authority to the Special Prosecutor and Inspector General for the Protection of People with Special Needs, notice and consultation with the district attorney is sufficient. (*People v Davidson*, 27 NY3d 1083; *Matter of Lorie C.*, 49 NY2d 161; *People v Van Sickel*, 13 NY2d 61; *People v Soddano*, 86 NY2d 727; *Matter of Additional Jan. 1979 Grand Jury of Albany Supreme Ct. v Doe*, 50 NY2d 14.)

The Kindlon Law Firm, PLLC, Albany (*Lee C. Kindlon* of counsel), for respondent in the second above-entitled action. I. The legislature's creation of the Justice Center for the Protection of People with Special Needs' special prosecutor is unconstitutional. (*People v Gilmour*, 98 NY2d 126; *Matter of Turecamo Contr. Co., Inc.*, 260 App Div 253; *Mulroy v Carey*, 58 AD2d 207, 43 NY2d 819; *People v Van Sickel*, 13 NY2d 61; *Fisher v State of New York*, 10 NY2d 60; *People v Soddano*, 86 NY2d 727; *Matter of Soares v Carter*, 25 NY3d 1011; *People v Di Falco*, 44 NY2d 482; *Matter of Additional Jan. 1979 Grand Jury of Albany Supreme Ct. v Doe*, 50 NY2d 14; *Matter of Dondi v Jones*, 40 NY2d 8.) II. The district attorney's consent is not sufficient to confer lawful prosecutorial authority on the Special Prosecutor and Inspector General for the Protection of People with Special Needs. (*Matter of Schumer v Holtzman*, 60 NY2d 46; *People v Czajka*, 11 NY2d 253; *Matter of Haggerty v Himelein*, 89 NY2d 431.)

Letitia James, Attorney General, Albany (*Barbara D. Under-*

wood, Andrew W. Amend, Anisha S. Dasgupta, Nikki Kowalsk and Patrick A. Woods of counsel), for intervenor-respondent in the second above-entitled action. I. The New York Constitution requires that criminal prosecutions be undertaken by the Attorney General, a county district attorney, or a delegate of those officials. (*People ex rel. Wogan v Rafferty*, 208 NY 451; *People ex rel. Burby v Howland*, 155 NY 270; *Town of Putnam Val. v Slutzky*, 283 NY 334; *People ex rel. Bolton v Albertson*, 55 NY 50; *People v Raymond*, 37 NY 428; *People v Gilmour*, 98 NY2d 126; *People ex rel. Gardenier v Board of Supervisors of County of Columbia*, 134 NY 1; *Mulroy v Carey*, 58 AD2d 207, 43 NY2d 819; *Matter of Haggerty v Himelein*, 89 NY2d 431; *Matter of Schumer v Holtzman*, 60 NY2d 46.) II. Executive Law § 552 may be read to permit the Special Prosecutor and Inspector General for the Protection of People with Special Needs to conduct prosecutions on behalf of a county district attorney, subject to the county district attorney's retention of ultimate prosecutorial responsibility and control. (*People v Soddano*, 86 NY2d 727; *People v Van Sickle*, 13 NY2d 61; *Matter of Lorie C.*, 49 NY2d 161; *People v Baumann & Sons Buses, Inc.*, 6 NY3d 404; *Matter of Working Families Party v Fisher*, 23 NY3d 539; *Matter of Schumer v Holtzman*, 60 NY2d 46.) III. Dismissal was required because no delegation of authority from the Albany County District Attorney took place. (*People v Van Sickle*, 13 NY2d 61; *People v Soddano*, 86 NY2d 727; *Matter of Schumer v Holtzman*, 60 NY2d 46; *People v Vial*, 132 Misc 2d 5; *People v Birnberg*, 112 Misc 2d 870; *People v Czajka*, 11 NY2d 253; *People v Di Falco*, 44 NY2d 482; *Matter of Working Families Party v Fisher*, 23 NY3d 539.)

Rachel P. Dunn, Special Prosecutor and Inspector General, Delmar (*Caitlin Halligan* of counsel), for appellant in the third above-entitled action. I. The legislature may authorize the Governor to delegate his prosecutorial authority to the Special Prosecutor and Inspector General for the Protection of People with Special Needs. (*Matter of Johnson v Pataki*, 91 NY2d 214; *Matter of Andresen v Rice*, 277 NY 271; *Bransten v State of New York*, 30 NY3d 434; *Matter of Morgan v Furey*, 186 NY 202; *Free Enterprise Fund v Public Company Accounting Oversight Bd.*, 561 US 477; *Riley v St. Luke's Episcopal Hosp.*, 252 F3d 749; *Matter of Nassau County Grand Jury Subpoena Duces Tecum Dated June 24, 2003*, 4 NY3d 665; *People v P.J. Video*, 68 NY2d 296; *Youngstown Sheet & Tube Co. v Sawyer*, 343 US 579; *Matter of Dondi v Jones*, 40 NY2d 8.) II. If consent is required for allocation of prosecutorial authority to the

Special Prosecutor and Inspector General for the Protection of People with Special Needs, notice and consultation with the district attorney is sufficient. (*People v Davidson*, 27 NY3d 1083; *Matter of Lorie C.*, 49 NY2d 161; *People v Van Sickle*, 13 NY2d 61; *People v Soddano*, 86 NY2d 727; *Matter of Additional Jan. 1979 Grand Jury of Albany Supreme Ct. v Doe*, 50 NY2d 14.)

Stephen W. Herrick, Public Defender, Albany (*James A. Bartosik, Jr.* of counsel), for respondent in the third above-entitled action. I. The indictment must be dismissed because the independent and concurrent prosecutorial jurisdiction of the Justice Center for the Protection of People with Special Needs' special prosecutor renders Executive Law § 552 unconstitutional. (*People v Nicometi*, 12 NY2d 428; *People v Kischel*, 276 NY 116; *People v Di Falco*, 44 NY2d 482; *Matter of Haggerty v Himelein*, 89 NY2d 431; *Matter of B. Turecamo Contr. Co.*, 260 App Div 253; *Mulroy v Carey*, 58 AD2d 207, 43 NY2d 819; *Matter of Additional Jan. 1979 Grand Jury of Albany County Supreme Ct. v Doe*, 69 AD2d 955; *Matter of Dondi v Jones*, 40 NY2d 8; *Matter of Johnson v Pataki*, 91 NY2d 214; *People v Van Sickle*, 13 NY2d 61.) II. Even if Executive Law § 552 could be construed as constitutional, the indictment must be dismissed since the district attorney did not provide consent nor retain ultimate prosecutorial responsibility. (*People v Nicometi*, 12 NY2d 428; *People v Kischel*, 276 NY 116; *People v Di Falco*, 44 NY2d 482; *People v Soddano*, 86 NY2d 727; *People v Davidson*, 27 NY3d 1083; *Matter of Schumer v Holtzman*, 60 NY2d 46; *People v Van Sickle*, 13 NY2d 61.)

Letitia James, Attorney General, Albany (*Barbara D. Underwood*, *Andrew W. Amend*, *Anisha S. Dasgupta*, *Nikki Kowalsk* and *Patrick A. Woods* of counsel), for intervenor-respondent in the third above-entitled action. I. The New York Constitution requires that criminal prosecutions be undertaken by the Attorney General, a county district attorney, or a delegate of those officials. (*People ex rel. Wogan v Rafferty*, 208 NY 451; *People ex rel. Burby v Howland*, 155 NY 270; *Town of Putnam Val. v Slutzky*, 283 NY 334; *People ex rel. Bolton v Albertson*, 55 NY 50; *People v Raymond*, 37 NY 428; *People v Gilmour*, 98 NY2d 126; *People ex rel. Gardenier v Board of Supervisors of County of Columbia*, 134 NY 1; *Mulroy v Carey*, 58 AD2d 207, 43 NY2d 819; *Matter of Haggerty v Himelein*, 89 NY2d 431; *Matter of Schumer v Holtzman*, 60 NY2d 46.) II. Executive Law § 552 may be read to permit the Special Prosecutor and

Inspector General for the Protection of People with Special Needs to conduct prosecutions on behalf of a county district attorney, subject to the county district attorney's retention of ultimate prosecutorial responsibility and control. (*People v Soddano*, 86 NY2d 727; *People v Van Sickle*, 13 NY2d 61; *Matter of Lorie C.*, 49 NY2d 161; *Baumann & Sons Buses, Inc.*, 6 NY3d 404; *Matter of Working Families Party v Fisher*, 23 NY3d 539; *Matter of Schumer v Holtzman*, 60 NY2d 46.) III. Dismissal was required because no delegation of authority from the Albany County District Attorney took place. (*People v Van Sickle*, 13 NY2d 61; *Matter of Schumer v Holtzman*, 60 NY2d 46; *People v Vial*, 132 Misc 2d 5; *People v Birnberg*, 112 Misc 2d 870; *People v Soddano*, 86 NY2d 727; *People v Czajka*, 11 NY2d 253; *People v Di Falco*, 44 NY2d 482; *Matter of Working Families Party v Fisher*, 23 NY3d 539.)

Patricia Weiss, Sag Harbor, amicus curiae pro se in the third above-entitled action. I. This Court can construe Executive Law § 552 by adding or deleting text. (*Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *Pringle v Wolfe*, 88 NY2d 426; *United States v Stevens*, 559 US 460; *People v Glynn*, 21 NY3d 614; *People v Adams*, 20 NY3d 608.) II. An interpretation of Executive Law § 552 (2) is guided by state case law. (*People v Lewis*, 125 AD3d 1109; *Youngblood v West Virginia*, 547 US 867; *Kyles v Whitley*, 514 US 419; *Banks v Dretke*, 540 US 668.) III. The “ultimate responsibility” for criminal prosecutions in New York Constitution, article XIII, § 13 requires both direct delegation of power and supervision. (*People v Van Sickle*, 13 NY2d 61; *Matter of Soares v Carter*, 25 NY3d 1011; *People v Carter*, 77 NY2d 95; *Matter of Patouhas v Murphy*, 164 AD3d 797; *Matter of Sedore v Epstein*, 56 AD3d 60; *People v Czajka*, 11 NY2d 253; *People v Soddano*, 86 NY2d 727; *Matter of Nieblas v Kings County Dist. Attorney*, 209 AD2d 703; *People v Santorelli*, 95 NY2d 412; *Brady v Maryland*, 373 US 83.) IV. This Court can save, or strike, distinct parts of the Protection of People with Special Needs Act's unconstitutional text, but only if this Court's decision is consistent with the mandates of the federal Supremacy Clause (US Const, art VI, cl 2), by faithfully respecting *Brady v Maryland* (373 US 83 [1963]) (and its progeny) and by cautiously considering the impact of 42 USC § 1983 expressed in United States Supreme Court and Second Circuit precedent, if the local district attorneys are judicially assigned the “ultimate responsibility” for all criminal prosecutions by the Justice Center for the Protection of People with Special Needs as established in the act.

(*People v Golb*, 23 NY3d 455; *People v Valentin*, 29 NY3d 57; *Brown v Board of Education*, 347 US 483; *Bellamy v City of New York*, 914 F3d 727; *Kalina v Fletcher*, 522 US 118; *Poven-tud v City of New York*, 750 F3d 121; *Myers v County of Orange*, 157 F3d 66; *Immuno AG. v Moor-Jankowski*, 77 NY2d 235; *Matter of Soares v Carter*, 25 NY3d 1011.)

OPINION OF THE COURT

GARCIA, J.

As part of the Protection of People with Special Needs Act, the legislature enacted Executive Law § 552, which created a special prosecutor, appointed by the Governor, empowered to investigate and prosecute crimes of abuse or neglect of vulnerable victims in facilities operated, licensed, or certified by the State. The special prosecutor, acting pursuant to this statutory authority, obtained indictments against the three defendants in the cases before us. Defendants assert that the statute is an unconstitutional delegation of core prosecutorial authority away from the county district attorneys—elected constitutional officers—to an unelected appointee of the Governor. The Attorney General, intervening pursuant to Executive Law § 71, argues for a “saving construction” that would have us read into the law certain conditions on the special prosecutor’s authority. We recognize that this well-intentioned legislation was aimed at protecting a particularly vulnerable class of victims. But we cannot rewrite a statute in order to save it. Accordingly, we hold the provisions of Executive Law § 552 creating a special prosecutor with authority concurrent with that of the district attorneys to be unconstitutional and, on that ground, affirm.

I.

Following news reports of physical and sexual abuse of individuals with special needs at facilities operated or supported by the State, the Governor appointed a Special Advisor on Vulnerable Persons to investigate these alleged institutional failings and to develop appropriate recommendations. The ensuing report, released in April 2012, concluded that there was a disinclination on the part of law enforcement to invest the resources necessary to investigate and prosecute cases of abuse and neglect at these facilities (see Clarence J. Sundram, Report to Governor Andrew M. Cuomo, *The Measure of a Society: Protection of Vulnerable Persons in Residential Facilities against Abuse & Neglect* [2012] [Sundram report]). Accordingly, the report recommended, among other things, the creation of

an office with authority to investigate and prosecute abuse and neglect crimes against vulnerable persons (*see id.*).¹

The legislature, in turn, recognizing the “need to strengthen and standardize the safety net for vulnerable persons . . . who are receiving care from New York’s human service agencies and programs,” enacted the “Protection of People with Special Needs Act” (Special Needs Act) (L 2012, ch 501, § 2, part A, § 1). As this Court has previously recognized, “the statutory overhaul embodied in the [Special Needs Act] was necessary not only to address isolated incidents of abuse and neglect, but also to resolve systemic problems, such as inadequate staffing, training, and supervision, which often cause or contribute to incidents of abuse and neglect” (*Matter of Anonymous v Molik*, 32 NY3d 30, 39 [2018]). Based on specific recommendations in the Sundram report, the Special Needs Act created a “justice center,” whose “primary focus w[ould] be on the protection of vulnerable persons” (L 2012, ch 501, § 2, part A, § 1). To further that goal, the Special Needs Act empowered the justice center to investigate reports of abuse and neglect and to conduct disciplinary proceedings for state employees in any instance of substantiated findings (Executive Law § 552 [1]). The two assigned responsibilities are served by separate units within the justice center: “one responsible for the prosecution of criminal matters and one for the resolution of non-criminal matters” (*id.*).

Beyond providing for the platform and structure of the justice center, Executive Law § 552 created a new “special prosecutor and inspector general” (special prosecutor), appointed by the Governor, with the express authority to: (1) “investigate and prosecute” offenses involving abuse or neglect against a vulnerable person by the person’s professional caregiver; and (2) “cooperate with and assist district attorneys and other local law enforcement officials in their efforts against such abuse or neglect of vulnerable persons” (*id.* § 552 [2] [a] [i]-[ii]). To “bolster the ability of the state to respond more effectively to abuse and neglect of vulnerable persons, without creating additional burdens on local law enforcement,” the legislature, in the Special Needs Act’s prefatory statement, expressed its intent to give the justice center “concurrent authority with district at-

1. A “vulnerable person” is defined as “a person who, due to physical or cognitive disabilities, or the need for services or placement, is receiving services from a facility or provider agency as defined in [Social Services Law § 488 (4)]” (Executive Law § 550 [5]).

torneys to prosecute abuse and neglect crimes committed against such persons” (L 2012, ch 501, § 2, part A, § 1). Nevertheless, it also included in the legislation the admonition that “nothing [in the statute] shall interfere with the ability of district attorneys at any time to receive complaints, investigate and prosecute any suspected abuse or neglect” (Executive Law § 552 [2] [a]).

Several provisions in the statute concern specific prosecutorial functions. First, although the special prosecutor may “apply for search warrants,” absent “exigent circumstances,” the special prosecutor “shall give prior notice of the [warrant] application to the district attorney of the county in which such a warrant is to be executed” (*id.* § 552 [2] [b]). Second, the special prosecutor “may, after consultation with the district attorney,” appear in any grand jury and its attending superior court “for the purpose of managing and conducting . . . a criminal action or proceeding concerned with an offense where any conduct constituting or requisite to the completion of or in any other manner related to such offense involved the abuse or neglect of a vulnerable person” (*id.* § 552 [2] [c]). While appearing in court or before the grand jury, the special prosecutor “may exercise all the powers and perform all the duties in respect of such actions or proceedings which the district attorney would otherwise be authorized or required to exercise or perform” (*id.*).²

II.

Each of the three appeals at issue here involves a defendant who was alleged to have sexually abused a vulnerable person in the defendant’s care—conduct falling within the purview of the special prosecutor’s jurisdiction. In each case, the special prosecutor appeared before the grand jury and obtained an indictment charging various sex offenses. Each defendant moved to dismiss the indictment, arguing that Executive Law § 552, creating the special prosecutor, is an impermissible attempt to delegate prosecutorial authority to an unelected official from the justice center and is therefore facially unconstitutional. The Attorney General intervened and maintained

2. Consistent with the prosecutorial authority provided for in the Special Needs Act, the legislature amended the Criminal Procedure Law’s definition of “district attorney” to include the special prosecutor or his or her assistants “when acting pursuant to their duties in matters arising under [the Special Needs Act]” (CPL 1.20 [32]).

that, for the statute to pass constitutional muster, it must be read to allow the special prosecutor to pursue a case only “as a delegate of the County District Attorney’s prosecutorial authority.” The trial court in each case, relying primarily on the reasoning of the dissent in *People v Davidson* (27 NY3d 1083, 1086-1096 [2016, Rivera, J., dissenting]),³ held that, in order to avoid finding Executive Law § 552 unconstitutional, the statute must be construed to authorize the special prosecutor to act only if the local district attorney (1) consents to the special prosecutor conducting the prosecution, and (2) retains ultimate responsibility for the prosecution. Finding that those requirements had not been met, the court in each case dismissed the indictment.

The Appellate Division affirmed in all three cases, holding that the legislature may not grant the special prosecutor “independent, ‘concurrent authority with district attorneys’ to prosecute individuals accused of crimes against vulnerable persons” (*People v Hodgdon*, 175 AD3d 65, 68 [3d Dept 2019], quoting *Davidson*, 27 NY3d at 1088 [Rivera, J., dissenting]; see *People v Viviani*, 174 AD3d 1069, 1069 [3d Dept 2019] [affirming for the reasons in *Hodgdon*]; *People v Hope*, 174 AD3d 1069, 1069 [3d Dept 2019] [same]). District attorneys, the Appellate Division held, are elected constitutional officers who possess the “prosecutorial authority” of determining “‘whom, whether and how to prosecute,’” and the legislature “has no authority to transfer” that “essential function” of a district attorney “‘to a different officer chosen in a different manner’” (*Hodgdon*, 175 AD3d at 68-69, quoting *Davidson*, 27 NY3d at 1091-1093). Applying the canon of statutory construction that seeks to avoid a constitutional conflict when the language of a statute is ambiguous, the Appellate Division read the statute to “permit[] the [s]pecial [p]rosecutor to prosecute offenses arising from the abuse and neglect of vulnerable individuals only where the [s]pecial [p]rosecutor first obtains the knowing, written consent of a local district attorney to do so, and the local district attorney agrees to retain ultimate responsibility for the prosecution” (*id.* at 69). As those requirements had not been met, the Appellate Division held that the indictment was properly dismissed in each case (see *id.* at 69-70).

3. In *Davidson*, the Court held the facial constitutional challenge to Executive Law § 552 unpreserved and, therefore, beyond our power to review (see 27 NY3d at 1086 and n).

This Court granted leave to appeal in each case and we now affirm. We hold, however, that the relevant provisions of the Special Needs Act granting the special prosecutor concurrent prosecutorial authority with the district attorneys are not reasonably interpreted as proposed by the Attorney General and are therefore unconstitutional.

III.

A statute “‘enjoy[s] a strong presumption of constitutionality’” (*Overstock.com, Inc. v New York State Dept. of Taxation & Fin.*, 20 NY3d 586, 593 [2013], quoting *LaValle v Hayden*, 98 NY2d 155, 161 [2002]). To rebut that presumption, the party attempting to strike down a statute as facially unconstitutional bears the “heavy burden” of proving “beyond a reasonable doubt” that the statute is “in conflict with the Constitution” (McKinney’s Cons Laws of NY, Book 1, Statutes § 150 [a], Comment; see *Overstock.com*, 20 NY3d at 593; *Cohen v Cuomo*, 19 NY3d 196, 201-202 [2012]; *Matter of Fay*, 291 NY 198, 207 [1943]). Despite that appropriately heavy burden, we conclude that the challenged portions of Executive Law § 552—those granting the special prosecutor concurrent prosecutorial powers with the district attorneys—are facially unconstitutional.

The question presented here turns on the impact of legislative action on the authority of a constitutional officer. More than 100 years ago, in *People ex rel. Wogan v Rafferty*, we considered a constitutional challenge to legislation authorizing the Kings County Clerk, an elected constitutional officer, to appoint a deputy county clerk who would have the full power to act as the chief clerk for the County Court of Kings County (208 NY 451, 455-456 [1913]). The “fundamental objection” to the law was that it took away “from the county clerk, who is a constitutional officer, an integral and essential part of his office, to wit, the clerkship of the County Court,” and gave it to a non-elected, non-constitutional officer (*id.* at 455-456). In holding the challenged provisions unconstitutional, this Court made clear that “[w]here the Constitution establishes a specified office, or recognizes its existence, and prescribes the manner in which it shall be filled, the legislature may not transfer any essential function of the office to a different officer chosen in a different manner” (*id.* at 456).

[1] Here, we must consider whether the creation of the special prosecutor by the legislature runs afoul of the rule set out in *Wogan*—namely, whether Executive Law § 552 takes an

essential function from a constitutional officer and gives it to a different officer chosen in a different manner. We conclude that it does.

“Through colonial times and until 1796,” the Attorney General had exclusive authority and responsibility for prosecuting crimes in the state (*People v Gilmour*, 98 NY2d 126, 130 [2002]). That year saw the genesis of the office of the district attorney, when, in an effort to “provide[] for some local control over criminal prosecutions,” the legislature vested prosecutorial powers in “‘assistant Attorneys General,’ who, despite their misleading title, were independent of the State Attorney General,” and “serve[d] in each of the seven districts of the State” (*id.*). In 1801, the legislature created “the office of District Attorney” (*id.*). The title denoted jurisdiction: each prosecutor would have authority over a specific district, comprised of several counties (*see id.*). Jurisdiction changed—but the title remained—in 1818, when the legislature created “a separate District Attorney for each county” (*id.*). By this time, it was already well settled that each district attorney’s office had general prosecutorial authority within the county in which it was situated (*see* L 1818, ch 23; *Gilmour*, 98 NY2d at 130). The district attorney was made a constitutional officer in 1821 (*see* NY Const, art IV, §§ 6, 9 [1821]), and the Constitution of 1846 made the office an elective one (*see* NY Const, art X, § 1 [1846])—and so it remains (*see* NY Const, art XIII, § 13).

Although the Constitution establishes the elected office of the district attorney, it does not assign prosecutorial authority to any constitutional officer, leaving that allocation as a matter for the legislature (*see Gilmour*, 98 NY2d at 129-133; *Matter of Johnson v Pataki*, 91 NY2d 214, 225 [1997]; *see also Wogan*, 208 NY at 461 [“the legislature may prescribe the powers and duties of the clerks of the Supreme Court, but it may not deprive the clerks . . . of the right to exercise and discharge those powers and duties by any form of legislation”]). The County Law accomplishes the task by providing that it is the “duty of every district attorney to conduct all prosecutions for crimes and offenses cognizable by the courts of the county for which [such district attorney] shall have been elected or appointed” (County Law § 700 [1]). District attorneys, in sum, “have plenary prosecutorial power in the counties where they are elected” (*People v Romero*, 91 NY2d 750, 754 [1998]). And, as we have explained on a number of occasions, “the essence of a District Attorney’s constitutional, statutory and common-law

prosecutorial authority is the ‘discretionary power to determine whom, whether and how to prosecute [in] a criminal matter’ ” (*Matter of Haggerty v Himelein*, 89 NY2d 431, 436 [1997] [brackets omitted], quoting *Matter of Schumer v Holtzman*, 60 NY2d 46, 52 [1983]; see *Matter of Soares v Carter*, 25 NY3d 1011, 1014 [2015] [“It is within the sole discretion of each district attorney’s executive power to orchestrate the prosecution of those who violate the criminal laws of this state”]).⁴

The history of the office of the district attorney and the scope of the authority allocated to this officer answers the constitutional question. Executive Law § 552 deprives the elected district attorneys of an essential function of their constitutional office—namely, the “‘discretionary power to determine whom, whether and how to prosecute [in] a criminal matter’ ” (*Haggerty*, 89 NY2d at 436 [brackets omitted], quoting *Schumer*, 60 NY2d at 52)—by vesting concurrent discretionary power in a different officer, appointed by the Governor (see L 2012, ch 501, § 2, part A, § 1; Executive Law § 552 [2] [a]-[c]). Accordingly, the statute runs afoul of the rule set out in *Wogan*.

The case law and statutes put forward by the special prosecutor in arguing against this conclusion involve delegations of prosecutorial authority that operate quite differently. In those examples, authority is delegated on a case-by-case basis, in most instances to the Attorney General, another constitutional officer with some historical law enforcement power (see *Gilmour*, 98 NY2d at 129-131).

For example, in *People v Leahy*, we considered the appointment of a special prosecutor made by a supreme court justice at the request of the local district attorney pursuant to County Law § 701 (see 72 NY2d 510, 514 [1988]). Although, as we noted, that statute serves the “exceptional function of displacing an elected constitutional officer,” we recognized that this authority can be used only in a “‘particular case’ in which the duly elected District Attorney is unable or disqualified to act,” and is “designed narrowly by its terms . . . to fill emergency gaps in an elected prosecutorial official’s responsibility” (*id.* at 513-514, quoting County Law § 701). Unlike the Governor’s authority in Executive Law § 552, County Law § 701 does not authorize the court to make a discretionary decision to appoint a special prosecutor to displace or act in parallel with a quali-

4. By contrast, the Attorney General exercises prosecutorial power only when specifically authorized by statute (see *Gilmour*, 98 NY2d at 131).

fied district attorney; rather, the statute comes into play only when the local elected district attorney is incapable of prosecuting. In *Leahy*, we concluded that the statute had not been strictly complied with and dismissed the indictment, noting that “our holding . . . comports with an undeviating line of decisions fastidiously circumscribing superseders or transfers of the authority of elected prosecutors in a wide variety of situations” (*id.* at 515).

Equally misplaced is the special prosecutor’s reliance on Executive Law §§ 63 (2) and 70-a, and Judiciary Law § 177-c. Each of those statutes involves a delegation of prosecutorial authority to one of the elected constitutional offices responsible for conducting criminal prosecutions—the district attorney or the Attorney General (*see* Executive Law § 63 [2] [affording the Governor the discretion to supersede the local district attorney and appoint the Attorney General to prosecute a local crime]; Executive Law § 70-a [creating the Statewide Organized Crime Task Force, the head of which is a deputy attorney general who is authorized to prosecute cases involving organized crime]; Judiciary Law § 177-c [creating the Special Narcotics Prosecutor for New York City, the head of which is an assistant district attorney appointed to the staff of one of the district attorney’s offices in the five boroughs]).

All told, there is simply no analogy—in precedent or in statute—to Executive Law § 552’s creation of a statewide prosecutor, appointed by the Governor, with concurrent prosecutorial authority over a set of enumerated crimes.

IV.

Nor can the constitutionality of Executive Law § 552 be preserved by application of the canon of statutory interpretation providing that a statute should be construed, whenever possible, in a way that avoids placing its constitutionality in doubt (*see Matter of Lorie C.*, 49 NY2d 161, 171 [1980]). Although it is well settled that “a statute ought normally to be saved by construing it in accord with constitutional requirements, . . . the very language of the statute must be fairly susceptible of such an interpretation; put otherwise, the saving construction must be one which the court ‘may reasonably find implicit’ in the words used by the Legislature” (*People v Dietze*, 75 NY2d 47, 52 [1989] [citation omitted], quoting *People ex rel. Morriale v Branham*, 291 NY 312, 317 [1943]). The Attorney General proposes we “find implicit” in the statute a require-

ment that, in order for the special prosecutor to act, the local district attorney must (1) consent—perhaps even in writing—to the prosecution, and (2) retain the ultimate responsibility for that prosecution. This we cannot do.

The touchstone of the avoidance canon is the text of the statute, and, unquestionably, the text of Executive Law § 552 contains no express requirement that the local district attorney consent to, and retain authority for, the prosecution of the designated crimes (*see Pajak v Pajak*, 56 NY2d 394, 397 [1982] [“The failure of the Legislature to (include a specific requirement or limitation in a statute) must be viewed as a matter of legislative design”]; McKinney’s Cons Laws of NY, Book 1, Statutes § 74 [“the failure of the Legislature to include a matter within the scope of an act may be construed as an indication that its exclusion was intended”]). Indeed, as the Appellate Division acknowledged, there is no “explicit[]” support in the statute for the saving construction advanced by the Attorney General (*Hodgdon*, 175 AD3d at 69). To the contrary, it is at odds with the Special Needs Act.

In the Special Needs Act’s prefatory statement, the legislature made clear its intent to afford the special prosecutor and the county district attorneys “concurrent” prosecutorial authority (L 2012, ch 501, § 2, part A, § 1). It has long been recognized that an act’s prefatory statement, although not part of the statute itself, is both an important tool “for the purpose of expounding the language of a statute” and “a key to open the mind of the [legislature] . . . as to . . . the objects . . . which are to be accomplished by the provisions of the statute” (1 Joseph Story, *Commentaries on the Constitution of the United States* 443 [1883]; *see Bank for Sav. v Grace*, 102 NY 313, 319 [1886] [“The preamble . . . may be said to state the ground and cause of making (the act)”]; McKinney’s Cons Laws of NY, Book 1, Statutes § 122, Comment [“a preamble frequently contains recitals which illuminate the purpose and intent of the enactment”]). The purpose and intent of the Special Needs Act was to give the special prosecutor and district attorneys concurrent power over certain prosecutions—that is, “authority on the same matters” (Black’s Law Dictionary [11th ed 2019], concurrent).

Moreover, the preamble’s declaration of intent to grant concurrent authority finds concrete expression in the text of the statute. The Special Needs Act explicitly allows the special prosecutor to “exercise all the powers and perform all the

duties” that the district attorney “would . . . be authorized or required to exercise or perform” (Executive Law § 552 [2] [c]), and makes a corresponding amendment adding the special prosecutor to the definition of “district attorney” found in the Criminal Procedure Law (CPL 1.20 [32]). These provisions plainly refute any intention on the part of the legislature to condition the special prosecutor’s authority on the conduct of the local district attorney.

Notwithstanding the absence of any language in the text requiring consent and retention of authority by the district attorney, and the specific language making clear the omission was intentional, the parties suggest that the proposed conditions on the special prosecutor’s authority can be gleaned from several of the statute’s subdivisions. We disagree.

The statute does include subdivisions directing the special prosecutor to give the local district attorney “notice” of a search warrant application (Executive Law § 552 [2] [b]), and to “consult[]” with the local district attorney as to “the time and place” of any appearance before a grand jury or superior court (*id.* § 552 [2] [c]). The clear import of these modest requirements is that the special prosecutor must keep the local district attorney informed of her intention to take certain steps, not that the special prosecutor must obtain the local district attorney’s permission before doing so. Put simply, the aims of the cited provisions are coordination and scheduling, not consent.

The proposed requirement that the local district attorney retain ultimate responsibility for the prosecution similarly lacks statutory support and would instead need to be imported from language found in this Court’s decisions in *People v Soddano* (86 NY2d 727 [1995]) and *People v Van Sickle* (13 NY2d 61 [1963]). However, in both *Soddano* and *Van Sickle*, the issue was whether the district attorney had properly delegated authority to a public officer or private party (*see Soddano*, 86 NY2d at 728 [state trooper prosecuting speeding offense]; *Van Sickle*, 13 NY2d at 62-63 [complaining witness prosecuting misdemeanor assault]). In interpreting the relevant statutes making the duty to conduct all prosecutions within the county nondelegable by the district attorney except as specified in the law, we held that the local district attorney must, in all cases, retain the ultimate “responsibility” for conducting prosecutions in his or her county (*Soddano*, 86 NY2d at 728; *Van Sickle*, 13 NY2d at 62-63; *see County Law* § 700 [1]). The “ultimate responsibility” language was a limit or check on what author-

ity the district attorney could delegate under the controlling statutes (*see Soddano*, 86 NY2d at 728). It was not intended as a restriction on the legislature or as justification for reading that language into other laws.⁵

Finally, neither of these suggested requirements can be inferred from the statutory language providing that “nothing herein shall interfere with the ability of district attorneys at any time to . . . investigate and prosecute any suspected abuse or neglect” (Executive Law § 552 [2] [a]). At best, this provision reinforces the legislature’s intent that the special prosecutor enjoys concurrent rather than exclusive authority (*see* L 2012, ch 501, § 2, part A, § 1). And concurrent jurisdiction, even if strained to mean that the district attorney has the power to intervene in any case, does not overcome the unconstitutional delegation of independent prosecutorial authority and discretion to the special prosecutor. We rejected a similar argument in *Matter of Schumer v Holtzman* and gave “no effect” to language in a memorandum of understanding that the delegation of authority thereunder was “consistent with the District Attorney’s statutory accountability” (60 NY2d at 53). Instead, we interpreted the memorandum “to mean what the parties obviously intended it to mean: that the appointee was to have a free hand in all aspects of [the delegated] matter” (*id.*). Here, too, it is clear the legislature intended the special prosecutor to operate with a “free hand in all aspects” of the case despite the “nothing herein” clause in the statute (*see* Executive Law § 552 [2] [c]).

This Court is “not at liberty to save a statute by, in effect, rewriting it in a manner that contravenes . . . its unambiguously articulated legislative purpose” (*Matter of Wood v Irving*, 85 NY2d 238, 245 [1995]; *see Dietze*, 75 NY2d at 53 [“An attempt by this court to so limit the statute would, thus, be tantamount to wholesale revision of the Legislature’s enactment, rather than prudent judicial construction”]). We must, therefore, reject the Attorney General’s proposed construction (*see People v Smith*, 63 NY2d 41, 79 [1984] [declining the Attorney General’s invitation to read into the challenged legislation a saving provision that “would require us to rewrite the statute”]).

5. Of course, our decision today does not affect that process for delegation of authority by the local district attorney (*see* County Law § 700; *see also Soddano*, 86 NY2d at 728).

V.

We will, however, consider whether those unconstitutional subdivisions “may be severed from the valid and the remainder of the statute preserved” (*Matter of Westinghouse Elec. Corp. v Tully*, 63 NY2d 191, 196 [1984]; see *Wogan*, 208 NY at 462 [holding unconstitutional only those provisions which interfered with the rights of the county clerk]). This is a question of legislative intent, namely “whether the legislature, if partial invalidity [of the statute] had been foreseen, would have wished the statute to be enforced with the invalid part excised, or rejected altogether” (*People ex rel. Alpha Portland Cement Co. v Knapp*, 230 NY 48, 60 [1920]). This principle is one of “function” rather than “form,” and the answer to the inquiry “must be reached pragmatically, by the exercise of good sense and sound judgment, by considering how the statutory rule will function if the knife is laid to the branch instead of at the roots” (*id.*).

[2] Here, given that the purpose of enacting the Special Needs Act was to “bolster the ability of the state to respond more effectively to abuse and neglect of vulnerable persons” (L 2012, ch 501, § 2, part A, § 1), it is apparent that the legislature would wish that as much of Executive Law § 552 aimed at protecting that class of victims as can be preserved remain in effect. Nor would excising the offending provisions leave the remainder without any beneficial impact. Therefore, while the subdivisions of the statute that provide the special prosecutor with the discretionary authority to bring criminal cases (see Executive Law § 552 [1], [2] [a] [i]; [b]; [c]) must be struck as unconstitutional for the reasons discussed above, the portion of Executive Law § 552 (1) that provides the special prosecutor with non-prosecutorial functions should remain in force. Likewise, we leave intact Executive Law § 552 (2) (a) (ii), which empowers the special prosecutor “to *cooperate* with and assist district attorneys and other local law enforcement officials in their efforts against . . . abuse or neglect of vulnerable persons,” without interfering with those efforts (emphasis added). Cooperation with the local district attorney furthers the overarching goal of the legislature—providing resources to address crimes of abuse and neglect committed against vulnerable persons—without infringing on that constitutional officer’s essential authority.

We have considered the special prosecutor’s remaining contentions and find them to be without merit.

We hold that Executive Law § 552 is unconstitutional to the extent it empowers the special prosecutor with concurrent prosecutorial authority. Accordingly, in each case, the order of the Appellate Division should be affirmed.

STEIN, J. (concurring). I concur in the Court's opinion. However, I write separately to emphasize what is, in my view, an important limitation on the scope of the Court's decision regarding the validity of Executive Law § 552 (2). Specifically, each of the three defendants in these cases was charged in an indictment with at least one felony (*cf. People v Davidson*, 27 NY3d 1083, 1085-1086 [2016] [explaining, in rejecting a challenge to the special prosecutor's authority to commence a prosecution by misdemeanor information, that "(t)here is no indication that the statute governs proceedings in local courts at all"]). As the majority here explains (majority op at 578-579), the special prosecutor fails to cite any case in which this Court has countenanced the prosecution of a felony in superior court by an appointed special prosecutor other than one of the elected constitutional officers responsible for conducting criminal prosecutions—the district attorney or the Attorney General—or a prosecutor appointed pursuant to County Law § 701. In contrast, both the special prosecutor and the Attorney General, who has intervened pursuant to Executive Law § 71, rely on this Court's precedent—specifically, *People v Soddano* (86 NY2d 727, 728 [1995]) and *People v Van Sickle* (13 NY2d 61 [1963])—in asserting that the special prosecutor possesses “common-law authority” to bring non-felony prosecutions.

This argument is not without some support. In *Soddano*, we upheld the prosecution of a speeding ticket by a state trooper in Town Court, despite the defendant's objection that “only the District Attorney's office could prosecute the case” (86 NY2d at 728). We explained that County Law § 700 (1)* “does not require the District Attorney's personal presence at every criminal hearing in a county, and the prosecution of petty crimes or offenses may be delegated to subordinates and other public or administrative officers and even to private attorneys” (*Soddano*, 86 NY2d at 728). Specifically, we concluded that, although “District Attorneys . . . retain the ultimate, nondeleg-

* As relevant here, County Law § 700 (1) states that, “[e]xcept as provided in section [701] of this chapter, it shall be the duty of every district attorney to conduct all prosecutions for crimes and offenses cognizable by the courts of the county for which [the district attorney] shall have been elected or appointed.”

able responsibility for prosecuting all crimes and offenses, . . . they may allow appearances by public officers or private attorneys *so long as they are kept aware of all the criminal prosecutions in the county*" (*id.* [emphasis added]). The *Soddano* Court relied on our prior decision in *Van Sickle*, in which we upheld the prosecution by the complaining witness of a third-degree assault charge, reasoning that County Law § 700 (1) "does not necessarily mean that the District Attorney or [a] deputy must be physically present at every criminal hearing in the county" (13 NY2d at 62). Rather,

"it means at least that the District Attorney, as the elected representative of the people and charged with this responsibility [set forth in the statute], must carry the responsibility and *must set up a system whereby [the District Attorney] knows of all the criminal prosecutions in [the] county and either appears therein in person or by assistant or consents to appearance on [the District Attorney's] behalf by other public officers or private attorneys*" (*id.* at 62-63 [emphasis added]; see *People v Czajka*, 11 NY2d 253, 254 [1962] ["It is no longer open to question that petty crimes or offenses of this nature"—a traffic offense—"may be prosecuted in courts of special sessions by administrative officers and attorneys other than the District Attorney," in that case a deputy town attorney]).

The Court's decision in the instant appeals does not limit or overrule *Soddano* and *Van Sickle*—nor could it inasmuch as the validity of the rule stated in *Soddano* and *Van Sickle* is not before us on these appeals, which do not involve petty offenses—and, thus, it remains an open question whether those cases support the argument of both the special prosecutor and the Attorney General regarding the special prosecutor's "common-law" authority to prosecute petty crimes and offenses. Nor does the Court's decision represent a step back from our statements in *Davidson* that Executive Law § 552 (2) does not "govern[] proceedings in local courts at all," and our negative answer "to the question whether Executive Law § 552 (2) (c) prohibits the special prosecutor from prosecuting abuse and neglect cases in local criminal courts" (27 NY3d at 1086). Rather, because the cases before us involve felonies and were prosecuted in superior court, the Court does not now resolve the question of whether it is perfectly consistent with our prior

case law for local district attorneys to consent to or “allow appearances by [the special prosecutor in local criminal court] so long as they are kept aware of all the criminal prosecutions in the county” (*Soddano*, 86 NY2d at 728). With that limitation in mind, and cognizant that a more complete resolution of these important, open issues must await another day, I fully join the Court’s decision herein.

RIVERA, J. (concurring in result). The Court unanimously agrees that Executive Law § 552 would be unconstitutional if interpreted as granting the Special Prosecutor for the Protection of People with Special Needs the authority to prosecute cases independently of the local district attorney’s office. As I have previously explained, “[t]he legislature may not transfer or diminish the core responsibilities and prosecutorial powers of a constitutionally elected officer, such as a District Attorney, through appointment of an unelected official” (*People v Davidson*, 27 NY3d 1083, 1087 [2016, Rivera and Abdus-Salaam, JJ., dissenting]). The majority holds the same, and I concur in that part of its analysis (*see* majority op at 572-579).

However, I disagree with the majority’s conclusion that an unconstitutional construction is the only reasonable—and, therefore, unavoidable—interpretation of the authority granted in Executive Law § 552. Instead, Executive Law § 552 may be interpreted to allow the Special Prosecutor to appear in criminal matters on consent of the local district attorney, who would retain “ultimate, nondelegable responsibility” for the prosecution (*see People v Soddano*, 86 NY2d 727, 728 [1995]; *People v Van Sickle*, 13 NY2d 61, 62-63 [1963]). Such an interpretation furthers the legislative purpose and satisfies this Court’s obligation to afford statutes a constitutional construction whenever reasonably possible (*see Matter of Lorie C.*, 49 NY2d 161, 171 [1980]).

I.

The statutory provision at issue in this appeal traces its origin to the Protection of People with Special Needs Act of 2012. The impetus for the legislation was a government report finding that there was pervasive physical and sexual abuse of individuals with special needs residing in state facilities. Specifically, the report determined that law enforcement lacked the expertise and resources to adequately investigate and prosecute allegations of abuse in such facilities (*see e.g.* Clarence J. Sundram, Report to Governor Andrew M. Cuomo, *The Measure*

of a Society: Protection of Vulnerable Persons in Residential Facilities against Abuse & Neglect 27 [2012] [noting that, for certain classes of state-run facilities, reports to law enforcement were required “only if the District Attorney of the locality . . . indicated a prior interest in receiving them”]). Faced with this uneven response from law enforcement, the legislature sought to create a “justice center,” dedicated to the protection of vulnerable persons, tasked with promulgating “uniform safeguards,” including: operating a statewide hotline for the reporting of abuse and neglect of people with special needs; referring reports to law enforcement and, where appropriate, investigating such reports; developing a code of conduct for employees who have regular contact with vulnerable individuals; developing training standards for individuals who investigate allegations of abuse and neglect; and developing policies and procedures for state agencies overseeing services for people with special needs (Sponsor’s Mem, Bill Jacket, L 2012, ch 501 at 11-12, 2012 McKinney’s Session Laws of NY at 1969-1970).

The legislature also saw fit to create the office of Special Prosecutor and Inspector General, housed within the Justice Center, which would be vested with the broad authority to prosecute offenses involving the abuse and neglect of people with special needs. Critically, though, the legislative history makes clear that the Special Prosecutor was intended to work in tandem with—rather than independently of—the State’s existing prosecutors. For example, the history demonstrates that the prosecutorial authority conferred upon the Special Prosecutor would “*bolster* the ability of the state to respond more effectively to abuse and neglect of vulnerable persons” and “*strengthen* and standardize” the existing “safety net for vulnerable persons” (Protection of People with Special Needs Act, L 2012, ch 501, § 2, part A, § 1 [emphasis added]). These legislative goals were to be realized, in part, by permitting the Special Prosecutor “to prosecute, *concurrently with the District Attorneys*,” crimes involving the abuse of individuals with special needs (Sponsor’s Mem, Bill Jacket, L 2012, ch 501 at 12, 2012 McKinney’s Session Laws of NY at 1970 [emphasis added]). In other words, far from displacing the prosecutorial authority of New York’s constitutionally prescribed prosecutorial officers, the legislature intended—as even the Special Prosecutor readily admits—for the Special Prosecutor to *supplement*, rather than supplant, the district attorney’s efforts.

II.

“[C]ourts must construe statutes so as to preserve their constitutionality whenever possible” (*People v Baumann & Sons Buses, Inc.*, 6 NY3d 404, 408 [2006], citing *People v Epton*, 19 NY2d 496, 505 [1967]; see also *People v Dietze*, 75 NY2d 47, 52 [1989]). The saving construction must be guided by the legislature’s *purpose* in enacting the statute (see McKinney’s Cons Laws of NY, Book 1, Statutes § 92 [a] [“The primary consideration of the courts in the construction of statutes is to ascertain and give effect to the intention of the Legislature”]). “A basic consideration in the interpretation of a statute is the general spirit and purpose underlying its enactment, and that construction is to be preferred which furthers the object, spirit and purpose of the statute” (*id.* § 96).

Obviously, in any case where a statute is susceptible of two interpretations—one constitutional and the other not—the text of the statute will necessarily fail to resolve the issue. Indeed, if the plain statutory text itself supplied the constitutional construction, there would be no need to invoke the canon of constitutional avoidance in the first place. Rather, “we cannot presume an intent to pass an unconstitutional act” (*De Camp v Dix*, 159 NY 436, 443-444 [1899]), and, therefore, a “great liberality of construction should be indulged in by the courts to uphold the constitutionality of legislation” (*Johnston v Spicer*, 107 NY 185, 203 [1887]), always in keeping with the statute’s “unambiguously articulated legislative purpose” (*Matter of Wood v Irving*, 85 NY2d 238, 245 [1995]; see also *People v Arez*, 64 Misc 2d 723, 725 [App Term, 1st Dept 1970] [(I)t is well established that a statute must be presumed to be constitutional unless its repugnancy to the Constitution clearly appears and every rational and reasonable presumption must first be indulged in favor of the statute”], *affd* 28 NY2d 764 [1971]).

To be sure, this Court may not “rewrit[e]” a statute in order to save it (*Irving*, 85 NY2d at 245), as such an endeavor would amount to a “wholesale revision of the Legislature’s enactment, rather than prudent judicial construction” (*Dietze*, 75 NY2d at 52-53). But the majority misconstrues this Court’s precedents on this point. Far from proscribing judicial constructions that are not spelled out in the text of the statute (which, again, would render the constitutional avoidance canon a nullity), we have affirmatively adopted interpretations that “we may reasonably find *implicit in the statute*” (*People ex rel. Mor-*

riale v Branham, 291 NY 312, 317 [1943] [emphasis added]; see *Dietze*, 75 NY2d at 52-53; see also *Matter of Jamie J. [Michelle E.C.]*, 30 NY3d 275, 284, 286-287 [2017] [applying constitutional avoidance canon notwithstanding an agency's urged "hyperliteral reading" of the Family Court Act, which, while ostensibly based on statutory text, would nonetheless violate the broader statutory scheme as well as certain constitutional rights]; *H. Kauffman & Sons Saddlery Co. v Miller*, 298 NY 38, 43-44 [1948] [adopting a constitutionally inoffensive interpretation and rejecting a "strict and literal reading of the statutory language" that "would . . . attribute to the Legislature an intent to accomplish a most . . . unreasonable result . . . startlingly at odds with the whole scheme of the . . . laws"]¹.

When we *have* declined to adopt a saving construction it is not, as the majority suggests, due to statutory silence or ambiguity, but because such a construction would either directly contradict the statutory text or violate the legislature's intent in crafting the statute at issue (see e.g. *People v Smith*, 63 NY2d 41, 79 [1984] [holding that the Attorney General's urged interpretation would be "wholly at odds with the wording of the statute and would require us to rewrite" it]; *Irving*, 85 NY2d at 244-245 [(C)ourts are not at liberty to save a statute by, in effect, rewriting it in a manner that contravenes its plain wording as well as its unambiguously articulated legislative

1. Our recent decision in *Expressions Hair Design v Schneiderman* (32 NY3d 382 [2018]) is illustrative of this point. There, we considered a certified question that required us to interpret a statute, one reading of which arguably violated the parties' First Amendment rights. As the dissent in that case noted, the majority embraced an interpretation of the statute apparently designed to avoid constitutional infirmity (*id.* at 421-422 [Garcia, J., dissenting]). The majority, for its part, claimed that a missing definition must be read into the statute, otherwise the literal reading of the law "would defeat the legislature's plain intent" (*id.* at 392). That is, the majority adopted a constitutionally unproblematic reading, even though doing so required importing a definition that the dissent argued had been expressly excluded. Although the dissent claimed—as the majority here does today—that "the canon of constitutional avoidance is not a license to disregard statutory text" (*id.* at 421-422 [Garcia, J., dissenting]), the majority in *Schneiderman* nonetheless prioritized legislative intent over strict textual literalism when construing the statute to save it from unconstitutionality (see *id.* at 391-393 [citing extensively to statute's legislative history in order to determine the legislature's intent, including the sponsor's memorandum and a memorandum from the Associate Counsel of the Consumer Protection Board]). Today's majority has not explained why that approach to constitutional avoidance has, in the span of less than three years, become bad law.

purpose” (emphasis added)]; *see also Scales v United States*, 367 US 203, 211 [1961] [“Although (the U.S. Supreme) Court will often strain to construe legislation so as to save it against constitutional attack, it must not and will not carry this to the point of perverting the purpose of a statute”)].

III.

Here, the saving construction—urged by both the Special Prosecutor and the Attorney General—would violate neither the plain text of the statute nor the legislative purpose. They agree that the unconstitutional delegation of sole prosecutorial authority to the Special Prosecutor may be remedied if the local district attorney consents to, and maintains ultimate responsibility for, any prosecution carried out by the Special Prosecutor.

As an initial matter, the statute’s text is not “wholly at odds with” such a construction, and, thus, the majority’s citations to cases like *Smith* are inapposite (63 NY2d at 79). In fact, a number of provisions make clear that Executive Law § 552 is perfectly amenable to the proposed construction. Notwithstanding the Special Prosecutor’s argument throughout this litigation, the statute makes clear that the district attorney retains primacy in any prosecution (as it must, as a matter of constitutional law). Specifically, the statute provides that “nothing herein shall interfere with the ability of district attorneys *at any time* to . . . investigate and prosecute *any suspected abuse or neglect*” (Executive Law § 552 [2] [a] [emphasis added]). Clearly, if the Special Prosecutor *did* have sole authority to initiate a prosecution, that would necessarily “interfere with the ability of district attorneys . . . to . . . prosecute any suspected abuse or neglect” (*id.*); such authority would violate this provision of the statute and, therefore, no proper construction of the statute could tolerate it (*see McKinney’s Cons Laws of NY, Book 1, Statutes* § 144 [“Statutes will not be construed as to render them ineffective”]). Thus, in order to give effect to this provision and to prevent the Special Prosecutor from interfering with the district attorney’s ability to prosecute “any suspected abuse or neglect,” the district attorney must necessarily consent to and retain ultimate responsibility for any such prosecution. This provision, then, not only forecloses the Special Prosecutor’s argument that she has sole prosecutorial authority but also undermines the majority’s claim that nothing in the statutory text supports the saving construction.

Executive Law § 552 (2) (a) (ii) also supports the proposed saving construction.² That provision imposes upon the Special Prosecutor the “duty” to “cooperate with and assist district attorneys . . . in their efforts against . . . abuse or neglect of vulnerable persons” and to “provide technical and other assistance to any district attorney . . . requesting assistance” (*id.*). Given that the legislature’s goal in enacting the statute was to ensure a robust prosecutorial response to the abuse of vulnerable New Yorkers, the cooperation and assistance contemplated by this provision undoubtedly extends to prosecutions. Moreover, the fact that the legislature saw fit to describe the assistance owed to the district attorney as a “duty” suggests the primacy of the district attorney in these prosecutions—a relationship of the sort imagined by the saving construction at issue here, where the Special Prosecutor may carry out prosecutions only where the district attorney consents and retains ultimate responsibility.

The majority, in rejecting the saving construction, points to Executive Law § 552’s legislative history, where the Special Prosecutor’s authority is described as “concurrent” with that of the district attorney (majority op at 580-581). According to the majority, this demonstrates that the legislature could only have intended to confer *independent* prosecutorial authority. The Special Prosecutor has advanced substantially the same argument. But, for much the same reason that the Special Prosecutor’s claim to independent prosecutorial authority fails, so too

2. The majority concludes that section 552 (2) (a) (ii) survives constitutional attack. As the majority sees it, the Special Prosecutor lawfully retains the “duty” to cooperate with and assist the district attorney as granted in this provision because such conduct does not “infring[e] on [the district attorney’s] essential authority” (majority op at 583). This is presumably why the majority, in keeping with the procedure we articulated in *Soddano* and *Van Sickle*, finds no constitutional fault with a local district attorney’s delegation to the Special Prosecutor the task of carrying out a prosecution (*id.* at 582 n 5, citing County Law § 700, and *Soddano*, 86 NY2d at 728). This assumes, of course, that the district attorney retains the authority to determine “whom, whether and how to prosecute” (*id.* at 577-578, quoting *Matter of Haggerty v Himelein*, 89 NY2d 431, 436 [1997]). Indeed, as the majority acknowledges, that is exactly what our law permits (*see* majority op at 578-579). If a district attorney may already appoint the Special Prosecutor in certain circumstances, then it is inconceivable that the legislature—intent on ensuring prosecution of crimes against persons with special needs—would have written Executive Law § 552 to supersede the district attorney’s authority. We must assume that the legislature instead sought to endow the Special Prosecutor with the full range of *constitutionally permissible* prosecutorial authority, as expressed in our precedent.

does the majority's argument. First, the text of section 552 does not describe the Special Prosecutor's authority as concurrent; but, even if it did, "concurrent" authority is not "independent" authority. If, as both the Special Prosecutor and majority suggest, the legislature had intended to commit to the Special Prosecutor sole discretion to prosecute this class of crimes, there would have been no reason for it to expressly prohibit the Special Prosecutor from "interfer[ing] with the ability of district attorneys *at any time* to . . . prosecute *any suspected abuse or neglect*" (Executive Law § 552 [2] [a] [emphasis added]). Nor would the legislature have needed to specify that the Special Prosecutor was a "district attorney" only when "acting pursuant to [the Special Prosecutor's] duties in matters arising under" the Special Needs Act (CPL 1.20 [32])—including, of course, the "duty . . . to *cooperate with and assist district attorneys*" (Executive Law § 552 [2] [a] [ii] [emphasis added]). Other provisions of the statute also evince a legislative desire that the Special Prosecutor occupy a subservient role relative to the local district attorney (*see e.g.* Executive Law § 552 [2] [b] [requiring the Special Prosecutor to provide the local district attorney notice of a search warrant application]; *id.* § 552 [2] [c] [requiring the Special Prosecutor to consult with the local district attorney before any appearance before a grand jury or superior court]). Neither of these provisions would be necessary if, as the majority asserts, the legislature had conferred independent prosecutorial authority on the Special Prosecutor. Instead, these various statutory provisions "provide[] significant limitations on the power of the Special Prosecutor," demonstrating that "the Special Prosecutor is not on equal footing with the local District Attorney" (*Davidson*, 27 NY3d at 1094-1095 [Rivera, J., dissenting]).

Nor does the saving construction violate the statutory purpose. As I have discussed, the legislative history evinces a desire to provide the widest authority possible to the Special Prosecutor in order to ensure a robust prosecutorial response to crimes committed against vulnerable individuals with special needs (*see* discussion of legislative history, *supra* at 586-587). While the Special Prosecutor has argued that this intent confers independent authority to investigate and prosecute abuse and neglect, such an argument is constitutionally unsupportable. However, the Constitution *does* undoubtedly support very similar arrangements in other contexts, and a saving construction that interprets Executive Law § 552 as

providing prosecutorial authority coextensive with that constitutional maximum in no way undermines the legislature's intent in enacting the statute. As the majority accurately notes, prosecutorial functions *can* be delegated for a variety of purposes—so long as an office constitutionally endowed with prosecutorial authority ultimately remains “responsible for conducting [the] criminal prosecutions” (majority op at 579; *see also* Executive Law § 63 [2] [permitting the Governor to appoint a special prosecutor overseen by the Attorney General]; Executive Law § 70-a [permitting a special prosecutor to exercise prosecutorial authority upon consent of the Governor and district attorney]; Judiciary Law § 177-c [granting prosecutorial authority to a special prosecutor who serves on the staff of one of New York City's five district attorneys]). These various legislative schemes demonstrate that prosecutorial functions may be, and frequently are, delegated to non-constitutional officers, with the important caveat that a constitutionally recognized prosecutorial officer retains control.³

This principle also finds support in the precedents of this Court (*see e.g. Van Sickles*, 13 NY2d at 62-63 [describing “the District Attorney” “as the elected representative of the people” who has been “charged with (the) responsibility” for overseeing the prosecution of crimes and therefore “must carry the responsibility”]; *Soddano*, 86 NY2d at 728 [“District Attorneys, of course, retain the ultimate, nondelegable responsibility for prosecuting all crimes and offenses”]). This is not, as the majority would have it, true only in the context of prosecutions carried out under County Law § 701; rather, in both *Soddano* and *Van Sickles*, the Court so characterized the general nature

3. The majority erroneously relies on *Matter of Schumer v Holtzman* (60 NY2d 46 [1983]). There, the Court considered a memorandum of understanding, promulgated by a district attorney, purporting to transfer to an unelected appointee “full authority and responsibility to investigate, to determine whether to prosecute, and to prosecute any person for any offense” arising out of a particular course of conduct (*id.* at 52). As an initial matter, it is not at all clear that *Schumer* even implicates the constitutional avoidance canon, as the memorandum at issue in that case was not a piece of legislation enacted by the People's duly elected representatives and certainly was not itself entitled to a *presumption* of constitutionality (*see LaValle v Hayden*, 98 NY2d 155, 161 [2002]). In any event, unlike Executive Law § 552, the memorandum in *Schumer* was unquestionably an unlawful delegation of authority, as it purported to give the unelected appointee “*full authority . . . to determine whether to prosecute*,” thereby stripping a constitutional officer of one of her essential functions, in direct violation of *Wogan* and its progeny (*Schumer*, 60 NY2d at 52 [emphasis added]).

of the district attorney's prosecutorial role, which we then contrasted with narrow exceptions to that rule. Thus, retention of prosecutorial authority by a constitutional officer, even when that authority is delegated, is a constitutional backdrop, against which the legislature is presumed to act (*see Matter of McAneny v Board of Estimate & Apportionment of City of N.Y.*, 232 NY 377, 389 [1922] [(E)very act of the legislature is presumed to be in harmony with the Constitution unless the contrary clearly appears"]).

The lack of explicit textual authorization for a saving construction is unsurprising—if such text were present in the statute, no saving construction would be necessary, as we would merely apply the statute as written. Rather, a saving construction becomes impermissible judicial rewriting when it violates either the plain text or legislative intent of a statute. The proposed saving construction here does no such thing. Part IV of the majority opinion, therefore, unquestionably thwarts the legislature's purpose in enacting Executive Law § 552.

IV.

The question remains whether the district attorney consented to the respective prosecutions of these defendants by the Special Prosecutor. There is no record evidence of such consent and thus the Special Prosecutor lacked authority to proceed in these criminal matters. Therefore, the courts below properly granted the motions to dismiss the indictments. I would affirm the Appellate Division and uphold Executive Law § 552 in accordance with the constitutionally permissible interpretation I have discussed.

Judges STEIN, FAHEY and WILSON concur, Judge STEIN in a concurring opinion. Judge RIVERA concurs in result in an opinion. Chief Judge DiFIORE took no part.

In each case: Order affirmed.

[169 NE3d 589, 146 NYS3d 231]

In the Matter of the Claim of the ESTATE OF NORMAN YOUNGJOHN, Deceased, Appellant, v BERRY PLASTICS CORPORATION et al., Respondents. WORKERS' COMPENSATION BOARD, Respondent.

Argued February 9, 2021; decided April 1, 2021

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered February 21, 2019. The Appellate Division (1) modified a decision of the Workers' Compensation Board which had (a) modified the Workers' Compensation Law Judge's decision establishing decedent's schedule loss of use award by limiting the amount of decedent's schedule loss of use award payable to claimant to funeral expenses not to exceed \$10,500, and (b) awarded attorneys' fees; and (2) remitted the matter to the Workers' Compensation Board for further proceedings not inconsistent with the Court's decision. The modification consisted of reversing so much thereof as limited the schedule loss of use award payable to claimant to reasonable funeral expenses. The Appellate Division affirmed the decision as modified.

Matter of Estate of Youngjohn v Berry Plastics Corp., 169 AD3d 1237, affirmed.

HEADNOTE

Workers' Compensation — Award — Claimant Estate's Entitlement to Decedent's Schedule Loss of Use Award

A claimant's estate is not entitled to recover the full value of a posthumous schedule loss of use (SLU) award given Workers' Compensation Law § 15 (4) (d)'s limitation to "an amount not exceeding reasonable funeral expenses" when a claimant found entitled to permanent partial disability benefits dies of causes unrelated to the work injuries without a surviving spouse, child under the age of 18, or qualifying dependent, notwithstanding amendments to the Workers' Compensation Law permitting payment of SLU benefits through lump-sum awards. Accordingly, in the workers' compensation proceeding continued by decedent's estate following his death from circumstances unassociated with his work injuries, recovery was properly limited to that portion of the SLU award that would have been due to claimant for the period prior to his death (Workers' Compensation Law § 33), plus "reasonable funeral expenses" (Workers' Compensation Law § 15 [4] [d]). The legislature did not amend Workers' Compensation Law § 15 (4) (d) when it authorized lump-sum payments. If a claimant so elects, payment of an SLU award may be directed in a lump-sum fashion; however, in the event a claimant dies

from causes unrelated to the work injury, any yet unpaid amounts that would have become periodically due after the claimant's death are "payable to and for the benefit of . . . the estate of such deceased in an amount not exceeding reasonable funeral expenses" (Workers' Compensation Law § 15 [4] [d]). The legislature unmistakably provided a claimant's estate with only a limited right to a discrete portion of the remaining SLU award upon the claimant's death if the claimant has no qualifying survivors. There is no support for the position that the legislature, by authorizing lump-sum payments, intended to alter, not only the methods of payment available, but also the amount of an SLU award that may be paid to an estate under those circumstances.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Workers' Compensation §§ 151, 633.

McKINNEY'S, Workers' Compensation Law §§ 15 (4) (d); 33.

NY JUR 2d Workers' Compensation §§ 302, 303, 316, 927.

ANNOTATION REFERENCE

See ALR Index under Workers' Compensation.

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POINTS OF COUNSEL

Segar & Sciortino PLLC, Rochester (*Stephen A. Segar* of counsel), for appellant. The 2009 amendments to Workers' Compensation Law §§ 15 (3) (u) and 25 (1) (b) together with Workers' Compensation Law § 33 render the subject schedule awards wholly accrued and fully payable to appellant in one lump sum. (*Matter of Kondylis v Alatis Interiors Co., Ltd.*, 116 AD3d 1184; *Matter of Riley v Syracuse Univ.*, 56 AD2d 163; *Matter of Healey v Carroll*, 282 App Div 969; *Matter of Wakefield v Schlaier's Sons Iron Works*, 18 AD2d 1121; *Matter of Smith v General Elec. Co.*, 24 AD2d 814; *Matter of LaCroix v Syracuse Exec. Air Serv., Inc.*, 8 NY3d 348; *Matter of Lynch v Board of Educ. of City of N. Y.*, 1 AD2d 362, 3 NY2d 871; *Matter of Healey v Carroll*, 282 App Div 969.)

Goldberg Segalla LLP, Syracuse (*Cory A. DeCresenza* of counsel), for respondents. The Workers' Compensation Board and Appellate Division, Third Department properly concluded

that claimant's recovery should be limited to those benefits accrued prior to his death and reasonable funeral expenses. (*Matter of Healey v Carroll*, 282 App Div 969; *Matter of LaCroix v Syracuse Exec. Air Serv., Inc.*, 8 NY3d 348; *Landgrebe v County of Westchester*, 57 NY2d 1; *National Org. for Women v Metropolitan Life Ins. Co.*, 131 AD2d 356.)

OPINION OF THE COURT

STEIN, J.

Workers' Compensation Law § 15 (4) (d) limits recovery by a claimant's estate to "an amount not exceeding reasonable funeral expenses" when a claimant found entitled to permanent partial disability benefits dies of causes unrelated to the work injuries without a surviving spouse, child under the age of 18, or qualifying dependent. The question before us on this appeal is whether, in light of the legislature's 2009 amendments to the Workers' Compensation Law permitting payment of schedule loss of use benefits through lump-sum awards, a claimant's estate is entitled to recover the full value of a posthumous schedule loss of use award for a permanent partial disability despite the limitation set forth in section 15 (4) (d). We conclude that section 15 (4) (d) can be given full effect in harmony with the 2009 amendments. We, therefore, affirm the Appellate Division order holding that, here, recovery of the claimant's schedule loss of use award by his estate is limited to that portion of the award that would have been "due" to the claimant for the period prior to the claimant's death (Workers' Compensation Law § 33), plus "reasonable funeral expenses" (Workers' Compensation Law § 15 [4] [d]).

I.

In December 2014, decedent claimant Norman Youngjohn sustained injuries when he slipped on ice and fell in a parking lot at work while employed by Berry Plastics Corporation. After decedent sought workers' compensation benefits, a claim was established for injuries to his right shoulder and left elbow, and he was awarded temporary benefits. In September 2016, decedent notified the Workers' Compensation Board that his injuries had become permanent, and the workers' compensation insurance carrier subsequently notified the Board that decedent's injuries were amenable to a schedule loss of use (SLU) award (*see generally* Workers' Compensation Law § 15 [3]). However, in March 2017, before resolution of his claim for permanent partial disability benefits, decedent suffered a fatal

heart attack unassociated with his work-related injuries. At the time of his death, decedent had no surviving spouse, minor children, or other qualifying dependents as defined by the applicable statutes (*see* Workers' Compensation Law §§ 15 [4] [a]-[d]; 16).

Following decedent's death, the workers' compensation proceedings were continued through decedent's estate. The estate and the carrier stipulated to a 55% schedule loss of use of decedent's left arm, a 45% SLU of his right arm, and 23 weeks of protracted healing. However, a dispute arose regarding whether the estate was entitled to the full value of the SLU award or only the portion of the award up to the date of decedent's death, with the remainder of the award capped in accordance with Workers' Compensation Law § 15 (4) (d). The estate argued that, in light of the legislature's 2009 amendments to the Workers' Compensation Law authorizing lump-sum SLU awards (*see* L 2009, ch 351, §§ 1, 2; Workers' Compensation Law §§ 15 [3] [u]; 25 [1] [b]), the entirety of decedent's award accrued at the time of decedent's accident or death. According to the estate, the 2009 amendments effectively rendered Workers' Compensation Law § 15 (4) (d) inapplicable to SLU awards, and the full value of the award was therefore payable to the estate.

A Workers' Compensation Law Judge determined, based upon the parties' stipulated SLU percentages, that decedent was entitled to 312 weeks of benefits, plus an additional 23.8 weeks due to a protracted healing period. The Workers' Compensation Law Judge directed that the total SLU award of \$206,352.46, less payments already made, be paid to the estate in a lump sum because "liability for the schedule loss of use accrued prior to the date of death." On its administrative appeal, the carrier did not object to the lump-sum method of payment but disputed the amount due, contending the estate's recovery was limited pursuant to Workers' Compensation Law § 15 (4) (d). The Workers' Compensation Board modified the Workers' Compensation Law Judge's decision, determining that the SLU award payable to the estate was limited solely to the amount of the award capped at reasonable funeral expenses.

The estate appealed. The Appellate Division modified by reversing so much of the Board's decision as limited the SLU award to reasonable funeral expenses, held that the estate was also entitled to payment of that portion of the SLU award that was due up to the date of decedent's death, remitted the mat-

ter to the Board for calculation of the award, and otherwise affirmed (169 AD3d 1237, 1239-1240 [3d Dept 2019]). The Appellate Division concluded that, while Workers' Compensation Law § 15 (4) (d) "restricted payment of . . . the unaccrued portion of the SLU award" to reasonable funeral expenses, the estate was also owed—pursuant to Workers' Compensation Law § 33 and *Matter of Healey v Carroll* (282 App Div 969 [1953])—that portion of the SLU award that would have been periodically due between the date of the injury and the date of decedent's death (169 AD3d at 1238-1239). The Appellate Division rejected the estate's argument that it was entitled to the full value of the SLU award, reasoning that "the 2009 statutory amendments did not alter the long-standing rule that, where an injured employee dies without leaving a . . . [qualifying survivor], only that portion of the employee's SLU award that had accrued at the time of the death is payable to the estate, along with reasonable funeral expenses" (*id.* at 1239). The Appellate Division also observed that the amendments did not otherwise "alter the rate at which an SLU award accrues to an injured employee who is posthumously awarded SLU benefits" (*id.*).

We granted the estate leave to appeal (34 NY3d 903 [2019]), and now affirm.

II.

The Workers' Compensation Law "provides compensation for four different types of injury: permanent total disability, temporary total disability, permanent partial disability and temporary partial disability" (*Matter of LaCroix v Syracuse Exec. Air Serv., Inc.*, 8 NY3d 348, 353 [2007]; *see* Workers' Compensation Law § 15 [1]-[3], [5]). In the case of permanent total disability, temporary total disability, or temporary partial disability, an employee is awarded compensation "during the continuance of the disability" based on a percentage of the employee's wages (*Matter of LaCroix*, 8 NY3d at 353; *see* Workers' Compensation Law § 15 [1], [2], [5]). With respect to permanent partial disabilities, SLU awards are issued for such disabilities that involve a body part specifically enumerated in Workers' Compensation Law § 15 (3) (a) through (t) (*see Matter of Mancini v Office of Children & Family Servs.*, 32 NY3d 521, 526 n [2018]). SLU awards are based on a percentage of the employee's weekly wages but, unlike other types of compensation awards, the duration of the SLU award is determined by a

statutory schedule assigning a fixed number of weeks of compensation specific to the particular body part that is injured (*see* Workers' Compensation Law § 15 [3]).¹ An SLU award is intended to “compensate for loss of earning power” caused by the permanent partial disability (*Matter of Marhoffer v Marhoffer*, 220 NY 543, 547 [1917]).

Various statutory provisions govern the dispensation of benefits following the death of a workers' compensation claimant, including, as relevant here, Workers' Compensation Law §§ 15 (4) (d) and 33. Section 33—applicable to any type of compensation or benefits under the Workers' Compensation Law—provides that, generally, “[c]ompensation and benefits shall be paid only to employees or their dependents,” except that “[a]n award for disability may be made after the death of the injured employee.” In that regard, section 33 states that “any compensation” that was “due at the time of [the employee's] death” shall be payable to a surviving spouse, minor child, or certain dependents and, if there are none, then to the claimant's estate. Thus, “[i]f there are unpaid monies owed to the claimant for a period of time when [the claimant] was alive, such money is payable” in accordance with section 33 (Martin Minkowitz, Practice Commentaries, McKinney's Cons Laws of NY, Workers' Compensation Law § 33, Death; *see Matter of Sienko v Bopp & Morgenstern*, 248 NY 40, 42 [1928]). Section 33 applies regardless of whether the claimant's death is caused by the workplace injury, and it allows a qualifying survivor or the estate to recover “the amount of a disability award which has not been paid to the injured employee in [the employee's] lifetime” (*Matter of Sienko*, 248 NY at 45).

Workers' Compensation Law § 15 (4), the statutory provision at the crux of this appeal, is applicable upon a claimant's death when the claimant sought compensation for a permanent partial disability. That provision allows that “[a]n award for disability may be made after the death of the injured employee” but, unlike Workers' Compensation Law § 33, section 15 (4) applies only with respect to “[a]n award made to a claimant under

1. Permanent partial disabilities can also be “non-schedule” injuries to body parts not enumerated in the statute (*see* Workers' Compensation Law § 15 [3] [w]). In non-schedule cases, the employee is entitled to a percentage “of the difference between the injured employee's average weekly wages and [such employee's] wage-earning capacity” after the injury for the “continuance of such permanent partial disability,” subject to statutory durational caps (Workers' Compensation Law § 15 [3] [w]; *see Matter of Mancini v Office of Children & Family Servs.*, 32 NY3d 521, 526 [2018]).

subdivision three”—a permanent partial disability award—when the employee’s “death aris[es] from causes other than the injury” (Workers’ Compensation Law § 15 [4]).² Pursuant to section 15 (4) (a) through (c), in such scenarios, “[a]n award made to a claimant . . . shall . . . be payable to and for the benefit of” a surviving spouse or minor children. However, if no spouse or minor children survive the claimant, subdivision (4) (d) provides that the award is payable to a qualifying dependent or, “if there be no such dependents, *then to the estate of such deceased in an amount not exceeding reasonable funeral expenses*” (emphasis added).³ In other words, under section 15 (4), when the workplace injury has not caused the claimant’s death, payment of compensation “for this limited class of injury, permanent partial disability, may be continued” for the benefit of a surviving spouse, child, or dependent (*Matter of Sienko*, 248 NY at 43). However, subdivision (4) (d) of section 15 “provides for discontinuation of [an SLU] award upon the death of a claimant with no heirs (with the exception of reasonable funeral expenses)” (*Matter of LaCroix*, 8 NY3d at 355).

Here, the estate does not dispute that, prior to 2009, Workers’ Compensation Law § 15 (4) (d), where implicated, operated to limit an estate’s recovery of an SLU award to reasonable funeral expenses, as well as that portion of the award that would have been periodically due prior to the claimant’s death—as the Appellate Division held and consistent with *Matter of Healey* (282 App Div at 969-970).⁴ However, the estate contends that, by operation of certain 2009 amendments to other provisions of the Workers’ Compensation Law, the entire SLU award now “accrues” before or at the time of the claimant’s death and is, therefore, payable to the estate under Workers’ Compensation Law § 33.

III.

To place the 2009 amendments in context, the Workers’ Compensation Law historically provided for benefits, including

2. Workers’ Compensation Law § 16, not implicated here, governs the payment of “death benefits” when the work-related injury causes the claimant’s death (see *Matter of Keenholts v Bayer Co.*, 263 NY 77, 78 [1933]).

3. Regulations currently cap reimbursement for reasonable funeral expenses at either \$10,500 or \$12,500, depending upon the county (see 12 NYCRR 311.1; see also Workers’ Compensation Law § 16 [1]).

4. The carrier has never disputed that the estate is entitled, under Workers’ Compensation Law § 33, to that portion of the SLU award that would have been payable to decedent up to the date of his death (see *Matter of Healey v Carroll*, 282 App Div 969, 969-970 [1953]).

SLU awards, to be paid periodically on a biweekly basis (*see Matter of LaCroix*, 8 NY3d at 354; Workers' Compensation Law § 25 [1] [b]), with lump-sum awards issued only in particular cases when deemed advisable by the Board "in the interests of justice" (Workers' Compensation Law § 25 [5] [b]). In 2007, presented with the question of whether SLU awards could be paid as a lump sum as a matter of course, this Court held that the legislature's directive that payments be made periodically, as well as various components of other provisions of the Workers' Compensation Law, "preclude[d] a policy of lump-sum payment of [SLU] awards" (*Matter of LaCroix*, 8 NY3d at 351). In support of this conclusion, the Court pointed to other Workers' Compensation Law provisions containing language inconsistent with a lump-sum payment scheme—namely, the direction in section 15 (3) (u) that two or more SLU awards for permanent partial disabilities "run consecutively," the provision in section 15 (3) (v) that additional compensation may be available after termination of an SLU award, and—key to this appeal—section 15 (4) (d). Although we acknowledged that, unlike other disability compensation awards, SLU awards are "independent of the time an employee actually loses from work" (*Matter of LaCroix*, 8 NY3d at 356, quoting *Matter of Landgrebe v County of Westchester*, 57 NY2d 1, 6 [1982]), we nevertheless ultimately held that "any departure from the method of periodic payment of [SLU] awards specified in the Workers' Compensation Law must come from the [l]egislature" (*id.* at 357).

Two years later, the legislature responded to our holding in *Matter of LaCroix* by amending the Workers' Compensation Law to expressly permit lump-sum payments of SLU awards. Specifically, the legislature amended section 25 (1) (b) to provide that, although compensation shall otherwise generally be payable on a biweekly basis, "[a]n award of compensation payable for permanent partial disability under paragraphs a through t, inclusive, of subdivision [3] of section [15] of this article, shall be payable in one lump sum, without commutation to present value upon the request of the injured employee" (L 2009, ch 351, § 1). Consistent with that modification, the legislature also amended section 15 (3) (u) to provide that, for SLU awards involving multiple body parts, "the board shall award compensation for the loss or loss of use of each such member or part thereof, which awards shall be fully payable in one lump sum upon the request of the injured employee" (L

2009, ch 351, § 2). According to the legislature, these amendments would “allow injured workers to invest their award if they ch[o]se and better prepare for the adverse financial and emotional effects of their resulting diminished earning capacity” (Sponsor’s Mem, Bill Jacket, L 2009, ch 351 at 5, 2009 McKinney’s Session Laws of NY at 1721).

Significantly, the legislature did not amend Workers’ Compensation Law § 15 (4) (d) which, as already noted, limits to reasonable funeral expenses an estate’s recovery of the portion of an SLU award that would periodically become due after a decedent’s death. The estate nevertheless argues that the legislature’s 2009 amendments authorizing lump-sum payments for SLU awards render the full value of such an award payable to an estate even when a claimant has died without a surviving spouse, minor child, or qualifying dependent. In our view, this argument is foreclosed by the plain language of Workers’ Compensation Law § 15 (4) (d), which remains in effect and which must be read together with the 2009 amendments.

IV.

It is well settled that, “‘[w]hen presented with a question of statutory interpretation, [a court’s] primary consideration is to ascertain and give effect to the intention of the [l]egislature’” (*Samiento v World Yacht Inc.*, 10 NY3d 70, 77-78 [2008] [citation omitted], quoting *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]). “‘As the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof’” (*Matter of Raynor v Landmark Chrysler*, 18 NY3d 48, 56 [2011], quoting *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). Further, courts are “guided in [their] analysis by the familiar principle ‘that a statute . . . must be construed as a whole and that its various sections must be considered together and with reference to each other’” (*Town of Aurora v Village of E. Aurora*, 32 NY3d 366, 372 [2018], quoting *Matter of New York County Lawyers’ Assn. v Bloomberg*, 19 NY3d 712, 721 [2012]; see *Matter of Mancini v Office of Children & Family Servs.*, 32 NY3d 521, 525 [2018]). Courts should “give [a] statute a sensible and practical over-all construction, which is consistent with and furthers its scheme and purpose and which

harmonizes all its interlocking provisions” (*Matter of Long v Adirondack Park Agency*, 76 NY2d 416, 420 [1990]). As particularly relevant here, amendments should typically be construed together with the original act, with no part of the statute rendered inoperative “if they can all be made to stand and work together” (*Lyon v Manhattan Ry. Co.*, 142 NY 298, 303 [1894]; see McKinney’s Cons Laws of NY, Book 1, Statutes § 192). Further, in the absence of any evidence of a contrary legislative intent, provisions of a statute that are unchanged by an amendment are generally “continued in effect, with the same meaning” as prior to the amendment (McKinney’s Cons Laws of NY, Book 1, Statutes § 193, Comment at 359 [1971 ed]).

The legislature’s 2009 amendments to Workers’ Compensation Law §§ 15 (3) (u) and 25 (1) (b)—which provide that SLU awards may be “payable” in a lump sum upon request of the injured employee (Workers’ Compensation Law § 25 [1] [b])—changed the allowable methods of payment for SLU awards. However, the estate’s contention that these amendments implicitly provide a claimant’s estate a new entitlement to the value of an SLU award upon a claimant’s death, or otherwise direct that an SLU award “accrues” at that time for purposes of an estate’s recovery—issues that are distinct from the permissible methods of payment for such awards (see *Matter of LaCroix*, 8 NY3d at 357)—cannot be reconciled with the fact that the legislature did not amend Workers’ Compensation Law § 15 (4) (d) when it authorized lump-sum payments. An estate’s entitlement to an SLU award upon a claimant’s death remains governed by Workers’ Compensation Law § 15 (4) (d), which was left untouched by the 2009 amendments. As the estate concedes, the plain language of that provision—both before and after the 2009 amendments—dictates that an award made “under subdivision three,” including an SLU award, shall be “payable to” an estate only “in an amount not exceeding reasonable funeral expenses” (Workers’ Compensation Law § 15 [4] [d]).

Inasmuch as Workers’ Compensation Law § 15 (4) (d) can be harmonized with the 2009 amendments, that section must continue to be accorded this same effect today, despite the legislature’s decision to permit lump-sum payments upon the

election of an injured claimant. That is, if a claimant so elects,⁵ payment of an SLU award may be directed in a lump-sum fashion; however, in the event a claimant dies from causes unrelated to the work injury, any yet unpaid amounts that would have become periodically due after the claimant's death are "payable to and for the benefit of . . . the estate of such deceased in an amount not exceeding reasonable funeral expenses" (Workers' Compensation Law § 15 [4] [d]).⁶ Indeed, to accept the estate's argument that the entire SLU award became "due" to the claimant at or prior to his death, would be to hold that the legislature implicitly rendered Workers' Compensation Law § 15 (4) (d) completely inapplicable to SLU awards, leaving that provision effectual—if at all—with respect only to non-schedule partial permanent disability awards. Contrary to the contention of our concurring colleague, no such legislative intent can be discerned from either the text of section 15 (4) (d), the statutory language enacted in 2009, or the legislative history of the 2009 amendments.

5. Although the Workers' Compensation Law Judge directed a lump-sum payment of the award, the record does not otherwise indicate that decedent elected a particular method of payment for any future SLU award before he died. Notably, the carrier did not argue at any point in the proceeding below that an estate may not elect a lump sum on behalf of a predeceased claimant. In fact, the carrier indicated in its memorandum of law that a lump-sum award was appropriate, disputing only the amount of the award. Thus, any question regarding whether such election by the estate is permissible is unpreserved (see *Matter of Ruffino v Rosen & Sons*, 142 AD2d 177, 181 [3d Dept 1988], *aff'd* 74 NY2d 861 [1989]). Before this Court, the carrier has chosen to dispute only whether the estate is entitled to the value of the decedent's SLU award past the date of his death, not whether it can avoid paying the award in a lump-sum fashion on the theory that the estate, rather than decedent, made the election. Moreover, in light of our conclusion that Workers' Compensation Law § 15 (4) (d) operates to limit an estate's recovery, we have no need to otherwise determine whether an estate, surviving spouse, child, or dependent may elect a lump-sum payment on behalf of a deceased claimant. Given these considerations, we decline our concurring colleague's invitation to decide a separate statutory argument against the estate to which it has had no opportunity to respond. Nor do we find it appropriate to invoke our rules governing post-argument submissions—which are aimed at ensuring the Court is apprised of new developments in relevant facts or law (see 22 NYCRR 500.6), not encouraging the injection of new issues into a case at the final stage of its resolution.

6. To be clear, this is in addition to the portion of the award previously paid or "due" to the claimant at the time of the claimant's death (i.e., the portion of the award calculated from the point of injury to the time of death) (Workers' Compensation Law § 33; see *Matter of Healey*, 282 App Div at 969-970), which neither party disputes before this Court.

Our conclusion that Workers' Compensation Law § 15 (4) (d) should be interpreted in the same manner as it was before the 2009 amendments is further supported by the history of that provision. In 1947, when the legislature enacted the particular language in section 15 (4) (d) that permits a claimant's estate to recover funeral expenses, the former Workmen's Compensation Board explained that, prior to that enactment, "[i]n schedule cases where there [we]re no dependents, no provision [wa]s made for payment of funeral expenses and the carrier receive[d] the entire benefit of the lapsed award" (Letter to Governor's Counsel from Chair of Workmen's Compensation Bd, Mar. 19, 1947, Bill Jacket, L 1947, ch 746). Thus, section 15 (4) (d) was intended to provide *some* recovery to an estate where, previously, an estate had no entitlement to funeral expenses or any of the value of the SLU award remaining to be paid upon the death of a claimant. The legislature has unmistakably provided a claimant's estate with only a limited right to a discrete portion of the remaining SLU award upon the claimant's death if the claimant has no qualifying survivors. Here, the estate cites no support for its position that the legislature, by authorizing lump-sum payments, intended to alter, not only the methods of payment available, but also the amount of an SLU award that may be paid to an estate under those circumstances. Simply stated, we cannot countenance the estate's suggestion that the legislature implicitly overhauled the provisions of section 15 (4) (d) governing distribution of SLU awards upon a claimant's death when it did not amend that section, particularly considering that we highlighted section 15 (4) (d) in *Matter of LaCroix*.

We also note that "the legislative history of a particular enactment must be reviewed in light of the existing decisional law which the [l]egislature is presumed to be familiar with and to the extent it left it unchanged, that it accepted" (*Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151, 157 [1987]; see *Desrosiers v Perry Ellis Menswear, LLC*, 30 NY3d 488, 497 [2017]; *Arbegast v Board of Educ. of S. New Berlin Cent. School*, 65 NY2d 161, 169 [1985]). At the time the legislature amended the Workers' Compensation Law to permit lump-sum SLU payments, decisional law—followed by the Board in a number of cases—had long interpreted Workers' Compensation Law § 15 (4) (d) as limiting to reasonable funeral expenses an estate's recovery of that portion of an SLU award that encompassed schedule weeks postdating the claimant's death (see *Matter of Healey*, 282 App Div at 970; see

e.g. *Employer: Ruth Diamond Mkt. Research*, 2003 WL 21104752, *1, 2003 NY Wrk Comp LEXIS 82254, *1-2 [WCB No. 8000 2208, May 12, 2003]; *Employer: NYS Off. of Parks & Recreation*, 1998 WL 985496, *1 [WCB No. 29517441, Dec. 14, 1998]). More specifically, in *Matter of Healey*, the Appellate Division read Workers' Compensation Law §§ 15 (4) (d) and 33 together in a factually analogous circumstance—a posthumous SLU award to a claimant who died of causes unrelated to the qualifying injury without leaving a spouse, minor child, or other dependent (282 App Div at 969). There, the Appellate Division held that, while section 33 “preserves the award ‘due’ at the time of death,” section 15 (4) (d) was intended to govern distribution of that part of the SLU award that encompassed the period after the claimant’s death, and such portion “was to be absorbed and limited by the funeral expenses” (282 App Div at 970). In the absence of an amendment to section 15 (4) (d) or any other indication that the legislature meant to alter its meaning, we cannot conclude that the legislature intended to change the long-standing interpretation given to sections 15 (4) (d) and 33 in this context.

The estate asserts that the holding of *Matter of Healey* is tied to the periodic payment of SLU awards prior to the 2009 amendments, and appears to contend that, while Workers' Compensation Law § 15 (4) (d) has been rendered ineffective with regard to lump-sum awards, it remains effective with regard to those SLU awards where a claimant elects to receive periodic payments. Again, there is no textual basis in section 15 (4) (d), section 33, or the provisions amended in 2009, upon which such a distinction may be drawn. Nor may we judicially amend section 15 (4) (d) in the manner urged by the estate because “[a] statute must be read and given effect as it is written by the [l]egislature, not as the court may think it should or would have been written if the [l]egislature had envisaged all the problems and complications which might arise” (*Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539, 548-549 [1983] [internal quotation marks and citation omitted]; see *Matter of Knight-Ridder Broadcasting*, 70 NY2d at 157).

V.

The estate argues that Workers' Compensation Law § 15 (4) (d) operates to unfairly reduce the amount of an SLU award that may be available to the estate of a deceased claimant in an arbitrary fashion, contending that when a claimant dies

from unrelated causes shortly after electing and receiving a lump-sum payment, the entire value of the SLU award would pass to the claimant's estate. By contrast, when, as here, a claimant dies from unrelated causes before the lump-sum SLU award is entered or received, the estate may recover only reasonable funeral expenses and that portion of the SLU award that would have been due to the claimant before death. The estate maintains that this differential treatment is based solely on happenstance and serves no readily apparent legislative purpose. The carrier counters that application of Workers' Compensation Law § 15 (4) (d) in this context does not conflict with the purpose of the 2009 amendments, which the carrier characterizes as intending to better compensate an injured employee for future loss in earning capacity by permitting an SLU award to be invested up front while the employee is alive. Such contentions are better directed to the legislature for its consideration and resolution. If the legislature intends for a claimant's estate to recover the full value of an SLU award under the circumstances presented here, the Workers' Compensation Law must be amended to so provide. This Court, however, is bound to reconcile the 2009 amendments with section 15 (4) (d), which can be achieved in such a manner as to give full effect to the plain language of each statutory provision.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

RIVERA, J. (concurring). Claimant Norman Youngjohn passed away from a cause unrelated to his workplace injury during the pendency of his claim for permanent partial disability benefits. He is survived by two adult children, one of whom serves as the administrator of his estate. I agree with the majority that the estate is not entitled to a lump-sum payment of the posthumous schedule loss of use (SLU) award issued to decedent pursuant to the Workers' Compensation Law, but for different reasons than those stated by the majority, the Appellate Division, and the Workers' Compensation Board.

In *Matter of LaCroix v Syracuse Exec. Air Serv., Inc.* (8 NY3d 348, 351 [2007]), the Court held that the Workers' Compensation Law did not provide for a lump-sum payment of an SLU award, even though the award accrued at the time of the injury. Instead, Workers' Compensation Law § 25, which directs how compensation must be paid, provided that workers should

receive awards periodically (*Matter of LaCroix*, 8 NY3d at 353-355). The Court reasoned, in part, that to read the law to allow lump-sum payments would render Workers' Compensation Law § 15 (4) (d), among other provisions, "substantially compromised in meaning and effect" (*id.* at 355). Specifically, since Workers' Compensation Law § 15 (4) (d) "provides for discontinuation of a schedule loss of use award upon the death of a claimant with no heirs (with the exception of reasonable funeral expenses) if claimant dies from causes unrelated to the compensable injury," if claimants were entitled to receive lump-sum awards, "cancellation of benefits upon death" under section 15 (4) (d) would have a "more limited application" than under a periodic payment system (*id.*).

The Court noted the competing policy arguments on the issue but left consideration (and resolution) of the matter to the legislature. On the one hand, there is the efficiency argument that an up-front payment could be spent by an injured employee who then turns to the State for support and thus "put[s] the community right back where it would have been if there had been no compensation system at all" (*id.* at 357 [internal quotation marks omitted]). The contrary view recognizes a claimant's personal agency over the award to which they are entitled and the claimant's ability to make informed decisions without government interference. The argument for this position is simple: An SLU award equates to "a fixed award calculable upon injury," and thus "the state should not delay full payment over a period of years, effectively preventing a claimant from choosing how to invest these funds" (*id.*, citing Walter Gellhorn & Louis Lauer, *Administration of the New York Workmen's Compensation Law [Part II]*, 37 NYU L Rev 204, 229 [1962]).

The legislature subsequently amended Workers' Compensation Law § 15 (3) (u) to provide that SLU awards "shall be fully payable in one lump sum *upon the request of the injured employee*" (emphasis added). Workers' Compensation Law § 25 (1) (b) complements Workers' Compensation Law § 15 (3) (u) and requires that SLU awards "be payable in one lump sum, without commutation to present value *upon the request of the injured employee*" (Workers' Compensation Law § 25 [1] [b] [emphasis added]). These changes reflect the legislature's intent to "allow injured workers to invest their award if they cho[o]se and better prepare for the adverse financial and

emotional effects of their resulting diminished earning capacity” (Sponsor’s Mem, Bill Jacket, L 2009, ch 351 at 5, 2009 McKinney’s Session Laws of NY at 1721). Accordingly, the lump-sum option is a decision personal to the injured employee, exercised by making an affirmative request for a lump-sum payment (*see* Workers’ Compensation Law §§ 15 [3] [u]; 25 [1] [b]).

Given the clarity of the Court’s analysis in *LaCroix*, we must assume that the legislature fully understood and anticipated the “limiting” effect that allowing lump-sum awards would have on benefit discontinuance under Workers’ Compensation Law § 15 (4) (d) (Sponsor’s Mem, Bill Jacket, L 2009, ch 351 at 5, 2009 McKinney’s Session Laws of NY at 1720-1721 [noting that the amendments to the Workers’ Compensation Law were in direct response to this Court’s holding in *LaCroix*]; *see also* *B & F Bldg. Corp. v Liebig*, 76 NY2d 689, 693 [1990] [“The Legislature is presumed to be aware of the law in existence at the time of an enactment”]; *Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367, 373 [2007]; *People ex rel. Postal Tel.-Cable Co. v State Bd. of Tax Commrs.*, 224 NY 167, 183 [1918] [the legislature is “charged with knowledge of the law”]). Accordingly, the Workers’ Compensation Law is properly interpreted as discontinuing future periodic payments upon the death of an injured employee who passes without a spouse, minor children, or dependents from causes unrelated to the compensable workplace injury (*see* Workers’ Compensation Law § 15 [4] [d]). The only exception is when the injured employee requests a lump-sum award, in which case the award goes to the estate, regardless of whether the award is posthumous (*see* Workers’ Compensation Law § 33). The application of Workers’ Compensation Law § 15 (4), which continues payment of the award to a deceased employee’s surviving spouse, minor children, or dependents, remains unchanged.¹

Here, the estate failed to provide evidence that Mr. Youngjohn opted for a lump-sum payment. The record does not contain a written, signed request from him, and there is no other evidence that, during his lifetime, he chose this preferred method

1. Notably, the legislature did not amend Workers’ Compensation Law § 25 (5) (b)—the basis for the Board’s action in *LaCroix*. That section continues to authorize the Board to commute periodic payments to a lump sum “in the interests of justice” (*id.*).

of compensation. Thus, the estate cannot demand payment in a lump sum as that decision is exclusively reserved for the injured employee. For that reason alone, the estate's claim fails.²

2. Unlike the majority, I perceive no obstacle to our consideration of whether the estate may seek a lump-sum payment of the entire award where Mr. Youngjohn made no such demand during his lifetime (majority op at 605 n 5). The estate has, at all times, argued that it is entitled to the entire award because the law allows for lump-sum payments. The relevant facts are undisputed. Thus, we are presented with a pure legal question of statutory interpretation and a threshold issue of the estate's authority to demand a lump-sum award (*Matter of Richardson v Fiedler Roofing*, 67 NY2d 246, 250 [1986], citing *Telaro v Telaro*, 25 NY2d 433, 439 [1969]; *American Sugar Ref. Co. of N.Y. v Waterfront Commn. of N.Y. Harbor*, 55 NY2d 11, 25 [1982] ["Threshold questions concerning the interpretation of (statutory) provisions . . . may be made to us not having been advanced below"]). Our consideration of that question is not foreclosed because the carrier, the Board, and the Appellate Division assumed—erroneously in my view—that the estate could assert a claim in its own right (*Persky v Bank of Am. N.A.*, 261 NY 212, 217-218 [1933] ["It was the duty of the judges (below) to ascertain and declare the whole law upon the undisputed facts spread before them; and it is our duty now to give such judgment as they ought to have given'"], quoting *Oneida Bank v Ontario Bank*, 21 NY 490, 504 [1860]).

My analysis is focused on the judicial task at hand and is not, as the majority claims, an "invitation" to decide an issue beyond our authority (majority op at 605 n 5). As I have discussed, the Workers' Compensation Law mandates that the SLU award be distributed in scheduled installments *unless* a claimant affirmatively requests a lump-sum payment. The Court may not ignore this statutory prerequisite because the estate failed to carry its burden of showing that Mr. Youngjohn made such a request.

Of course, we could easily allay the majority's concerns about not affording the litigants an opportunity to be heard on this point by requesting post-argument briefing (*Misicki v Caradonna*, 12 NY3d 511, 526 n [2009, Smith, J., dissenting]; 22 NYCRR 500.7 [noting that the Court has the power to "specifically request()" post-argument submissions]). Our ability to make such a request is not anomalous; a number of other courts, including the United States Supreme Court and other federal and state high courts, allow for post-argument briefing (*see e.g.* Rules of US Sup Ct rule 25 [7] [providing that litigants appearing before the United States Supreme Court are permitted to file supplemental briefs after oral argument with leave from the Court]; *Randolph v United States*, 882 A2d 210, 226 [DC 2005] [noting that the District of Columbia Court of Appeals "has frequently requested post-argument briefing of issues not adequately raised by counsel"]; *In re Alleged Improper Practice under Section XI, Paragraph A(d) of the Port Auth. Labor Relations Instruction*, 194 NJ 314, 329, 944 A2d 611, 621 [2008] [acknowledging the receipt and consideration of post-argument submissions]; Pa Rules App Pro rule 2501 [a] [allowing post-argument submissions upon the Pennsylvania Supreme Court's permission]). It is within our power to address the purely statutory threshold issue in the appeal before us. The majority's reasons for failing to do so are unpersuasive.

Chief Judge DiFiore and Judges Fahey, Garcia and Wilson
concur; Judge Rivera concurs in result in an opinion.

Order affirmed, with costs.

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